

ANNUAL REPORT

2024/25



Empowering resilience
and accelerating inclusive
growth of small businesses
and co-operatives



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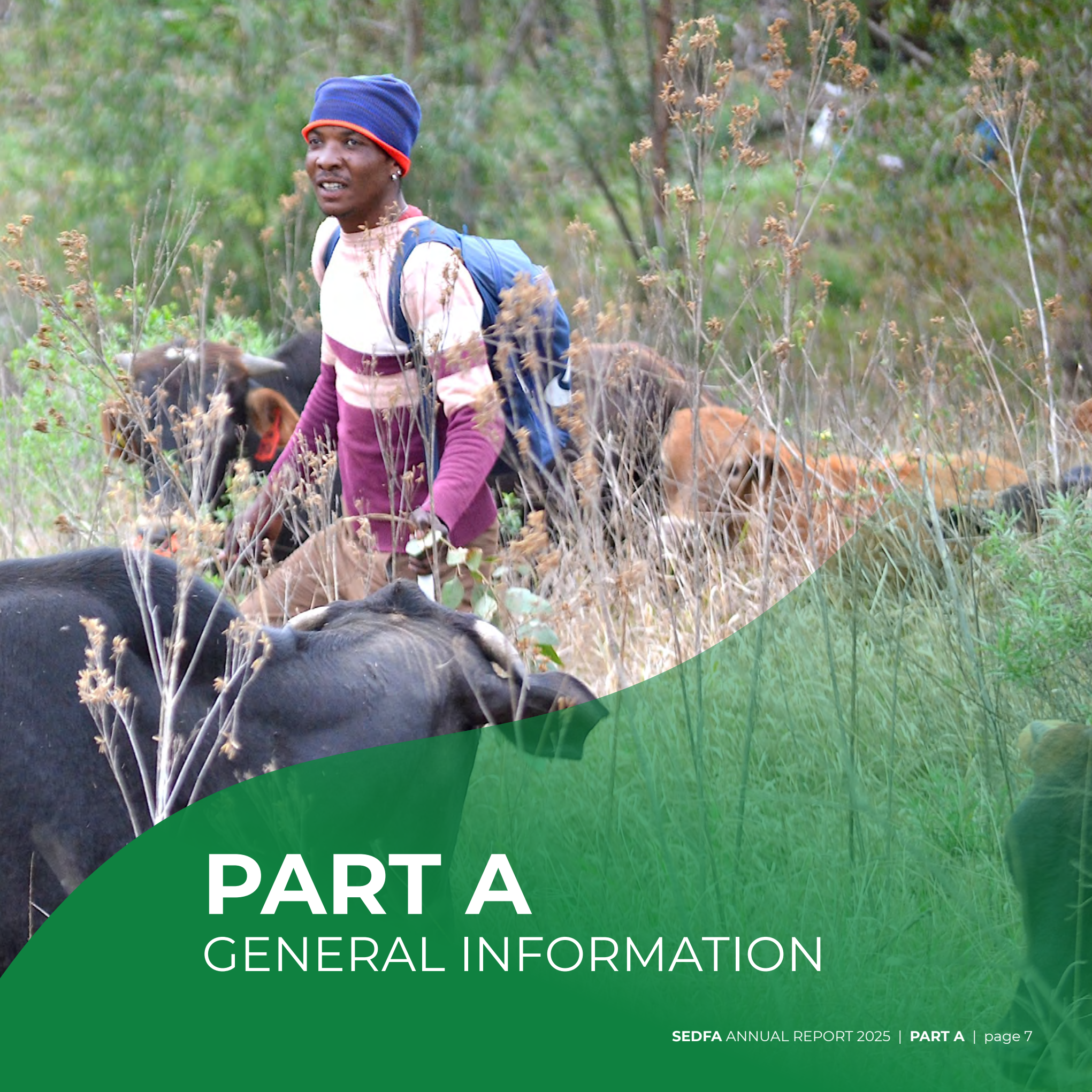
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PART A

GENERAL INFORMATION

GENERAL INFORMATION

Registered Name	Small Enterprise Development and Finance Agency (SEDFA)
Physical Address	The Fields, Office Block A, 1066 Burnett Street, Hatfield, Pretoria
Postal Address	PO Box 56714, Arcadia, 0007
Telephone Number(s)	0860 103 703 / 012 441 1000
Fax Number	012 441 2064
Email Address	info@SEDFA.org.za
Website	www.SEDFA.org.za
External Auditors	Auditor-General of South Africa
Bankers	Standard Bank
Board Secretary	Ms. Buhle Ndlovu



LIST OF ABBREVIATIONS/ACRONYMS

AGSA	Auditor-General of South Africa
ARC	Audit and Risk Committee
BCM	Business Continuity Management
CBDA	Co-operative Banks Development Agency
CEO	Chief Executive Officer
CfERI	Centres for Entrepreneurship and Rapid Incubation
CPPP	Community Public Private Partnership Programme
DSBD	Department of Small Business Development
ECIC	Export Credit Insurance Company
Exco	Executive Committee
HR	Human Resources
HRRESCO	Human Resources and Remuneration Committee
ICT	Information and Communication Technology
MTEF	Medium-term Expenditure Framework

MTSF	Medium-term Strategic Framework
NDP	National Development Plan
NGP	New Growth Path
NISED	National Integrated Small Enterprise Development Plan
PFMA	Public Finance Management Act
SAGRAP	South African Generally Recognised Accounting Practice
SCM	Supply Chain Management
SEC	Social and Ethics Committee
SEDA	Small Enterprise Development Agency
SEDA	Small Enterprise Development and Finance Agency
SEFA	Small Enterprise Finance Agency
SMME	Small, Medium and Micro Enterprise
SOPC	Strategy and Organisational Performance Committee
STP	Seda Technology Programme
TTA	Technology Transfer Assistance





FOREWORD BY THE **MINISTER OF SMALL BUSINESS DEVELOPMENT**

Ms. Stella Tembisa Ndabeni

The 2024/25 financial year marked a decisive chapter in South Africa's journey to transform and strengthen its small business and cooperative ecosystem. It was the first year of operations for the Small Enterprise Development and Finance Agency (SEDFA), established 01 October 2024 through the merger of the Small Enterprise Development Agency (Seda), the Small Enterprise Finance Agency (sefa), and the Co-operative Banks Development Agency (CBDA), enabled by the National Small Enterprise Amendment Act 21 of 2024.

This landmark reform responded to long-standing calls to consolidate financial and non-financial support within a single institution, thereby removing duplication, simplifying access, and creating a more coherent and impactful system of support for MSME's and co-operatives.

This consolidation was not merely an administrative exercise, it was a strategic step towards building a development finance institution capable of delivering integrated, inclusive, and scalable interventions.

It was a strategic step towards ensuring higher levels of MSME and co-operatives sustainability through the provision of pre-investment and post-investment support.

SEDFA's mandate is to be an enabler and a catalyst, ensuring that small businesses and cooperatives, whether in rural villages, bustling townships, or high-growth sectors, receive the resources, training, and opportunities required to compete and thrive.

Over the year under review, SEDFA provided financial support to 165 068 MSMEs and co-operatives, and non-financial support to 74 546 enterprises.

Some R3.3 billion was disbursed to MSMEs and co-operatives, with R2.7 billion going to black-owned enterprises; R1.6billion to women-owned enterprises; and R552 million to youth-owned enterprises.

Equally encouraging is SEDFA's reach into rural areas and township economies. A total of 30 363 township and rural businesses benefited from development services, and 32 509 were empowered through training, mentorship, and coaching.

I commend the SEDFA Board, Acting Chief Executive Officer and Management, for navigating this foundational year with professionalism and foresight. Merging three institutions into one seamless entity was no small feat. The groundwork has been laid, which can now be built upon for scaling and impact.

I will be looking to the SEDFA Board and management to improve on the 70% performance targets achieved in 2024/25. I will also be looking for the organization to reduce impairment rates, accelerate turnaround times of applications, and improve client interface and communication. Digital platforms and systems as well as filling all the executive management and critical posts will be critical enablers for this.

In the current year, SEDFA must deliver on the priorities announced in the 2025 DSBD Budget Speech, which includes the delivery of the Women, Youth and Amavulandlela Funds, as well as other catalytic instruments aimed at accelerating township and rural economic development and high growth sectors.

These are not just instruments of support. They are levers of structural transformation, designed to drive inclusive growth.

The road ahead is not without its challenges. Yet with its consolidated mandate, robust governance framework, and dedicated leadership, SEDFA is well positioned to play a transformative role in advancing South Africa's developmental state. By working collaboratively with the ecosystem, SEDFA will be central to the DSBD's goal of supporting one million enterprises by 2030.

We are thankful for the important oversight work and advice of the Small Business Portfolio Committee throughout the merger process, and which will continue to shape the building of a high performance and impactful SEDFA.

Together, let us continue to build a nation where no entrepreneur is left behind, where small businesses and cooperatives are the heartbeat of our economy, and where inclusive prosperity becomes a lived reality for all South Africans.

Honourable Minister Stella. Ndabeni, MP

Minister of Small Business Development (Executive Authority)

30 September 2025





MESSAGE BY THE **CHAIRPERSON**

Ms. Nonzuzo Makanda

It is with great honour that I present the inaugural Annual Report of the SEDFA, following the successful merger of the Seda, sefa, and the CBDA. This report marks the beginning of a new chapter in South Africa's journey to empower MSMEs, cooperatives, and co-operative enterprises through the delivery of integrated support to these enterprises.

Strategic Overview and Sector Performance

SEDFA was established through a rigorous and inclusive process, culminating in the signing into law of the National Small Enterprise Amendment Act 21 of 2024. This legislative milestone formalised the creation of a one-stop agency designed to streamline and enhance support for MSMEs and cooperatives. The merger consolidated the mandates and strengths of the three predecessor entities, reflecting the government's commitment to improving the effectiveness of enterprise development and accelerating inclusive economic growth.

During the merger, the Board played a central role in steering SEDFA's strategic direction. It provided strong oversight by approving an interim Annual Performance Plan (APP) that consolidated the final six months (October 1, 2024, to March 2025) of the predecessor agencies' APPs, ensuring continuity and alignment with SEDFA's mandate. The Board also oversaw the formulation of SEDFA's 5-year Strategic Plan, which is closely aligned with the Government's Medium-Term Development Plan (MTDP). It guided the development of the APP for the 2025/26 financial year.

To support effective leadership and operational stability, the Board appointed an Interim Executive Team and approved key organisational policies to uphold sound governance practices. Additionally, a comprehensive change management program was implemented, founded on SEDFA's core values of integrity, customer-centric

excellence, agility, resilience, and entrepreneurial passion (ICARE). Throughout this process, the Board has remained committed to providing integrated financial and non-financial support, with a particular focus on empowering enterprises owned by Black people, women, youth, persons with disabilities, and those operating in townships and rural communities.

Strategic Relationships

The effective execution of SEDFA's mandate hinges on strong leadership and seamless coordination across the entire small enterprise ecosystem. It is only through unified direction, collaborative engagement, and the alignment of efforts among all stakeholders—government departments, regulators, funding partners, donor organisations, and business associations—that SEDFA can deliver impactful and sustainable support to MSMEs and cooperatives. The Board has actively engaged these key stakeholders, including government departments, regulators, funders (including international donor organisations), and small business member organisations, fostering cooperation and facilitating the delivery of targeted programmes to MSMEs. By cultivating these partnerships and encouraging a spirit of collaboration, SEDFA ensures its vision for inclusive economic growth and enterprise development is fully realised.

Parliamentary oversight bodies, such as the Portfolio Committee on Small Business and the Select Committee on Trade and Industry, play a vital role in ensuring that SEDFA fulfils its mandate effectively. Through their oversight, guidance, and support, these committees help maintain accountability and transparency, ensuring SEDFA aligns with national priorities for MSME and cooperative development. By engaging actively with these parliamentary bodies, SEDFA strengthens its governance framework and demonstrates its commitment to inclusive and effective small business growth.

Challenges Faced by the Board

The Board faced the enormous dual challenge of building a new institution from the ground up while simultaneously delivering integrated support programmes to MSMEs during a period of significant economic difficulty in South Africa.

This required balancing the urgent need to operationalise SEDFA, integrate the governance structures, financial systems, and human resources of the merged entities, and develop impactful, cohesive programmes that would effectively reach and serve the target market. Stakeholders, including the Executive Authority (Minister

of Small Business Development), broader government, funders, and MSMEs, held high expectations for SEDFA to provide concrete, sustainable support and to deliver measurable results, all while ensuring organizational and financial sustainability in a climate of declining government support.

The Board was further pressed to drive operational efficiency, harmonise policies, and stabilise leadership, while ensuring continuity of service and maintaining accountability and transparency through robust governance instruments. Meeting these demands required a clear focus on program effectiveness and sustainability, ongoing stakeholder engagement, and the ability to manage complex transitions without compromising the delivery of meaningful impact to MSMEs and cooperatives.

Strategic Focus: Medium to Long Term

Looking ahead, the Board is steadfast in its commitment to positioning SEDFA as a catalyst for inclusive economic transformation. Our medium strategic focus centres on designing and implementing targeted support programmes tailored to the unique needs of each of our core markets—including black-owned, women-owned, youth-owned, disability-owned, rural, and township enterprises—to ensure that all segments benefit equitably from SEDFA's interventions.

We will consolidate and expand the Development and Commercial Funds, enabling broader and more flexible access to finance and business development services for MSMEs. Additionally, SEDFA will implement an enhanced incubation program to foster entrepreneurship, accelerate startup growth, and drive economic growth. Strengthening coordination and collaboration within the MSME ecosystem remains a priority, as we work to forge deeper partnerships across government, funders, and business associations.

Integral to SEDFA's strategic focus is the commitment to exceptional customer service through the design of an integrated service delivery network. This network will establish accessible service points at the municipal level, ensuring that MSMEs and cooperatives across urban, rural, and township areas can conveniently access SEDFA's offerings. Additionally, the deployment of robust digital platforms and ecosystem will further enhance reach and efficiency, enabling entrepreneurs to engage with SEDFA's programmes, resources, and support services remotely and seamlessly. By leveraging both physical and digital channels access points, SEDFA aims to remove barriers, broaden service coverage, and deliver a responsive,

customer-centric experience that meets the diverse needs of the small enterprise ecosystem.

Internally, we are focused on building and consolidating SEDFA's organisational capacity to ensure effective, accountable operations at every level. This includes strengthening our ethical framework and governance practices to foster a culture of integrity and transparency throughout the organisation. We recognise that maintaining high ethical standards is essential for building trust with our stakeholders and ensuring that decision-making processes remain fair and unbiased.

Moreover, we are addressing critical issues related to organisational efficiency and effectiveness. This involves streamlining internal processes, refining performance measurement systems, and ensuring that all departments are aligned with our strategic objectives. By enhancing operational efficiency, we aim to maximise the impact of our programmes and deliver timely, high-quality support to MSMEs and cooperatives.

A key part of our internal focus is on strengthening staff capacity. We are committed to developing a skilled, agile workforce capable of responding proactively to the complex challenges facing SEDFA and its stakeholders. This includes targeted training, ongoing professional development, and the recruitment of talent with the expertise required to drive innovation and responsiveness.

Through these efforts, we ensure that SEDFA remains responsive to the evolving needs of our stakeholders, including MSMEs, cooperatives, government partners, and funders—by cultivating an organisation that is ethical, efficient, effective, and equipped to deliver on its mandate.

These integrated priorities are firmly aligned with national development goals and underscore our ambition to deliver measurable impact and sustainable growth for South Africa's small enterprise sector.

Acknowledgements

On behalf of the Board, I wish to express our , most profound appreciation to the Honourable Minister of Small Business Development, Ms Stella Tembisa Ndabeni, for her visionary leadership throughout the transition. We also extend our gratitude to the Director-General, Ms. Thulisile Manzini, and the teams at the Department of Small Business Development for their unwavering support.

We further acknowledge the Portfolio Committee on Small Business in the National Assembly and the Select Committee on Trade and Industry in the National Council of Provinces for their oversight, guidance, and commitment to advancing South Africa's small enterprise sector. Their constructive engagement and continued support have played a crucial role in shaping the direction of SEDFA and ensuring our alignment with national priorities.

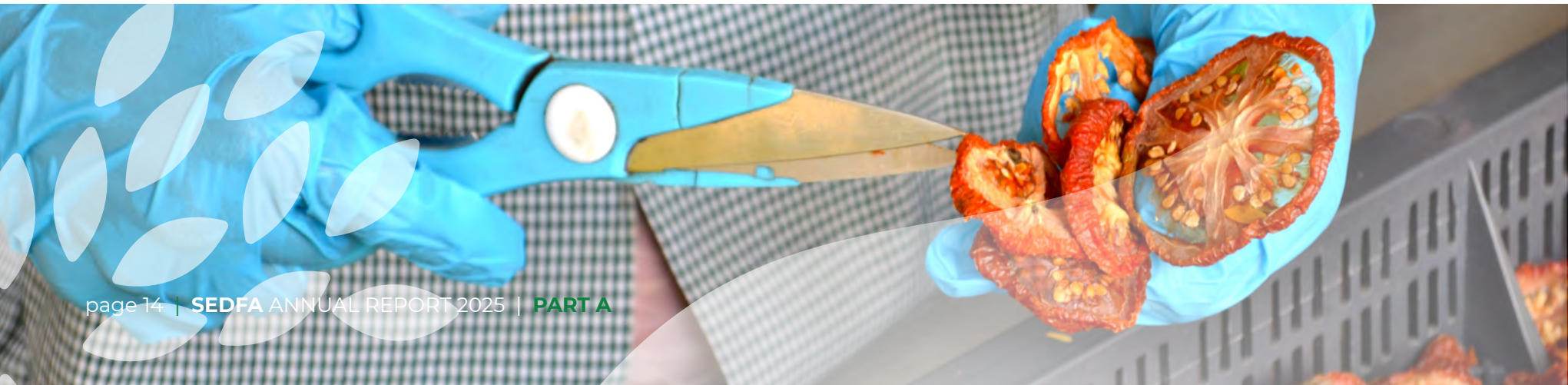
To our fellow Board members, including those who transitioned from the predecessor entities, thank you for your dedication and professionalism. Your institutional knowledge and strategic insight have been invaluable.

Finally, we acknowledge the staff of SEDFA — a legacy of Seda, sefa, and CBDA — for their resilience and commitment. You are the backbone of this new entity, and your continued efforts will be instrumental in realising SEDFA's vision.



Ms. Nonzuzo Makanda
Chairperson of the Board

30 September 2025





“It always seems impossible until it is done.”

— *Nelson Mandela*

ACTING CHIEF **EXECUTIVE OFFICER OVERVIEW**

Mr. Nkosikhona Mbatha

“Igniting Enterprise. Empowering South Africa.”

It is with great pride and optimism that I present the inaugural CEO’s Statement for the SEDFA. Born from the strategic merger of SEDA, sefa, and CBDA, SEDFA represents a bold new chapter in South Africa’s journey in empowering South Africa’s small businesses for inclusive growth, transformation and sustainable employment.

This year marked a historic milestone: the consolidation of three powerful institutions into a single, integrated agency with one mission – to ignite inclusive economic growth through the financial and non-financial empowerment of micro, small and medium enterprises (MSMEs). SEDFA is now the heartbeat of small enterprise development, driving transformation at scale and with purpose.

Operating Environment

The South African small business sector is a vital engine of economic growth, comprising over 2 million registered micro, small, and medium enterprises (MSMEs) across the country. Collectively, these businesses contribute approximately 40% to South Africa’s GDP and are responsible for creating between 60% and 70% of all new jobs each year. MSMEs play a significant role in fostering innovation, supporting livelihoods, and promoting inclusive participation in the mainstream economy.

Despite their importance, many small businesses face persistent challenges related to access to finance, market opportunities, and business development support. As Acting Chief Executive Officer, I am acutely aware of the pivotal responsibility SEDFA holds in advancing the MSME sector. Our agency is uniquely positioned to champion the growth and sustainability of small enterprises by providing integrated financial and non-financial solutions tailored to their evolving needs. We are committed to nurturing a vibrant small business ecosystem that drives economic transformation, job creation, and equitable prosperity for all South Africans.

Our Achievements: A Unified Force for Impact

In our first year of operation, SEDFA **disbursed over R3.3 billion** in funding to over **165 000 MSMEs and cooperatives**, with a strong focus on youth, women, persons with disabilities and township entrepreneurs showing the following impact:

- **R2.7 billion** was disbursed towards black-owned enterprises, **R1.6 billion** to women-owned enterprises while **R552 million** was disbursed to youth-owned enterprises and **R16.2 million** to businesses owned by people with disabilities.
- **Improved its financial performance** by generating income of **R1.54 billion**, maintained its operating expenditure at **R918 million**, grow its assets to **R9 billion**, whilst the cost to income ratio declined to **59%**.
- Sedfa had **34 active strategic partnerships**, 22 of these being the intermediaries, and 12 as Portfolio and Supplier Credit Guarantee Institutions.
- **Achieved 72% of its set performance targets.**

Government's Commitment: A Nation Built on Enterprise

SEDFA's work is deeply aligned with the South African government's priorities for SMMEs, which include:

- **Expanding access to finance** through blended funding models and the newly approved **SMME and Co-operatives Funding Policy and National Small Enterprise Amendment Act**.
- **Empowering marginalized groups** with tailored support for youth, women, and persons with disabilities.
- **Simplifying regulation** and improving the ease of doing business for entrepreneurs.
- **Building resilient ecosystems** through infrastructure investment, digital enablement, and market access initiatives.

These interventions reflect a clear national vision: **MSMEs are not just economic participants — they are economic catalysts.**

Call to Action for Partners

To our partners in government, the private sector, civil society, and academia — **we invite you to walk this journey with us.** Join us in building an ecosystem where entrepreneurship flourishes, innovation thrives, and opportunity reaches every corner of our country.

Specific Partnership Opportunities:

- **Financial Institutions:** Co-create blended finance instruments and expand access to credit for underserved entrepreneurs.
- **Corporate South Africa:** Support supplier development and inclusive procurement through enterprise and supplier development (ESD) initiatives.
- **Technology Providers:** Collaborate on digital platforms, fintech solutions, and AI-driven tools to enhance SMME productivity and market access.
- **Academic Institutions & Incubators:** Partner on research, innovation funding, and skills development for high-growth sectors.
- **Development Agencies & NGOs:** Scale community-based entrepreneurship programmes and support informal sector formalization.
- **Municipalities & Provincial Governments:** Co-invest in local enterprise hubs, infrastructure, and township revitalization projects.

Together, we can create a South Africa where no dream is too small, and no entrepreneur is left behind.

Notable Transition Period Events

Following the announcement of the merger, SEDFA officially launched its brand identity in December 2024, including the registration of the entity as a Schedule 3(B) public entity with the Companies and Intellectual Property Commission (CIPC). During this period our leadership also prioritised the rollout of key policies, design and implementation of comprehensive change management, and active stakeholder engagement, all of which were instrumental in laying the groundwork for a streamlined organisational structure and future growth. These achievements reflect our forward-thinking approach and unwavering commitment to meaningful impact, positioning SEDFA for continued success in an evolving economic landscape.

The merger also presented significant strategic capacity challenges for SEDFA, particularly human capital and consolidation of the financial statements. The uncertainty in the transition led to the

resignation of several key personnel, resulting in the loss of critical institutional knowledge leadership continuity. This period of flux necessitated a reliance on contract employees to fill essential roles, which, bridging immediate gaps, also introduced challenges related organisational cohesion and long-term capacity building.

As we progress with complete the transition period, an organisational micro-structure ensures operational stability, with clear delegations of authority across key management areas. This micro-structure followed the development of the SEDFA MTD and the APP, which gave rise to the definition of SEDFA's mandate into the future.

In addition, the financial statements were not submitted within two months after the end of the financial year (i.e. May 2025) to the Auditor-General and the National Treasury as required by Section 55(1)(c) of PFMA. The delays are attributed to a need for selection of an appropriate accounting reporting framework in line with Reporting Framework in terms of Directive 12 of the Accounting Standards Board, that is, migration from the Generally Accepted Accounting Practice (GRAP) to International Financial Reporting Standards (IFRS).

The entity also required a tax opinion to set out the appropriate tax treatment of the recent merger of the three entities as well as the proposed IFRS disclosures relating to the tax implications of the merger in the financial statements for the 31 March 2025 year end. In all this, the National Treasury and the Executive Authority played a pivotal role in support and guidance throughout the period.

Lastly, due to transitional delays in programme implementation and structural realignment, SEDFA submitted a formal request for a roll-over of the unspent funds. These funds are earmarked for strategic initiatives that were deferred during the merger period and will be in the upcoming financial year to accelerate delivery.

Looking Ahead

As we move forward, SEDFA will continue to innovate, collaborate, and scale impact. We are building a future where every entrepreneur — regardless of background or geography — has the tools, support, and belief to thrive.

Together, we are not just developing enterprises. **We are developing South Africa.**

Some of the key interventions in the year ahead, our focus will be on completing the integration process, enhancing our financial systems, and utilising digitisation as a catalyst, expanding service delivery footprint to support South Africa's small businesses better.

We will drive the full implementation of our unified Annual Performance Plan, the design and implementation of the Development and Commercial Funds, rolling out integrated programmes such as the Women Entrepreneurship Programme, Youth Innovation and Entrepreneurship Programme, Enhanced Township Entrepreneurship Programme, Microfinance Wholesale Programme, and the Targeted Credit Guarantee Programme. These initiatives are strategically designed meaningful partnerships with commercial banks, non-institutions, and suppliers of trade credit, thereby broadening market access and enterprise development opportunities.

In addition, we will prioritise the rationalization and simplification of our customer-facing processes, channels, and the enhancement of digital platforms to ensure seamless and responsive delivery. The implementation of our approved micro-organisation structure and new reporting protocols will align all key functions for operational success. At the same time, ongoing management efforts will embed SEDFA's values and support new organisational alignment. Through these forward-looking actions, SEDFA is positioned drive sustainable growth, accountability, and positive impact the small business sector in the coming year and beyond.

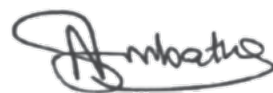
Acknowledgements

I wish to extend my sincere appreciation to, the Director-General, Ms Thulisile Manzini, and the teams at the Department of Small Business Development.

I also acknowledge the boards and executive teams of Seda, sefa, and CBDA for their leadership and commitment throughout the transition. Their unwavering support has enabled SEDFA to emerge as a cohesive and capable entity, ready to serve South Africa's small businesses with excellence and impact.

Closing Message

Let us remember: every thriving business begins with a dream, and every dream deserves a chance. At SEDFA, we are not just funding businesses — we are fueling hope, unlocking potential, and shaping the future of our nation, one entrepreneur at a time.



Mr Nkosikhona Mbatha
Acting Chief Executive Officer

30 September 2025

STATEMENT OF RESPONSIBILITY AND CONFIRMATION OF THE ACCURACY OF THE ANNUAL REPORT

To the best of my knowledge and belief, I confirm the following:

All information and amounts disclosed in the Annual Report is consistent with the Annual Financial Statements audited by Auditor-General South Africa.

The Annual Report is complete, accurate and is free from any omissions.

The Annual Report has been prepared in accordance with the guidelines on the annual report as issued by the National Treasury.

The Annual Financial Statements (Part F) have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS), and material accounting policies and the requirements of the Public Finance Management Act, 1999 (Act No.1 of 1999) (PFMA).

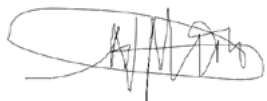
The Accounting Authority is responsible for the preparation of the Annual Financial Statements and for the judgements made in this information.

The Accounting Authority is responsible for establishing and implementing a system of internal control designed to provide reasonable assurance regarding the integrity and reliability of performance information, human resources information, and the Annual Financial Statements.

The external auditors are engaged to express an independent opinion on the Annual Financial Statements.

In our opinion, the Annual Report fairly reflects the operations, the performance information, the human resources information and the financial affairs of the public entity for the financial year ended 31 March 2025.

Yours faithfully,



Ms. Nonzuzo Makanda
Chairperson

30 September 2025



Mr Nkosikhona Mbatha
Acting Chief Executive Officer

30 September 2025

BOARD MEMBERS



Ms. Nonzuzo Makanda
Chairperson



Mr. Nkosikhona Mbatha
Acting Chief Executive Officer



Ms. Xoliswa Daku



Mr. Tembinkosi Bonakele



Mr. Waseem Carrim



Ms. Nontobeko Lubisi



Mr. Patrick Makape



Ms. Keabetswe Mogorosi



Ms. Cingashe Nogaya Motale



Mr. Sinovuyo Mpakama



Ms. Dorah Ntsika



Mr. Luyanda Ntuane



Mr. Avuyile Xabadiya



ACTING CHIEF FINANCIAL OFFICER STATEMENT

Ms. Candice Williams

The financial information included in this annual report relates to the three predecessor entities that were merged to form SEDFA for the first six months of the financial year and then the financial information of SEDFA for the subsequent six months, from the date of the merger. Financial statements were therefore prepared for the Small Enterprise Finance Agency (SOC) Ltd (sefa Group and Company), the Small Enterprise Development Agency (Seda) and the Cooperatives Bank Development Agency (CBDA) for the period 1 April 2024 – 30 September 2024. Then, financial statements were prepared for the Small Enterprise Development and Finance Agency (SOC) Ltd (SEDFA Group and Company) for the period 1 October 2024 – 31 March 2025.

External audits were carried out on all the financial periods and entities listed above. These results are summarised in the table below:

Entity	Reporting Framework	Audit opinion on the Financial Statements	Report on the audit of the annual performance report
sefa group – 1 April 2024 – 30 September 2024	IFRS Accounting Standards	Unqualified, no material findings	Auditors did not identify any material findings on the reported performance information for the selected outcomes.
Seda – 1 April 2024 – 30 September 2024	GRAP	Unqualified, no material findings	Findings related to performance indicators that were not well defined; reported achievements that did not agree with audit evidence. Details can be found in the audit opinion.
CBDA – 1 April 2024 – 30 September 2024	GRAP	Unqualified, no material findings	Auditors did not identify any material findings on the reported performance information for the selected outcomes

Entity	Reporting Framework	Audit opinion on the Financial Statements	Report on the audit of the annual performance report
Sedfa – 1 October 2024 – 31 March 2025	IFRS Accounting Standards	Unqualified, with findings due to the financial statements being submitted later than the PFMA requirements and material corrections made after issuing the draft financial statements. Details can be found in the audit opinion.	Findings related to the performance indicators that could not be verified by acceptable audit evidence and material misstatements in the reported performance information that could not be corrected.

An assessment was conducted for the Small Enterprise Development and Finance Agency (SOC) Ltd in respect of the appropriate accounting framework to be applied in accordance with Directive 12 of the Accounting Standards Board, *“The selection of an appropriate reporting framework by public entities* (Directive 12)”. In assessing the criteria within Directive 12, SEDFA (being a financial institution) would be required to apply IFRS Accounting Standards.

Through the process of the merger, the accounting information for Seda and CBDA was converted from GRAP to IFRS Accounting Standards. In preparing the annual financial statements for the merged entity, SEDFA, the entity concluded that the merger met the requirements of a business combination under common control. This is defined in IFRS 3 as “business combinations in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and that control is not transitory”. All three agencies (sefa, Seda and CDBA) and the newly created entity (SEDFA) are controlled and directed by the South African Parliament. As established above, the merger constitutes a business combination. Therefore, the merger meets the definition of a ‘business combination under common control’ and is excluded from the scope of IFRS 3.

Accordingly, an accounting policy was developed to account for the merger transaction in accordance with IFRS Accounting Standards. IFRS Accounting Standards do not provide specific requirements for accounting for business combinations under common control; however, certain accounting conventions commonly used in accounting for business combinations under common control were applied in the SEDFA financial statements. In accordance with standard practice SEDFA has selected an accounting policy to account for common control transactions by applying “predecessor accounting” prospectively from the date the merger was effective (1 October 2024) as follows:

- The assets and liabilities of the agencies (sefa, Seda and CBDA) transferred to SEDFA are recognised at the carrying values that they historically would have been recognised in accordance with IFRS Accounting Standards by the agencies (predecessor values) at the date of transfer (1 October 2024).
- No new goodwill is recognised.
- As a result, no comparative financial information is presented.
- The values transferred from the three predecessor entities are shown in the financial statements as “merger under common control”.

At the close of the financial year, the SEDFA group had a net asset value of R3.1 billion, a growth of 22% since the date of the merger. Total group assets amounted to R9 billion and total group liabilities of R5.9 billion.

	GROUP	COMPANY
	31 March 2025	31 March 2025
	R'000	
TOTAL ASSETS	9 001 997	7 912 501
EQUITY AND LIABILITIES		
Total equity	3 102 237	2 189 753
Total liabilities	5 899 760	5 722 748
TOTAL EQUITY AND LIABILITIES	9 001 997	7 912 501

At the end of FY2025, SEDFA received a total of R2.2 billion (year to date from 1 April 2024) from the fiscus for the programmes below. The majority of funds were obtained in the first half of the financial year.

Programme (Amounts in R'000)	Received up to September 2024	Received (1 October 2024 – March 2025)	Total Received in FY2025
Economic Recovery Programme/TREP	227 160	117 021	344 181
Small Enterprise Manufacturing Programme (SEMP)	258 765	8 056	266 821
Youth Challenge Fund	31 388	-	31 388
Co-operatives Development Support Programme	38 096	23 684	61 780
Asset Assist Programme	140 600	87 400	228 000
MTEF Allocation (Operations)	664 659	267 545	932 204
General Dealers	27 752	17 248	45 000
Product Markets	51 186	31 814	83 000
Energy Intervention	43 166	26 834	70 000
Technology programme	101 790	65 882	167 672
Capacity Building Programme for Economic Development	11 905	5 100	17 005
Total Receipts	1 596 467	650 584	2 247 051

SEDFA group cash balances were R6.0 billion, against the budgeted group cash balance of R3.8 billion. The higher-than-budgeted cash balances are due to the lower spending on disbursements and programme-related expenses for the financial period. The cash balance includes the MTEF allocation of R267.6 million received from the Dtic, National Treasury and DSBD. It should be noted that the group cash balances include Khula Credit Guarantee's (KCG) cash reserves, which are ring-fenced for indemnity on insurance contracts, which were R664.4 million at the end of FY2025. The group cash balances also include funding that is ring-fenced for programmes that the agency must implement; this cash may only be used for the purpose for which it was intended.

The group cash balance also includes restricted funds which are managed funds of R724 million. A corresponding liability of R724 million is included in the trade and other payables against this cash. SEDFA has been appointed by various third parties to manage funds on their behalf. These third-party funds are ring-fenced into separate accounts and are restricted. These funds can only be utilised for the specific purpose as determined in the Agreements between SEDFA and the third parties. SEDFA utilises the funds as instructed by the sponsor or donor. Details can be found in note 4.3.3 of the financial statements.



The loans and advances balance, after considering credit losses, amounted to R1.25 billion in March 2025, compared to the FY2025 budget of R1.42 billion. This represents a 6% (R76 million net increase) growth from 30 September 2024.

In terms of financial performance, the SEDFA group made a profit before tax of R625.5 million for the first six months of trading. This is the net result of interest from lending (R81.5 million), investment and other income (R269.6 million), movement on the Expected Credit Loss (ECL) provision (positive R66.8 million), grant income (R1 billion) and grant expenses (R153.6 million), as well as operational expenditure (R776 million). More detail on the grant income and grant expense is included in the table below:

Grant Income and Grant Expense	Group 31 March 2025 R'000	Company 31 March 2025 R'000
Grant income: Blended Finance	4 493	4 493
Grant income: Small Business and Innovation Fund	25 976	25 976
Grant income: European Union	5 206	5 206
Grant income: COVID-19 relief and post-economic recovery programmes	174 932	174 932
Grant income: Youth Challenge Fund	24 806	24 806
Grant income: Micro Finance	135 776	135 776
Grant income: Co-Op Development Support	94 957	94 957
Grant income: National Government (Operational funding)	144 156	144 156
Grant income: National Government (Specific business development support projects)	420 624	420 624
Grant income: Other provincial, local and district Government Units	-	-
Grant income: Specific projects	58 649	58 649
	1 089 575	1 089 575
Grant expense: Blended Finance	(4 493)	(4 493)
Grant expense: Small Business and Innovation Fund	(5 435)	(5 435)
Grant expense: COVID-19 relief and post-economic recovery programmes	(45 266)	(45 266)
Grant expense: Youth Challenge Fund	(3 681)	(3 681)
Grant expense: Co-Op Development Support	(94 745)	(94 745)
	(153 620)	(153 620)



Programme-related expenditure was lower than the budget, resulting in a positive variance of R524.8 million. There were challenges experienced by the BDS division regarding the finalisation of service providers and guidelines, resulting in delays in the implementation of the General Dealers programme. Furthermore, spending on the Asset Assist and Co-operatives Programme was mainly on the previous financial year's accruals; therefore, the budget for FY2025 was not fully utilised by the end of the financial year.

Personnel expenses remained below the budget with the variance of R51.1 million against the budget, as the organisational structure is still being finalised, and vacancies that were budgeted to be filled have not yet been filled. Other line items which contributed to the net profit position for the period are the additional investment income for the period, lower operational costs and underspending on the investment property portfolio.

Sedfa remains committed to carefully managing costs, and this is evidenced by the cost-to-income ratio of 59%. For the purposes of tracking performance, the cost to income ratio is calculated using year-to-date balances from 1 April 2024 to 31 March 2025 for the three predecessor entities and SEDFA.

The cost-to-income ratio at the end of FY2025 is 59% against the budget of 87%. The favorable ratio is due to lower-than-budget costs incurred and the higher-than-budgeted revenue for the period. The primary driver of the higher-than-budgeted income is investment income from cash balances and a higher share of equity profits from investments. Savings from programme-related costs, personnel costs due to vacancies not yet filled, and the lower investment property expenses for the period to date contributed to the lower expenses for the period.

A financially sustainable organisation is one of SEDFA's key outcomes for FY2027 and FY2028. This would be measured by a growth in the net asset value of the Sedfa group to R3.2 billion by FY2028 and a cost-to-income ratio of 84%. Key projects that would require financial resources include IT automation and consolidation of systems, consultation costs, marketing and advertising, repairs and maintenance in the properties' portfolio.



Ms Candice Williams

Acting Chief Financial Officer

30 September 2025



STRATEGIC OVERVIEW

The establishment of SEDFA on 1 October 2024, under the National Small Enterprise Amendment Act, consolidated the mandates and functions of Seda, sefa, and CBDA into a unified entity. This strategic integration reflects the government's commitment to reducing inefficiencies, enhancing service delivery, and driving impactful support for small enterprises. SEDFA embodies its vision to *"Empower South Africa's small businesses for inclusive growth, transformation, and sustainable employment."*

SEDFA is established in terms of the NSEAA, which amended specific provisions of the National Small Enterprises Act 102 of 1996 (as amended), the Co-operatives Act 14 of 2005 (as amended), and the Co-operative Banks Act 40 of 2007 (as amended). Other provisions of these acts still apply.

In terms of NSEAA and the Companies Act 71 of 2008 (as amended), the SEDFA Memorandum of Incorporation is lodged as a state-owned company with limited liability (SOC Limited). SEDFA is to conduct its business as a corporate entity with the state as its sole shareholder, represented by the Minister as Executive Authority, and act through its Board.

In terms of the PFMA, SEDFA is listed as a Schedule 3B Government Business Enterprise, assigned financial and operational authority to carry on its activities in accordance with ordinary business principles and with a dual developmental and commercial mandate. Services will be delivered directly and through intermediaries, while a carefully considered regional presence will be required.



Vision:

Empowering South Africa's small businesses for inclusive growth, transformation, and sustainable employment.



Mission:

To provide targeted financial and non-financial support to Micro, Small and Medium Enterprises, and Co-operatives, as well as to promote and coordinate South Africa's small enterprise development ecosystem.

This mission underpins our commitment to being a future-ready, financially sustainable agency that drives impactful outcomes for small enterprises.



Impact:

SEDFA aspires to create a future-ready, sustainable small enterprise sector that drives inclusive economic growth, promotes transformation and empowerment, and creates sustainable employment opportunities.

SEDFA subscribes to the following organisational values, I-CARE, which are in line with the Batho Pele principles:

SEDFA Values	What it means in practice
I-CARE	
I: Integrity	• We uphold integrity through transparent practices, open and honest communication, and ethical decision-making. • We strive at all times to build trust and credibility within the agency and with our ecosystem partners.
C: Customer-centric excellence	• We place the customer at the centre of all our actions by listening, understanding and addressing the evolving needs of small enterprises. • We strive for excellence by creating an enabling environment and consistently providing tailored support and solutions at all entry points of the business growth path.
A: Agility	• We create a supportive and nurturing environment that encourages persistence, agility, and adaptability among entrepreneurs, empowering them to navigate challenges, seize opportunities, and thrive in a dynamic business landscape. • We act with speed and urgency in delivering support to small enterprises, ensuring that our efforts contribute to the NDP's goal of generating the majority of new jobs through small enterprises.
R: Resilience	• We seek to proactively recover from setbacks, and to marshal available resources, ask for help when needed, and find ways to manage challenging situations as they arise. • We use our integrated systems to assess our environment and to identify and assess risks and vulnerabilities, and then implement strategies to mitigate, transfer, or manage risks.
E: Entrepreneurial passion	• We are solutions-driven and demonstrate unwavering passion for fostering entrepreneurship, igniting the spark of innovation, and driving meaningful change within the enterprise development ecosystem. • We create an enabling environment for co-operative banking institutions to deliver community-driven financial solutions that empower members to collectively build prosperous and sustainable local economies.



LEGISLATIVE AND OTHER MANDATES

UPDATES TO THE RELEVANT LEGISLATIVE AND POLICY MANDATES

There are no updates to the legislative and policy mandates presented in SEDFA's Strategic Plan for 2025–2030, which reflects the following.

Updated Legislative Mandates

SEDFA's constitutional mandate stems from the Constitution of the Republic of South Africa, 1996, which requires all government entities to work collaboratively to address social and economic challenges, including poverty, inequality, and underdevelopment. Key constitutional provisions guiding SEDFA include cooperative governance, the promotion of equality, and the support of economic growth and job creation through small enterprise development.

SEDFA is established in terms of the NSEAA, which amended certain provisions of the National Small Enterprises Act 102 of 1996 (as amended), the Co-operatives Act 14 of 2005 (as amended), and the Co-operative Banks Act 40 of 2007 (as amended). Other provisions of these acts still apply.

In terms of NSEAA and the Companies Act 71 of 2008 (as amended), the SEDFA Memorandum of Incorporation is lodged as a state-owned company (SOC) with limited liability (SOC Limited). SEDFA is to conduct its business as a corporate entity with the state as its sole shareholder, represented by the Minister as Executive Authority, and act through its board.

The NSEAA defines a "small enterprise" as a separate and distinct business entity, together with its branches or subsidiaries, including a co-operative, co-operative financial institution, or a co-operative bank managed by one owner or more, and conducting its business in any sector or subsector of the economy mentioned in the 2019 schedule, and classified as micro, small or a medium enterprise by satisfying the criteria mentioned in the 2019 schedule.

Using this definition, the term "small enterprise" is a term used throughout this document to collectively include small, medium and micro enterprises (SMMEs)/micro, small, and medium enterprises (MSMEs) and all forms of co-operatives.

In terms of the Public Finance Management Act (PFMA), SEDFA is listed as a Schedule 3B Government Business Enterprise, assigned financial and operational authority to carry on its activities in

accordance with ordinary business principles and with a dual developmental and commercial mandate. Services will be delivered directly and through intermediaries, while a carefully considered regional presence will be required.

The PFMA Schedule 3B listing confers on SEDFA a limited degree of autonomy, as well as the fiduciary and other responsibilities reflected in Section 9 of the Companies Act. All prescripts and regulations arising from the PFMA apply to SEDFA's governance and operations.

The entity will be financed substantially from sources other than the Revenue Fund and its funds will consist of:

1. Money appropriated by Parliament.
2. Grants, donations, and bequests made to the agency.
3. Income gained through investment of monies; and
4. Money is lawfully obtained or raised by the agency from any other source.

The board of a Schedule 3B enterprise can borrow but needs explicit authorisations to borrow from the Minister of Finance by notice in the government gazette, and must submit an annual borrowing plan and comply with any conditions imposed by the Minister.

In accordance with Section 49 of the PFMA, the SEDFA Board is the accounting authority, responsible for inter alia, providing strategic direction and oversight to enhance shareholder value and ensure long-term sustainable development; safeguarding assets; and managing revenue, expenditure, and liabilities.

In terms of NSEAA Section 13, in the exercise of its powers and the performance of its functions, the Board must:

1. Implement the policy of the national government for small enterprise development, inclusive of both financial and non-financial support services.
2. Design and implement a standard national delivery network that must uniformly apply throughout the Republic of South Africa in respect of small enterprise development.
3. Design and implement small enterprise development support programmes to:
 - a) Facilitate the building of sustainable and competitive small enterprises.

- b) Facilitate the promotion of entrepreneurship.
 - c) Facilitate the creation of an enabling operating environment for small enterprises.
 - d) Facilitate access by small enterprises to financial resources, non-financial resources, capacity building services, products, and services.
 - e) Promote participation of historically disadvantaged people in small enterprises.
 - f) Facilitate international and national market access for products and services of small enterprises.
 - g) Foster partnerships across all spheres of government, the private sector, and relevant stakeholders to assist the agency in achieving its objectives.
 - h) Promote a service delivery network to facilitate access and outreach to development support for small enterprises.
 - i) Facilitate and coordinate research relating to small enterprise support programmes.
 - j) Provide support in the implementation of the Small Enterprise Development Policy.
 - k) Cooperate with and assist, including through providing information, the Financial Sector Conduct Authority and the Prudential Authority as defined in Section 1(l) of the Financial Sector Regulation Act 9 of 2017, in dealing with matters of mutual interest.
 - l) At the request of the Minister, investigate, advise on, and comment on the effect of existing legislation and the impact of proposed legislation on small enterprises; and
 - m) Improve the understanding of the public regarding the contribution of small enterprises to domestic economic growth, job creation, and general welfare.
4. Establish provincial structures to ensure the effective implementation of its functions; and
 5. Conduct a public and transparent process, through its nominations committee, to make recommendations for appointments to the board based on a matrix of skills, experience, and diversity, which, when considered collectively, enable them to attain the agency's prescribed objectives.



Further to the above, various legislation and regulations inform SEDFA’s core operations and its governance and institutional arrangements are listed in the table below.

TABLE 1: KEY LEGISLATION

Key legislation informing how the mandate must be delivered	• Banks Act,1990 (No 94 of 1990) and the Banks Act Exemption Notice (2014) • Businesses Act,1991 (No 71 of 1991) as amended • Companies Act, 2008 (No 71 of 2008) as amended • Consumer Protection Act, 2008 (No 68 of 2008) as amended • Financial Sector Regulation Act, 2017 (No 9 of 2017) • Financial Services Laws General Amendment Act, 2013 (No 45 of 2013) • Financial Advisory and Intermediaries Services Act, 2002 9 (No 37 of 2002) as amended • Financial Intelligence Centre Act (FICA, 2001 (No 38 of 2001) as amended • Insurance Act, 2017 (No 18 of 2017) as amended • National Credit Act, 2005 (No 34 of 2005) as amended • National Small Enterprise Amendment Act,2024 (No 21 of 2024) • Prescription Act, 1969 (No 68 of 1969) as amended • Property Practitioners Act, 2019 (No 22 of 2019) • Protection of Personal Information Act, 2013 (No 4 of 2013) as amended • Public Finance Management Act, 1999 (No 1 of 1999) as amended
Key legislation related to governance and institutional arrangements	• Basic Conditions of Employment Act,1997 (No 75 of 1997) as amended • Broad-Based Black Economic Empowerment Act, 2003 (No 53 of 2003) as amended • Electronic Communications and Transactions Act, 2002 (No 25 of 2002) as amended • Employment Equity Act, 1998 (No 55 of 1998) as amended • Income Tax Act, 1962 (No 58 of 1962) as amended • Labour Relations Act, 1995 (No 66 of 1995) as amended • National Archives and Records Services of South Africa Act (No 43 of 1996) as amended • Occupational Health and Safety Act, 1993 (No 85 of 1993) as amended • Preferential Procurement Policy Framework Act, 2000 (No 5 of 2000) as amended • Prevention and Combating of Corrupt Activities Act (No 12 of 2004) as amended • Promotion of Access to Information Act, 2000 (No 2 of 2000) as amended • Promotion of Administrative Justice Act, 2000 (No 3 of 2000) as amended • Promotion of Equality and Prevention of Unfair Discrimination Act, 2000 (No 4 of 2000) as amended • Public Audit Act, 2004 (No 25 of 2004) as amended • Skills Development Act, 1998 (No 97 of 1998) as amended

UPDATES ON INSTITUTIONAL POLICIES AND STRATEGIES

The abovementioned legislation and acts are not exhaustive, and it is recognised that SEDFA is subject to and must comply with all legislation, regulations, and all municipal bylaws applicable to its functions or the areas in which it operates. To ensure ongoing compliance, SEDFA will conduct a regular review of the legislative and regulatory environment.

Updated Policy Mandates

Various policy and strategy frameworks inform how SEDFA should implement its legislative mandates. The policies have direct bearing on the strategic focus areas and priorities of the SEDFA, notably:

1) The United Nations' 2030 Agenda for Sustainable Development and the 17 Sustainable Development Goals (SDGs) (2015)

The United Nations' sustainable development agenda recognises that poverty eradication initiatives should be linked to strategies for improving health and education, reducing inequality, and promoting economic growth, while addressing challenges related to climate change. As a development finance agency, SDGs 1, 8, 9, and 13 align with SEDFA's main priorities, while SDG 16 is indirectly supported by the core activities. Goal 8 emphasises the importance of encouraging the growth of SMMEs to promote inclusive and sustainable development, full and productive employment, and decent work for all.

2) The African Union Agenda 2063 (AU2063) (2015)

AU2063 aims to harness the continent's comparative advantages to achieve equitable and people-centred social, economic, and technological transformation, as well as the eradication of poverty. While it focuses on Africa's aspirations for the future, it also identifies critical flagship programmes to boost Africa's economic growth and development, ultimately leading to the continent's rapid transformation.

As a flagship project of AU2063, South Africa is a party to the African Continental Free Trade Agreement (AfCFTA), which took effect on 1 January 2021. While, in terms of its Credit Risk Policy, SEDFA is restricted from cross-border lending, it is aware of the immense opportunities that the AfCFTA presents for South African small enterprises. SEDFA will actively explore opportunities to work with the Department of Trade, Industry and Competition (the dtic), through, for example, the Export Readiness Programme, to support small enterprises to access regional markets.

3) NDP, Vision 2030 (2012)

The National Development Plan (NDP) is South Africa's long-term strategy to eliminate poverty, reduce unemployment, and significantly lower inequality by 2030. It emphasises collaboration between government, business, and society.

SEDFA's role aligns with Chapters 3 and 6 of the NDP, focusing on:

- Economic growth and job creation
- Inclusive rural development
- The NDP targets the creation of 11 million jobs by 2030, with 90% expected from small enterprises and start-ups.

This guides SEDFA's strategic support toward early- and growth-stage small businesses, especially in high-potential sectors.

Inclusivity is key to SEDFA's approach, prioritising:

- Underserved communities (townships and rural areas)
- Enterprises owned by women, youth, and persons with disabilities (PWDs).

4) MTDP 2024-2029

Following the 2024 national and provincial elections, the newly formed Government of National Unity issued a Statement of Intent, outlining the foundational principles and priorities for the 7th Administration. These priorities include rapid and inclusive economic growth; social justice; investment in people; local government stabilisation; strengthening state capacity; enhancing law enforcement and national security; enhancing social cohesion; and advancing a foreign policy rooted in human rights, international cooperation, and advancing South Africa's interests.

As pronounced by the President in the Opening of Parliament Address on 18 July 2024, the 7th Administration, and the MTDP 2024-2029 are focused on three strategic priorities, namely:

- Strategic Priority 1:** Drive inclusive growth and job creation.
- Strategic Priority 2:** Reduce poverty and tackle the high cost of living.
- Strategic Priority 3:** Build a capable, ethical and developmental state.

SEDFA contributes directly to outcomes and interventions reflected in Strategic Priority 1 and Strategic Priority 3 as follows:

- Strategic Priority 1:** Drive inclusive growth and job creation. The desired impact is to increase economic growth to 3.5% by the end of term and to reduce unemployment to 27.5% by creating four million jobs.

SEDFA supports rapid and sustainable economic growth and job creation by providing financial and non-financial support to small enterprises, particularly focusing on township economies, rural development, and increased economic participation for disadvantaged groups like women, youth, and PWDs. Through its support for small enterprises, SEDFA helps to create more equitable access to resources and economic opportunities, which can lead to improved living conditions.

b) **Strategic Priority 3:** Building a capable, ethical, and developmental state. SEDFA will ensure sound governance, sustainability and efficiency in its operations. SEDFA intends to build a future-ready agency, one that is agile and adaptable to a rapidly evolving small enterprise landscape, driven and enabled by digital technology.

5) National Spatial Development Framework 2050 (2022)

Under the theme: “Moving South Africa forward towards the desired spatial future”, the National Spatial Development Framework 2050 sets out an action plan to bring about radical spatial transformation at scale and manage and mitigate national risks (current and emerging). It proposes a set of five national spatial action areas, which require urgent, focused, and integrated national spatial infrastructure investment and spending; and concerted and sustained intergovernmental collaboration, including the alignment of plans, budgets, and departmental plans in and between the spheres of government.

6) The District Development Model (2019)

The District Development Model (DDM) aims to create a cohesive government capable of developing and communicating a shared vision for national development, structured by the needs and opportunities within district and metropolitan areas (intergovernmental relations impact zones). It focuses on establishing agreed spatial and development priorities within these areas, backed by credible, long-term planning, capital investment, project preparation, financing, and implementation. The DDM “One Plan” serves as an intergovernmental plan to coordinate catalytic programmes and projects for each district and metropolitan. Regulations issued in May 2024 under the Intergovernmental Relations Framework Act institutionalise the DDM within the intergovernmental relations system, promoting joint planning, budgeting, implementation, and monitoring. It encourages collaboration across government spheres, the private sector, and social partners, including guidelines for SEDFA to coordinate integrated small enterprise support.

a) District Ecosystem Facilitation Model

The District Ecosystem Facilitation (DEF) Model, previously implemented under the DDM by Seda, will be reviewed and enhanced as part of SEDFA’s ecosystem facilitation role. SEDFA aims to establish itself as a key coordinator of private and public sector business development support and financial services, driving synergy and efficiency within the small enterprise development ecosystem.

7) National Climate Change Response Policy

The NCCRP is derived from the 2011 White Paper. It outlines the South African Government’s vision for an effective climate change response and the long-term just transition to a climate-resilient and lower-carbon economy and society. The NCCRP is given further impetus by the National Climate Change Adaptation Strategy, published in 2020, which supports the country’s ability to meet its obligations in terms of the Paris Agreement on Climate Change.

8) Just Transition Framework for South Africa (July 2022)

The Presidential Climate Commission published the Just Transition Framework in July 2022. The Just Transition Framework aims to bring coordination and coherence to just transition planning in the country. It sets out a shared vision for the just transition, principles to guide the transition, and policies and governance arrangements to give effect to the transition. There is, however, no ‘one size fits all’ approach to the just transition, and all social partners will need to design their own policies and programmes in line with their specific conditions, responsibilities, and realms of influence based on the vision, principles, and interventions articulated in the framework.

9) Key regulatory, governance, and accountability frameworks and standards, notably:

- a) The **International Integrated Reporting Framework (<IR>)** is a structured tool that enables companies to communicate their strategies for addressing external environmental challenges and generating shareholder value. The framework promotes a comprehensive and efficient approach to corporate reporting and emphasises accountability, integrated decision-making, and actions aimed at value creation across short-, medium-, and long-term horizons.
- b) The **Global Reporting Initiative Environment, Social and Governance (ESG) Framework** is underpinned by a focus on responsible global citizenship, as ESG issues are no longer standalone considerations but influential factors in corporate

investment decisions. Transparency in disclosing ESG data is crucial, offering benefits like risk mitigation, streamlined operations, and regulatory compliance.

- c) The **International Financial Reporting Standards (IFRS)**, issued by the International Accounting Standards Board, aim to create consistency, transparency, and comparability in the financial statements of public companies globally. SEDFA adheres to IFRS standards in its annual financial reporting.
- d) The **King IV Code on Corporate Governance for South Africa, 2016**, sets out the philosophy, principles, practices, and outcomes which serve as the benchmark for corporate governance in South Africa. It is modelled on the <IR> and promotes corporate governance outcomes through principles like leadership, organisational ethics, and responsible citizenship. The code employs an ‘apply and explain’ approach, guiding companies in strategic decision-making, policy approval, and accountability oversight.

- e) The **Protocol on Corporate Governance in the Public Sector, 2002**, aims to instil sound governance principles in South African state-owned enterprises. While aligned, unlike the King Code, the protocol focuses solely on public sector entities, emphasising their unique mandate in achieving government developmental objectives. The protocol seeks to amplify and not supersede the King Code, and the protocol should, in fact, be read in conjunction with the King Code.
- f) The **Revised Framework for Strategic Plans and Annual Performance Plans (DPME, 2019)** provide a structured approach for public institutions to plan, implement, and monitor their performance using a results-based management approach. It enables **SEDFA** to demonstrate its value through measurable impacts and outcomes, such as small enterprise growth, job creation, and enhanced economic inclusion.

The policy and strategy mandates guiding SEDFA are as follows:

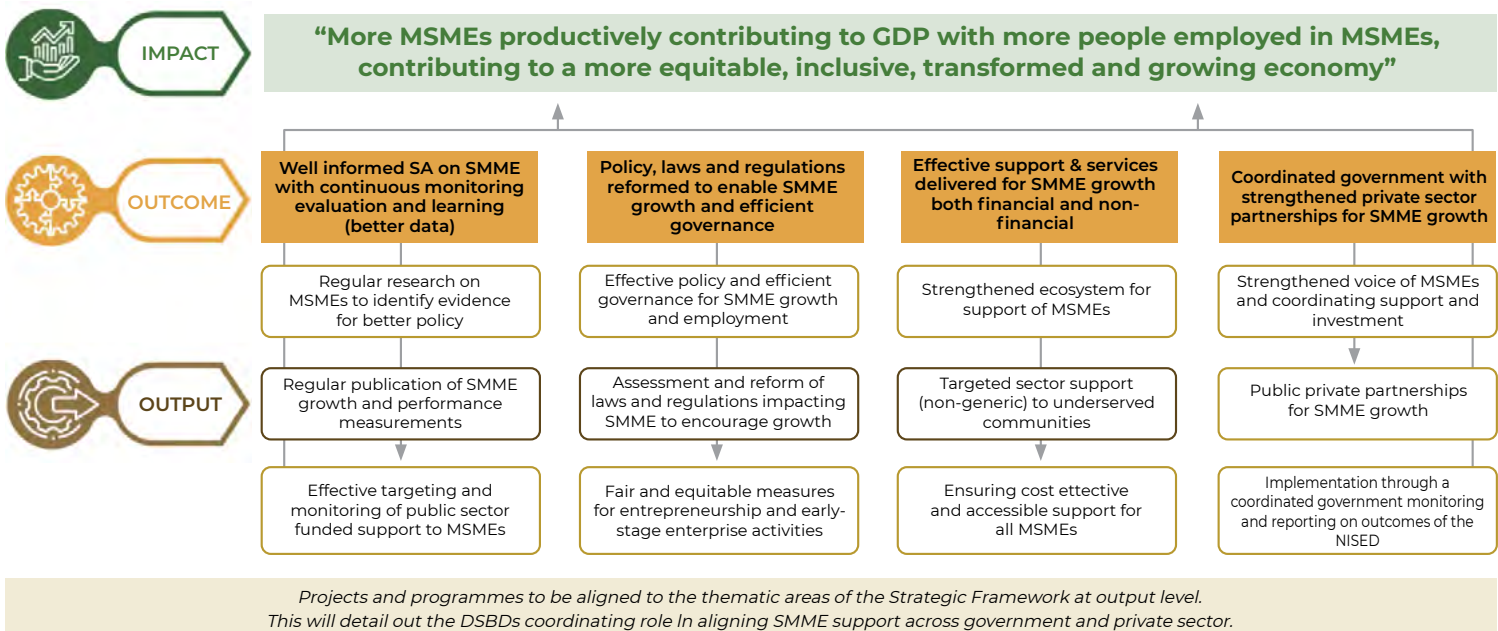
Informing Policy or Strategy	Key Considerations
The National Integrated Small Enterprise Development Strategic Framework	The NISED Strategic Framework (published by the Minister of Small Business Development in the Government Gazette, dated 17 February 2023) forms the third iteration of the high-level strategic framework of small enterprise development and targeted support, following the White Paper in 1995, the Integrated Strategy for the Promotion of Entrepreneurship and Small Enterprise (ISPESE) in 2004, and the Improvement Plan developed in 2019 post the ISPESE’s evaluation. The NISED Strategic Framework represents the next ten-year strategic approach, commencing November 2022, to facilitating the promotion of entrepreneurship, growth, and support of small enterprises in line with the NDP targets to assist small businesses. The NISED Strategic Framework represents the “National Small Business Support Strategy” as contemplated in the NSEAA, aligning with the principles and directives contained in the founding White Paper. It is an outcomes-based strategic support framework for all actors to coordinate, measure, track, and monitor their efforts. The measurement of committed programmes will be reviewed and revised at the national Presidential summits held every two years. While the NISED Strategic Framework is presented as a living document, its strategic framework, including the vision, mission and outcomes, will remain constant over its lifespan. The overarching objective of all the programmes of action contained in the strategic framework is to contribute to significantly raising the contribution of economic output and labour absorption in the real value of MSMEs. The impact envisaged by the NISED Strategic Framework will be realised through four outcomes and 12 outputs, reflected in the strategy map below.

The policy and strategy mandates guiding SEDFA are as follows: *continued*

Informing Policy
or Strategy

Key Considerations

NISED Strategic Framework



Co-operatives Sector
Policy and Strategy
Frameworks

The **Co-operatives Development Policy, 2004**, and the **Integrated Strategy on the Development and Promotion of Co-operatives, 2012**, together aim to move towards a growing, self-sustainable, and integrated co-operative sector, supported by all stakeholders and contributing to economic growth, poverty reduction, and employment creation, as well as assisting in bringing about economic transformation and an equitable society in South Africa. They acknowledge that a genuine, autonomous, and economically viable co-operative movement and its membership have vast development potential to contribute towards the country's socioeconomic challenges.

The **Co-operative Banking Sector Development Strategy, 2021**, seeks to promote economic and financial inclusion for workers and mixed-income communities through a niche and quality approach to co-operative banking, rather than viewing co-operative banking as a stepping stone to becoming commercial banks. The strategy sets a target of serving 400,000 workers and mixed-income community members by 2030, up from circa 29,000 in 2020. Achieving this will require products, systems, funds, and channels.

There are three main pillars of the strategy, which are necessary to grow co-operative banking, namely:

- 1) Value-added products and systems.
- 2) Robust sources of funds; and
- 3) Digital delivery channels.

The implementation of the defined action items related to these pillars is critical to implement the Co-operative Banking Strategy effectively.

The policy and strategy mandates guiding SEDFA are as follows: *continued*

Informing Policy or Strategy	Key Considerations
South African MSMEs and Co-operatives Funding Policy	Approved by cabinet on 20 September 2024, the policy objective is to provide a holistic, coordinated, and pragmatic framework for strengthening the provision of development finance towards the sector with a view to improving access to finance for small enterprises. SEDFA is delegated the lead responsibility for two outputs: 1. Improve business development support by implementing the IBDS Policy (currently in draft) and increasing the number of incubators and digital and online hubs to cover underserved and unserved areas, such as townships and rural areas. 2. De-risking small enterprise finance through credit guarantees. It includes a review of KCG to make it more effective and responsive, recapitalising KCG, and diversifying credit guarantees into other sectors, such as the green economy and essential oils.
Incubation and Business Development Services Policy Framework	SEDFA's alignment with the IBDS Policy Framework is critical to addressing the fragmented and inconsistent support system currently impeding small enterprises. The framework identifies the need for a coordinated, outcome-driven approach that increases the participation, scalability, and competitiveness of small enterprises, particularly in underserved regions. SEDFA will play a pivotal role in advancing the policy's intermediate outcomes, namely: 1. Improved coordination across government and private sector stakeholders, leading to more <i>cohesive and effective service delivery for small enterprises</i>. 2. Increased participation of small enterprises from underserved areas in IBDS, <i>leading to increased participation in economic activities and narrowing gaps in service delivery</i>. 3. Targeted, sector-specific IBDS that addresses industry needs and growth stages, <i>leading to faster scaling, improved innovation, and greater competitiveness</i>. 4. Improved standardisation and quality of IBDS service provision, <i>aligned with global best practice</i>. SEDFA's leadership role in the NISED Strategic Framework, particularly outcome 3, positions it as the primary agent to unify the IBDS ecosystem. By leveraging innovative models, such as sector-focused business incubators, digital hubs, and accelerators, SEDFA should include initiatives in its strategic plan to enhance market readiness, digital capabilities, and growth potential for small enterprises. This effort is directed at empowering small enterprises to scale, compete globally, and contribute meaningfully to economic growth, poverty alleviation, and job creation, while advancing a culture of innovation and entrepreneurship across South Africa.



SEDFA PRODUCTS AND SERVICES

SEDFA supports MSMEs on both non-financial and financial business development services.

Non-financial business development support/services offer a broad range of services, including incubation support, quality and standards enhancement, asset assistance, co-operative enterprise development, and tailored business training. SEDFA also provides customised solutions, such as marketing materials and business plans, to address the specific needs of small enterprises. In response to national disasters, BDS develops bespoke interventions to support affected enterprises.

SEDFA advances its commitment to expanding financial inclusion and advancing economic transformation in underserved communities by supporting the digitisation, capacity building, and regulatory compliance of Co-operative Banking Institutions (CBIs). SEDFA strengthens these institutions to be accessible, community-focused financial service providers and key intermediaries in small enterprise development.

The purpose of SEDFA's support for co-operative banking institutions (CBIs) is to empower them as essential drivers of financial inclusion and community-based economic development. This involves raising awareness and promoting the co-operative banking model to encourage participation and growth, while providing pre-registration support to ensure compliance with regulatory requirements. SEDFA facilitates the operationalisation of CBIs within the Prudential Authority's prescripts, promoting governance, stability, and sustainability.

Through the delivery of customised technical support services, SEDFA addresses the unique needs of CBIs, enabling them to enhance their operations and impact. Access to SEDFA's capital and funding solutions will strengthen their financial resilience, while promoting digitisation and technology adoption to help modernise their systems and improve service delivery. Additionally, SEDFA supports CBIs by facilitating access to the National Payment System, positioning them as contributors to the broader financial sector, and advocating for the establishment of a National Secondary Co-operative Bank to create a strong institutional framework for the sector.

Financial Support - SEDFA's Lending and Investment programme expands financial access to small enterprises through a dual-fund approach, comprising a Development Fund and a Commercial Fund, delivered via both direct and indirect financing channels.

The Development Fund focuses on supporting micro and small enterprises, particularly in underserved market segments, by providing affordable and flexible financing solutions that incorporate a developmental risk premium. The Commercial Fund targets commercially viable enterprises, offering market-aligned financing to drive growth through priority sector, high-impact projects, while maintaining financial sustainability. This integrated approach ensures tailored support for diverse funding needs across the small enterprise sector while striving to maintain SEDFA's financial sustainability.

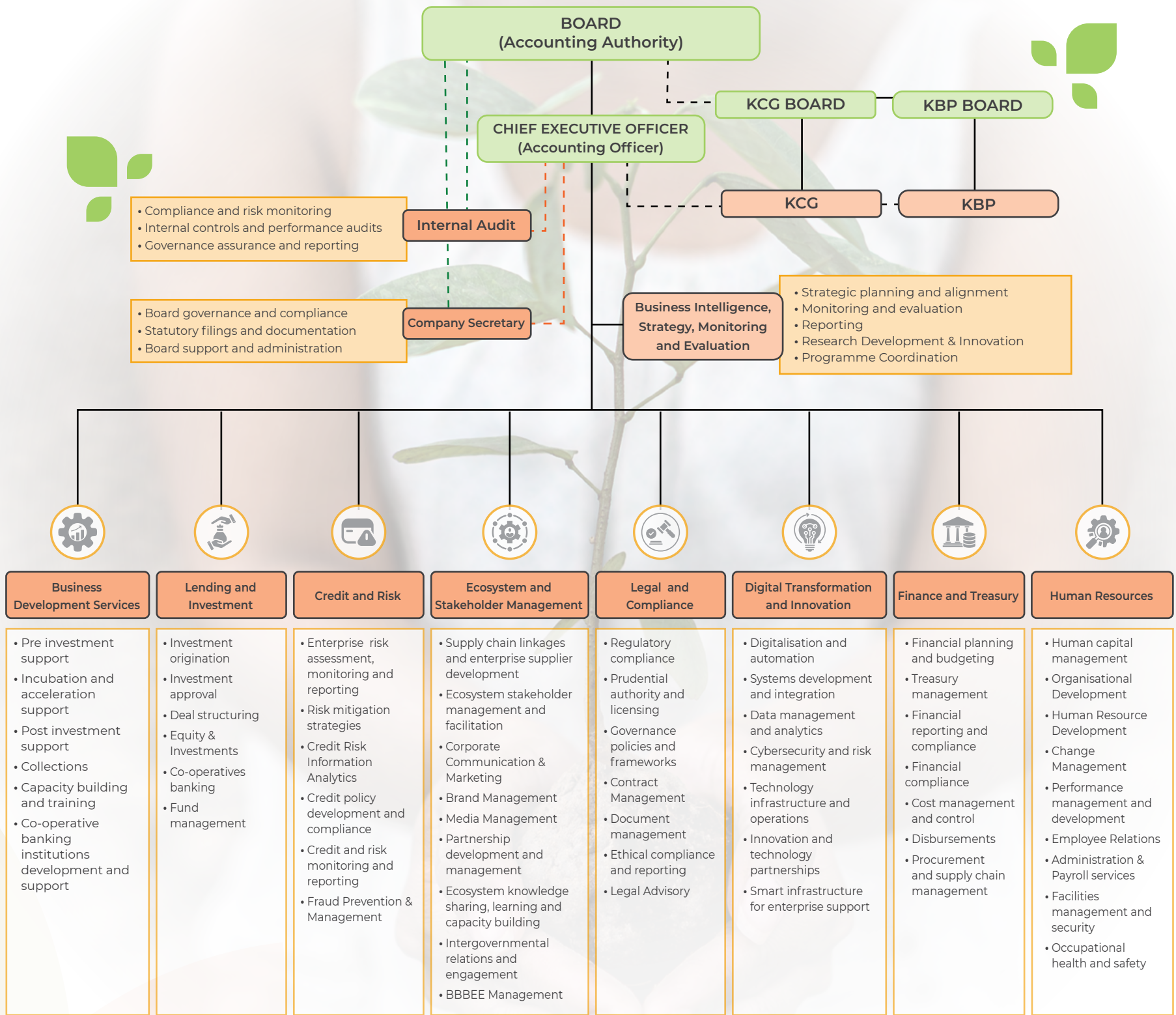
Key achievements over the period include broadening loan disbursements facilitated by the lending channels, integration of non-financial services such as mentoring, and alignment with national economic development frameworks. Despite these accomplishments, challenges such as subdued economic demand, capacity constraints and high default rates slowed target achievement, particularly for youth enterprises.

To address these challenges, SEDFA is enhancing client-centric digital platforms, strengthening partnerships, expanding rural outreach, and balancing rigorous risk management with flexible lending products. The agency remains committed to empowering South Africa's small enterprises through innovative, inclusive financing and comprehensive support services to stimulate growth and job creation.

An expanded credit guarantee system, Khula Credit Guarantee (KCG), enables small enterprises to secure loans through a broader range of finance providers to facilitate greater access to capital. KCG has been instrumental in attracting co-investment from both public and private financial institutions by leveraging capital through the Credit Guarantee mechanism.

SEDFA extends its reach to rural-based entrepreneurs by utilising information kiosks and mobile units in remote areas. In areas where it does not have a direct presence, the organisation collaborates with local municipalities and ecosystem partners by sharing premises. As of 31 March 2025, SEDFA operated in nine (9) Provincial Offices, sixty-five (65) Branches, sixty-four (64) Access Points, and twenty-three (23) Co-locations — including nine (9) with other ecosystem partners. Furthermore, the organisation supported 110 Incubation Centres, which include Centres for Entrepreneurship and Rapid Incubation (CfERI).

SEDFA FUNCTIONAL STRUCTURE AS APPROVED BY THE BOARD OF DIRECTORS









PART B

PERFORMANCE INFORMATION

OVERVIEW OF PERFORMANCE

Service delivery environment

The 2024/25 financial year unfolded in a subdued economic environment, with South Africa recording GDP growth of just above 1%. Inflation remained elevated due to food and energy costs, while unemployment persisted at crisis levels, with the overall rate above 32% and youth unemployment exceeding 45%. These conditions placed severe pressure on households and businesses, particularly small enterprises that anchor livelihoods and job creation across the country.

Despite these headwinds, Micro, Small, and Medium Enterprises (MSMEs) reinforced their role as the backbone of the economy. The sector contributed an estimated 35% of GDP, supported nearly 50% of formal employment, and remained the largest source of new jobs. MSMEs were active across diverse industries (manufacturing, agro-processing, agriculture, tourism, trade, construction, and services), while increasingly venturing into high-growth areas such as e-commerce, fintech, and health innovation. Their contribution was evident in township and rural economies, where they sustained livelihoods, stimulated demand, and broadened economic participation.

However, structural barriers continued to limit the sector's potential. More than 70% of microenterprises remained informal, constraining access to markets and finance. Microenterprises with turnovers below R1 million dominated funding demand yet faced exclusion from formal credit systems, with almost 50% of owners carrying poor credit scores. Although black-owned enterprises accounted for more than 80% of funding requests, women-owned enterprises remained underrepresented, with targeted financial support for them declining by 33% during the period.

Organisational environment

The establishment of the Small Enterprise Development and Finance Agency (SEDFA) on October 1, 2024, marked a milestone in institutional support for the sector. By integrating financial and non-financial services, SEDFA provided a comprehensive platform for enterprise growth, resilience, and formalisation. Through tailored funding instruments, capacity-building programmes, and sector-specific interventions, SEDFA supported thousands of enterprises across the country. These initiatives cushioned businesses from the effects of load-shedding, rising costs, and market volatility, while strengthening their competitiveness and integration into value chains.

Looking ahead, SEDFA will scale its efforts to expand access to finance, drive digital transformation and innovation, and deepen MSME participation in domestic and regional markets. In alignment with the National Development Plan and the Economic Reconstruction and Recovery Plan, SEDFA will continue to position MSMEs and cooperatives as transformative drivers of inclusive growth, employment creation, and long-term economic sustainability.

Key policy developments and legislative changes

SEDFA has adopted a few policies as a Schedule 3B entity. These policies are mentioned on pages 27-34.



INSTITUTIONAL PROGRAMME PERFORMANCE INFORMATION

Introduction to SEDFA Performance

SEDFA was established on 01 October 2024, with the primary purpose of fostering the growth and sustainability of the MSMEs and cooperatives. The Board approved SEDFA's six-month Annual Performance Plan on 01 October 2024, which consolidated the mandates of the three predecessor institutions that formed SEDFA, namely, Small Enterprise Development Agency (Seda), Small Enterprise Finance Agency (sefa) and Co-operative Banks Development Agency (CBDA). Over this period, SEDFA has been instrumental in implementing various interventions aimed at enhancing the capabilities of MSMEs through targeted programmes, as highlighted in the performance tables below. In addition, SEDFA focused on creating an agile and customer-centric organisation to enhance its impact.

Outcome 1: Increased Growth and Sustainability of MSMEs and Co-operatives

The purpose of this outcome is to measure the support provided to MSMEs and Co-operatives operating in townships and rural villages. The support is given in the form of the provision of necessary skills and tools to enhance entrepreneurs' business production capacity and sustainability. Examples include incentives for quality and compliance standards, product testing and certification, assistance in acquiring assets (such as equipment & machinery), raw materials, and stock. The impact on these offers is realised by increased turnover, the number of jobs created, and the number of jobs sustained. In instances where the indicator targets are not met, the reasons for underperformance will be given, including mitigation measures put in place to address.

APP contribution to Outcome 1		
Institutional Outcomes	APP Contribution	
Increased growth and sustainability of SMMEs and Cooperatives	✓ Township & Rural economic development ✓ Business Development Support ✓ Training Mentorship and Coaching ✓ Cooperative Development Support ✓ Quality interventions ✓ Productivity improvements	
Significant achievements under Outcome 1 include 30 363 enterprises based in the township and rural areas that were supported and 32 509 businesses were supported with training, coaching and mentorship.		
Priority Group Response: Outcome 1		
Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Women	• SEDFA provided support to women-owned businesses through a range of interventions, including assistance with funding applications, financial management training, cooperative development, basic business skills training, asset support, quality improvement initiatives, and productivity enhancement.	• The organisations' performance in supporting women-owned businesses was above the set target of 40%. • Continuous support for women owned business to ensure their growth and sustainability.

Priority Group Response: Outcome 1 *continued*

Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Women <i>continued</i>	• In celebration of Women's Month, several events were hosted to honour women in business, featuring networking sessions and opportunities for collaboration. • Out of the 70 082 businesses supported, 55% (38 172) are women-owned.	
Youth	• Throughout the year during the pre- and post-merger, the organisation hosted a range of youth-focused events, with the majority taking place in June to coincide with Youth Month. These included initiatives such as product development workshops, funding pitch sessions, pop-up markets, and trade exhibitions, among others. • Out of the 70 082 businesses supported, 43% (29 782) are youth-owned.	• The organisation's performance in supporting youth-owned businesses was above the set target of 30%. • In the new financial year, the organisation will continue to engage youth organisations to understand youth needs and the type of new businesses that require Seda support.
People with disabilities	• The organisation identified several stakeholders working with people with disabilities, intending to provide support for non-financial business management. • Out of the 70 082 businesses supported, 4% (2 885) are owned by people with disabilities.	• The organisation aims to enhance its efforts in identifying people with disabilities, particularly through various business forums, who are interested in starting small enterprises, and to provide them with structured support. • In the new financial year, SEDFA will aim to recruit people who can provide training to people with special needs and also source material which can be used by people with disabilities, e.g. blind people.



The tables below provide performance achieved against predetermined targets.

Outcome 1: Performance Achievements

Outcome 1: Increased Growth and Sustainability of MSMEs and Co-operatives

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ¹	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
Township and rural-based MSMEs and co-operatives support facilitated	Number of township and rural-based businesses supported with business development	23 549	18 850	9 350	15 329	30 363	11 513
	Number of township and rural MSMEs assisted with the Asset Assist Support Programme	Not measured in 2023/24	1 000	600	0	401	-599
	Number of township and rural MSMEs assisted with the General Dealer Support Programme	Not measured in 2023/24	150	150	0	0	-150
Priority sector support facilitated	Number of MSMEs and co-operatives supported in priority sectors with non-financial business development to scaleup their businesses	119	100	70	84	147	47
Growth and sustainability of MSMEs and co-operatives facilitated	Number of MSMEs and co-operatives supported with business development	2 970	2 500	1 250	2 143	4 145	1 645
	Number of MSMEs and co-operatives supported with training, mentorship, and coaching	24 329	21 000	12 500	17 160	32 509	11 509
	Number of co-operatives assisted through the co-operative development support programme	93	40	20	0	22	-18

¹ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part G on page 233 to page 490.

Outcome 1: Performance Achievements *continued*

Outcome 1: Increased Growth and Sustainability of MSMEs and Co-operatives *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ²	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
Growth and sustainability of MSMEs and co-operatives facilitated <i>continued</i>	Number of MSMEs and co-operatives supported with quality improvement interventions	2 667	125	80	201	369	244
	Number of MSMEs and co-operatives supported with productivity improvement interventions	2 035	125	80	203	393	268
	Number of MSMEs and co-operatives whose turnover has increased by a minimum of 5.0% per annum	1 428	800	400	2 010	3 403	2 603
	Number of jobs created by MSMEs and co-operatives supported through non-financial support interventions	5 332	4 800	2 400	3 505	6 438	1 638
	Number of jobs sustained by MSMEs and co-operatives supported through non-financial support interventions	10 364	9 000	4 500	8 983	16 107	7 107
MSMEs and Co-operatives supported to be competitive	Number of MSMEs and co-operatives assisted through the Incubation Programme	2 268	2 000	1 000	946	1 728	-272
	Number of MSMEs and co-operatives supported through the Technological Transfer Assistance Programme	54	6	6	5	5	-1

² The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part G on page 233 to page 490.

Outcome 1: Performance Achievements *continued*

Outcome 1: Increased Growth and Sustainability of MSMEs and Co-operatives *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ³	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
MSMEs and Co-operatives supported to be competitive <i>continued</i>	Number of Product Markets established	Not measured in 2023/24	7	7	0	0	-7

Reasons for Variance and Corrective Measures

Number of township and rural MSMEs assisted with General Dealer Support Programme – There is a re-formulation of the programme to implement the programme via the provincial development finance institutions. Engagements with these institutions are underway and will be implemented during the first quarter of the new financial year.

Number of SMMEs and Cooperatives supported through the Technological Transfer Assistance (TTA) Programme – The recipients of the TTA were acknowledged through the Small Business Presidential Awards; each category winner was given an award certificate of R500 000 to be used for the procurement of equipment. At the time of writing the report, the procurement process was underway. Underperformance in the programme is linked to budgetary constraints, and the achievement was obtained via the Presidential Awards.

Number of Product Markets Established - The programme concept document was approved. Engagement with the Department of Small Business Development led to a reformulation of the implementation approach by crowding in the capacity of the provinces, and local government streamlined the delivery since many of the provinces and local government are implementing similar product market initiatives.

Number of Cooperatives assisted through cooperative development support programme - The indicator target was correctly recorded in both the Medium-Term Expenditure Framework (MTEF) and the annual target as 40, a typographical error occurred in the quarterly breakdown on the APP. The quarterly targets were captured as follows: Q1 – 3,000; Q2 – 6,500; Q3 – 4,500; and Q4 – 4,850. The combined total for Q3 and Q4 amounted to 9,350. The correct target for Q3+Q4 should have been 20 and has been adjusted as such on the Annual Performance Report.

³ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.



Outcome 2: Enhanced Access to Finance by MSMEs and Co-operatives

The outcome focuses on increasing access to finance to MSMEs, enhancing financial inclusion, building and extending partnerships with the private and non-governmental organisations and building the capacity of intermediary organisations to efficiently on-lend to MSMEs. Through the implementation of this outcome, various targeted loan and guarantee programmes are directly implemented via SEDFA, commercial financial institutions and non-banking institutions.

The support extended to entrepreneurs grants them an opportunity to economic participation, ownership, access to resources and other business opportunities, with a bias to women-owned, youth-owned, and entrepreneurs with disabilities, to redress the inequalities of the past. Expected output includes broadened access to finance, capital raising, efficient and effective lending, and the introduction of new products and programmes to respond to market needs.

APP Contribution to Outcome 2

Institutional Outcomes	APP Contribution
Enhanced Access to Finance by MSMEs and Co-operatives Increased Growth and Sustainability of MSMEs and Co-operatives	✓ Disbursements to MSMEs and co-operatives ✓ Disbursements to women-owned enterprises ✓ Disbursements to enterprises owned by entrepreneurs with disabilities ✓ Disbursements to enterprises located in rural towns and villages

Significant achievements under Outcome 2 include a value of R2 billion in approvals to MSMEs and co-operatives, and total disbursements of R2,7 billion to Black-owned enterprises.

Priority Group Response: APP Contribution to Outcome 2

Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Women	• SEDFA supported women-owned businesses with various interventions, including applications for access to funding and financial management training. • Impactful interventions were offered to women-owned businesses, including Cooperatives Governance Training, asset assistance, and access to local and international markets. • Out of the 165 068 small businesses supported with loans, 98.9% (or 163 273) of these were women-owned.	• The organisations' performance in supporting women-owned businesses was above the set target of 45%, by registering 47.5% of women-owned businesses having received financial support. • SEDFA continues to provide structured support to women-owned businesses, ensuring their growth and sustainability.
Youth	• Throughout the year, during the pre- and post-merger, the organisation hosted a range of youth-focused events, creating awareness of products and services and available different funding instruments.	• The organisation's performance in supporting youth-owned businesses was below the set target of 30% of the total disbursements.

Priority Group Response: APP Contribution to Outcome 2 *continued*

Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Youth <i>continued</i>	• Out of the 165 068 MSMEs supported, 36 192 were youth-owned, and they received disbursements to the value of R552 million. As a proportion of total disbursements, youth-owned businesses accounted for 16.7% of the overall disbursements for the year (less than 30% target).	• A targeted programme, namely, the Youth Entrepreneurship and Innovation Fund, is proposed to enhance the performance of this targeted group and, most importantly, to contribute towards creating youth employment in the country.
Entrepreneurs with disabilities	• The organisation collaborated with stakeholders who work closely with people with disabilities, to raise awareness and facilitate access to both financial and non-financial business development support for this group. • Of the 165 068 MSMEs financed, SEDFA funded 24 (or 0.01%) businesses owned by entrepreneurs with disabilities, to the value of R16.2 million.	• The organisational performance of businesses owned by people with disabilities was below the set target of 2%. • SEDFA shall continue to increase awareness and market its product offering to businesses owned by people with disabilities to increase their financial inclusion. In addition, SEDFA shall continue to offer business development support interventions to businesses owned by people with disability to ensure their growth and sustainability.



Outcome 2: Performance Achievements

Outcome 2: Enhanced Access to Finance by MSMEs and Co-operatives

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁴	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ACHIEVEMENTS
Broadened access to finance	Value of approvals to MSMEs and co-operatives (R'000)	R1 271 255	R2,402,490	R1 201 245	R1 257 673	R2 006 879	-R395 611
	Value of disbursements to MSMEs and co-operatives (R'000)	R2 039 190	R2,164,417	R1 082 209	R1 844 753	R3 304 275	R1 139 858
	Number of MSMEs and co-operatives financed	80 040	117,633	58 817	78 681	165 068	47 435
	Number of jobs facilitated and sustained	98 378	130 006	65 003	93 004	198 233	68 227
	Disbursements to Black-owned enterprises (R'000)	R1 653 631	R1,515,092	R757 546	R1 576 365	R2 707 525	R1 192 433
	Disbursements to women-owned enterprises (R'000)	R811 043	R865,767	R432 884	R1 015 688	R1 569 174	R703 407
	Disbursements to youth-owned enterprises (R'000)	R327 050	R649,325	R324 663	R323 125	R552 276	-R97 049
	Disbursements to enterprises owned by entrepreneurs with disabilities (R'000)	R26 836	R64,010	R32 005	R3 811	R16 162	-R47 848
	Disbursements to township-based enterprises (R'000)	R265 755	R628,604	R314 302	R238 905	R431 640	-R196 964

⁴ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.

Outcome 2: Performance Achievements *continued*

Outcome 2: Enhanced Access to Finance by MSMEs and Co-operatives *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁵	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ACHIEVEMENTS
Broadened access to finance <i>continued</i>	Disbursements to enterprises located in rural towns and villages (R'000)	R728 357	R1,040,766	R520 383	R1 091 736	1 672 189	R631 423
Efficient and effective lending	Turnaround time for direct lending (days)	88 days	50 days	50 days	142 days	128 days	-98
	Turnaround time for wholesale lending (days)	131 days	70 days	70 days	181 days	178 days	-128
	Turnaround time for credit guarantees (days)	131 days	70 days	70 days	181 days	178 days	-133
New products approved to address market needs	Number of new products approved to address market needs	Not measured in 23/24	1 new product approved (Professional Services)	1 (Professional Services)	The submission of the crowdfunding platform is with SME Wholesale Lending, and plans are underway to proceed with Due Diligence. Engaged the South African Medical Association on the proposed intervention.	Two RFIs operating in the medical sector (professional services) have been approved to date.	

⁵ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part G on page 233 to page 490.

Outcome 2: Performance Achievements *continued*

Outcome 2 : Enhanced Access to Finance by MSMEs and Co-operatives *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ACHIEVEMENTS
New products approved to address market needs <i>continued</i>					The SAMA team have contacted SEDFA's Wholesale Lending, and discussions are underway to get SAMA to be funding ready and support the unemployed medical practitioners. In addition, SEDFA has approved two RFIs targeting support to unemployed medical practitioners (i.e., RH Managers (R75 million) & Philasande (R50 million). The contracting process is underway with these two RFIs. 2 RFIs applications for funding have been approved, and the third application is being looked at. All these relate to professional services.		

Outcome 2: Performance Achievements *continued*

Outcome 2: Enhanced Access to Finance by MSMEs and Co-operatives *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁶	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ACHIEVEMENTS
Small enterprise and intermediary institutional capacity building	Number of client and funding partner interventions	202 interventions	206 interventions	103 interventions	114	217	11
	Number of SEDFA-financed clients improving turnover by 5%	71 clients	75 clients	39 clients	64	132 clients	57

Reasons for Variance and Corrective Measures

Value of approvals to MSMEs and co-operatives/Disbursements to youth-owned enterprises/Disbursements to enterprises owned by entrepreneurs with disabilities - The challenge that SEDFA continues to face, especially in the lending channels, is the high churn rate of skilled personnel and inadequate capacity (vacancies, and resignations of key personnel in the lending value chain, creating a knowledge gap that increases turnaround times and impact on the value of approvals). As a result, the value of approvals could not be met over this period.

Disbursements to youth-owned businesses

The key reasons for not achieving the targeted disbursements to businesses owned by youth include the unfavourable economic conditions, which depleted the opportunities for youth, limited budget and capacity challenges. Consequently, SEDFA achieved 85% (or R552 million) of the annual targeted disbursements for this designated group.

Disbursements to enterprises owned by people with disabilities

SEDFA disbursed R16.2 million to enterprises owned by people with disabilities during the review period. The reason for underachievement was mainly due to a limited pipeline from businesses owned by people with disabilities. At the time of preparing the report, the lending team was processing a pipeline of 23 transactions to the value of R35 million. At the same time, the team was also processing disbursement to the value of R21 million. Still, there were some delays due to 1) the lodgment of a notarial bond for the importation of machinery and equipment, and 2) conditions precedent that must be fulfilled before disbursement could be made. As at 31 March 2025, the overall disbursement to entrepreneurs with disabilities registered only R16.2 million, with more disbursements expected in the upcoming financial year as the conditions precedent and the lodgment get addressed.

Disbursements to township-based enterprises - SEDFA through the Khula Credit Guarantee, is collaborating with two partner institutions to support entrepreneurs in the automotive aftermarket sector to the value of R43 million. In addition, to strengthen the integration between non-financial and financial services of SEDFA, 4 395 MSMEs that received non-financial support will be assisted with financial support in the new financial year. In addition, to strengthen the integration between non-financial and financial services of SEDFA, 4 395 MSMEs that received non-financial support will be assisted with financial support in the new financial year.

⁶ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.

Turnaround time for direct lending (days) / Turnaround time for wholesale lending (days) / Turnaround time for credit guarantees (days) - SEDFA's turnaround time is impacted by 1) the quality of applications received, and 2) business process integration between the non-financial (pre-investment) and financial support. In addition, the volume of applications has increased, which has led to capacity challenges in the processing of applications. To address the challenges as mentioned above, the lending business of SEDFA is being re-designed. SEDFA will implement two different funds, namely, the development fund and commercial fund, to address the funding needs of entrepreneurs at various phases of business lifecycles. Supporting the implementation of these funds will be the implementation of the digital platform that will streamline the processing of applications and enhance the turnaround time.

Outcome 3: Increased Access to Co-operative Financial Services by Communities to Ensure Economic Transformation

This outcome is designed to create awareness of the co-operative banking model as an alternative to traditional banking targeting communities that were previously excluded from the commercial banking sector. Through programme implementation, the Co-operative Banking Strategy aims to strengthen collaboration and partnerships with stakeholders, provide capacity-building support to Co-operative Banking Institutions (CBIs), track developments, and report on progress in the sector.

APP Contribution to Outcome 3		
Institutional Outcomes	APP Contribution	
Increased Access to Co-operative Financial Services by Communities to Ensure Economic Transformation.	✓ Training programmes conducted ✓ Co-operative monitoring interventions conducted ✓ Direct technical assistance interventions provided ✓ Organised groups supported	
Significant achievements under Outcome 3 include 100% of organised groups supported, and 18 outreach and education activities about CBI model to groups and institutions conducted.		
Priority Group Response: APP Contribution to Outcome 3		
Priority Group	Sedfa's response to the priority groups	Corrective action to improve performance
Women	• SEDFA supported Co-operative Banking Institutions (CBIs) with non-financial support, including but not limited to information sessions to aspirant groups that want to register CBIs, training, direct technical assistance and compliance monitoring to regulators' rules and regulations, namely South African Reserve Bank's Prudential Authority (SARB-PA), National Credit Regulator (NCR), Financial Intelligence Centre (FIC), and Financial Sector Conduct Authority (FSCA). • The sector supports approximately 526 MSMEs, we do not classify if the MSMEs are owned by females, youth or members living with disability. Out of the 25 registered CBIs, we support 14 CBIs, that is, 11109 Co-operative Banking Sector membership. • Females make up 49.99% of that membership, that is, 5553 female memberships.	• The organisation will commence collecting detailed demographic data on MSME ownership to ensure that our records accurately capture and highlight businesses owned by women, youth, and persons with disabilities, thereby supporting more inclusive reporting and targeted interventions.

Priority Group Response: APP Contribution to Outcome 3 *continued*

Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Youth	• SEDFA supported CBIs with non-financial support, including but not limited to information sessions to aspirant groups that want to register CBIs, training, direct technical assistance and compliance monitoring to regulators' rules and regulations, namely South African Reserve Bank's Prudential Authority (SARB-PA), National Credit Regulator (NCR), Financial Intelligence Centre (FIC), Financial Sector Conduct Authority (FSCA). • Youth account for 6.13% of the total membership of 11,109, representing 681 youth members.	• The organisation will commence collecting detailed demographic data on MSME ownership to ensure that our records accurately capture and highlight businesses owned by women, youth, and persons with disabilities, thereby supporting more inclusive reporting and targeted interventions.
People with disabilities	• SEDFA supported CBIs with non-financial support, including but not limited to information sessions to aspirant groups that want to register CBIs, training, direct technical assistance and compliance monitoring to regulators' rules and regulations, namely the South African Reserve Bank's Prudential Authority (SARB-PA), National Credit Regulator (NCR), Financial Intelligence Centre (FIC), Financial Sector Conduct Authority (FSCA). • Persons with disabilities represent 0.19% of the total membership of 11,109, which amounts to 21 members.	• The organisation will commence collecting detailed demographic data on MSME ownership to ensure that our records accurately capture and highlight businesses owned by women, youth, and persons with disabilities, thereby supporting more inclusive reporting and targeted interventions.



Outcome 3: Performance Achievements

Outcome 3: Increased Access to Co-Operative Financial Services by Communities to Ensure Economic Transformation

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁷	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
The co-operative banking sector is known and recognised	Number of outreach and education activities about CBI model to groups and institutions	21	10	5	6	18	+8
	Number of communication activities and publications	5	5	2	2	5	-
Leverage of products and services offered by partners and stakeholders through collaborations and agreements	Number of partners and stakeholder relationships	26	8	4	7	33	+16
Monitoring of co-operatives	Number of co-operative monitoring interventions conducted	40	20	10	11	24	+4
Increase in co-operative banking membership % increase of member deposits Number of registered CBIs by PA	Number of training programmes conducted	12	5	2	2	8	+3
	Number of direct technical assistance interventions provided	72	35	15	18	54	+7
	Percentage of organised groups supported	100%	100%	100%	100%	100%	-

⁷ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.

Outcome 4: Increased Localisation and Market Penetration by MSMEs

The purpose of this outcome is to increase the economic participation of MSMEs and co-operatives in domestic and international markets. This entails providing MSMEs with export readiness training to participate in export markets, facilitating MSMEs’ participation in international trade shows and exhibitions, linking MSMEs to corporate value chains and supporting them to access the local markets.

APP Contribution to Outcome 4	
Institutional Outcomes	APP Contribution
Outcome 4: Increased Localisation and Market Penetration by MSMEs and Co-operatives.	✓ Local markets readiness interventions ✓ Local markets linkages ✓ Trade missions ✓ Local markets readiness interventions

Significant achievements under Outcome 4 include 3 178 MSMEs and co-operatives supported with local market readiness interventions, 176 enterprises supported to attend trade missions and 178 businesses linked to markets

Priority Group Response: APP Contribution to Outcome 4		
Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
Women	• SEDFA supported women-owned businesses through a variety of interventions, including assistance with funding applications, financial management training, cooperative development, and basic business skills training. • Additional impactful support included market linkages, participation in trade missions, and access to local markets. • Of the 4 464 businesses supported, 2 672 (60%) were women-owned.	• The organisation exceeded its target of supporting women-owned businesses, achieving a performance level above the set benchmark of 40%. • It will continue to provide structured support to women-owned enterprises to promote their growth and long-term sustainability.
Youth	• SEDFA hosted several events focusing on youth throughout the year, most of which were organised around the Youth Month. Among these are: pitch for funding, branding, packaging, signage, etc. • Out of the 4 464 businesses supported, 33% (1 461) are youth-owned.	• The organisation surpassed its target of supporting youth-owned businesses, achieving results above the set benchmark of 30%. • In the upcoming financial year, SEDFA will continue engaging with youth organisations to understand the needs of young entrepreneurs better and identify emerging business opportunities that require SEFDA support.

Priority Group Response: APP Contribution to Outcome 4 *continued*

Priority Group	SEDFA's response to the priority groups	Corrective action to improve performance
People with disabilities	• The organisation identified several stakeholders who have relations with disabled persons to provide access to markets support. • The support offered is still below the set goals. The support offered to these businesses includes business formalisation and access to funding applications. • Out of the 4 464 businesses supported, 3% (116) are owned by people with disabilities.	• The organisation will intensify its efforts to identify people with disabilities who are interested in starting small businesses and provide them with structured support. • In the upcoming financial year, Seda will prioritise recruiting trainers equipped to work with individuals with special needs and will source accessible training materials—such as resources suitable for visually impaired individuals.

Outcome 4: Performance Achievements

Outcome 4: Increased Localisation and Market Penetration by MSMEs and Co-operatives

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁸	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
Access to local markets facilitated	Number of MSMEs and co-operatives supported with local market readiness interventions	3 370	1 767	900	1 520	3 178	1 411
	Number of MSMEs and co-operatives linked to local markets	Not measured in 2023/24	100	50	103	178	78
Access to international markets facilitated	Number of MSMEs and co-operatives supported with international market readiness interventions	2 608	300	150	332	932	632
	Number of MSMEs and co-operatives supported through trade missions	438	200	150	91	176	24

⁸ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.

Reasons for Variance and Corrective Measures

Number of MSMEs and Co-operatives supported through trade mission.

- The Istanbul leather and textile exhibition was put on hold and has been moved to the 2025/26 financial year. 15 clients were targeted
- The Inward Mission for Mauritius was postponed due to elections in Mauritius; 60 clients were targeted.
- The Amazon online boarding of 20 clients was put on hold due to the MoU and MoA yet to be finalised, and has been moved to the 2025/26 financial year
- Show organiser canceled the SARCD A 2025 participation, we had planned to support 20 clients to augment the shortfall on the annual target not achieved.

Outcome 5: Integrated and Coordinated Ecosystem Support for MSMEs and Cooperatives

This outcome aims to build an effective small business ecosystem that can scale-up support services to MSMEs by leveraging partnerships with financial institutions, non-banking institutions, training institutions, and enterprise development institutions. The core focus is to leverage the capacity and resources of the ecosystem for accelerated growth of the MSME sector.

Outcome 5: Performance Achievements

Outcome 5: Integrated and Coordinated Ecosystem Support for MSMEs and Cooperatives

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ⁹	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
An effective ecosystem built	Percentage implementation of the Ecosystem Development Plan	70%	100%	100%	100%	100%	-

⁹ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part C on page 233 to page 490.



Outcome 6: An Agile, Innovative, Excellent and Customer-Centric Organisation

The purpose of this outcome is to finalise the operationalisation of SEDFA through the establishment process, Board and stakeholder engagements and deliver the agreed project milestones, and build enabling capacities. In addition, this outcome seeks to improve and streamline the working environment (processes, people, and systems) and strengthen brand visibility and marketing, finalise and implement an integrated service delivery model with clarity on roles and operational and funding priorities and ensure sound governance and a high-performance organisation.

Outcome 6: Performance Achievements

Outcome 6: An Agile, Innovative, Excellent and Customer-Centric Organisation

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET ¹⁰	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
A fully functional SEDFA established	Progress in SEDFA establishment	Not measured in 2023/24	Establishment of a fully functional SEDFA by 31 March 2025	Development & Implementation of integrated design and architecture for SEDFA	Draft SEDFA Business Architecture (Level Zero Business Capabilities, Client Journey Map, Application Processing Flow, Data Components) has been done. In addition, to enhance the stability of SEDFA, the Board approved the Job Profiles of the top three Executive positions, namely the Chief Executive Officer, Chief Financial Officer, and Chief Investment Officer, and advertisements were placed.	100 Achievement of the planned target	None

¹⁰ The annual target refers to the targets of the predecessor institutions, i.e Q1-Q2 and the merged entity Sedfa Q3-Q4. For Q1-Q2 performance please refer to Part G on page 233 to page 490.

Outcome 6: Performance Achievements *continued*

Outcome 6: An Agile, Innovative, Excellent and Customer-Centric Organisation *continued*

OUTPUT	OUTPUT INDICATOR	AUDITED 2023/24 ACHIEVEMENT	2024/25 ANNUAL TARGET	QUARTER THREE AND QUARTER FOUR TARGET	QUARTER THREE AND QUARTER FOUR ACHIEVEMENT	2024 /25 ACTUAL ACHIEVEMENT Q1-Q4	VARIANCE BETWEEN ANNUAL TARGET AND ANNUAL ARCHIEVEMENTS
A fully functional SEDFA established <i>continued</i>					SEDFA's offices dashboard and leases have been updated. SARS consolidation process finalised. SEDFA's UIF registration is completed.		



SUCCESS STORIES

District/Branch name:

OR Tambo

Business Name:

Siya's BMW Spares

Business type:

Automotive

Background

Mr. Siyamthemba Hlekiso is the founder of Isiqalo Community Enterprise (Pty) Ltd, trading as Siya's BMW Spares, located in Mthatha. A qualified motor mechanic with an N3 certification, Mr. Hlekiso is a passionate Black entrepreneur whose business specialises in BMW vehicle repairs, servicing, and the sale of used spare parts.

Challenges

- Lack of a formal workshop hindered operations.
- Limited visibility due to the absence of signage.

Intervention / Solution

With support from SEDFA OR Tambo, the following interventions were made:

- SEDFA referred the business to Eastern Cape Development Corporation (ECDC), which provided a leased workshop in Mthatha CBD—offering a better accessible and a professional setup.
- Branding & Signage were done to enhance visibility.
- The client application for the Asset Assist Programme was approved to the value of R247, 500.

Outcome / Results

The business has shown remarkable progress:

- Sales increased by 333%.
- Three jobs were created and two sustained.
- Equipment and machinery acquired through the Asset Assist Programme enhanced the business's operational capacity.

"SEDFA OR Tambo's support has been instrumental in our business's success."



District/Branch name:

Xhariep Branch

Business Name:

Timeless Tomatoes

Business type:

Agro processing Sector

Background

Timeless Tomatoes is a sole proprietorship established in 2005, owned and managed by Ms Anja Fourie, and based on Driefontein Farm near Bethulie. Initially, tomatoes were cultivated under shade cloth in semi-controlled conditions—managing irrigation, fertilisation, and pest control, but without temperature or humidity regulation.

In 2008, Ms Fourie expanded the business by launching a tomato processing plant, producing a range of value-added products including tomato chutney, tomato jam, sun-dried tomatoes, preserved sun-dried tomatoes, and sun-dried tomato pesto. These products are supplied to delicatessens, gift shops, and Spar outlets.

Intervention / Solution

Following assessments using the Company Operations Assessment, Export Readiness Assessment, and Critical Planning tools, SEDFA provided targeted support to address key business challenges.

- Branding: Designed product plates and labels to enhance brand identity.
- A service provider was appointed to develop and customise a food safety system, Hazard Analysis and Critical Control Points (HACCP), tailored to the business.
- Bacteria Count & Shelf-Life Study was conducted by the University of the Free State to ensure product safety and longevity.
- SABS did Product Testing to test Timeless Tomatoes products for nutritional content.

- Developed a comprehensive corporate image, including logo design, website, brochures, business cards, product barcoding and registration, label design, and signage for all business premises to address marketing challenges.
- Ms Fourie also participated in the International Trade and Investment Seminar on networking and market access.
- A service provider was appointed to facilitate the Trademark Registration of the business logo with CIPC.
- Business Plan Development: A professional business plan was created to support funding applications and guide business expansion.
- Market Participation: The business showcased products at the Fauresmith Farmers Market.
- Asset Acquisition: Procured a tractor and rotivator through the Asset Assist Programme, boosting production efficiency.

Outcome / Results

- The revenue and the profit increased significantly.
- The business created seventeen new jobs opportunities.

“Seda continues to provide excellent service and goes the extra mile to assist my business.”



District/Branch name:
Sandton

Business Name:
Alleyroads (Pty) Ltd

Funder:
Preference Capital

Sector:
Real Estate

Programme:
Khula Credit Guarantee

Background

Alleyroads (Pty) Ltd is a proudly black-owned South African property development and investment company, established in 2009. The company has built a strong reputation in the affordable housing, student accommodation, and retail development sectors, guided by a strategy focused on long-term ownership and sustainable value creation.

The portfolio

With over 6,000 residential units already developed across Gauteng, KwaZulu-Natal, Limpopo, and the Western Cape—and more than 1,500 units currently under construction.

The future

Alleyroads has a substantial and growing footprint. Their development pipeline of approximately 20,000 additional units further underscores their scale, ambition, and commitment to addressing South Africa's housing needs.

Impact

Alleyroads is making a meaningful impact in the property sector by delivering solutions that are affordable, scalable, and sustainable. They stand out as one of the few players operating at this level across the country. With the current facility being approved, it will see one hundred (100) jobs being created.



District/Branch name:
Springs

Business Name:
Integration Mining Supplier (Pty) Ltd

Sector:
Manufacturing [Steel pipe fitting & value add in steel products]

Funder:
Macsteel Service Centres SA

Programme:
Khula Credit Guarantee

Background

Integration Mining Supplier (Pty) Ltd [IMS], founded by Mandla Plumstead and Jarrid Viljoen, is a Level 2 B-BBEE company based in Springs, Gauteng. The company specializes in the precision manufacturing of pipe fittings, with a product range that includes Ring Ended and Flanged pipes—widely utilized across South Africa. Strategic support from Macsteel has enabled IMS to access capital, which has opened doors to more lucrative projects and accelerated business growth.

Challenges

Prior to joining the ESD Programme, the business was a small Exempt Micro Enterprise (EME) with a modest annual turnover and a team of seven employees struggled with limited market access, few growth opportunities, and minimal industry knowledge. It lacked vendor registrations with mines, and constrained capital made it impossible to take on new projects, stalling its development.

Outcome / Results

The business has experienced substantial growth and now operates as a Qualified Small Enterprise (QSE), with a notable increase in turnover and a workforce of 60 employees. Key milestones achieved include gaining access to new markets, securing SANS815 registration, and earning Proudly South African certification for local manufacturing. Additionally, the company has implemented advanced welding specifications, including WPS ASME9 and British Standard (BS) welding specs, positioning it for greater competitiveness and industry compliance.

Lessons Learned

Business growth is driven by strong relationships, with quality being essential to maintaining customer trust. Success also depends on having a capable and committed team. Above all, tenacity and determination are crucial to ensuring a business not only survives but thrives in a competitive environment.

“The support we received from Macsteel Usizo programme changed everything. We moved from surviving to thriving.” We are thankful for the Opportunities Granted.”



District/Branch name:

Tshwane Branch

Business Name:

Kulungwane Distribution

Business type:

Tyre Fitment Center and other automotive related services

Background

Kulungwane is a 100% Black-owned company, with 51% ownership by Black youth. Based in a township, the business operates a tyre fitment centre and its core services include new tyre sales, wheel balancing, battery sales, used oil collection and safe disposal services thereof. Kulungwane follows a Quality Management System aligned with ISO 9001:2015.

Challenges

The business faces several operational challenges, including limited marketing and financial management skills, the absence of HR policies, insufficient capital for equipment, inefficient workflows, and the lack of an integrated management system aligned with ISO 9001, ISO 14001, and ISO 45001 standards.

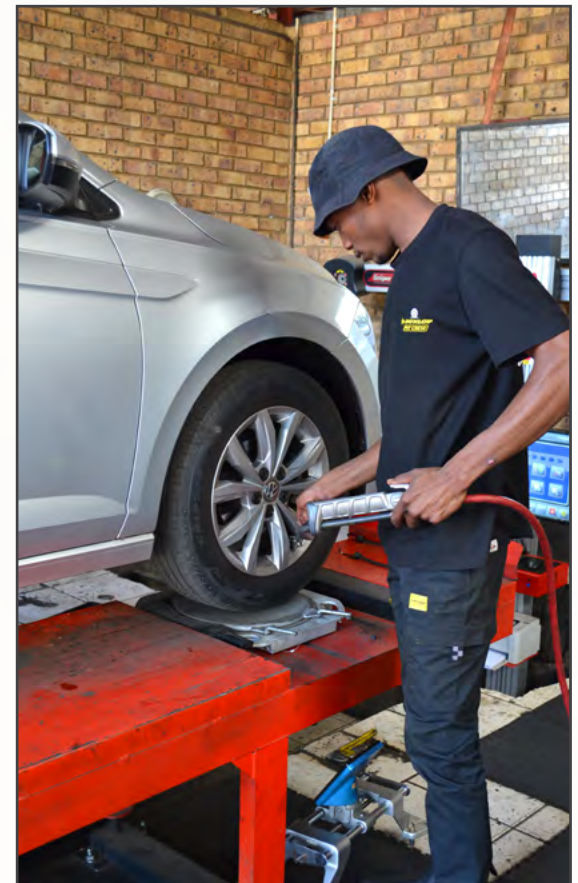
Intervention / Solution

The business received support with facility layout and material handling, and the owner completed bookkeeping training to strengthen financial management capabilities.

Outcome / Results

Following SEDFA's intervention, the company experienced a remarkable turnover growth of 1,840%. This expansion led to the creation of ten (10) new job opportunities and the retention of eight (8) existing positions, resulting in a total of eighteen (18) jobs within the business. Additionally, the company successfully acquired a second Dunlop facility located in the Bronkhorstspuit CBD.

"Intervention assisted with the overall effectiveness and efficiency of my business"



District/Branch name:
uMgungundlovu

Business Name:
K2N Holdings (Pty) Ltd
t/a Kota2Nice (K2N)

Business type:
Food services

Background

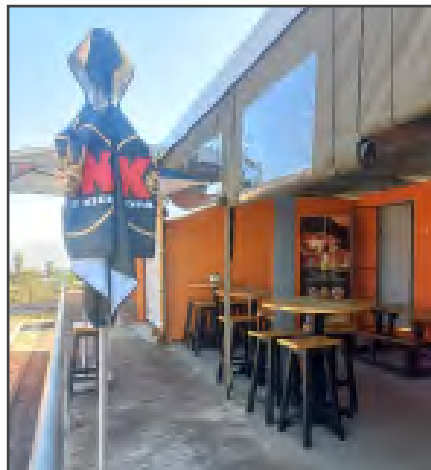
K2N Holdings (Pty) Ltd t/a Kota2Nice (K2N) is a female-owned fast-food enterprise that specialises in uniquely prepared Kotas—commonly known as Spatlo—a traditional South African street food predominantly found in townships. The business was founded by Neliswa Mntungu following her retrenchment in 2008, after a decade in the corporate sector.

Using her savings, she began selling cooked meals informally from home and roadside, despite having no prior experience in the food industry or culinary skills. Through self-teaching and experimentation, she developed a distinctive blend of flavours that set her Kotas apart. Leveraging social media platforms, she successfully marketed her innovative meals and steadily built a loyal customer base.

Intervention / Solution

At a critical point, the owner was introduced to Seda through the Msunduzi Local Development Office. In collaboration with the LED office, Seda provided the following support:

- Enhanced marketing efforts through the provision of branded materials such as banners and gazebos, and facilitated participation in local exhibitions where the business showcased its meals.
- Designed and installed signage for the newly allocated premises at Imbali Youth Park, transforming the business into a fully-fledged restaurant.
- Delivered training on costing and pricing strategies to improve profitability and ensure sustainable growth.



Challenges

Throughout her entrepreneurial journey, K2N faced several significant challenges, including:

- **Market Penetration:** Establishing a strong presence and attracting a consistent customer base proved difficult due to the niche nature of the Kota offering.
- **Cash Flow Constraints:** Limited revenue made it hard to sustain operations, forcing a temporary closure and relocation of the business back to her home.
- **Resource Limitations:** The business lacked essential equipment and infrastructure, including a proper container setup.
- **Marketing Deficiencies:** There was insufficient marketing activity and a lack of professional tools to promote the brand effectively.

Outcome / Results

K2N achieved the following milestones:

- Transitioned from operating informally at home and on the street to running a fully established restaurant.
- Increased daily customer traffic from just one or two patrons to over twenty walk-ins per day.
- Turnover increased by 925%
- The team expanded from two to five employees, reflecting the business' growth and improved operational capacity.



District/Branch name:
Ugu

Business Name:
Hala Lisa (Pty) Ltd

Business type:
Pty Ltd

Business Sector:
Hospitality

Programme:
TREP Programme

Background

Hala Lisa (Pty) Ltd is a restaurant, shisanyama, and catering business established in 2017 by Ms. Halalisiwe Mncwango, a black woman entrepreneur and sole owner of the company. The Hala Lisa Restaurant is situated in the rural area of Murchison, on the South Coast of KwaZulu-Natal, approximately thirteen (13) kilometers west of Port Shepstone—within the Ugu District Municipality.

The restaurant serves both individual and corporate clients across the South Coast of KwaZulu-Natal. It maintains a strong online presence, with an average Google rating of 4.6 stars from 86 reviewers. Known for its cosy and casual atmosphere tailored for adults, the establishment offers a diverse menu that includes breakfast options, traditional cuisine, and shisanyama.

Intervention / Solution

The business owner applied for funding to support the growth and expansion of the business.

Outcome / Results

TREP application was approved.

Challenges

Due to limited financial resources to grow the business, the owner approached Sedfa to request funding for the acquisition of essential equipment.

Impact

The procurement of kitchen equipment will enhance operational efficiency and ensure adherence to health and safety regulations. This facility will support the retention of fifteen jobs.



District/Branch name:

Vhembe

Business Name:Tshibalo Bricks and
Aggregates**Business type:**

Manufacturing

Subsector:

Construction

Background

Tshibalo Bricks and Aggregates is a 100% black and youth-owned business specialising in brickmaking and sand supply sourced from a river near Giyani. The business was established in 2017 and formally registered with CIPC in 2018 by Mr. Mpho Tshifura, the business is based in Ha-Budeli village under the Thulamela Municipality.

Over time, the business has diversified its offerings to include the manufacturing of lentils and road kerbs, as well as the supply of earth-moving equipment such as TLBs and trucks. Its primary market comprises individuals and companies in the construction sector and those requiring building materials.

Challenges

Following a thorough assessment by the SEDFA Business Advisor, the following challenges were identified:

- Inadequate financial recordkeeping
- Equipment shortages are leading to low production capacity
- Absence of quality management systems
- Limited branding and marketing efforts
- Non-compliance with NHBRC and CIDB registration requirements

Outcome / Results

- The business received R584 623 in funding through the Technology Transfer Assistance Programme and procured new machinery and moulds. This enabled increased production capacity
- Turnover increased by 426%
- Fifteen new jobs opportunities were created and five sustained
- Secured contracts with:
Reubex Construction
TAINAMA Civils

Intervention / Solution

To address these challenges, Sedfa implemented the following interventions:

- Financial Management records cleanup
- Application for Technology Transfer Funding
- The business management attended the following capacity building trainings: on
- EMPRETEC entrepreneurial training
- Business Management Skills,
- 12-month coaching programme; and
- Quality management training
- Signage and promotional materials were developed
- Development, training and implementation of ISO 9001 and ISO 45001 Quality Management Systems
- Product certification for road kerbs

"We appreciate the work that Seda Business Advisors is doing."



District/Branch name:
SEDFA Nkangala District
Office

Business Name:
Kalorisah (Pty) Ltd

Business type:
Services (Construction
Plant hire)

Background

Kalorisah (Pty) Ltd is an Earthmoving Equipment Hire and Logistics business headquartered in Witbank, under the Emalahleni Local Municipality. The company operates from its rented administrative office located at N:04 - Block A, Jetvest Building, Extension 10, Fransville.

Founded and incorporated in 2019 by Ms. Jeritta Cherity Mthimunya, a seasoned professional with extensive experience in the Plant Hire and Logistics industry, Kalorisah is a wholly black-owned business.

The company currently services the following contracts:

- Glencoe (Subcontract) – 6 months, renewable
- Sphethu Construction (Direct) – 2 years
- Ritkuil Colliery – 5 years
- Mighty Tower Group (Direct) – 5 years

Challenges

Kalorisah was onboarded as a Sedfa client in May 2024 after Ms Mthimunya approached the Sedfa-Nkangala Branch seeking support for small business development. A comprehensive assessment of the business revealed the following key challenge:

- Despite having a solid footprint in the earthmoving equipment hire sector, the business struggled to secure direct contracts with major mining corporations operating across Mpumalanga.

Intervention / Solution

SEDFA supported Kalorisah's participation in a Petrochemical Trade Exhibition. The objective was to help the business expand its market reach and increase its share within the Plant Hire and Logistics sector.



Outcome / Results

Following SEDFA's intervention through market access support, Kalorisah achieved the following outcomes:

- Turnover improved by 34.58%
- Kalorisah secured a 5-year direct contract with Mighty Tower Group (Pty) Ltd to supply earthmoving equipment for its mining operations in Mpumalanga. The contract includes:
2 × 70-ton Excavators, 6 × 40-ton ADTs, 1 × 996 FEL, 1 × D9 Dozer, 1 × D10 Dozer, 1 × Grader
- To meet the demands of the new contract, the business acquired a CAT 374 Excavator valued at R13 000 000.



District/Branch name:

ZF Mgcawu

Business Name:

Norati Enterprises (Pty) Ltd

Business type:

Construction, Logistics and Transportation

Background

Norati Enterprises (Pty) Ltd, trading as NS Mashego Farms, is a civil construction, transport, and logistics company based in South Africa. The business was established in June 2016. The company is 100% Black women-owned and led by Ms Simonia Kgologadi Mashego, as a director, who brings strong leadership and industry expertise.

The company provides project solutions to small, medium, and large contractors in the construction and civil engineering sectors. Norati Enterprises is a Level 1 B-BBEE contributor and holds the following CIDB grades: 4SQ1 PE, 4GB EP, 6CE EP, and 1SK EP.

With a vision to deliver high-quality services while promoting safety, environmental responsibility, and operational excellence, the company aims to build financial stability and a strong reputation in the short term. Its long-term goal is to establish one of the few black, youth, and female-owned truck stops and fuel stations in the country.

Challenges

- Norati Enterprises faced several challenges in its growth journey:
- The business required capacity-building and development support to improve operational efficiency. Additionally, an Environmental Impact Assessment (EIA) and Feasibility Study were needed to proceed with the planned fuel station project in compliance with environmental regulations.
- The company needed assistance with market access and linkages to expand its customer base.
- Funding support was required for the construction of the fuel station.



Core Services

Transport and Logistics

Starting with a single truck, the fleet now includes:

- 2 × 34-ton Interlink trucks
- 3-ton trucks
- Excavators
- Plant hire services including TLBs, tractors with slashers, and tipper trucks

The fleet is expected to grow to 5 × 34-ton trucks by June 2025.

Construction

Specialising in:

- Routine road maintenance
- Fencing
- Special projects
- Electrical infrastructure
- Building repairs and general construction (CIDB Grades: 4GB, 4SQ, 1SK, 1EP, 6CE)

Supply and Delivery

Efficient provision of goods and services.

“You don't have to be one of the guys to succeed in construction. You just have to be one of the best.”



Intervention / Solution

To address these challenges, the following interventions were implemented:

- SEDFA, through its practitioner, provided comprehensive training to enhance operational and managerial skills.
- A detailed business plan with five-year financial projections was developed, outlining growth and sales strategies.
- The business was supported with Financial Management records Clean-up.
- The business was supported by attending tendering and pricing training to improve contract acquisition.
- The enterprise was supported with market linkage interventions.



Outcome / Results

The interventions led to the following outcomes:

- The business owner completed business development training, enhancing her management capabilities.
- Norati Enterprises secured a contract with the Department of Public Works for re-gravelling and routine maintenance in Douglas, Kimberley, and De Aar.
- The business received support in developing a business plan, financial projections, and two years of financial statements to support funding applications.
- Turnover increased by 1617.08%.
- The workforce grew from 1 to 5 permanent employees, with an additional 40 contract workers. Plans are in place to further increase the permanent staff.



District/Branch name:

Dr Ruth S Mompoti
Branch

Business Name:

Letshabo Sons
Agricultural Products
Primary Co-Operative Ltd

Business type:

Agriculture Sector

Background

Letshabo Sons Agricultural Products Primary Co-Operative Limited, also known as Letshabo Brothers, is a primary agricultural cooperative established in 2011 by six brothers to focus on crop farming, primarily vegetables. The cooperative began with watermelon production, despite limited funding, and later expanded to cabbage farming in early 2011. Initially operating 10 hectares at Bosele Farms, they later leased an additional 110 hectares from nearby farms.

Currently, the cooperative owns 30 hectares in the Matolong area of Taung and leases approximately 90 hectares from various farmers within a 10 km radius of Taung CBD. The farms have the capacity to produce a wide range of vegetables, including cabbage, onions, beetroot, tomatoes, spinach, carrots, and pumpkins—categorised into summer and winter crops based on seasonal cycles.

Challenges

Letshabo Brothers face limitations due to the absence of modern farming technology, which restricts their production capacity. Despite efforts to modernise, the lack of machinery has resulted in suboptimal outputs. The cooperative approached SEDFA for business development support, aiming to acquire modern equipment and reduce reliance on rented machinery. They also sought assistance in developing a business plan to attract future investment and partnerships.

Intervention / Solution

SEDFA assisted the cooperative with an application to the Cooperative Support and Development Programme (CDSP), which was approved to provide a 98KW tractor and a 24-disc disc harrow. Additionally, the cooperative is receiving support in developing a bankable business plan to guide future growth and funding opportunities.

Outcome / Results

- The CDSP application was approved and a 98KW tractor and 24-disc disc harrow were purchased.
- The turnover increased by 9%
- Seven jobs were created, and thirty-three sustained

"Thanks for helping our business receive the equipment. This will surely be used to increase employment in the district."



District/Branch name:
Mahikeng

Business Name:
Indalo Mahikeng Hotel
(Pty) Ltd

Sector:
Tourism

Programme:
Tourism Fund

Background

Indalo Mahikeng Hotel (Pty) Ltd, a subsidiary of Indalo Hotels and Leisure Group, is acquiring the Protea Hotel Mahikeng—a well-established 4-star hotel located in Mafikeng, South Africa. The hotel's prime location, consistent financial performance, and favorable industry outlook make this a compelling investment opportunity.

Outcome / Results

The client submitted an application to the Tourism Fund for the acquisition of this facility, which was subsequently approved. This transaction is aligned with sefa's mandate to promote economic development and job creation in South Africa, with a particular emphasis on the North West Province. Supporting a 100% black-owned enterprise such as Indalo underscores sefa's commitment to transformation and inclusivity within key sectors of the economy.

Aspirations

Indalo Hotels and Leisure Group wanted to acquire another facility to add in their portfolio acquisition entails the purchase of the Protea Hotel Mahikeng as a going concern, including all operational assets, existing contracts, and goodwill. The hotel has demonstrated strong financial performance FY2023. Occupancy rates have consistently surpassed industry averages, reaching 62% in FY2023 and showing a positive recovery trend toward pre-pandemic levels. The Average Daily Rate (ADR) has also shown steady growth, reaching R1,308 in the same financial year.

Impact

The hotel's operations will sustain 66 existing jobs and create one new employment opportunity.



District/Branch name:
Rustenburg

Business Name:
Rustenburg Medical
Rehabilitation Clinic (Pty)
Ltd

Sector:
Health (Rehabilitation
Clinic)

Background

Rustenburg Medical Rehabilitation Clinic (Pty) Ltd is a privately registered company (Reg. No. 2023/707787/07), proudly 100% black- and woman-owned, under the leadership of Dr. Kedisaletse Doreen Ross.

Based in Rustenburg, North West Province, the clinic operates a 16-bed in-patient facility dedicated to the rehabilitation of individuals struggling with alcoholism, depression, and substance abuse. The clinic offers a safe, structured, and nurturing environment for recovery, integrating clinical expertise with compassionate care to support patients on their journey toward healing and long-term wellness.

The facility offers the following services:

Description	Treatment Days
Admission fee	1 Day
Detoxification (detox)	7 Days (exclusive)
In-patient	21 Days (3 weeks)
In-patient	28 Days (4 weeks)
In-patient	42 Days (6 weeks)
In-patient	3 Months
Out-patient	42 Days (6 weeks)
Out-patient	56 Days (8 weeks)

Outcome / Results

The deal was approved on 8 April 2024 and funds were disbursed on 23 May 2024. With this facility in place, the initiative is expected to create ten (10) new job opportunities, contributing to local economic development.

Challenges

Rustenburg Medical Rehabilitation Clinic (Pty) Ltd approached Sedfa for Financial Assistance of R 800 000 to purchase the property in which the rehabilitation is situated and operating.



District/Branch name:
City of Cape Town Branch

Business Name:
Jemaha (Pty) Ltd

Business type:
Food Manufacturing

Background

Jemaha (Pty) Ltd is a Level 1 B-BBEE-certified enterprise, jointly owned by Lynelle and Hannah Chetty. The company specialises in the production and distribution of high-quality flavoured butters. Its product portfolio includes Chilli, Lemon, Savoury, Garlic, Braai Butter, and a Vegan Spread.

With a vision to become the leading provider of chefs' butters, Jemaha is known for its exceptional craftsmanship, rich flavours, and commitment to quality. The business continuously innovates and expands its product line to inspire culinary creativity and delight discerning consumers. Their goal is to build a brand that embodies luxury, indulgence, and excellence, making chefs' butters accessible to every consumer.

The business operates from Units 2 and 3, Cavi Centre, located at the corner of BP Road and Montague Drive, Montague Gardens.

Challenges

Limited business acumen was identified as a key challenge affecting strategic growth and operational efficiency.

Intervention / Solution

Jemaha approached the City of Cape Town Branch for support and was assigned a Business Advisor. A Business Model Canvas (BMC) diagnostic assessment was conducted to clarify business goals and objectives.

As part of the intervention: The business participated in the Women's Coaching Programme from June 2023 to January 2024, aimed at enhancing entrepreneurial skills and strategic planning.

Outcome / Results

The following outcomes were achieved:

- Turnover increased by 86.65%, and eight new job opportunities were created, while six existing jobs were sustained. The total number of employees increased from 6 to 14 staff members.

"I participated in the SEDFA Women's Coaching Programme in Bellville during a challenging period for her business. Through consistent attendance and support from professional coaches and SEDFA Managers, particularly in one-on-one sessions, I gained valuable business insights. I made strategic adjustments that helped turn my business around. I am grateful for the opportunity, and I acknowledge the positive impact of the programme on my business journey."







A photograph of a worker in a blue long-sleeved shirt and orange pants, bent over and working on a construction site. The worker is wearing a blue cap and has reflective yellow stripes on their sleeves. They are holding a black pipe or rod. The background shows a dirt field with several wooden poles and power lines stretching into the distance under a clear blue sky. A large, semi-transparent yellow circle is overlaid on the bottom right of the image, containing the text 'PART C GOVERNANCE'.

PART C

GOVERNANCE

OUR ORGANISATION

The 1st October 2024 marked a significant event for the Country’s MSMEs when the Small Enterprise Development and Finance Agency (“SEDFA”), came into operation, as established by the National Small Enterprise Amendment Act No 21 of 2024 (“the Enabling Act”). SEDFA is an integration of three Agencies that merged the Small Enterprise Development Agency (Seda); Small Enterprise Finance Agency (sefa); and the Cooperative Bank Development Agency (CBDA), that agencies separately provided different but related services to the MSMEs, but as one entity, provide a streamlined and cohesive service to the MSMEs. The Enabling Act dissolved the three entities and their respective Boards on 01 December 2024.

Our vision, as the SEDFA Board, is for SEDFA to be a leading business development enterprise that drives transformation and inclusive growth in the economy through the provision of non-financial support and greater access to finance for Micro, Small, Medium-Enterprises (MSMEs). To ensure the sustainability of the entity and the MSMEs it supports, SEDFA executes its mandate through ethical and good governance practices.

ETHICAL LEADERSHIP

The Board is the custodian of ethical governance, with the collective responsibility of setting an ethical tone at the top and therefore ensuring that high ethical standards and governance practices are cascaded to the different levels of the organisation.

SEDFA, in the first six months of its operation, focused on the development, implementation and application of best governance practices based on the principles of Integrity, Competency, Responsibility, Accountability, Fairness, and Transparency. The Board ensures accountability for SEDFA’s performance and oversees the implementation of the approved management strategy, thereby ensuring that the company delivers on its mandate.

BOARD FOCUS AREAS

The period under review focused on integrating the three merged entities, development and implementation of governance instruments, whilst ensuring performance in line with the approved Annual Performance Plan. Key programme achievements included the enhanced Spaza Shops Support Programme implemented in partnership with the National Empowerment Fund.

STAKEHOLDERS

Shareholder/Executive Authority

SEDFA’s sole shareholder is the Government of the Republic of South Africa, represented by the Honourable Minister Stella Tembisa Ndabeni. To facilitate effective performance monitoring by the Executive Authority, and in line with Treasury Regulation 29.3.1, the Minister meets with the Board Chairperson and the Board, as and when necessary.

Parliament/Portfolio Committee

The parliament exercises oversight over the SEDFA through the Portfolio Committee on Small Business. The Chairperson appeared before the portfolio committee to present performance reports and respond to queries on financial and operational matters.

GOVERNANCE STRUCTURES AND DELEGATION OF AUTHORITY

The governance structures of SEDFA are designed to ensure the entity’s strategic, operational, and financial affairs are overseen in an ethical, transparent, and effective manner. The structures and frameworks outlined below serve to guide decision-making, accountability, and compliance with applicable laws, including the Companies Act, the Public Finance Management Act (PFMA), and the King IV Report on Corporate Governance.

Memorandum Of Incorporation (MOI)

SEDFA operates in accordance with its Memorandum of Incorporation (MOI), which outlines the powers, duties, and composition of the Board, the role of the shareholder, and key governance provisions in line with the Companies Act, No. 71 of 2008. The MOI also provides clarity on the authority and responsibilities of the Board in relation to the Executive Authority (the Department of Small Business Development), and sets out procedures for Board appointments, meetings, and decision-making processes.

Delegation of Authority (DOA) Matrix

The Board has approved the SEDFA Delegation of Authority (DoA) Matrix, which defines the levels of authority delegated to the Board Committees, the ex officio members and Management.

Committee Charters

The Board is supported by functional committees, each governed by formal, approved charters which define the mandate, scope of responsibilities, reporting lines, and membership requirements.

Board Approved Policies and Procedures

The Board of Directors approved SEDFA Policies across the board, including employee-related policies, Code of Ethics, and Credit and Investment management policies.

Access to information

In compliance with the Promotion of Access to Information Act (PAIA), SEDFA has developed and published a PAIA Manual to guide external stakeholders on the process of requesting information from the organisation. The manual outlines the categories of available records, the process for access requests, and the internal officers responsible for processing such requests.

PERFORMANCE AND REPORTING

Oversight and statutory approvals

The following key decisions were taken by the Governance Structures, amongst other related matters:

1. Corporate Plan and Budget

The Board approved the Annual Performance Plans for a six-month period, 01 October to 31 March 2025, and further approved the Annual Performance plan for the 2025/26 Financial Year and the Corporate Plan for 2025 – 2027.

2. Shareholders Compact FY2025/26

The SEDFA Board approved and recommended the Shareholders Compact for FY2025/26.

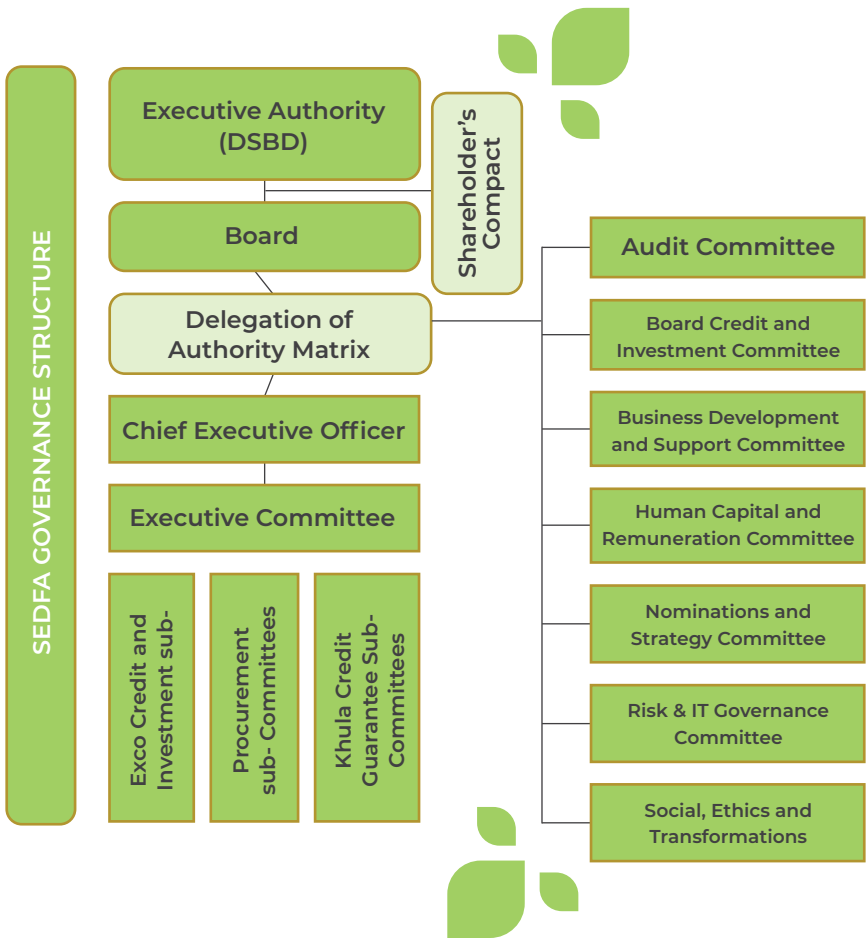
3. Executive Authority Quarterly Reporting

The Board of Directors approved and submitted SEDFA's Quarterly Performance Reports to the Executive Authority, the Department of Small Business Development (DSBD), in accordance with the requirements of the Public Finance Management Act (PFMA).

As part of its oversight of governance, the Board reviewed and approved key governance instruments, including:

- Board and Committee Charters
- SEDFA Policies, covering areas such as employee-related matters, the Code of Ethics, and Credit and Investment policies, among others.

SEDFA GOVERNANCE STRUCTURE



THE ROLE OF THE BOARD

The Board is responsible for strategic leadership, governance, oversight and effective control of SEDFA, as well as providing sound judgment in directing the Company to achieve its mandate and growth in the best interests of all its stakeholders. The Board functions in accordance with governance principles. It ensures compliance with the PFMA, the Enabling Act, the Companies Act No 71 of 2008 (the Companies Act) and all applicable laws and regulations.

The Board Charter regulates the parameters of the Board in line with good corporate governance practices, which include, amongst others, reporting to the Executive Authority on the direction, governance, and performance of the company, including any matters that need reporting or disclosure in terms of legal requirements. The Board, represented by the Chairperson of the Board, reports to the Parliamentary Portfolio Committee on Small Business Development. It is responsible for the review and approval

of strategic plans, budgets, quarterly and annual performance plans, and all policies, as proposed by management through the Board Committees, processes for the identification, determination and management of business risks and processes for compliance with key regulatory and legal requirements. The Board provides oversight into organisational performance against targets and objectives.

The Board has achieved its governance outcomes for the six months since the inception of the FY2024/25 and has identified actions to be implemented in FY2025/26, as part of ongoing governance enhancements.

Composition of the Board

The Board has a unitary structure comprising the Board Chairperson, Chief Executive Officer and an adequate number of Directors, the majority of whom are Non-Executive Directors. The Board presently comprises twelve (12) directors, all of whom are independent non-executive directors. The Executive Authority appoints all the Directors, the Minister of Small Business Development. The composition of the Board comprises the requisite balance of skills to execute its oversight mandate. The Profiles of the Board Members are provided on page 82.

The non-executive Directors are principally free from any business relationship that could hamper their objectivity or judgement in terms of the business and activities of the Company. All the Non-executive Directors have unrestricted access to the Company's information, documents, records, and property in the interest of fulfilling their responsibilities, in line with an agreed Board process. The non-executive Directors have unfettered access to the Company's employees, external auditors, professional advisors, and internal auditors, in line with the method defined in their respective Charters. The non-executive Directors act in the best interest of the Company, using a range of governance instruments in the execution of their fiduciary duties.

In line with good corporate governance principles, SEDFA has appointed a Chairperson and a CEO, ensuring that the two roles are separate.

Board Chairperson

The Chairperson of the Board is an independent Non-Executive Director and provides leadership to the Board to ensure the effective discharge of its responsibilities. No individual director has unfettered powers in relation to decision-making. The Chairperson presides over the Board meetings and facilitates decision-making,

ensuring that discussions are focused, whilst members are encouraged to air their views on matters brought before the Board.

Chief Executive Officer

SEDFA is in the process of recruiting for leadership positions; as such, the Company has an Acting CEO, duly nominated by the Board and approved by the Executive Authority in line with the provisions of the Company's Memorandum of Incorporation. The CEO is responsible for the day-to-day operations of the Company, assisted by Executive Management and related Committees.

Mr Nkosikhona Sydney Mbatha was appointed as the Acting CEO of SEDFA for an interim period, effective from 01 October 1, 2024, pending the finalisation of the recruitment process.

Board Tenure and Demographics as at 31 March 2025

Gender	Race	Age	Tenure
Female (6)	Black (12)	30 – 39 (02)	0 – 3 years (12)
Male (6)	White (01) **	40 – 49 (0)	
		50 – 59 (02)	

** Resigned on 02 June 2025.

7.5. Board Skills Matrix

The non-executive Directors contribute a variety and balance of skills, business acumen, independent judgement, and experience on various matters, ranging from strategy development and implementation, corporate governance, performance, and leadership for robust engagements. The individual directors' expertise is set out on page 82.

BOARD COMMITTEES AND MEETING ATTENDANCE

Board Committees

The Enabling Act and Company's Mol provide the minimum requirements for the establishment of the Company's governance structures, which have been implemented, albeit with related enhancements, namely, the Company has appointed separate Audit, Risk, Human Capital and Nomination Committees to ensure specific focus on the different elements considering the Company risks, management of internal controls, IT Governance amongst other areas of Board focus.

In alignment with the provisions of the Companies Act, the Board established the Audit Committee and the Social, Ethics and

Transformation Committee as statutory committees. The Audit Committee's constitution, functioning and reporting adhere firmly to the PFMA requirements. The Board has delegated certain of its functions to the six Committees set out below, without abdicating any of its responsibility. Committee members were nominated by the Board amongst the Directors based on experience and expertise. These Committees also serve the SEDFA subsidiary entities.

Audit Committee

Constituted in accordance with Section 94 of the Companies Act No. 71 of 2008 (Companies Act), the primary role of the Audit Committee is to assist the Board of Directors in fulfilling its oversight responsibilities for the financial reporting process, systems of internal control, audit process, and the company's process for monitoring compliance with laws and regulations and the code of conduct. It provides independent advice and guidance to the Board regarding the adequacy and effectiveness of management's practices and potential improvements to those practices.

Social, Ethics and Transformation Committee

This Committee is constituted in accordance with Section 72(4) of the Companies Act, read with Regulation 43 of the Companies Regulations, 2011. The role of the Committee is to assist the Board with oversight on social and ethical matters relating to the Company, including Fraud Management Oversight and the Company's Transformation agenda.

Board Credit and Investment Committee

Its primary role is to provide oversight and monitoring of all SEDFA investment portfolios, ensuring that SEDFA effectively provides finance and, where appropriate, institutional strengthening and business support. Together with consideration and approval of transactions within its delegated authority and recommending those above its limit to the Board for approval, it further ensures that all funding is provided in line with credit and other relevant policies, and statutory requirements, being cognizant of the developmental imperatives.

Human Capital and Remuneration Committee

The Committee assists the Board in discharging its responsibilities for setting and administering human capital and remuneration policies and practices, considering all relevant legislation, regulatory requirements, and codes of best practice, in the interest of SEDFA. The Committee also annually considers the Board fees for the ultimate approval by the Shareholders at the Annual General Meeting.

Risk and IT Governance Committee

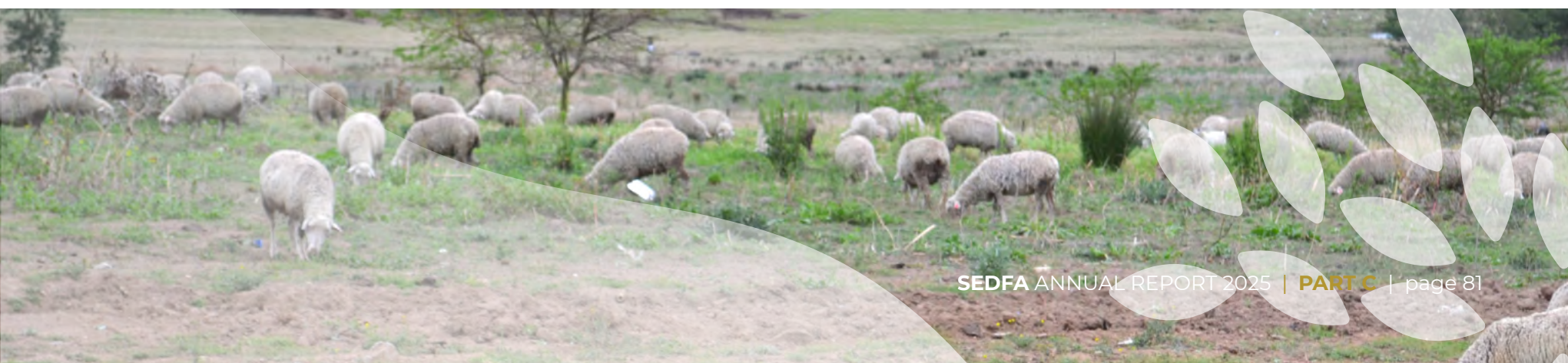
This Committee assists the Board in identifying, assessing, prioritising and managing key risks inherent in all SEDFA Group business activities, whilst the Nominations Committee assists with overseeing the governance processes, including nominating members to the Subsidiary Boards and Board Committees based on related skills requirements.

Business Development and Support

This Committee assist the Board with oversight and monitoring of the MSME Development and support from pre-investment to post-investment monitoring, including support, mentorship, collections, portfolio at risk and Impairments.

The Committees may co-opt specific expertise to enhance their composition, although such co-opted members do not have voting rights. There were no co-opted Members during the year under review by any of the Committees.

All Board Committees have charters that guide the execution of their respective mandates, which are achieved through effective meetings, execution of the annual work plans, deep dive sessions and periodic Board workshops. The Board workshops focus on strategic planning and review of the Corporate Plan, which incorporates five-year budgets. Deep dive sessions are held to discuss specific matters as part of ongoing development and understanding of the Company, as and when required.



Composition of the Board

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Ms Nonzuzo Makanda	Black Female	01 Oct 2024	a) M Com Economics (University of KwaZulu-Natal) b) B Com Honours: Business Management specialising in Investments (University of South Africa) c) B Com Economics (University of South Africa)	a) Economics b) Finance c) Business management d) Investments e) Financial services (mining, agriculture, financial technology, construction) f) SMME and co-operative development g) Fund origination and management h) Investment analysis and financial modelling i) Transaction advisory and capital raising j) Public-Private Partnerships (PPP) projects k) Financial technology strategist l) Content developer for SMME training m)Corporate finance n) SMME training and research o) Project finance	a) Board (Chairperson) b) Nominations and Strategy Committee Chairperson c) Risk and ICT Governance Committee d) Board Credit and Investment Committee e) Business Development and Support Committee f) Khula Business Premises g) Business Partners Ltd	Memberships/ Association/Advisory a) Chairperson National Financial Literacy Association b) Women’s Economic Assembly (WECONA) -Financial Committee c) BRICS Women Business Alliance - Innovative development d) Economic Society of South Africa (ESSA) e) Institute of Directors South Africa (IoDSA) Directorship/Trusteeship (Shareholding): a) National Financial Literacy Advocacy (Director and S/H 100%) b) Guinevere Property Investments (Director and S/H 100%) c) Isondlo Producers (Director and S/H 50%) d) Green food producers (Director and S/H 100%) e) Gogo gives Smiles (NPC)

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Mr King Tembinkosi Bonakele	Black Male	01 Oct 2024	a) MBA (Gordon Institute of Business Science (GIBS), University of Pretoria) b) Admitted Attorney c) Practical Legal Training (Law Society of SA, Port Elizabeth) d) LLB (University of Fort Hare) e) B Juris (University of Fort Hare)	a) Competition Law b) Compliance c) Organisational Development d) Strategy development and implementation e) Leadership f) Public Sector and institution development	a) Human Capital and Remuneration Committee Member, b) Social, Ethics and Transformation Committee Member	Memberships/ Association/Advisory a) Member of Council, Walter Sisulu University b) Institute of Directors South Africa (IoDSA) Directorship/ Trusteeship/ (Shareholding): a) Bonakele Advisory Services b) Gogogogo c) Petroleum Legacy Board overseeing Petro SA, Strategic Fuel Fund and iGas d) National Lotteries Commission e) SFF (Human Capital Committee Chairperson)
Mr Waseem Carrim	Indian Male	01 Oct 2024	a) MBA (Wits Business School) b) MCom Taxation (University of Pretoria) c) CA (SA) d) Bcom Hons Accounting Science (University of Pretoria) e) BCom Accounting	a) Accounting b) Strategy Development and Execution c) Leadership	a) Business Development and Support Committee - Chairperson b) Audit Committee c) Nominations Committee	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) b) Independent Audit & Risk Committee Member at Mpumalanga Parks and Tourism c) Independent Audit & Risk Committee Member at Health and Welfare SETA Directorship/ Trusteeship/ (Shareholding): a) Chairperson of the Board at UNISA Enterprise b) CEO at NSFAS (ex officio member of the Board)

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Ms Xoliswa Daku	Black Female	01 Oct 2024	a) Executive MBA (University of Cape Town Graduate School of Business) b) UCT School of Legal Practice c) LLM (University of the Western Cape) d) B. Proc (University of Transkei) e) Post Graduate Diplomas in Human Resources and Project Management (Varsity Collage) f) Management Development Programme (University of Stellenbosch) g) Post Graduate Project Management and Advanced Project Management (Cranefield Collage) h) MSC Real Estate (University of Manchester)	a) Legal and business leadership b) Strategy design and development c) Public speaking d) Trade and investment e) FDI and LED f) Integrated property development and management g) Strong programme and project management H) Infrastructure development	a) Social, Ethics and Transformation Committee Chairperson b) Audit Committee c) Nominations and Strategy Committee d) Khula Credit Guarantee Ltd	Memberships/ Association/Advisory a) Member Of The Institute of Directors (IODSA) b) Member of the South African Property Association c) Member of the South African Institute of Black Property Practitioners Directorship/ Trusteeship/ (Shareholding): a) Daku Corporation PTY Ltd (S/H 100%) b) Daku Construction PTY Ltd (S/H 100%) c) Daku Commercial Properties PTY Ltd (S/H 100%) d) Daku Securities PY Ltd (S/H 100%) e) Daku Energy PTY Ltd (S/H 100%) f) Daku Residential Properties (S/H 100%) g) Daku Properties PTY Ltd (S/H 100%) h) DEED (Section 21) 100%
Ms Nontobeko Lubisi	Black Female		a) Executive Development Programme (Wits Business School) b) MPhil Taxation Policy (University of Pretoria) c) Postgrad Diploma (Development Finance) University of Stellenbosch)	a) Strategy Development and implementation b) Policy Development c) Development Finance d) Statistical Analysis	a) Human Capital and Remuneration Committee b) Social, Ethics and Transformation Committee	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) b) Financial Sector Transformation Council (Ministerial Designate)

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Ms Nontobeko Lubisi <i>continued</i>			d) BTech Quality (Unisa) e) Bcom Statistics (University of Pretoria)			
Mr Patrick Makape ¹¹	Black Male		a) BSc (Mechanical Engineering) (University of Witwatersrand) a) Project Management (University of Pretoria) b) Advanced Procurement and Supply Chain Management (University of Witwatersrand)	a) Infrastructure planning and project management - Wits b) Occupational health and safety c) Construction programme and project management d) Procurement and supply chain management e) Infrastructure planning and design	a) Human Capital and Remuneration Committee Chairperson b) Social, Ethics and Transformation Committee c) Nominations and Strategy Committee d) Khula Business Premises	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) b) Board Member of Broadband Infracore-SOC
Ms Keabetswe Mogorosi	Black Female	01 Oct 2024	a) MBA (Gordon Institute of Business Science (University of Pretoria) b) BCom Economics (University of Cape Town)	a) Investment banking b) Property finance c) Property investment d) Development finance e) Transaction advisory, f) Deal origination, structuring, capital raising	a) Risk and ICT Governance Committee Member b) Board Credit and Investment Committee (Chairperson) c) Nominations and Strategy Committee	Memberships/ Association/Advisory a) Institute of Directors South Africa (IoDSA) Directorship/Trusteeship (Shareholding): a) Ona Capital (S/H 100%) b) Ona Property (SH: 100%) c) Riverside Retail Property (S/H 100%) d) Ona Investments (S/H 100%)

¹¹Employer: Limpopo Department of Public Works

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Ms Cingashe Nogaya Motale	Black Female	01 Oct 2024	a) Diploma in Marketing and Business Management (Damelin) b) Women in Leadership NQF6 (University of the Free state)	a) Facilitation, Social Impact b) Financial analysis c) Administrative Skills d) Organisational e) Business analysis f) Report writing g) Project development and management h) Business Management Skills	a) Khula Business Premises (Pty) Ltd b) Social and Ethics Committee c) Board Credit and Investment Committee d) Human Capital & Remuneration Committee	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorship/Trusteeship (Shareholding): a) Colossal Africa Group Pty Ltd Director/ SH (30%) b) MPC Marketing Pty Ltd Director /SH (100%) c) Eclat Africa Projects and Investments Pty Ltd Director/ SH (100%) e) Colossal Africa Infrastructure Pty Ltd Director/SH (32.5%) f) NAS Colossal Aviation Services Pty Ltd Director (Indirect shareholding for Colossal Africa Infrastructure of 77% and Direct 32.5%)
Mr Sinovuyo Mpakama	Black Male	01 Oct 2024	a) MCom Finance (University of Witwatersrand) b) BComm Honours (University of Cape Town) c) Bachelor of Economics (University of Fort Hare)	a) Budget and Capital Planning b) Capital Investment c) Finance (Modelling, policies, turnaround recovery) d) Governance Leadership e) Financial Reporting f) Public Procurement	a) Audit Committee Chairperson b) Board Credit and Investment Committee c) Risk and IT Governance Committee	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorships/ Trusteeship (Shareholding): a) Beef smith Industries b) Msuthu Meat Industries

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Mr Sinovuyo Mpakama <i>continued</i>				g) Project finance h) Regulatory Framework (PFMA and PPPFA) i) Risk, Change and Compliance Management j) People Management and Development k) Portfolio and Programme Management		c) K2020878609 - Business Consulting and Financial Advisory d) Matla Energy Group e) Black Tie Luxury Charter f) Olive Dahlia Holdings g) Lemon Twist h) Acrylic Purple
Ms Dorah Ntsika	Black Female	01 Oct 2024	a) BA Communication Science – Corporate and Marketing Communication (University of the Free State) b) Post Graduate Diploma – Labour Law ((University of the Free State) c) National Certificate in Policing (Safety and Security Sector Education and Training Authority)	a) Corporate management and media communication b) Events planning and coordination c) Public speaking and presentation d) Employee labour relations e) Community liaison and partnership	a) Human Capital and Remuneration Committee b) Social, Ethics and Transformation Committee c) Khula Business Premises (PTY) LTD	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorships/ Trusteeship/ (Shareholding): a) IkamvaNet b) Ashrah Tech c) InterGlass d) Ashrah e) Cheetah Fire Services
Mr Luyanda Ntuane	Black Male	01 Oct 2024	a) Fundamentals of Cybersecurity (Certificate) (University of Cape Town) b) Chief Information Officer (CIO): Professional Practice (University of Witwatersrand) c) Postgraduate Diploma in Management (Distributed Commercial Information	a) Business and IT strategy development b) Corporate and IT governance c) Driving organisational performance d) Digital transformation e) Project and programme f) Management	a) Risk & IT Governance Committee Chairperson b) Audit Committee Member c) Nomination and Strategy Committee Member d) Khula Credit Guarantee Ltd	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorships/ Trusteeship/ (Shareholding): a) Financial Sector Conduct Authority (FSCA) b) Office of the Pension Funds Adjudicator (OPFA)

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Mr Luyanda Ntuane <i>continued</i>	Black Male	01 Oct 2024	- Systems) University of Cape Town) d) Advanced Diploma in Project Management (Cranefield College) e) Applied Project Management in an IT Environment (University of South Africa) f) Bachelor of Commerce (Economics and Business Information Systems) (University of KwaZulu Natal) g) Professional Certification h) Certified Information Security Manager (CISM®), i) Certified in Risk and Information Systems Control (CRISCTM) j) Certified in the Governance of Enterprise IT (CGEIT®)	g) Information Technology Management h) People leadership a) Governance, risk, and compliance b) Enterprise architecture c) Cybersecurity management		c) Office of the Ombud for Financial Services Providers (FAIS Ombud) d) Europcar South Africa (Pty) Ltd e) Tempest South Africa (Pty) Ltd



Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Mr Avuyile Xabadiya	Black Male	1 May 2024	a) Master of Commerce in Economics and Agriculture (Cum Laude) (Chinese Academy of Agricultural Sciences, Beijing China) b) BSc (Honours) Agricultural Economics (Cum Laude) (University of Fort Hare) c) BSc Economics (Cum Laude) (University of Fort Hare)	a) Economics b) Research	a) Risk and IT Governance Committee Member b) Business Development and Support Committee Member c) Human Resources and Remuneration Committee Member	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorships/ Trusteeship/ (Shareholding): None
Mr Nkosikhona Sydney Mbatha (CEO – Executive Director)	Black Male	May 2024	a) Post Graduate Diploma in Finance, Banking and Investment Management with distinction (2014) (University of KwaZulu-Natal) b) Regulatory Exam - Part 1 (completed in 2012) c) Change Management Certificate d) Business rescue decision-making course e) Bachelor of Commerce in Accounting (2003) (University of KwaZulu-Natal)	a) Strategy development b) Leadership c) Business management d) Deal origination, structuring, and restructuring e) Business performance analysis and Management, f) Report writing g) Credit assessment	a) Khula Business Premises (Pty) Ltd b) Khula Credit Guarantee Ltd c) Business Partners Ltd	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorship/ Trusteeship/ (Shareholding): None

Composition of the Board *continued*

Name	Demographics	Date of appointment	Academic Qualifications (copies of certificates outstanding)	Area of Expertise/ Skills Matrix	Sedfa Committee membership and Subsidiary/ Investee Companies Directorship	Other Directorships/ Trusteeships/ Memberships (Per Declaration of Interest Form – April 2025)
Ms Candice Williams (Acting CFO) DOB:	White	Joined sefa on 1 April 2020 and was appointed ACFO on 1 August 2021	a) CA (SA) b) B.Compt Accounting Hons) CTA (2008 – UNISA) c) B.Com Accounting (2006 – UJ)	a) Strategic Financial Management and Corporate Governance b) Financial Reporting (IFRS, PFMA, Companies Act) c) Budgeting, Forecasting, and Financial Analysis. d) Treasury and Cash Flow Management e) Developing and Implementing Streamlined Financial Management Processes f) Regulatory Compliance and Risk Management g) Supply Chain Management (SCM) Oversight h) Stakeholder Engagement and Executive Communication i) Tax Planning and Financial Control Optimisation j) Lead, Direct, Assist and Support Teams	a) Exco Committee Member b) National Bid Adjudication Member and Chairperson c) Exco Investment Committee Member d) Management Committee Member and Chairperson e) Provident Fund Management Committee Member and Chairperson	Memberships/ Associations/Advisory a) Institute of Directors South Africa (IoDSA) Directorship/ Trusteeship/ (Shareholding): None



8.2. Board and Committee Meetings and Attendance for the FY2024/25

Board and Committee meetings are held quarterly, with additional meetings scheduled for out-of-cycle reporting and other related activities. Since the COVID-19 pandemic, which saw the Board successfully shift from in-person meetings to electronic meetings, via Microsoft Teams, all meetings were held electronically.

The table below represents the Legends used in the Board and its Sub-committee meetings.

Audit Committee	Board Credit & Investment Committee	Human Capital & Remuneration Committee	Nominations & Strategy Committee	Risk & IT Governance Committee	Social, Ethics & Transformation Committee	Business Development & Support Committee
AC	BCIC	HCRC	NomCo	RITGC	SETC	BDSC

The table below provides an overview of the Board and the various Board sub-committees, indicating the number of meetings held and the attendance record of each Board member.

	Board	AC	BCIC	HCRC	NomCo	RITGC	SETC	BDSC
<i>Scheduled Meetings</i>	4	2	4	2	2	2	2	2
<i>Special Meetings</i>	4	3	1	2	2	1		
Total No. of meetings held	8	5	5	4	4	3	2	2
N Makanda	8		3		4	2		1
KT Bonakele	8			3			2	
W Carrim	7	4			3			2
X Daku	6	2			3		2	
N Lubisi	5			4			2	
PL Makape	8			4	4		2	
K Mogorosi	8		5			3		2
C Motale	8		5		2	3		2
S Mpakama	7	5	3		3	3		
DM Ntsika	8			4			2	
L Ntuane	8	5			4	3		
H Tsoadi*	5	4	4					
A Xabadiya	5			4				2

*Resigned on 02 June 2025

BOARD EFFECTIVENESS AND TRAINING

Directors' Induction and Continuous Development

As part of enhancing the Directors' skills, the Company Secretariat arranges membership and/or renewal for all the Directors with the Institute of Directors Southern Africa (IoDSA). Individual Directors are encouraged to identify any training events they may wish to attend through recognised training institutes, including the IoDSA, as part of ongoing development as a director. In-house sessions will be arranged in FY2025/26 as part of ongoing development.

SEDFA Board strategic Planning session 22-23 October 2024

SEDFA, established on 01 October 2025, held detailed engagements to develop the Company Strategy and Annual Performance Plan, with specific presentations on the different operations of the Company, including the supporting business units. The APP was duly submitted to the Executive Authority by 31 October 2024.

Executive Authority and Shareholder Engagements

To facilitate effective performance monitoring by the Executive Authority, and in line with Treasury Regulation 29.3.1, the Minister meets with the Board as and when necessary. The Board concluded a Shareholder's Compact with the Executive Authority and the Shareholder.

Declaration of Conflicts of Interest

The Board recognises the importance of acting in the best interests of the Company. It therefore adheres to the provisions of the Companies Act by disclosing and avoiding conflicts of interest. Directors have a fiduciary duty to disclose the nature of their interests and are required to declare their general interests annually, by 30 April, and at each meeting in respect of matters on the agenda. All Directors submitted their Declaration of Interest for the period under review.

Board Remuneration

The Board has approved a Director's Remuneration Policy and Framework and submitted it for the concurrence of the Executive Authority. The Policy and Framework are based on the approved remuneration scale per the National Treasury applicable Framework. Non-Executive Directors are remunerated for meetings attended. Attendance to ad hoc non-meeting duties performed on behalf of the company, as approved by the Chairperson, is payable at the meeting sitting rate or hourly rate as applicable, based on the Directors' Remuneration Policy and Framework. SEDFA does not pay performance-based remuneration or retainer fees to Non-Executive Directors. Directors' remuneration is reported under note 226 of the Annual Financial Statements.

Delegation of Authority

The Board has delegated certain of its functions to the Committees and Management. In accordance with Section 56 of the PFMA, the Board has documented in writing all powers that have been delegated. The Delegation of Authority Matrix is reviewed annually to ensure adequacy. The Board duly reviewed and approved the SEDFA Delegation of Authority Matrix during the period under review.

Company Secretary

The Company Secretary is independent of the Board and Management, and reports administratively to the CEO and functionally to the Board. The Company Secretary is responsible to the Board for, amongst others, ensuring and facilitating compliance with Board procedures, applicable statutes, and regulations. To enable the Board to function effectively, all directors have full and unrestricted access to the Company Secretary. The Company Secretary makes the Board Members aware of any contraventions to policies and applicable legislation, as and when such matters arise.



RISK MANAGEMENT

A consolidation process was conducted at a strategic and operational level to align with the new organisation's outcomes. Thirteen (13) strategic risks were identified for monitoring in 2024/25 financial year. As at 30 March 2025, SEDFA implemented 44% of the Strategic Risk Treatment Action Plans. At the operational level, SEDFA achieved 56% during the 2024/25 FY.

COMPLIANCE WITH LAWS AND REGULATIONS

In conducting its business, SEDFA operates within a highly regulated environment to achieve its strategic objectives. Failure to meet legislative requirements could lead to potential litigation and regulatory fines. From a control perspective, governance documents such as the approved Compliance Policy have been communicated throughout the organisation to amplify the importance of being compliant by meeting legislative requirements. This is further strengthened by the approved Regulatory Universe, which guided the risk-based approach followed in the compilation of Compliance Risk Management Plans. Some of the key legislation includes, but is not limited to:

- National Small Enterprise Amendment Act 21 of 2004
- Consumer Protection Act 68 of 2008
- Occupation for Occupational Injuries and Disease Act, 1993 (Act 130 of 1993)
- Companies Act 71 of 2008
- Financial Advisory and Intermediaries Services Act 37 of 2002
- Financial Intelligence Centre Act 38 of 2001
- Financial Sector Regulation Act 9 of 2017
- Insurance Act 18 of 2017
- Labour Relations Act 66 of 1995
- National Credit Act 34 of 2005 - (National Credit Amendment Act 7 of 2019))
- Occupational Health and Safety Act 85 of 1993
- Protection of Personal Information Act 4 of 2013
- Public Finance Management Act 1 of 1999
- Cybercrimes Act 19 of 2020

SEDFA, as a successfully registered entity with the Financial Intelligence Centre (FIC), is defined as an accountable institution in terms of Schedule 1 to the Financial Intelligence Centre Act (FICA) No. 38 of 2001. We are also a registered credit provider in terms of the National Credit Act No 34 of 2005. The National Credit Regulator requires a credit provider whose annual disbursements

exceed R15 million to complete and submit the statistical return quarterly by means of Form 39. This form was submitted quarterly as per the requirement.

Compliance is also strategically important in protecting our reputation, mitigating against operational risk and setting the standard for a strong compliance culture throughout all business activities. To this extent, various compliance awareness sessions and training are continuously provided to the staff, following the approval of the Risk and Compliance Management Programme (RMCP) which the Board approved for implementation.

Training and awareness remain critical with the view to creating an environment where compliance is understood and valued as this will assist in creating a culture of compliance as performance is pursued. Training conducted during the past year included the following:

- National Credit Act
- Financial Intelligence Centre Act

Prominent Influential Persons (PIPs) and Politically Exposed Persons (PEPs)

The definition of Prominent Influential Persons (PIPs) is wide-ranging. The Financial Intelligence Centre (FIC) uses the term for an individual who is or has in the past been entrusted with a prominent public or private sector position. PIPs are deemed to be high risk as they occupy positions of influence and power that could be abused for private or to benefit family members and/or close associates. As a result of the risks associated with dealing with PIPs, SEDFA is taking steps to identify the status of each prospective client in respect of PIPs and ensure that the necessary enhanced due diligence, enhanced monitoring and approval by the relevant governance structures are undertaken. SEDFA is not precluded from doing business with a PIP/PEP, and the identification of a PIP does not, by default, decline such an application for funding.

Khula Credit Guarantee (KCG)

The various approved policies giving effect to the operationalisation of the Khula Credit Guarantee's strategy were implemented on an ongoing basis. KCG's Risk and Solvency Assessment, Qualitative Regulatory Return (QRR) and Quarterly and Annual Quantitative Reporting Template (QRT) were timeously submitted to the Prudential Authority (PA). KCG also participated in and responded

to various insurance industry-related questionnaires that were managed by the PA. KCG informed the Prudential Authority of its change of significant ownership following the merger of the former sefa with Seda, Cooperatives Bank Development Agency to form what is now known as the Small Enterprise Development and Finance Agency (SEDFA).

In conducting its business, Seda operates within a defined legislative environment and understands the importance of complying with applicable legal and regulatory requirements. During the 2022/23 financial year, the Regulatory Universe was reviewed in relation to all the divisions within Seda and changes in the legislative environment. In total, 10 Acts were prioritised for control capturing, compliance monitoring and reporting. Following a gap analysis, an Implementation Matrix, with milestones and target dates, was compiled to guide the organisation's implementation of the Protection of Personal Information Act, 2013 (Act No. 4 of 2013). Eighty percent of the targeted implementation recommendations were achieved.

Hybrid compliance and ethics awareness sessions were conducted throughout the organisation in 2022/23 to promote ethical behaviour, improve the ethical culture, and enhance compliance with statutory requirements. These focused on:

- The Protection of Personal Information Act
- Conflicts of Interest
- Gifts and Hospitality
- Ethics
- The Prevention and Combating of Corrupt Activities Act, 2004 (Act No. 12 of 2004).

All executives, managers, Finance Division staff (including Supply Chain Management) and Board members declared outside interests for the financial year 2024/25. This supports Seda's commitment to ensuring that "... a high standard of professional ethics is promoted and maintained", as outlined in Section 195 of the Constitution of the Republic of South Africa.

FRAUD AND CORRUPTION

The **Fraud Prevention Management** function (formerly known as Forensic Audit) is located within the Risk and Compliance Management unit. The main objectives of the Fraud Prevention and Management ("FPM") function are to cultivate a "fraud-free" environment as fraud and corruption pose a serious threat to SEDFA's goals of providing access to finance to MSMEs and Co-operatives.

- **Approved policies:** The following approved policies are critical for establishing governance frameworks to prevent, detect, and respond to fraud, corruption, and financial misconduct. The policies are specifically drafted to address SMME-specific fraud risks. These policies align with forensic auditing standards from the Institute of Commercial Forensic Practitioners (ICFP) and the Association of Certified Fraud Examiners (ACFE).

These policies and frameworks guide investigations into financial irregularities, thereby ensuring compliance with legal standards. FPM conducts its work in accordance with these policies and frameworks:

- a) Fraud Prevention Framework
- b) Anti-fraud and corruption policy
- c) Whistleblowing policy
- d) Procedure Manual: Fraud Investigation

- **Case Management System**

This system tracks case progress, facilitates the allocation of cases to team members, and serves as a repository for investigations concluded. Access to the system is restricted to FPM members to ensure confidentiality.

- **Vuvuzela Fraud & Ethics Hotline**

SEDFA maintains an independently managed whistleblowing platform where all whistleblowers are encouraged to report instances of financial misconduct. The hotline is available 24/7 to receive new allegations.

- **Post-investigation support**

FPM provides support with financial recovery plans post-investigation, including testifying during disciplinary hearings. FPM supports management in holding employees accountable for their involvement in fraud and corruption activities.

- **Collaboration with law enforcement**

FPM supports the South African Police Service ("SAPS") during criminal investigations by providing access to critical documents and personnel. Our investigation processes are designed to maintain a chain of custody for all evidence required by SAPS for that evidence to be admissible in court.

- **Fraud Awareness Training**

During the awareness training conducted, FPM equipped employees with skills to identify fraud risks, help prevent fraud and also advise SMMEs that are vulnerable to abuse and misconduct by suppliers and other government stakeholders.

FPM held a similar awareness session in November to December 2024 to Wholesale Lending teams, where we shared “lessons learned” from previous investigations conducted.

Thirty-eight (38) cases of alleged fraud and other irregularities were recorded and investigated, culminating in twenty (20) reports with findings and recommendations for corrective and remedial action being issued to management for implementation.

MINIMISING CONFLICT OF INTEREST

To prevent fraud, corruption, and bribery, SEDFA managed the conflict of interest through their former Seda and sefa Gift and Hospitality policies, which regulate gifts and hospitality. A consolidated SEDFA Gift and Hospitality register was monitored and reported quarterly to the Board. Board members were also required to declare their financial interests annually and any conflicts of interest at each meeting.

CODE OF CONDUCT

Seda is committed to compliance and good corporate governance. Its Board members, management and employees recognise the need for the highest standards of behaviour and business ethics. All directors and employees are expected to comply with legislation, the highest standards of propriety and Seda’s ethics policy and code of conduct. Seda is committed to compliance and good corporate governance.

WHISTLEBLOWING AND INVESTIGATIONS

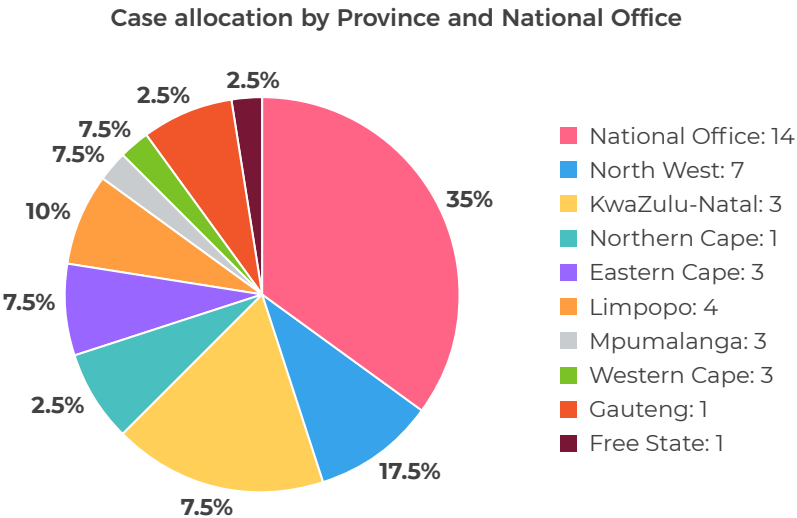
SEDFA’s Whistleblowing policy promotes clean corporate governance and a secure working environment. This policy encourages a culture of transparency and extends protection to whistleblower(s) against retaliation, victimisation and reprisals aligned to their disclosures.

We re-appointed the **Vuvuzela Fraud & Ethics Hotline** in April 2025 to provide a confidential hotline service. Reports made by whistleblowers covered topics such as financial misconduct, discrimination, harassment and ethical breaches. Vuvuzela has provided a dependable hotline service since October 2020.

Vuvuzela’s confidential hotline delivers daily reports on issues reported and escalated to SEDFA management. Upon receiving a complaint, FPM acknowledges receipt with the complainant (if not anonymous) to foster trust. Subsequently, a preliminary review of the complaint is conducted to determine if a full investigation is warranted.

NUMBER OF CASES REPORTED DURING FY 2024/2025

The Allegations Register records the following stats as shown in the pie chart below: Total Cases Recorded: 40.



AUDIT COMMITTEE REPORT

The Sedfa Audit Committee ("the committee") is established as an independent statutory committee in terms of the Public Finance Management Act (PFMA). The committee functions within approved terms of reference that are reviewed at least annually to ensure their continued relevance and compliance with relevant legislation, regulation and governance codes.

The Audit Committee is pleased to present its report for the financial year ended 31 March 2025 as required in terms of Treasury Regulations 27.1.7 and 27.1.10 (b) and (c), issued in terms of Section 51(1)(a)(ii) and 76(4)(d) of the PFMA.

Audit Committee responsibility

The committee reports that it has complied with its responsibilities arising from Section 51(1)(a)(ii) of the Public Finance Management Act and Treasury Regulation 27.1. The committee also reports that it has adopted appropriate formal terms of reference through its Audit and Risk Committee Charter, has regulated its affairs in compliance with this charter, and has discharged all its responsibilities as contained therein. The committee is required to report, amongst other matters, on the effectiveness of internal controls and its evaluation of the Annual Financial Statements.

Enterprise risk management

The Audit Committee considered reports on the effectiveness of risk management activities. A strategic and operational risk assessment for the year under review was conducted. The committee reviewed the risk registers and Risk Mitigation Plans quarterly. The committee ensured that the assurance functions of management, Internal and External Audit, are sufficiently integrated.

In-year management and monthly/quarterly reports

The committee reports that, during the year under review, it was presented with regular quarterly management reports to enable it to:

- Monitor the integrity, accuracy and reliability of performance and financial reports of the entity
- Review the disclosure in the financial reports of the entity
- Review all material information presented together with management accounts.

The public entity has reported monthly and quarterly to the National Treasury as required in terms of the PFMA.

Auditor's report

The committee has reviewed the entity's implementation plan for audit findings raised during the prior year, and it has raised concerns regarding audit findings that remained unresolved for an extended period.

The committee concurs and accepts the conclusions of the Auditor-General on the Annual Financial Statements and believes that the audited Annual Financial Statements be accepted and read together with the report of the Auditor-General.



Mr Sinovuyo Mpakama
Chairperson of the Audit Committee

30 September 2025







PART D

HUMAN CAPITAL MANAGEMENT AND FACILITIES

INTRODUCTION

The 2024/25 financial year marked a transformative chapter for SEDFA, officially established on 1 October 2024. Human Resources played a central role in steering the organisation through this transition, with the initial six months of the year focused on laying the groundwork for a unified and functional organisational structure. During this preparatory phase, HR led the creation of work streams to shape the operational environment, developed an employee migration plan to ensure the retention of critical talent, and implemented a comprehensive change management programme. These efforts were essential in fostering transparency, building trust, and aligning employees with the strategic objectives of the merger.

From October 2024 to March 2025, the organisation shifted from planning to execution. All foundational HR plans were deployed to support SEDFA as it navigated the complexities of change. This included the rollout of a future-focused competency framework and the implementation of a functional structure and resource framework approved by governance structures. Recruitment processes commenced to populate the new structure, particularly at the leadership level, while employee engagement initiatives and wellness programmes were introduced to support staff during the transition. These interventions were critical in maintaining operational continuity and laying the foundation for a cohesive, high-performing workforce. All the plans below were deployed.

Key Strategies

A key HR priority was the development of a future-focused competency framework, designed to reflect the skills and

capabilities required by the new entity. This was supported by the approval of a functional structure and resource framework, which provided a clear roadmap for staffing and operational alignment. From October 2024 onwards, these plans were actively deployed. Recruitment efforts, particularly at the leadership level, commenced to populate the new structure. However, progress was slower than initially anticipated due to the complexity of the transition and the need to ensure strategic fit.

Workforce Planning Framework

Workforce planning remained central to HR operations, with a strong emphasis on aligning human capital with organisational goals. The initial phase of the employee migration process focused on integrating HR systems and retaining essential skills. Job profiles were developed and benchmarked to support the macro-level structure, while shared office accommodation was introduced across regions and provinces to optimise resources and foster collaboration.

Employee Performance Management Framework

Performance management continued to be a cornerstone of SEDFA's HR strategy. The organisation maintained its commitment to a culture of excellence through a robust Performance Management and Development framework. This process facilitated continuous dialogue between staff and management, established clear performance expectations, and supported both individual and organisational growth. The Board retained discretion over performance rewards, which were contingent on overall organisational performance and the availability of resources.



Employee wellness

Employee wellness was prioritised throughout the year. Through the Employee Assistance Programme (EAP), SEDFA provided comprehensive support services, including psychological, legal, and financial counselling. These initiatives were designed to promote a healthy work-life balance and ensure a safe and supportive working environment for all employees, particularly during the uncertainty of the transition period.

HR Policies

In terms of policy development, the HR unit successfully drafted and secured approval for core human capital policies and practice notes. These policies are essential for guiding HR operations and ensuring consistency across the newly merged entity, laying the groundwork for a stable and compliant HR environment.

Challenges

Despite these achievements, the organisation faced several challenges. Low employee morale and the loss of talent were notable concerns, mainly stemming from the temporary suspension of permanent employment arrangements while placements were being finalised. Extended timelines in leadership recruitment also posed difficulties. To address these issues, SEDFA actively engaged with employee forums and labour representatives, fostering open communication and collaborative problem-solving to maintain trust and transparency.

Future Human Resources Plans and Goals

Looking ahead, HR efforts will focus on finalising the migration process, confirming permanent placements, and strengthening employee engagement. The organisation aims to fully integrate facilities and systems, enhance productivity, and deliver on its mandate. A key priority will be the cultivation of a unified organisational culture that reflects the values and aspirations of SEDFA, ensuring that employees are empowered to contribute meaningfully to the organisation's success.

Human Resources Oversight Statistics

The public entity must provide the following key information on human resources. All the financial amounts must agree with the amounts disclosed in the annual financial statements. Where considered appropriate, provide reasons for variances.







PART E

PFMA COMPLIANCE REPORT

PFMA COMPLIANCE REPORT

INFORMATION ON IRREGULAR, FRUITLESS AND WASTEFUL EXPENDITURE AND MATERIAL LOSSES

IRREGULAR EXPENDITURE

a) Reconciliation of irregular expenditure

Description	2024/25 R'000	2023/24 R'000
Opening balance Seda	70	5 532
Opening balance sefa	163	163
Adjustment to opening balance Seda		(54)
Adjustment to opening balance sefa		
Opening balance as restated	233	5 478
Add: Irregular expenditure confirmed seda	4 208	139
Add: Irregular expenditure confirmed sefa		163
Add: Irregular expenditure confirmed sedfa	187	
Less: Irregular expenditure condoned		0
Less: Irregular expenditure not condoned and removed		(5 546)
Less: Irregular expenditure recoverable	(3)	0
Less: Irregular expenditure not recovered and written off		0
Closing Balance	4 625	233

Reconciling notes

Description	2024/25 R'000	2023/24 R'000
Irregular expenditure that was under assessment	-	-
Irregular expenditure that relates to the prior year and identified in the current year	-	-
Irregular expenditure for the current year ex SEDA	4 208	139
Irregular expenditure for the current year ex sefa		163
Irregular expenditure for the current year SEDFA	187	
Total	4 395	302

b) Details of irregular expenditure (under assessment, determination, and investigation)

Description	2024/25 R'000	2023/24 R'000
Irregular expenditure under assessment	-	-
Irregular expenditure under determination	-	-
Irregular expenditure under investigation	-	-
Total	-	-

c) Details of irregular expenditure condoned

Irregular expenditure condoned	-	-
Total	-	-

d) Details of irregular expenditure removed (not condoned)

Irregular expenditure NOT condoned and removed	-	(5 546)
Total	-	(5 546)

e) Details of irregular expenditure recoverable

Irregular expenditure recoverable	(3)	-
Total	(3)	-

f) Details of irregular expenditure written off (irrecoverable)

Irregular expenditure written off	-	-
Total	-	-

g) Details of disciplinary or criminal steps taken as a result of irregular expenditure

Disciplinary steps taken	-	-
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R4 208 000.00: Investigation is complete and the report is with Management for execution, disciplinary steps is in progress.

R186 611.00: Two payments in relation procurement irregularities. The investigations reports are with Management for execution.

Narrative

Narrative Disclosure – SEDFA 2024/25

The Small Enterprise Development and Finance Agency (SEDFA) was established following the merger of SEDA, sefa and CBDA.

Legacy irregular expenditure of R4 369 000 was brought forward from the three former entities.

Additional irregular expenditure of R186 611 was incurred during the merger transition period (October 2024 – March 2025), primarily due to procurement transaction made while integrating financial systems and processes.

Preventive measures: PFMA and SCM refresher training rolled out to merged teams.

FRUITLESS AND WASTEFUL EXPENDITURE

a) Reconciliation of fruitless and wasteful expenditure

Description	2024/25 R'000	2023/24 R'000
Opening balance ex Seda	5 011	2 902
Opening balance ex sefa	10	10
Adjustment to opening balance		5 000
Opening balance restated	5 011	7 912
Add: Fruitless and wasteful expenditure confirmed ex-Seda	42	1
Add: Fruitless and wasteful expenditure confirmed Sedfa	1 405	
Less: Fruitless and wasteful expenditure recoverable	-	(374)
Less: Fruitless and wasteful expenditure not recoverable and written off	-	(2 528)
Closing Balance	6 459	5 011

Reconciling notes

Description	2024/25 R'000	2023/24 R'000
Fruitless and wasteful expenditure that was under assessment	-	-
Fruitless and wasteful expenditure that relates to the prior year and identified in the current year	-	5 000
Fruitless and wasteful expenditure for the current year ex Seda	42	1
Fruitless and wasteful expenditure for the current year ex sefa	-	10
Fruitless and wasteful expenditure for the current year sedfa	1 405	
Total	1 447	5 011



b) Details of fruitless and wasteful expenditure (under assessment, determination, and investigation)

Description	2024/25 R'000	2023/24 R'000
Fruitless and wasteful expenditure under assessment	-	-
Fruitless and wasteful expenditure under determination	-	-
Fruitless and wasteful expenditure under investigation	1 405	1
Total	1 405	1

c) Details of fruitless and wasteful expenditure recoverable

Fruitless and wasteful expenditure recoverable	-	(374)
Total	-	(374)

d) Details of fruitless and wasteful expenditure not recoverable and written off

Fruitless and wasteful expenditure written off	-	(2 528)
Total	-	(2 528)

e) Details of disciplinary or criminal steps taken as a result of fruitless and wasteful expenditure

Disciplinary steps taken	-	-
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R42 370.00 : The investigation report is with Management for execution.

Narrative

Legacy Seda fruitless & wasteful expenditure is R42 370 and sefa R10 000.
The Small Enterprise Development and Finance Agency (SEDFA) reported fruitless & wasteful expenditure of R1 405 000 in 2024/25. This primarily relates to late payment penalties and duplicated services during the merger transition period. The amount is currently under investigation.





PART F

FINANCIAL INFORMATION

Small Enterprise Development and Finance Agency (SOC) LTD
Registration Number 2024/614733/30

Board Members:

Ms N Makanda (Chairperson) • Mr KT Bonakele • Mr W Carrim • Ms X Daku • Ms NP Lubisi • Mr PL Makape •
Ms K Mogorosi • Ms C Motale • Mr S Mpakama • Ms DM Ntsika • Mr L Ntuane • Mr A Xabadiya • Mr N Mbatha
(ACEO) • Ms C Williams (ACFO) • Ms B Ndlovu (Acting Company Secretary)

**SMALL ENTERPRISE DEVELOPMENT AND FINANCE AGENCY SOC LIMITED GROUP AND COMPANY
FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 MARCH 2025 REGISTRATION NUMBER:
2024/614733/30**

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The financial statements have been prepared under the supervision of the Group's Acting Chief Financial Officer, Ms CL Williams CA (SA).

The financial statements have been audited in compliance with Section 30 of the Companies Act of South Africa.

Report of the auditor-general to Parliament on the Small Enterprise Development and Finance Agency SOC Limited

Report on the audit of the consolidated and separate financial statements

Opinion

Opinion

1. I have audited the consolidated and separate financial statements of the Small Enterprise Development and Finance Agency SOC Limited (SEDFA) and its subsidiaries (the group) set out on pages 123 to 220, which comprise the consolidated and separate statement of financial position as at 31 March 2025, consolidated and separate statement of comprehensive income, consolidated and separate statement of changes in equity, and consolidated and separate statement of cash flows for the year then ended, as well as notes to the consolidated and separate financial statements, including material accounting policy information.
2. In my opinion, the consolidated and separate financial statements present fairly, in all material respects, the financial position of the group as at 31 March 2025 and their consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with the International Financial Reporting Standards (IFRS) accounting standards as issued by the International Accounting Standards Board and the requirements of the Public Finance Management Act 1 of 1999 (PFMA) and the Companies Act 71 of 2008 (Companies Act of South Africa).

Basis for opinion

3. I conducted my audit in accordance with the International Standards on Auditing (ISAs). My responsibilities under those standards are further described in the responsibilities of the auditor-general for the audit of the consolidated and separate financial statements section of my report.

4. I am independent of the group in accordance with the International Ethics Standards Board for

Accountants' International code of ethics for professional accountants (including International Independence Standards) (IESBA code) as well as other ethical requirements that are relevant to my audit in South Africa. I have fulfilled my other ethical responsibilities in accordance with these requirements and the IESBA code.

5. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Emphasis of matter

6. I draw attention to the matter below. My opinion is not modified in respect of this matter.

Basis of preparation

7. I draw attention to note 1.1 in the financial statements, which provides details of the incorporation of the SEDFA and the basis of preparation.

Responsibilities of the accounting authority for the consolidated and separate financial statements

8. The board of directors, which constitutes the accounting authority is responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with the IFRS accounting standards as issued by the International Accounting Standards Board and the requirements of the PFMA and the Companies Act of South Africa; and for such internal control as the accounting authority determines is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

9. In preparing the consolidated and separate financial statements, the accounting authority is responsible for assessing the group's ability to continue as a going concern; disclosing, as applicable, matters relating to going concern; and using the going concern basis of accounting unless the appropriate governance structure either intends to liquidate the group or to cease operations, or has no realistic alternative but to do so.

Responsibilities of the auditor-general for the audit of the consolidated and separate financial statements

10. My objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error; and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the ISAS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.
11. A further description of my responsibilities for the audit of the consolidated and separate financial statements is included in the annexure to this auditor's report. This description, which is located at page xx, forms part of my auditor's report.

Report on the annual performance report

12. In accordance with the Public Audit Act 25 of 2004 (PAA) and the general notice issued in terms thereof, I must audit and report on the usefulness and reliability of the reported performance information against predetermined objectives for the selected material performance indicators presented in the annual performance report. The accounting authority is responsible for the preparation of the annual performance report.
13. I selected the following material performance indicators related to Outcome 1 – Increased Growth and Sustainability of MSMEs and Co-operatives and Outcome 2 – Enhanced Access to Finance by MSMEs and Co-operatives, presented in the annual performance report for the year ended 31 March 2025.

I selected those indicators that measure the public entity's performance on its primary mandated functions and that are of significant national, community or public interest.

- Number of township and rural based businesses supported with business development
- Number of township and rural MSMEs assisted with Asset Assist Support Programme
- Number of township and rural MSMEs assisted with General Dealer Support Programme
- Number of MSMEs and co-operatives supported in priority sectors with non-financial business development to scale-up their businesses
- Number of MSMEs and co-operatives supported with business development
- Number of Co-operatives assisted through co-operative development Support Programme
- Number of jobs created by MSMEs, and Co-operatives supported through nonfinancial support interventions
- Number of jobs sustained by MSMEs, and Co-operatives supported through nonfinancial support interventions
- Number of SMMEs and Co-operatives assisted through the Incubation Programme
- Number of SMMEs and Co-operatives supported through the Technological Transfer Assistance Programme
- Value of disbursements to MSMEs and Co-operatives (R'000)
- Number of MSMEs and Co-operatives financed
- Number of jobs facilitated and sustained
- Disbursements to Black-owned enterprises (R'000)
- Disbursements to women-owned enterprises (R'000)
- Disbursements to youth-owned enterprises (R'000)
- Disbursements to enterprises owned by entrepreneurs with disabilities (R'000)
- Disbursements to township-based enterprises (R'000)
- Disbursements to enterprises located in rural towns and villages (R'000)

14. I evaluated the reported performance information for the selected material performance indicators against the criteria developed from the performance management and reporting framework, as defined in the general notice. When an annual performance report is prepared using this criteria, it provides useful and reliable information and insights to users on the

public entity's planning and delivery on its mandate and objectives.

15. I performed procedures to test whether:

- the indicators used for planning and reporting on performance can be linked directly to the public entity's mandate and the achievement of its planned objectives
- all the indicators relevant for measuring the public entity's performance against its primary mandated and prioritised functions and planned objectives are included
- the indicators are well defined to ensure that they are easy to understand and can be applied
- consistently, as well as verifiable so that I can confirm the methods and processes to be used for measuring achievements
- the targets can be linked directly to the achievement of the indicators and are specific, time bound and measurable to ensure that it is easy to understand what should be delivered and by when, the required level of performance as well as how performance will be evaluated
- the indicators and targets reported on in the annual performance report are the same as those committed to in the approved initial or revised planning documents
- the reported performance information is presented in the annual performance report in the prescribed manner
- There is adequate supporting evidence for the achievements reported and for the reasons provided for any over- or underachievement of targets.

16. I performed the procedures to report material findings only; and not to express an assurance opinion or conclusion.

17. The material findings on the reported performance information for the selected material indicators are as follows:

Performance indicators could not be verified

18. I could not determine if the reported achievements were correct, as adequate supporting evidence was not provided for auditing. Consequently, the achievements might be more or less than reported and were not reliable for determining if the targets had been achieved.

Indicator	Target	Reported achievement
Outcome 1: Indicator 1.11- Number of jobs created by MSMEs, and Co-operatives supported through nonfinancial support interventions	2 400	3 505
Outcome 1: Indicator 1.12 – Number of jobs sustained by MSMEs, and Co-operatives supported through nonfinancial support interventions	4 500	8 983
Outcome 1 : Indicator 1.13 – Number of SMMEs and Co-operatives assisted through the Incubation Programme	1 000	946
Outcome 2: Indicator 2.4 – Number of jobs facilitated and sustained	65 003	93 004

Other matters

19. I draw attention to the matters below.

Achievement of planned targets

20. The annual performance report includes information on reported achievements against planned targets and provides explanations for over- or underachievements. This information should be considered in the context of the material findings on the reported performance information.

21. The tables that follow provide information on the achievement of planned targets and list the key indicators that were not achieved as reported in the annual performance report. The reasons for any underachievement of targets are included in the annual performance report on pages 43 to 52.

Outcome 1 – Increased growth and sustainability of MSMEs and co-operatives

Targets achieved: 67% Budget spent: 31,69 0%		
Key indicators not achieved	Planned target	Reported achievement
Number of township and rural MSMEs assisted with Asset Assist Support Programme	600	0
Number of township and rural MSMEs assisted with General Dealer Support Programme	150	0
Number of Co-operatives assisted through co-operative development support programme	20	0
Number of SMMEs and Co-operatives supported through the Technological Transfer Assistance Programme	6	5

Outcome 2 – Enhanced access to finance by MSMEs and co-operatives

Targets achieved: 63% Budget spent: 67%		
Key indicators not achieved	Planned target	Reported achievement
Disbursements to youth-owned enterprises (R'000)	R324 663	R323 125
Disbursements to enterprises owned by entrepreneurs with disabilities (R'000)	R32 005	R3 811
Disbursements to township-based enterprises (R'000)	R314 302	R238 905

Material misstatements

22. I identified material misstatements in the annual performance report submitted for auditing. These material misstatements were in the reported performance information for:

- Outcome 1: Indicator 1.5 - Number of MSMEs and co-operatives supported with business development
- Outcome 1: Indicator 1.7 - Number of Co-operatives assisted through co-operative development support programme

- Outcome 1: Indicator 1.1 1 – Number of jobs created by MSMEs and co-operatives supported through nonfinancial support interventions
- Outcome 1: Indicator 1.12 – Number of jobs sustained by MSMEs and co-operatives supported through nonfinancial support interventions
- Outcome 1: Indicator 1.13 – Number of MSMEs and co-operatives assisted through the Incubation Programme
- Outcome 1: Indicator – 1.14 Number of SMMEs and Co-operatives supported through the Technological Transfer Assistance Programme
- Outcome 2: Indicator 2.4 – Number of jobs facilitated and sustained

23. Management did not correct some of the misstatements and I reported material findings in this regard.

Report on compliance with legislation

24. In accordance with the PAA and the general notice issued in terms thereof, I must audit and report on compliance with applicable legislation relating to financial matters, financial management and other related matters. The accounting authority is responsible for the public entity's compliance with legislation.

25. I performed procedures to test compliance with selected requirements in key legislation in accordance with the findings engagement methodology of the Auditor-General of South Africa (AGSA). This engagement is not an assurance engagement. Accordingly, I do not express an assurance opinion or conclusion.

26. Through an established AGSA process, I selected requirements in key legislation for compliance testing that are relevant to the financial and performance management of the public entity, clear to allow consistent measurement and evaluation, while also sufficiently detailed and readily available to report in an understandable manner. The selected legislative requirements are included in the annexure to this auditor's report.

27. The material findings on compliance with the selected legislative requirements, presented per compliance theme, are as follows:

Annual financial statements, performance and annual reports

28. Financial statements were not submitted for auditing within the prescribed period after the end of financial year, as required by section 55(1) of the PFMA.
29. The financial statements submitted for auditing were not fully prepared in accordance with the prescribed financial reporting framework, as required by section 55(1)(b) of the PFMA.
30. Material misstatements on current assets, current liabilities, revenue, expenditure and disclosure items identified by the auditors in the submitted financial statements were corrected, resulting in the financial statements receiving an unqualified audit opinion.

Other information in the annual report

31. The accounting authority is responsible for the other information included in the annual report which includes the directors' report, the audit committee's report and the company secretary's certificate, as required by the Companies Act. The other information referred to does not include the consolidated and separate financial statements, the auditor's report and those selected material indicators in the scoped-in outcomes presented in the annual performance report that have been specifically reported on in this auditor's report.
32. My opinion on the consolidated and separate financial statements, the report on the audit of the annual performance report and the report on compliance with legislation do not cover the other information included in the annual report and I do not express an audit opinion or any form of assurance conclusion on it.
33. My responsibility is to read this other information and, in doing so, consider whether it is materially inconsistent with the consolidated and separate financial statements and the selected material indicators in the scoped-in outcomes presented in the annual performance report or my knowledge obtained in the audit, or otherwise appears to be materially misstated.
34. If, based on the work I have performed, I concluded that there is a material misstatement in this other information, I am

required to report that fact. I have nothing to report in this regard.

Internal control deficiencies

35. I considered internal control relevant to my audit of the consolidated and separate financial statements, annual performance report and compliance with applicable legislation; however, my objective was not to express any form of assurance on it.
36. The matters reported below are limited to the significant internal control deficiencies that resulted in the findings on the selected material indicators included in the annual performance report and the material findings on compliance with legislation included in this report.
37. Senior management did not implement adequate oversight and enforce quality assurance controls over the annual performance report compilation process, impacting the credibility of the report.
38. Technical complexities associated with the in-year merger process impacted the timely submission of the financial statements by the legislative deadline.
39. The oversight by senior management regarding financial reporting was not effective due to an inadequate review of the annual financial statements.

Auditor-General

Pretoria

28 September 2025



**AUDITOR-GENERAL
SOUTH AFRICA**

Auditing to build public confidence

Annexure to the auditor's report

The annexure includes the following:

- The auditor-general's responsibility for the audit
- The selected legislative requirements for compliance testing

Auditor-general's responsibility for the audit

Professional judgement and professional scepticism

As part of an audit in accordance with the ISAs, I exercise professional judgement and maintain professional scepticism throughout my audit of the consolidated and separate financial statements and the procedures performed on reported performance information for selected material performance indicators and on the public entity's compliance with selected requirements in key legislation.

Consolidated and separate financial statements

In addition to my responsibility for the audit of the consolidated and separate financial statements as described in this auditor's report, I also:

- identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error; design and perform audit procedures responsive to those risks; and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the public entity's internal control
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made
- conclude on the appropriateness of the use of the going concern basis of accounting in the preparation of the consolidated and

separate financial statements. I also conclude, based on the audit evidence obtained, whether a material uncertainty exists relating to events or conditions that may cast significant doubt on the ability of the public entity and its subsidiaries to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the consolidated and separate financial statements about the material uncertainty or, if such disclosures are inadequate, to modify my opinion on the consolidated and separate financial statements. My conclusions are based on the information available to me at the date of this auditor's report. However, future events or conditions may cause a public entity to cease operating as a going concern

- evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and determine whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation
- plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. I am responsible for the direction, supervision and review of audit work performed for purposes of the group audit. I remain solely responsible for my audit opinion.

Communication with those charged with governance

I communicate with the accounting authority regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide the accounting authority with a statement that I have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on my independence and, where applicable, actions taken to eliminate threats or safeguards applied.

Compliance with legislation — selected legislative requirements

The selected legislative requirements are as follows:

Legislation	Sections, regulations or paragraph
Public Finance Management Act 1 of 1999	Section 51 (1)(b)(i); 51 (1)(b)(ii); 51 (1)(e)(iii); 53(4); 54(2)(c); 54(2)(d); 55(1)(a); 55(1)(b); 55(1)(c)(i); 56; 57(b); 66(3)(c); 66(5)
Treasury Regulations, 2005	Regulation 16A3.2; 16A3.2(a); 16A6.1; 16A6.2(a); 16A6.2(b); 16A6.3(a); 16A6.3(a); 16A6.3(b); 16A6.3(c); 16A6.3(e); 16A6.4; 16A6.5; 16A6.6; 16A.7.1; 16A.7.3; 16A.7.6; 16A8.3; 16A8.4; 16A9.1(b)(ii); 16A 9.1(d); 16A9.1(e); 16A9.1(f); 16A9.2; 16A9.2(a)(ii); 30.1.1; 31.1.2(c); 30.1.3(a); 30.1.3(b); 30.1.3(d); 30.2.1; 31.2.1; 31.2.5; 31.2.7(a); 31.3.3; 32.1.1(a); 32.1.1(b); 32.1.1(c); 33.1.1; 33.1.3
Companies Act 71 of 2008	Section 45(2); 45(3)(a)(ii); 45(3)(b)(i); 45(3)(b)(ii); 45(4); 46(1)(a); 46(1)(b); 46(1)(c); 112(2)(a); 129(7)
Construction Industry Development Board Act 38 of 2000	Section 18(1)
Construction Industry Development Board Regulations, 2004	Regulation 17; 25(7A)
Second Amendment National Treasury Instruction No. 5 of 2020/21	Paragraph 1
Erratum National Treasury Instruction No. 5 of 2020/21	Paragraph 2
National Treasury Instruction No. 5 of 2020/21	Paragraph 4.8; 4.9; 5.3
National Instruction No. 4 of 2015/16	Paragraph 3.4
National Treasury SCM Instruction No. 3 of 2021/22	Paragraph 4.2
National Treasury SCM Instruction No. 11 of 2020/21	Paragraph 3.1; 3.4(b); 3.9
Preferential Procurement Policy Framework Act 5 of 2000	Section 1; 2.1 (a); 2.1 (f)
Preferential Procurement Regulations, 2022	Regulation 4.1; 4.2; 4.3; 4.4; 5.1; 5.2; 5.3; 5.4
Preferential Procurement Regulations, 2017	Regulation 4.1; 4.2; 5.1; 5.3; 5.6; 5.7; 6.1; 6.2; 6.3; 6.6; 6.8; 7.1; 7.2; 7.3; 7.6; 7.8; 8.2; 8.5; 9.1; 10.1; 10.2; 11.1; 11.2
Prevention and Combating of Corrupt Activities Act 12 of 2004	Section 34(1)

Six Months Annual Financial Statement for the period ended 31 March 2025

Statement of Responsibility by the Board of Directors

The directors of the Small Enterprise Development and Finance Agency (SOC) Ltd (SEDFA) (the Company) are required in terms of the South African Companies Act 71, of 2008 as amended (the Companies Act), to maintain adequate accounting records and the preparation of the Group (Consolidated and separate) financial statements, together with the related information. These Group financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), and material accounting policies.

In preparing the Group financial statements, the directors should ensure that these fairly present the state of affairs of the Group, its financial results, its performance against pre-determined objectives and its financial position at the end of any given financial year.

The directors acknowledge that they are ultimately responsible for the process of risk management and the systems of internal controls, management assists the directors to meet these responsibilities. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the Group financial statements in accordance with IFRS and to adequately safeguard, verify and maintain accountability for assets. Systems of internal controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties. Accounting policies are supported by judgements, estimates and assumptions which comply with IFRS.

Based on the information and explanations given by management, internal auditors and discussions held with external auditors on the results of their audits, the directors are of the opinion that the internal financial controls are adequate and can be relied upon for preparing the financial statements, and accountability for assets and liabilities is maintained.

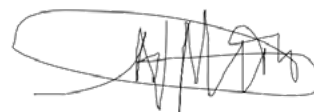
Nothing has come to the attention of the directors indicating any breakdown in the functioning of these internal controls, which could result in material loss to the Group during the year under review, and until the date of this report. The directors have a reasonable expectation that the Company and its subsidiaries have adequate

resources to continue in operational existence for the foreseeable future. For this reason, the directors continue to adopt a going concern approach in the preparation of the financial statements.

The Group financial statements have been audited by independent external auditors, the Auditor-General of South Africa (AGSA), who have been given unrestricted access to all financial records and related information, including minutes of shareholder, Board and Board Committee meetings. The external auditor's audit report is contained on pages 110 to 116.

The directors are of the opinion that the Group financial statements fairly present the financial position of the Group and the results of its operations and cash flow information for the year ended 31 March 2025.

Against this background, the directors of the Company accept responsibility for the Group financial statements which were approved by the Board of Directors on 27 September 2025 and are signed on its behalf by:



Ms Nonzuzo Makanda
Board Chairperson

Six Months Annual Financial Statement for the period ended 31 March 2025

Directors' Report

Introduction

SEDFA is a State-Owned Company in terms of the Companies Act and is listed as a Schedule 3B National Government Business Enterprise in terms of the Public Finance Management Act (PFMA), with the State as the sole shareholder and the Department of Small Business Development as the Executive Authority. This report is presented in accordance with the provisions of the prescribed legislation and addresses the performance of SEDFA (the Group), as well as relevant statutory information requirements. The Board of Directors is the accounting authority as prescribed in the PFMA.

As of 01 October 2024, the Small Enterprise Finance Agency (SOC) Limited (**sefa**), the Small Enterprise Development Agency (Seda), and the Co-operative Banks Development Agency (CBDA) have officially merged to form SEDFA. The incorporation of SEDFA stems from the signing of the National Small Enterprise Amendment Act 2024 (No. 21 of 2024) by President Cyril Ramaphosa on 23 July 2024, and its subsequent gazetting on 30 September 2024.

Nature of business

SEDFA is a development finance institution and complies with both the Public Finance Management Act 1 of 1999 and the Companies Act 71 of 2008. As a development finance institution, SEDFA provides both financial and non-financial support to Micro-Small Medium Enterprises (MSMEs) with the objectives to:

- I. Design and implement development support programs for small enterprises,
- II. Promote service delivery network that enhances the contribution of small enterprises to the South African economy,
- III. Foster economic growth, job creation, and equity in historically disadvantaged communities,
- IV. Support, promote, and develop co-operative banks and co-operative financial institutions, and
- V. Strengthen the capacity of service providers to support and enable small enterprises to compete successfully both domestically and internationally.

SEDFA as a Development Finance Institution provides non-financial support and provides finance to MSMEs and Co-operatives directly through its branch network and indirectly through Financial Intermediaries and other suitable financial institutions. Finance is provided in the form of loans, equity and credit indemnities. The Group also owns a portfolio of business premises that are leased to commercial undertakings.

Funding

SEDFA's capital funding requirements are sourced mainly from allocations received from the Department of Small Business Development (DSBD). An allocation of R106.5 million was received from government to support SEDFA's activities.

Public Finance Management Act

SEDFA's Board of Directors are responsible for the development of the Company's strategic direction. The Company's strategy and business plan are captured in the Shareholder's Compact which is agreed with the shareholder and forms the basis for the Company's detailed action plans and on-going performance evaluation, as well as the Annual Performance Plan. The responsibility for the day-to-day management of the Company vests in line management through a clearly defined organisational structure and through a formal Delegation of Authority.

SEDFA has a comprehensive system of internal controls, which is designed to ensure that the Company's objectives are met, including the requirements of the Companies Act and the recommendations of King IV.

These systems and controls meet the requirements of the PFMA. There are processes in place to ensure that where these controls fail, such failure is detected and corrected.

Insurance Act

SEDFA's wholly owned subsidiary Khula Credit Guarantee (SOC) Ltd (KCG) is registered as a short-term insurer and is subject to the Insurance Act 18 of 2017.

Six Months Annual Financial Statement for the period ended 31 March 2025

Directors’ Report

Significant matters

Merger of sefa, SEDA and CBDA

As per the introductory paragraph, the Cabinet of South Africa approved the merger of the agencies reporting to the Minister of Small Business Development (**sefa**, SEDA and Co-Operatives Bank Development Agency) in 2021, to form a new entity that would be responsible for the provision of both financial and non- financial support to MSMEs throughout the entire business development value chain through. The enabling legislation (National Small Enterprise Amendment Bill, “The Bill”) was drafted accordingly.

The Bill was passed by the National Assembly on 6 December 2023 and was then transmitted to the National Council of Provinces (NCOP) for concurrence. The President assented The Bill into Law on 18 July 2024 and The Bill was proclaimed and then the signing of the National Small Enterprise Amendment Act 2024 (No. 21 of 2024) by President Cyril Ramaphosa was finalised on 23 July 2024, and it was subsequently gazetted on 30 September 2024.

The National Small Enterprise Amendment Act 2024 (No. 21 of 2024) s10(1) (5) of Chapter 3, states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of the **sefa**, SEDA

and Co- Operatives Bank Development Agency, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to SEDFA. The date communicated in the president’s minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency (SOC) Ltd.

Subsidiaries, Joint Ventures and Associates

Details of each trading subsidiary, joint venture and associate are primarily set out in note 9 to the financial statements.

Dividends

No dividends have been declared during the year and none are recommended.

Directors

The Directors in office during the financial year and up to the date of approval of the annual financial statements were:

Non-Executive Directors

Director	Appointment date	Retirement date
Ms N Makanda (Chairperson)	2024/10/01	N/A
Mr KT Bonakele	2024/10/01	N/A
Mr W Carrim	2024/10/01	N/A
Ms X Daku	2024/10/01	N/A
Ms NP Lubisi	2024/10/01	N/A
Mr PL Makape	2024/10/01	N/A
Ms K Mogorosi	2024/10/01	N/A
Ms C Motale	2024/10/01	N/A
Mr S Mpakama	2024/10/01	N/A
Ms DM Ntsika	2024/10/01	N/A
Mr L Ntuane	2024/10/01	N/A
Ms H Tsoadi	2024/10/01	2025/06/02
Mr A Xabadiya	2024/10/01	N/A

Six Months Annual Financial Statement for the period ended 31 March 2025

Directors’ Report

Ex-officio Members		
Mr NS Mbatha (Acting Chief Executive Officer)	2024/10/01	N/A
Ms CL Williams (Acting Chief Financial Officer)	2024/10/01	N/A
Mr L Makupula (Acting Chief Investment Officer)	2024/10/01	2025/06/30

Materiality and Significance

Materiality levels for reporting in terms of Section 55(2)(b)(i) of the PFMA

Section 55(2)(b)(i) of the Public Finance Management Act (PFMA) states that the annual report and financial statements should include particulars of any material losses through criminal conduct, irregular expenditure and fruitless and wasteful expenditure that occurred during the financial year. The term material has not been defined in the Act. Significance levels detailed below were used for the purpose of determining materiality.

Significance levels related to Sections 51(1)(g) and 54(2) of the PFMA

Sections 51(1)(g) and 54(2) of the PFMA read in conjunction with the related practice note requires the use of a significance framework. Based on the guidelines in the practice note and after evaluating total assets, total revenue and loss after tax for the Group, a significance level of R83.4 million has been adopted.

Unauthorised, Fruitless and Wasteful and Irregular Expenditure

Unauthorised expenditure

No expenditure was classified as unauthorised during the financial year.

Fruitless and wasteful expenditure

The PFMA defines fruitless and wasteful expenditure as expenditure which was made in vain and could have been avoided had reasonable care been exercised. Refer to note 11.1 for detailed information on fruitless and wasteful expenditure.

Irregular expenditure

Irregular expenditure signifies expenditure incurred without adhering to established rules, regulations, procedural guidelines, policies, principles or practices that have been implemented to ensure compliance with the PFMA, relevant tender regulations as well as any other relevant procurement regulations.

Refer to note 11.1 for detailed information on irregular expenditure.

Events after the reporting period

None

REPORT OF THE AUDIT COMMITTEE

The Audit Committee (AC) has pleasure in submitting this report to the Shareholder in accordance with the Public Finance Management Act (PFMA), Companies Act, 71 of 2008 (the Companies Act) and as recommended by King Report on Corporate Governance for South Africa (King IV).

Composition

The Committee comprised the following members for the financial year: Mr S Mpakama (Chairperson), Mr W Carrim, Mr L Ntuane and Ms H Tsoadi (resigned 02/06/2025).

The roles and responsibilities of the Audit Committee

The Audit Committee has complied with section 77 of the PFMA, and its responsibilities as contained in Treasury Regulation 27.1 (Internal Control and Corporate Management – Audit Committees), the Companies Act, and Insurance Act 18 of 2017.

The AC is satisfied that, during the year under review, it performed the functions required by law including, those requirements as set out in section 94 (7) of the Companies Act, Treasury Regulation 27.1 (Internal Control and Corporate Management – Audit Committees), the PFMA, and the Insurance Act 18 of 2017.

The AC has adopted a formal Charter which regulates its affairs, roles and responsibilities and has discharged all its responsibilities as contained in the Charter. These include inter alia:

- ensuring that the respective roles and functions of external audit and internal audit are sufficiently clarified and coordinated and that the combined assurance received was appropriate to address all significant risks;
- reviewing the effectiveness of the Company's systems of internal controls, policies, financial control and risk management systems, processes and procedures for detecting and preventing fraud;
- reviewing and monitoring the effectiveness and performance of the internal audit function, its standing, staffing plans and audit plans to provide adequate support to enable the committee to meet its objectives;
- ensuring that the scope of the internal audit function had no limitations imposed by management and that there was no impairment on its independence;
- evaluating the independence, effectiveness and performance of the external auditor, and obtained assurance from the auditor that adequate accounting records were being maintained and

appropriate accounting principles were in place and had been consistently applied;

- reviewing and approving the audit fee and fees in respect of any non-audit services, including the external audit plan;
- reviewing the external auditor's findings and reports submitted to management and the independence and objectivity of the external auditor;
- reviewing the effectiveness of the finance function;
- reviewing financial statements to ensure that they present a balanced, and true position and performance of the Company;
- assisting the Board in its evaluation of the adequacy and efficiency of the internal systems, accounting practices, information systems and auditing processes applied by the Company in the day-to-day management of its business;
- assisting the Board in discharging its duties and responsibilities in respect of risk management; and
- reviewing and advising on matters referred to the Committee by the Board.

Auditor Independence

The Audit Committee recognises the importance of maintaining the independence of both external and internal auditors and is satisfied that Auditor-General of South Africa and the internal auditors are independent of management.

Financial Management

The AC reviewed the Annual Financial Statements and related information and is satisfied that they comply with International Financial Reporting Standards. In addition, the Committee has reviewed management's assessment of going concern and recommended to the Board that the going concern concept be adopted by the Company.

Approval

The AC recommended the approval of the Annual Financial Statements for the period ended 31 March 2025 to the Board of Directors on 27 September 2025.

Signed on behalf of the Audit Committee:



Chairperson of the Audit Committee

In terms of section 88(2)(e) of the Companies Act No.71 of 2008, I,

Six Months Annual Financial Statement for the period ended 31 March 2025

DECLARATION BY THE GROUP COMPANY SECRETARY

Buhle Ndlovu, in my capacity as Group Company Secretary confirm that, to the best of my knowledge and belief, the Company has filed all required returns and notices with the Companies and Intellectual Property Commission, and that such returns are correct and up to date.



Ms. Buhle Ndlovu
Acting Group Company Secretary 27 September 2025

Six Months Annual Financial Statement for the period ended 31 March 2025

Statement of Financial Performance

	NOTE	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
ASSETS			
Cash and cash equivalents	4.1	6 024 756	5 302 979
Trade and other receivables	4.2	66 151	334 677
Current tax asset	3.1	-	-
Deferred grants receivable	4.4	182 388	243 083
Loans and advances	7.10	1 253 536	1 253 536
Investment properties held-for-sale	5.4	222	-
Intangible assets	5.2	5 643	5 643
Equipment, furniture and other tangible assets	5.1	44 319	43 720
Right-of-use asset	5.6	91 601	91 601
Investment properties	5.3	253 919	-
Investments	7.11	86 133	59 392
Investments in subsidiaries	9.2	-	479 214
Investments in joint operations	9.3	-	-
Investments in associates	9.4	978 312	98 656
Investments in joint ventures	9.5	8 848	-
Deferred tax asset	3.3	6 169	-
TOTAL ASSETS		9 001 997	7 912 501
EQUITY AND LIABILITIES			
Retained earnings and other reserves	8.1	3 102 237	2 189 753
Equity attributable to owners of the parent		3 102 237	2 189 753
Non-controlling interest		-	-
Total equity		3 102 237	2 189 753
Liabilities			
Trade and other payables	4.3	1 070 749	1 003 387
Lease liability	5.6	105 917	105 917
Tax payable	3.1	13 232	12 432
Deferred grants payable	4.4	4 526 275	4 526 275
Insurance contracts issued that are liabilities	6.2	108 850	-
Post-retirement medical liability	6.3	517	517
Shareholder loans	6.1	74 220	74 220
Non-current liability		-	-
Total liabilities		5 899 760	5 722 748
TOTAL EQUITY AND LIABILITIES		9 001 997	7 912 501

Six Months Annual Financial Statement for the period ended 31 March 2025

Statement of Comprehensive Income

	NOTE	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Interest income on loans and advances	2.2	81 546	81 546
(Increase)/Decrease in credit losses on loans and advances	2.4.3	66 854	66 854
Bad debts written off	2.4.3	-	-
Profit from lending activities		148 400	148 400
Other interest earned and other revenue and income	2.3	269 582	253 365
Grant income	2.6	1 089 575	1 089 575
Lease liability finance cost	5.6	(5 679)	(5 679)
Finance costs	6.1	(4 926)	(4 926)
Net operating income for the period		1 496 952	1 480 735
Net fair value (loss)/gain on investment properties	5.5	2 382	-
Increase in impairments on related party loans	2.4.5	-	(43 721)
Decrease/(Increase) in impairments on investments	2.4.2	(8 232)	882
Investment property expenses		(40 361)	-
Personnel expenses		(372 487)	(372 487)
Grant expense	2.6	(153 620)	(153 620)
Other operating expenses		(332 576)	(320 143)
Operating profit	2.4	592 058	591 646
Profit from equity accounted investments, net of tax	9.6	33 454	-
Profit before tax		625 512	591 646
Income tax credit/ (charge)	3.2	(90 915)	(94 928)
Net profit for the year		534 597	496 718
Other comprehensive income after tax:			
Other comprehensive loss from equity accounted investments		(1 210)	-
Other comprehensive income/(loss) for the year	9.6	(1 210)	-
		533 387	496 718
Total comprehensive profit/(loss) for the year			
Profit/(Loss) and total comprehensive income/(loss) attributable to:			
Owners of the parent - profit/(loss) for the year		534 597	
Owners of the parent - other comprehensive income		(1 210)	
Non-controlling interest - for the year		-	
Total comprehensive income/(loss) for the year		533 387	

Six Months Annual Financial Statement for the period ended 31 March 2025

Statements of Changes in Equity

GROUP	TOTAL Retained Earnings and *Other Reserves R'000
Balance - Merger under common control	2 568 850
Other comprehensive loss from equity accounted investments	(1 210)
Total profit for the year	534 597
Balance at 31 March 2025	3 102 237

COMPANY	TOTAL Retained Earnings and *Other Reserves R'000
Balance - Merger under common control	1 693 035
Total profit for the year	496 718
Balance at 31 March 2025	2 189 753

* Other reserves consists of all equity balances transferred to Sedfa for the merger under common control.

Six Months Annual Financial Statement for the period ended 31 March 2025

Statement of Cash Flows

	NOTE	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Cash flows from operating activities			
Cash utilised by operations	2.5	(109 249)	(123 331)
Net loans and advances to customers or investees		(9 217)	(9 217)
Grant income received		147 490	147 490
Tax paid	3.1	(89 217)	(89 334)
Net cash utilised by operating activities		(60 193)	(74 392)
Cash flows from investing activities			
Purchase of equipment, furniture and other tangible assets	5.1	(6 592)	(6 560)
Purchase of intangible assets	5.2	(1 138)	(1 138)
Acquisition of investments		(4 682)	(4 682)
Disposal of investments		-	-
Interest and dividends received	2.3	236 858	192 549
Acquisition of equity accounted investments	9.5	-	-
Disposal of equity accounted investments	9.5	-	-
Proceeds from sale of equipment, furniture and other tangible assets		299	299
Net cash generated by investing activities		224 745	180 468
Cash flows from financing activities			
Shareholder loan repayments		(7 500)	(7 500)
Capital funding received from the shareholder	8.1	-	-
Lease payment (capital portion)		(31 181)	(31 181)
Net cash from financing activities		(38 681)	(38 681)
Net increase in cash and cash equivalents		125 871	67 395
Cash and cash equivalents at beginning of year		5 898 931	5 235 624
Cash and cash equivalents at end of year	4.1	6 024 802	5 303 019

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Accounting Policies

1. ACCOUNTING FRAMEWORK AND CRITICAL JUDGEMENTS

1.1. BASIS OF PREPARATION

Small Enterprise Development and Finance Agency (SOC) Limited (SEDFA) is a newly incorporated State-Owned Company (SOC). The purpose of SEDFA's incorporation is to facilitate the merger of the Small Enterprise Finance Agency (SOC) Ltd and its subsidiaries (sefa), the Small Enterprise Development Agency (SEDA), and the Co-operative Banks Development Agency (CBDA) (collectively, the "agencies" and the merger thereof "the merger").

The Cabinet of South Africa approved the merger of the agencies reporting to the Minister of Small Business Development in 2021, to form a new entity (SEDFA) that will be responsible for the provision of both financial and non-financial support to Micro, Small and Medium Enterprises (MSMEs) throughout the entire business development value chain through a unified approach. The merger was initially set to be effective from 1 April 2022, however, there were delays in finalising the enabling legislation (the National Small Enterprise Amendment Act of 2024 (the Act)). On 27 March 2024 the Cabinet of South Africa approved the 20 months extension period to conclude the process of merging the entities. The President assented to the Act on the 18 July 2024 and the Act was gazetted on 23 July 2024.

As part of the dissolution of SEDA, sefa and CBDA, all the assets, liabilities, customer contracts, supplier contracts, grants, investments in subsidiaries and associates, employees, and other parts of the agencies transferred to SEDFA in accordance with the Act. This transfer was effective on 1 October 2024.

The financial year end of SEDFA is 31 March with its financial statements for the year ended 31 March 2025 including the businesses of the agencies from 1 October 2024, being the effective date of the merger and incorporation of SEDFA. SEDFA prepares consolidated and standalone company financial statements (together the "annual financial statements")

The consolidated annual financial statements of SEDFA (the Company) comprise the Company and its subsidiaries (together, the Group) and the Group's interest in associates, joint ventures and joint operations.

The annual financial statements have been prepared in accordance with IFRS® Accounting Standards (IFRS Accounting Standards) as issued by the International Accounting Standards Board (IASB) and Interpretations as issued by the IFRS Interpretation Committee or its predecessor body the Standing Interpretations Committee (Committee) and comply with the South African Companies Act, No 71 of 2008 as well as the requirements of the Public Finance Management Act, No 1 of 1999.

In preparing the annual financial statements IFRS Accounting Standards do not provide specific requirements in accounting for business combinations under common control certain accounting conventions commonly used in accounting for business combinations under common control, have been applied in accordance with IAS 8: Accounting Policies, Changes in Accounting Estimates and Errors (IAS 8), which are discussed in more detail below.

IAS 8 requires that in the absence of an IFRS Accounting Standard that specifically applies to a transaction, management uses its judgement to develop and apply an accounting policy by considering requirements of IFRS Accounting Standards dealing with similar and related issues, including the most recent pronouncements of other standard-setting bodies, other financial reporting requirements, and recognised industry practices.

The merger of SEDA, sefa and CBDA was approved by the Cabinet of South Africa with such entities falling under the ultimate control of the South African Government. The controlling party of SEDFA remains the South African Government through the Parliament and its ministry of Small Business Development and Trade, Industry and Competition. Accordingly, the merger of the agencies comprises a business combination under common control since each of the agencies were a business.

In accordance with common practice SEDFA has selected an accounting policy to account for common control transactions by applying "predecessor accounting" prospectively from the date the merger was effective (1 October 2024) as follows:

- The assets and liabilities of the agencies transferred to SEDFA are recognised at the carrying values that they historically would have been recognised at in accordance with IFRS Accounting Standards by the agencies (predecessor values) at the date of transfer (1 October 2024)

Accounting Policies

- No new goodwill is recognised.
- As a result, no comparative financial information is presented.

The annual financial statements have been prepared on the historical cost basis, except for the following items in the statement of financial position:

- Investment properties measured at fair value.
- Investment properties held-for-sale measured at fair value.
- Investments that are classified as financial instruments at fair value through profit or loss.

The annual financial statements are presented in South African Rand, which is the Company's functional currency, rounded to the nearest thousand.

The preparation of financial statements in conformity with IFRS Accounting Standards requires management to make judgements, estimates and assumptions that effect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses.

The group has adopted all new and amended accounting pronouncements issued by the IASB that are effective for financial years commencing 1 April 2024. A number of amendments to accounting pronouncements are effective from 1 January 2024, but they do not have a material effect on the annual financial statements. The assessment of these pronouncements has been provided in note 1.5.

Actual results may differ from these estimates. Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are included in note 1.6

1.2. GOING CONCERN

The Group and the Company's forecasts and projections, taking account of reasonably possible changes in trading performance, show that the Group and the Company will be able to operate within their current funding levels into the foreseeable future.

After making enquiries, the directors have a reasonable expectation that the Group and Company have adequate resources to continue in operational existence for the foreseeable future.

The financial statements have been prepared on a going concern basis.

1.3. SIGNIFICANT CHANGES IN ACCOUNTING POLICIES

There were no significant changes in accounting policies.

1.4. MATERIAL ACCOUNTING POLICIES

The material accounting policies applied in the preparation of these financial statements are set out in this section as well as in the related notes to the Group and Company financial statements.

The material accounting policies applied in the Company financial statements are consistent with those applied in the Group financial statements where applicable.

1.4.1. CONSOLIDATION

1.4.1.1 BUSINESS COMBINATIONS

The Group accounts for business combinations using the acquisition method when control is obtained by the Group. A business is defined as an integrated set of activities and assets that are capable of being conducted and managed for the purposes of providing a return directly to investors or other owners, members or participants.

Recognition and measurement

The Group uses the acquisition method of accounting to account for business combinations. The consideration transferred for the acquisition of a business is the fair values of the assets transferred, the liabilities incurred, and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Acquisition-related costs are expensed as and when incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Where applicable the Group measures any non-controlling interest in the acquiree at the non-controlling interest's proportionate share of the acquiree's net assets at initial recognition. Subsequently, the carrying amount of non-controlling interest is the amount of the interest at initial recognition plus the non-controlling interests' share of the subsequent change in equity.

Accounting Policies

Total comprehensive income is attributed to non-controlling interest. Accumulated losses attributed to non-controlling interest may result in the non-controlling interest having a deficit balance.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. In the event of this being less than the fair value of the net assets of the acquiree in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Derecognition

When a parent loses control of a subsidiary it stops consolidating the subsidiary by derecognising the assets (including goodwill) and liabilities of the subsidiary and NCI in the subsidiary. As a consequence, the amount recognised in profit or loss on loss of control of a subsidiary is measured as the difference between:

- The sum of:
 - The fair value of the consideration received, if any;
 - The fair value of any retained non-controlling investment; and
 - The carrying amount of the NCI in the former subsidiary.
- The carrying amount of the former subsidiary's net assets.

1.4.1.2 CONSOLIDATION OF SUBSIDIARIES

Subsidiaries are entities controlled by the Company. Control exists when SEDFA is exposed to, or has the rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The financial statements of subsidiaries are consolidated in the Group financial statements from the date that control commences (acquisition date) and are deconsolidated from the date that control ceases (disposal date).

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated on consolidation.

Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Where necessary, adjustments are made to the financial statements of subsidiaries to align any difference in accounting policies with those of the Group.

The Company accounts for investments in subsidiaries at cost, less accumulated impairment losses.

1.4.1.3 NON-CONTROLLING INTERESTS

On an acquisition-by-acquisition basis, non-controlling interests in the acquiree is initially measured at the non-controlling shareholders' proportion of the net identifiable assets acquired and liabilities and contingent liabilities assumed.

Non-controlling shareholders are treated as equity participants; therefore, all acquisitions of non-controlling interests or disposals by the Group of its interests in subsidiaries, where control is maintained subsequent to the disposal, are accounted for as equity transactions. Consequently, the difference between the fair value of the consideration transferred and the carrying amount of a non-controlling interest purchased, is recorded in equity. All profits or losses arising as a result of the disposal of interests in subsidiaries to non-controlling shareholders (where control is subsequently maintained) are also recorded in equity.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity.

Total comprehensive income is attributed to non-controlling interests even if this results in the non-controlling interests having a deficit balance.

1.4.1.4 INTEREST IN EQUITY-ACCOUNTED INVESTEEES

The Group's interests in equity-accounted investees comprise interests in associates and joint ventures.

Associates are all entities over which the Group has significant influence but not control or joint control, over the financial and operating policies. Joint ventures are those entities over whose activities the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Accounting Policies

Investments in associates and joint ventures are accounted for using the equity method of accounting and are initially recognised at cost, which includes transaction costs. Subsequent to the initial recognition, the Group financial statements include the Group's share of the profit or loss and OCI of equity-accounted investees, until the date on which significant influence or joint control ceases.

The Group's investment in equity-accounted investees includes goodwill identified on acquisition. Any excess of the acquisition price over the acquired net asset value is not separately recognised as goodwill, but rather is included in the cost of the investment.

The cumulative post-acquisition movements are adjusted for against the carrying amount of the investment. Distributions received from associates reduce the carrying amount of the investment. When the Group's share of losses in an equity-accounted investee equals or exceeds its interest in the equity-accounted investee, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the equity-accounted investee.

The equity interest in an equity accounted investee includes, for this purpose, the carrying amount of the investment under the equity method and other long term interests that in substance form part of the entity's net investment in the associate or joint venture.

After application of the equity method, including recognising the associate's or joint venture's losses, SEDFA determines whether there is any objective evidence that its net investment in the associate or joint venture is impaired.

Unrealised gains and losses arising from transactions with equity-accounted investments are eliminated against the investment to the extent of the Group's interest in the investment. Unrealised losses are eliminated only to the extent that there is no evidence of impairment.

1.4.2. PROVISIONS

A provision is a liability of uncertain timing or amount.

Provisions are recognised when the Group or Company has a present obligation as a result of a past event and the amount can be reliably measured. The Group or Company will also determine

whether outflow of economic resources, embodying economic benefits that will be required to settle the obligation is probable or not. A provision will therefore be raised if the condition of being probable is met.

The amount of a provision is the present value of the expenditure expected to be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax discount rate that reflects the current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement shall be recognised when, and only when, it is virtually certain that reimbursement will be received if the entity settles the obligation. The reimbursement shall be treated as a separate asset. The amount recognised for the reimbursement shall not exceed the amount of the provision.

Provisions are not recognised for future operating losses.

1.4.3. CONTINGENT LIABILITIES

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group.

Contingent liabilities are not recognised in the statement of financial position but disclosed in the notes when significant.

1.4.4. EMPLOYEE BENEFITS

Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Six Months Annual Financial Statement for the period ended 31 March 2025

Accounting Policies

Defined contribution plan

The Group has a provident fund scheme which is a defined contribution plan. A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further amounts. Contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the year to which they relate.

1.4.5. FUNDS ADMINISTERED ON BEHALF OF THIRD PARTIES

SEDFA manages funds on behalf of third parties. Funds administered on behalf of third parties are in ring fenced bank accounts, which are restricted and are utilised for specific purposes as determined in the agreements with third parties and as instructed by the parties to the agreements. The funds are not disclosed in SEDFA’s statement of financial position as they do not meet the definition of an asset as per the accounting framework.

1.4.6. MEASUREMENT PRINCIPLES

Key assets and liabilities shown in the statement of financial position are subsequently measured as follows:

Assets	Measurement principle
Cash and cash equivalents	Amortised cost
Trade and other receivables	Amortised cost
Loans and advances	Amortised cost
Investment properties held-for-sale	Fair value at the date of being classified as held-for- sale less subsequent impairments
Equipment, furniture and other tangible assets	Historical cost, less accumulated depreciation and impairment losses
Intangible assets	Historical cost, less accumulated amortisation and impairment losses
Deferred tax assets	Undiscounted amount measured at the tax rate at the reporting date
Investment properties	Fair value through profit or loss
Investments	Fair value through profit or loss
Investments in associates and joint ventures	Cost adjusted for share of movements in net assets, less impairment losses
Right-of-use Asset	Historical cost, less any accumulated depreciation and impairment losses
Deferred grants receivable	Conditional grants (grant provided to customers that may become repayable if the customer defaults on their loan) disbursed to customers is presented as deferred expenses and recognised on a systematic basis over the related loan term.

Six Months Annual Financial Statement for the period ended 31 March 2025

Accounting Policies

Liabilities	Measurement principle
Trade and other payables	Amortised cost
Tax payable	Amount expected to be paid to the tax authorities, using the tax rate at the reporting date
Insurance contracts issued that are liabilities	Insurance contracts are measured using a current estimate of all cash flows within the contract boundary that will arise as the contract is fulfilled
Deferred tax liabilities	Undiscounted amount measured at the tax rate at the reporting date
Post-retirement medical liability	Present value of the best estimate of settlement amount
Shareholder's loans	Amortised cost
Lease Liability	Present value of lease payments to be made over the lease term
Deferred grant payable	Grant income received is deferred on the statement of financial position as deferred grant payable and recognised as revenue on a systematic basis over the term of the related loan.

1.4.7. DETERMINATION OF FAIR VALUES

Determination of fair values

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in the fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1	Level 2	Level 3
Quoted prices (unadjusted) in active markets for identical assets or liabilities	Inputs other than quoted prices (as per Level 1) that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)	Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If the inputs used to measure the fair value of an asset or liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. When applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

Refer to note 5.5 for additional information on determining the fair value of investment properties and note 7.11 for investments carried at fair value.

Six Months Annual Financial Statement for the period ended 31 March 2025

Accounting Policies

1.5. NEW AND AMENDED STANDARDS AND INTERPRETATIONS

1.5.1. THE NEW STANDARDS WHICH CAME INTO EFFECT IN THE CURRENT YEAR WERE NOT APPLICABLE TO SEDFA.

New standards and interpretations, not yet effective

1.5.2. The pronouncements listed below will be effective in future reporting periods and is considered relevant to the Group. The Group has elected not to early adopt the new pronouncements. It is expected that the Group will adopt the pronouncements on their effective date in accordance with the requirements of the pronouncements.

Topic	Key requirements	Effective date
IAS 21 The effects of changes in foreign exchange rates	Amendment relating to lack of exchangeability This is not expected to impact SEDFA.	Reporting periods beginning on or after 1 January 2025.
IFRS 7 Financial Instruments: Disclosures (Annual improvements IFRS Accounting Standards, Volume 11, July 2024)	Gain or loss on derecognition.	Annual reporting periods beginning on or after 1 January 2026
IFRS 9 Financial instruments (Annual improvements IFRS Accounting Standards, Volume 11, July 2024)	Derecognition of lease liabilities and Transaction price.	Annual reporting periods beginning on or after 1 January 2026.
IFRS 9 and IFRS 7 Financial instruments	Amendments to classification and measurement of financial instruments.	Annual reporting periods beginning on or after 1 January 2026.
IFRS 10 Consolidated Financial Statements	Determination of a 'de facto agent'	Annual reporting periods beginning on or after 1 January 2026.
IFRS 18 — Presentation and Disclosure in Financial Statements	IFRS 18 includes requirements for all entities applying IFRS for the presentation and disclosure of information in financial statements.	Annual reporting periods beginning on or after 1 January 2027.
IFRS 19 Subsidiaries without public accountability	Subsidiaries without public accountability	Annual reporting periods beginning on or after 1 January 2027.
Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture.	To be announced.

1.6. CRITICAL ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The Group and Company make estimates and assumptions concerning the future. The resulting accounting estimates will, rarely equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below:

1.6.1. INCOME TAXES

Significant judgement is required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit

Accounting Policies

issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

1.6.2. DEFERRED TAX ASSETS

Deferred tax assets are recognised to the extent that it is probable that taxable income will be available in the future against which it can be utilised.

1.6.3. MEASUREMENT OF THE EXPECTED CREDIT LOSS (ECL) ALLOWANCE

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 7.5.3, which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

1.6.4. THE ULTIMATE LIABILITY ARISING FROM CLAIMS MADE UNDER INDEMNITY CONTRACTS

1. **Separation of insurance contracts:** An insurance contract may contain one or more components that would be within the scope of another Standard if they were separate contracts. The company considers all the terms of each contract when making this determination.

2. **Consideration of whether there are investment components:** The company considers all the terms of each contract in order to make this determination. The company does not have exposure to investment components within any of its insurance contracts and has no plans to offer this product feature in the foreseeable future.
3. **Determination of the contract boundary:** When determining the boundaries of the contract all substantive rights held by the policyholder (i.e., contractual and/or arising from law or regulations) are required to be considered except for restrictions without commercial substance [IFRS17 17.2]. Cash flows are considered to be outside of the contract boundary if the company has the practical ability to reprice existing contracts to reflect their reassessed risks, and if the contract's pricing for coverage up to the date of reassessment only considers the risks until the next reassessment date. The company applies its judgement in assessing whether it has the practical ability to set a price that fully reflects all the risks in the contract or portfolio.
4. **Identification of portfolios:** The Group defines a portfolio as insurance contracts subject to similar risks and managed together. Contracts within the same product line are expected to be in the same portfolio as they have similar risks and are managed together. The assessment of which risks are similar and how contracts are managed requires the exercise of judgement.
5. **Assessment of significance of insurance risk:** The Group applies its judgement in assessing whether a contract transfers to the issuer significant insurance risk. A contract transfers significant insurance risk only if an insured event could cause the Group to pay additional amounts that are significant in any single scenario and only if there is a scenario that has commercial substance in which the issuer has a possibility of a loss on a present value basis upon an occurrence of the insured event, regardless of whether the insured event is extremely unlikely. The assessment of whether additional amounts payable on the occurrence of an insured event are significant and whether there is any scenario with commercial substance in which the issuer has a possibility of a loss on a present value basis involves significant judgement and is performed at initial recognition on a contract-by-contract basis.
6. **Level of aggregation:** The company applies judgement when distinguishing between contracts that have no

Accounting Policies

- significant possibility of becoming onerous and other profitable contracts
7. **Assessment of directly attributable cash flows:** The company applies judgement in assessing whether cash flows are directly attributable to a specific portfolio of insurance contracts. Insurance acquisition cash flows are included in the measurement of a group of insurance contracts only if they are directly attributable to the individual contracts in a group, or to the group itself, or the portfolio of insurance contracts to which the group belongs. When estimating fulfilment cash flows, the company also allocates fixed and variable overheads fulfilment cash flows directly attributable to the fulfilment of insurance contracts.
8. **PAA eligibility assessment:** Where the coverage period is one year or less, an entity has the option to choose whether to apply the simplified approach (PAA) and where the company does not expect significant variability in the fulfilment cash flows that would affect the measurement of the liability for remaining coverage during the period before a claim is incurred.
9. **Assessment of significance of modification:** The company derecognises the original contract and recognises the modified contract as a new contract, if the derecognition criteria are met. The company applies judgement to assess whether the modified terms of the contract would result in the original contract meeting the criteria for derecognition.
10. **Level of aggregation for determining the risk adjustment for non-financial risk:** IFRS 17 does not define the level at which the risk adjustment for non-financial risk should be determined. The level of aggregation for determining the risk adjustment for non-financial risk is not an accounting policy choice and requires judgement.

1.6.5. EFFECTIVE RATE USED IN DETERMINING THE FAIR VALUE OF THE SHAREHOLDER’S LOAN

The effective interest rate used to discount the interest-free shareholder’s loans from the IDC is based on the average rate at which the IDC borrows external funds. SEDFA has never applied for external finance and, therefore, the average borrowing rate of the IDC is considered a market related rate.

1.6.6. FAIR VALUE ASSUMPTIONS FOR INVESTMENT PROPERTY

Property valuations take place annually, based on the aggregate of the net annual rental receivable from the properties, considering and analysing rentals received on similar properties in a close vicinity, less associated costs (insurance, maintenance, repairs, and management fees).

A capitalisation rate which reflects the specific risks inherent in the net cash flows is applied to the net annual rentals to arrive at the property valuations.

The fair value of undeveloped land held as investment property is based on comparative market prices after market surveys.

External, independent valuers having appropriate, recognised professional qualifications and recent experience in the location and category of the property being valued, perform valuations on the portfolio every three years.

Refer to note 5.5 for the fair value assumptions used.

1.6.7. FAIR VALUE ASSUMPTIONS FOR INVESTMENTS, ASSOCIATES AND JOINT VENTURES

The fair value of the investment in equity instruments is determined by reference to the net asset value of the underlying entity.

1.6.8. ASSUMPTIONS APPLIED TO THE IMPAIRMENT OF INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

These assets are not carried at fair value but at cost adjusted for share of movements in net assets, less impairment losses.

The impairments of investments in associates and joint ventures is determined by reference to the net asset value of the underlying entity.

Refer to note 2.4.2 for additional information.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

2. RESULTS OF OPERATIONS

2.1. INTEREST INCOME, DIVIDEND INCOME, FEE INCOME, RENTAL INCOME, COMMENCEMENT FEE INCOME AND INSURANCE REVENUE – MATERIAL ACCOUNTING POLICIES

Interest income

Interest income is recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset (or, where appropriate, a shorter period) to the carrying amount of the financial asset. The effective interest rate is established on initial recognition of the financial asset and is not revised subsequently. Income that forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in interest income.

Dividend income

Dividend income is recognised in profit or loss on the date the Group's right to receive payment is determined. Revenue is measured at the fair value of the consideration received or receivable and is presented net of indirect taxes.

Fee income

Income earned on the execution of a significant act is recognised when the criteria for performance obligation has been met. Income earned from the provision of services is recognised as the service is rendered by reference to the stage of completion of the service. Fee income is comprised of commitment fees and administration fees charged on some loans. These fees, where applicable to the loan, are due from customers on disbursement of the loan.

Rental income

Rental income is generated from investment properties that are subject to operating leases. An operating lease is a lease where substantially all of the rewards and risks incidental to ownership of the leased asset remains with the lessor. Receipts in respect of operating leases are accounted for as income on the straight- line basis over the period of the lease.

Commencement fee income earned

Commencement fees earned are included in revenue and are recognised when the facility has been activated, prior to any policies being taken up.

Insurance revenue

As the Group provides insurance services under a group of insurance contracts issued, it reduces its Liability for Remaining Coverage and recognises insurance revenue, which is measured at the amount of consideration the Group expects to be entitled to in exchange for those services.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way on the basis of the passage of time.

Grant income

The grant is recognised as income over the period necessary to match them with the related costs, for which they are intended to compensate, on a systematic basis. Grant income received is deferred on the statement of financial position and recognised as revenue on a systematic basis over the term of the related loan.

Other revenue

Other revenue is measured at the fair value of the consideration received or receivable and is presented net of indirect taxes. Other revenue comprises of bad debts recovered, management fee income on related parties and other sundry income.

Management fee income charged to related parties

Management fees are charged by SEDFA to related parties in the group for the shared service costs that are incurred. The management fees are charged in terms of the service level agreements in place with each subsidiary. At a Group level, these will eliminate, except for Khula Land Reform which is not consolidated in terms of IFRS requirements. Khula Land Reform is registered as a Non-profit Company. This company has been exempted from consolidation as SEDFA is acting as an agent.

2.2. INTEREST INCOME ON LOANS AND ADVANCES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Interest received on loans and advances to clients	81 546	81 546

2.3. OTHER INTEREST EARNED AND OTHER REVENUE

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Fee income	3 300	3 282
Interest on overdue rental debtors	24	-
Investment property rental income	7 165	-
Investment property rental recoveries	6 742	-
Interest received on cash and cash equivalents	216 780	192 549
Interest received on related party loan	-	12 776
Insurance Revenue	6 752	-
Bad debts recovered	267	268

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Management fee - related parties	22 972	38 907
Other sundry income	5 580	5 583
Total other interest and other revenue	269 582	253 365
Total other interest earned	216 804	205 325
Total other revenue	52 778	48 040

2.4. OPERATING LOSS

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Is arrived at after taking into account the following:		
2.4.1. SPECIFIC ITEMS:		
Audit fees	-	-
Contributions to defined contribution plans	6 652	6 652
Depreciation on fixed assets	13 751	13 726
Depreciation on right of use assets	29 433	29 433
Amortisation	510	510
Insurance service expenses	5 740	-
	57 508	51 743
2.4.2. INCREASE/(DECREASE) IN IMPAIRMENTS ON INVESTMENTS:		
Impairment of Investments in Associates	-	(33)
Impairment of Joint Ventures	-	3 207
Impairment of Other Investments	8 232	7 068
Impairment of Joint Operation	-	-
Impairment of Subsidiaries	-	(11 124)
Investment written off	-	-
Total increase in impairments on investments	8 232	(882)

Impairment losses are recognised in proportion to the entities share in the reduction of the investees net asset value, if any. The individual investments' fair value less cost of disposal have been used as the recoverable amount. There is no reason to believe that value in use would materially exceed its fair value less cost of disposal as the abovementioned changes in the net asset value would have an equal impact on the future cash flows which would realise when the investments are ultimately disposed of.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

2.4.3. INCREASE/(DECREASE) IN EXPECTED CREDIT LOSSES ON LOANS AND ADVANCES:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Increase in expected credit losses - loans and advances	(66 854)	(66 854)
Bad debt written off - loans and advances	-	-
Total increase in expected credit losses on loans and advances	(66 854)	(66 854)
Refer to 7.5.7 for the additional policy notes.		

2.4.4. INCREASES IN BAD DEBT PROVISIONS ON RENTAL DEBTORS:

Increase in bad debt provision - rental debtors	269	-
Loss on disposal of rental debtors	-	-
Total increase in bad debt provisions on rental debtors	269	-

2.4.5. INCREASES IN BAD DEBT PROVISIONS ON RELATED PARTY LOANS

Increase in bad debt provision on Khula Intitutional Support Services NPC	-	(4 417)
Increase in bad debt provision on Khula Business Premises (Pty) Ltd	-	48 139
	-	43 722

2.4.6. LOANS AND ADVANCES: IMPAIRMENT MOVEMENT PER SECTOR

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Net increase/(decrease) in impairments - loans and advances		
Accommodation and food service activities	17 065	17 065
Administrative and support activities	(1 636)	(1 636)
Agriculture, forestry and fishing	3 401	3 401
Arts, entertainment and recreation	(8)	(8)
Basic chemicals	54	54
Basic iron and steel	(1 521)	(1 521)
Beverages	(109)	(109)
Building construction	(2 864)	(2 864)
Business services	3 180	3 180
Catering and accommodation services	178	178
Construction	(1 555)	(1 555)
Education	47	47
Electricity, gas and steam	(8 245)	(8 245)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Electricity, gas, steam and air conditioning supply	(85)	(85)
Finance and insurance	(29 986)	(29 986)
Financial and insurance activities	(7 570)	(7 570)
Food	(7 829)	(7 829)
Footwear	211	211
Furniture	(128)	(128)
Glass and glass products	(14)	(14)
Human health and social work activities	(979)	(979)
Information and communication	11 797	11 797
Machinery and equipment	(3 959)	(3 959)
Manufacturing	15 940	15 940
Medical, dental and other health and verterinary services	(1 495)	(1 495)
Metal products excluding machinery	2 188	2 188
Mining and quarrying	141	141
Motor vehicles, parts and accessories	(6 915)	(6 915)
Non-metallic minerals	241	241
Other chemicals and man-made fibres	(452)	(452)
Other community, social and personal services	(7 540)	(7 540)
Other industries	(3 693)	(3 693)
Other mining	(2 628)	(2 628)
Other service activities	97	97
Other services	(21 556)	(21 556)
Paper and paper products	(1)	(1)
Plastic products	(2 520)	(2 520)
Printing, publishing and recorded media	(7)	(7)
Professional, scientific and technical activities	9 077	9 077
Real estate activities	(803)	(803)
Television, radio and communication equipment	(7)	(7)
Textiles	1 861	1 861
Transport and storage	(4 507)	(4 507)
Transportation and storage	4 834	4 834
Water supply; sewerage, waste management and remediation	(249)	(249)
Wearing apparel	424	424
Wholesale and retail trade	(12 334)	(12 334)
Wholesale and retail trade; repair of motor vehicles and moto	(1 156)	(1 156)
Wood and wooden products	(5 239)	(5 239)
Total movement on credit loss allowances	(66 854)	(66 854)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

2.4.7. BAD DEBTS WRITTEN OFF/ (RECOVERED) PER SECTOR:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Bad debts written off/(recovered) - Loans and advances		
Bad debts written off	-	-
Bad debts recovered	(267)	(268)
Total bad debts written off/ (recovered)	(267)	(268)
Bad debts written off/(recovered) - Per sector:		
Agriculture, forestry and fishing	-	-
Beverages	-	-
Building construction	(105)	(105)
Business services	-	-
Catering and accommodation services	-	-
Electrical machinery	-	-
Finance and insurance	(163)	(163)
Food	-	-
Furniture	-	-
Government	-	-
Medical, dental and other health and veterinary services	-	-
Motor vehicles, parts and accessories	-	-
Other community, social and personal services	-	-
Other chemicals and man-made fibres	-	-
Other industries	1	-
Other mining	-	-
Other services	-	-
Other transport equipment	-	-
Printing, publishing and recorded media	-	-
Television, radio and communication equipment	-	-
Textiles	-	-
Transport and storage	-	-
Wholesale and retail trade	-	-
Total bad debts written off/(recovered)	(267)	(268)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

2.5. CASH UTILISED BY OPERATIONS

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Loss before tax	625 512	591 646
Adjustments for:		
Depreciation	43 184	43 159
Amortisation	510	510
Fair value adjustment	(1 219)	-
Impairments - Investments	7 069	7 069
Impairments - Subsidiaries and equity accounted investees	-	(7 950)
Income from associates and joint ventures	(33 454)	-
Dividends received from associate	-	-
Increase in insurance contracts that are liabilities	904	-
Interest charged on shareholder's loan	4 926	4 926
Interest on related party loans	-	(12 776)
Investment income and interest on overdue rental debtors	(216 802)	(192 557)
Grant income	(1 089 575)	(1 089 575)
Profit on sale of investment properties	-	-
Profit/loss on sale of equipment	(155)	(155)
Credit loss allowance on loans	(66 854)	(66 854)
Provision for bad debts - rental debtors	269	-
Investment written off	-	-
Bad debts written off	-	-
Increase in impairments on cash	-	-
Increase in impairments on related party loans	-	43 721
Realisation of day-one-loss	-	-
Post-retirement liability	34	34
Increase in provision for indemnity claims	-	-
Operating loss before changes in working capital	(725 651)	(678 802)
Changes in working capital	616 402	555 471
(Increase)/decrease in trade and other receivables	189 957	186 602
Loans issued to related parties	(22 885)	(100 267)
(Decrease)/increase in trade and other payables	449 330	469 136
Cash utilised by operations	(109 249)	(123 331)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

2.6. GRANT INCOME AND GRANT EXPENSE

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Grant income: Blended Finance	4 493	4 493
Grant income: Small Business and Innovation Fund	25 976	25 976
Grant income: European Union	5 206	5 206
Grant income: Covid_19 relief and post economic recovery programmes	174 932	174 932
Grant income: Youth Challenge Fund	24 806	24 806
Grant income: Micro Finance	135 776	135 776
Grant income: Co-Op Development Support	94 957	94 957
Grant income: National Government (Operational funding)	144 156	144 156
Grant income: National Government (Specific business development support projects)	420 624	420 624
Grant income: Other provincial, local and district Government Units	-	-
Grant income: Specific projects	58 649	58 649
	1 089 575	1 089 575
Grant expense: Blended Finance	(4 493)	(4 493)
Grant expense: Small Business and Innovation Fund	(5 435)	(5 435)
Grant expense: Covid_19 relief and post economic recovery programmes	(45 266)	(45 266)
Grant expense: Youth Challenge Fund	(3 681)	(3 681)
Grant expense: Co-Op Development Support	(94 745)	(94 745)
	(153 620)	(153 620)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

3. TAXATION

3.1. CURRENT TAX ASSET/ (TAX PAYABLE)

Current tax is the expected tax payable or receivable on the taxable income or loss for the year. Refer to note 3.2 for additional information.

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Tax receivable/(payable) at the beginning of the year	(3 945)	(5 416)
Tax as per statement of comprehensive income (net of deferred tax)	(97 081)	(94 928)
Provisional tax paid	87 794	87 912
Tax payable at the end of the year	(13 232)	(12 432)

3.2. INCOME TAX EXPENSE

Income tax expenses comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in other comprehensive income or equity.

Current tax

Current tax is measured using tax rates enacted or substantively enacted at the reporting date. Current taxes are recognised as income or an expense and included in profit or loss for the period, except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different period, in other comprehensive income or in equity.

Current tax also includes any adjustment to tax payable in respect of previous years when necessary. The Group offsets current assets and current tax liabilities only when:

- The Group has a legally enforceable right to set off current tax assets against current tax liabilities.
- The Group intends to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred tax

Deferred tax is charged or credited in profit or loss, except when it relates to items credited or charged to other comprehensive income or directly to equity, in which case the deferred tax is also recognised in other comprehensive income or equity.

Refer to note 3.3 for additional information on deferred tax.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Current tax expense - current year	97 081	94 928
- Current year	95 576	94 928
- Prior year under/(over) provision	1 505	-
Deferred taxation - current year	13 305	4 640
- Current year	18 244	4 640
- Recognition of tax loss previously not recognised	(9 375)	-
- Tax Loss movement	4 436	-
Deferred tax asset not recognised in the current year ⁽²⁾	(19 471)	(4 640)
Income tax expense	90 915	94 928
Reconciliation of taxation amount:		
Loss before taxation	625 512	591 646
Taxation at standard rate of 27%	168 888	159 745
Tax effect of permanent differences	(89 574)	(69 457)
- Non-deductible expenses	84 485	84 442
- expenses attributable to exempt grant income	70 923	70 921
- repairs and maintenance not deductible	-	-
- impairment on related party loans	11 805	11 805
- movement on day 1 gain on IDC loan	1 330	1 330
- legal fees not deductible	-	-
- Interest, penalties paid in respect of taxes	384	384
- other	43	2
- Non-taxable income	(174 059)	(153 899)
- fair value adjustment on investment properties	-	-
- exempt grant income	(155 328)	(153 899)
- exempt dividend income	-	-
- other ⁽¹⁾	(18 731)	-
Tax effect of deferred tax asset not recognised	19 471	4 640
Taxation - Relating to prior year under/(over) provision	1 505	-
Taxation (credit)/ charge to the statement of comprehensive income	90 915	94 928
Taxation expense relating to current year	89 410	94 928
Effective tax rate	14.29%	16.04%

⁽¹⁾ The other amounts in the tax rate reconciliation are reconciling items from externally managed related entities. The individual amounts making up this item are not considered to be significant.

⁽²⁾ The deferred tax asset is not recognised due to uncertainty regarding the future taxable temporary differences against which this can be utilised.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

3.3. DEFERRED TAX ASSETS AND LIABILITIES

Deferred tax is recognised in respect of all temporary differences arising between the carrying amount of assets and liabilities in the financial statements and the corresponding tax base used in the computation of taxable income.

Deferred tax assets are recognised to the extent that it is probable that future taxable profit will be available against which unused tax deductions can be utilised.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax will be realised.

Deferred tax is not recognised if the temporary differences arise from:

- The initial recognition of goodwill
- The initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither taxable income nor accounting profit or loss

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but the Group intends to settle current tax liabilities and assets on a net basis or the tax assets and liabilities will be realised simultaneously.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of Investment property measured at fair value is presumed to be recovered through sale, and the Group has not rebutted this presumption.

3.3.1. NET DEFERRED TAX

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Deferred taxation assets	369 680	329 970
Deferred taxation liabilities	(363 511)	(329 970)
Net deferred taxation asset	6 169	-

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

3.3.2. DEFERRED TAXATION ASSETS

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Movement on the deferred taxation asset is as follows:		
At beginning of the year	360 084	326 540
Temporary differences recognised in profit or loss		
- Current year	3 430	3 430
At end of the year	369 680	329 970
Deferred taxation assets recognised:		
Income received in advance	2	-
Tax loss	39 705	-
Other provisions	329 973	329 970
Total deferred tax assets recognised	369 680	329 970
Unused deferred tax assets:	-	-
Fair value adjustments		
Provision for doubtful debts	696 599	831 567
Provision for leave pay	6 096	6 096
Provisions for bonuses	22 609	22 609
Other provisions	140	140
Fixed assets (owned)	354	354
Revenue received in advance	113 725	113 725
IFRS 16	3 865	3 865
Prepayments	(631)	(631)
Doubtful debt allowance	(329 340)	(329 340)
Impairment of investments	-	-
Tax losses (Revenue in nature)	16 090	-
Total	529 507	648 385

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

3.3.3. DEFERRED TAXATION LIABILITY

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Movement on the deferred taxation liability is as follows:		
At beginning of the year	(360 080)	(326 540)
Temporary differences recognised in profit or loss		
- Current year	(3 431)	(3 430)
At end of the year	(363 511)	(329 970)
Deferred taxation liabilities:		
Equipment, furniture and other tangible assets	-	-
Prepaid expenses	631	631
Debtor allowances	362 880	329 339
Fair value adjustments on investment property	-	-
Other provisions	-	-
Total deferred tax liabilities recognised	363 511	329 970

4. WORKING CAPITAL

4.1. CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash on hand, cash managed by the IDC, deposits held on call with financial institutions, and investments in money market instruments. Cash and cash equivalents are available within three months from the date of acquisition (or from initial recognition).

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Cash in bank and on hand	4 034 475	3 321 550
Cash managed by IDC	1 266 261	1 257 403
Cash managed on behalf of 3rd parties (note 4.3.3)	724 066	724 066
Gross carrying amount	6 024 802	5 303 019
Expected credit loss on cash	(46)	(40)
Total cash and cash equivalents	6 024 756	5 302 979

Cash and cash equivalents are all current assets. Cash balances managed by IDC are immediately available as and when requested. Cash and cash equivalents includes allocations received from the Department of Small Business Development to the value of R2.3bil (2024: R3.1bil) which is ring fenced under various lending programs and can't be used for **SEDFA** group operational expenditure. The interest earned on these funds and collections from lending operations are however available for unrestricted use by **SEDFA**.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

4.2. TRADE AND OTHER RECEIVABLES

Trade and other receivables are initially recognised at fair value and are subsequently measured at amortised cost less impairment losses. The carrying amount of trade and other receivables is deemed to approximate fair value due to the short term nature of the assets.

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Trade receivables	48 543	19 517
Prepayments	21 276	21 276
Rental debtors	30 083	-
Related party loans (refer to note 10.1)	8 719	825 918
Study loans	3 104	3 104
Trade and other receivables before credit allowances	111 725	869 815
Credit allowances on rental debtors	(28 456)	-
Credit allowances on trade and other receivables	(17 118)	(6 134)
Credit allowance on related party loan (refer to note 10.1) (1)	-	(529 004)
Closing carrying value	66 151	334 677

Trade and other receivables are current assets and not pledged as security.

(1) All related parties, including Khula Land Reform (not required to be consolidated) were assessed for impairment and no impairment was required, other than for Khula Business Premises (a subsidiary) and Khula Institutional Support Services where credit loss allowances were raised in the **SEDFA** company financial statements which is then eliminated in the consolidated group financial statements. At a company level the related party loans are assessed for impairment with referece to the net asset value of the subsidiary. If the net asset value is negative the related party loan is impaired up to the total negative net asset value attributable to the company (**SEDFA**).

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

4.3. TRADE AND OTHER PAYABLES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Trade payables	238 033	170 671
Provision for bonus (Refer to 4.3.1)	83 737	83 737
Provision for leave pay (Refer to 4.3.2)	23 710	23 710
Managed funds (Refer to 4.3.3)	724 066	724 066
Related party loans payable	1 203	1 203
Total trade and other payables	1 070 749	1 003 387

4.3.1. PROVISION FOR BONUSES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Balance - merger under common control	67 401	67 401
Utilised during the year	(24 174)	(24 174)
Accruals raised during the year	40 510	40 510
Closing balance	83 737	83 737

4.3.2. PROVISION FOR LEAVE PAY

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Balance - merger under common control	23 153	23 153
Utilised during the year	(5 582)	(5 582)
Accruals raised during the year	6 139	6 139
Closing balance	23 710	23 710

4.3.3. MANAGED FUNDS

SEDFA has been appointed by various third parties to manage funds on their behalf. These third party funds are ring-fenced into separate accounts and are restricted. These funds can only be utilised for the specific purpose as determined in the Agreements between SEDFA and the third parties. SEDFA utilises the funds as instructed by the sponsor or donor.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Unops	51 623	51 623
European Union	17 433	17 433
The Department of Tourism	561 138	561 138
The Eastern Cape Rural Development Agency	25 000	25 000
BP Southern Africa (Pty) Ltd	26 603	26 603
Provincial, local and district goverments	1 776	1 776
Basic Entrepreneurial Skills Development project	152	152
Public Service Sector - Education and Training Authority (PSETA)	661	661
Wholesale and Retail - Education and Training Authority (W&RSETA)	7 500	7 500
National Skills Fund	1 683	1 683
Export Credit Insurance Corporation of South Africa (SOC) Ltd	367	367
Egolibi Incubation project	457	457
European Union business Development Support	29 673	29 673
Total managed funds	724 066	724 066

All trade and other payables are current liabilities. Carrying amount is deemed to approximate fair value due to the short term nature of the assets.

4.4. DEFERRED GRANTS RECEIVABLE AND PAYABLE

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Deferred grant receivable - gross carrying amount	182 388	243 083
Credit allowances on deferred grant receivables	-	-
Total deferred grant receivable - net carrying value	182 388	243 083
Deferred grants payable	4 526 275	4 526 275
Total deferred grant payable	4 526 275	4 526 275

Grant income is deferred and recognised in profit or loss over the period necessary to match them with the costs for which they are intended to compensate.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

5. FIXED ASSETS

5.1. EQUIPMENT, FURNITURE AND OTHER TANGIBLE ASSETS – MATERIAL ACCOUNTING POLICY

Measurement

All items of equipment, furniture and other tangible assets recognised as assets, are initially measured at cost. Cost includes expenditures that are directly attributable to the acquisition of the asset. All items of equipment, furniture and other tangible assets are subsequently measured at cost less accumulated depreciation and any accumulated impairment losses. Where parts of an item of equipment, furniture and other tangible assets have significantly different useful lives, they are accounted for as separate items of equipment, furniture and other tangible assets. Although individual components are accounted for separately, the financial statements continue to disclose a single asset. Gains and losses on disposal of an asset are determined by comparing the proceeds from disposal with the carrying amount of the asset and are recognised in profit or loss.

Subsequent costs

The Group recognises the cost of replacing part of such an item of equipment, furniture and other tangible assets in the carrying amount of the item when that cost is incurred and if it is probable that future economic benefits will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the part that is replaced is derecognised. All other costs are recognised in profit or loss as an expense as they are incurred.

Impairment

The carrying amount of assets are reviewed at each reporting date to determine whether there is any indication of impairment. If such indication exists, the asset's recoverable amount is estimated. The recoverable amount of non-financial assets is the greater of fair value less cost of disposal and its value in use. Fair value less cost of disposal is the amount obtainable from the sale of an asset or cash-generating unit in an orderly transaction between market participants at the measurement date, less the costs of disposal. In assessing value in use, the expected future cash flows from the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Impairment losses

An impairment loss is recognised immediately in profit or loss. Impairment losses recognised in the prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount and only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised.

Depreciation

Depreciation is recognised in profit or loss on a straight-line basis, based on the estimated useful lives of the underlying assets. Depreciation is calculated on the cost of the asset (or carrying amount, if asset is previously impaired) less residual value. The estimated useful lives for the current and comparative periods are as follows:

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For the Period Ended 31 March 2025

Computer equipment	3 - 5 years
Office equipment	2 - 6 years
Furniture and fittings	5 - 6 years
Motor vehicles	4 - 5 years
Leasehold improvements	expected lease period

The residual values, useful lives and depreciation method are re-assessed at each financial year-end and adjusted if appropriate.

De-recognition

The carrying amount of items of equipment, furniture and other tangible assets are derecognised on disposal or when no future economic benefits are expected from their use or disposal.

5. FIXED ASSETS

5.1. EQUIPMENT, FURNITURE AND OTHER TANGIBLE ASSETS

	GROUP			COMPANY		
	Cost R'000	Accumulated depreciation and impairment R'000	Carrying value R'000	Cost R'000	Accumulated depreciation and impairment R'000	Carrying value R'000
31 March 2025						
Motor vehicles	55 029	(42 325)	12 704	55 029	(42 325)	12 704
Computer equipment	120 625	(101 578)	19 047	120 230	(101 182)	19 048
Office and other equipment	32 286	(23 182)	9 104	31 329	(22 827)	8 502
Furniture and fittings	34 681	(32 017)	2 664	31 656	(28 990)	2 666
Lease improvements	21 002	(20 202)	800	21 002	(20 202)	800
	263 623	(219 304)	44 319	259 246	(215 526)	43 720

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For the Period Ended 31 March 2025

The movement in the carrying value of office equipment, furniture and other tangible assets is as follows:

	GROUP					
	Motor vehicles R'000	Computer Equipment R'000	Office and other equipment R'000	Furniture and fittings R'000	Lease improvements R'000	Total R'000
31 March 2025						
Opening carrying value	15 398	22 521	9 221	3 457	1 023	51 620
Additions	753	4 317	1 219	303	-	6 592
Disposals	-	(110)	(23)	(9)	-	(142)
Depreciation charges	(3 447)	(7 681)	(1 313)	(1 087)	(223)	(13 751)
Closing carrying value	12 704	19 047	9 104	2 664	800	44 319

	COMPANY					
	Motor vehicles R'000	Computer Equipment R'000	Office and other equipment R'000	Furniture and fittings R'000	Lease improvements R'000	Total R'000
31 March 2025						
Opening carrying value	15 398	22 521	8 626	3 459	1 023	51 027
Additions	753	4 317	1 187	303	-	6 560
Disposals	-	(107)	(25)	(9)	-	(141)
Depreciation charges	(3 447)	(7 683)	(1 286)	(1 087)	(223)	(13 726)
Closing carrying value	12 704	19 048	8 502	2 666	800	43 720

No equipment, furniture or other tangible assets are pledged as security for liabilities (30 September 2024: Rnil) and all assets are non-current assets.

5.2. INTANGIBLE ASSETS – MATERIAL ACCOUNTING POLICY

Measurement

All intangible assets in the Group and Company have finite useful lives. Intangible assets are initially measured at cost and, subsequently, carried at cost less accumulated amortisation and accumulated impairment losses.

Impairment

The carrying amount of assets are reviewed at each reporting date to determine whether there is any indication of impairment. If such indication exists, the asset's recoverable amount is estimated. The recoverable amount of intangible assets is the greater of fair value less cost of disposal and, its value in use. Fair value less cost of disposal is the amount obtainable from the sale of an asset or cash-generating unit in an orderly transaction between market participants at the measurement date, less the costs of disposal. In assessing value in use, the expected future cash flows from the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments

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of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. An impairment loss of assets carried at cost less any accumulated amortisation is recognised immediately in profit or loss.

Impairment losses recognised in the prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount and, only to the extent that the asset’s carrying amount does not exceed the carrying amount that would have been determined, net of amortisation: if no impairment loss had been recognised.

Amortisation

Amortisation is recognised in profit or loss on a straight-line basis, based on the estimated useful lives of the underlying assets. Amortisation is calculated on the cost less any impairment and expected residual value. The estimated useful lives for the current and comparative periods are as follows:

Computer software	3 - 4 years
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The residual values, useful lives and amortisation methods are re-assessed at each financial year-end and adjusted if appropriate, with the effect of any changes in estimate being accounted for on a prospective basis.

De-recognition

The carrying amount of intangible assets are derecognised on disposal or when no future economic benefits are expected from their use or disposal. Gains or losses arising from de-recognition are determined as the difference between the net disposal proceeds and the carrying amount of the item of intangible assets and included in profit or loss when the items are derecognised.

5.2. INTANGIBLE ASSETS

	GROUP			COMPANY		
	Cost R'000	Accumulated amortisation and impairment R'000	Carrying value R'000	Cost R'000	Accumulated amortisation and impairment R'000	Carrying value R'000
31 March 2025						
Software	24 477	(18 834)	5 643	24 451	(18 808)	5 643
	24 477	(18 834)	5 643	24 451	(18 808)	5 643
30 September 2024						
Software	23 339	(18 324)	5 015	23 315	(18 300)	5 015
	23 339	(18 324)	5 015	23 315	(18 300)	5 015

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The movement in the carrying value of computer software is as follows:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying value	5 015	5 015
Additions	1 138	1 138
Amortisation	(510)	(510)
Closing carrying value	5 643	5 643

No intangible assets are pledged as security for liabilities. All intangible assets are non-current assets.

5.3. INVESTMENT PROPERTIES – MATERIAL ACCOUNTING POLICY

Investment property is property held to earn rental income, or for capital appreciation or for both.

Measurement

Investment property is measured initially at cost, including transaction costs and directly attributable expenditure in preparing the asset for its intended use. Subsequently, all investment properties are measured at fair value.

Valuation

Valuation takes place annually, based on the aggregate of the net annual rental receivable from the properties, considering and analysing rentals received on similar properties in a close vicinity, less associated costs (insurance, maintenance, repairs, and management fees). A capitalisation rate which reflects the specific risks inherent in the net cash flows is applied to the net annual rentals to arrive at the property valuations. The fair value of undeveloped land held as investment property is based on comparative market prices after market surveys. Gains or losses arising from a change in fair value are recognised in profit or loss. External, independent valuers having appropriate, recognised professional qualifications and recent experience in the location and category of the property being valued, perform valuations on the portfolio every three years.

Gain or loss on the disposal of investment property

Gain or loss on the disposal of investment property is (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss. Refer to note 5.5 for additional information on determination of fair values. The properties were valued by the independent valuers in the current year. A desktop valuation was performed in 2023 and 2022. Inputs included market related rental income and market capitalisation rates.

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5.3. INVESTMENT PROPERTIES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying amount	251 759	-
Reclassification to Investment Properties held-for-sale	(222)	-
Fair value adjustments	2 382	-
Total investment properties	253 919	-
Amounts recognised in profit and loss from invesment properties		
Interest on overdue rental debtors (1)	24	-
Investment property rental income (1)	7 165	-
Investment property rental recoveries (1)	6 742	-
Investment property expenses (2)	(40 361)	-
Total Amounts recognised in profit and loss	(26 430)	-

(1) As presented in note 2.3 - Other interest and revenue earned.

(2) As presented in the statement of comprehensive income.

The investment property portfolio comprises of retail and industrial properties and portions of vacant land. The retail and industrial properties are leased out to tenants on a fixed term basis with an option to renew. The lease term and renewal options are negotiated on individual basis with the portfolio having an average lease term of 3 years.

The risks related to the Company’s rights on the leased property is managed through lease agreements with tenants on a lease-by-lease basis. No risk and rewards incidental to the leased property are transferred to the tenants either during the lease or at the end of lease term.

5.4. INVESTMENT PROPERTIES HELD-FOR-SALE

Investment properties are classified as held-for-sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

Measurement

Investment properties held-for-sale are measured at the lower of fair value and fair value less cost to sell.

Reclassification

The investment property will be reclassified immediately when there is a change in intention to sell.

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	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying amount	-	-
Reclassification from Investment Properties	222	-
Closing carrying value	222	-

Investment properties held-for-sale are valued on the same basis as the investment properties.

There is an intention to sell properties that are not financially viable, however these sales take a considerable amount of time to conclude, and therefore due to the fact that management cannot reliably conclude that sale of these properties will be finalised within 12 months, they have been recalssified in the current year back to investment property.

5.5. NET FAIR VALUE GAIN OR LOSS ON INVESTMENT PROPERTIES

Refer to 1.4.6 for the fair value hierarchy and accounting policy on determination of fair values.

Valuation methods and assumptions used in determining the fair value of investment property and investment property held-for-sale:

Capitalisation method

The property portfolio is mostly made up of income producing properties, with the result that the income capitalisation method has been adopted for the determination of value. The value of the property reflects the present value of the sum of the future benefits, which an owner may expect to derive from the property. These benefits are expressed in monetary terms and are based on the estimated rentals such a property would fetch, for instance: the market-related rental between a willing landlord and tenant. The usual property outgoings are deducted to achieve a net rental, which is then capitalised at a rate an investor would require.

Comparative method

Of the entire portfolio, two properties are sectional title in nature and, one comprises of vacant land. These properties have been valued on the direct comparison basis: this is how they trade in the open market. The method involves the identification of comparable properties sold in the area or in a comparable location within a reasonable time. The selected comparable properties are analysed and compared with the subject property. Adjustments are then made to their values to reflect any differences that may exist. This method is based on the assumption that a purchaser will pay an amount equal to what others have paid or are willing to pay.

5.5 NET FAIR VALUE GAIN OR LOSS ON INVESTMENT PROPERTIES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Fair value gain/(loss) on investment properties	2 382	-
Net fair value gain and impairments	2 382	-

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Investment properties are valued externally by independent valuers every three years. For the financial year ended 31 March 2024 an independent valuation was performed by Tirhisanani Property Solutions. Investment properties are non-

The fair value measurement for investment property has been categorised as level 3 fair value based on **SEDFA's** fair value hierarchy due to unobservable inputs used.

The assumptions used in the valuations conducted at 31 March 2025 were assessed to be appropriate for the current financial year.

The following summarises the valuation technique used in measuring the fair value of Investment Properties, as well as the significant unobservable inputs used:

Valuation technique

SEDFA's property portfolio consists mainly of income producing properties and this is the fundamental basis on which the valuation of investment properties is determined. Investment properties produce a perpetual income stream and the capitalisation of such net revenue flow is an accurate means of determining the value. Included in the portfolio, are two properties which are sectional title in nature and one comprises of vacant land. These properties have been valued on the direct comparison basis.

	Highest	Average
Capitalisation percentage	15%	13%

Sensitivity analysis for inputs to determine fair value

A change in 1% (2024: 1%) in the below inputs at the reporting date would have increased/(decreased) net fair value gain or loss on the investment property by the amounts shown below. This analysis assumes that all other variables remain

	GROUP 31 March 2025	COMPANY 31 March 2025
Market related annual income 1% increase	5 228	-
Market related annual income 1% decrease	(5 228)	-
Capitalisation rate 1% increase	(19 890)	-
Capitalisation rate 1% decrease	19 890	-
Market related expenses 1% increase	(2 684)	-
Market related expenses 1% decrease	2 684	-

5.6. LEASES (RIGHT-OF-USE ASSET AND LEASE LIABILITY) – MATERIAL ACCOUNTING POLICY

The Group assesses at contract inception whether a contract is, or contains, a lease. That is: if the contract conveys the right to control the use of an identified asset for a period, in exchange for consideration.

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As a lessee: the Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets, representing the right to use the underlying assets.

Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of- use assets are depreciated on a straight-line basis over the lease term. The right-of-use assets are presented within Note 5.6 and are subject to impairment in line with the Group's policy.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease liability is discounted using the incremental borrowing rate. The Group's leases comprise of fixed lease payments.

As a lessor:

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the underlying asset and recognised over the lease term on the same basis as rental income.

5.6 RIGHT-OF-USE ASSET AND LEASE LIABILITY

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying amount	76 640	76 640
Depreciation charge for the year	(29 433)	(29 433)
Additions		
Modifications to lease terms	44 394	44 394
Closing carrying value	91 601	91 601

Set out below are the carrying amounts of lease liabilities and the movements during the period:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying amount	92 704	92 704
Additions	-	-
Accretion of interest	5 679	5 679
Modification	44 394	44 394
Payments	(36 860)	(36 860)
Closing carrying value	105 917	105 917

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The lease liability is discounted using the incremental borrowing rate.

Lease payments not recognised as a liability

The group has elected not to recognise a lease liability for short term leases (leases with an expected term of 12 months or less) or for leases of low value assets. Payments made under such leases are expensed on a straight-line basis. In addition, certain variable lease payments are not permitted to be recognised as lease liabilities and are expensed as incurred.

	31 March 2025 R'000
The expense relating to payments not included in the measurement of the lease liability is as follows:	
Short term leases	-
Leases of low value assets	1 507
	1 507

Low value assets consists of 78 printers that are leased. Remaining term on the lease at 31 March 2025 was 26 months.

The Group applies the election by class of underlying asset to which the right of use relates.

Maturity analysis for lease liability

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Due within one year	68 676	68 676
Due after one year but within two years	37 241	37 241
Carrying value of lease liability	105 917	105 917

Contractual lease payments maturity analysis

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Due within one year	76 942	76 942
Due after one year but within two years	38 451	38 451
Due within two to three years	-	-
Total contractual lease payments in the next 5 years	115 393	115 393

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6. FINANCE STRUCTURE AND COMMITMENTS

6.1. LOAN FROM IDC

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening balance	76 795	76 795
Repayments	(7 500)	(7 500)
Finance charges ⁽¹⁾	4 925	4 925
Total	74 220	74 220

⁽¹⁾ At initial recognition, a day one gain was recognised. The effective interest rate used in determining the fair value of the loan to discount the interest-free loans from the IDC is based on the average lending rate and weighted average cost of capital of the IDC. The interest recognised during the year relates to the unwinding of the day one gain. An assessment has been conducted, as at reporting date, to test for possible changes in the effective interest rate and no material changes in the rate has been noted since initial recognition of the loan. At reporting date the carrying value is considered to approximate the fair value

The closing balance consists of two loans:

Loan terms	31 March 2025 R'000	31 March 2025 R'000
Subordinated and non-interest bearing. Repayable biannually in equal instalments over 10 years, commencing 31 July 2023	74 220	74 220
Total shareholder's loans	74 220	74 220

The finance charges reflected above is the result of the amortisation of a fair value gain that was initially recognised.

6.2. INSURANCE CONTRACTS – MATERIAL ACCOUNTING POLICY

The Group is required to adopt IFRS 17 Insurance Contracts for its accounting period starting 1 April 2023, which replaces IFRS 4 Insurance Contracts.

The Group issues credit indemnity insurance contracts that are accounted for in accordance with IFRS 17 Insurance contracts.

The Group issues two types of insurance policies:

- Portfolio Credit Guarantee ("PCG"): this product provides credit guarantees to lenders (commercial banks and other financial institutions) for SMME borrowers
- Supplier Credit Guarantee ("SCG"): this product provides indemnity to the suppliers in the event of end user's failing to meet their obligation in terms of the facility agreements.

The Group accounts for these products by applying the following measurement approaches:

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Product	Portfolio	Measurement approach
Portfolio Credit Guarantee	Portfolio Credit Guarantee (PCG)	General Measurement Model (GMM)
Supplier Credit Guarantee	Barnes Reinforcing Industries (Pty) Ltd ("BRI")	Premium Allocation Approach (PAA)
Supplier Credit Guarantee	Macsteel Service Centres SA (Pty) Ltd ("Macsteel")	General Measurement Model (GMM)
Supplier Credit Guarantee	Praxis Financial Services (Pty) Ltd ("Praxis")	General Measurement Model (GMM)

Definitions and classifications

Products sold by the Group are classified as insurance contracts when the Group accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder.

This assessment is made on a contract-by-contract basis at the contract issue date. In making this assessment, the Group considers all its substantive rights and obligations, whether they arise from contract, law or regulation.

The Group determines whether a contract contains significant insurance risk by assessing if an insured event could cause the Group to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract.

Separating components from insurance

Distinct investment component

An investment component is defined as the amount that an insurance contract requires the entity to repay to a policyholder in all circumstances, regardless of whether an insured event occurs. In order to identify the presence of an investment component, the following questions are answered:

- a. Is there a withdrawal benefit payable on surrender, lapse or cancellation of the policy?
- b. If the contract has a fixed policy term, is there a maturity benefit payable?
- c. In all other circumstances is the policyholder entitled to receive a payment (including a withdrawal benefit should he/she choose to terminate the contract as a result of this circumstance)?

The Group does not have exposure to investment components within any of its insurance contracts and has no plans to offer this product feature in the foreseeable future.

Embedded derivative not closely related to the host insurance contract

An embedded derivative is defined under IFRS 9.4.3.1 as a component of a hybrid contract that also includes a non-derivative host with the effect that some of the cash flows of the combined instrument vary in a way like a stand-alone derivative. An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract. A derivative that is attached to a financial instrument but is contractually transferable independently of that instrument, or has a different counterparty, is not an embedded derivative, but a separate financial instrument.

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The Group does not have exposure to embedded derivatives within any of its insurance contracts and has no plans to incorporate any in the foreseeable future.

Distinct goods and services other than insurance contract services

Any promise to transfer distinct goods or services other than insurance contract services to the policyholder must be accounted for applying IFRS 15. To establish whether a good or service is distinct, the following questions are asked:

- a. Does the insurer provide a significant service in integrating the good or service other than an insurance service with the insurance components?
- b. Are the cash flows and risks associated with the good or service highly interrelated with the cash flows and risks associated with the insurance components in the contract?
- c. Can the policyholder benefit from the good or service either on its own or together with other resources readily available to him/her through purchase or resources he/she already has?

None of the Group's products include goods or services other than insurance contract services. There are also no plans to include these product features in the foreseeable future.

Level of aggregation

The Group's contracts are aggregated into separate groups for the purpose of determining the IFRS 17 profit recognition in respect of each financial reporting period. A group is defined to include contracts issued or renewed in a particular financial year that use the same measurement approach and have a similar level of expected profitability split at a product type level.

A contract is assigned to a group at initial recognition, and this is not reassessed until the contract boundary has been reached. Where the premium allocation approach is applied, due to similar expected profitability, each portfolio cohort year's contracts are assigned to a group as a whole and not on a contract-by-contract basis.

The Group identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In grouping insurance contracts into portfolios, the Group considers the similarity of risks rather than the specific labelling of product lines. The Group has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts.

A 3-step process is followed to assign an insurance contract issued to a group:

1. Step 1: Allocate the contract to a portfolio.
2. Step 2: Assign the contract to a group such that the issues dates are not more than a year apart.
3. Step 3: Assign the contract to a profitability bucket, which at a minimum, subject to certain conditions, must be "Onerous", "No significant possibility of becoming onerous" ("NSPBO") or "Remaining".

Step 1 – Definition of a portfolio

Insurance Contracts that have similar risks and are managed together need to be grouped together in what is defined as a portfolio under IFRS 17.

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For the Period Ended 31 March 2025

I. Similar risks

For the Group, a product line would equate to its business classes that it uses to report through to the Prudential Authority (PA) given that the business written within each business class tend to respond similarly to the same key drivers of risk.

II. Managed together

No definition is provided for what constitutes being managed together and it is left to each insurer to determine this for itself. The criteria that the Group has chosen to use to satisfy itself that the contracts are managed together is as follows:

- a. The contracts are housed on the same policy administration system,
- b. Management reports do not separate these contracts to a more granular level, and this is not purely due to a difference in the profit expectation, and
- c. The business partners involved in sharing the profits arising from the contracts do not differ.

III. Measurement approach

An additional consideration which has led to our decision regarding the IFRS 17 portfolios is the measurement model approach that needs to be applied. Whilst the standard doesn't explicitly state that contracts measured under a different measurement approach need to be split into different portfolios, the practical application of IFRS 17 leads the Group to this conclusion. The reasons are as follows:

- a. The list of quantitative disclosures differs for groups where the premium allocation approach has been applied compared to where the general measurement model has been applied. The accounting structure under IFRS 17 has therefore been set up to cater for this level of granularity.
- b. For presentation within the statement of financial position, portfolios that are in an overall asset position are presented as insurance contract assets and those in a liability position are presented as insurance contract liabilities.

It can also be argued that contracts of a shorter-term nature will respond differently to risk compared to longer-term contracts as there is a different time horizon over which the risks can incur. Thus, the risks are not similar.

IV. Portfolio's recommended and chosen

Based on the guidance of the standard, the Group has chosen the following portfolios:

- a. Portfolio Credit Product (PCG)
- b. Macsteel (SCG)
- c. BRI (SCG)
- d. Praxis (SCG)

Step 2 – Cohort period

Issue dates may not be more than one year apart. The decision of what cohort period to choose rested on several key considerations:

- a. The impact on profit recognition if a shorter period than one year is used,
- b. How the business is currently managed for reporting purposes,
- c. The need to apply one initial recognition discount rate to each group of insurance contracts,
- d. The financial reporting period,
- e. The pattern of contractual renewals and new business over the financial reporting period, and
- f. The practical implications of each cohort option.

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From a practical perspective, it is best to set one cohort period definition that is applied across all contracts. The Group has contracts measured under the premium allocation approach and the general measurement model. Currently, the business is managed on an underwriting year basis which means that the contracts are grouped together based on the year the contract is issued or renewed. The underwriting year is aligned to the financial year (i.e. 1 April – 31 March).

Annual cohorts aligned to the underwriting year are applied for the portfolios measured under the general measurement approach (PCG, Macsteel and Praxis). The BRI contract is not assigned to annual cohorts as contract level data is not available at the point of underwriting and receipting.

Step 3 – Profitability buckets

Insurance contracts issued – Level of granularity

There are no legal or insurance regulations that prevent the Group from having the practical ability to set a different price or level of benefits for policyholders with different characteristics.

As such the minimum level of aggregation required, after allocating contracts to portfolios and ensuring that issues dates are not more than one year apart, is to assign each contract based on the profitability expectations at initial recognition to a profitability bucket:

- a. Contracts that are onerous on initial recognition
- b. Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- c. Any remaining contracts

The determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability- weighted basis. The Group determines the appropriate level at which reasonable and supportable information is available to assess whether the contracts are onerous at initial recognition and whether the contracts not onerous at initial recognition have a significant possibility of becoming onerous subsequently. The Group applies significant judgement in determining at what level of granularity the Group has sufficient information to conclude that all contracts within a set will be in the same group. In the absence of such information, the Group assesses each contract individually.

Insurance contracts issued - Premium allocation approach

Under the premium allocation approach, no contracts are assumed to be onerous at initial recognition unless facts and circumstances indicate otherwise. For the Group, these facts and circumstances will be informed by the process to set policy premium rates or from business-as-usual profitability monitoring and internal reporting processes.

Expected profitability can only be determined at a product level not at cohort year level or per policy basis. For the BRI product (and PCG product), premiums are set at between 1% and 3.5% depending on the level of cover and risk profile of the partner financial institution. On a risk adjusted IFRS 17 basis, (i.e. allowing for an allocation of directly attributable expenses and an adjustment for the compensation required for exposure to non-financial risks), the BRI product is expected to fall within the onerous category.

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Insurance contracts issued - General Measurement Model and Variable Fee Approach

For the general measurement model, an actuarial projection is carried out in Basys on a per contract basis. For all new contracts written in the reporting period, it is proposed to use the prior year IFRS 17 assumptions to value the present value of expected cash flows and the risk adjustment for non-financial risk at the date of initial recognition. Where this amount is positive (i.e. expected outflows are greater than expected inflows), the contract will be assigned to an onerous group. Where the amount is negative, an additional step is required to assign the profitable contract in either the “remaining” bucket or the “NSPBO” bucket.

Review of aggregation assumptions

Any detailed profitability and profitability criteria assumptions will be reviewed annually prior to the end of annual financial reporting period. If new products are launched during the year, the premium rate setting assumptions will be used to incorporate the new product within the aggregation processes.

Recognition

Contract recognition

The Standard requires that contracts be recognised from the earlier of one of three dates:

1. the beginning of the coverage period of the group of contracts,
2. the date when the first payment from a policyholder in the group becomes due, and
3. for a group of onerous contracts, when the group becomes onerous.

In absence of a contractual due date, the first payment from a policyholder is deemed to be due when it is received [IFRS17 17.26]. Premiums paid before their due date are not recognised as part of the insurance liability, but as current financial liability.

Contracts accounted for using the premium allocation approach (PAA) are presumed to be not onerous at the date of initial recognition [IFRS17 17.18], unless facts and circumstances indicate that a group might be onerous. In such a case, the Group needs to determine whether an onerous group has to be introduced applying the definition of a contract at the date of initial recognition IFRS17 17.17 allows measuring a set of contracts collectively to establish whether these contracts are onerous, if there is reasonable and supportable information to conclude that all contracts in this set of contracts will be in the same category of a group (i.e., in this case “onerous at initial recognition”).

For all product types, the contract terms and conditions were assessed to determine the recommended contract recognition dates. The outcome is summarised below:

- a. Portfolio Credit Guarantee: beginning of the coverage period
- b. Supplier Credit Guarantee: beginning of the coverage period

Contract boundary

The measurement of insurance contracts should include all cash flows within the boundary of an existing contract and no other cash flows [IFRS17 17.33 and IFRS17 17.B61]. The standard does not allow an entity to recognise any cash flows outside the contract boundary, as those cash flows are considered to relate to future insurance contracts [IFRS17 17.35].

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According to IFRS17 17.34, cash flows are within the boundary of an insurance contract if they arise from the rights and obligations that exist during the period in which the policyholder is obligated to pay premiums, or the entity has a substantive obligation to provide the policyholder with insurance coverage or other services. A substantive obligation ends when:

- a. the entity has the practical ability to reprice the risks of the policyholder or change the level of benefits so that the price fully reflects those risks; or
- b. both of the following criteria are satisfied:
 - the entity has the practical ability to reprice the contract or a portfolio of contracts so that the price fully reflects the reassessed risk of that portfolio; and
 - the pricing of premiums related to coverage to the date when risks are reassessed does not reflect the risks related to periods beyond the reassessment date.

When determining the boundaries of the contract all substantive rights held by the policyholder (i.e., contractual and/or arising from law or regulations) are required to be considered except for restrictions without commercial substance [IFRS17 17.2].

Generally, premiums to be paid due to a mutually binding agreement are within the boundary of a contract. Contract renewals that are not legally binding are hence outside of the boundary, i.e., if the entity can unilaterally decline further obligations. Related obligations are recognized and measured as new contracts.

For the Group’s products, the shortest period over which entity has a substantive obligation to provide insurance coverage or the policyholder is obligated to pay premiums was assessed as 30 days. This is the period following a notification of intent to cancel the policy by either the Group or their client.

However, the cancellation notice was assessed to be of no commercial substance as the cover extended to term expiry for any existing indemnity cover applicable before notice of cancellation. The contract boundary was then concluded to be equal to the policy terms.

The table below summarises the contract boundary assessment:

Product	Contract boundary
Portfolio Credit Guarantee	Equal to contract term (1 year to 5 years)
BRI	Equal to contract term (1 year)
Macsteel	Equal to contract term (1 year to 5 years)
Praxis	Equal to contract term (1 year to 5 years)

Contract derecognition

The Standard requires a contract to be derecognised when the Group is no longer at risk and is therefore no longer required to transfer any economic resources to satisfy the insurance contract. The practical application of contract derecognition within the Group is specific to the liability component in question. The general principals proposed are as follows:

1. For contracts measured under the liability for remaining coverage (LRC),
 - a. when the contract’s coverage period has come to an end,

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- b. the policy has been cancelled, or
 - c. the policy has contractually terminated due to a claim and/or policyholder death if the latter isn't an insured benefit, and all premium debtors or commission creditors directly related to that contract have been settled (or written off), the contract will be derecognised from the liability for remaining coverage and not be included in the calculations for any IFRS 17 group.
2. Under the liability for incurred claims (LIC), any liability in respect of the contract will be derecognised when all of the following are true:
- a. Where a claim has been reported and this claim is fully settled or repudiated,
 - b. Where the full coverage period up until the renewal or expiry date has passed and the claim notification period for reporting claims has passed, and
 - c. In respect of other benefit payments (such as a maturity benefit), these have been fully settled.

Unsettled claims or outstanding premiums, will be held in the LIC and LRC respectively until settled or written off and will not be reclassified to IFRS 9 or in the case of the LRC, transferred to LIC- even where the coverage has been provided.

Contract modifications

If a contract is modified in a way that would have altered the IFRS standard, the IFRS 17 measurement approach or the IFRS 17 group that applied when initially recognising the contract, paragraph 72 requires that the contract be derecognised from the group it was originally assigned to and placed in the group that it would have been assigned to had the contract been in its amended form at outset.

It is noted from the standard that if a contract gives the policyholder to option to amend their contract in a defined way, any exercise of this option is not considered a contract medication.

The Group has not identified any contract modifications that can arise that would result in a different IFRS 17 group being required. Contract modification has thus not been implemented by the Group within its IFRS 17 processes.

Measurement of insurance contracts issued

The default measurement approach specified by the IFRS 17 Standard is the general measurement model ("GMM"). Where the coverage period is one year or less, an entity has the unrestricted option to choose whether to apply the simplified approach called the PAA. Contracts with a contract coverage period greater than one year do not automatically qualify for the PAA, however where the Group does not expect significant variability in the fulfilment cash flows that would affect the measurement of the liability for remaining coverage during the period before a claim is incurred, the PAA may be applied in accordance with IFRS 17.53.

The choice of which measurement approach to apply requires the determination of the contract boundary, classification of the contract as either a contract with or without direct participation features and whether the contract qualifies to be measured using the simplified approach. The latter is referred to as PAA eligibility testing.

The Group completed an assessment hierarchy to test whether a group of insurance contracts is eligible to being estimated using the PAA using four levels:

- a. Assess whether the key criterion of a maximum of 12-month coverage period (paragraph IFRS17.53b) is met for all contracts within the group of contracts. If not,
- b. Perform a qualitative assessment to identify and assess potential critical features to assess whether there may be a risk of a substantial misestimation by the PAA. If the test fails, then,

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- c. Perform a quantitative assessment to validate the hypothesis that the measurement models do not substantially differ. If this test fails, then,
- d. Determine the materiality of the potential misstatement for the Group.

The reason for the test

For coverage periods exceeding one year, it is examined whether critical features in the group of insurance contracts exist that would indicate a potential material discrepancy in the carrying amount of the liability for remaining coverage ("LRC") between the measurement models. The implicit assumptions (in respect of both non-financial and financial risks) used within the PAA are largely fixed over the coverage period. The only variable assumption is the earning's pattern which may be altered if the expectation for the pattern of risk exposure over the period changes. Financial risk assumptions would include discount rates, expense inflation and exchange rates.

The general measurement model ("GMM") assumptions are, however, not fixed over the coverage period (except for the financial risk assumptions when determining the contractual service margin). Thus, the two measurement approaches may deviate if there is a need to amend the GMM valuation assumptions.

Based on the results of the assessment, the Group has chosen to apply the general measurement model for its Portfolio Credit Guarantee, Praxis and Macsteel products as these contracts are generally over one year in term. The BRI product will be measured under the PAA as this is a one-year contract with the Group.

The following items are accounted for when measuring insurance contracts, with each being discussed separately below:

- 1. Determining the present value of future cashflows
 - a. Determining the probability weighted mean
 - b. Cashflows included (excluding expenses which are dealt with separately)
 - c. Cashflow projection modelling for the liability for remaining coverage
 - d. Estimation of expected claim and claim-related expense cashflows
 - e. Incorporation of premium and commission debtors and creditors
- 2. Allocation of premiums between past, current, and future service for level premium life insurance products
- 3. Treatment of directly attributable expenses not related to insurance acquisition cash flows or claims.
- 4. Definition of "Paid"
- 5. Treatment of expense inflation assumptions
- 6. Subsequent measurement of the loss component with respect to onerous contracts - GMM
- 7. Subsequent measurement of the loss component with respect to onerous contracts - PAA
- 8. Disaggregation of IBNR
 - 1. Determining the present value of future cashflows
 - a. Determining the probability weighted mean

The present value of future cash flows is required under the liability for remaining coverage and the liability for incurred claims. Where the premium allocation approach is applied to a group of insurance contracts, the requirement to determine the present value of future cash flows under the liability for remaining coverage is only needed if the contract is onerous or in some cases to demonstrate the eligibility of approach to the group.

Paragraph IFRS17.33 requires an entity to estimate the probability-weighted mean of the full range of possible outcomes when determining the present value of future cashflows.

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The Group has adopted a simplified approach to produce the probability weighted mean.

For the liability for incurred claims, which aren't assumed to be settled within the month the claim is incurred, a point estimate of the ultimate claim ratio is used often in combination with historic data for the Group's products measured under the general measurement model.

Where significant past events have resulted in experience in that year differing from the "norm", this experience is separated out for analysis purposes and assessed separately for inclusion in the projection assumptions at an appropriate level given the likelihood of this experience repeating itself in the future.

The number of years of historic data used is chosen to:

- enable the level of data to be credible,
- include a range of good, bad and average years of experience, and
- be relevant to future periods to which the assumptions will apply.

This approach to setting assumptions is deemed to be appropriate to produce a reasonable estimate of the probability weighted mean.

b. Cashflows included

The list of cashflows that are included where they are relevant to the product being measured are as follows:

Paragraph reference	Cashflow category	Cashflow
B65.a)	Premiums and any additional cash flows that result from those premiums	• Premiums due and received/paid • Policy fees due and received/paid
B65.b)	Payments to a policyholder	• Claims paid • Claims incurred but not reported. • Claims reporting but not yet assessed / settled
B65.c)	Payments to a policyholder that vary depending on returns on underlying items	• Not applicable
B65.d)	Payments to a policyholder resulting from options and guarantees embedded in the contract	• Not applicable
B65.i)	Transaction-based taxes (such as premium taxes, value added taxes and goods and services taxes) and levies (such as fire service levies and guarantee fund assessments)	• Premium taxes • Value added taxes on premiums, commission, and claims. This includes the amounts due and paid from policyholders and the amount raised for payment to the relevant tax authority. The physical payment of this amount to the tax authority is excluded.
B65.j)	Payments by the insurer in a fiduciary capacity to meet tax obligations incurred by the policyholder, and related receipts	• Not applicable
B65.k)	Potential cash inflows from recoveries (such as salvage and subrogation)	• Not Applicable
B65.l)	Allocation of fixed and variable overheads	• Overheads are assessed as either attributable or non-attributable.

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c. Cashflow projection modelling

Under IFRS 4, the liability (or asset) in respect of any business class for the remaining coverage period was held within an unearned premium reserve. If the premiums for a specific business class were expected to be onerous, an additional unexpired risk reserve was held which was determined as a percentage of the unearned premium reserve. No cashflow projection models were used.

For classes of business that will be modelled under the GMM and for onerous IFRS 17 groups measured under the PAA, a simplified cashflow model approach is recommended for adoption which models the IFRS 17 cashflows per IFRS 17 group rather than at a policy level. The Group's policies include single premium business due at the outset.

d. Estimation of expected claim and claim-related expense cashflows

Under IFRS 4 the equivalent of the liability for incurred claims was the outstanding claim reserve ("OCR") plus the incurred but not reporting claim reserve ("IBNR"). Both the OCR and the IBNR were undiscounted.

Under IFRS 17, it is proposed to continue using this IFRS 4 approach to determine total remaining claims under the liability for incurred claims ("LIC") but with application of discounting.

New to IFRS 17 is the requirement to separately disclose experience variances relating to claims incurred prior to the start of the reporting period ("past" claims) from the current year claims incurred. There is no need to determine the current year experience variances from the date the claim incurred until the end of the current reporting period.

All claims paid in the period are separated out between past claims and current year claims.

The claims expected to be paid during the reporting period in respect of the prior year's closing LIC are estimated using an analysis of historic settlement patterns.

For the current year claims incurred, this amount is equal to the claims paid in the year in respect of current year claims incurred and the LIC held at the end of the reporting period in respect of the current year claims incurred. This amount is split into two parts:

i. Initial claims incurred estimate

This is the sum of the estimated ultimate claim payments to be made in respect of claims expected to incur over the reporting period.

ii. New claim experience variance

The variance uses the same formula that is used for the past claims experience variance except that the expected claim liability at the end of the reporting period is determined by subtracting the claims expected to be paid from the date incurred until the end of the reporting period from the initial claims incurred estimate.

e. Incorporation of premium and commission debtors and creditors

Under IFRS 17, premium and commission debtors and creditors are no longer separately held on the balance sheet. Any provision for bad debts in respect of premiums is also no longer held separately.

Under the PAA, if premium due is earned prior to it being received, the liability for remaining coverage ("LRC") will be in a negative, asset position. Thus, a premium debtor is only held on the balance sheet to the extent that it has been earned.

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The Group has chosen to expense all insurance acquisition cash flows where the coverage period is one year or less.

For the general measurement model, the full premium debtor would be held within the liability for remaining coverage. The raising and settling of any premium debtors arising over the period are recording as movements to the liability.

2. Allocation of premiums between past, current, and future service for level premium life insurance products
Premium and insurance acquisition cash flow experience variances related to future service adjust the contractual service margin (Paragraph 44c), whilst premium and insurance acquisition cash flow experience variances related to current or past service must be reported as insurance revenue in the statement of financial performance (paragraph 106a.iv).

The portion of the premium related to current service is equal to the expected claims, adjusted for the relevant compensation for non-financial risk exposure, to be incurred in the current service period and the expenses expected to be incurred during the current service period (adjusted for non-financial risk compensation as appropriate). A share of the contractual service margin should also be allocated to the current service period.

The Group has not identified a need for past service expected premiums and has assumed that all premiums relate to current service is a good approximate simplification subject to materiality considerations.

Based on the above, it has been decided that all premium related to level premium contracts, both the PCG and SCG products, offered by the Group will be allocated to current service.

3. Treatment of directly attributable expenses not related to insurance acquisition cash flows or claims
All policy administration and maintenance expenses allocated in accordance with Group's expense allocation policy are assumed to be due to current service provision. No liability is raised in advance of these types of expenses incurring. As each month's expenses are incurred, these amounts are raised within the liability for remaining coverage.
4. Definition of "Paid"
Notwithstanding the decision to expense some insurance acquisition cash flows under the PAA provided the coverage period of each contract is one year or less, all other payments related to IFRS 17 cash flows are accounted for within an IFRS 17 liability component.

Thus, any asset or liability in respect of premiums, commission, claim payments or directly attributable expenses is held in either the liability for remaining coverage or the liability for incurred claims except to the extent that the payments are made in advance of the group of contracts.

5. Treatment of expense inflation assumptions
Actuarial valuation assumptions need to be categorised as either being financial risk assumptions or non- financial assumptions. The measurement process and presentation within the financial statements differ depending on the category.

Paragraph IFRS 17. B128 provides guidance on this matter. Assumptions about inflation based on an index of prices or rates or on prices of assets with inflation-linked returns are assumptions that relate to financial risk and assumptions about inflation based on an entity's expectation of specific price changes are not assumptions that relate to financial risk.

The expense inflation assumption used by the Group is an inflation curve derived by taking the difference between the nominal and real government yield curves published by the Prudential Authority, divided by 1 plus the real government yield curve for each month along the curve.

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The inflation curve is clearly derived from inflation linked yields obtained from the market and as such do meet the requirements for qualification as a financial risk assumption.

Contractual Service Margin ("CSM")

The CSM is a component of the overall carrying amount of a group of insurance contracts representing unearned profit that the Group will recognise as it provides insurance contract services over the coverage period.

Paragraph IFRS 17.B97 requires that the CSM not absorb the impact on the present value of future cash flows and risk adjustment for non-financial risks for the effect of the time value of money and changes in the time value of money and the effect of financial risk and changes in financial risk. Instead, these impacts are reported immediately within the profit or loss statement under insurance finance income and expenses.

6. Subsequent measurement of the loss component with respect to onerous contracts - GMM

In accordance with paragraph IFRS 17.47 and IFRS 17.48, a loss component ("LC") is either established at initial recognition if the present value of future cash flows ("PV_CF") plus the risk adjustment for non- financial risk ("RA") is positive or subsequently, if, at the reporting date the increase in the sum of the PV_CF and RA due to actual experience over the year being different to what was expected or due to a change in non-financial assumptions being greater than the contractual service margin ("CSM") at beginning of the period plus the interest accreted to the period.

Insurance finance income and expenses must be allocated on a systematic basis between the loss component and the liability for remaining coverage excluding the loss component (Paragraph IFRS 17.50- 51).

Paragraph IFRS 17.52 requires that the systematic allocation of this and the impact of a change in the fulfilment cash flows due to experience variance and non-financial assumption changes must allow for both liability components to run off to zero at the end of the coverage period.

7. Subsequent measurement of the loss component with respect to onerous contracts - PAA

Where the PAA is used as the measurement approach, onerosity is established through the presence of facts and circumstances that indicate this to be the case. Only then are calculations performed (again, either at initial recognition or subsequently).

As per the aggregation policy facts and circumstances would include the process to set premium rates or from business-as-usual profitability monitoring and internal reporting processes.

From the time that a group of insurance contracts is considered to be onerous until the end of coverage period, all future valuations of the group will include the determination of the LC.

8. Disaggregation of IBNR

The IBNR is determined in total at an IFRS 17 portfolio level.

The proposed approach is to disaggregate the IBNR estimates down to IFRS 17 group using the gross written premium (GWP) for each underwriting year. The implicit assumption with this disaggregation metric is that the loss ratio and settlement pattern as similar for all IFRS 17 groups and portfolios.

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From a financial presentation perspective, the size of the liability for incurred claims is only needed to be known at a portfolio level such that this liability, together with the portfolio’s liability for remaining coverage and any asset for insurance acquisition cash flows can be assessed to establish whether the portfolio is in an overall asset or liability position.

Should the expected loss ratio between the groups begin to differ at a stage in the future, it would be best to determine the IBNR at a more granular level and then apply the disaggregation process at this level.

Discount rates

The Group has adopted a bottom-up approach for the Discount Rate Methodology under IFRS 17 for the products and cashflows. This will involve the use of the Prudential Authority’s monthly risk-free yield curve that takes the term structure of the underlying bonds into account. To this curve, a Liquidity Risk Premium (LRP) adjustment is applied based on the liquidity characteristics of the products. Four product liquidity characteristic buckets have been defined, namely: Fully Liquid, Partially Liquid, Moderately Illiquid and Fully Illiquid.

The results of the liquidity classification exercise for the Group can be seen in the table below:

Product name	Liquidity category	
	Recommended	Chosen
Portfolio Credit Guarantee	Partially Liquid	Partially liquid
Supplier Credit Guarantee	Partially Liquid	Partially liquid

The discount rate used to perform the IFRS group name at initial recognition will be the monthly rate applicable to the month that the business is written. The locked-in rate to be used for the full year, will be a weighting of the 12 months yield curves. This weighting will be the number of policies sold in each month.

The adoption of the bottom-up approach used by the Group is based on the following:

1. The Prudential Authority produces a risk-free government bond yield monthly (which is also to be used for the Solvency Assessment and Management (SAM) regulatory calculations and returns) monthly.
2. There would be a significant effort required to replicate the products with a reference portfolio with similar liquidity characteristics for products.
3. The liquidity risk premium adjustments to be derived for each group will still need deriving and based on the market data available will be based on the market spreads from expected credit losses and credit risk premium.

Risk adjustment for non-financial risk

The IFRS 17 carrying amount includes an explicit component called the risk adjustment for non-financial risk that allows for the compensation we require for being exposed to the insurance, lapse and expense risks contained within our products.

For the Group’s credit and trade guarantee products, the risk adjustment will be calculated as a percentage of the best estimate technical provisions. The risk adjustment represents a 75.5th percentile confidence level of the risk.

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The impact of specific operational risks such as claim fraud; policy loading, maintenance and claim process risks; human error etc have been identified for all products. Non-financial risks specific to each product, have been identified as follows:

Product/Business Class	Non-Financial Risks
Khula Credit Guarantee product	Claim severity, claim frequency, lapse risk, expense risk associated with costs of servicing the contract.
Supplier Credit Guarantee product	Claim severity, claim frequency, lapse risk, expense risk associated with costs of servicing the contract.

Based on the assessment of the techniques, the Group has decided to apply the following:

Product/Business Class	Claims Risk Adjustment	Premium Risk Adjustment
Khula Credit Guarantee product	12.5%	12.5%
Supplier Credit Guarantee product	12.5%	12.5%

The confidence level of the 75th percentile will be reviewed whenever there has been a material change in Group's risk appetite. The assessment will take place no less frequently than annually in the 4th quarter of each year.

6.2. INSURANCE CONTRACTS ISSUED THAT ARE LIABILITIES

The following table presents the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the Premium Allocation Approach (PAA).

	GROUP - March 2025 R'000				
	Liabilities for Remaining Excluding Loss Component	Coverage Loss Component	Liabilities for Estimates of Present Value of Future Cash Flows	Incurred claims Risk Adjustment for Non-financial risk	Total
Opening Insurance contract assets	-	-	-	-	-
Opening Insurance contract liabilities	(75)	(161)	(4 256)	(532)	(5 024)
Net Opening balance	(75)	(161)	(4 256)	(532)	(5 024)
Insurance Revenue					
Full Retrospective approach	(450)	-	-	-	(450)
Total Insurance revenue – full retrospective transition method	(450)	-	-	-	(450)
Insurance Service Expenses					
Incurred insurance service expenses:	-	450	(1 141)	(428)	(1 119)
Claims	-	450	(3 240)	108	(2 683)
Expenses	-	-	(14)	-	(14)
Other movements related to current serv	-	-	-	(507)	(507)
Amortisation of insurance acquisition cash flows	-	-	-	-	-
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	2 114	(29)	2 085

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	GROUP - March 2025 R'000				Total
	Liabilities for Excluding Remaining Loss Component	Coverage Loss Component	Liabilities for Estimates of Present Value of Future Cash Flows	Incurred claims Risk Adjustment for Non-financial risk	
Changes that relate to future service	-	(606)	-	-	(606)
Losses for the net outflow recognized on initial recognition	-	-	-	-	-
Losses and reversal of losses on onerous contracts - subsequent measurement	-	(606)	-	-	(606)
Total Insurance Service Expenses	-	(156)	(1 141)	(428)	(1 725)
Investment Components	-	-	-	-	-
Total Insurance Service result	(450)	(156)	(1 141)	(428)	(2 175)
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	-	(5)	216	27	238
Foreign exchange differences on changes in the carrying amount of groups of insurance contracts	-	-	-	-	-
Total Insurance Finance Income or Expense	-	(5)	216	27	238
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	(450)	(161)	(925)	(401)	(1 936)
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	375	-	-	-	375
Claims and other insurance service expenses paid, including investment components	-	-	(2 282)	-	(2 282)
Insurance acquisition cash flows	-	-	-	-	-
Total Cash flows	375	-	(2 282)	-	(1 907)
Net Closing balance	0	0	(1 050)	(131)	(1 181)
Closing Insurance contract assets	-	-	-	-	-
Closing Insurance contract liabilities	-	-	(1 050)	(131)	(1 181)
Net Closing balance	-	-	(1 050)	(131)	(1 181)

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The following table presents the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the General Measurement Model (GMM).

	GROUP - March 2025 R'000			
	Liabilities for Remaining Excluding Loss Component	Coverage Loss Component	Liabilities for Incurred claims	Total
Opening Insurance contract assets	-	-	-	-
Opening Insurance contract liabilities	(4 480)	(78 900)	(19 541)	(102 922)
Net Opening balance	(4 480)	(78 900)	(19 541)	(102 922)
Insurance revenue – Full Retrospective Approach	(6 302)	-	-	(6 302)
CSM recognized for services provided	71	-	-	71
Change in risk adjustment for non-financial risk for risk expired	(641)	-	-	(641)
Expected insurance service expenses incurred:	(5 015)	-	-	(5 015)
Claims	(4 903)	-	-	(4 903)
Expenses	(112)	-	-	(112)
Recovery of insurance acquisition cash flows	(717)	-	-	(717)
Experience adjustment not related to future service	-	-	-	-
Restatement and Other Changes	-	-	-	-
Total Insurance revenue – full retrospective transition method	(6 302)	-	-	(6 302)
Insurance Service Expenses				
Incurred insurance service expenses:	-	(18 152)	(70 716)	(88 868)
Claims	-	(17 577)	(57 030)	(74 606)
Expenses	-	(575)	(13 686)	(14 262)
Other movements related to current	-	-	1 226	1 226
Amortisation of insurance acquisition cash flows	716	-	-	716
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	88 479	88 479
Changes that relate to future service	-	5 911	-	5 911
Losses for the net outflow				

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	GROUP - March 2025 R'000			
	Liabilities for Remaining Excluding Loss Component	Coverage Loss Component	Liabilities for Incurred claims	Total
recognized on initial recognition	-	21 857	-	21 857
onerous contracts - subsequent measurement	-	(15 947)	-	(15 947)
Total Insurance Service Expenses	716	(12 242)	18 989	7 464
Investment Components	-	-	-	-
Total Insurance Service result	(5 586)	(12 242)	18 989	1 162
Insurance Finance Income or Expense				
The effect of and changes in time of time value of money and financial risk	1 122	2 989	979	5 090
Foreign exchange differences on changes in the carrying amount of groups of insurance contracts	-	-	-	-
Total Insurance Finance Income or Expense	1 122	2 989	979	5 090
Other Comprehensive Income	-	-	-	-
Total Changes in the Statement of Financial Performance	(4 464)	(9 252)	19 969	6 252
Cash flows (Actual cashflows in the period)				
Premiums and premium tax received	7 294	-	-	7 294
Claims and other insurance service expenses paid, including investment components	-	-	(7 343)	(7 343)
Insurance acquisition cash flows	(1 456)	-	-	(1 456)
Total Cash flows	5 837	-	(7 343)	(1 506)
Net Closing balance	(5 855)	(69 648)	(32 167)	(107 669)
Closing Insurance contract assets	-	-	-	-
Closing Insurance contract liabilities	(5 855)	(69 648)	(32 167)	(107 669)
Net Closing balance	(5 855)	(69 648)	(32 167)	(107 669)

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For the Period Ended 31 March 2025

The following table presents the reconciliation from the opening to the closing balances of the net insurance contract liability analysed by components.

	GROUP - March 2025 R'000				
	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial Risk	CSM Full Retrospective Approach	Post Transition	Total
Opening insurance contract assets	-	-	-	-	-
Opening insurance contract liabilities	(89 258)	(13 663)	-	-	(102 922)
Net Opening balance	(89 258)	(13 663)	-	-	(102 922)
Changes that relate to current services	(91 879)	(1 420)	71	-	(93 228)
CSM recognized for services provided	-	-	71	-	71
Change in risk adjustment for non-financial risk for risk expired	-	(1 420)	-	-	(1 420)
Experience adjustments not related to future service	(91 879)	-	-	-	(91 879)
Restatement and Other Changes	-	-	-	-	-
Changes that relate to future services	4 305	1 682	(76)	-	5 911
Contracts initially recognised in the year	18 052	3 805	-	-	21 857
Changes in estimates that adjust the CSM	99	(23)	(76)	-	(0)
Changes in estimates that relate to losses and reversal of losses on onerous contracts	(13 846)	(2 100)	-	-	(15 947)
Changes that relate to past services	88 451	29	-	-	88 480
Changes in estimates in LIC fulfilment cash flows	95 926	1 229	-	-	97 155
Experience adjustments in claims and other insurance service expenses in LIC	(7 475)	(1 200)	-	-	(8 675)
Total Insurance Service result	877	291	(6)	-	1 163
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	4 326	759	6	-	5 090
Foreign exchange differences on changes in the					

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	GROUP - March 2025 R'000				
	Estimates of Present Value of Future Cash Flows	Risk Adjustment forNon-financial Risk	CSM Full Retrospective Approach	Post Transition	Total
carrying amount of groups of insurance contracts	-	-	-	-	-
Total Insurance Finance Income or Expense	4 326	759	6	-	5 090
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	5 203	1 051	(0)	-	6 253
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	7 293	-	-	-	7 293
Claims and other insurance service expenses paid, including investment components	(7 343)	-	-	-	(7 343)
Insurance acquisition cash flows	(1 456)	-	-	-	(1 456)
Total Cash flows	(1 506)	-	-	-	(1 506)
Net Closing balance	(92 955)	(14 714)	0	-	(107 669)
Closing Insurance contract assets	-	-	-	-	-
Closing Insurance contract liabilities	(92 955)	(14 714)	0	-	(107 669)
Net Closing balance	(92 955)	(14 714)	0	-	(107 669)

	GROUP
	31 March 2025
	R'000
Insurance contract liabilities measured under the Premium Allocation Approach (PAA)	(1 181)
Insurance contract liabilities measured under the General Measurement Model (GMM).	(107 669)
	(108 850)

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For the Period Ended 31 March 2025

The following table provides an analysis of insurance contracts initially recognised in the period.

	GROUP - March 2025 R'000		
	Onerous Groups of Contracts		
	Contracts acquired in transfers or business combinations	Other contracts	Total
Insurance Contracts Issued Initially Recognised in the Period			
Estimates of the present value of future cash outflows:			
Insurance acquisition cash flows	(742)	-	(742)
Claims and other cash outflows	(30 439)		(30 439)
Estimates of the present value of future cash inflows	13 129		13 129
Risk adjustment for non-financial risk	(3 805)		(3 805)
Contractual service margin	-		-
Losses for the net outflow recognized on initial recognition	(21 857)	-	(21 857)

6.3. POST-RETIREMENT MEDICAL LIABILITY

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
PRM Post-retirement medical liability	517	517

Sedfa provides a subsidy towards medical aid contributions payable to selected employees who retire in the employment of **Sedfa**.

Twenty three in-service employees, who on average are 49 years old, are eligible for the benefit. This subsidy is unfunded and is provided for based on actuarial valuations performed annually.

The value of this liability was determined by QED South Africa Proprietary Limited, an independent actuarial consulting firm and is dependent on amongst others the demographic profile of employees, mortality, consumer price inflation and bond yields.

	31 March 2025 R'000	31 March 2025 R'000
Analysis of the defined post retirement medical liability:		
PRM Present value of unfunded obligations	517	517
	517	517

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For the Period Ended 31 March 2025

Changes in the present value of the defined benefit obligation are as follows:

	31 March 2025	31 March 2025
	R'000	R'000
Opening post-retirement medical aid obligation	484	484
Current service cost	23	23
Interest cost	14	14
Actuarial gain	(4)	(4)
Employer benefit payments	-	-
Closing defined benefit obligation	517	517

The principal actuarial assumptions at the balance sheet date (expressed as weighted averages) are as follows:

	31 March 2025
Discount rate at 31 March	8.5% - 11.0% naca
Take-up rate by retired employees	100%
Retirement age	65 years
Pre-retirement mortality	SA85-90 Light PA (90)
Post retirement mortality	2 year reduction

The table below shows the sensitivity of sefa’s obligations, as at 31 March 2025, with respect to post-retirement medical aid benefits to key assumptions:

Assumption	Variation	% change in provision	Change in value of provision
Long-term interest rates	1%	-11%	(58)
	1%	13%	68
Post-Retirement mortality (1)	+1 year	-0.80%	(4)
	-1 year	1%	4

(1) The provision is not sensitive to Medical inflation/Contribution Inflation as this amount is capped. Sensitivity to post retirement mortality is not material and the amount is less than R1000.

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For the Period Ended 31 March 2025

6.4. COMMITMENTS

Items are classified as commitments where the Group has committed itself to future transactions.

6.4.1. LEASE COMMITMENTS FOR LOW VALUE ASSETS

The future minimum lease payments under non-cancellable operating leases are as follows:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Equipment	2 072	2 072
Within 1 year	1 317	1 317
From 2 to 5 years	755	755
More than 5 years	-	-
Land and buildings	-	-
Within 1 year	-	-
From 2 to 5 years	-	-
More than 5 years	-	-
Total lease commitments	2 072	2 072

Per the signed agreements there are no annual escalations.

6.4.2. LOAN AND INDEMNITY COMMITMENTS

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Off-balance sheet items		
Undrawn financing facilities approved	325 349	325 349
Undrawn credit guarantee facilities approved	1 353 229	-
Total off-balance sheet commitments	1 678 578	325 349

Commitments will be financed by loans and internally generated funds.

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For the Period Ended 31 March 2025

7. FINANCIAL RISK

7.1. FINANCIAL INSTRUMENTS – MATERIAL ACCOUNTING POLICY

Amortised cost – Financial liabilities

In both the current and prior period, financial liabilities are classified and subsequently measured at amortised cost.

Fair value through profit or loss – Financial assets

These assets are held with the intention to sell. Cash flows are primarily recovered through sale, and are measured at fair value through profit or loss. Any changes in the fair value of these assets are recognised in profit or loss.

Accounting for financial instruments

Financial assets and liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instruments. All financial assets and liabilities are initially measured: (1) at fair value, plus (or minus) transaction costs that are directly attributable to the acquisition or (2) issue of the financial asset or financial liability in the case of financial asset (or financial liability) not at fair value through profit or loss, except for those classified as at fair value through profit or loss which are initially measured at fair value excluding transaction costs. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Fair value adjustments on initial recognition relating to financial assets or financial liabilities at fair value through profit or loss are recognised in profit or loss. If SEDFA determines that the fair value on initial recognition differs from the transaction price, the difference is recognised as a gain or loss only if the fair value is based on a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets. Otherwise, the difference is deferred and recognised as a gain or loss only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability.

Offsetting financial instruments

Offsetting of financial assets and liabilities is applied when there is a legally enforceable right to offset the recognised amounts and, there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The net amount is reported in the statement of financial position.

Financial instrument classification

The Group classifies its financial instruments into the following categories:

- At fair value through profit or loss;
- Amortised cost.

The classification is dependent on the purpose for which the financial instruments were acquired. Management determines the classification of financial instruments at initial recognition. Financial instruments comprise investments in equity and debt, loans receivable, trade and other receivables, cash and cash equivalents, other non-current liabilities and trade and other payables. Financial assets measured at amortised cost are initially recognised at the fair value received or receivable.

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For the Period Ended 31 March 2025

Subsequent measurement

Subsequent to initial recognition, financial instruments are measured as described below:

Financial assets at fair value through profit or loss

Financial instruments at fair value through profit or loss are subsequently measured at fair value and changes therein are recognised in profit or loss.

Financial instruments at amortised cost

Financial assets at amortised cost: Loans and advances, trade and other receivables, cash and cash equivalents are measured at amortised cost. Financial liabilities at amortised cost: Trade and other payables and borrowings are measured at amortised cost. The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition, minus the principal repayments, plus or minus the cumulative amortisation: using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

The effective rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any impairment allowance) or the amortised cost of a financial liability. The calculation does not consider expected credit losses and includes transaction costs.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised when the obligations specified in the contracts are discharged, cancelled or expire.

Credit allowances on financial assets carried at amortised cost

Loans and advances (General approach per IFRS 9 par 5.5.1)

All loans and advances meet the requirements of solely payments of principal and interest and are measured at amortised cost. The Group assesses on a forward-looking basis the expected credit losses ('ECL') associated with its debt instrument assets carried at amortised cost and the exposure arising from loan commitments. The Group recognises a loss allowance for such losses at each reporting date. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes based on the relevant stage and internal credit rating of a loan;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

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For the Period Ended 31 March 2025

Trade receivables (Simplified approach per IFRS 9 par 5.5.15)

Credit losses for rental debtors are based on the portfolio's collection rates and the number of outstanding payments from a debtor, as this is the best indicator for the future collectability of rental income. Credit losses on related party loans were based on historical payment trends to predict the ability of the related party to settle the loan in the future. Trade receivables are initially recognised at the transaction price.

Refer to note 7.5.1 for rental debtors and 7.5.2 for related party loans.

Cash and cash equivalents (General approach per IFRS 9 par 5.5.1)

The expected credit loss is calculated by referencing each bank's published credit rating to the probability of default based on the mapping tables published by the three major international credit rating agencies. The loss given default used is in line with guidance provided by the Basel foundation approach on banks.

7.2. FINANCIAL RISK MANAGEMENT

The Group and Company have exposure to the following risks from its use of financial instruments: credit risk, liquidity risk and market risk (interest rate risk). This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

The Board of Directors has overall responsibility for the establishment and oversight of the Group and Company's risk management framework. The Board has established the Audit and Risk Committees, which are responsible for developing and monitoring the Group and Company's risk management policies. The committees report regularly to the Board of Directors on their activities.

The Group and Company's risk management policies are established to identify and analyse the risks faced by the Group and Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group and Company's activities. The Group and Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Audit and Risk Committees oversee how management monitors compliance with the Group and Company's risk management policies and procedures and review the adequacy of the risk management framework in relation to the risks faced by the Group and Company. The Audit and Risk Committees are assisted by the Internal Audit function which undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Audit and Risk Committees.

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7.3. CATEGORIES OF FINANCIAL INSTRUMENTS

The table below sets out the Group and Company's classification of each class of financial assets and liabilities.

GROUP - 31 March 2025	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 253 536	-	1 253 536
Investments	-	86 133	86 133
Trade receivables	44 875	-	44 875
Cash and cash equivalents	6 024 756	-	6 024 756
Total financial assets	7 323 167	86 133	7 409 300
Liabilities			
Shareholder loans	(74 220)	-	(74 220)
Trade and other payables	(962 099)	-	(962 099)
Lease liability	(105 917)	-	(105 917)
Non-current liability	-	-	-
Total financial liabilities	(1 142 236)	-	(1 142 236)
Net financial assets and liabilities	6 180 931	86 133	6 267 064

COMPANY - 31 March 2025	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 253 536	-	1 253 536
Investments	-	59 392	59 392
Trade receivables	313 401	-	313 401
Cash and cash equivalents	5 302 979	-	5 302 979
Total financial assets	6 869 916	59 392	6 929 308
Liabilities			
Shareholder loans	(74 220)	-	(74 220)
Trade and other payables	(894 737)	-	(894 737)
Lease liability	(105 917)	-	(105 917)
Non-current liability	-	-	-
Total financial liabilities	(1 074 874)	-	(1 074 874)
Net financial assets and liabilities	5 795 042	59 392	5 854 434

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7.4. CREDIT RISK EXPOSURE

Credit risk is the risk of financial loss, should any of the Group’s counterparties fail to fulfil their contractual obligations to the Group. Credit risk mainly arises from commercial loans and advances, and loan commitments arising from such lending activities.

The Group is also exposed to other credit risks arising from investments and rental debtors.

Credit risk is the single largest risk for the Group’s business; management, therefore, carefully manages its exposure to credit risk. The effective management of credit risk is a critical component of a comprehensive approach to risk management and is essential to the long-term success of the group.

The Group and Company considers its maximum exposure to credit risk per class to be as follows:

	Group 31 March 2025 R'000	Company 31 March 2025 R'000
Cash and cash equivalents	6 024 802	5 303 019
Trade and other receivables	111 725	869 815
Loans and advances	3 654 376	3 646 331
Investments	86 133	59 392
Total exposure at gross carrying amount	9 877 036	9 878 557

Cash and cash equivalents

The Group and Company limit its exposure to credit risk in respect of its money market transactions by only investing in funds that have approved high credit quality financial ratings and public sector institutions in accordance with predetermined limits approved by Executive Management and the Board. Money market investments are reflected as cash and cash equivalents. Due to the nature of the investments the probability of default is low and the possible credit losses have been assessed as being insignificant in value. A credit loss has been provided for on cash and cash equivalents in the current year of R0.046 million

Trade receivables

Trade receivables include related party loans receivable, rental debtors and other trade and receivables. The nature of other trade receivables, other than rental debtors, is of such a nature that low probabilities of default is anticipated and possible credit losses have been assessed as being insignificant. No credit loss has been provided for on trade and receivables other than rental debtors and related party loans. Refer to note 7.5.1 for credit risk measurement under rental debtors and note 7.5.2 for related party loans.

Loans and advances

The mandate of **SEDFA** is to support sustainable enterprise development through providing loan funding to SMMEs and Co- operatives. **SEDFA** maintains sound credit granting standards to manage its risks posed by credit risk exposure.

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The Group and Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group and Company's customer base, including the default risk of the industry, in which customers operate, is also taken into account. Counterparty limits are used to ensure that the Group or Company is not significantly exposed to transactions with one customer and there is no geographical concentration of credit risk.

Risk Management has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group or Company will transact with the customer. The Group and Company's review include external ratings, when available, due diligence exercises and in some cases, bank references.

Loans and advances are subject to comprehensive and substantial security clauses to protect the Group and Company in the event of non-payment. All credit risk arises from normal operations of the Group and Company, with the major credit risk arising from the Group and Company's receivables and loans and advances. The Credit and Investment Committee established by the Board of Directors review the Group and Company's loan portfolio on an on-going basis. All applications for credit are thoroughly scrutinised covering financial, technical and market risks. **SEDFA**, being a DFI, has a different risk profile compared to traditional commercial banks. The Group and Company establish an allowance for impairment that represents its estimate of expected losses in respect of receivables, loans and advances and investments. Refer to note 7.5.3 for credit risk measurement under loans and advances.

7.5. CREDIT RISK MEASUREMENT

7.5.1. TRADE RECEIVABLES

	Group 31 March 2025 R'000	Company 31 March 2025 R'000
Trade receivables and pre-payments		
Gross carrying amount	69 819	40 793
Lifetime expected credit loss	(17 118)	(6 134)
Net carrying amount	52 701	34 659
Deferred grants receivable		
Gross carrying amount	182 388	243 083
Lifetime expected credit loss	-	-
Net carrying amount	182 388	243 083

Rental debtors

The following table sets out information using a provision matrix, based on actual collection rates, on the credit quality of rental debtors measured at amortised cost where the loss allowance is measured at an amount equal to lifetime expected credit losses (simplified approach). Unless specifically indicated, the amounts in the table represent gross carrying amounts.

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		Group 31 March 2025	
Rental debtors	0 - 30 days	30 days+	Total
Expected loss rate	25%	100%	
	R'000	R'000	R'000
Gross carrying amount	2 168	27 914	30 082
Lifetime expected credit loss	(541)	(27 914)	(28 455)
Net carrying amount	1 627	-	1 627

Trade receivables - related party loans

All related party loans, except the loans issued to Khula Business Premises, Business Venture Investments No 701 and Khula Institutional Support Services, are considered to be fully recoverable as these companies have a positive net asset value and have historically settled these loans in full as and when they occur. The impairment on the Khula Business Premises loan was based on the net asset value of Khula Business Premises. Refer to note 10.1.

	Group 31 March 2025	Company 31 March 2025
	R'000	R'000
Gross carrying amount	8 719	825 918
Lifetime expected credit loss	-	(529 004)
Net carrying amount	8 719	296 914

7.5.2. INVESTMENTS

	Group 31 March 2025	Company 31 March 2025
	R'000	R'000
Standard monitoring	86 133	59 392
Special monitoring	-	-
Total exposure at carrying amount	86 133	59 392

7.5.3. LOANS AND ADVANCES (INCLUDING COMMITMENTS) – MATERIAL ACCOUNTING POLICY

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time. The assessment of the credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties. The Group measures credit risk using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD) which is in line with the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9.

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Credit risk grading

The Group uses internal credit risk gradings that reflect its assessment of the probability of default of individual counterparties. The Group, additionally, uses internal rating models tailored to the various categories of counterparties. Borrower and loan specific information collected at the time of application serves as inputs to this rating model. This is supplemented with external data such as credit bureau scoring information on individual borrowers.

Expected credit loss measurement

IFRS 9 outlines a ‘three-stage’ model for impairment based on changes in credit quality since initial recognition as summarised below:

Stage	Change in credit risk since initial recognition	Recognition of interest	12 month or lifetime ECL
Stage 1 – Initial recognition	No significant increase in risk since initial recognition.	Interest is based on the loan balance gross of impairments.	12-month ECL is used, which is the expected credit losses that result from default events that are likely within 12 months after the reporting date.
Stage 2 – Significant increase in credit risk	Significant increase in credit risk (SICR) but not objective evidence of impairment.	Interest is based on the loan balance gross of impairments.	Lifetime ECL is used, which is the expected credit losses that result from all default events that are likely over the expected life of the financial instrument.
Stage 3 – Credit-impaired asset	Objective evidence of impairment.	Interest is based on the loan balance net of impairments.	Lifetime ECL is used, which is the expected credit losses that result from all default events that are likely over the expected life of the financial instrument.

The key judgements and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

Significant increase in credit risk:

The Group considers a financial instrument to have experienced a significant increase in credit risk when one or more of the following criteria have been met:

- The loan or any other loan issued to the same counterparty is in arrears;
- There is evidence that the loan should be impaired based on an individual client assessment;
- Actual or expected restructuring;
- Significant adverse changes in business, financial and/ or economic conditions in which the borrower operates.

Definition of default and credit-impaired assets:

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit- impaired, when it meets one or more of the following criteria:

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- The loan or any other loan issued to the same counterparty is 90 days past due.
- The loan has been restructured and has not yet performed for a minimum period.
- Interest on outstanding capital is suspended.
- There is evidence that the loan should be impaired based on an individual client assessment.

The criteria above have been applied to all loans and advances extended to clients by the Group and are consistent with the definition of default used for internal risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD) throughout the Group's expected loss calculations. An instrument is considered to no longer be in default (i.e. to have cured) when it no longer meets any of the default criteria for a consecutive period of twelve months.

Measuring ECL – Explanation of inputs, assumptions and estimation techniques

The Expected Credit Loss (ECL) is measured on either a 12-month (12M) or lifetime basis, depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Expected credit losses are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

- The PD represents the likelihood of a borrower defaulting on its financial obligation, either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation;
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). For example, for a revolving commitment, the Group includes the current drawn balance plus any further amount that is expected to be drawn up to the current contractual limit by the time of default, should it occur;
- Loss Given Default (LGD) represents the Group's expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD). LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.

The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure. These three components are multiplied together. This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate. The lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile reflects on how defaults developed on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit rate band. This is supported by historical analysis. The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type:

For amortising products and bullet repayment loans:

This is based on the contractual repayments owed by the borrower over a 12 month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower. Early repayment/ refinance assumptions are also incorporated into the calculation.

For revolving products:

The exposure at default is predicted by taking the current drawn balance and adding a "credit conversion factor" which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band,

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based on analysis of the Group’s recent default data. The 12 month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.

Forward-looking information incorporated in the ECL models

Changes in macroeconomic conditions are expected to influence the rate at which accounts default on the portfolios. The macroeconomic module of the IFRS 9 impairment model includes such an allowance through adjusting expected default probabilities based on forecast macroeconomic information, using the historical relationship between these macroeconomic variables and default rates in order to inform the quantum of the expected impact.

Using Principal Component Analysis, a historic index was constructed and subsequently used to produce the forecasted indices under three scenarios (optimistic, best-estimate and downturn), with the final result of the Expected Credit Loss model subsequently calculated as a probability weighted average of the results under each of the scenarios.

As with any economic forecasts, the projections and likelihoods of occurrence are subject to a high degree of inherent uncertainty and, therefore, the actual outcomes may be significantly different to those projected. The Group considers these forecasts to represent its best estimate of the possible outcomes and has analysed the non-linearities and asymmetries within the Group’s different portfolios to establish that the chosen scenarios are appropriately representative of the range of possible scenarios. The analysis outlined above yielded the following variables for use in the macroeconomic model:

- Percentage year on year growth in Gross Domestic Product (“%GDP”);
- Percentage year on year growth in Formal Sector Employment (“%Employment”);
- Percentage year on year growth in Consumer Price Inflation (“%CPI”); and
- Percentage year on year growth in Household Consumption Expenditure (“%HouseCE”)

7.5.3. Economic variable assumptions

The most significant period-end assumptions used for the ECL estimate at 31 March 2025 are set out below:

		2025	2026	2027	2028
% GDP	Base	-0.15	0.05	0.21	0.17
	Downturn	-0.15	0.05	0.21	0.17
	Optimistic	-0.15	0.05	0.21	0.17
% Employment	Base	0.33	1.10	0.76	0.99
	Downturn	0.33	1.10	0.76	0.99
	Optimistic	-0.01	1.10	0.76	0.99
% CPI	Base	6.31	6.22	6.16	5.79
	Downturn	6.31	6.22	6.16	5.79
	Optimistic	6.31	6.22	6.16	5.79
% HouseCE	Base	-0.01	-0.01	-0.02	-0.03
	Downturn	-0.01	-0.01	-0.02	-0.03
	Optimistic	-0.01	-0.01	-0.02	-0.03

- The base scenario represents the best estimate view of expected future macroeconomic conditions;

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For the Period Ended 31 March 2025

- The downturn scenario represents a view of expected future macroeconomic conditions during a downturn period; and
- The optimistic scenario represents a view of expected future macroeconomic conditions during a period of good economic conditions.

The final Expected Credit Loss to be raised as an impairment provision under the IFRS 9 standard is calculated as an average of the ECL calculated by the model under each of the three scenarios, weighted by the probability of each of these scenarios occurring.

Scenario	Probability
Base	60%
Downturn	35%
Optimistic	5%

The probabilities assigned to each likelihood are unchanged from prior year.

Grouping of instruments for losses measured on a collective basis

For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/ external supplementary data to use for modelling purposes.

7.5.4. EXPECTED CREDIT LOSSES EMANATING FROM CREDIT RISK EXPOSURE

The following tables contain an analysis of the credit risk exposure of loans and advances for which an ECL allowance is recognised. The net carrying amount of financial assets below also represents the Group’s maximum exposure to credit risk on these assets:

	GROUP 31 March 2025 R'000				
	Note	Stage 1 - Gross amount Stage 1 - ECL Stage 1	Stage 2 - Gross amount Stage 2 - ECL Stage 2	Stage 3 - Gross amount Stage 3 - ECL Stage 3	Total
Group 31 March 2025 (R'000)					
Standard monitoring		665 200	-	-	665 200
Special monitoring		-	541 241	-	541 241
Default		-	-	2 447 935	2 447 935
Gross carrying amount		665 200	541 241	2 447 935	3 654 376
Loss allowance		(78 574)	(171 681)	(2 150 585)	(2 400 840)
Carrying amount		586 626	369 560	297 350	1 253 536

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For the Period Ended 31 March 2025

	COMPANY 31 March 2025			
	Stage 1 - Gross amount Stage 1 - ECL Stage 1	R'000 Stage 2 - Gross amount Stage 2 - ECL Stage 2	Stage 3 - Gross amount Stage 3 - ECL Stage 3	Total
Company 31 March 2025 (R'000)				
Standard monitoring	665 200	-	-	665 200
Special monitoring	-	541 241	-	541 241
Default	-	-	2 439 890	2 439 890
Gross carrying amount	665 200	541 241	2 439 890	3 646 331
Loss allowance	(78 575)	(171 681)	(2 142 539)	(2 392 795)
Carrying amount	586 625	369 560	297 351	1 253 536

7.5.5. COLLATERAL

Financial assets that are credit-impaired and related collateral held in order to mitigate potential losses are shown below:

	GROUP 31 March 2025			
	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	665 200	(78 574)	586 626	15 442
Stage 2	541 241	(171 681)	369 560	26 439
Stage 3	2 447 935	(2 150 585)	297 350	56 575
	3 654 376	(2 400 840)	1 253 536	98 456

	COMPANY 31 March 2025			
	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	665 200	(78 575)	586 625	15 442
Stage 2	541 241	(171 681)	369 560	26 439
Stage 3	2 439 890	(2 142 539)	297 351	56 575
	3 646 331	(2 392 795)	1 253 536	98 456

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For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Nature of collateral held:		
Vehicles and equipment under instalment sale agreement	98 456	98 456
Special notarial bonds over moveable assets	-	-
Mortgage bonds over fixed property	-	-
Cession over loan portfolio	-	-
Total collateral held	98 456	98 456

The net proceeds for collateral repossessed amounted to R0.49mil during the financial year for both Group and Company. (The net proceeds for collateral repossessed amounted to R1.1mil during the 2024 financial year for both Group and Company.)

The impact of collateral included in the Expected Credit Loss amounts to R98.5 million (2024: R98.7 million). The impact was limited to the value of the Expected Credit Loss per facility.

Collateral was valued externally by independent team of valuers as at 31 December 2024.

7.5.6. CREDIT LOSS ALLOWANCE

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent “step up” (or “step down”) between 12-month and lifetime ECL;
- Additional allowances for new financial instruments recognised during this period, as well as releases for financial instruments de-recognised in the period;
- Impact of the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

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For the Period Ended 31 March 2025

The following tables explain the changes in the loss allowance between the beginning and the end of the annual period due to these factors:

GROUP - 2025	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 30 September 2024	109 987	184 953	2 172 754	2 467 694
Increase in credit risk				
Transfer from Stage 1 to Stage 2	(34 863)	78 704	-	43 841
Transfer from Stage 1 to Stage 3	(1 688)	-	9 921	8 233
Transfer from Stage 2 to Stage 3	-	(85 671)	126 455	40 784
Decrease in credit risk				
Transfer from Stage 2 to Stage 1	3 185	(10 941)	-	(7 756)
Transfer from Stage 3 to Stage 2	-	19 935	(39 191)	(19 256)
Transfer from Stage 3 to Stage 1	7 390	-	(50 250)	(42 860)
Changes in PDs/ LGDs/ EADs	(31 064)	(28 468)	(71 569)	(131 101)
New financial instruments issued	26 523	13 170	14 001	53 694
Financial assets settled during the year	(896)	(1)	(11 535)	(12 432)
Financial assets written off	-	-	(1)	(1)
Total net profit or loss charge during the year	(31 413)	(13 272)	(22 169)	(66 854)
Loss allowance as at 31 March 2025	78 574	171 681	2 150 585	2 400 840

COMPANY - 2025	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 30 September 2024	109 988	184 953	2 164 708	2 459 649
Increase in credit risk				
Transfer from Stage 1 to Stage 2	(34 863)	78 704	-	43 841
Transfer from Stage 1 to Stage 3	(1 688)	-	9 921	8 233
Transfer from Stage 2 to Stage 3	-	(85 671)	126 455	40 784
Decrease in credit risk				-
Transfer from Stage 2 to Stage 1	3 185	(10 941)	-	(7 756)
Transfer from Stage 3 to Stage 2	-	19 935	(39 191)	(19 256)
Transfer from Stage 3 to Stage 1	7 390	-	(50 250)	42 860
Changes in PDs/ LGDs/ EADs	(31 064)	(28 468)	(71 569)	(131 101)
New financial instruments issued	26 523	13 170	14 001	53 694
Financial assets settled during the year	(896)	(1)	(11 535)	(12 432)
Financial assets written off	-	-	(1)	(1)
Total net profit or loss charge during the year	(31 413)	(13 272)	(22 169)	(66 854)
Loss allowance as at 31 March 2025	78 575	171 681	2 142 539	2 392 795

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For the Period Ended 31 March 2025

7.5.7. WRITE OFF POLICY

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts that is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery. All amounts written off in the current and prior year are still subject to enforcement activity. Loans to the value of Rnil were written off during the year in the Group (Company: Rnil).

7.5.8. MODIFICATION OF FINANCIAL ASSETS

The Group sometimes modifies the terms of loans provided to customers due to commercial renegotiations, or for distressed loans, with a view to maximising recovery. Restructuring is based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue.

The Group monitors the subsequent performance of modified assets and may determine that the credit risk has significantly improved where assets have performed for twelve-consecutive months or more.

Loans with gross carrying amount of R87 million at the end of the financial year have been modified in the current year at a time when the loss allowance was measured at an amount equal to lifetime expected credit losses and for which the loss allowance has changed during the current year to an amount equal to 12-month expected credit losses.

7.5.9. LOANS AND ADVANCES: SECTORAL ANALYSIS

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
CARRYING VALUE PER SECTOR - LOANS AND ADVANCES		
Accommodation and food service activities	56 391	56 391
Administrative and support activities	52 867	52 867
Agriculture, forestry and fishing	37 399	37 399
Arts, entertainment and recreation	661	661
Basic chemicals	93	93
Basic iron and steel	7 664	7 664
Beverages	110	110
Building construction	7 191	7 191
Business services	19 022	19 022
Catering and accommodation services	9 484	9 484
Construction	21 685	21 685
Education	683	683
Electricity, gas and steam	15 349	15 349
Electricity, gas, steam and air conditioning supply	917	917
Finance and insurance	145 148	145 148
Financial and insurance activities	155 575	155 575
Food	33 658	33 658

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	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
CARRYING VALUE PER SECTOR - LOANS AND ADVANCES		
Footwear	219	219
Furniture	1 004	1 004
Glass and glass products	-	-
Human health and social work activities	26 976	26 976
Information and communication	39 793	39 793
Machinery and equipment	2 773	2 773
Manufacturing	166 927	166 927
Medical, dental and other health and verterinary services	3 710	3 710
Metal products excluding machinery	9 562	9 562
Mining and quarrying	1 583	1 583
Motor vehicles, parts and accessories	7 736	7 736
Non-metallic minerals	18 924	18 924
Other chemicals and man-made fibres	1 386	1 386
Other community, social and personal services	13 972	13 972
Other industries	9 948	9 948
Other mining	10 592	10 592
Other service activities	4 291	4 291
Other services	43 098	43 098
Paper and paper products	29	29
Plastic products	5 424	5 424
Printing, publishing and recorded media	55	55
Professional, scientific and technical activities	28 946	28 946
Real estate activities	11 080	11 080
Television, radio and communication equipment	243	243
Textiles	12 753	12 753
Transport and storage	40 852	40 852
Transportation and storage	30 615	30 615
Water supply; sewerage, waste management and remediation activities	5 042	5 042
Wearing apparel	2 800	2 800
Wholesale and retail trade	90 113	90 113
Wholesale and retail trade; repair of motor vehicles and motorcycles	79 530	79 530
Wood and wooden products	19 663	19 663
Loans and advances net of impairments	1 253 536	1 253 536

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7.6. LIQUIDITY RISK

Liquidity risk is the risk that the Group or Company will not be able to meet its financial obligations as they fall due. The Group and Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risk damage to the Group or Company's reputation.

Due to the nature of the business, the Group and Company's cash management process aims to maintain flexibility in funding by keeping committed credit lines available. Cash requirements and inflows are monitored by management to ensure that sufficient cash is available to meet all financial commitments including operational expenditure. Typically the Group and Company ensure that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot be reasonably predicted; such as natural disasters.

The following are the remaining contractual maturities at the end of the reporting period of recognised and unrecognised financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

	GROUP				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Group - 31 March 2025					
Trade payables (excluding non-financial liabilities)	238 033	238 033	238 033	-	-
Managed funds	724 066	724 066	724 066	-	-
Shareholder loans	74 220	120 000	15 000	60 000	45 000
Total recognised financial and non-financial liabilities	1 036 319	1 082 099	977 099	60 000	45 000
Undrawn financing facilities approved	-	325 349	325 349	-	-
Operating lease commitments	-	2 072	1 317	755	-
Liabilities for lease obligations	105 917	115 393	76 942	38 451	-
Undrawn guarantees/indemnities approved	-	1 353 229	1 353 229	-	-
Total off-balance sheet items	105 917	1 796 043	1 756 837	39 206	-
Total contractual maturities	1 142 236	2 878 142	2 733 936	99 206	45 000
	COMPANY				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Company - 31 March 2025					
Trade payables (excluding non-financial liabilities)	170 671	170 671	170 671	-	-
Managed funds	724 066	724 066	724 066	-	-
Shareholder loans	74 220	120 000	15 000	60 000	45 000
Total recognised financial and non-financial liabilities	968 957	1 014 737	909 737	60 000	45 000
Operating lease commitments	-	2 072	1 317	755	-
Liabilities for lease obligations	105 917	115 393	76 942	38 451	-
Undrawn financing facilities approved	-	325 349	325 349	-	-
Total off-balance sheet items	105 917	442 814	403 608	39 206	-
Total contractual maturities	1 074 874	1 457 551	1 313 345	99 206	45 000

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For the Period Ended 31 March 2025

7.7. MARKET RISK

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group and Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The Group and Company do not deal in derivatives and does not have exposure to price risk nor exchange rate risk.

Interest rate risk

Interest rate risk is the risk that arises on an interest-bearing asset or liability, due to variability of interest rates.

The Group and Company's income and operating cash flows are substantially dependent on changes in market interest rates and the Group and Company have significant interest-bearing assets. The Group and Company's policy is to maintain most of its investments in the form of money market instruments. Interest rate risk is limited to the Group and Company's investment in floating-rate instruments such as deposits, negotiable certificates of deposits and banker's acceptances as well as loans which are normally issued at rates linked to the prime interest rate. The investment management function has been outsourced to the IDC. Regular management and Board sub-committee meetings are held in order to review SEDFA's interest rate view, which would affect the level of interest rate risk taken in respect of surplus funds.

At the reporting date the interest rate profile of the Group's interest-bearing financial instruments was:

	GROUP 31 March 2025	COMPANY 31 March 2025
Variable rate instruments		
Financial assets	8 985 150	8 225 243
Financial liabilities	-	-
Total variable rate instruments	8 985 150	8 225 243

Cash flow sensitivity analysis for variable rate instruments

A change in 250 basis points in the interest rates at the reporting date would have increased/(decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	GROUP 31 March 2025	COMPANY 31 March 2025
250 basis points increase	224 629	205 631
250 basis points decrease	(224 629)	(205 631)

7.8. CAPITAL RISK MANAGEMENT

The Board's policy is to achieve a capital base that will ensure the long term sustainability of **SEDFA** and it monitors progress towards this goal so as to maintain shareholder, creditor and market confidence and to sustain future development of the business.

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The Board seeks to maintain a balance between sustainable returns and its developmental mandate. There were no changes in the Group or Company's approach to capital management during the year. A subsidiary, KCG is subject to capital requirements imposed on it by the Prudential Authority in terms of The Insurance Act 18 of 2017. Neither the company nor any of its other subsidiaries are subject to externally imposed capital requirements.

The Group and Company's objectives when managing capital are:

- To comply with capital requirements required for insurers as determined by the STIA;
- To safeguard the Group's ability to continue as a going concern so that it can provide returns for the shareholder and benefits for other stakeholders.

KCG submits quarterly and annual returns to the Prudential Authority in terms of the STIA. The Company is required at all times to maintain a statutory surplus asset ratio as defined in the STIA. Adequate capital requirements were maintained throughout the year.

7.9. INSURANCE RISK – MATERIAL ACCOUNTING POLICY

Insurance risk arises from normal operations of the Group, through credit indemnities provided by Khula Credit Guarantee through the following:

- Indemnifying financiers for defaults on outstanding loans to SMMEs;
- Indemnifying suppliers for defaults on trade credit facilities.

The Board and Executive Committee manage the insurance risk according to the Group's risk appetite.

The risk under any one indemnity contract is the likelihood that the indemnified event will occur, and the uncertainty of the amount of the resulting claims. For a portfolio of indemnity contracts where the theory of probability is applied to provisioning, the principal risk that the Group faces is that the actual claims and benefit payments will exceed the carrying amount of the indemnity liabilities. By the very nature of an indemnity contract, the risk is random and, therefore, unpredictable. Changing risk parameters and unforeseen factors, such as economical and geographical circumstances, may result in unexpectedly large claims. Indemnified events are random from one year to the next and the actual number of claims will vary from the estimate established by means of statistical techniques, as follows:

- Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk and geographical location covered.
- Experience shows that the larger the portfolio of similar indemnity contracts, the smaller the relative variability of the expected outcome will be, therefore, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio.
- The Group only underwrites indemnity contracts in South Africa.
- The Group does not have the right to re-price and change the conditional risks on renewal of individual indemnities.
- The Group establishes a provision for claims using independent actuarial methods.

Limiting exposure to insurance risk

The Group limits its exposure to insurance risk through setting a clearly defined underwriting strategy and adopting appropriate risk assessment techniques. Each of these risk management aspects is dealt with below in more detail:

Underwriting strategy and limits and policies for mitigating insurance risk

The Group's underwriting strategy seeks diversity to ensure a balanced portfolio of insurance risks. To this end, the Group underwrites a wide variety of risks spread across financial and commercial indemnity holders, which includes the underwriting of risks in niche markets with favourable claim expectations. The Group prepares an underwriting budget that is based on the underwriting strategy to be followed in the next three years on an annual basis. The underwriting strategy is updated for changes in the underwriting results of the Group and the industry, the Group's available risk capital, its developmental mandate as well as existing concentrations of insurance risk.

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Risk assessment

The Group relies on a rigorous process followed by the indemnified parties before they propose and accept a specific insurance risk. Some of the factors considered during the underwriting stage include:

- Past loss experience associated with the proposed risk
- Indemnifiable interest
- Probability of success
- Level of mitigation procedures adopted
- Location of the proposed risk
- Past and proposed rating terms of the risk
- Scope and terms of cover considered
- Results of surveys completed, where applicable
- Possible variations that may be applied to the risks indemnified.

Concentration of insurance risk

The concentration of insurance risk is managed by different levels of diversification, mainly through the financial institutions that are underwritten and the geographical areas in which the risks are situated, with single risks spread across all areas of the country.

7.10. LOANS AND ADVANCES – MATERIAL ACCOUNTING POLICY

Loans and advances arise when the Group or Company provides money, goods or services directly to a debtor. These assets are held within a business model whose objective is to hold assets to collect contractual cash flows; and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding ('SPPI'). Loans and advances are measured at amortised cost less any provision for impairments (expected credit losses).

The Group and Company make an assessment of the objective of a business model in which an asset is held at a portfolio level as this best reflects the way the business is managed and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Loans and advances are non-derivative financial assets with fixed and determinable payments that are not quoted in an active market and that the Group or Company does not intend to sell immediately or in the near term. After initial measurement, loans and advances are measured at their amortised cost less any expected credit losses.

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7.10 LOANS AND ADVANCES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Loans and advances to clients	3 654 376	3 646 331
Less: Credit loss allowance	(2 400 840)	(2 392 795)
Loans and advances net of credit losses	1 253 536	1 253 536
Reconciliation credit loss allowances of loans and advances		
Credit loss allowance for loans and advances - opening balance	2 467 694	2 459 649
Credit loss for the year	(66 854)	(66 854)
Bad debts written off during the year	-	-
Credit loss allowance for loans and advances - closing balance	2 400 840	2 392 795
Maturity of loans and advances		
Gross loans due within one year	2 095 353	2 087 308
Gross loans due after one year but within two years	803 079	803 079
Gross loans due within two to three years	424 393	424 393
Gross loans due within three to four years	179 894	179 894
Gross loans due within four to five years	79 459	79 459
Due af Gross loans due after five years	72 198	72 198
Total gross loans	3 654 376	3 646 331
Credit loss allowances on loans and advances	(2 400 840)	(2 392 795)
Loans and advances net of credit loss allowances	1 253 536	1 253 536

The loans and advances in the SEDFA portfolio are not traded in active markets. SEDFA is a development finance institution and the loans and advances are provided to clients at terms that are below commercial market rates and credit risk is measured in consideration with developmental impact, as part of granting loans. The loans and advances are initially fair valued using the principal amount advanced to clients, as per loan agreements, and interest rates per the loan agreements, using the discounted cash flow method. The carrying amount of the loans and advances is a reasonable approximation of their fair value due to the following: the loans and advances are to non-related parties; the loans and advances are on terms that are within SEDFA's normal mandate; and SEDFA's principal market is determined with reference to its developmental mandate. Refer to note 7.1 and 7.4 for further detail.

7.11. INVESTMENTS

Investments are non-derivative financial assets consisting of equity investments where the Group does not control the entity to such an extent where consolidation is required and excludes investments where the group has significant influence or joint control.

The terms of these investments do not solely represent the payment of principal and interest and is therefore measured at FVTPL. These assets are not held within a business model whose objective is to hold assets to collect contractual cash flows; and the contractual terms of the financial asset

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give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding ('SPPI') neither are these assets held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding ('SPPI'). These assets accordingly are carried at FVTPL.

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Opening carrying value	89 682	61 778
Movement on fair value adjustments	(8 232)	(7 069)
(Disposal)/ Acquisition of investments	4 683	4 683
Closing carrying value	86 133	59 392

The fair value of the investment in equity instruments was determined by reference to the net asset value (NAV) of the underlying entity.

NAV is an appropriate valuation model as the assets and liabilities of the underlying investments are held at market value in the investee companies.

The negative fair value movement in the current financial year was R7.5 million, and it was recognised in profit or loss. There was no realised gain or loss in the financial statements.

8. EQUITY STRUCTURE

8.1. SHAREHOLDER RESERVES

Shareholder reserves consist of all reserves taken on at merger date.

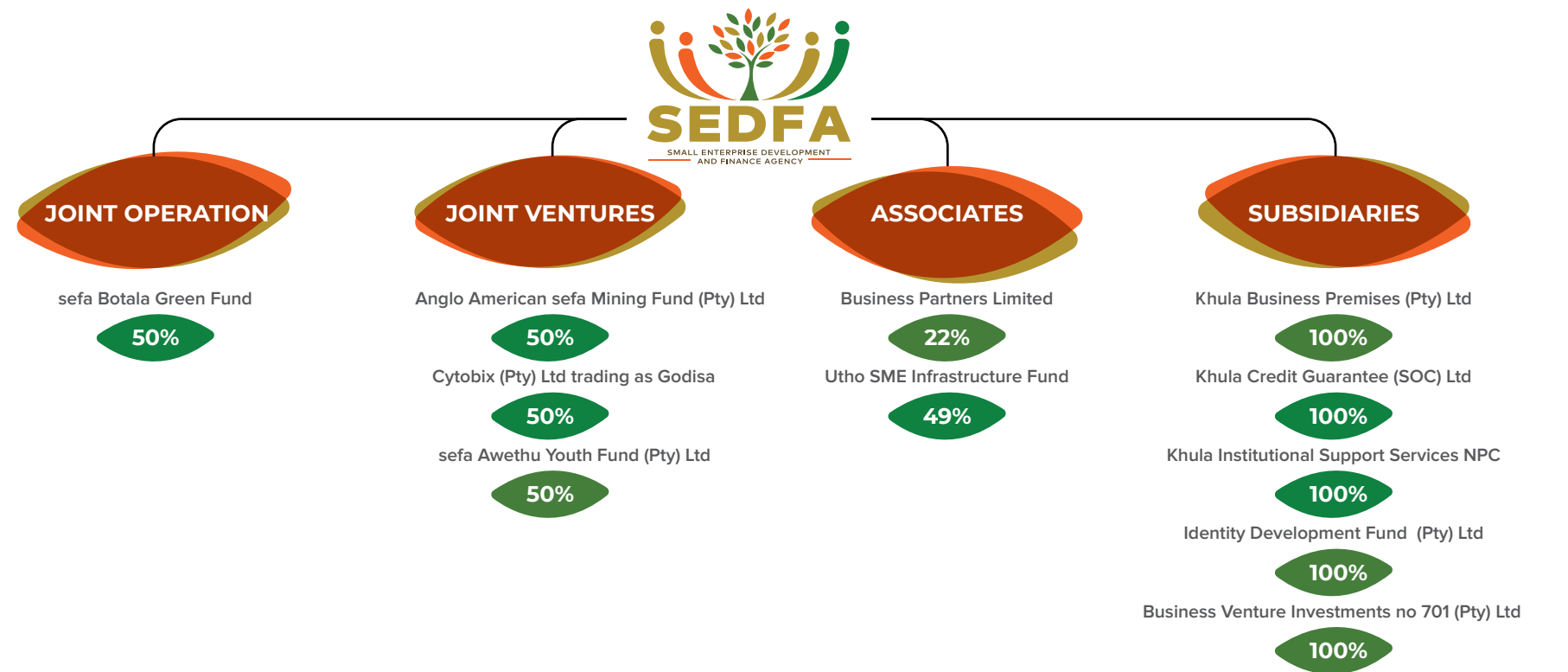
	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Balance - Merger under common control	3 164 833	3 164 833
Closing shareholder reserves	3 164 833	3 164 833

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9. GROUP COMPOSITION

9.1. INTEREST IN OTHER ENTITIES AND OPERATIONS



SUBSIDIARIES		Principal place of business:
Identity Development Fund Partnership	100%	21 Fricker Road, Illovo, Johannesburg
Khula Business Premises (Pty) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Khula Credit Guarantee (SOC) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Khula Institutional Support Services NPC	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Business Venture Investments no 701 (Pty) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
ASSOCIATES		
Business Partners Limited	22%	37 West Street, Houghton Estate, Johannesburg
The Utho SME Infrastructure Fund	49%	2nd Floor, Progress House, 354 Rivonia Boulevard, Johannesburg
JOINT VENTURES		
Anglo sefa Mining Fund (Pty) Ltd	50%	44 Main Street, Johannesburg
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	50%	11 Byls Bridge Boulevard, Doringkloof, Centurion
sefa Awethu Youth Fund (Pty) Ltd	50%	11 Kotze Street, Braamfontein, Johannesburg
JOINT OPERATION		
sefa Botala Green Fund	50%	11 Byls Bridge Boulevard, Doringkloof, Centurion

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For the Period Ended 31 March 2025

9.2. INVESTMENTS IN SUBSIDIARIES

Subsidiaries are entities that are controlled by sefa, which has rights to the variable returns and has the ability to use its control to affect the amount of returns. Refer to 1.4.1 for information regarding the Group and Company's accounting policies.

	COMPANY 31 March 2025 R'000
Investments in subsidiaries	
Unlisted shares in subsidiaries	479 214
Loans receivable	24 950
Total exposure to subsidiaries before impairments	504 164
Impairments on investments in subsidiaries	(24 950)
Total exposure to subsidiaries net of impairments	479 214

Companies	31 March 2025 % interest	Nature of activities	31 March 2025 Exposure before impairments R'000
Identity Development Fund Partnership	100%	SME Financing	24 950
Khula Business Premises (Pty) Ltd	100%	Property rental	-
Khula Credit Guarantee (SOC) Ltd	100%	Credit indemnities	479 214
Khula Institutional Support Services NPC	100%	Capacity building	-
Business Venture Investments no 701 (Pty) Ltd	100%	SME Financing	-
Exposure to subsidiaries before impairments			504 164

All subsidiaries are incorporated in the Republic of South Africa and have the same reporting date as the holding company.

The entities classified as subsidiaries are all under the control of SEDFA, which has rights to the variable returns and has the ability to use its control to affect the amount of returns.

The investments in subsidiaries are all non-current assets.

The aggregate net profits and losses after taxation of subsidiaries attributable to SEDFA were as follows:

	GROUP 31 March 2025 R'000
Profits	23 436
Losses	(54 164)
Aggregate net loss from subsidiaries	(30 728)

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

9.3. INVESTMENTS IN JOINT OPERATIONS

Joint operations are arrangements that are jointly controlled by sefa and another party where SEDFA has rights to the variable returns and has the ability to use its control to affect the amount of returns. Refer to note 1.4.1 for information regarding the Group and Company’s accounting policies.

Investments in joint operations

	COMPANY 31 March 2025 R'000
Investments in joint operations	
Loans receivable	19 084
Impairments of investments in joint operations	(19 084)
Total exposure to joint operations net of impairments	-

Companies	31 March 2025 % interest	Nature of activities	31 March 2025 Total company exposure before impairments R'000
sefa Botala Green Fund	50%	SME Financing	19 084

All joint operations are incorporated in the Republic of South Africa and have the same reporting date as the holding company.

The investments in joint operations are all non-current assets. sefa Botala Green Fund is dormant.

The aggregate net profits and losses after taxation of joint operations attributable to SEDFA were as follows:

	GROUP 31 March 2025 R'000
Loss from joint operations	
Profits	-
Losses	-
	-

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

9.4. INVESTMENTS IN ASSOCIATES

Associates are companies where SEDFA owns between 20% and 50% of issued shares, but does not have significant control over the company. Refer to note 1.4.1 for information regarding the Group and Company's accounting policies.

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Investments in associates		
Unlisted shares in associates	98 622	98 622
Accumulated equity-accounted income, losses and impairments	850 614	-
Loans receivable	29 076	29 076
Impairment of loans	-	(29 042)
Total exposure to associates	978 312	98 656

Associate	31 March 2025 % interest	Nature of activities	COMPANY 31 March 2025 Total company exposure before impairments R'000
Business Partners Limited	22%	SME Financing	98 622
The Utho SME Infrastructure Fund (I)	49%	SME Financing	29 076
Total exposure to associates before impairments			127 698

(I) Although the ownership interest in The Utho SME Infrastructure Fund is 49%, the voting interest is only 40%.

The following information summarises the financial information of the associates as included in its own financial statements adjusted for differences in accounting policies. The table also reconciles the summarised information to the carrying amount of the Group's interest:

	GROUP 31 March 2025 R'000
The aggregate amounts attributable to SEDFA were as follows:	
<i>Statement of financial position</i>	
Non-current assets	5 881 964
Current assets	97
Non-current liabilities	(1 403 538)
Current liabilities	(30)
Net assets at 100%	4 478 493

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000
Group's share of net assets	949 236
Loan to associate	29 076
Costs capitalised on shares acquired	-
Total exposure to associates	978 312
<i>Statement of comprehensive income</i>	
Revenue	392 089
Expenses	(236 544)
Other comprehensive income	(5 121)
Profit and total other comprehensive income at 100%	150 424
Group's share of loss and total comprehensive income	32 470

There are no significant restrictions on the ability of the associates to transfer funds to SEDFA in the form of cash dividends or to repay loans advanced. There are no additional risks associated with SEDFA's investments other than impairment recognised and the risks identified in the financial risk management note. All investments in associates are non-current assets.

9.5. INVESTMENTS IN JOINT VENTURES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Investments in joint ventures		
Unlisted shares in joint ventures	-	-
Loans receivable	73 963	73 963
Accumulated equity-accounted income, losses and		
Impairments	(65 115)	-
Impairment of investment	-	(73 963)
Total exposure to joint ventures	8 848	-

Investments in joint arrangements were assessed and it was concluded that these agreements should be classified as joint ventures. In performing the assessment, the group considered the structure of the arrangements, the legal form of any separate vehicle, the contractual terms of the arrangements and other facts and circumstances.

	31 March 2025 % interest	Nature of activities	31 March 2025 Total exposure R'000
Companies			
Anglo sefa Mining Fund (Pty) Ltd	50%	Financing mining activities	-
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	50%	SME Financing	31 265
sefa Awethu Youth Fund (Pty) Ltd	50%	SME Financing	42 698
Total exposure to joint ventures before impairments			73 963

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

	GROUP 31 March 2025 R'000
The aggregate amounts attributable to SEDFA were as follows:	
<i>Statement of financial position</i>	
Non-current assets	12 566
Current assets	24 406
Non-current liabilities	(60 000)
Current liabilities	(71 440)
Net assets at 100%	(94 468)
Group's share of net assets	(65 116)
Loans to joint ventures	73 964
Total exposure to joint ventures	8 848
<i>Statement of comprehensive income</i>	
Revenue	3 240
Expenses	(8 070)
Total other comprehensive income/(loss) at 100%	(4 830)
Group's share of total comprehensive income/(loss)	(226)

There are no significant restrictions on the ability of the joint ventures to transfer funds to SEDFA in the form of cash dividends or to repay loans advanced. There are no additional risks associated with SEDFA's investments other than impairment recognised and the risks identified in the financial risk management note. All investments in joint ventures are non-current assets.

9.6. PROFIT FROM EQUITY ACCOUNTED INVESTEEES

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Profit/ (loss) from Equity Accounted Investees		
Anglo sefa Mining Fund (Pty) Ltd	(1 334)	-
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	1 108	-
sefa Awethu Youth Fund (Pty) Ltd	-	-
Income from joint ventures	(226)	-
Loss and other comprehensive income from associates		
Business Partners Limited (1)	32 392	-
The Utho SME Infrastructure Fund	78	-
Income from associates	32 470	-
Profit from equity accounted investees	33 454	
Other comprehensive (loss)/income from equity accounted investees	(1 210)	
Total profit and other comprehensive income from equity investees	32 244	-

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

10. RELATED PARTIES AND DIRECTORS EMOLUMENTS

10.1. RELATED PARTY TRANSACTIONS

Related party transactions constitute the transfer of resources, services or obligations between the Group and a party related to the Group, regardless of whether a price is charged. For the purposes of defining related party transactions with key management, key management has been defined as directors and the Group’s executive committee and includes close members of their families and entities controlled or jointly controlled by these individuals.

Related parties

Description	Relationship
The Department of Small Business Development (DSBD)	Shareholder of SEDFA
Business Partners Limited	An associate of SEDFA
The Utho SME Infrastructure Fund	An associate of SEDFA
Codisa Supplier Development Fund (Pty) Ltd	A joint venture of SEDFA
Anglo sefa Mining Fund (Pty) Ltd	A joint venture of SEDFA
sefa Awethu Youth Fund (Pty) Ltd	A joint venture of SEDFA
Khula Business Premises (Pty) Ltd	Wholly owned subsidiary of SEDFA
Khula Credit Guarantee (SOC) Ltd	Wholly owned subsidiary of SEDFA
Khula Institutional Support Services NPC	Wholly owned subsidiary of SEDFA
Khula Land Reform Empowerment Facility	Wholly owned subsidiary of SEDFA (1)
Business Venture Investments no 701 (Pty) Ltd	Wholly owned subsidiary of SEDFA

Transactions between the Company and its subsidiaries, which are related parties, have been eliminated in the Group financial statements, these are however not eliminated in the individual Company financial statements.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

The following transactions were entered into with related parties:

	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
<i>Rental income received from related parties:</i>		
DTIC	-	-
Total rental income from related parties	-	-
<i>Rental income paid to related parties:</i>		
Khula Business Premises (Pty) Ltd	-	(189)
Total rental income from related parties	-	(189)
<i>Investment income received from related parties</i>		
Interest on cash balances managed by IDC	54 696	54 509
<i>Management fees paid to related parties for travel management</i>		
IDC	-	-
Management fees charged to related parties		
Khula Land Reform Empowerment Facility (1)	3 513	3 513
Khula Credit Guarantee (SOC) Ltd	-	4 012
Khula Institutional Support Services NPC (2)	(888)	2 791
Khula Business Premises (Pty) Ltd	-	11 439
Godisa Supplier Development Fund (Pty) Ltd	(450)	1 500
Total management fees charged to related parties	2 175	23 255
Transfer of grant funding to related party		
Khula Credit Guarantee (SOC) Ltd	-	-
Related party balances receivable/(payable)		
Khula Credit Guarantee (SOC) Ltd (3)	-	9 962
Khula Land Reform Empowerment Facility (1)	8 190	8 190
Khula Institutional Support Services NPC (3)	-	18 185
Business Venture Investments no 701 (Pty) Ltd	-	40 582
Khula Business Premises (Pty) Ltd (4)	-	748 471
Khula Business Premises (Pty) Ltd - impairment (4)	-	(510 819)
Khula Institutional Support Services NPC - impairment (6)	-	(18 185)
The Department of Small Business Development	(1 203)	(1 203)
IDC - Cash managed	1 266 261	1 257 403
IDC - Shareholder's loan (liability) (5)	(74 220)	(74 220)
IDC - Shareholder's loan (equity) (5)	(3 164 833)	(3 164 833)
Aggregated related party balances payable	(1 965 805)	(1 686 467)

(1) Registered as a Non-profit Company. This company has been exempted from consolidation as SEDFA is acting as an agent.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

- (2) The management fee charged to Khula Institutional Support NPC reflects a negative amount on consolidated level due to the subsidiary not being able to claim the VAT charged on the management fee. The subsidiary company is not a registered VAT vendor.
- (3) Any outstanding related party balances are unsecured and will be settled in cash. No guarantees have been given or received.
- (4) The loan issued to Khula Business Premises (Pty) Ltd is subordinated and bears interest at 70% of the prime lending rate. An impairment of R492 million has been raised on the loan in the SEDFA Company.
- (5) Refer to note 6.1 for specific terms.
- (6) The loan issued to Khula Institutional Support Services NPC is subordinated.

Investments in related entities

Refer to notes 9.1 to 9.5 for investments held in related entities.

Transactions with key management personnel

No material contracts were entered into involving the interest of any director or executive management member. All compensation paid to key management is disclosed under note 10.2.

10.2. DIRECTORS' AND PRESCRIBED OFFICERS' REMUNERATION

Prescribed officers as prescribed by the Companies Act, are individuals who, despite not being a director of the Company:

- exercise general executive control over and management of the whole, or a significant portion, of the business and activities of the Company; or
- regularly participates to a material degree in the exercise of general executive control over and management of the whole, or a significant portion, of the business and activities of the Company.

The Company considers all individuals at the level of executive management as the prescribed officers.

Key management, as defined in IAS 24 Related Party Disclosure, are individuals with the authority and responsibility for planning, directing and controlling the activities of the entity. All individuals from the level of executive management up to the Board of Directors are regarded as key management. The remuneration of the directors and prescribed officers is disclosed below as per the Companies Act requirements.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

10.2.1. BOARD OF DIRECTORS:

The non-executive Directors are not involved in day-to-day operations of the business and do not draw any remuneration from SEDFA other than for board fees.

Current Board members	Appointment date	Retirement date	GROUP 31 March 2025 R'000	COMPANY 31 March 2025 R'000
Ms X Daku	2024/10/01	-	228	195
Ms NP Lubisi ⁽⁴⁾	2024/10/01	-	-	-
Mr W Carrim ⁽⁴⁾	2024/10/01	-	-	-
Mr PL Makape ⁽⁴⁾	2024/10/01	-	-	-
Mr A Xabadiya ⁽⁴⁾	2024/10/01	-	-	-
Mr S Mpakama ⁽⁴⁾	2024/10/01	-	-	-
Mr L Ntuane	2024/10/01	-	291	258
Ms K Mogorosi	2024/10/01	-	242	242
Ms H Tsoadi ⁽¹⁾	2020/10/01	-	8	8
Dr GS Moseneke ⁽³⁾	2021/07/02	-	43	-
Mr MJ Pitjeng ⁽³⁾	2021/07/02	-	34	-
Ms DM Ntsika	2024/10/01	-	241	219
Ms CN Motale	2024/10/01	-	275	275
Ms N Makanda	2024/10/01	-	544	544
Mr KT Bonakele	2024/10/01	-	215	215
Mr BI Mkize ⁽²⁾	2023/08/11	2025/01/20	22	-
Mr P Phili ⁽²⁾	2023/08/08	-	41	-
Total directors' fees paid			2184	1956

⁽¹⁾ Directors fees for the services rendered were paid to the IDC.

⁽²⁾ This director only serves on the Board of the subsidiary company, KCG.

⁽³⁾ These directors only serve on the Board of the subsidiary company, KBP.

⁽⁴⁾ These directors do not receive any directors remuneration as they are employed by State Owned Entities.

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

10.2.2. EXECUTIVE MANAGEMENT:

	31 March 2025 R'000	31 March 2025 R'000
Executive management remuneration		
Employment benefits	10 172	10 172
Post-employment benefits	-	-
Total executive management remuneration	10 172	10 172

	31 March 2025				Total R'000
	Basic salary and acting allowance R'000	Incentive bonus (Short-term) R'000	Incentive bonus (Long-term) R'000	Retirement, medical and other benefits R'000	
Executive					
NS Mbatha	1 950	-	-	211	2 161
N Shwala	1 812	-	-	168	1 980
C Williams	1 382	-	-	178	1 560
L Makupula	1 802	-	-	210	2 012
C Leshou	1 020	-	-	145	1 165
SM Ngcai	1 280	-	-	14	1 294
Total executive management remuneration	9 246	-	-	926	10 172

No member of executive management earned any income from any other company within the Group.

11. PFMA DISCLOSURE

11.1. UNAUTHORISED, FRUITLESS AND WASTEFUL AND IRREGULAR EXPENDITURE

	31 March 2025 R'000
Irregular Expenditure	4 625
Fruitless and Wasteful	6 459
	11 084

Refer to Part E on page 104 of the annual report for more information on these items..

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

12. FAIR VALUE MEASURMENT

12.1. FAIR VALUE MEASURMENT OF FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are grouped into three levels of a fair value hierarchy. The three levels are defined based on the observability of significant inputs to the measurement, as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly
- Level 3: unobservable inputs for the asset or liability.

GROUP - 31 March 2025	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	86 133	86 133
	-	-	86 133	86 133
COMPANY - 31 March 2025	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	59 392	59 392
	-	-	59 392	59 392

The fair value of the investment in equity instruments was determined by reference to the net asset value of the underlying entity.

The fair value movement in the current financial year was R7.5million, and it was recognised in profit or loss. There was no realised gain or loss in the financial statements.

Refer to note 7.11 for the reconciliation of the carrying amounts of financial instruments.

12.2. FAIR VALUE MEASURMENT OF NON-FINANCIAL ASSETS

The following table shows the levels within the hierarchy of non-financial assets measured at fair value on a recurring basis:

GROUP - 31 March 2025	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	253 919	253 919
	-	-	253 919	253 919
COMPANY - 31 March 2025	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	-	-
	-	-	-	-

Notes to the Annual Financial Statements

For the Period Ended 31 March 2025

The fair value measurement for investment property has been categorised as level 3 fair value based on SEDFA's fair value hierarchy due to unobservable inputs used.

The assumptions used in the valuations conducted at were assessed to be appropriate for the current financial year.

The following summarises the valuation technique used in measuring the fair value of Investment Properties, as well as the significant unobservable inputs used:

Valuation technique

SEDFA's property portfolio consists mainly of income producing properties and this is the fundamental basis on which the valuation of investment properties is determined. Investment properties produce a perpetual income stream and the capitalisation of such net revenue flow is an accurate means of determining the value. Included in the portfolio, are two properties which are sectional title in nature and one comprises of vacant land. These properties have been valued on the direct comparison basis. The capitalisation rates used range from 11% to 15%.

An internal desktop valuation was performed in the current financial year using market related rentals and market related capitalisation rates. The significant inputs and assumptions are developed in close consultation with management.

Refer to note 5.4 and note 5.5 for the reconciliation of the carrying amounts of non-financial assets classified within Level 3.

13. EVENTS AFTER THE REPORTING PERIOD

13.1. EVENTS AFTER THE REPORTING PERIOD

None



ANNEXURES

ANNEXURES

Annexure A

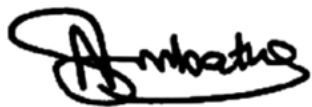
Statement of responsibility and confirmation of accuracy for the Annual Report of predecessor Institutions

To the best of my knowledge and belief, I confirm the following:

- All information and amounts disclosed in the annual report is consistent with the annual financial statements audited by the Auditor General.
- The annual report is complete, accurate and is free from any omissions.
- The annual report has been prepared in accordance with the guidelines on the annual report as issued by National Treasury.
- The Annual Financial Statements for predecessor institutions have been prepared in accordance with the standards applicable to the public entity.
- The accounting authority is responsible for the preparation of the annual financial statements and for the judgements made in this information.
- The accounting authority is responsible for establishing and implementing a system of internal control, which has been designed to provide reasonable assurance as to the integrity and reliability of the performance information, the human resources information and the annual financial statements.
- The external auditors are engaged to express an independent opinion on the annual financial statements.

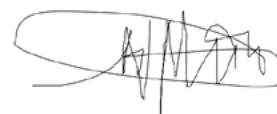
In our opinion, the annual report fairly reflects the performance information and the financial affairs of the individual entities for the period ending 30 September 2024.

Yours faithfully



Mr Nkosikhona Mbatha
Acting Chief Executive Officer

30 September 2025



Ms. Nonzuzo Makanda
Chairperson of the Board

30 September 2025





PART G

PREDECESSOR INSTITUTIONS PERFORMANCE
INFORMATION AND AUDITED FINANCIAL
STATEMENTS

SEDFA Predecessor Institutions Performance

The Small Enterprise Development and Finance Agency (SEDFA) was officially established on 1 October 2024, with the core mandate to promote the growth and sustainability of Micro, Small, and Medium Enterprises (MSMEs) and co-operatives. On the same date, the Board approved SEDFA's six-month Annual Performance Plan, consolidating the mandates of its three predecessor institutions: the Small Enterprise Development Agency (Seda), the Small Enterprise Finance Agency (sefa), and the Co-operative Banks Development Agency (CBDA). Since its inception, SEDFA has played a crucial role in implementing targeted interventions aimed at enhancing the capacity of MSMEs, as reflected in the accompanying performance indicators. Additionally, SEDFA has prioritised building an agile, customer-focused organisation to maximise its developmental impact.

Performance of predecessor institutions against the approved APP targets

Institutions	Number of indicators measured	Number of indicators achieved	% achievement
Former sefa	27	17	63%
Former Seda	18	17	94%
Former CBDA	9	9	100%





Co-operative Bank Development Agency (CBDA)

Highlights for six months under review

During the review period, the Capacity Building Unit successfully met 100% of its performance targets. The unit continued to play a key role in guiding the sector toward data-driven decision-making, recognising the value that traditional banks derived from leveraging data to develop innovative financial products. By utilising data analytics tools such as Microsoft Power BI and other statistical methods, the unit aimed to help CBIs better assess the performance of their financial offerings. This enabled more informed decisions by Boards and management.

Capacity building initiatives

The CBU continued its capacity-building initiatives targeted at CBIs. These were conducted in the form of direct technical assistance, monitoring and training interventions, and pre-registration support to prospective CBIs.

The Capacity Building Unit has continued to play a pivotal role in strengthening the co-operative banking sector by equipping Co-operative Banking Institutions (CBIs) with critical skills and knowledge. Through targeted training interventions, the Unit has supported boards, management, and staff in enhancing their competencies in areas such as product development, compliance, data management using the Coop Bank-in-a-Box Tool, and financial management. These initiatives are aimed at building resilient institutions that can effectively serve their members, improve sustainability, and meet regulatory requirements, thereby contributing to the long-term growth and stability of the sector.

The Capacity Building Unit continued to drive sector awareness and education by hosting twelve (12) information sessions aimed at promoting and creating awareness of the co-operative banking sector. These sessions provided valuable insights into the benefits of co-operative banking, regulatory requirements, and growth opportunities, while also encouraging broader participation and understanding among potential members and stakeholders. Through this initiative, the Unit strengthened visibility of the sector and laid the groundwork for sustainable expansion.

Challenges for six months under review

The Co-operative Banking Sector continued to face challenges in

accessing capital to support its enterprising members, which is essential for closing the financial inclusion gap for small enterprises. The regulatory burden resulted in several CBIs being deregistered and/or opting for voluntary deregistration. Many CBIs struggled to meet the compliance requirements of various banking sector regulators, as they could not afford to secure critical skills and competencies due to limited financial resources.

The co-operative banking sector continues to face challenges due to limited public awareness and visibility. Many institutions also struggle with a shortage of critical skills necessary to drive growth and sustainability. These gaps hinder the sector from reaching its full potential in advancing financial inclusion.

Performance results in the co-operative banking sector

The performance of the co-operative banking sector in South Africa reflected both progress and persistent challenges. While several Co-operative Banking Institutions (CBIs) demonstrated improved governance practices and compliance reporting, the industry as a whole continued to struggle with meeting the complete regulatory requirements of the Prudential Authority (PA) and other oversight bodies. Limited financial and technical capacity constrained many institutions from consistently achieving the PA's minimum prudential standards, particularly in areas of capital adequacy, risk management, and reporting accuracy. As a result, while compliance levels showed gradual improvement in some entities, the sector remained under pressure to strengthen its systems, skills, and resources to ensure sustainable alignment with regulatory expectations.

Challenges

Many CBIs continued to struggle with meeting complete compliance requirements due to limited financial and technical capacity.

Shortages of critical skills in risk management, compliance, and financial reporting hindered consistent adherence to PA standards.

Some institutions remained vulnerable in areas such as capital adequacy, accuracy of reporting, and overall governance structures.

Way Forward

The sector requires targeted capacity building to enhance compliance capabilities and reduce the risk of deregistration.

Strengthening internal controls, governance structures, and reporting frameworks will be essential to achieve complete alignment with regulatory expectations.

Continued collaboration with the PA and other regulators, supported by tailored training and technical assistance, will help CBIs close compliance gaps and build resilience.

Key performance indicators, targets and actual results

Strategic objective 3 : An adequately capacitated CFI sector								
			2022/23	2023/2024	2024/2025 1 April to 30 September 2024			
Outcome	Output	Output indicators	Audited actual achievement	Audited actual achievement	Planned target	Actual Achievement	Deviation from planned target to actual achievement	Reason/s for revisions to the outputs/output indicators/ annual targets
Increased access to financial services by communities to ensure economic transformation	Increase in co-operative banking membership Percentage increase of member deposits Number of registered CBIs by PA	Number of training programmes conducted	14	12	3	6	+3	The Coop-Bank-In-A-Box training was conducted to ensure that CBIs presented their data in an acceptable format for preparation to be captured by the Power BI tool, benefiting the automation project CBDA was undertaking with National Treasury IT. Funding came from the BANKSETA funds and the CBU budget set aside for ad-hoc programmes, that may arise during the financial year. Financial Intelligence Act training was conducted due to a request from the sector. The training session was undertaken virtually by the Financial Intelligence Centre (FIC), at no cost to the CBDA.
		Number of direct technical assistance interventions provided	99	72	20	24	+4	The piloting of the Coop-bank-in-a-box tool training led to several insights regarding the CBIs financial position, as extracted from the Power BI Data Analytics tool utilised for this exercise. This then gave rise to a need to produce reports for the CBI board members and management to highlight the gaps drawn from the data gathered onsite, so that

Strategic objective 3 : An adequately capacitated CFI sector								
			2022/23	2023/2024	2024/2025 1 April to 30 September 2024			
Outcome	Output	Output indicators	Audited actual achievement	Audited actual achievement	Planned target	Actual Achievement	Deviation from planned target to actual achievement	Reason/s for revisions to the outputs/output indicators/ annual targets
		Number of direct technical assistance interventions provided <i>continued</i>						they can make data backed decisions as we advance. This increased the number of DTAs conducted, such work had to be credited to the relevant STA, as it takes a specialised skill to perform such. There were no financial implications as these were conducted virtually.
		Number of monitoring visits conducted	42	40	10	13	+3	Some of the interventions were conducted virtually with no financial implications. This is the only time that the CBIs were available, even though these were planned for Q3.
		Percentage of organised groups supported	100%	100%	100%	-	-	-



AUDITED FINANCIAL STATEMENTS

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Co-operative Banks Development Agency Six Months Annual Financial Statements for the period ended 30 September 2024

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Report of the auditor-general to Parliament on Co-operative Banks Development Agency

Report on the audit of the financial statements

Opinion

1. I have audited the financial statements of the Co-operative Banks Development Agency (CBDA) set out on page 235 to 268, which comprise the statement of financial position as at 30 September 2024, statement of financial performance, statement of changes in net assets, cash flow statement and statement of comparison of budget and actual amounts for the year then ended, as well as notes to the financial statements, including a summary of significant accounting policies.
2. In my opinion, the statements present fairly, in all material respects, the financial position of the Co-operative Banks Development Agency as at 30 September 2024 and its financial performance and cash flows for the year then ended in accordance with the Standards of Generally Recognised Accounting Practice (Standards of GRAP) and the requirements of the Public Finance Management Act 1 of 1999 (PFMA).

Basis for opinion

3. I conducted my audit in accordance with the International Standards on Auditing (ISAs). My responsibilities under those standards are further described in the responsibilities of the auditor-general for the audit of the financial statements section of my report.
4. I am independent of the public entity in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA code) as well as other ethical requirements that are relevant to my audit in South Africa. I have fulfilled my other ethical responsibilities in accordance with these requirements and the IESBA code.
5. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Emphasis of matter

6. I draw attention to the matter below. My opinion is not modified in respect of this matter.

Merger of the Co-operative Banks Development Agency (CBDA), the Small Enterprise Development Agency (SEDA) and the Small Enterprise Finance Agency (SEFA) into the Small Enterprise Development Finance Agency (SEDFA) and its impact on the going concern assumption

7. I draw attention to note 27 of the financial statements which references accounting policy 1.1 presented in the financial statements, where the financial statements have been prepared on the basis of accounting policies applicable to a going concern since the function and mandate will be transferred to the new entity, SEDFA. The assets and liabilities would be derecognised in the CBDA financial books and recognise the fair value in SEDFA financial books.

Responsibilities of the accounting authority for the financial statements

8. The accounting authority is responsible for the preparation and fair presentation of the financial statements in accordance with the GRAP and the requirements of the PFMA; and for such internal control as the accounting authority determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
9. In preparing the financial statements, the accounting authority is responsible for assessing the public's ability to continue as a going concern; disclosing, as applicable, matters relating to going concern; and using the going concern basis of accounting unless the appropriate governance structure either intends to liquidate the public entity or to cease operations, or has no realistic alternative but to do so.

Responsibilities of the auditor-general for the audit of financial statements

10. My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error; and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.
11. A further description of my responsibilities for the audit of the financial statements is included in the annexure to this auditor's report. This description, which is located at page 6, forms part of our auditor's report.

Report on the annual performance report

12. In accordance with the Public Audit Act 25 of 2004 (PAA) and the general notice issued in terms thereof, I must audit and report on the usefulness and reliability of the reported performance information against predetermined objectives for the selected material performance indicators presented in the annual performance report. The accounting authority is responsible for the preparation of the annual performance report.
13. I selected the following material performance indicators related to Programme 2: Capacity building presented in the annual performance report for the year ended 30 September 2024. I selected those indicators that measure the public entity's performance on its primary mandated functions and that are of significant national, community or public interest. These include:
 - Number of training programmes conducted
 - Number of direct technical assistance intervention provided
 - Number of monitoring interventions conducted
 - Percentage of organised groups supported.
14. I evaluated the reported performance information for the selected material performance indicators against the criteria developed from the performance management and reporting framework, as defined in the general notice. When an annual performance report is prepared using these criteria, it provides

useful and reliable information and insights to users on the public entity's planning and delivery on its mandate and objectives.

15. I performed procedures to test whether:
 - the indicators used for planning and reporting on performance can be linked directly to the public entity's mandate and the achievement of its planned objectives
 - all the indicators relevant for measuring the public entity's performance against its primary mandated and prioritised functions and planned objectives are included
 - the indicators are well defined to ensure that they are easy to understand and can be applied consistently, as well as verifiable so that I can confirm the methods and processes to be used for measuring achievements
 - the targets can be linked directly to the achievement of the indicators and are specific, time bound and measurable to ensure that it is easy to understand what should be delivered and by when, the required level of performance as well as how performance will be evaluated
 - the indicators and targets reported on in the annual performance report are the same as those committed to in the approved initial or revised planning documents
 - the reported performance information presented in the annual performance report in the prescribed manner and is comparable and understandable
 - there is adequate supporting evidence for the achievements reported and for the reasons provided for any over- or underachievement of targets.
16. I performed the procedures to report material findings only; and not to express an assurance opinion or conclusion.
17. I did not identify any material findings on the reported performance information for the selected indicators.

Achievement of planned targets

18. The annual performance report includes information on reported achievements against planned targets and provides explanations for over- or under- achievements. This information should be considered in the context of the material findings on the reported performance information.

Report on compliance with legislation

19. In accordance with the PAA and the general notice issued in terms thereof, I must audit and report on compliance with applicable legislation relating to financial matters, financial management and other related matters. The accounting authority is responsible for the public entity's compliance with legislation.
20. I performed procedures to test compliance with selected requirements in key legislation in accordance with the findings engagement methodology of the Auditor-General of South Africa (AGSA). This engagement is not an assurance engagement. Accordingly, I do not express an assurance opinion or conclusion.
21. Through an established AGSA process, I selected requirements in key legislation for compliance testing that are relevant to the financial and performance management of the public entity, clear to allow consistent measurement and evaluation, while also sufficiently detailed and readily available to report in an understandable manner. The selected legislative requirements are included in the annexure to this auditor's report.

I did not identify any material non-compliance with the selected legislative requirements.

Other information in the annual report

22. The accounting authority is responsible for the other information included in the annual report. The other information referred to does not include the financial statements, the auditor's report and those selected material indicators in the scoped-in programme presented in the annual performance report that have been specifically reported on in this auditor's report.
23. My opinion on the financial statements, the report on the audit of the annual performance report and the report on compliance with legislation do not cover the other information included in the annual report and I do not express an audit opinion or any form of assurance conclusion on it.
24. My responsibility is to read this other information and, in doing so, consider whether it is materially inconsistent with the financial statements and the selected material indicators in the scoped-in programme presented in the annual performance report or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

25. I did not receive the other information prior to the date of this auditor's report. When I do receive and read this information, if I conclude that there is a material misstatement therein, I am required to communicate the matter to those charged with governance and request that the other information be corrected. If the other information is not corrected, I may have to retract this auditor's report and re-issue an amended report as appropriate. However, if it is corrected this will not be necessary.

Internal control deficiencies

26. I considered internal control relevant to my audit of the financial statements, annual performance report and compliance with applicable legislation; however, my objective was not to express any form of assurance on it.
27. I did not identify any significant deficiencies in internal control.

Auditor-General

Pretoria

30 July 2025



**AUDITOR - GENERAL
SOUTH AFRICA**

Auditing to build public confidence

Annexure to the auditor's report

The annexure includes the following:

- The auditor-general's responsibility for the audit
- The selected legislative requirements for compliance testing

Auditor-general's responsibility for the audit

Professional judgement and professional scepticism

As part of an audit in accordance with the ISAs, I exercise professional judgement and maintain professional scepticism throughout my audit of the financial statements and the procedures performed on reported performance information for selected material performance indicators and on the [type of auditee]'s compliance with selected requirements in key legislation.

Financial statements

In addition to my responsibility for the audit of the financial statements as described in this auditor's report, I also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error; design and perform audit procedures responsive to those risks; and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the public entity's internal control
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made
- conclude on the appropriateness of the use of the going concern basis of accounting in the preparation of the financial statements. I also conclude, based on the audit evidence

obtained, whether a material uncertainty exists relating to events or conditions that may cast significant doubt on the ability of the public entity to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements about the material uncertainty or, if such disclosures are inadequate, to modify my opinion on the financial statements. My conclusions are based on the information available to me at the date of this auditor's report. However, future events or conditions may cause a public entity to cease operating as a going concern

- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and determine whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Communication with those charged with governance

I communicate with the accounting authority regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide the accounting authority with a statement that I have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on my independence and, where applicable, actions taken to eliminate threats or safeguards applied.

Compliance with legislation - selected legislative requirements

The selected legislative requirements are as follows:

Legislation	Sections, regulations or paragraph
Public Finance Management Act 1 of 1999	Section 51 (1)(b)(i); 51 (1)(b)(ii); 51 (1)(e)(iii); 53(4); 54(2)(c); 54(2)(d); 55(1)(a); 55(1)(b); 55(1)(c)(i); 56; 57(b); 66(3)(c); 66(5)
Treasury Regulations, 2005	Regulation 16A3.2; 16A3.2(a); 16A6.1; 16A6.2(a); 16A6.2(b); 16A6.3(a); 16A6.3(a); 16A6.3(b); 16A6.3(c); 16A6.3(e); 16A6.4; 16A6.5; 16A6.6; 16A.7.1; 16A.7.3; 16A.7.6; 16A8.3; 16A8.4; 16A9.1(b)(ii); 16A 9.1(d); 16A9.1(e); 16A9.1(f); 16A9.2; 16A9.2(a)(ii); 30.1.1; 31.1.2(c); 30.1.3(a); 30.1.3(b); 30.1.3(d); 30.2.1; 31.2.1; 31.2.5; 31.2.7(a); 31.3.3; 32.1.1(a); 32.1.1(b); 32.1.1(c); 33.1.1; 33.1.3
Companies Act 71 of 2008	Section 45(2); 45(3)(a)(ii); 45(3)(b)(i); 45(3)(b)(ii); 45(4); 46(1)(a); 46(1)(b); 46(1)(c); 112(2)(a); 129(7)
Construction Industry Development Board Act 38 of 2000	Section 18(1)
Construction Industry Development Board Regulations, 2004	Regulation 17; 25(7A)
National Treasury Instruction No. 5 of 2020/21	Paragraph 4.8; 4.9; 5.3
Second Amendment National Treasury Instruction No. 5 of 2020/21	Paragraph 1
National Treasury Instruction No. 1 of 2021/22	Paragraph 4.1
National Treasury Instruction No. 4 of 2015/16	Paragraph 3.4
National Treasury SCM Instruction No. 4A of 2016/17	Paragraph 6
National Instruction No. 4 of 2015/16	Paragraph 3.4
National Treasury SCM Instruction No. 4A of 2016/17	Paragraph 6
National Treasury SCM Instruction No. 3 of 2021/22	Paragraph 4.1; 4.2(b); 4.3; 4.4; 4.4(a); 4.17; 7.2; 7.6
National Treasury SCM Instruction No. 11 of 2020/21	Paragraph 3.4(a); 3.4(b); 3.9
National Treasury SCM Instruction No. 2 of 2021/22	Paragraph 3.2.1; 3.2.4; 3.2.4(a); 3.3.1
National Treasury Practice Note 5 of 2009/10	Paragraph 3.3
National Treasury Practice Note 7 of 2009/10	Paragraph 4.1.2
Preferential Procurement Policy Framework Act 5 of 2000	Section 1; 2.1(a); 2.1(f)
Preferential Procurement Regulations, 2022	Regulation 4.1; 4.2; 4.3; 4.4; 5.1; 5.2; 5.3; 5.4
Preferential Procurement Regulations, 2017	Regulation 4.1; 4.2; 5.1; 5.3; 5.6; 5. 7; 6.1; 6.2; 6.3; 6.6; 6.8; 7.1; 7.2; 7.3; 7.6; 7.8; 8.2; 8.5; 9.1; 10.1; 10.2; 11.1; 11.2
Prevention and Combating of Corrupt Activities Act 12 of 2004	Section 34(1)

Six Months Annual Financial Statement for the period ended 30 September 2024

Statement of Responsibility

The National Small Enterprise Amendment Act, 2024 establish a new entity, the Small Enterprise Development Finance Agency (SEDFA), on 1 October 2024 which incorporates the Small Enterprise Finance Agency (SEFA), the Small Enterprise Development Agency (SEDA) and the Co-operative Banks Development Agency (CBDA). On 1st December 2024, the CBDA through the proclamation of the Act was delisted with the Board being dissolved. All accountability and responsibility in terms of the PFMA would pass to SEDFA.

The SEDFA Board is required by the Public Finance Management Act, 1999 (Act No 1 of 1999) (PFMA), to maintain adequate accounting records and is responsible for the content and integrity of the six months annual financial statements and related financial information included in this report. It is the responsibility of the SEDFA Board to ensure that the six months annual financial statements fairly present the state of affairs of the CBDA as at the end period proclaimed by the Act and the results of its operations and cash flows for the period then ended. The Auditor - General is engaged to express an independent opinion on the six months annual financial statements and was given unrestricted access to all financial records and related data.

The six months annual financial statements have been prepared in accordance with Standards of Generally Recognised Accounting Practice (GRAP) including any interpretations, guidelines and directives issued by the Accounting Standards Board. The six months annual financial statements are based on appropriate accounting policies consistently applied and supported by reasonable and prudent judgments and estimates.

The SEDFA Board acknowledges that it is responsible for the system of internal financial control established by the CBDA management and place considerable importance on maintaining a strong control environment. To enable the SEDFA Board to meet these responsibilities, management sets standards for internal control aimed at reducing the risk of error or misstatement in a cost-effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the CBDA and all employees are required to maintain the highest ethical standards in ensuring the CBDA's business is conducted in a manner that is above reproach in all reasonable

circumstances. The focus of risk management in the CBDA is on identifying, assessing, managing and monitoring all known forms of risk across the CBDA's environment. While operating risk cannot be fully eliminated, the CBDA endeavours to minimise it by ensuring that appropriate controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The SEDFA Board is of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the six months annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or errors.

The financial statements are prepared on the basis of a going concern since the function of the CBDA would be transferred to SEDFA in terms of National Small Enterprise Amendment Act (NSEAA) signed by law by the president of South Africa, Mr Ramaphosa on the 23th of July 2024. The Minister has determine the effective date of 1st October 2024 for the merger and the de-listing of CBDA being 1st December 2024.

In discharging its oversight responsibilities, the SEDFA Board is supported by the SEDFA Audit Committees.

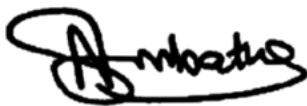
The annual financial statements set out on page 235 to 268 which have been prepared on the going concern basis, were approved by the SEDFA Board on 28 July 2025 and were signed on its behalf by:



N Makanda

Chairperson

Date: 30 July 2025



N Mbatha

Acting Chief Executive Officer

Date: 31 July 2025

Six Months Annual Financial Statement as at 30 September 2024

Statement of Financial Position

	Note(s)	2025 R'000	2024 R'000
Assets			
Current Assets			
Prepayments	4	5	11
Accounts receivable	5	-	12
Cash and cash equivalents	6	15,909	15,772
		15,914	15,795
Non-Current Assets			
Property, plant and equipment	7	297	108
Intangible assets	8	10	4
		307	112
Total Assets		16,221	15,907
Liabilities			
Current Liabilities			
Payables	9	2,456	1,237
Grants	10	-	608
Provision	11	356	376
Total liabilities		2,812	2,221
Net Assets		13,409	13,686
Reserves			
Stabilisation Fund	12	2,740	2,630
Accumulated surplus/ (deficit)		10,669	11,056
TOTAL NET ASSETS		13,409	13,686

Statement of Financial Performance

	Note(s)	2025 R'000	2024 R'000
Revenue			
Revenue from exchange transactions	13		
Interest received		700	1,472
Other income		152	136
		852	1,608
Revenue from non-exchange transactions	13		
Transfers		8,426	20,911
Service in kind		2,849	3,319
Grants		608	1,002
		11,883	25,232
TOTAL REVENUE		12,735	26,840
Expenditure			
Employee cost	14	(6,400)	(11,263)
Depreciation	7	(32)	(65)
Amortisation	8	(5)	(9)
Operating lease	15	(23)	(23)
Goods and services	16	(6,552)	(11,915)
TOTAL EXPENDITURE FROM CONTINUED OPERATIONS		(13,012)	(23,275)
SURPLUS/ (DEFICIT)		(277)	3,565

Statement of Changes in Net Assets

	Note(s)	Stabilisation fund R'000	Accumulated surplus/ (deficit) R'000	Total net assets R'000
Balance at 31 March 2023		2,424	8,619	11,043
Changes in net assets				
Surplus for the year		-	3,565	3,565
Transfer to reserves		206	(206)	-
Surrender of surplus funds for 2022/23	17	-	(922)	(922)
Total changes		206	2,437	2,643
Balance at 31 March 2024		2,630	11,056	13,686
Changes in net assets				
Deficit for the year		-	(277)	(277)
Transfer to reserves		110	(110)	-
Total changes		110	(387)	(277)
Balance at 30 September 2024		2,740	10,669	13,409

Note 12

Cash Flow Statement

	Note(s)	2025 R'000	2024 R'000
Cash flows from operating activities			
Receipts			
Transfer		8,426	20,911
Interest received		700	1,472
Other income		170	123
		9,296	22,506
Payments			
Employee costs		(6,341)	(11,263)
Suppliers		(2,586)	(13,741)
Surrender of surplus funds from transfers		-	(922)
		(8,927)	(25,926)
Net cash flows from operating activities	18	369	(3,420)
Cash flows from investing activities			
Purchase of intangible assets	8	(11)	(10)
Purchase of property, plant and equipment		(221)	-
Net cash flows from investing activities		(232)	(10)
Net increase/(decrease) in cash and cash equivalents		137	(3,430)
Cash and cash equivalents at the beginning of the year		15,772	19,202
Cash and cash equivalents at the end of period		15,909	15,772

Six Months Annual Financial Statement for the period ended 30 September 2024

Statement of Comparison of Budget and Actual Amounts

	Approved annual budget R'000	*Pro-rated budget (6 months) R'000	Actual amounts on comparable basis (6 months) R'000	Difference between budget and actual (6 months) R'000	Reference
Statement of Financial Performance					
Revenue from exchange transactions					
Interest received	500	250	700	(450)	1
Other income	-	-	152	(152)	2
Total	500	250	852	(602)	
Revenue from non-exchange transactions					
Transfer	16,850	8,425	8,426	(1)	
Service in kind	3,615	1,808	2,849	(1,042)	3
Grants	-	-	608	(608)	4
Total	20,465	10,233	11,883	(1,651)	
Total revenue	20,965	10,483	12,735	(2,253)	
Expenditure					
Employee cost	(12,209)	(6,105)	(6,400)	296	5
Advertising	-	-	(11)	11	
Amortisation	(11)	(6)	(5)	(1)	
Auditors remuneration	(950)	(475)	(985)	510	6
Bank charges	(25)	(13)	(8)	(5)	
Board fees	(913)	(457)	(213)	(244)	
Catering	(4)	(2)	(55)	53	7
Communication Cost	(183)	(92)	(71)	(21)	
Consulting and professional fees	(2,855)	(1,428)	(2,954)	1,527	3
Depreciation	(89)	(45)	(32)	(13)	
Legal fees	(100)	(50)	-	(50)	
Operating lease	(40)	(20)	(23)	3	
Printing and stationery	(44)	(22)	(4)	(18)	
Rental and facilities	(1,200)	(600)	(717)	117	3
Rental of office furniture and equipment	(310)	(155)	(152)	(3)	
Software expenses	(12)	(6)	(6)	-	
Staff welfare	(11)	(6)	-	(6)	
Training and development	(200)	(100)	-	(100)	
Travel and subsistence	(1,609)	(805)	(1,243)	439	8
Venue and facilities	(50)	(25)	(133)	108	9
Total expenditure	(20,815)	(10,408)	(13,012)	2,605	
Surplus/(Deficit) before capital expense and interest	150	75	(277)	352	
Capital assets	(150)	(75)	(221)	146	10
Surplus/ (Deficit) for the period	-	-	(498)	498	

Six Months Annual Financial Statement for the period ended 30 September 2024

Statement of Comparison of Budget and Actual Amounts

Reference Notes

*The annual approved budget was pro-rated to cover a six-month period, reflecting the merger of CBDA into the new entity effective 1 October 2024.

- 1 Underspending from the retained surplus funds of 2022/23 and 2023/24 is attributable to increased interest earned during the periods
- 2 Other income includes unclaimed funds retained after unsuccessful reimbursement attempts to co-operative banking institutions. These funds were originally collected as registration fees and contributions toward a banking platform project initiated over five years ago, from institutions that are now deregistered or non-existent.
- 3 Service in kind is a non-cash items representing increased costs due to the maintenance and upgrade of core ICT infrastructure undertaken by National Treasury. These costs were unforeseen and were not adequately budgeted for.
- 4 Grant funds received from BANKSETA were not budgeted due to a planning oversight.
- 5 Employee costs increased as a result of provisions for bonuses and accrued leave made during the finalization of CBDA’s accounting records, consistent with the merger process.
- 6 Overspending on audit fees occurred due to the pro-rating of the annual budget following the merger, combined with an insufficient budget allocation resulting from fiscal constraints.
- 7 Catering costs arose from in-house training for co-operative banking institutions at National Treasury premises. These costs are typically included in the venue and facilities budget for off-site training; however, this period’s budget was not sufficiently allocated due to budget cuts. Savings from other line items were utilized to cover these costs.
- 8 Travel and subsistence expenses exceeded the budget due to additional activities carried out during the period, resulting in overachievement of targets.
- 9 Venue and facilities overspent was due to under-budgeting for on-site training. Funds committed from approved retained surplus of 2022/23 were used to cover these planned activities.
- 10 Overspending related to this acquisition was accommodated through the approved retained surplus funds from the 2023/24 financial period.

The deficit resulting from overspending in specific line items was resolved through savings, underspending in other budget items, and the use of approved surplus retained funds provided by National Treasury for the 2023/24 financial year.

Accounting Policies

1. BASIS OF PRESENTATION

The financial statements have been prepared in accordance with the Standards of Generally Recognised Accounting Practice (GRAP) and the Public Finance Management Act, 1999 (Act No 1 of 1999) (PFMA), as amended. Compliance with these frameworks ensures the reliability, comparability, and transparency of the financial reporting.

The financial statements have been prepared on an accrual basis of accounting, reflecting transactions when they occur rather than when cash is received or paid.

The financial statements are presented in South African Rand (ZAR), the functional currency of the entity, with all amounts disclosed in thousands of Rand (R'000). These financial statements cover a six-month reporting period, due to the closure of the CBDA and its merger into a new company effective 1 October 2024.

A summary of the significant accounting policies, consistently applied in the preparation of these financial statements, is outlined below:

1.1 Going concern assumption

The CBDA ceased operations and was merged into a new company as of 1 October 2024. This unique circumstance has been reflected in the six-month financial reporting period. See note 28.1

The proclamation of the Act, s10(1) (5) of Chapter 3 state that all assets, liabilities, rights and obligations of the Seda, sefa and Co-Operatives Bank Development Agency, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to the Agency SEDFA on 1 October 2024. Post the merger, the functions of CBDA will continue under SEDFA, which will have the same mandate and functions as CBDA.

1.2 Property, plant and equipment

Property, plant and equipment are tangible non-current assets that are held for use in the rendering of services or for administrative purposes. They are expected to be used during more than one period.

The cost of an item of property, plant and equipment is recognised as an asset when:

- it is probable that future economic benefits or service potential associated with the item will flow to the entity and
- the cost of the item can be measured reliably.

Property, plant and equipment is initially measured at cost.

The cost of an item of property, plant and equipment is the purchase price and other costs attributable to bring the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Trade discounts and rebates are deducted in arriving at the cost.

Where an asset is acquired through a non-exchange transaction, its cost is its fair value as at date of acquisition.

Where an item of property, plant and equipment is acquired in exchange for a non-monetary asset or monetary assets, or a combination of monetary and non-monetary assets, the asset acquired is initially measured at fair value (the cost). If the acquired item's fair value was not determinable, it's deemed cost is the carrying amount of the asset(s) given up.

Six Months Annual Financial Statement for the period ended 30 September 2024

Accounting Policies

When significant components of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Items of property, plant and equipment are depreciated on the straight-line basis over their expected useful lives to their estimated residual value. They are carried at cost less accumulated depreciation and any impairment losses.

The useful lives of items of property, plant and equipment have been assessed as follows:

Item	Depreciation method	Average useful life
Office equipment	Straight line	5-8 years
Computer equipment	Straight line	3-5 years

The depreciation charge for each period is recognised in surplus or deficit unless it is included in the carrying amount of another asset.

Items of property, plant and equipment are derecognised when the asset is disposed of or when there are no further economic benefits or service potential expected from the use of the asset.

The gain or loss arising from the derecognition of an item of property, plant and equipment is included in surplus or deficit when the item is derecognised. The gain or loss arising from the derecognition of an item of property, plant and equipment is determined as the difference between the net disposal proceeds, if any, and the carrying amount of the item.

1.3 Intangible assets

An intangible asset is recognised when:

- (a) it is probable that the expected future economic benefits or service potential that are attributable to the asset will flow to the entity; and
- (b) the cost or fair value of the asset can be measured reliably.

The CBDA assesses the probability of expected future economic benefits or service potential using reasonable and supportable assumptions. These represent management’s best estimate of the set of economic conditions that will exist over the useful life of the asset.

Where an intangible asset is acquired through a non-exchange transaction, its initial cost at the date of acquisition is measured at its fair value as at that date.

Expenditure on research (or on the research phase of an internal project) is recognised as an expense when it is incurred.

An intangible asset arising from development (or from the development phase of an internal project) is recognised when:

- (a) it is technically feasible to complete the asset so that it will be available for use or sale.
- (b) there is an intention to complete and use or sell it.
- (c) there is an ability to use or sell it.
- (d) it will generate probable future economic benefits or service potential.
- (e) there are available technical, financial and other resources to complete the development and to use or sell the asset.
- (f) the expenditure attributable to the asset during its development can be measured reliably.

Six Months Annual Financial Statement for the period ended 30 September 2024

Accounting Policies

Intangible assets are carried at cost less any accumulated amortisation and any impairment losses.

An intangible asset is regarded as having an indefinite useful life when, based on all relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate net cash inflows or service potential. Amortisation is not provided for these intangible assets, but they are tested for impairment and whenever there is an indication that the asset may be impaired. For all other intangible assets amortisation is provided on a straight- line basis over their useful life.

The amortisation period and the amortisation method for intangible assets are reviewed at each reporting date.

Amortisation is provided to write down the intangible assets, on a straight-line basis, to their residual values as follows:

Item	Amortisation method	Average useful life
Licenses	Straight line	1 year
Computer software	Straight line	3 years

1.4 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or a residual interest of another entity.

The CBDA measures a financial assets and financial liability initially at its fair value plus transaction cost that are directly attributable to the acquisition or issue of the financial asset or financial liability. After initial recognition, these instruments are measured as set out below.

1.4.1 Cash and cash equivalents

Cash and cash equivalents comprises cash at bank, petty cash and deposit held in call and are stated at their fair value due to their short-term nature.

1.4.2 Trade and other receivables

Receivables are categorised as financial assets. These includes trade and other receivables from exchange and non-exchange transactions. Receivables are subsequently measured at amortised cost using the effective interest rate method.

The carrying amount of the asset is reduced using an allowance account, and the amount of the loss is recognised in the statement of financial performance within operating expenses. When a trade receivable is uncollectable, it is written off as bad debt in the statement of performance. Subsequent recoveries of amounts previously written off are credited against operating expenses in the statement of financial performance.

Accounting Policies

1.4.3 Trade and other payables

The financial liabilities consist of trade payables, which are subsequently measured at amortised cost using the effective interest rate method. This is the initial carrying amount less payment plus interest.

1.4.4 Foreign currency transactions

Transactions in foreign currencies are accounted for at the rate of exchange ruling on the date of the transaction. Liabilities in foreign currencies are translated at the rate of exchange ruling at the reporting date or at the forward rate determined in forward exchange contracts. Exchange differences arising from translations are recognised in the statement of performance in the period in which they occur.

1.4.5 Statutory receivable

Statutory receivables are receivables that arise from legislation, supporting regulations, or similar means, and require settlement by another entity in cash or another financial asset.

Carrying amount is the amount at which an asset is recognised in the statement of financial position.

The cost method is the method used to account for statutory receivables that requires such receivables to be measured at their transaction amount, plus any accrued interest or other charges (where applicable) and, less any accumulated impairment losses and any amounts derecognised.

Nominal interest rate is the interest rate and/or basis specified in legislation, supporting regulations or similar means.

For purposes of this Standard, the transaction amount for a statutory receivable means the amount specified in, calculated at, levied or charged in accordance with, legislation, supporting regulations, or similar means.

1.5 Tax

The CBDA is exempted from income tax in terms of section 10 (1) of the Income Tax Act, 1962 (Act No.58 of 1962).

1.6 Leases

A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership. A lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership.

Operating leases – lessee

Operating lease payments are recognised as an expense on a straight-line basis over the lease term. The difference between the amounts recognised as an expense and the contractual payments are recognised as an operating lease asset or liability.

Cash-generating assets are assets used with the objective of generating a commercial return. Commercial return means that positive cash flows are expected to be significantly higher than the cost of the asset.

Accounting Policies

Impairment is a loss in the future economic benefits or service potential of an asset, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation (amortisation).

Carrying amount is the amount at which an asset is recognised in the statement of financial position after deducting any accumulated depreciation and accumulated impairment losses thereon.

A cash-generating unit is the smallest identifiable group of assets used with the objective of generating a commercial return that generates cash inflows from continuing use that are largely independent of the cash inflows from other assets or groups of assets.

Costs of disposal are incremental costs directly attributable to the disposal of an asset, excluding finance costs and income tax expense.

Depreciation (Amortisation) is the systematic allocation of the depreciable amount of an asset over its useful life.

Fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

Recoverable amount of an asset or a cash-generating unit is the higher its fair value less costs to sell and its value in use.

Useful life is either:

- the period of time over which an asset is expected to be used by the CBDA; or
- the number of production or similar units expected to be obtained from the asset by the CBDA.

Judgements made by management in applying the criteria to designate assets as cash-generating assets or non-cash-generating assets, are as follows:

1.7 Impairment of non-cash-generating assets

Cash-generating assets are assets used with the objective of generating a commercial return. Commercial return means that positive cash flows are expected to be significantly higher than the cost of the asset.

Non-cash-generating assets are assets other than cash-generating assets.

Identification

When the carrying amount of a non-cash-generating asset exceeds its recoverable service amount, it is impaired.

At each reporting date, the CBDA assesses whether there is any indication that a non-cash-generating asset may be impaired. If any such indication exists, the CBDA estimates the recoverable service amount of the asset.

Irrespective of whether there is any indication of impairment, the entity also test a non-cash-generating intangible asset with an indefinite useful life or a non-cash-generating intangible asset not yet available for use for impairment thirdly by comparing its carrying amount with its recoverable service amount. This impairment test is performed at the same time every year. If an intangible asset was initially recognised during the reporting period, that intangible asset was tested for impairment before the end of the reporting period.

Accounting Policies

Recognition and measurement

If the recoverable service amount of a non-cash-generating asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable service amount. This reduction is an impairment loss.

An impairment loss is recognised immediately in statement of financial performance.

When the amount estimated for an impairment loss is greater than the carrying amount of the non-cash-generating asset to which it relates, the CBDA recognises a liability only to the extent that is a Standards of GRAP requirement.

After the recognition of an impairment loss, the depreciation (amortisation) charge for the non-cash-generating asset is adjusted in future periods to allocate the non-cash-generating asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

1.8 Employee benefits Short-term

Employee benefits

Short-term employee benefits are employee benefits (other than termination benefits) that are due to be settled within twelve months after the end of the period in which the employees render the related service.

Short-term employee benefits include items such as:

- wages and salaries;
- paid annual leave and paid sick leave where the compensation for the absences is due to be settled within twelve months after the end of the reporting period in which the employees render the related employee service; and
- bonus, incentive and performance related payments payable within twelve months after the end of the reporting period in which the employees render the related service.

The CBDA recognise the expected cost of bonus, incentive and performance related payments when the entity has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made. A present obligation exists when the entity has no realistic alternative but to make the payments.

1.9 Provisions and contingencies

Provisions are recognised when:

- the CBDA has a present obligation as a result of a past event;
- it is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation; and
- a reliable estimate can be made of the obligation.

The amount of a provision is the best estimate of the expenditure expected to be required to settle the present obligation at the reporting date.

Accounting Policies

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Provisions are reversed if it is no longer probable that an outflow of resources embodying economic benefits or service potential will be required, to settle the obligation.

A provision is used only for expenditures for which the provision was originally recognised. Provisions are not recognised for future operating surplus.

If an entity has a contract that is onerous, the present obligation (net of recoveries) under the contract is recognised and measured as a provision.

Contingent assets and contingent liabilities are not recognised, but are disclosed.

1.10 Commitments

Items are classified as commitments when CBDA has committed itself to future transactions that will normally result in the outflow of cash.

Commitments for which disclosure is necessary to achieve a fair presentation are disclosed in a note to the financial statements, if both the following criteria are met:

- Contracts should be non-cancellable or only cancellable at significant cost; and
- Contracts should relate to something other than the routine, operation of business

1.11 Revenue from exchange transactions

An exchange transaction is one in which the CBDA receives assets or services, or has liabilities extinguished, and directly gives approximately equal value (primarily in the form of goods, services or use of assets) to the other party in exchange.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and volume rebates.

Rendering of services

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognised by reference to the stage of completion of the transaction at the reporting date. The outcome of a transaction can be estimated reliably when all the following conditions are satisfied:

- the amount of revenue can be measured reliably;
- it is probable that the economic benefits or service potential associated with the transaction will flow to the entity;
- the stage of completion of the transaction at the reporting date can be measured reliably; and
- the costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

Services arise from the application of the approved tariff of charges is recognised when the relevant service is rendered by applying the relevant gazetted tariff. This includes registration of support and representative organisations in the financial co-operative sector.

Accounting Policies

Interest income

Revenue is recognised as interest accrued using the effective interest rate, and is included under exchange revenue in the statement of financial performance.

Other income

Revenue is recognised as other income when an agreement or obligation exist which is not part of normal business operations.

1.12 Revenue from non-exchange transactions

Non-exchange transactions are transactions that are not exchange transactions. In a non-exchange transaction, the CBDA either receives value from another entity without directly giving approximately equal value in exchange, or gives value to another entity without directly receiving approximately equal value in exchange.

Transfers

Apart from services in kind, which are not recognised, the entity recognises an asset in respect of transfers when the transferred resources meet the definition of an asset and satisfy the criteria for recognition as an asset.

The CBDA recognises an asset in respect of transfers when the transferred resources meet the definition of an asset and satisfy the criteria for recognition as an asset.

Transferred assets are measured at their fair value as at the date of acquisition.

Services in-kind

Except for financial guarantee contracts, the CBDA recognise services in-kind that are significant to its operations and/or service delivery objectives as assets and recognise the related revenue when it is probable that the future economic benefits or service potential will flow to the entity and the fair value of the assets can be measured reliably.

Where services in-kind are not significant to the CBDA's operations and/or service delivery objectives and/or do not satisfy the criteria for recognition, the CBDA discloses the nature and type of services in-kind received during the reporting period.

Grants

Grants are recognised when the definition of an asset is met and the recognition criteria of an asset is satisfied. Stipulation on grants are a binding arrangement imposed on the use of a transferred asset by entities external to the CBDA. Stipulation can either be in the form of conditions or in the form of restriction.

Grants are recognised as revenue, except to the extent that the liability is also recognised if the grant is conditional. As the CBDA satisfies a present obligation recognised as a liability in respect of an inflow of resources from grants recognised as an asset, it reduces the carrying amount of the liability recognised and recognise an amount of revenue equal to that reduction. A liability will be recognised to the extend

Accounting Policies

that the conditions have not been met, and will reduce as the conditions are satisfied with a corresponding increase in revenue. Grants that have satisfied all the present obligations in terms of a binding agreement are recognised as revenue as there is no obligation to repay the amount unspent.

1.13 Changes in estimates and prior period errors

Change in estimates

As a result of the uncertainties inherent in delivering services, many items in financial statements cannot be measured with precision but can only be estimated. Estimates involve judgment based on recently available, reliable information and therefore an estimate may change as new information becomes known, circumstances change, or more experience is obtained.

The CBDA recognises the effects of changes in accounting estimates prospectively, by including the effects in surplus or deficit in the period of the change, if the change affects that period only, in the period of the change and future periods, if the change affects both.

Prior period error

Prior period errors are omissions from and misstatements in the entity's financial statements for one or more prior period. These errors arise from a failure to use (or misuse of) reliable information that was available when the financial statements for those periods were authorised for issue and could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements. Such errors include the effect of mistakes in applying the accounting policy, oversight or misinterpretation of facts.

1.14 Fruitless and wasteful expenditure

Fruitless expenditure means expenditure which was made in vain and could have been avoided had reasonable care been exercised.

All expenditure relating to fruitless and wasteful expenditure is recognised as an expense in the statement of financial performance in the year that the expenditure was incurred. When an investigation determines, a receivable will be recognised against an employee who has been found to have incurred the fruitless and wasteful expenditure. In instances where a receivable is raised against an employee and the amount is irrecoverable, the Accounting Authority may write off the debt.

1.15 Irregular expenditure

Irregular expenditure as defined in section 1 of the PFMA is expenditure other than unauthorised expenditure, incurred in contravention of or that is not in accordance with a requirement of any applicable legislation, including -

- (a) this Act; or
- (b) the State Tender Board Act, 1968 (Act No. 86 of 1968), or any regulations made in terms of the Act; or
- (c) any provincial legislation providing for procurement procedures in that provincial government.

National Treasury instruction note 2 of 2019/20 which was issued in terms of sections 76(2) (e) and 76(4) (a) of the PFMA give legal effect to the irregular expenditure framework requires the following (effective from 1 December 2018):

When confirmed, irregular expenditure will be recorded in the notes to the financial statements. The amount to be recorded in the notes is equal to the value of the irregular expenditure incurred.

Accounting Policies

Irregular expenditure will be removed from the notes when it is either condoned by the relevant authority or when it is transferred to receivables for recovery.

1.16 Budget information

CBDA is typically subject to budgetary limits in the form of appropriations or budget authorisation (or equivalent), which is given effect through authorising legislation, appropriation or similar.

General purpose financial reporting by CBDA shall provide information on whether resources were obtained and used in accordance with the legally adopted budget.

The approved budget is prepared on an accrual basis and presented by economic classification linked to performance outcome objectives.

The approved budget covers the fiscal period from 4/1/2024 to 3/31/2025.

The annual financial statements and the budget are on the same basis of accounting. A comparison with the budgeted amounts for the reporting period has therefore been included in the Statement of comparison of budget and actual amounts.

1.17 Related parties

CBDA, as a schedule 3A Public Entity, under Public Finance Management Act (PFMA), operates in an economic sector currently dominated by entities directly or indirectly owned by the South African Government. As a consequence of the constitutional independence of the three spheres of government in South Africa, only entities within the national sphere of government are considered to be related parties. Key management are those persons responsible for planning, directing and controlling the activities of the entity, including those charged with the governance of the entity in accordance with legislation, in instances where they are required to perform such functions.

1.18 Events after reporting date

Events after reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue. Two types of events can be identified:

- those that provide evidence of conditions that existed at the reporting date (adjusting events after the reporting date); and
- those that are indicative of conditions that arose after the reporting date (non-adjusting events after the reporting date).

The CBDA will adjust the amount recognised in the financial statements to reflect adjusting events after the reporting date once the event has occurred.

The CBDA will disclose the nature of the event and an estimate of its financial effect or a statement that such estimate cannot be made in respect of all material non-adjusting events, where non-disclosure could influence the economic decisions of users taken on the basis of the financial statements.

Accounting Policies

1.19 Change in accounting policy

The accounting policy has been applied consistently. The CBDA will change the accounting policy if the change results in the financial statements providing liable and more relevant information about the effects on transactions, other events or conditions on the performance or cash flow.

1.20 Comparative figures

When the presentation or classification of items in the annual financial statements is amended, prior period comparative amounts are restated, and the nature and reason for the reclassification are disclosed. Where material accounting errors have been identified in the current financial year, the correction is made retrospectively as far as is practicable, and the prior year comparatives are restated accordingly. Where there has been a change in the accounting policy in the current financial year, the adjustment is made retrospectively as far as is practicable, and the prior year comparatives are restated accordingly.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

2. PERIOD OF REPORTING

The financial statements cover the period from 1 April 2024 to 30 September 2024, reflecting six months of operations due to the merger of the CBDA into the new entity, effective 1 October 2024.

The CBDA's financial year-end was historically set at 31 March. However, due to the cessation of the entity on 1 December 2024, and the transfer of all assets and liabilities to the new entity on 1 October 2024, the final financial statements have been prepared as at the cessation date.

Comparative figures for the period ending 31 March 2024 represent a full financial year of operations, while the current period's financial statements reflect six months of activities up to 30 September 2024.

3. NEW STANDARDS AND INTERPRETATIONS

3.1 Standards and interpretations issued, but not yet effective

The below standard of GRAP have been issued by the Accounting Standard Board (ASB) but will only be effective in the future period or have not been given an effective date by the Minister of Finance. The CBDA has not early adopted the standard.

Standard/Interpretation:	Effective date: Year beginning on or after	Expected impact
Amendments to GRAP 1	01 April 2025	May have an impact on future financial statements
Improvement to Standard of GRAP	01 April 2023	
Amended GRAP 104 on Financial instruments	01 April 2025	
GRAP 4 The effects of changes in Foreign exchange rates	01 April 2025	
Amended GRAP 25 on Employee benefits	No effective date issued.	
IGRAP 7 on The limit on a defined benefit asset, minimum funding requirements and their interaction (revised)	No effective date issued.	
IGRAP 21 on the effect of past decisions on materiality	No effective date issued.	
GRAP 106 on Transfer of function between entities not under common control	No effective date issued.	
GRAP 107 on Mergers	No effective date issued.	
Guideline on Accounting for landfill sites	No effective date issued.	N/A
GRAP 103 Heritage Assets	No effective date issued.	
GRAP 105 on Transfer of function between entities under common control	No effective date issued.	

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

4. PREPAYMENTS

	2025 R'000	2024 R'000
Prepaid expense	5	11

5. ACCOUNTS RECEIVABLE

	2025 R'000	2024 R'000
Staff Loan	-	12

6. CASH AND CASH EQUIVALENTS

	2025 R'000	2024 R'000
Cash and cash equivalents consist of:		
FNB Petty cash bank account and on hand	2	2
FNB Bank balances	4,865	5,171
CPD Investment account	8,302	7,968
CPD Investment account - Stabilisation Fund	2,740	2,631
	15,909	15,772

Cash and cash equivalent consist of four (4) banks accounts, namely two (2) in First National Bank (FNB) and two (2) in Corporation for Public Deposit (CPD) at the South African Reserve Bank (SARB).

Cash in the CPD investment account for Stabilisation fund is restricted to be used only to protect the deposits of members in CFIs and provide assistance in the form of grants, loans, liquidity assistance

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

7. PROPERTY, PLANT AND EQUIPMENT

	2025 R'000			2024 R'000		
	Cost / Valuation	Accumulated depreciation and accumulated impairment	Carrying value	Cost / Valuation	Accumulated depreciation and accumulated impairment	Carrying value
Office equipment & furniture	56	(55)	1	56	(54)	2
Computer equipment	940	(644)	296	719	(613)	106
Total	996	(699)	297	775	(667)	108

Reconciliation of property, plant and equipment – 2025

	2025 R'000			
	Opening balance	Additions	Depreciation	Total
Office equipment & furniture	2	-	(1)	1
Computer equipment	106	221	(31)	296
	108	221	(32)	297

Reconciliation of property, plant and equipment – 2024

	2024 R'000		
	Opening balance	Depreciation	Total
Office equipment & furniture	5	(3)	2
Computer equipment	168	(62)	106
	173	(65)	108

Computer equipment’s useful life was re-assessed from 3 years to 5 years for the period.
Fully depreciated computer equipment, classified as pool assets, was written off from the asset register at its cost.

Notes to the Financial Statements

8. INTANGIBLE ASSETS

	2025 R'000			2024 R'000		
	Cost / Valuation	Accumulated amortisation and accumulated impairment	Carrying value	Cost / Valuation	Accumulated amortisation and accumulated impairment	Carrying value
Licences	21	(11)	10	19	(15)	4
Total	21	(11)	10	19	(15)	4

The fully amortised annual license, valued at R9,000, was written off from the register at its cost.

Reconciliation of intangible assets – 2025

	2025 R'000			
	Opening balance	Additions	Amortisation	Total
Licences	4	11	(5)	10
	4	11	(5)	10

Additions is for one year annual licence renewal for Pastel accounting system effective from 1st September 2024.

Reconciliation of intangible assets – 2024

	2024 R'000			
	Opening balance	Additions	Amortisation	Total
Licences	3	10	(9)	4
	3	10	(9)	4

Additions is for one year annual licence renewal for Pastel accounting system effective from 1st September 2023.

9. PAYABLES

	2025 R'000	2024 R'000
Trade payables	504	333
Accruals	352	387
Leave accrual	585	506
National Treasury	998	-
Salary control account	10	9
Refund to CFIs for application	-	2
Income received in advance	7	0
	2,456	1,237

Payables are outstanding amounts due to suppliers, income received in advance for Indaba registration fees and National Treasury reimbursement for payments made on CBDA behalf.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

10. GRANTS

	2025 R'000				
	Opening Balance	Funds Paid	Interest Received	Revenue Recognised	Closing Balance
BANKSETA	608	-	-	(608)	-
	608	-	-	(608)	-

Funds used for services rendered by two (2) service provides for mentorship and coaching of two(2) CFIs which was concluded with the balance of the funds for training in terms of contract signed.

	2024 R'000				
	Opening Balance	Funds Paid	Interest Received	Revenue Recognised	Closing Balance
BANKSETA	1,610	-	-	(1,002)	608
Department of Agriculture, Land Reform and Rural Development (DALRRD)	4,775	(4,852)	77	-	-
	6,385	(4,852)	77	(1,002)	608

BANKSETA funds were used for conducting training to Eastern Cape Department of Economic Development, training at the December 2023 Indaba for treasury management and product development and mentorship and coaching of two(2) CBIs.

DALRRD funds was returned to the department due to lack of communication on a project plan for implementation.

11. PROVISIONS

Reconciliation of provisions	2025 R'000			
	Opening Balance	Additional provision	Utilised during the year	Total
Bonus provision	376	356	(376)	356

The performance bonus for the 2023/24 year was approved by the Board and paid in August 2024 . Additional provision made for the 2024/25 financial year for performance bonus due to merger closure of financial books.

Reconciliation of provisions	2024 R'000			
	Opening Balance	Additional provision	Utilised during the year	Total
Bonus provision	339	376	(339)	376

The performance bonus for the 2022/23 year was approved by the Board and paid in the month of August 2023.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

12. STABILISATION FUND RESERVE

	2025 R'000	2024 R'000
Opening balance	2,630	2,424
Interest on capital	110	206
	2,740	2,630

The Stabilisation fund was established to protect the deposits of members in CFIs and provide assistance in the form of grants, loans, liquidity assistance etc. Interest accumulated on the fund for the period ending 30 September 2024 of R110 000. (2024: 206 000) is capitalised.

13. REVENUE

The amount included in revenue arising from exchange transactions

	2025 R'000	2024 R'000
Interest received	700	1,472
Other income	152	136
	852	1,608

Other income relates to retaining contributions from CFIs for registration fees and contribution towards banking platform project which was unclaimed after five (5) years of payment.

The amount included in revenue arising from non- exchange transactions

	2025 R'000	2024 R'000
Transfers	8,426	20,911
Service in kind	2,849	3,319
Grants	608	1,002
	11,883	25,232

Service in Kind

Organisation	Type of service or goods	2025 R'000	2024 R'000
National Treasury	Consulting services	1,980	1,629
National Treasury	Rental of office furniture and equipment	152	305
National Treasury	Rental space, parking and municipality cost	717	1,385
		2,849	3,319

Notes to the Financial Statements

14. EMPLOYEE RELATED COSTS

	2025 R'000	2024 R'000
Basic salary	5,867	10,639
Performance Bonus	356	376
Long service award	7	34
UIF	17	34
Funeral policy	4	9
Group life benefit	51	84
Leave accrued expense	93	-
Leave paid	5	87
	6,400	11,263

15. LEASE RENTALS ON OPERATING LEASE

Office equipment

	2025 R'000	2024 R'000
Amounts paid	23	23

Lease agreement effective from 1 October 2023 to 30 September 2026.

16. GOODS AND SERVICES

	2025 R'000	2024 R'000
Auditors' remuneration	985	1,082
Advertising	11	59
Bank charges	8	18
Board fees	213	860
Communication costs	71	134
Consulting and professional fees	2,954	2,812
Catering	55	-
Legal fees	-	182
Printing and stationery	4	10
Rental and facilities	717	1,385
Rental of offices furniture	152	305
Software expenses	6	10
Subscription	-	11
Training & development	-	268
Travel and subsistence	1,243	3,454
Venue and facilities	133	1,325
	6,552	11,915

Notes to the Financial Statements

17. UNUSED TRANSFER FUNDS

	2025 R'000	2024 R'000
Cash and cash equivalent	15,909	15,772
Add: Receivables	5	11
Less: Stabilisation Fund	(2,740)	(2,630)
Less: Payables	(2,456)	(1,237)
Less: Provisions	(356)	(376)
Less: Project funds unused	-	(608)
	10,362	10,932

2025

Submission made to National Treasury on 30 August 2024 to request to retain surplus funds from the 2023/24 financial year for procurement of laptops, 2024 Indaba, 2nd phase implementation of sector strategy, merger activities for transition, digitisation and automation of core operations and training material updating, packaging and printing.

2024

National Treasury approved R9 935 million from the 2022/23 surplus funds to be used towards the stabilisation fund, Indaba 2023, digitisation, research, training materials and implementation of the co-operative banking strategy. An amount of R922 000 was surrendered to National Treasury in November 2023.

18. CASH GENERATED FROM OPERATIONS

	2025 R'000	2024 R'000
Surplus	(277)	3,565
Adjustments for:		
Depreciation and amortisation	37	74
Movement in provision	(20)	37
Changes in working capital:		
Prepayments	6	(1)
Receivables	12	(12)
Payables	1,219	(384)
Grants	(608)	(5,777)
Funds surrender to National Treasury	-	(922)
	369	(3,420)

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

19. AUDITORS' REMUNERATION

	2025 R'000	2024 R'000
Fees	985	1082

20. COMMITMENTS

Commitments are signed binding agreements between CBDA and service providers. Commitments are not recognised in the statement of financial position as a liability or as expenditure in the statement of performance until services are rendered or goods are received.

Approved and signed contracts

	Nature of service	2025 R'000	2024 R'000
Media Meme (Pty) Ltd	Editorial, design and layout	269	-
Audit and Risk Management Solution (Pty) Ltd (ARMS)	Review of financials	-	189
Princetop Corporate Training (Pty) Ltd	Training services	-	215
Favest Advisory (Pty) Ltd	Training services	-	268
		269	672

21. OPERATING LEASES

Minimum lease payments due

	2025 R'000	2024 R'000
- within one year	45	45
- more than one year less than five years	23	68
	68	113

The lease agreement is for the use of a photo copy machine which was concluded on 30 September 2023. The rental agreement is for a period of 36 months from 1 October 2023 to 30 September 2026 with fixed rental payment of 3 years.

Operating lease payments represent lease payable by the CBDA for office equipment. The leases obligation would be taken over by SEDFA effective from 1 October 2024.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

22. RELATED PARTIES

The CBDA functions within an economic sector predominantly influenced by entities owned, either directly or indirectly, by the South African government. Due to the constitutional independence of South Africa’s three spheres of government, only entities within the national sphere are regarded as related parties.

Relationships	
National Treasury	Executive Authority
BANKSETA	Public entity in National sphere
Government Printing Works	National government component reporting to National Department of Home Affairs

The CBDA is a schedule 3A National Public entity in terms of the PFMA (Act no. 1 of 1999 as amended) and therefore falls within the national sphere of government. Unless specifically disclosed, these transactions are concluded at arm’s length basis. There is no restrictions in the CBDA’s capacity to transact with any entity.

RELATED PARTY TRANSACTIONS

	2025 R'000	2024 R'000
Services rendered		
BANKSETA	608	1,002
Government Printing Works	-	1
National Treasury	2,849	3,319
	3,457	4,322
Balance		
BANKSETA	-	608
National Treasury	998	-
	998	608

23. RELATED PARTY - EXECUTIVE MANAGEMENT REMUNERATION

Name	Position	2025 R'000	2024 R'000
Ms N Sauli	Director: Capacity Building	760	1,362
Ms L Padayachee	Deputy Director: Financial Management	689	1,180
*Mr P Rossouw	Acting Managing Director	771	1,193
		2,220	3,735

* Mr P Rossouw was appointed Acting Managing Director on 1 May 2022 for a 6 months period with three re-appointments. Contract expiry on the 7th of August 2024 and was re-appointed for another 7 months effective from 8th of August 2024 to 31st March 2025, or until the incorporation of the CBDA into Small Enterprise Development Finance Agency (SEDFA), or until a Managing Director is appointed and assumes office, whichever occurs sooner.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

24. RELATED PARTY - ACCOUNTING AUTHORITY

Board’s emoluments

	2025 R'000 Members' fees	2024 R'000 Members' fees
Mr L Ntuane	68	293
Mr V Pangwa	39	112
*Ms N Shwala ⁽¹⁾	-	-
**Ms N Lubisi	-	-
Mr J Amien	7	56
Ms MP Motseo	87	295
Adv M Adhikari	7	22
***Mr SR Masoga	-	58
****Mr J Hlalethoa ⁽¹⁾	-	-
	208	836

2025

- * Ms N Shwala terms as a board member expire on 31 May 2024.
- ** Ms N Lubisi represents the shareholder (National Treasury).
- **** Mr J Hlalethoa was appointed as a new board member for 3 years effective from 1 March 2024.
- ⁽¹⁾ Government officials serving on Boards or committees of public entities or institutions are not entitled to additional remuneration without approval from their respective institution

The proclamation of the NSEAA dissolve the Board effective from 1st December 2024.

2024

- ⁽¹⁾ Government officials serving on Boards or committees of public entities or institutions are not entitled to additional remuneration without approval from their respective institution
- *** Mr SR Masoga resigned from the Board effective 1 August 2023.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

25. FINANCIAL INSTRUMENTS DISCLOSURE - CATEGORIES OF FINANCIAL INSTRUMENTS

		2025 R'000	
		At fair value	Total
Financial assets			
Account receivable		5	5
Cash and cash equivalents		15,909	15,909
		15,914	15,914
Financial liabilities			
		At amortised cost	Total
Trade and other payables		1,861	1,861
		2024 R'000	
		At fair value	Total
Financial assets			
Account receivable		12	12
Cash and cash equivalents		15,772	15,772
		15,784	15,784
Financial liabilities			
		At amortised cost	Total
Trade and other payables		723	723

26. FINANCIAL RISK MANAGEMENT

Liquidity risk

The CBDA's risk to liquidity is a result of the funds available to cover future commitments. The CBDA manages liquidity risk through proper management of working capital and actual vs projection. Cash flow forecasts are prepared to maintain sufficient cash and reserves. The CBDA is only exposed to liquidity risk with regard to payment of its payables. These payables are all due within the short term.

Credit risk

Credit risk consists mainly of cash deposits, cash equivalents and receivables from exchange transactions. The CBDA only deposits cash with major banks with high quality credit standing and limits exposure to any one counter-party. Investment exposure is managed by depositing funds in the CPD account in terms of Treasury Regulations.

Receivables from exchange transactions are exposed to low credit risk. The factors that determine impairment of overdue amount relates to the size of the entity, financial sustainability and impact of cost recovery vs cost incurred. No credit limits were exceeded during the reporting period, and management does not expect any surplus from non-performance by these counterparties.

Notes to the Financial Statements

MARKET RISK

Interest rate risk

The CBDA has no significant interest-bearing assets. The CBDA's income and operating cash flows are substantially independent of changes in market interest rates.

The CBDA is exposed to interest rate changes in respect of returns on its cash and investment with financial institutions and CPD. The interest risk exposure is managed by investing in the CPD.

27. GOING CONCERN

The financial statements have been prepared on the basis of accounting policies applicable to a going concern since the function and mandate will be transferred to the new entity, SEDFA. The assets and liabilities would be derecognised in the CBDA financial books and recognise the fair value in SEDFA financial books. Refer to note 28.1

28. EVENTS AFTER THE REPORTING DATE

28.1 Merger and Transfer of Assets

In accordance with the Presidential Minute No. 251 of 2024 dated 10 September 2024, the merger of sefa, SEDA, and CBDA was proclaimed, with effect from 1 October 2024. All assets, liabilities, rights, and obligations of the aforementioned entities were transferred to the newly established entity, SEDFA. This includes all appropriations, authorisations, allocations, and other funds employed or held in the pursuit of each entity's objectives.

(a) Transfer of Assets and Liabilities:

As part of this merger, the CBDA's assets and liabilities were transferred to SEDFA in accordance with the Public Finance Management Act (PFMA) and applicable regulations. The assets and liabilities were recognised as follows:

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	R'000
Assets transferred	
Prepayment	5
Cash and cash equivalents	15,909
Property, plant and equipment	297
Intangible assets	10
Total Assets	16,221
Liabilities derecognised	
Payables	2,456
Provision	356
Total Liabilities	2,812
Net Transfer Amount	
Accumulated surplus	13,409

The net difference of R13,409 between the assets transferred and liabilities derecognised would be recorded against accumulated surplus, resulting in a neutral impact on the overall financial position.

28.2 National Treasury Approval - Allocation of Suplus Funds

National Treasury approved R13 562 million from the 2023/24 surplus funds to be used towards the stabilisation fund, Indaba 2024, digitisation, training materials and 2nd phase implementation of sector strategy.

29. CONTINGENT LIABILITIES AND ASSETS

Management is aware of the probability of incident that might result in material litigation, claims made against the CBDA and recovery of funds due to fruitless, wasteful and irregular expenditure which would have financial implications as follows:

- a) Contingent liability - Section 53(3) of the PFMA, a public entity may not accumulate surplus funds without approval from National Treasury

2025

None

2024

A submission was issued to National Treasury to obtain approval to retain surplus of R10 932 000 once the audited annual financial statement have been approved.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

b) The contingent liability have remained unchanged from the previous financial year.

Labour Court dispute by an ex- employee for the automatically unfair dismissal by virtue of section 18 (1) (f) of the Labour Relations Act 66 of 1995, as amended. The matter has still not been finalised. It is not practical to estimate the value of the legal outcome.

c) The contingent assets have remained unchanged from the previous financial year.

Recovery of funds to the amount of R2 348 000 to be taken against guilty parties from outcomes of domestic conference and accommodation investigation reports have made no progress. Case was opened in March 2020 and investigation started in September 2021. None of the accused have been charged.

30. IRREGULAR, FRUITLESS AND WASTEFUL EXPENDITURE

	2025 R'000	2024 R'000
Irregular expenditure	-	-
Fruitless and wasteful expenditure	-	-
Total	-	-

RECONCILING NOTES ON IRREGULAR, FRUITLESS AND WASTEFUL EXPENDITURE

	2025 R'000	2024 R'000
IRREGULAR EXPENDITURE		
Opening balance	2 961	9 820
Add: Irregular expenditure confirmed		-
Less: Irregular expenditure condoned		-
Less: Irregular expenditure not condoned and removed	(2 961)	(6 735)
Less: Irregular expenditure recoverable		(124)
Less: Irregular expenditure not recovered and written off		
Closing balance	-	2 961

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	2025 R'000	2024 R'000
Irregular expenditure under assessment	-	-
Irregular expenditure related to 2021/22 and identified in 2022/23	-	-
Irregular expenditure incurred	-	-
Irregular expenditure under assessment	-	-
Irregular expenditure under determination	-	-
Irregular expenditure under investigation	-	-
Irregular expenditure condoned	-	-
Irregular expenditure not condoned and removed	2 961	6 735
Irregular expenditure recovered	-	124
Irregular expenditure written off	-	-
Total	2 961	6 859

Disciplinary steps have been taken.

Following the recommendation by Internal Audit, a comprehensive review of the relevant process was conducted to assess compliance with the applicable regulatory framework. This audit formed part of the due diligence required prior to recommending the removal of the item from the Annual Financial Statements.

Based on the findings of the assessment, Internal Audit confirmed compliance with the framework, thereby substantiating the recommendation for write-off. The matter was duly considered, and the Board subsequently approved a write-off amounting to R2,961,000.

All aspects of the matter have been addressed and resolved in accordance with governance and compliance requirements.

FRUITLESS AND WASTEFUL EXPENDITURE

	2025 R'000	2024 R'000
Opening balance	2 349	5 376
Add: Fruitless and wasteful expenditure confirmed	(1)	-
Less: Fruitless and wasteful expenditure written off	-	(3 027)
Less: Fruitless and wasteful expenditure recoverable	-	-
Closing balance	2 348	2 349

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	2025 R'000	2024 R'000
Fruitless and wasteful expenditure under assessment	-	-
Fruitless and wasteful expenditure related to the prior year	-	-
Fruitless and wasteful expenditure related to the current year	-	-
Fruitless and wasteful expenditure under determination	-	-
Fruitless and wasteful expenditure under investigation	-	-
Fruitless and wasteful expenditure recovered	-	-
Fruitless and wasteful expenditure written off	(1)	3 027
Total	(1)	3 027

Disciplinary steps have taken place in the prior financial period.

An amount of R1,000 has been written off as fruitless and wasteful expenditure relating to prior financial years. This cost was incurred due to a late payment made following the expiry of a fixed-term employment contract.

Outstanding matters remain under review, specifically regarding the recovery of funds from individuals found to be culpable in the investigation associated with domestic conference and accommodation costs.

Seda Performance Information Overview

Seda was established through a combination of programmes, which collectively informed the development of the Annual Performance Plan. The organisation’s performance was subsequently measured against this plan.

Programme 1: Enterprise Development Programme Provide needs based and growth-oriented business support to small enterprises and Co-operatives through the Seda network. SMMEs and Co-operatives are supported with business related information, advice, consultancy, training, mentoring services, access to markets, and other business specific interventions. Township and rural-based enterprises are prioritised to ensure that they are competitive and contribute meaningfully to the South African economy.
Programme 2: Technology Programme To support SMMEs and Co-operatives by providing them with the necessary skills and tools to enhance their business production capacity and sustainability. Seda provides incubation services and technology transfer assistance.
Programme 3: Impact and Sustainability Programme To monitor and measure business impact post Seda intervention. Key indicators include jobs created, jobs sustained, and turnover improvement. To support SMMEs and Co-operatives by providing necessary skills and tools to enhance their business production capacity and sustainability. The support includes the provision of incentives for quality and compliance standards, product testing and certification.
Programme 4: Administration Programme To provide strategic leadership and capacitating the organisation to deliver on its mission. This includes monitoring customer, stakeholder, and employees’ level of satisfaction and introducing initiatives to improve the organisation’s level of innovation and agility. The programme also amplifies the need to collaborate with other partners in the ecosystem to increase service access. The programme 4 indicators were due for reporting in Q3 & Q4. However, at that time the merger had already taken place and such, these indicators were dropped in the new entity.

The Enterprise Development Programme provides needs based and growth-oriented business support to small enterprises and Co-operatives through the Seda network. SMMEs and Co-operatives are supported with business-related information, advice, consultancy, and mentoring services including business specific interventions to access markets. Township and total-based enterprises are prioritised to ensure that they are competitive and contribute meaningfully to the South African economy.

In contributing towards the Seda impact of: “Competitive, innovative, and sustainable SMMEs and Co-operatives creating jobs and contributing to inclusive economic growth,” the programme delivers against the following outcomes in the approved Annual Performance Plan.

The table below outlines the organisational performance against the APP targets.

Outcome 1				
Programme 1: Enterprise Development Programme	Annual Target (revised for 6 months)	Performance Achieved	% Achieved of Annual Target	Reason for Deviation
Number of people who attended entrepreneurship awareness sessions	11 500	19 029	165.%	Target exceeded due to the higher number of briefing sessions that took place during the quarter.
Number of township and rural-based businesses supported with non-financial business development	9 500	15 034	158.3%	Clients/leads were attracted through various mediums but not limited to, Seda awareness sessions, marketing campaigns, social media, radio, and other channels. Furthermore, collaborations with ecosystem partners, events, pop-up markets, and EOCs also generate public interest and demand for our services.
Number of township and rural businesses assisted through the Asset Assist Support Programme	400	401	100.3%	As of 30 September 2024, there were four hundred and one (401) clients' applications approved, and approval letters were issued.
Number of township and rural businesses assisted through the General Dealer Support Programme	0	0	0	None. This target is due for reporting at the end of Q3
Number of SMMEs and Co-operatives supported in priority sectors with non-financial business development to scale up their businesses	30	63	210%	Seda commenced with support to priority sector clients based on their identified needs. Although the indicator was due for reporting in Q2, the organisation has commenced providing support to priority sector clients based on their identified needs. 29 was achieved in Q1.
Number of SMMEs and Co-operatives supported with business development	1 250	2 002	160.2%	Clients/leads were attracted through various mediums, but not limited to, Seda awareness sessions, marketing campaigns, social media, radio, and other channels. Furthermore, collaborations with ecosystem partners, events, pop-up markets, and EOCs also generate public interest and demand for business development support services.
Number of SMMEs and Co-operatives supported with training, mentorship, and coaching	8 500	15 349	181%	Target exceeded for the period through internally initiated training interventions as well as stakeholder collaborations.
Number of Co-operatives assisted through Co-operative Development Support Programme	20	22	110%	As of 30 September 2024, twenty-three (23) client applications were approved, and approval letters were issued.
Number of SMMEs and Co-operatives supported with local market readiness interventions	867	1 658	191%	Target achieved due to marketing and promotional material interventions and client exhibitions at events.

Outcome 1 <i>continued</i>				
Programme 1: Enterprise Development Programme	Annual Target (revised for 6 months)	Performance Achieved	% Achieved of Annual Target	Reason for Deviation
Number of SMMEs and Co-operatives linked to local markets	50	75	150%	This target is not easily attainable because it involves third parties and therefore has a longer timeframe. A few clients did, however, secure contracts with Empyreal Construction and Eskom Holding.
Number of SMMEs and Co-operatives supported with international market readiness interventions	150	600	400%	ERAT assessments were conducted in response to international exhibition opportunities such as FACIM 2024, Milan Fashion Week, and others planned for 2024.
Number of SMMEs and Co-operatives supported through trade missions	50	51	102%	Only twenty-nine (29) clients attended FACIM 2024, fourteen (14) clients attended DEVCOM in Germany and seven (7) clients attended the Milan Fashion Week.

To support SMMEs and Co-operatives by providing them with the necessary skills and tools to enhance their business production capacity and sustainability. Seda provides incubation services and technology transfer assistance.

Outcome 1: Increased growth and sustainability of SMMEs and Co-operatives.

The table below outlines the organisational performance against the APP targets.

Outcome 2				
Programme 2: Technology Programme	Annual Target (revised for 6 months)	Performance Achieved	% Achieved of Annual Target	Reason for Deviation
Number of SMMEs and Co-operatives assisted through the Incubation Programme	1 000	828	83%	The incubation network is still busy with capturing performance data into the system. Corrective measure: Continuous training and support to the Incubation Centres to be effective in capturing the data.
Number of SMMEs and Co-operatives supported through the Technological Transfer Assistance Programme	0	0	0	Due for reporting in Q3.
Number of SMMEs and Co-operatives supported with training, m Number of Product Markets Established entorship, and coaching	0	0	0	Due for reporting in Q4.

To monitor and measure business impact post-Seda intervention, key indicators include jobs created, jobs sustained, access to new markets, and turnover improvement. To support SMMEs and Co-operatives by providing necessary skills and tools to enhance their business production capacity and sustainability. The support includes the provision of incentives for quality and compliance standards, product testing, and certification.

In contributing towards the Seda impact statement of: “Competitive, innovative, and sustainable SMMEs and Co-operatives creating jobs and contributing to inclusive economic growth,” the Impact and Sustainability Programme delivers against the following outcome and five-year targets in the approved strategic plan.

Outcome 1: Increased growth and sustainability of SMMEs and Co-operatives.

The table below outlines the organisational performance against the APP targets.

Outcome 3				
Programme 3: Impact and Sustainability Programme	Annual Target (revised for 6 months)	Performance Achieved	% Achieved of Annual Target	Reason for Deviation
Number of SMMEs and Co-operatives supported with quality improvement interventions	45	168	373.3%	Training focusing on Quality Management Systems & HACCP took place in this quarter. There were also QMS interventions.
Number of SMMEs and Co-operatives supported with productivity improvement interventions	45	190	422.2%	Collaborations with Productivity SA on productivity improvement programmes and support contributed to this indicator.
Number of SMMEs and Co-operatives whose turnover has increased by a minimum of 5.0% per annum	400	1 393	348.3%	Improvement assessments that were conducted during this quarter reported an increase in turnover.
Number of jobs created by SMMEs and Co-operatives supported through non-financial support interventions	2 400	2 933	122.2%	Most of the assessed businesses reported an increase in jobs.
Number of jobs sustained by SMMEs and Co-operatives supported through non-financial support interventions.	4 500	7 124	158.3%	Most of the assessed businesses focus on retaining jobs due to the economic climate.





AUDITED FINANCIAL STATEMENTS

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Audited Annual Financial Statements for the half year ended 30 September 2024
Audited Financial Statements as approved by the Board on 28 July 2025.

As at July 2025
SMALL ENTERPRISE DEVELOPMENT AGENCY (Seda)

Report of the Auditor-General to Parliament on the Small Enterprise Development Agency

Report on the audit of the financial statements

Opinion

1. I have audited the financial statements of the Small Enterprise Development Agency (SEDA) set out on pages 288-329, which comprise the statement of financial position as at 30 September 2024, statement of financial performance, statement of changes in net assets, cash flow statement and statement of comparison of budget and actual information for the year then ended, as well as notes to the financial statements, including a summary of significant accounting policies.
2. In my opinion, the financial statements present fairly, in all material respects, the financial position of the Small Enterprise Development Agency as at 30 September 2024 and its financial performance and cash flows for the year then ended in accordance with the Standards of Generally Recognised Accounting Practice (Standards of GRAP) and the requirements of the Public Finance Management Act 1 of 1999 (PFMA).

Basis for opinion

3. I conducted my audit in accordance with the International Standards on Auditing (ISAs). My responsibilities under those standards are further described in the responsibilities of the auditor-general for the audit of the financial statements section of my report.
4. I am independent of the public entity in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA code) as well as other ethical requirements that are relevant to my audit in South Africa. I have fulfilled my other ethical responsibilities in accordance with these requirements and the IESBA code.
5. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Emphasis of matter

6. I draw attention to the matter below. My opinion is not modified in respect of this matter.

Merger of Small Enterprise Development Agency, Small Enterprise Finance Agency and Co-operative Banks Development Agency into Small Enterprise Development Finance Agency and its impact on the going concern assumption

7. I draw attention to note 26 of the financial statements, which states that the financial statements have been prepared on the basis of accounting policies applicable to a going concern since the function and mandate of the SEDA will be transferred to a new entity, the Small Enterprise Development Finance Agency (SEDFA). The SEDA's assets and liabilities will be derecognised in its financial books and be recognised at fair value in the SEDFA's financial books.

Responsibilities of the accounting authority for the financial statements

8. The accounting authority is responsible for the preparation and fair presentation of the financial statements in accordance with the Standards of GRAP and the requirements of the PFMA; and for such internal control as the accounting authority determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
9. In preparing the financial statements, the accounting authority is responsible for assessing the public entity's ability to continue as a going concern; disclosing, as applicable, matters relating to going concern; and using the going concern basis of accounting unless the appropriate governance structure either intends to liquidate the public entity or to cease operations, or has no realistic alternative but to do so.

Responsibilities of the auditor-general for the audit of the financial statements

10. My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error; and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.
11. A further description of my responsibilities for the audit of the financial statements is included in the annexure to this auditor's report. This description, which is located on page xx, forms part of my auditor's report.

Report on the annual performance report

12. In accordance with the Public Audit Act 25 of 2004 (PAA) and the general notice issued in terms thereof, I must audit and report on the usefulness and reliability of the reported performance information against predetermined objectives for the selected material performance indicators presented in the annual performance report. The accounting authority is responsible for the preparation of the annual performance report.
13. I selected the following material performance indicators related to the enterprise development and technology programme presented in the annual performance report for the year ended 30 September 2024. I selected those indicators that measure the public entity's performance on its primary mandated functions and that are of significant national, community or public interest.
 - Number of township and rural businesses supported with non-financial business development
 - Number of township and rural businesses assisted through the asset assist support programme
 - Number of township and rural SMMEs assisted with general dealer support
 - Number of SMMEs and co-operatives supported in priority sectors with non-financial business development to scale-up their businesses

- Number of SMMEs and co-operatives supported with business development
- Number of co-operatives supported through the co-operative development support programme
- Number of SMMEs and co-operatives assisted through the incubation programme
- Number of SMMEs and co-operatives supported through the technological transfer assistance programme

14. I evaluated the reported performance information for the selected material performance indicators against the criteria developed from the performance management and reporting framework, as defined in the general notice. When an annual performance report is prepared using these criteria, it provides useful and reliable information and insights to users on the public entity's planning and delivery on its mandate and objectives.
15. I performed procedures to test whether:
 - the indicators used for planning and reporting on performance can be linked directly to the public entity's mandate and the achievement of its planned objectives
 - all the indicators relevant for measuring the public entity's performance against its primary mandated and prioritised functions and planned objectives are included
 - the indicators are well defined to ensure that they are easy to understand and can be applied consistently, as well as verifiable so that I can confirm the methods and processes to be used for measuring achievements
 - the targets can be linked directly to the achievement of the indicators and are specific, time bound and measurable to ensure that it is easy to understand what should be delivered and by when, the required level of performance as well as how performance will be evaluated
 - the indicators and targets reported on in the annual performance report are the same as those committed to in the approved initial or revised planning documents
 - the reported performance information is presented in the annual performance report in the prescribed manner
 - there is adequate supporting evidence for the achievements reported and for the reasons provided for any over- or underachievement of targets.
16. I performed the procedures to report material findings only; and not to express an assurance opinion or conclusion.

17. The material findings on the reported performance information for the selected material indicators are as follows:

Indicator	Target	Details
Programme 1: indicator 8: number of co-operatives assisted through the co-operative development support programme	20	The method of verification for the indicator was not clearly defined in the performance planning documents, including the technical indicator description. Data for the indicator could not be collected consistently due to there being no predetermined and defined measurement for the period.
Programme 2: indicator 1: number of SMMEs and co-operatives assisted through the incubation programme	1 000	The method of verification for the indicator was not clearly defined in the performance planning documents, including the technical indicator description. Data for the indicator could not be collected consistently due to there being no predetermined and defined measurement for the period.
Programme 2: indicator 2: number of SMMEs and co-operatives supported through the technological transfer assistance programme	0	The method of verification for the indicator was not clearly defined in the performance planning documents, including the technical indicator description. Data for the indicator could not be collected consistently due to there being no predetermined and defined measurement for the period.

Other matters

19. I draw attention to the matters below.

Achievement of planned targets

20. The annual performance report includes information on reported achievements against planned targets and provides explanations for over- or under- achievements. This information should be considered in the context of the material findings on the reported performance information.
21. The table that follows provides information on the achievement of planned targets and the key indicators that were not achieved as reported in the annual performance report. The reasons for any underachievement of targets are included in the annual performance report on pages 277-279.

Performance indicators not well defined

18. Various indicators were not clearly defined during the planning process. Consequently, the following indicators are not useful for measuring and reporting on progress against planned objectives.

Programme 2: indicator 1: number of SMMEs and co-operatives assisted through the incubation programme

Targets achieved: 83%
Budget spent: 98%

Key indicator not achieved	Planned target	Reported achievement
Number of SMMEs and co-operatives assisted through the incubation programme	1 000	828

Material misstatements

22. I identified material misstatements in the annual performance report submitted for auditing. These material misstatements were in the reported performance information for:
- Programme 1: indicator 8: number of co-operatives assisted through the co-operative development support programme
 - Programme 2: indicator 1: number of SMMEs and co-operatives assisted through the incubation programme
23. Management did not correct all of the misstatements and I reported material findings in this regard.

Report on compliance with legislation

24. In accordance with the PAA and the general notice issued in terms thereof, I must audit and report on compliance with applicable legislation relating to financial matters, financial management and other related matters. The accounting authority is responsible for the public entity's compliance with legislation.
25. I performed procedures to test compliance with selected requirements in key legislation in accordance with the findings engagement methodology of the Auditor-General of South Africa (AGSA). This engagement is not an assurance engagement. Accordingly, I do not express an assurance opinion or conclusion.
26. Through an established AGSA process, I selected requirements in key legislation for compliance testing that are relevant to the financial and performance management of the public entity, clear to allow consistent measurement and evaluation, while also sufficiently detailed and readily available to report in an understandable manner. The selected legislative requirements are included in the annexure to this auditor's report.
27. I did not identify any material non-compliance with the selected legislative requirements.

Other information in the annual report

28. The accounting authority is responsible for the other information included in the annual report. The other information referred to does not include the financial statements, the auditor's report and those selected material indicators in the scoped-in programmes presented in the annual performance report that have been specifically reported on in this auditor's report.
29. My opinion on the financial statements and my reports on the audit of the annual performance report and compliance with legislation do not cover the other information included in the annual report and I do not express an audit opinion or any form of assurance conclusion on it.
30. My responsibility is to read this other information and, in doing so, consider whether it is materially inconsistent with the financial statements and the selected material indicators in the scoped-in programmes presented in the annual performance report or my knowledge obtained in the audit, or otherwise appears to be materially misstated.
31. I did not receive the other information prior to the date of this auditor's report. When I do receive and read this information, and I conclude that there is a material misstatement therein, I am required to communicate the matter to those charged with governance and request that the other information be corrected. If the other information is not corrected, I may

have to retract this auditor's report and re-issue an amended report as appropriate. However, if it is corrected this will not be necessary.

Internal control deficiencies

32. I considered internal control relevant to my audit of the financial statements, annual performance report and compliance with applicable legislation; however, my objective was not to express any form of assurance on it.
33. The matters reported below are limited to the significant internal control deficiencies that resulted in the findings on the selected material indicators included in the annual performance report.
34. Although there was some level of review at a process level for performance information, the current review process was inadequate and ineffective. This resulted in the means of verifying reported achievements not being consistent with the definition of the indicators. Consequently, data for these indicators could not be collected consistently.
35. Senior management did not develop adequate action plans and monitored their implementation to address internal control deficiencies. This is demonstrated by the fact that not all prior-year recommendations were adequately implemented in the current year, which resulted in repeat findings.

Auditor-General

Pretoria

30 July 2025



**AUDITOR-GENERAL
SOUTH AFRICA**

Auditing to build public confidence

Annexure to the auditor’s report

The annexure includes the following:

- The auditor-general's responsibility for the audit
- The selected legislative requirements for compliance testing

Auditor-general's responsibility for the audit

Professional judgement and professional scepticism

As part of an audit in accordance with the ISAs, I exercise professional judgement and maintain professional scepticism throughout my audit of the financial statements and the procedures performed on reported performance information for selected material performance indicators and on the public entity's compliance with selected requirements in key legislation.

Financial statements

In addition to my responsibility for the audit of the financial statements as described in this auditor's report, I also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error; design and perform audit procedures responsive to those risks; and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the public entity's internal control
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made

- conclude on the appropriateness of the use of the going concern basis of accounting in the preparation of the financial statements. I also conclude, based on the audit evidence obtained, whether a material uncertainty exists relating to events or conditions that may cast significant doubt on the ability of the public entity to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements about the material uncertainty or, if such disclosures are inadequate, to modify my opinion on the financial statements. My conclusions are based on the information available to me at the date of this auditor's report. However, future events or conditions may cause a public entity to cease operating as a going concern
- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and determine whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Communication with those charged with governance

I communicate with the accounting authority regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide the accounting authority with a statement that I have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on my independence and, where applicable, actions taken to eliminate threats or safeguards applied.

Compliance with legislation - selected legislative requirements

The selected legislative requirements are as follows:

Legislation	Sections, regulations or paragraph
Public Finance Management Act 1 of 1999	Section 51(1)(b)(i); 51(1)(b)(ii); 51(1)(e)(iii); 53(4); 54(2)(c); 54(2)(d); 55(1)(a); 55(1)(b); 55(1)(c)(i); 56; 57(b); 66(3)(c); 66(5)
Treasury Regulations, 2005	Regulation 16A3.2; 16A3.2(a); 16A6.1; 16A6.2(a); 16A6.2(b); 16A6.3(a); 16A6.3(a); 16A6.3(b); 16A6.3(c); 16A6.3(e); 16A6.4; 16A6.5; 16A6.6; 16A.7.1; 16A.7.3; 16A.7.6; 16A8.3; 16A8.4; 16A9.1(b)(ii); 16A 9.1(d); 16A9.1(e); 16A9.1(f); 16A9.2; 16A9.2(a)(ii); 30.1.1; 31.1.2(c); 30.1.3(a); 30.1.3(b); 30.1.3(d); 30.2.1; 31.2.1; 31.2.5; 31.2.7(a); 31.3.3; 32.1.1(a); 32.1.1(b); 32.1.1(c); 33.1.1; 33.1.3
Companies Act 71 of 2008	Section 45(2); 45(3)(a)(ii); 45(3)(b)(i); 45(3)(b)(ii); 45(4); 46(1)(a); 46(1)(b); 46(1)(c); 112(2)(a); 129(7)
Construction Industry Development Board Act 38 of 2000	Section 18(1)
Construction Industry Development Board Regulations, 2004	Regulation 17; 25(7A)
Second Amendment National Treasury Instruction No. 5 of 2020/21	Paragraph 1
Erratum National Treasury Instruction No. 5 of 2020/21	Paragraph 2
National Treasury Instruction No. 5 of 2020/21	Paragraph 4.8; 4.9; 5.3
National Instruction No. 1 of 2021/22	Paragraph 4.1
Legislation	Sections, regulations or paragraph
National Instruction No. 4 of 2015/16	Paragraph 3.4
National Treasury SCM Instruction No. 4A of 2016/17	Paragraph 6
National Treasury SCM Instruction No. 3 of 2021/22	Paragraph 4.1; 4.2(b); 4.3; 4.4; 4.4(a); 4.17; 7.2;7.6
National Treasury SCM Instruction No. 11 of 2020/21	Paragraph 3.4(a); 3.4(b); 3.9
National Treasury SCM Instruction No. 2 of 2021/22	Paragraph 3.2.1; 3.2.4; 3.2.4(a); 3.3.1
National Treasury Practice Note 5 of 2009/10	Paragraph 3.3
National Treasury Practice Note 7 of 2009/10	Paragraph 4.1.2
Preferential Procurement Policy Framework Act 5 of 2000	Section 1; 2.1(a); 2.1(f)
Preferential Procurement Regulations, 2022	Regulation 4.1; 4.2; 4.3; 4.4; 5.1; 5.2; 5.3; 5.4
Preferential Procurement Regulations, 2017	Regulation 4.1; 4.2; 5.1; 5.3; 5.6; 5.7; 6.1; 6.2; 6.3; 6.6; 6.8; 7.1; 7.2; 7.3; 7.6; 7.8; 8.2; 8.5; 9.1; 10.1; 10.2; 11.1; 11.2
Prevention and Combating of Corrupt Activities Act 12 of 2004	Section 34(1)

STATEMENT OF FINANCIAL POSITION

	Notes	2025 R	2024 R
ASSETS			
Current Assets		1 153 568 524	777 505 850
Cash and cash equivalents	4	972 039 071	626 329 469
Accounts receivable	5	181 223 513	150 929 991
- Non exchange transactions		164 544 982	136 657 752
- Exchange transactions	5.2	16 678 531	14 272 239
Inventories	6	305 940	246 390
Non Current Assets		38 045 407	39 372 213
Plant and equipment	7	37 847 469	38 770 241
Intangible assets	8	197 938	601 972
TOTAL ASSETS		1 191 613 931	816 878 063
LIABILITIES			
Current Liabilities		472 992 385	539 710 808
Payables from exchange transactions	9	51 021 218	48 581 214
Financial liabilities	9	399 488 462	450 694 581
Current portion of the operating lease obligations	11	657 104	1 103 970
Provisions	10	21 825 601	39 331 043
Non Current Liabilities		245 024	380 679
Long-term portion of operating lease obligations	11	245 024	380 679
TOTAL LIABILITIES		473 237 409	540 091 487
NET ASSETS		718 376 522	276 786 576
ACCUMULATED SURPLUS		718 376 522	276 786 576
TOTAL NET ASSETS		718 376 522	276 786 576

STATEMENT OF FINANCIAL PERFORMANCE

		2025 (6 months) R	2024 R
Revenue: Exchange	2	32 925 237	18 851 468
Interest received		29 601 584	16 860 841
Sundry income		3 287 853	1 990 627
Gain on sale of assets		35 800	-
Revenue: Non-exchange	2	1 002 095 172	1 475 504 181
Government grants			
- Seda operations		821 158 000	1 226 206 000
- Seda Technology Programme (STP)		113 695 000	176 740 000
DSBD specific projects		13 592 626	21 568 524
Provincial governments		3 708 150	13 786 883
Local governments		3 683 110	6 444 290
Other income - services in kind		510 033	1 134 858
Other earnings from programmes and projects		45 748 253	29 623 626
TOTAL REVENUE	2	1 035 020 409	1 494 355 649
Expenses			
Goods & Services		(351 116 543)	(764 502 324)
- Administrative and other costs	3.1	(89 097 835)	(165 830 802)
- Programme and project costs	3.2	(262 018 708)	(598 671 522)
Personnel cost	3.3	(235 427 298)	(428 892 294)
Depreciation, impairment and amortisation	3.4	(6 336 460)	(15 780 977)
Loss on sale and write off of assets		(192 420)	(706 825)
Loss on others		(18 415)	
Foreign exchange loss		(339 327)	(20 370)
TOTAL EXPENSES		(593 430 463)	(1 209 902 790)
SURPLUS FOR THE PERIOD		441 589 946	284 452 859

STATEMENT OF CHANGES IN NET ASSETS

	Notes	Accumulated Surplus R
Balance at 31 March 2023		(7 666 283)
Surplus for the year - 2023/24		284 452 859
Balance at 31 March 2024		276 786 576
Surplus for the half year - 2024/25		441 589 946
BALANCE AT 30 SEPTEMBER		718 376 522

CASH FLOW STATEMENT

	Notes	2025 (6 months) R	2024 R
CASH FLOWS FROM OPERATING ACTIVITIES			
Receipts			
Interest received	2	29 601 584	16 828 354
Revenue (excluding services in kind)	2	1 001 585 139	1 474 369 323
Sundry Income (excl proceed on disposal of assets)		3 282 403	1 658 955
		1 034 469 126	1 492 856 632
Payments			
Personnel cost		(208 156 566)	(389 033 180)
Suppliers		(475 772 564)	(549 817 034)
		(683 929 130)	(938 850 214)
NET CASH FLOWS FROM OPERATING ACTIVITIES	15b	350 539 996	554 006 418
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceeds on disposal of assets		315 384	300 768
Purchase of assets	15a	(5 145 778)	(10 915 176)
NET CASH USED IN INVESTING ACTIVITIES		(4 830 394)	(10 614 408)
Net increase in cash and cash equivalents		345 709 602	543 392 010
Cash and cash equivalents at the beginning of the year		626 329 469	82 937 459
CASH AND CASH EQUIVALENTS AT END OF PERIOD	4	972 039 071	626 329 469

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL INFORMATION

	Original Budget 2024/25 (6 months) R	Adjustments R	Final Budget 2024/25 (6 months) R	Actual 2024/25 (6 months) R	%	Variance R
Revenue						
Earnings from programmes and projects ¹	161 159 059	(92 338 248)	68 820 811	66 767 939	-2.98%	(2 052 872)
Gain on sale of assets	0	0	0			0
Government grants	934 853 000	0	934 853 000	934 853 000	0.00%	0
- Seda	821 158 000	0	821 158 000	821 158 000	0.00%	0
- Seda Technology Programme	113 695 000	0	113 695 000	113 695 000	0.00%	0
Interest received ²	8 500 000	23 759 675	32 259 675	29 601 584	-8.24%	(2 658 091)
Sundry Income ³	9 998 408	(7 009 574)	2 988 834	3 797 886	27.07%	809 053
TOTAL REVENUE	1 114 510 467	(75 588 147)	1 038 922 320	1 035 020 409	-0.38%	(3 901 911)
Expenses						
Administrative and other costs ⁴	(96 860 690)	5 367 626	(91 493 064)	(89 097 835)	-2.62%	2 395 229
Depreciation, impairment & amortisation ⁵	(8 279 774)	(1 035 390)	(9 315 164)	(6 336 460)	-31.98%	2 978 704
Loss on sale and write-off of assets ⁶	0	0	0	(192 420)		(192 420)
Foreign exchange loss	0	0	0	(339 327)		(339 327)
Loss on others	0	0	0	(18 415)		
Personnel cost ⁷	(219 377 440)	(13 301 796)	(232 679 236)	(235 427 298)	1.18%	(2 748 062)
Programme and project costs ⁸	(497 185 398)	284 331 518	(212 853 880)	(262 018 708)	23.10%	(49 164 828)
TOTAL EXPENSES	(821 703 302)	275 361 958	(546 341 344)	(593 430 463)	8.62%	(47 070 704)
SURPLUS	292 807 165		492 580 977	441 589 946		(50 972 616)
CAPEX ⁹	(11 390 043)	6 715 643	(4 674 400)	(5 145 778)	10.08%	(471 378)
TOTAL EXPENSES (including CAPEX)	(833 093 345)	282 077 601	(551 015 744)	(598 576 241)	8.63%	(47 542 082)
NET SURPLUS (including CAPEX)	281 417 122	206 489 454	487 906 576	436 444 168		

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL INFORMATION

Explanations of Budget adjustments

- 1. Earnings from programmes and projects - Adjustment due to reallocation of budget to later in the year.
- 2. Interest received - budget adjusted due to increase in bank balance, mainly from accumulated surplus and funding received during the year not yet utilised.
- 3. Sundry income - comprise of mainly management fees that was be recognised once work is done. Include services in kind.
- 4. Administrative and other costs - Administrative cost budget was adjusted in line with spending period later in the year.
- 5. Depreciation, impairment & amortisation - Depreciation was adjusted due to additional capex purchased during the year.
- 7. Personnel cost - Adjustment due to the provision of the performance rewards for the six months period.
- 8. Programme and project costs - Adjustment due to delays for certain programmes and projects.
- 9. Capital expenditure - Budgeted adjusted and moved to period after September 2024.

Explanations of Budget and Actual amounts comparison variances:

- 1. Earnings from programmes and projects - Income is recognised once expenditure is incurred.
- 2. The interest received was over estimated, however achievement far exceed the original budget.
- 3. Sundry income - Due to management fee adjusted in line of the projects.
- 4. The variance on administrative expenditure is minor.
- 6. Loss on sale of assets - Disposal of asset loss is not budgeted for.
- 7. Personnel cost - minor deviation due to provision for leave.
- 8. Programmes and project costs - overspend due accrued expenses and commitments. The overall budget was not exceeded, as it was rolled over to SEDFA.
- 9. Some asset purchased arrived earlier than anticipated. The overall annual budget was not exceeded.

Refer to note 1.17.

Accounting Policies

1 ACCOUNTING POLICIES

The financial statements were prepared on a historical cost basis in accordance with Standards of Generally Recognised Accounting Practice and the Public Finance Management Act 1999 (Act No. 1 of 1999) as amended. The accounting policies have been applied consistently throughout the year and agree with the accounting policies applied in the previous financial year except where explicitly stated.

1.1 Basis of Preparation

The financial statements have been prepared for the closure of Seda, merging into a new company, as from 1 October 2024, in South African rands.

In terms of section 55(1)b of the Public Finance Management Act, Seda is required to comply with Generally Recognised Accounting Practice (GRAP). Seda complies with GRAP.

The financial statements have been prepared in accordance with the effective Standards of Generally Recognised Accounting Practices (GRAP) including any interpretation, guidelines and directives issued by the Accounting Standards Board (ASB). The Financial Statements fairly present the entity's Financial Position, Financial Performance and Cash Flows as per the requirements of GRAP 1.

In the absence of a GRAP standard, the GRAP hierarchy in GRAP 3 - Accounting policies, changes in accounting estimates and errors are used to develop an appropriate accounting policy. In terms of GRAP 3, judgement must be used when developing an accounting policy. In applying judgement, GRAP 3 requires that management refers to and considers the applicability of the following sources in descending order:

- (a) the requirements and guidance in Standards of GRAP dealing with similar and related issues; and
- (b) the definitions, recognition criteria and measurement concepts for assets, liabilities, revenue and expenses set out in the Framework for the Preparation and Presentation of Financial Statements.

The annual financial statements have been prepared on a historical cost basis, except for the measurement of certain financial

instruments, and incorporate the principal accounting policies set out below.

1.1.1 Adoption of new and revised standards

There are no new or amended pronouncements that are effective for financial periods commencing on or after 1 April 2024.

1.1.2 Standards and interpretations issued, but not yet effective

Due to merger into a new entity that is on IFRS, the new amendment were not considered.

1.2 Property, Plant and Equipment

Property, plant and equipment is initially recorded at cost. Costs include costs incurred initially to acquire an item of property, plant and equipment and costs incurred subsequently to add to or replace part of it. Costs are capitalised to the extent that the cost can be measured reliable and is probable that the cost will result in the inflow of future economic benefits to Seda.

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is charged so as to write off the cost of assets to their residual value over their estimated useful lives, using the straight-line method.

Depreciation is calculated on the historical cost using the methods and the rates stated below in note 7. The residual values of all assets are estimated, until they are not usable anymore.

The residual value and the useful life of an asset is reviewed at least at each financial year end and if expectations differ from previous estimates, the change is accounted for as change in an accounting estimate. An estimation is made of the amount it would receive currently for the asset if the asset were already of the age and condition expected at the end of its useful life.

The carrying amount of property, plant and equipment is derecognised on disposal or when no future economic benefits or service potential are expected from its use or disposal.

Accounting Policies

The gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is included in the Statement of Financial Performance.

1.3 Intangible Assets

An intangible asset is an identifiable non-monetary asset without physical substance.

An intangible asset is recognised if, and only if:

- It is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- The cost of the asset can be measured reliably.

An intangible asset is measured initially at cost.

The useful life of an intangible asset that arises from contractual or other legal rights shall not exceed the period of the contractual or other legal rights, but may be shorter depending on the period over which the entity expects to use the asset.

The useful life of the intangible asset shall include the renewal period only if there is evidence to support renewal by the entity without significant cost. The depreciable amount of the intangible asset with a finite useful life shall be allocated on a systematic basis over its useful life.

Amortisation is charged so as to write off the cost of assets to its residual value over their estimated useful lives, using the straight-line method.

1.4 Impairment of Assets

An “impairment” as a loss in the future economic benefits or service potential of an asset, over and above the systematic recognition of the loss of the asset’s future economic benefits or service potential through depreciation /amortisation. Impairment, therefore, reflects a decline in the utility of an asset to the entity that controls it.

Cash-generating assets are assets that are held with the primary objective of generating a commercial return. Assets will generate a commercial return when the entity intends to generate positive cash flows from the asset similar to a profit-orientated entity.

Non-cash-generating assets are primarily held for service delivery purposes.

Given the overall objectives of Seda, its assets are non-cash-generating

At each Statement of Financial Position date, Seda reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, Seda estimates the recoverable amount of the cash and non-cash generating unit to which the asset belongs.

The recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognised immediately in the Statement of Financial Performance.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the Statement of Financial Performance.

1.5 Leases

Leases are classified as finance leases whenever the terms of the lease transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Operating lease payments are recognised as an expense on a straight-line basis over the lease term. The difference between the amounts recognised as an expense and the contractual payments

Accounting Policies

are recognised as an operating lease asset or liability. This asset or liability is not discounted. Any contingent rents are expensed in the period they are incurred.

Assets held under finance leases are recognised as assets of Seda at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the Statement of Financial Position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability.

Finance charges are charged as an expense in the Statement of Financial Performance, unless they are directly attributable to qualifying assets.

1.6 Inventories

Consumable stores are initially recognised at cost. Consumable stores are valued at the lower of initial cost or current replacement cost.

The entity recognises inventories as an expense in the Statement of Financial Performance when distributed.

1.7 Revenue Recognition

Revenue from exchange transactions

Investment income represents interest received on cash balances with financial institutions. Interest is expensed, using the effective interest rate method.

Revenue from contracts and services rendered is recognised when all the following have been satisfied: - Seda has transferred to the buyer the significant risks and rewards of ownership of the goods;

- Seda has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits or service potential associated with the transaction will flow to Seda; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognised by reference to the stage of completion of the transaction at the Statement of Financial Position date. The outcome of a transaction can be estimated reliably when all the following conditions are satisfied:

- the amount of revenue can be measured reliably;
- it is probable that the economic benefits or service potential associated with the transaction will flow to Seda;
- the stage of completion of the transaction at the Statement of Financial Position date can be measured reliably; and
- the costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

When the outcome of the transaction involving the rendering of services cannot be estimated reliably, revenue shall be recognised only to the extent of the expenses recognised that are recoverable.

Revenue from the exchange transactions refers to revenue that accrued to the entity directly in return for services rendered, the value of which approximates the consideration received or receivable.

Revenue is measured at the fair value of the consideration received or receivable and represents the amounts receivable for services provided in the normal course of business, net trade discounts and volume rebates, and value added tax.

Revenue from non-exchange transactions

Revenue from non-exchange transactions refers to transactions where the entity received revenue from another entity without directly giving approximately equal value in exchange. Revenue from non-exchange transactions is generally recognised to the extent that the related receipt or receivable qualifies for recognition as an asset and there is no liability to repay the amount.

Transfers from government entities represents the parliamentary grant from the Department of Small Business Development (dsbd). Transfers from government entities are recognised as income on accrual basis as and when invoiced or received from the Department of Small Business Development (dsbd).

Accounting Policies

Government grants are recognised when it is probable that future economic benefits or service potential will flow to the entity and these benefits can be measured reliably. The grant is recognised to the extent that there are no further obligations arising from the receipt of the grant.

Government grants received for the purpose of giving immediate financial support with no future related costs are recognised as income in the period in which they become receivable. Government grants relating to specific expenditure are deferred and recognised in the year during which the expenses are incurred.

Sundry income, also called miscellaneous income or other operating income, is generated from sources other than a company’s normal business operation.

In South Africa, GRAP (Generally Recognised Accounting Practice) does not have a specific standard or guidance that directly addresses “sundry income” or “miscellaneous income” in the same way that it addresses other types of revenue. However, GRAP standards do provide a framework for recognizing and accounting for various types of revenue, including those that might be classified as sundry income.

1.8 Provisions

Provisions are recognised when Seda has a present obligation as a result of a past event, and it is probable that Seda will be required to settle that obligation. Provisions are measured at the Management’s best estimate of the expenditure required to settle the obligation at the Statement of Financial Position date, and are discounted to present value where the effect is material.

Provision for Performance reward

The provision for performance reward on the financials represents the obligation to pay the reward to salaried employees as a result of predetermined performance criteria having been met. This is in line with GRAP 25.

Provision for debtors

The provision for doubtful debts is the amount of bad debt that will arise from accounts receivable that have been issued but not yet

collected. All debts older than twelve (12) months must be provided for in full, unless if there is reliable information and progress towards recovery.

1.9 Employee Benefits

Short term employee benefits

The cost of all short-term employee benefits is recognised during the period in which the employee renders the related service. The provisions for employee entitlements to performance bonus and/or thirteen cheque represent the amount which Seda has a present obligation to pay as a result of employees’ service provided to the reporting date. The provisions have been calculated at undiscounted amounts based on current wage and salary rates.

Provident Fund

Seda contributes to defined contribution plans and recognises the amount as an expense in the Statement of Financial Performance. This fund is governed by the Pension Fund Act, 1956.

Medical Aid

Medical Aid contributions are restricted to the period of employment.

1.10 Financial Instruments

Financial assets and financial liabilities are initially recognised at fair value plus transaction cost on Seda’s Statement of Financial Position when Seda has become a party to contractual provisions of the instrument.

Subsequent to initial recognition these instruments are measured as set out below:

Financial assets

Financial assets are cash and cash equivalents and trade and other receivables.

Accounting Policies

Accounts receivable

Trade receivables are measured at initial recognition at fair value, and are subsequently measured at amortized cost using the effective interest rate method. Appropriate allowances for estimated irrecoverable amounts are expensed when there is objective evidence that the asset is impaired. The allowance recognised is measured as the difference between the asset’s carrying amount and the present value of estimated future cash flows discounted at the effective interest rate computed at initial recognition.

Bank and cash balances

Cash and cash equivalents comprise of cash on hand and demand deposits and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value. Cash is subsequently held at amortised cost.

Financial liabilities

Financial liabilities consist of finance lease long-term liabilities, trade and other payables and other short-term finance lease liabilities. The financial liabilities are initially measured at fair value, and are subsequently measured at amortized cost, using the effective interest rate method.

Trade payables

Trade payables are initially measured at fair value, and are subsequently measured at amortized cost, using the effective interest rate method.

De-recognition

The de-recognition of financial instruments occur when the obligation is extinguished. A financial liability (or part of it) is extinguished when the debtor either:

- Discharges the liability (or part thereof) by paying the creditor, normally with cash, other financial liabilities, goods or services;
- Is legally released from primary responsibility for the liability (or part of it) either by process of law (expires) or by the creditor

(cancelled). If the debtor has given a guarantee, this condition may still be met; or

- Waives the debt or it is assumed by another entity by way of a non-exchange transaction. These transactions are accounted for by considering the requirements in GRAP 104 and GRAP 23 on Revenue from Non-exchange Transactions (Taxes and Transfers).

Deposits

Deposits relates to the payment made on operating leases. Refundable at the end of the lease period.

Payments in advance

Advance payment is a type of payment made ahead of its normal schedule such as paying for a good or service before receipt or receipting.

Staff savings

Staff savings relates to staff that have the choice to sacrifice one month of their salary that is payable to them once off in December every year.

1.11 Related Parties

Seda, as a schedule 3A Public Entity, under Public Finance Management Act (PFMA), operates in an economic sector currently dominated by entities directly or indirectly owned by the South African Government. As a consequence of the constitutional independence of the three spheres of government in South Africa, only entities within the national sphere of government are considered to be related parties. Key management are those persons responsible for planning, directing and controlling the activities of the entity, including those charged with the governance of the entity in accordance with legislation, in instances where they are required to perform such functions.

Only transactions with related parties not at arm’s length or not in the ordinary course of business, are disclosed. Refer to note 2,14,17 and 18.

Accounting Policies

1.12 Irregular Expenditure

Irregular expenditure comprises expenditure, other than unauthorized expenditure, incurred in contravention of or that is not in accordance with a requirement of any applicable legislation, including:

- the Public Finance Management Act (PFMA), Act 1 of 1999 (as amended by Act 29 of 1999); or
- the State Tender Board Act, 1968 (Act No. 86 of 1968) or any regulation made in terms of that Act.

Irregular expenditure is accounted for as expenditure in the Statement of Financial Performance and where recovered, it is subsequently accounted for as revenue in the Statement of Financial Performance.

1.13 Fruitless and Wasteful Expenditure

Fruitless and wasteful expenditure means expenditure that was made in vain and would have been avoided had reasonable care been exercised. Fruitless and wasteful expenditure is accounted for as expenditure in the Statement of Financial Performance and where recovered, it is subsequently accounted for as revenue in the Statement of Financial Performance.

1.14 Contingent Assets and Liabilities

A contingent liability is

- a possible obligation that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity;
- or a present obligation that arises from past events but is not recognised because it is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities may develop in a way not initially expected. Therefore, they are assessed continually to determine whether an outflow of resources embodying economic benefits or service potential has become probable. If it becomes probable that an outflow of future economic benefits or service potential will be required for an item previously dealt with as a contingent liability, a provision is recognised in the financial statements of the period in which the change in probability occurs.

A contingent asset usually arise from unplanned or other unexpected events that give rise to the possibility of an inflow of economic benefit to the entity. The inflow of economic benefit must be probable, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised in financial statements since this may result in the recognition of revenue that may never be realised. However, when the realisation of revenue is virtually certain, then the related asset is not a contingent asset and its recognition is appropriate.

1.15 Commitments

Commitments are agreements that were entered into by the agency with an external service provider or parties before the reporting date where delivery is expected to take effect after the reporting date.

Such commitments do not meet the definition of a liability in terms of the conceptual framework.

1.16 Presentation of Budget Information

Comparison of budget and actual amounts are presented in the Statement of Comparison of Budget and Actual Information for the financial year 2024/25. Seda only presents the final budget amounts. Differences (variances) between the actual amounts and budget amounts are presented and explained.

As per GRAP 24 Seda prepares its budget on a comparable basis, meaning that the budget and financial instruments:

- are prepared using the accrual basis of accounting for both;
- including the same activities and entities;
- using the same classification system; and
- are prepared for the same period.

1.17 Segment Reporting

The objective of this Standard is to establish principles for reporting financial information by segments. The disclosure of this information will:

Accounting Policies

- a) enable users of the financial statements to better understand the entity's performance, to evaluate the nature and financial effects of the activities in which it engages and the economic environments in which it operates;
- b) identify the resources allocated to support the major activities of the entity and assist in making decisions about the allocation of resources; and
- c) enhance the transparency of financial reporting and enable the entity to better discharge its accountability obligations.

A segment is a distinguishable activity or group of activities of an entity for which is appropriate to report financial information separately, for evaluating the entity's past performance in achieving its objectives and for making decisions about the future allocation of resources.

Segment information is either presented based on service or geographical segments. Service segments relate to a distinguishable component of an entity that provides specific or achieves particular operating objectives that are in line with the entity's overall mission. Geographical segments relate to specific outputs generated or particular objectives achieved, by an entity within a particular region. Seda choose to adopt reporting based on geographical segments as management closely monitors operational performance and resources allocation to the provinces for optimal service delivery, as per GRAP 18. The basis of accounting for any transactions and nature of measurement between reportable segments is the same throughout Seda.

1.18 Expenditure recognition

The accrual accounting method recognises expenses when they are incurred, regardless of when cash is paid.

1.19 Foreign exchanges

The objective of GRAP 4 is to ensure that appropriate recognition criteria and measurement bases are applied to transactions and balances in a currency other than the reporting currency and that sufficient information is disclosed in the notes to the financial statements.

An entity that prepares and presents financial statements under the accrual basis of accounting shall apply this Standard:

- (a) in accounting for transactions and balances in foreign currencies, except for those derivative transactions and balances that are within the scope of the Standard of GRAP on Financial Instruments;
- (b) in translating the financial performance and financial position of foreign operations that are included in the financial statements of the entity by consolidation, proportionate consolidation or by the equity method; and
- (c) in translating an entity's financial performance and financial position into a presentation currency.

A foreign currency transaction is a transaction that is denominated or requires settlement in a foreign currency, including transactions arising when an entity: (a) buys or sells goods or services whose price is denominated in a foreign currency;

A foreign currency transaction shall be recorded, on initial recognition in the functional currency, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous financial statements shall be recognised in surplus or deficit in the period in which they arise.

The entity shall disclose: (a) the amount of exchange differences recognised in surplus or deficit except for those arising on financial instruments measured at fair value through surplus or deficit in accordance with the Standard of GRAP on Financial Instruments; and (b) net exchange differences classified in a separate component of net assets and a reconciliation of the amount of such exchange differences at the beginning and end of the period.

Accounting Policies

1.20 Receivables for exchange and non-exchange

Receivables from exchange transactions

An exchange transaction is one in which the entity receives assets or services or services, or has liabilities extinguished, and directly gives approximately equal value (primarily in the form of goods, services or use of assets) to the other party in exchange. Therefore an exchange transaction is between two parties giving and/or receiving assets/services, etc. for the same value.

Receivables from non-exchange transactions

Non-exchange transactions are transactions that are not exchange transactions. In a non-exchange transaction, an entity either receives value from another entity without directly giving approximately equal value in exchange, or gives value to another entity without directly receiving approximately equal value in exchange.

Transfers satisfy the definition of a non-exchange transaction due to the transferor providing resources (grants, donations, etc.) to the recipient entity without the recipient entity providing approximately equal value directly in exchange.

An entity will recognise an asset arising from a non-exchange transaction when it gains control of resources that meet the definition of an asset and satisfy the recognition criteria.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

2 REVENUE

	2025 (6 months) R	2024 R
Revenue: Exchange	32 925 237	18 851 468
Interest received	29 601 584	16 860 841
Sundry income (including asset related)	3 287 853	1 990 627
Gain on assets	35 800	
Revenue: Non-exchange	1 002 095 172	1 475 504 181
Government grants	934 853 000	1 402 946 000
- Seda from DSBD	821 158 000	1 226 206 000
- Seda Technology Programme (STP) from DSBD	113 695 000	176 740 000
DSBD Specific projects ¹	13 592 626	21 568 524
Provincial Governments ²	3 708 150	13 786 883
Local government ²	3 683 110	6 444 290
Other income - services in kind ³	510 033	1 134 858
Other earnings from programmes and projects ⁴	45 748 253	29 623 626
	1 035 020 409	1 494 355 649

Nature and type of services are as follows:

- 1 DSBD specific projects relates to additional funding received from the DSBD to implement specific projects like international markets exposure for MSMEs.
- 2 Provincial and Local government income relates to MOA signed with provincial government and local municipalities to delivery services in their jurisdiction area to MSMEs.
- 3 Services in kind relate to the fair value of accommodation supplied at no charge by Stakeholders to Seda extensions and co-locations in the provinces.
- 4 Other earnings from programme and projects relates to income from MOA signed with other national government departments, public entities and SETAs to deliver services to MSMEs on their behalf.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

3 EXPENSES FOR THE YEAR

Surplus for the year is arrived at after taking into account the following:

	2025 (6 months) R	2024 R
3.3 Personnel cost	235 427 298	428 892 294
- Service awards	124 000	456 000
- Leave accruals	6 662 092	3 246 250
- Provision for performance reward	19 558 659	35 866 216
- Salaries	205 824 453	382 539 101
- Skills Development Levy (SDL)	2 305 461	3 806 045
- Temporary workers	26 652	501 669
- Workmen’s compensation	925 981	2 477 013

	2025 (6 months) R	2024 R
3.1 Administrative and other costs	89 097 835	165 830 802
Administrative costs	54 043 046	103 025 841
- Admin related (excluding boards members’ emoluments, operating lease expense and provision for bad debt)	29 731 455	59 609 660
* Cleaning	3 256 261	6 964 322
* Consumables	1 094 495	2 982 369
* Maintenance and repairs	1 715 890	3 118 675
* Maintenance and repairs - hardware	169 857	92 255
* Maintenance and repairs - office equipment	185 101	435 767
* Maintenance and repairs - office buildings	557 054	1 060 837
* Maintenance and repairs - vehicles	803 878	1 529 816
* Municipal services	5 706 445	11 081 752
* Other (includes catering, general expenditure, insurance, stationery etc.)	9 175 535	18 909 456
* Provision / write-off on inventory	-	(818)
* Travel and accommodation	8 782 829	16 553 904

Notes to the Financial Statements

	2025 (6 months) R	2024 R
- Communication costs	7 070 913	14 015 728
* Advertising and marketing	907 987	3 121 831
* Printing and publication	1 059 480	1 360 313
* Other (includes courier cost, library maintenance etc.)	757 816	1 947 182
* Telephone and cell phone	4 345 630	7 586 402
- Computer services	14 406 169	23 162 500
* Internet charges	7 083 499	10 732 522
* Specialised computer services	-	2 023
* Software licences	7 322 670	12 427 955
- Recruitment and re-location costs	235 227	1 420 442
- Professional services (excluding auditors' remuneration)	1 518 241	1 334 741
* Consultants	98 750	-
* Legal services	1 326 310	1 164 422
* Other (includes membership fees to professional bodies etc.)	93 181	170 319
- Staff training & development	1 081 041	3 482 770
Auditors' remuneration	4 456 038	3 931 924
- External auditors	4 048 133	3 595 828
* Regularity audit	4 048 133	3 595 828
- Internal auditors	407 905	336 096
Board members' emoluments	2 223 805	4 713 205
- For services as members (excl CEO remuneration)	1 982 909	4 414 360
- Board sub-committees	240 896	298 845
Operating lease expenses	28 371 446	54 377 481
- Buildings and equipment		
Provision for bad debts	3 500	(219 012)
Interest paid	-	1 363
- Interest paid	-	1 363

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	2025 (6 months) R	2024 R
3.4 Depreciation, impairment and amortisation	6 336 460	15 780 977
- Computer equipment	2 916 790	7 380 247
- Computer software	404 034	1 237 332
- Equipment	918 445	1 638 523
- Motor vehicles	1 823 116	4 181 624
- Office furniture	206 944	497 385
- Leasehold improvements	67 131	845 866
3.2 Programme and projects costs	262 018 708	598 671 522
- Enterprise Development Fund (EDF)	18 301 034	51 375 460
- Other programmes and projects (includes dsbd specific projects, programme development, other projects, specific target market projects etc.)	193 006 982	365 561 963
- Seminars and workshops for clients	4 805 353	11 901 266
- STP - Incubators	42 824 900	149 782 575
- STP - Quality and Standards projects	3 569 903	11 555 329
- STP - Technology Transfer Assistance (TTA)	(489 464)	8 494 929

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

4 CASH AND CASH EQUIVALENTS

	2025 (6 months) R	2024 R
Investment account	60 049	57 635
Current accounts	971 684 042	625 953 637
Petty cash	294 980	318 197
	972 039 071	626 329 469

Refer to note 16.4 for details on interest rates.

Included in the cash balance of R971 684 042 is the R150 237 206 (2024: R140 458 274) relating to grants received in advance, which is to be utilised for specific projects as reflected in note 9.

5 ACCOUNTS RECEIVABLE

5.1 Non - exchange transactions

	2025 (6 months) R	2024 R
Programmes and projects receivables	165 017 384	137 130 154
less: Provision for bad debt (non-exchange)	(472 402)	(472 402)
	164 544 982	136 657 752
The ageing analysis of the past due non-exchange receivables is as follows:		
< 3 months	9 111 306	10 045 240
3 - 6 months	20 119 092	-
6 months - 1 year	115 943 820	112 741 748
1+ years	19 370 764	13 870 764
Total non-exchange receivables past due date	164 544 982	136 657 752

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

5.2 Exchange transactions

	2025 (6 months) R	2024 R
Deposits	2 366 617	2 370 573
Payment in advance	12 769 259	10 782 691
Staff receivables	109 903	255 823
Sundry receivables	1 784 021	1 210 921
	17 029 800	14 620 008
Less: Provision for bad debt (exchange)	(351 269)	(347 769)
	16 678 531	14 272 239
TOTAL	181 223 513	150 929 991
The ageing analysis of the past due exchange receivables is as follows:		
< 3 months	6 844 604	2 523 267
3 - 6 months	6 495 970	399 624
6 months - 1 year	993 302	5 568 016
1+ years	2 246 959	5 781 332
Total exchange receivables past due date	16 580 835	14 272 239
Provision for bad debts:		
Movement for the year:		
Opening Balance at 1 April	820 171	1 114 203
Less: Bad debt written-off or (recovered)	-	(75 020)
	820 171	1 039 183
	3 500	(219 012)
CLOSING BALANCE AT 30 SEPTEMBER	823 671	820 171

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

6 INVENTORIES

	2025 (6 months) R	2024 R
Consumable stores at cost	305 940	246 390
Current replacement cost	305 940	246 390
Provision for stationery and computer consumables written-off:		
Movement for the year:		
Opening Balance at 1 April	-	-
Plus: provision current year	-	818
	-	818
Net charge to the Statement of Financial Performance	-	(818)
CLOSING BALANCE AT 30 SEPTEMBER	-	-

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

7. PLANT & EQUIPMENT - 2024/25 (6 MONTHS)

	Computer Equipment R	Equipment R	Motor Vehicles R	Office Furniture R	Leasehold Improvements R	Total R
Major Assets (above R2 000 per item)						
At 1 April 2024						
Cost	91 099 038	21 844 733	50 048 964	24 803 542	6 962 525	194 758 802
Accumulated depreciation and impairment	(74 422 184)	(17 154 637)	(35 962 104)	(21 840 802)	(6 610 586)	(155 990 313)
Opening carrying amount	16 676 854	4 690 096	14 086 860	2 962 740	351 939	38 768 489
Half year ended 30 September 2024						
Opening carrying amount	16 676 854	4 690 096	14 086 860	2 962 740	351 939	38 768 489
Additions at cost	1 428 206	3 405 337	-	50 445	248 868	5 132 856
Disposals and write off at cost	(729 436)	(698 683)	-	(11 244)	-	(1 439 363)
Disposal and write off depreciation	606 942	667 586	(1)	10 414	-	1 284 941
Depreciation for the year	(2 913 794)	(908 526)	(1 823 116)	(206 944)	(67 131)	(5 919 511)
Depreciation Reallocated	-	15 590	1	2 748	(1)	18 338
Closing carrying amount	15 068 772	7 171 400	12 263 744	2 808 159	533 675	37 845 750
At 30 September 2024						
Cost	91 688 444	24 660 750	50 048 964	24 842 743	7 211 393	198 452 294
Accumulated depreciation and impairment	(76 726 655)	(17 382 395)	(37 785 220)	(22 034 583)	(6 677 718)	(160 606 571)
Carrying amount	14 961 789	7 278 355	12 263 744	2 808 160	533 675	37 845 723
Useful lives	4 years	6 years	5 years	6 years	6 years or lease period	

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	Computer Equipment R	Equipment R	Motor Vehicles R	Office Furniture R	Leasehold Improvements R	Total R
Minor Assets (below R2 000 per item and excluding major assets)						
At 1 April 2024						
Cost	255 894	538 545	-	305 604	-	1 100 043
Accumulated depreciation and impairment	(255 507)	(537 666)	-	(305 118)	-	(1 098 291)
Opening carrying amount	387	879	-	486	-	1 752
Half year ended 30 September 2024						
Opening carrying amount	387	879	-	486	-	1 752
Additions at cost	2 998	9 924	-	-	-	12 922
Disposals and write off at cost	-	(8 794)	-	-	-	(8 794)
Disposal and write off depreciation	-	8 781	-	-	-	8 781
Depreciation for the year	(2 996)	(9 919)	-	-	-	(12 915)
Depreciation Reallocated	-	-	-	-	-	-
Closing carrying amount	389	871	-	486	-	1 746
At 30 September 2024						
Cost	258 892	539 675	-	305 604	-	1 104 171
Accumulated depreciation and impairment	(258 503)	(538 803)	-	(305 119)	-	(1 102 425)
Carrying amount	389	872	-	485	-	1 746
TOTAL CARRYING VALUE	14 962 178	7 279 227	12 263 744	2 808 645	533 675	37 847 469

Note:

- No assets are pledged as security and there’s no contractual commitments for the acquisition of assets.
- Useful lives and residual values were assessed during the year and no significant changes were made.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

7. PLANT & EQUIPMENT - 2023/24

	Computer Equipment R	Equipment R	Motor Vehicles R	Office Furniture R	Leasehold Improvements R	Total R
Major Assets (above R2 000 per item)						
At 1 April 2023						
Cost	86 468 268	21 309 932	48 630 214	24 731 428	6 711 973	187 851 815
Accumulated depreciation and impairment	(69 797 695)	(15 728 143)	(32 348 012)	(21 387 201)	(5 814 031)	(145 075 082)
Opening carrying amount	16 670 573	5 581 789	16 282 202	3 344 227	897 942	42 776 733
Year ended 31 March 2024						
Opening carrying amount	16 670 573	5 581 789	16 282 202	3 344 227	897 942	42 776 733
Additions at cost	7 611 886	737 979	2 131 183	121 103	300 361	10 902 512
Disposals and write off at cost	(2 847 837)	(336 457)	(712 433)	(48 989)	(49 809)	(3 995 525)
Disposal and write off depreciation	2 635 876	322 621	567 533	42 576	49 311	3 617 917
Depreciation for the year	(7 374 948)	(1 631 137)	(4 181 624)	(496 178)	(845 866)	(14 529 753)
Cost re-allocated	(133 279)	133 279	-	-	-	-
Depreciation Reallocated	114 583	(117 978)	(1)	1	-	(3 395)
Closing carrying amount	16 676 854	4 690 096	14 086 860	2 962 740	351 939	38 768 489
At 31 March 2024						
Cost	91 099 038	21 844 733	50 048 964	24 803 542	6 962 525	194 758 802
Accumulated depreciation and impairment	(74 422 184)	(17 154 637)	(35 962 104)	(21 840 802)	(6 610 586)	(155 990 313)
Carrying amount	16 676 854	4 690 096	14 086 860	2 962 740	351 939	38 768 489
Useful lives	4 years	6 years	5 years	6 years	5 years or lease period	

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

	Computer Equipment	Equipment	Motor Vehicles	Office Furniture	Leasehold Improvements	Total
	R	R	R	R	R	R
Minor Assets (below R2 000 per item and excluding major assets)						
At 1 April 2023						
Cost	260 153	534 897	-	307 763	8 962	1 111 775
Accumulated depreciation and impairment	(258 552)	(533 912)	-	(307 264)	(8 956)	(1 108 684)
Opening carrying amount	1 601	985	-	499	6	3 091
Year ended 31 March 2024						
Opening carrying amount	1 601	985	-	499	6	3 091
Additions at cost	4 099	7 367	-	1 198	-	12 664
Disposals and write off at cost	(8 358)	(3 719)	-	(3 357)	(8 962)	(24 396)
Disposal and write off depreciation	8 344	3 631	-	3 354	8 956	24 285
Depreciation for the year	(5 299)	(7 386)	-	(1 207)	-	(13 892)
Closing carrying amount	387	879	-	486	-	1 752
At 31 March 2024						
Cost	255 894	538 545	-	305 604	-	1 100 043
Accumulated depreciation and impairment	(255 507)	(537 666)	-	(305 118)	-	(1 098 291)
Carrying amount	387	879	-	486	-	1 752
TOTAL CARRYING VALUE	16 677 241	4 690 975	14 086 860	2 963 226	351 939	38 770 241

Notes to the Financial Statements

8 INTANGIBLE ASSETS

	2025 (6 months) Computer Software R	2024 Computer Software R
Major Assets (above R2 000 per item)		
At 1 April		
Cost	8 720 806	8 720 806
Accumulated depreciation / amortisation	(8 118 836)	(6 881 504)
Opening carrying amount	601 970	1 839 302
Year ended 31 March		
Opening carrying amount	601 970	1 839 302
Additions at cost	-	-
Disposals and write off at cost	-	-
Depreciation / amortisation for the year	(404 034)	(1 237 332)
Cost re-allocated	-	-
Impairment	-	-
Amortisation re-allocated	-	-
Closing carrying amount	197 936	601 970
At 31 March		
Cost	8 720 806	8 720 806
Accumulated depreciation / amortisation	(8 522 870)	(8 118 836)
Carrying amount	197 936	601 970
Useful lives	4 years	4 years
Minor Assets (below R2 000 per item and excluding major assets)		
At 1 April		
Cost	763	763
Accumulated depreciation / amortisation	(761)	(761)
Opening carrying amount	2	2
Year ended 31 March		
Opening carrying amount	2	2
Additions at cost	-	-
Disposals and write off at cost	-	-
Depreciation re-allocated	-	-
Closing carrying amount	2	2
At 31 March		
Cost	763	763
Accumulated depreciation / amortisation	(761)	(761)
Carrying amount	2	2
TOTAL CARRYING VALUE	197 938	601 972

Notes to the Financial Statements

9 PAYABLES AND FINANCIAL LIABILITIES

	2025 (6 months) R	2024 R
Exchange transactions	51 021 218	48 581 214
Leave accruals	32 352 841	25 460 462
Long service awards accruals	124 000	456 000
Staff savings	2 992 599	946 880
Accrued expenses: goods and services ¹	9 588 488	14 348 588
Trade payables ¹	5 963 290	7 369 284
Financial liabilities	399 488 462	450 694 581
Income received in advance from programme and projects ²	150 237 206	140 458 274
Accrued expenses: programmes and projects ¹	249 251 256	310 236 307
TOTAL PAYABLES AND FINANCIAL LIABILITIES	450 509 680	499 275 795

- 1) Trade payables and accrued expenses are non-interest bearing and are settled on a 30 day basis. Due to the short-term nature of the payables, management believes that the carrying amount approximates their fair value.
- 2) The balance relates to stakeholder-funded projects. These conditional balance will be recognised as revenue in future accounting periods upon completion of the specified task or incurring the costs on the projects.

10 PROVISIONS

	2025 (6 months) R	2024 R
Provision for loss of assets	405 052	331 044
Provision for performance rewards	21 420 549	38 999 999
	21 825 601	39 331 043
Movement for Loss of Assets		
Provision for loss of assets		
Opening balance at 1 April	331 044	33 808
plus: provision current year	74 008	331 044
less: written off	-	(33 808)
Net charge to the Statement of Financial Performance	-	-
CLOSING BALANCE AT 31 MARCH	405 052	331 044
Movement for the Year for Performance Rewards		

Notes to the Financial Statements

	2025 (6 months) R	2024 R
Provision for performance rewards		
Opening balance at 1 April	38 999 999	24 324 288
less: paid	(37 138 109)	(21 190 505)
Balance	1 861 890	3 133 783
Net charge to the Statement of Financial Performance	19 558 659	35 866 216
CLOSING BALANCE AT 31 MARCH	21 420 549	38 999 999

The Board has discretion on eligibility for performance rewards consideration subject to organisational performance and availability of funds. Performance rewards is payable after year end.

11 OPERATING LEASE OBLIGATION

Seda leases office buildings and office equipment for its National Office, nationwide Provincial Offices and Branches in terms of operating leases. Seda does not have the option to acquire the buildings or office equipment at the termination of the leases.

	2025 (6 months) R	2024 R
Operating lease: short-term	657 104	1 103 970
Operating lease: long term	245 024	380 679
Straight-lining effect of the operating lease	902 128	1 484 649
OPERATING LEASE COMMITMENTS		
The future minimum lease payments under non-cancellable operating leases are as follows:		
Up to one year	40 491 042	26 832 600
Above one year and less than five years	10 497 582	8 012 992
Longer than five years	-	
	50 988 624	34 845 592

12 CONTINGENT ASSETS AND LIABILITIES

	2025 (6 months) R	2024 R
Contingent Liabilities		
There are contingent liabilities in respect of:		
Legal claims - Employees	-	274 222
Legal claims - Suppliers	-	2 242 878
	0	2 517 100

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

13	COMMITMENTS	2025 (6 months) R	2024 R
Capital Expenditure			
Equipment		108 999	8 469
		108 999	8 469
Operational Expenditure			
Approved and contracted		564 967 070	512 561 509
Approved but not yet contracted		2 448 676	683 790
		567 415 746	513 245 299
Total Commitments		567 524 745	513 253 768
Commitments split per period			
Up to 12 months		88 444 962	285 341 900
Longer than 12 months		479 079 783	227 911 868
		567 524 745	513 253 768

14

REMUNERATION OF BOARD OF DIRECTORS

14.1

Board members: 1 April to 30 September 2024

No	Name	Director fees & preparation time	Subsistence allowance	Travelling	Salary	Mobile telecom allowance	Acting allowance	Performance bonus (2023/24)	Long service award	Re-imbursements	TOTAL R
1	Bonakele, KT	162 884	-	2 761	-	-	-	-	-		165 645
2	Daku, XE	269 031	3 348	19 837	-	-	-	-	-	14 952	307 168
3	Prof Gumede, VT	15 506	805	2 418	-	-	-	-	-	4 738	23 467
4	Kana, NF	75 780	483	3 849	-	-	-	-	-		80 112
5	Matsho, J	28 342	1 320	10 703	-	-	-	-	-	3 246	43 611
6	Ngcukuva, GN	35 732	1 143	6 639	-	-	-	-	-	695	44 209
7	Nkambule, BT	33 371	483	2 827	-	-	-	-	-		36 681
8	Nkomo, P	146 621	338	3 437	-	-	-	-	-	1 390	151 786
9	Ntuane, LL	157 739	-	459	-	-	-	-	-	1 626	159 824
10	Majola, N	-	-		1 093 417	18 000	627 983	259 636	-	1 328	2 000 364
11	Mfuleni, MM	197 540	-	-	-	-	-	-	-		197 540
12	Mqingwana, P	155 405	1 481	7 350	-	-	-	-	-	19	164 255
13	Mbatha, N	-	-		324 225	8 625	71 403	469 973	-		874 226
14	Mogorosi, KL	89 323	-	651	-	-	-	-	-	495	90 469
15	Mtsweni, SJ	74 499	974	8 949	-	-	-	-	-	767	85 189
16	Ramokhele, BM	111 262	-	1 668	-	-	-	-	-	1 641	114 571
17	Shiviti, TG	24 270	322	3 266	-	-	-	-	-		27 858
18	Simelane, SP	163 822	-	3 241	-	-	-	-	-	3 920	170 983
19	Xabadiya, A	90 669	-	1 528	-	-	-	-	-	1 014	93 211
20	Zvobwo, M	22 924	483	2 413	-	-	-	-	-	510	26 330
		1 854 720	11 180	81 996	1 417 642	26 625	699 386	729 609	-	36 341	4 857 499

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

Board Sub-committees Members: 1 April to 30 September 2024

No	Name	Consultant Fees	Subsistence allowance	Travelling	Salary	Allowances	Acting allowance	Performance bonus	Long service award	Reimbursements	TOTAL R
21	Makanda, N	222 424	821	17 651	-	-	-	-	-	-	240 896
		222 424	821	17 651	-	-	-	-	-	-	240 896
	TOTAL	2 077 144	12 001	99 647	1 417 642	26 625	699 386	729 609	-	36 341	5 098 395

Notes:

- 1
- Bonakele, KT - new Board member from June 2024.
- 3
- Prof Gumede, VT - term ended May 2024.
- 4
- Kana, NF - term ended May 2024.
- 5
- Matsho, J - term ended May 2024.
- 6
- Ngcukuva, GN - term ended May 2024.
- 7
- Nkambule, BT - term ended May 2024.
- 8
- Nkomo, P - new Board member from May 2024.
- 9
- Ntuane, LL - new Board member from May 2024.
- 10
- Majola, N - Acting CEO from 13 May 2024.
- 13
- Mbatha, N - Acting CEO until 13 May 2024.
- 14
- Mogorosi, KL - new Board member from May 2024.
- 16
- Ramokhele, BM - new Board member from June 2024.
- 17
- Shiviti, TG - term ended May 2024.
- 18
- Simelane, SP - new Board member from May 2024.
- 19
- Xabadiya, A - new Board member from June 2024.
- 20
- Zvobwo, M - term ended May 2024.

14.2 Board members: 1 April 2023 to 31 March 2024

No	Name	Director fees & preparation time	Subsistence allowance	Travelling	Salary	Mobile telecom allowance	Acting allowance	Performance bonus (2022/23)	Long service award	Reimbursements	TOTAL R
1	Daku, XE	1 020 528	8 079	111 394	-	-	-	-	-	776 101	1 916 102
2	Prof Gumede, VT	202 260	805	5 586	-	-	-	-	-	8 584	217 235
3	Kana, NF	498 762	2 060	22 609	-	-	-	-	-	6 908	530 339
4	Matsho, J	201 815	1 910	28 254	-	-	-	-	-	2 992	234 971
5	Dr Ndlovu, MJ	21 572	450	2 521	-	-	-	-	-	-	24 543
6	Ngcukuva, GN	279 132	5 492	39 007	-	-	-	-	-	2 887	326 518
7	Nkambule, BT	248 594	1 288	16 862	-	-	-	-	-	691	267 435
8	Mfuleni, MM	278 681	1 438	7 633	-	-	-	-	-	210	287 962
9	Mqingwana, P	269 020	1 588	25 710	-	-	-	-	-	1 455	297 773
10	Mbatha, N	-	-	-	2 449 333	60 000	441 262	581 286	-	-	3 531 881
11	Mtsweni, SJ ^	-	2 415	10 457	-	-	-	-	-	15	12 887
12	Dr Qobo, MJ	50 882	300	3 067	-	-	-	-	-	152	54 401
13	Shiviti, TG	121 368	322	6 926	-	-	-	-	-	23	128 639
14	Zvobwo, M	107 884	966	6 567	-	-	-	-	-	138	115 555
		3 300 498	27 113	286 593	2 449 333	60 000	441 262	581 286	-	800 156	7 946 241

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

Board Sub-committees Members: 1 April 2023 to 31 March 2024

No	Name	Consult- ant Fees	Subsistence allowance	Travelling	Salary	Allow- ances	Acting allow- ance	Perfor- mance bonus	Long service award	Re- imburse- ments	TOTAL R
15	Makanda, N	269 326	2 071	26 854	-	-	-	-	-	594	298 845
		269 326	2 071	26 854	-	-	-	-	-	594	298 845
	TOTAL	3 569 824	29 184	313 447	2 449 333	60 000	441 262	581 286	-	800 750	8 245 086

Notes:

5

Dr Ndlovu, MJ - Appointed as Board member from May 2022 to April 2023.

10

Mbatha, N - Acting CEO.

12

Dr Qobo, MJ - Appointed as Board member from May 2022 to April 2023.

13

Shiviti, TG - Appointed as Board member from November 2023.

14

Zvobwo, M - Appointed as Board member from September 2023.

^ These members did not receive remuneration due to being employed elsewhere in the Public Sector.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

15 NOTES TO THE CASH FLOW STATEMENT

	2025 (6 months) R	2024 R
a) Plant, Equipment and Intangible assets		
Seda acquired assets, as per asset note 7 and 8.	5 145 778	10 915 176
b) Reconciliation of Surplus for the Year to Net Cash Flows from Operating Activities		
Surplus for the Year	441 589 946	284 452 859
Non-cash Movements:		
	6 886 622	16 508 172
Depreciation, impairment and amortisation	6 336 460	15 780 977
Losses incurred	550 162	727 195
Changes in Working Capital	(97 936 572)	253 045 387
Increase / (Decrease)in accounts payable	(49 614 637)	362 314 903
(Increase) / Decrease in accounts receivable	(30 293 522)	(123 834 697)
(Increase) / Decrease in inventories	59 550	64 467
Increase / (Decrease) in provisions	(17 505 442)	14 972 947
Smoothing effect of operating lease	(582 521)	(472 233)
Net Cash Flows from Operating Activities	350 539 996	554 006 418

16 FINANCIAL INSTRUMENTS

16.1 Capital Risk Management

As Seda is not exposed to long term debt, there is no meaningful debt to equity ratios such as gearing ratios to be disclosed. The majority of the funding is received from the Department of Small Business Development (dsbd) and therefore is dependent on their support.

16.2 Financial Risk Management Objectives

Management monitor and manage the financial risks relating to the operations of the entity through internal risk reports which analyse exposures by degree and magnitude of risks. These risks include market risk (including currency risk, fair value, interest risk), credit risk, liquidity risk and cash flow interest rate risk.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Financial Statements

Compliance with policies and exposure limits is reviewed by the Internal Auditors on a continuous basis. Seda does not enter into or trade in financial instruments, including derivative financial instruments, for speculative purposes.

16.3 Market Risk

Seda’s activities are of such a nature that it does not materially expose it to financial risks of changes in foreign currency exchange rates and interest rates. There has been no change to the agency’s exposure to market risks or the manner in which it manages and measures the risk.

16.4 Interest Rate Risk Management

Seda is exposed to interest rate risk with the current interest rate movements. The risk is managed by investment of surplus funds at fixed and floating interest rates for periods of 90 days and shorter with reputable banks.

The following table identifies the period over which those financial instruments that are sensitive to interest rate risk reprice. Seda surplus funds are invested in terms of its investments policy.

2025 (6 months)

	Effective Interest Rate as at 30 September 2024	Less than 6 months R	More than 6 months	Total R
Assets				
Current cash balances	6.75%	971 684 042	-	971 684 042
Investment account	8.23%	60 049	-	60 049
		971 744 091	-	971 744 091

Seda has not invested in short-term investment accounts during 2024/25 financial year.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

2024

	Effective Interest Rate as at 31 March 2023	Less than 6 months R	More than 6 months	Total R
Assets				
Current cash balances	6.67%	625 953 637	-	625 953 637
Investment account	8.17%	57 635	-	57 635
		626 011 272	-	626 011 272

16.5 Cash surplus declaration for National Treasury

Prices for future purchases and sales of goods and services are generally established on normal commercial terms directly with suppliers and customers. Management consider the price risk to be insignificant.

16.6 Credit Risk Management

Credit risk refers to the risk that a counter party would default on its contractual obligations resulting in financial loss to the entity.

Financial assets which potentially subject Seda to concentrations of credit risk consist principally of cash and short-term deposits placed with high credit quality financial institutions. Currently Seda’s cash balances and call deposits are held at ABSA bank and Corporation for Public Deposit. Trade receivables are presented net of an allowance for doubtful receivables. Seda does not have any significant exposure to any other individual customer or counter party.

The carrying amounts of financial assets included in the Statement of Financial Position represent the Seda’s exposure to credit risk in relation to these assets.

The carrying amount of financial assets to credit risk at the reporting date was:

	Notes	Carrying amount	
		2025 (6 months) R	2024 R
Accounts receivable	5	181 223 513	150 929 991
Cash and cash equivalents	4	972 039 071	626 329 469
		1 153 262 584	777 259 460
Ageing of Accounts Receivables (Net of provision for doubtful debts)			
Current (0 - 30 days)		42 258 474	12 568 508
31 - 60 days		5 039 772	399 624
61 - 90 days		231 495	5 568 016
91 - 120 days		26 531 914	112 810 782
121+ days		107 161 858	19 583 061
		181 223 513	150 929 991

There were no impairment losses.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

16.7 Liquidity Risk Management

Liquidity risk refers to the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Management are satisfied that the agency will be able to settle their financial liabilities and lease liability in the normal course of business. The liquidity ratio current assets vs. current liabilities is 2.80:1.

The following are the financial liabilities at reporting date. Disclosure is at carrying amount:

	Note	Carrying amounts	< 30 days	1 - 6 months	6 - 12 months	1+ years
30 September 2024						
Trade and other payables (excluding employee related)		415 040 240	264 803 034	150 237 206	-	-
		415 040 240	264 803 034	150 237 206	-	-
31 March 2024						
Trade and other payables		472 412 453	331 954 179	140 458 274	-	-
		472 412 453	331 954 179	140 458 274	-	-

17 RELATED PARTIES

Relationships	Name of Related Party
Controlling entity	Department of Small Business Development
National Department and Entities within the national sphere of government	Department of Employment and Labour
	Department of Social Development
	Department of Tourism
Public Entity under common control	Small Enterprise Financial Agency (Sefa)

During the year the entity in the ordinary cause of business entered into various transactions with related parties. Transactions entered into and balances outstanding between these parties are as follows:

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

Related Parties balances

	2025 (6 months) R	2024 R	Commitment R	Terms of conditions of commitments	Guarantees given or received	Provision for doubtful debt
Department of Small Business Development	8 904 291	1 777 701	-	International trade missions	None	None
Department of Small Business Development (EU funding)	(12 328 174)	(3 430 000)	(12 328 174)	Implementation of innovative platforms and systems to support the business delivery support	None	None
Department of Employment and Labour	(925 981)	(2 241 010)	925 981	Workmen's compensation	None	None
Department of Tourism	(250 000)	(1 000 000)	(250 000)		None	None
Small Enterprise Financial Agency (sefa)	19 370 764	19 411 796	5 500 000	Portfolio corporatemarketing campaign andSpaza Shop Supportprogramme	None	None
Department of Social Development	(581 649)	(674 517)	(581 649)	Enterprise Development Programme for women	None	None

Related Parties transactions

	2025 (6 months) R	2024 R
Department of Small Business Development (Government grant)	(934 853 000)	(1 402 946 000)
Department of Small Business Development (Other)	(12 473 658)	(21 527 492)
Department of Employment and Labour	925 981	2 010 628
Small Enterprise Financial Agency (sefa)	2 041 316	6 471 161
Department of Social Development	(92 868)	(825 483)

Notes:

- Remuneration of the Board of Directors is disclosed in note 14.
- Remuneration of Key Management is disclosed in note 18.
- Department of Employment and Labour. This amount relates to Workmen's Compensation.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

18 REMUNERATION OF KEY MANAGEMENT

Payments made to Seda’s Executive Managers for the half year ended 30 September 2024:

No	Name	Salary	Contributions paid by the organisation	Performance bonus	Travel allowance	Cell phone allowance	Re-imburse-ments	Other (acting allowance)	TOTAL R
1	Leshou, C	585 246	138 376	236 666	80 542	12 000	1 360	119 493	1 173 683
2	Maabane, E	567 466	118 983	373 498	-	18 000	676	584 330	1 662 953
3	Ndaba, SL	863 471	9 463	-	-	12 000	-	-	884 934
4	Ngcai, SM	1 014 709	13 278	188 783	-	18 000	3 713	-	1 238 483
5	Qunta, AT	529 355	123 101	186 841	30 000	12 000	7 774	383 712	1 272 783
6	Serapelo, T	587 872	123 881	329 557	-	18 000	821	584 330	1 644 461
		4 148 119	527 082	1 315 345	110 542	90 000	14 344	1 671 865	7 877 297

- 1 Leshou, C - Acting Chief Strategy and Information Officer from 1 August 2024.
- 2 Maabane, E - Acting Chief Financial Officer
- 3 Ndaba, SL - Chief Strategy and Information Officer till 31 July 2024.
- 4 Ngcai,SM - Executive: Seda Technology Programmes
- 5 Qunta, A - Acting Executive: Enterprise Development division from June 2024.
- 6 Serapelo, T - Acting Executive: Corporate Services

Payments made to Seda’s Executive Managers for the year ended 31 March 2024:

No	Name	Salary	Contributions paid by the or-ganisation	Performance bonus	Travel allowance	Cell phone allowance	Reimburse-ments	Other (act-ing allow-ance & long-service)	TOTAL R
1	Maabane, E	1 078 496	215 910	154 839	-	36 000	10 036	960 496	2 455 777
2	Majola, N	1 737 474	320 131	154 089	-	36 000	1 054	-	2 248 748
3	Ndaba, SL	1 887 830	21 364	-	-	36 000	1 706	-	1 946 900
4	Ngcai, SM	1 887 830	21 365	-	-	36 000	6 783	-	1 951 978
5	Serapelo, T	1 065 628	228 225	154 839	-	36 000	1 910	970 496	2 457 098
		7 657 258	806 995	463 767	-	180 000	21 489	1 930 992	11 060 501

- 1 Maabane, E - Acting Chief Financial Officer
- 2 Majola, N - Executive: Enterprise Development Division
- 3 Ndaba, SL - Chief Strategy and Information Officer
- 4 Ngcai, SM - Executive: Seda Technology Programmes
- 5 Serapelo, T - Acting Executive: Corporate Services

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

19 MEDICAL AID AND RETIREMENT BENEFITS

	2025 (6 months) R	2024 R
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For the period stated above the total amounts paid towards medical aid of 487 (404) employees and retirement benefits of 494 (495) employees are as follows:

Medical Aid	12 643 239	25 096 665
Short term portion	12 643 239	25 096 665
Long term portion	-	
Provident Fund	12 721 549	24 375 388
Short term portion	12 721 549	24 375 388
Long term portion	-	
TOTAL	25 364 788	49 472 053

20 EMPLOYEE BENEFITS

Short-term benefits		
Leave accruals	32 352 841	25 460 462
Service awards accrual	124 000	456 000
Provision for performance reward	21 420 549	38 999 999
	53 897 390	64 916 461

Long term benefits

Seda don't have long term benefits after retirement or resignation of an employee.

21 TAX STATUS

Seda is exempt from income tax in terms of section 10 (1)(cA) of the Income Tax Act, 1962.
Seda is exempted from VAT registration.

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

22 SEGMENT REPORTING PER GEOGRAPHICAL AREA

2025 (6 months)	Revenues from non- exchange allocations R	Revenues from exchange transactions R	Total Revenue as per Statement of Financial Performance R	Total expenditure (including capex) R	Non-current assets R
National Office	580 419 610	32 285 588	612 705 198	(249 235 844)	8 230 683
Provinces	421 675 562	639 649	422 315 211	(349 340 397)	29 814 724
Eastern Cape province	54 856 486	30 483	54 886 969	(42 885 618)	3 453 368
Free State province	47 220 001	49 143	47 269 144	(37 254 046)	3 034 544
Gauteng province	37 416 943	44 159	37 461 102	(28 302 488)	1 567 752
Kwa-Zulu Natal province	54 742 843	36 213	54 779 056	(63 135 035)	4 270 994
Limpopo province	48 798 356	87 517	48 885 873	(42 598 130)	3 499 511
Mpumalanga province	41 842 533	21 794	41 864 327	(32 099 608)	2 555 698
Northern Cape province	38 717 444	280 142	38 997 586	(22 364 077)	3 538 540
North West province	44 776 199	55 584	44 831 783	(34 756 559)	1 750 743
Western Cape province	53 304 757	34 614	53 339 371	(45 944 836)	6 143 574
TOTAL	1 002 095 172	32 925 237	1 035 020 409	(598 576 241)	38 045 407

- Note:
1. Explanations of the net surplus and deficit amounts are covered in context under the Statement of Budget and Actual Information.
 2. The allocation of resources to the provinces depends on the number of branches, staff, activities etc.

Refer to note 1.18

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

2024	Revenues from non- exchange allocations R	Revenues from exchange transactions R	Total Revenue as per Statement of Financial Performance R	Total expenditure (including capex) R	Non-current assets R
National Office	383 894 139	18 264 121	402 158 260	(104 171 524)	9 632 310
Provinces	1 091 610 042	587 347	1 092 197 389	(1 116 646 442)	29 739 903
Eastern Cape province	154 410 898	51 560	154 462 458	(162 070 475)	3 954 931
Free State province	98 982 234	40 326	99 022 560	(102 474 055)	2 425 527
Gauteng province	123 169 819	22 832	123 192 651	(124 825 534)	1 861 565
Kwa-Zulu Natal province	143 105 795	77 390	143 183 185	(146 285 675)	4 019 659
Limpopo province	112 558 877	81 419	112 640 296	(116 697 705)	3 244 355
Mpumalanga province	105 514 413	20 749	105 535 162	(108 959 110)	2 452 625
Northern Cape province	100 495 063	93 304	100 588 367	(99 046 806)	3 380 978
North West province	120 660 262	32 500	120 692 762	(119 893 279)	2 111 208
Western Cape province	132 712 681	167 267	132 879 948	(136 393 803)	6 289 055
TOTAL	1 475 504 181	18 851 468	1 494 355 649	(1 220 817 966)	39 372 213

- Note:
1. Explanations of the net surplus and deficit amounts are covered in context under the Statement of Budget and Actual Information.
 2. The allocation of resources to the provinces depends on the number of branches, staff, activities etc.

Refer to note 1.18

23 CALCULATION OF CASH SURPLUS DECLARATION FOR NATIONAL TREASURY

Calculation of cash surplus declaration for National Treasury

	2025 (6 months) R	2024 R
Calculation in terms of Paragraph 3.2 of the National Treasury Instruction No 12 of 2020/2021	Amount as per AFS	Amount as per AFS
Cash and cash equivalents at end of the year	972 039 071	626 329 469
Add: Receivables	181 223 513	150 929 991
Less: Current liabilities	(450 509 680)	(499 275 795)
Cash Surplus	702 752 904	277 983 665

Six Months Annual Financial Statement for the period ended 30 September 2024

Notes to the Annual Financial Statements

24 IRREGULAR AND FRUITLESS AND WASTEFUL EXPENDITURE

	2025 (6 months) R	2024 R
Irregular expenditure	4 207 950	139 142
Fruitless and wasteful expenditure	42 370	1 363
Closing balance	4 250 320	140 505

Criminal or disciplinary steps taken as a result of losses, irregular and fruitless and wasteful expenditure.

Irregular expenditure 2024/25 (6 months)

Refer to one case of irregular expenditure. Transgression of procurement process for R4 207 950.

Fruitless and Wasteful expenditure 2024/25 (6 months) -

one case of overcharged by service provider for a SMMS event in the amount of R42 370.

25 EVENTS AFTER THE REPORTING DATE OF 30 SEPTEMBER 2024

The Board of SEDFA appointed Mr N Mbatha as acting CEO effective from 1 October 2024.

In line with the President of the Republic of South Africa's minute number 251 of 2024 dated 10 September 2024, it was proclaimed that the effective date of the merger would be effective on 1 October 2024. All assets, liabilities, rights and obligations of the sefa, SEDA and CDBA, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to SEDFA.

26 GOING CONCERN

The financial statements have been prepared on the basis of accounting policies applicable to a going concern since the function and mandate will be transferred to the new entity, SEDFA. The assets and liabilities would be derecognised in the Seda financial books and be recognised at the fair value in the SEDFA financial books.

sefa Performance Report and Key Performance Highlights

The table below outlines sefa’s performance in the first half and its contribution to SEDFA in the second half.

Performance Measurement indicator (all indicators)	Predecessor institution (SEFA) 01/04/2024 – 30/09/2024	Sedfa 01/10/2024 – 31/03/2025	Total
Approvals (R’000)	R749 206	R1 257 673	R2 006 879
Disbursements (R’000)	R1 459 521	R1 844 734	R3 304 275
# of MSMEs Financed	R86 387	R78 681	R165 068
# of Jobs Facilitated	R105 229	R93 004	R198 233
Development Impact			
Facilities disbursed to Black-owned businesses (R’000)	R1 131 160	R1 576 365	R2 707 525
Facilities disbursed to women-owned businesses (R’000)	R553 487	R1 015 688	R1 569 174
Facilities disbursed to youth-owned businesses (R’000)	R229 152	R323 125	R552 276
Facilities disbursed to businesses owned by people with disabilities (R’000)	R12 351	R3 811	R16 162
Facilities disbursed to township-based businesses (R’000)	R192 735	R238 905	R431 640
Facilities disbursed businesses based in rural towns and villages (R’000)	R580 453	R1 091 736	R1 672 189

Lending and Investment Overview

Sefa employed a multi-channel approach to deliver finance to MSMEs across the country, targeting diverse business segments and stages of enterprise development.

Sefa provided direct loans to small and medium enterprises and co-operatives across all sectors. These loans support a broad range of business needs with flexible terms and are complemented by non-financial services such as mentorship and operational support to enhance sustainability and growth.

Indirectly, sefa provided wholesale funding to Micro-Finance Institutions (MFIs) that serve micro and survivalist businesses, often in underserved informal sectors. Loans in this channel typically range up to R50,000, with exceptional cases of up to R100,000 per business owner. The funding is structured flexibly to support income growth and asset building.

In addition, through its wholesale partnerships and joint ventures, sefa channeled debt and equity facilities to intermediaries (Retail Financial Intermediaries – RFIs), who in turn provide funding solutions to small and medium enterprises (SMEs). This approach extends reach to higher-value SMEs requiring larger credit facilities than the micro enterprises. The transactional limit to the RFIs, especially first-time borrowers, was dependent on sefa's counterparty limit and the securities for the loan extended may include first cession of the loan book, power of attorney over the bank accounts and guarantees from third parties, to mention a few.

This layered model allowed sefa to maximise its developmental impact by tailoring finance solutions to the unique needs of different MSME segments, fostering inclusive economic participation and job creation.

Summary of Key Performance by Channel Informal and Microfinance

The current South African business environment presents formidable challenges for micro-entrepreneurs. With persistent low economic growth, high unemployment, and rising living costs, small operators face shrinking consumer demand and tighter margins. Traditionally, sectors such as spaza shops offered critical entry points for local entrepreneurs; however, these markets are now largely dominated by foreign traders, intensifying competition. Furthermore, many micro-entrepreneurs remain economically isolated, limiting their ability to leverage economies of scale, pool resources, or benefit from collective market opportunities through cooperation.

SME Wholesale Lending

SME Wholesale Lending functions as a financing conduit through retail financial intermediaries by providing wholesale debt or equity facilities to Retail Financial Intermediaries (RFIs), structured financial solutions and managed third party funds aimed at assisting small and medium businesses. SME Wholesale Lending interventions ensured delivery of flexible, sector-specific, and scalable financing solutions.

The intermediaries that sefa partnered with, on-lend to small, and medium businesses countrywide, thereby expanding sefa's funding reach beyond direct lending.

Retail Financial Intermediaries (RFIs): sefa engaged RFIs who provide tailored financing solutions to SMEs within specific markets or sectors that are not served by sefa's direct lending. These RFIs receive flexible and structured loans to meet their funding needs. Equity investments and various credit instruments may also be part of the wholesale lending strategy for intermediaries.

- R28,3m was disbursed to farmers in Mpumalanga, North West, and Gauteng and Limpopo.
- Youth-owned farmers and 8 women-owned farmers were funded
- 191 jobs were created and 47 jobs were maintained.

Khula Credit Guarantee

Khula Credit Guarantee (KCG) plays a key role in the small business sector, by providing portfolio guarantees to financial and non-financial institutions to support MSMEs that lack sufficient collateral to secure loans. This initiative aims to enhance access to finance for MSMEs thereby promoting economic growth and job creation. KCG enables these institutions to extend loans of up to R5 million to underserved businesses, including those owned by young people, women, and rural entrepreneurs.

The guarantee fund acts as a first-loss cover for lenders, reducing their exposure and encouraging them to serve higher-risk yet promising enterprises. This leverages capital effectively, where every rand guaranteed can facilitate multiple folds in loan disbursements.

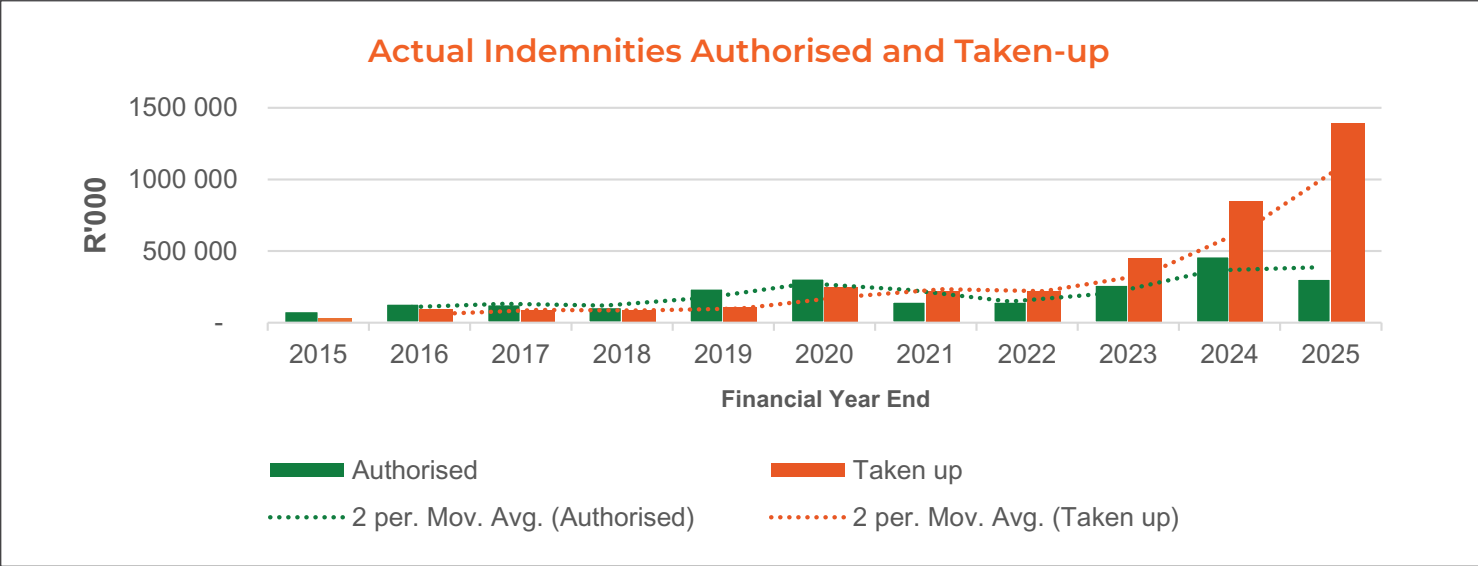
To improve impact, KCG is working closely with the banking and non-banking partners to increase uptake. The scheme supports government objectives of economic inclusion, job creation, and sustainable enterprise growth by mitigating traditional lending barriers and fostering a more inclusive credit market in South Africa.

KCG has shown significant performance in the fiscal year 2024/25.

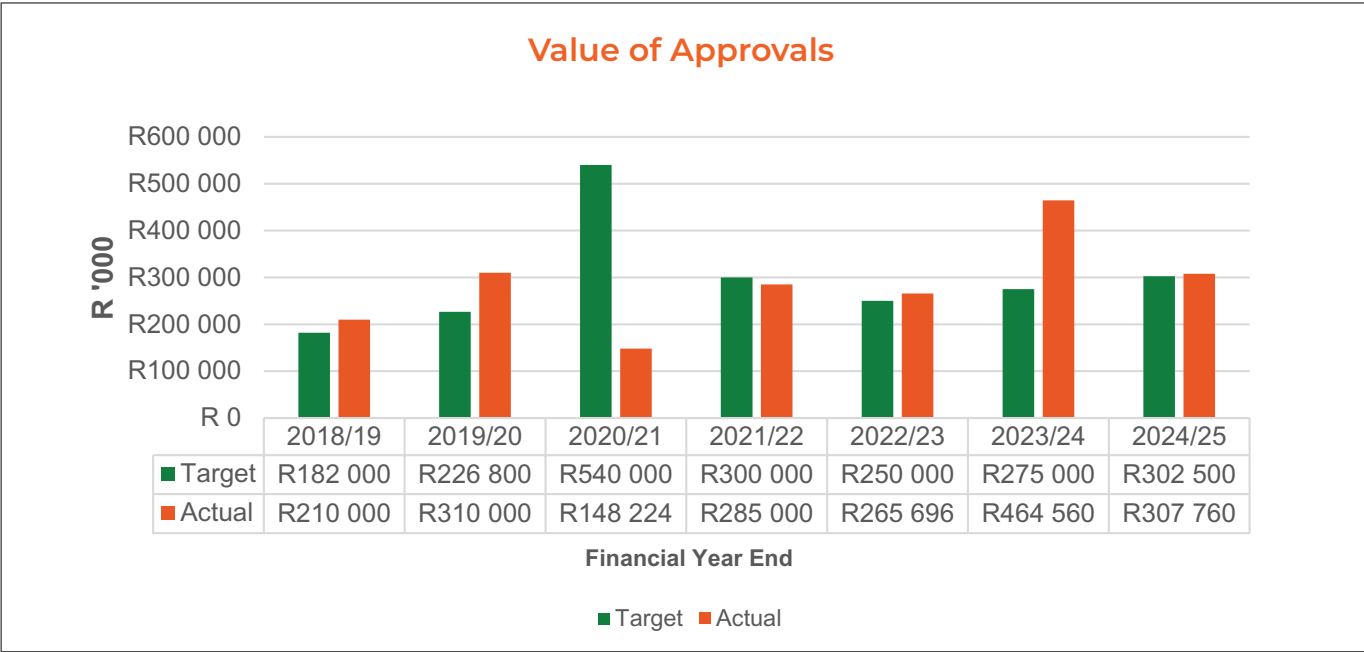
KCG achieved 101.7% of its annual target for approvals largely due to its core business portfolio guarantees, in particular Non-Bank Financial Institutions, accounting for 99.17% of actuals, whilst the remainder came from TREP – Spaza Shop Support Programme (SSSP). The total approvals for the year under review was R306.7million against a target of R302.5 million. The portfolio guarantees came from Cape Finance Corporation (R150 million), a lender active in the yellow metal equipment and logistics trucking sector for SMMEs, and Sanlam 104+ SMME Solutions (R150 million),

a Sanlam Alternative Investment and Private Debt funding vehicle.

The total value of guarantees taken up for the year under review was R1.38 billion, representing 335.1% of the yearly target. This was largely from portfolio guarantees reaching R936.4 million, achieving 129.8% of the annual target, which was strengthened by the high performance of supplier credit at R444.8 million, complemented by the winding down of the Spaza Shop Support Programme (SSSP) at R7.6 million.

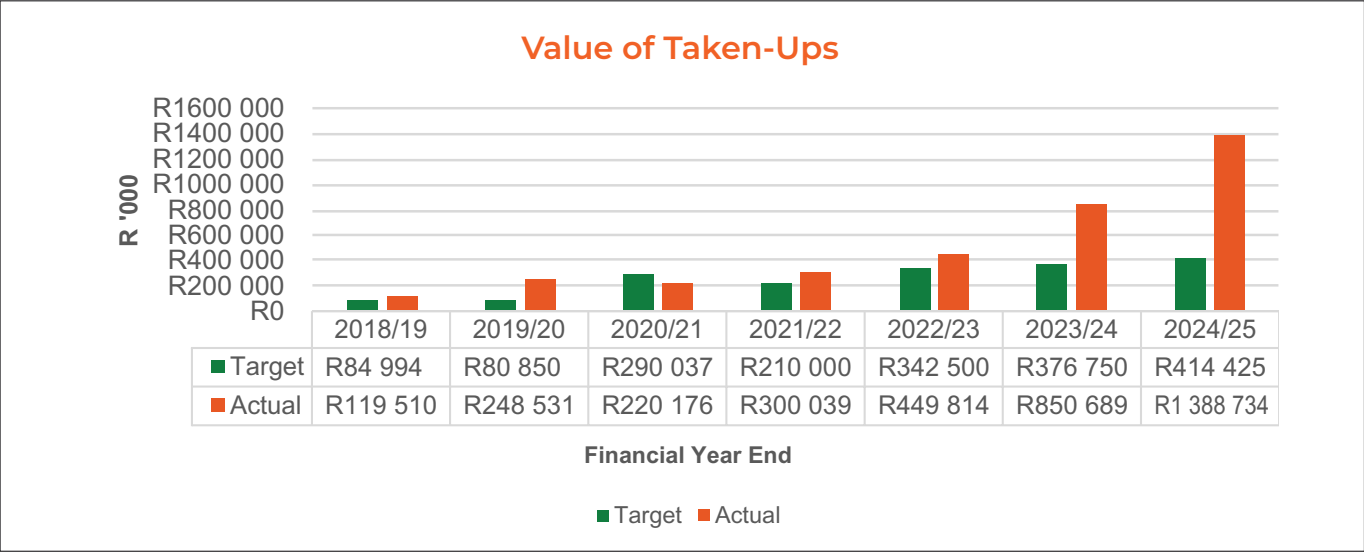


Approvals



For the period ended 31 March 2025, KCG’s approvals target was met at R307.5 million, which has shown a steady rise in approvals over the years since the introduction of portfolio guarantees. The approvals are set in such a way that they meet the calculated risk of not growing too fast, at the risk of increasing the probability of defaults at a later stage. The strategy is to have a wider pool of partner financial institutions which provide access to finance to SMMEs.

Taken ups



The KCG taken ups grew by 63.4% year on year to R1 388.7 million FY25 from R850.7 million (FY2024). For the period ended 31 March 2025, commercial banks contributed 47% to total take-ups, largely coming from ABSA ALS at R446.2 million, followed by NBFIs at 19% largely from Bizcash at R164.2 million and supplier credit guarantee at 32% from Praxis Financial Services at R268.5 million.

Summary of the transactions approved during the financial period FY25

1. Sanlam 104 + SMME Solutions (R150 million)

A portfolio credit guarantee of R150 million was approved for Sanlam 104+ SMME Solutions. This facility will provide cover to SMMEs in different sectors, including ICT and Green Economy, who apply for financial assistance from Sanlam 104+ SMME Solutions, but lack sufficient collateral.

Sanlam 104+ SMME Solutions is an SMME solution initiative by the Sanlam Investments Group, a fund managed by Sanlam Investment Management (Pty) Ltd through its sub-cluster, Sanlam Alternative Investments Private Debt team.

The purpose of the 104+ SMME Growth and Empowerment Solution is to provide a holistic SMME empowerment mechanism that pools and deploys diverse sources of SMME funding by:

- Targeting SMMEs at various phases of their growth.
- Driving black, women and youth empowerment.
- Supporting SMMEs at scale.
- Providing SMME investors with required returns that range from financial returns to impact and B-BBEE fulfilment.

- Providing specialist SMME fund managers access to concessional funding (e.g. grants, capital back and/or low return) to support SMMEs better.
- Integrating with the corporate SMME eco-systems (shared value)

Brief description of Sanlam104+ SMME Solutions' product offerings is shown below:

Product	Description
Access to capital	- Debt
	- Convertible loan instruments (mezzanine debt)
	- Equity
	- Grants
Access to markets	- Procurement
	- Business development
	- Collaboration
Access to skills	- Business development support
	- Personal training/development
	- Financial literacy

2. Cape Finance Corporation (R150 million)

A portfolio credit guarantee of R150 million was approved for Cape Finance Corporation.

This facility will provide cover to the benefit of SMMEs in the commercial vehicle industry needing financing options for new business (start-ups), expansion, and leasehold purchases but whose access to finance is impeded by lack of collateral required by the lenders. This guarantee will provide collateral cover and/or shortfalls for SMMEs, which, other than security, would qualify for Cape Finance lending criteria

Cape Finance Corporation is a 2nd and 3rd tier lender to the SMME market, mostly offering commercial vehicle financing solutions to BEE clients looking for expansion of their fleet services in yellow metal equipment, leasehold assets, invoice discounting and floor plan arrangements. Cape Finance provides finance to companies that are either fully funded by the 1st tier banks or that do not have a strong enough balance sheet suitable for 1st tier funding.

Brief description of Cape Finance Corporation product offerings is shown below:

Product	Description
Finance leases	A lease where the client retains ownership at the end of the lease term. The term ranges from 36 to 60 months. Client interest rate generally is prime plus, and it finances mainly trucks and trailers, some yellow metal & machinery
Operating Lease	A rent-to-own rental agreement where the client has the option to purchase or retain ownership at the end of the lease term, alternatively return the asset to Cape Finance. The term ranges from 36 to 60 months. Client interest rate generally is prime plus, it finances mainly trucks and trailers, some yellow metal & machinery.
Floor Plan	A short-term finance agreement generally lasts 90 to 120 days, where Cape Finance earns interest on the finance but does not own the assets.
Invoice Discounting	The invoice discounting product involves acquiring a client's debt by providing the client with a loan secured by an invoice. Cape Finance acquires the debt of the client. It pays the client between 90% to 100% of the face value of the invoice, less variable interest charges upfront, and the remaining balance, if any, when the full amount has been collected from the client's debtor.



Exposure Concentrations

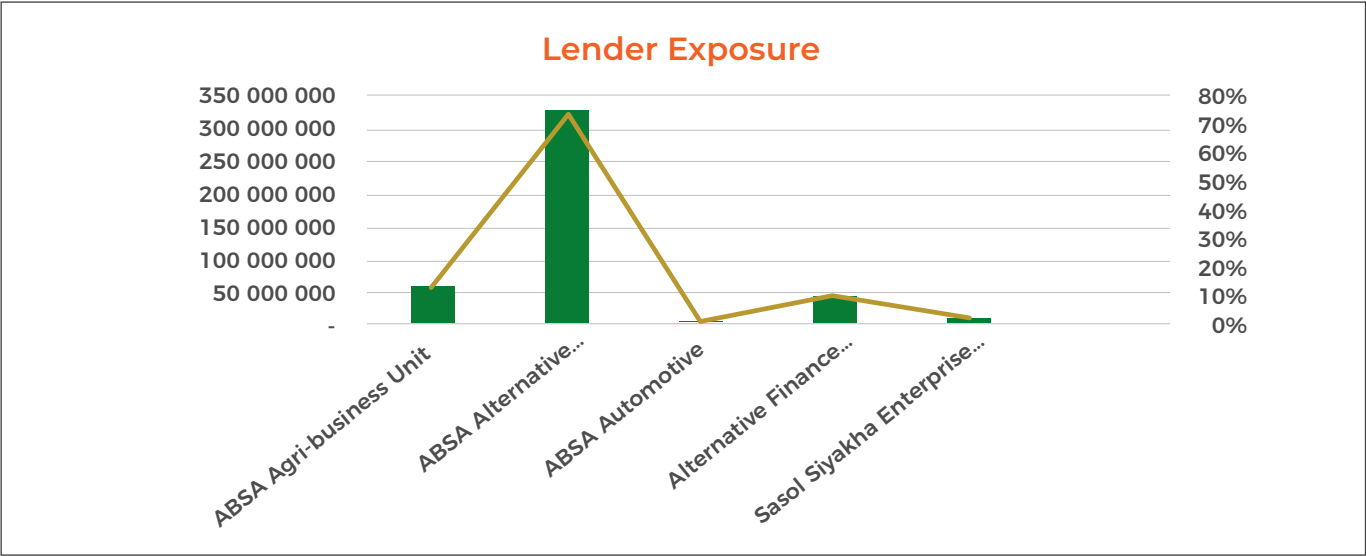
Concentration of Insurance Risk

Whilst KCG partners with PFIs provide guarantee for risk of default, KCG’s ultimate risk lies at the underlying SMME borrower level, and therefore, the concentrated exposure to specific SMMEs would be the most significant source of concentration risk. There are other secondary concentration risks, such as economic sectors, geographical locations, and practices of the lenders.

Risk Across Funders

The credit guarantee risk split is as shown in the following diagram. The bars represent the exposure in absolute amounts, whereas the black line shows the proportional contribution of exposure to the book.

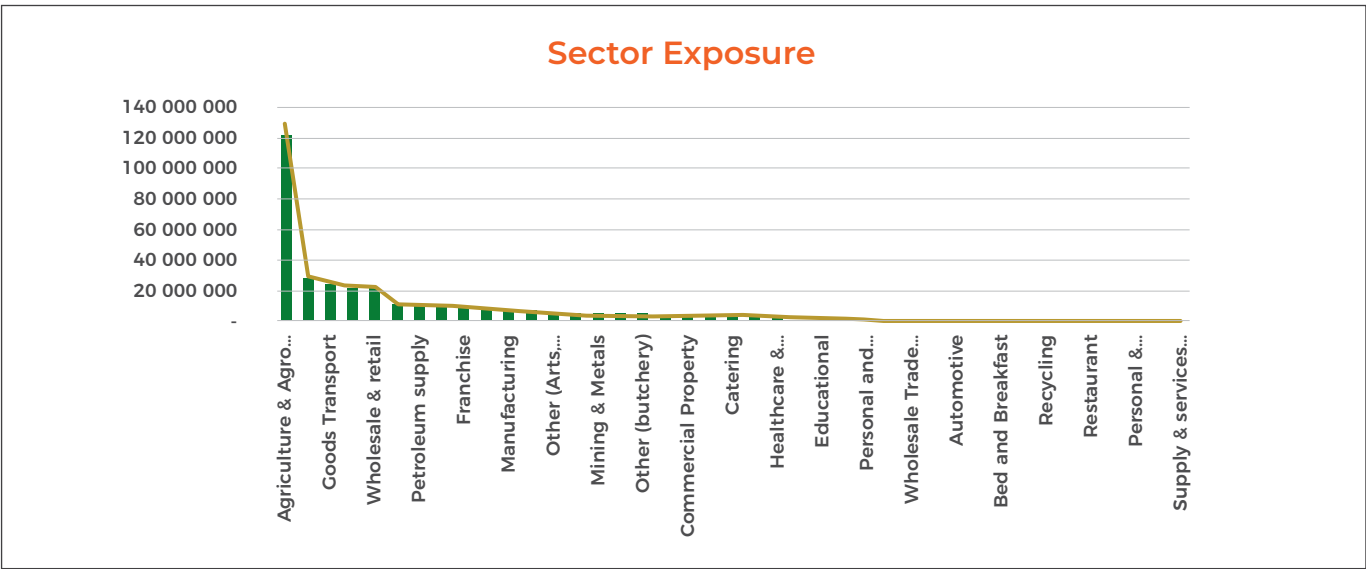
The majority of the exposure arises from ABSA Alternative Lending Solutions, with about 73% of the book arising from this lender.



Business Sector Spread

The following graph shows the concentration in exposure by business sector.

The blue bars show the exposure in absolute amounts, and the black line illustrates the proportional contribution of the risk to the book.

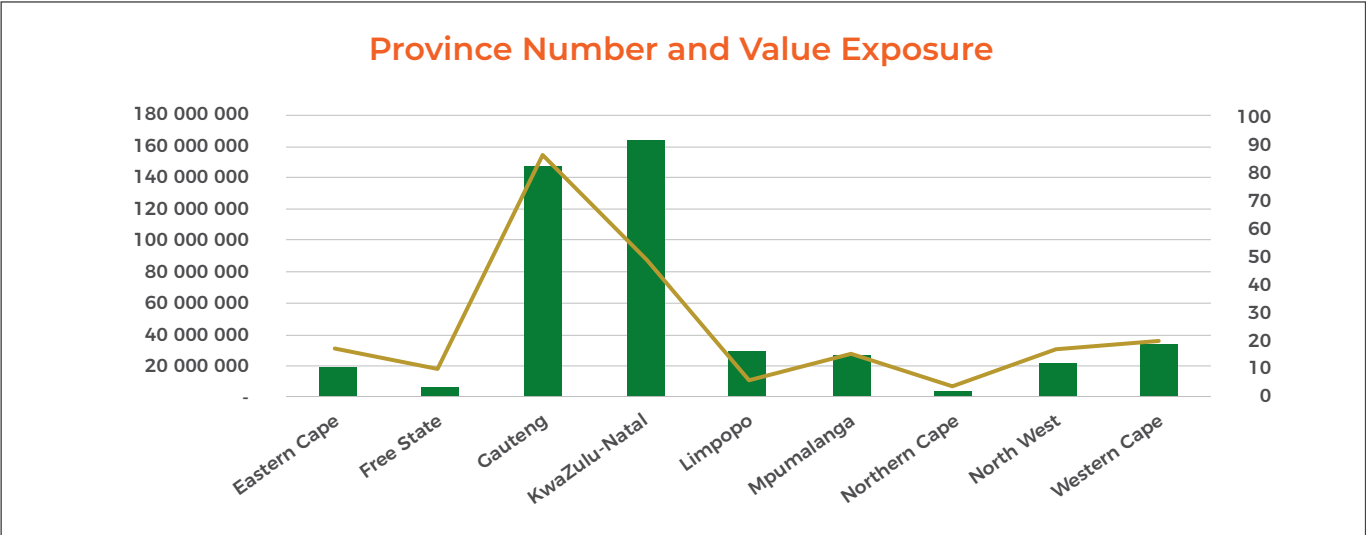


Agriculture has the largest exposure at 37% of the book, followed by Good & Transport about 10%, whereas wholesale and retail businesses have dropped to just below 5%. Other sectors such as manufacturing, mining, franchise, automotive, catering, and other sectors all have the lowest exposure of the entire book.

Risk Spread Across the Provinces

The following graph shows the concentration in exposures by province. The bars represent exposure in absolute amounts, whereas the black line shows the number of take-ups (risks).

KZN has the highest exposure in current indemnity, and Gauteng has the highest exposure in the number of policies. This means that there are larger individual loans covered in Gauteng than in any other province.



Credit Risk Management Overview

Our efforts to attain financial sustainability is to a large extent dependent on our ability to take credit risk responsibly and to manage the resultant exposure to credit risk effectively. Credit Risk is impacted by a number of factors outside SEDFA’s control, including wider economic conditions.

Credit risk represents a significant risk and mainly arises from exposures to the Commercial and Developmental funds and advances, as well as Khula and Supply Credit Guarantee. It is defined as the risk of loss arising from the failure of a counterparty to fully honour their financial or contractual obligations to SEDFA when due, including the whole and timely payment of principal, interest, collateral and other receivables. The Credit Risk SEDFA faces across its business and portfolios is a key area of management focus because it is critical to our sustainability.

The credit risk disclosures in this report include many of the as contained in Pillar 3 of Basel 3 on market discipline through prescribed public disclosures about expected credit losses (ECL), and it is expected that relevant disclosures will continue to be developed in future periods. Credit risk disclosures exclude other financial assets not subject to credit risk, mainly equity securities. Impairment is calculated in line with the requirements of IFRS9. Loss allowances, based on ECLs, are measured on a forward-looking basis using a broad range of financial metrics and application of complex judgements.

Overview

The credit risk that SEDFA faces arises mainly from providing finance to survivalist, micro, small and medium businesses, and financial Intermediaries throughout South Africa. In situations where SEDFA holds equity in funds, SEDFA’s position could suffer loss arising from the decline in the value of SEDFA’s investment.

Credit risk management decisions are made against the backdrop of SEDFA’s purpose to improve the financial lives of our clients and create value for our stakeholders in line with our mandate.

During the year under review, SEDFA emerged as a unified entity from the consolidation of the Small Enterprise Finance Agency (sefa), the Small Enterprise Development Agency (Seda) and the Co-operative Banks Development Agency (CBDA). SEDFA diversified its portfolio into Commercial and Development lending. That is moving away from the traditional Wholesale and Direct (Retail) lending portfolios. The Commercial and Development funds are managed separately to reflect the differing nature of the assets. Both the Commercial and Development fund is managed through intermediaries as well as directly to the end user.

In the year under review, SEDFA implemented the Tourism Equity fund, which was established by the Department of Tourism (DT) in partnership with the private sector and Banking institutions, in line with the B-BBEE legislation. SEDFA also continued with various loan schemes and other government support initiatives like the

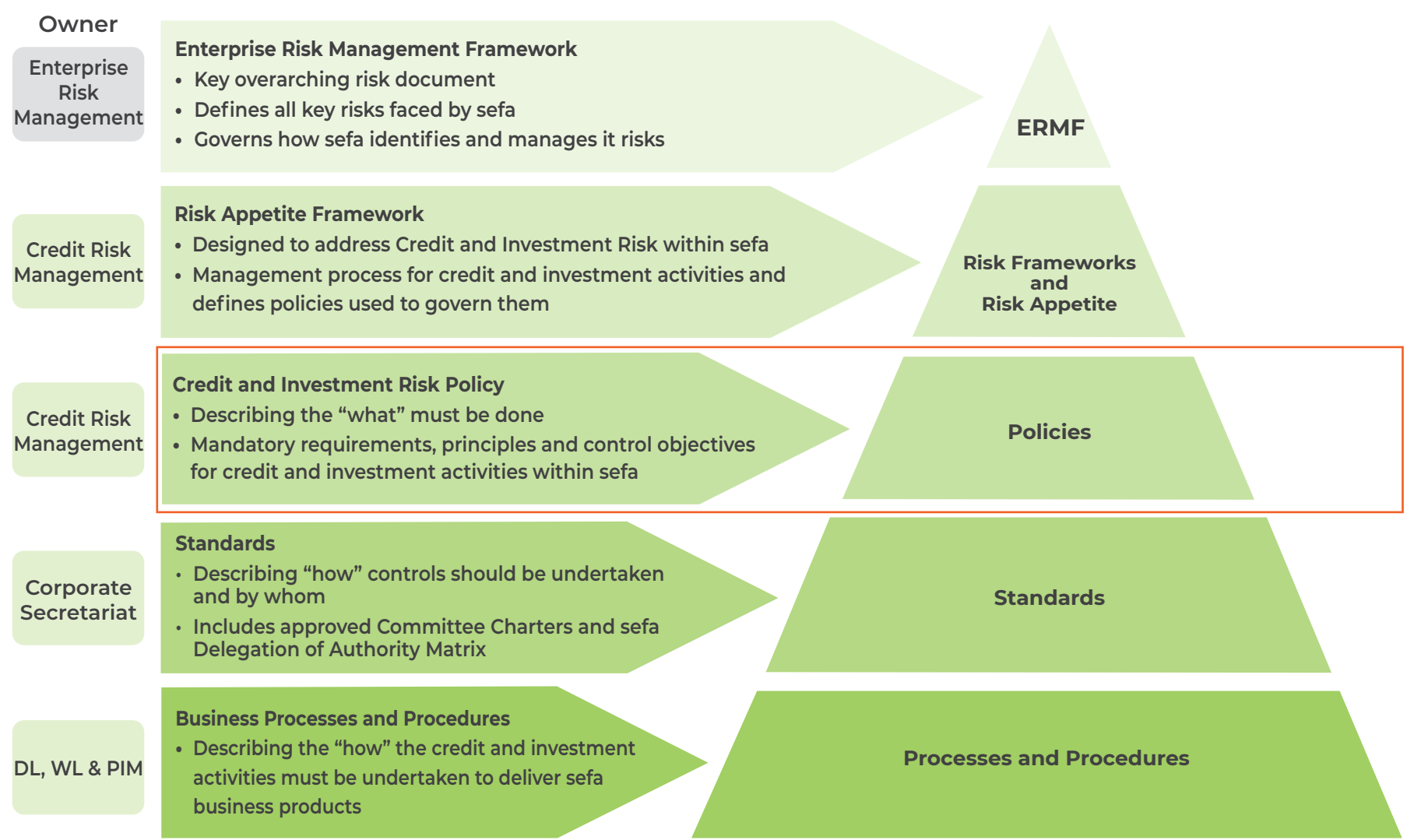
Township and Rural Empowerment Programmes (TREP), Business Recovery Package (BRP) and Business Viability Programme were deployed to provide financial support and to stimulate the economy Credit Risk Management Unit had to continuously address on-going operational issues related to these programme implementation and refine its decision-making tools for the respective schemes and related reporting tools.

During the financial year, the SEDFA Impairment Policy was revised in line with the SEDFA's governance processes and continuous review of policies and frameworks. This revision was done to align SEDFA's Impairment Policy to market best practices and ensure a standardised approach to impairments. The Policy is intended to guide management of the Small Enterprise Development Finance Agency (SEDFA) to ensure sound credit risk management and financial reporting in line with IFRS 9.

Approach to Credit Risk Management

The granting of credit is SEDFA's major source of income, and its most significant risk arises from both Commercial and Development loans, as well as Khula and Supply Credit Guarantee commitments. The management of credit risk is therefore fundamental to SEDFA's core business activities, its planning and decision-making processes. SEDFA thus dedicates considerable resources to its control and management. Credit risk management encompasses the process of identification, measuring, monitoring and controlling of all credit decisions and exposures within SEDFA.

The diagram below gives an overview of SEDFA's credit and investment risk framework and policy model.



The management of credit risk is aligned to SEDFA's Five lines of defence framework. The business functions owe the credit risk assumed by SEDFA. As the first line of defence, it is primarily responsible for its management, control and optimisation in the course of business generation.

The Credit function acts as the second line of defence. It is responsible for providing independent and objective approval and oversight for the credit risk-taking activities of business, to ensure the process of procuring revenue, while ensuring risk is undertaken with integrity.

The Board holds the ultimate approval and oversight responsibility for ensuring that strategies are set in which the underlying risk is identified, understood and responded to proactively and coherently. The Board as part of their oversight duties, sets the tone for the management of risk and defines the level of risk that SEDFA is willing to assume. Furthermore, the Board requires that the risk assumed is assessed, measured, mitigated, managed and reported on an ongoing basis and with due regard to the monitoring of overlapping nature of risks. That the necessary tools and IT systems for overall risk management and monitoring are in place.

Organisation, Roles and Responsibilities

The quality of credit risk management is assured through a centralised Risk Assurance Division, responsible for the development of policy, models and standards in support of the efficient and effective management of credit risk. The Credit Risk Management Unit is therefore a dedicated resource within the Risk Assurance Division. Its role is to assist the CEO in setting and maintaining best credit risk management practices, by providing analytical and advisory services in respect of risk taking, control, measuring and reporting on credit risk exposures, trends and quality of assets at the portfolio level.

The primary objective of the Credit Risk Management Unit is therefore to enhance shareholder value by facilitating SEDFA's management to take appropriate credit risk in the attainment of its business objectives within acceptable levels of risk tolerance and with appropriate financial returns and development impact.

The Credit Risk Management Unit performs an independent credit risk assessment of all transactions and indicates support or no support and the basis thereof. Credit risk managers, therefore, provide an objective view of the quality of individual investments and transactions under consideration. The credit team works closely with the frontline. The risk assessment critically

identifies and assesses the risks, proposing appropriate additional mitigations by analysing the entrepreneur's commitment, skills, knowledge, and experience, as well as project and market risk, along with cash flow projections. In view of the fact that most of SEDFA's loan transactions are of limited to non-recourse bases, the primary focus is to determine if projected cash flows, using realistic assumptions, are sufficient to meet the client's operational needs and also repay all liabilities promptly. Assumptions made in arriving at the projected cash flows are scrutinised for and stress tested against key performance drivers.

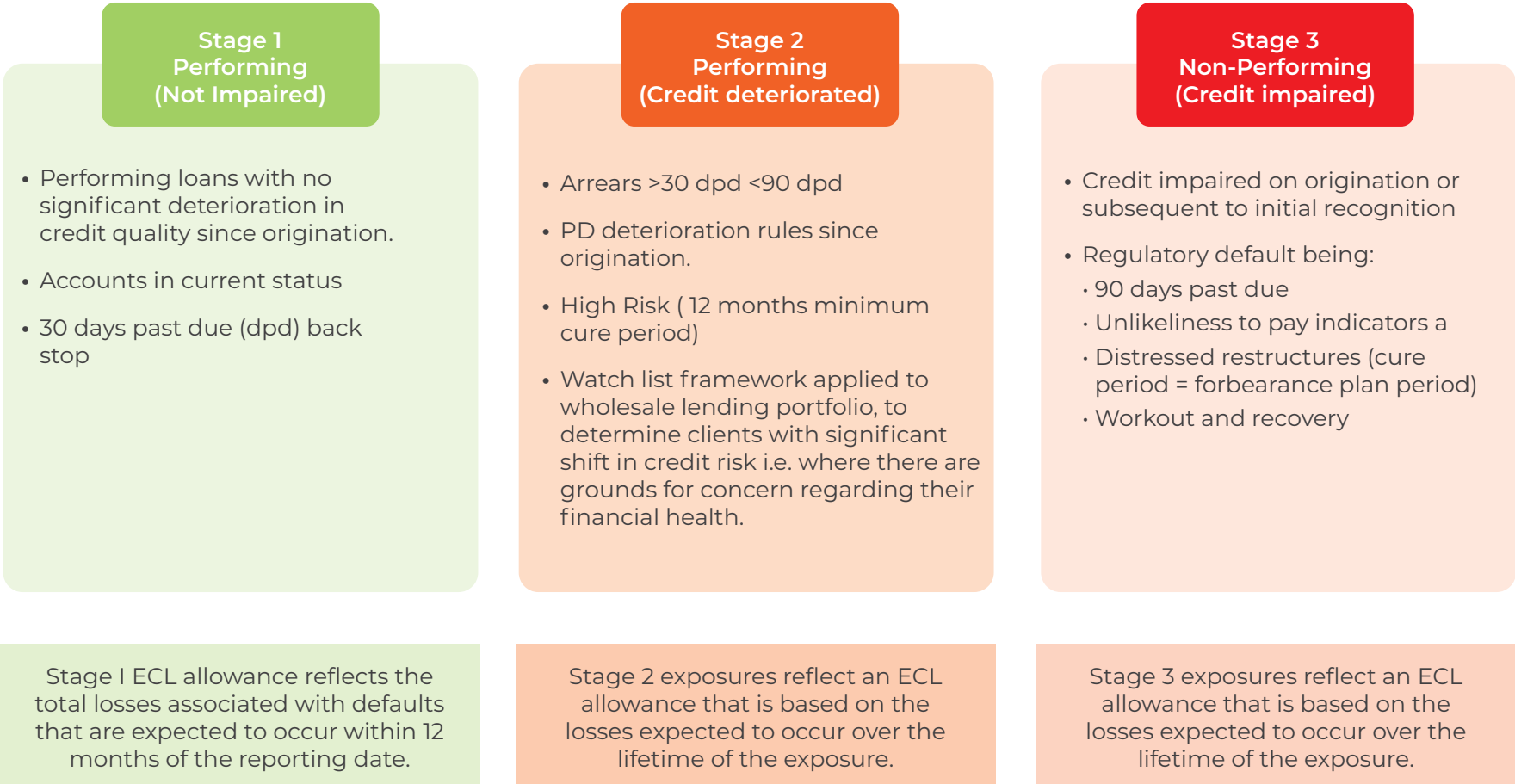
Credit Risk Rating and Expected Credit Loss Models

SEDFA continues to increase the predictive powers of its bespoke Credit risk rating models. SEDFA completed the implementation and migration to IFRS 9 as of the financial year ending March 31, 2021. The standard replaced the superseded accounting standard for financial instruments (IAS 39). The standard contains requirements for a new impairment model, which is aimed at the early recognition of losses on a more forward-looking basis and on a broader scope of financial instruments. SEDFA recalibrated and validated its internally developed credit risk rating models in the financial year under review to increase their respective predictive powers and robustness regarding the recalibration of the expected credit loss (ECL) model. The assumptions incorporated in the model need to be recalibrated and validated to ensure ECL estimates are reliable and accurate each year.

Governance and oversight of ECLs under IFRS 9

The Credit Analytics oversee the estimation of ECL across several areas, including: i) setting requirements in policy, including key assumptions and the application of key judgements; ii) the design and execution of models; and iii) review of ECL results. i) Impairment policy requirements are set and reviewed regularly, at a minimum annually, to maintain adherence to accounting standards. Key judgements inherent in impairment policy, including the estimated life of revolving credit facilities and the quantitative criteria for assessing the significant increase in credit risk (SICR), are separately supported by an analytical study. In particular, the quantitative thresholds used to evaluate SICR are subject to a number of internal validation criteria.

The diagram below depicts SEDFA’s stage approach with regard to IFRS 9:



The measurement of ECL involves increased complexity and judgement, including estimation of probabilities of default (PD), loss given default (LGD), a range of unbiased future economic scenarios, estimation of expected lives, estimation of exposures at default (EAD) and assessing significant increases in credit risk. Assets migrate through the following three stages based on the change in credit quality since initial recognition:

The Approach to Management and Representation of Credit Quality

SEDFA uses an internal credit rating scale that makes use of 17 performing rating grades and a default grade. SEDFA’s credit quality distribution is based on the IFRS 9 12-month probability of default for the reporting period. The diagram below provides an indicative mapping of the internal grades to the rating description.

SEDFA's Internal risk grading and PD mapping scale:

DG	Risk Seg-ment	PD
0	Low	0%
1	Low	6%
2	Low	11%
3	Low	17%
4	Medium	22%
5	Medium	28%
6	Medium	33%
7	Medium	39%
8	Medium	44%
9	High	50%

DG	Risk Seg-ment	PD
10	High	56%
11	High	61%
12	High	67%
13	High	72%
14	High	78%
15	High	83%
16	High	89%
17	High	94%
18	Default	100%

The credit quality descriptions above can be summarised as follows:

- Low: indicates that there is a very high likelihood of the asset/ loan being recovered in full;
- Medium: indicates that while there is a likelihood that the asset might be recovered, there is evidence of credit deterioration and, as such, clients within this range require careful monitoring; and
- High: indicates that there are serious concerns over the obligor's ability to make payments when due.

Risk Performance

As the results of the new loan book initiated on 01 October 2024, the business has decided to report on fund segmentation (the Commercial and Developmental). All the loans with Government Support Programs are classified as the Developmental fund or the Commercial fund.



Credit Exposures by Internal PD Description

as of 31 March 2025

Fund Segmentation	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	3 285.7	2 467.9	817.8	71.7%	75.1%
Low	383.0	246.1	136.9	8.4%	64.3%
Medium	414.1	232.6	181.5	9.0%	56.2%
High	299.6	228.8	70.8	6.5%	76.4%
Default	1 566.8	1 522.2	44.6	34.2%	97.2%
Unclassified	622.2	238.2	384.0	13.6%	38.3%
Development Fund	1 299.3	843.8	455.5	28.3%	64.9%
Low	212.4	18.7	193.8	4.6%	8.8%
Medium	54.0	42.1	11.8	1.2%	78.1%
High	1 72.5	143.4	29.1	3.8%	83.2%
Default	649.8	5 77.6	72.2	14.2%	88.9%
Unclassified	210.6	62.0	148.6	4.6%	29.4%
Grand Total	4 584.9	3 311.6	1 273.3	100.0%	72.2%

Credit Exposures by Internal PD Description

as of 31 March 2024

Fund Segmentation	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	2 962.2	2 243.6	718.6	69.9%	75.7%
Low	447.2	223.6	223.6	10.5%	50.0%
Medium	485.4	229.5	255.9	11.4%	47.3%
High	301.0	243.5	57.6	7.1%	80.9%
Default	1 485.3	1 455.0	30.3	35.0%	98.0%
Unclassified	243.3	92.1	151.2	5.7%	37.9%
Development Fund	1 278.4	731.6	546.8	30.1%	57.2%
Low	295.4	26.0	269.3	7.0%	8.8%
Medium	58.9	34.7	24.2	1.4%	58.9%
High	193.5	122.0	71.5	4.6%	63.1%
Default	639.6	527.0	112.5	15.1%	82.4%
Unclassified	91.1	21.9	69.2	2.1%	24.0%
Grand Total	4 240.6	2 975.2	1 265.4	100.0%	70.2%

To begin with, the Commercial fund default bucket exposure constitutes 34.2% (2024 Q4:35.0%) with a corresponding coverage ratio of 97.2% (2024 Q4:98.4%).

Regarding the Development Fund, the exposure distribution is 14.2%.% (2024 Q4: 15.1%) with a corresponding coverage ratio of 88.8% (2024 Q4: 82.4%).

In conclusion, the loan book performance is marginally worsened with coverage ratio of 72.2% (2024 Q4 70.2%) mainly driven by the Development Fund.



12-month PDs by Product Description

as of 31 March 2025

	0 Days Past Due	0 - 30 Days Past Due	31 - 60 Days Past Due	61 - 90 Days Past Due
Commercial Fund				
Direct Lending Loans Low	40.7%	66.9%	81.6%	94.9%
Direct Lending Loans Medium	34.3%	61.2%	79.5%	92.2%
Direct Lending Loans High	44.1%	66.3%	87.1%	90.9%
Wholesale	20.0%	32.6%	57.2%	78.4%
Development Fund				
Co-Operative Loans	61.8%	52.0%	50.8%	97.9%
Micro Loans	5.3%	37.3%	76.6%	94.2%
GS Loans	29.2%	77.4%	95.4%	100.0%
Land Reform	11.0%	17.3%	39.8%	60.6%

12-month PDs by Product Description

as of 31 March 2024

Asset Class	12M PD			
	0 Days	0 - 30 Days	31 - 60 Days	61 - 90 Days
	%	%	%	%
Co-Operative loans	63.5%	71.3%	81.1%	97.9%
Direct lending loans-MEDIUM	38.6%	65.6%	83.6%	93.5%
Land Reform	12.4%	17.2%	37.1%	57.3%
Micro Loans	6.3%	41.4%	77.8%	93.9%
Wholesale	15.3%	30.4%	56.5%	81.9%

The table above illustrates the 12-month PDs per product. The notable improvement on 12-month PD is on the Land reform across all the buckets while the wholesale 0 Days Past Due and 0-30 Days Past Due are marginally worsened and the remaining risk buckets (31-60 & 61-90 Days Past Due) were improved.

Asset Classification of the Loan Book

as of 31 March 2025

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Bridging Loan	126.73	106.97	19.77	2.8%	84.4%
0 Days Past Due	15.87	1.71	14.16	0.3%	10.8%
0-30 Days Past Due	0.37	0.08	0.28	0.0%	22.4%
Default	110.50	105.18	5.32	2.4%	95.2%
Grant	34.89	34.68	0.21	0.8%	99.4%
0 Days Past Due	-	-	-	0.0%	0.0%
Default	34.89	34.68	0.21	0.8%	99.4%
Instalment Sale	900.09	691.24	208.86	19.6%	76.8%
0 Days Past Due	175.59	53.62	121.97	3.8%	30.5%
0-30 Days Past Due	74.22	38.50	35.72	1.6%	51.9%
31-60 Days Past Due	40.73	23.31	17.42	0.9%	57.2%
61-90 Days Past Due	18.80	12.36	6.45	0.4%	65.7%
Default	590.75	563.45	27.30	12.9%	95.4%
Revolving Credit	389.90	299.43	90.47	8.5%	76.8%
0 Days Past Due	97.38	9.33	88.05	2.1%	9.6%
Default	292.52	290.10	2.42	6.4%	99.2%
Term Loan	3 133.31	2 179.32	953.99	68.3	69.6%
0 Days Past Due	865.90	161. 72	704.18	18.9%	18.7%
0-30 Days Past Due	326.30	176.45	149.85	7.1%	54.1%
31-60 Days Past Due	76.02	48.94	27.07	1.7%	64.4%
61-90 Days Past Due	19.22	12.47	6.75	0.4%	64.9%
Default	1 845.87	1 779.74	66.14	40.3%	96.4%
Grand Total	4 584.93	3 311.63	1 273.30	100.0%	72.2%

Asset Classification of the Loan Book

as of 31 March 2024

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Bridging Loan	105.14	88.74	16.40	2.5%	84.4%
0 Days Past Due	13.95	1.07	12.88	0.3%	7.7%
Default	91.19	87.67	3.52	2.2%	96.1%
Grant	41.37	32.22	9.15	1.0%	77.9%
0 Days Past Due	8.11	1.25	6.86	0.2%	15.4%
Default	33.25	30.97	2.28	0.8%	93.1%
Instalment Sale	813.41	582.23	231.17	19.2%	71.6%
0 Days Past Due	207.67	53.75	153.92	4.9%	25.9%
0-30 Days Past Due	72.68	42.06	30.62	1.7%	57.9%
31-60 Days Past Due	29.84	17.65	12.19	0.7%	59.2%
61-90 Days Past Due	40.41	30.01	10.40	1.0%	74.3%
Default	462.81	438.76	24.05	10.9%	94.8%
Revolving Credit	376.29	294.38	81.91	8.9%	78.2%
0 Days Past Due	104.41	24.21	80.20	2.5%	23.2%
Default	271.88	270.17	1.71	6.4%	99.4%
Term Loan	2 904.40	1 977.63	926.77	68.5%	68.1%
0 Days Past Due	842.63	130.28	712.35	19.9%	15.5%
0-30 Days Past Due	141.48	58.29	83.18	3.3%	41.2%
31-60 Days Past Due	49.20	32.55	16.65	1.2%	66.2%
61-90 Days Past Due	38.99	29.01	9.99	0.9%	74.4%
Default	1 832.11	1 727.50	104.61	43.2%	94.3%
Grand Total	4 240.61	2 975.20	1 265.40	100.0%	70.02%

The exposure distribution per loan type is stable, the term loan contributes 68.5% (2024 Q4:68.3%) and the revolving facility 8.5% (2024 Q4:8.9%). The term loan is riskier than a revolving facility with the coverage ratio of 69.6% (2024 Q4:68.1%) and 76.8% (2024 Q4:78.2%) respectively.

- 0 Days Past Due:** Clients with no missed payments are considered good and low-risk clients.

- 0-30 Days Past Due:** Clients with one or at most one missed payment are considered average risk clients.
- 31-60 Days Past Due:** Clients with at most two consecutive missed payments and showing well-defined weakness.
- 61-90 Days Past Due:** Clients with at most three consecutive missed payments
- Default:** Clients with three consecutive or more missed payments.

The Loan Book Expected Credit Losses and Coverage Ratio

as of 31 March 2025

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	3 285.66	2 467.85	817.81	71.7%	75.1%
Bridging Loan	125.27	105.63	19.64	2.7%	84.3%
Grant	34.03	33.83	0.20	0.7%	99.4%
Instalment Sale	781.05	612.31	168.74	17.0%	78.4%
Revolving Credit	228.97	228.40	0.57	5.0%	99.8%
Term Loan	2 116.33	1 487.68	628.66	46.2%	70.3%
Development Fund	1 299.26	843.78	455.48	28.3%	64.9%
Bridging Loan	1.46	1.33	0.13	0.0%	91.2%
Grant	0.86	0.85	0.01	0.0%	98.9%
Instalment Sale	119.04	78.93	40.11	2.6%	66.3%
Revolving Credit	160.93	71.02	89.90	3.5%	44.1%
Term Loan	1 016.97	691.64	325.33	22.2%	68.0%
Grand Total	4 584.93	3 311.63	1 273.30	100.0%	72.2%



The Loan Book Expected Credit Losses and Coverage Ratio

as of 31 March 2024

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	2 962.18	2243.59	718.59	69.9%	75.7%
Bridging Loan	103.71	87.57	16.14	2.4%	84.4%
Grant	40.54	31.46	9.08	1.0%	77.6%
Instalment Sale	718.60	537.45	181.14	16.9%	74.8%
Revolving Credit	223.43	221.54	1.89	5.3%	99.2%
Term Loan	1 875.90	1 365.57	510.33	44.2%	72.8%
Development Fund	1 278.43	731.61	546.82	30.1%	57.2%
Bridging Loan	1.43	1.17	0.25	0.0%	82.2%
Grant	0.82	0.76	0.07	0.0%	91.9%
Instalment Sale	94.81	44.78	50.03	2.2%	47.2%
Revolving Credit	152.86	72.84	80.03	3.6%	47.6%
Term Loan	1 028.50	612.06	416.44	24.3%	59.5%
Grand Total	4 240. 61	2 975.20	1 265 .40	100. 0%	70.2%

The expected credit loss as of 31 March 2025 is R3.31 billion (2024 Q4: R2.97 billion) due to the commercial fund of R3.29 billion (2024 Q4: 2.96 billion). Due to the book growth and the business strategy change, the coverage ratio has worsened by 2% (2025 Q4 :72.2% vs 2024 Q4:70.2%).

Expected Credit Losses and Coverage Ratio

as of 31 March 2025

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	3 285.66	2 467.85	817.81	71.7%	75.1%
Direct lending loans	2 401.27	1 841.39	559.89	52.4%	76.7%
Wholesale	884.39	626.47	257.93	19.3%	70.8%
Development Fund	1 299.26	843.78	455.48	28.3%	64.9%
Co-Operative loans	7.33	7.02	0.31	0.2%	95.8%
GS loans	852.58	756.53	96.05	18.6%	88.7%
Land Reform	230.48	2.12	228.36	5.0%	0.9%
Micro loans	208.87	78.10	130.77	4.6%	37.4%
Grand Total	4 584.93	3 311.63	1 273.30	100.0%	72.2%

Expected Credit Losses and Coverage Ratio

as of 31 March 2024

Loan Type	Outstanding Balance (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Commercial Fund	2 962.18	2 243.59	718.59	69.9%	75.7%
Direct lending loans	2 215.10	1 706.67	508.43	52.2%	77.0%
Wholesale	747.08	536.92	210.16	17.6%	71.9%
Development Fund	1 278.43	731.61	546.82	30.1%	57.2%
Co-Operative loans	6.20	6.20	-	0.1%	100.0%
GS loans	812.58	641.96	170.62	19.2%	79.0%
Land Reform	247.72	3.34	244.38	5.8%	1.3%
Micro loans	211.93	80.11	131.82	5.0%	37.8%
Grand Total	4 240.61	2 975.20	1 265.40	100.0%	70.2%

The above tables demonstrate SEDFA's total ECLs by business unit, the total net carrying amount as well as the coverage ratio per business unit and fund segmentation.

The Commercial Fund: The coverage ratio as of 31 March 2025 is 75.1% marginally improved from 75.7%. Wholesale accounts majorly drive the improvement due to decrease in default rates.

The Development Fund: The coverage ratio as of 31 March 2025

is 64.9%, which has moderately worsened from 57.2% due to business appetite and the increase on tourism sector and other Government Support Programmes. Note that the grace period has lapsed for these accounts.

Overall: The overall coverage ratio as of 31 March 2025 is 72.2% (2024Q4:70.2%), which shows a marginally worsening due to the Development funds' performance and book growth.

Stage Approach of the Total the Loan Outstanding Balances on Debt Instruments

as of 31 March 2025

Exposure (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		535.37	462.53	2 287.76	3 285.66
Direct lending loans		427.91	266.31	1 707.05	2 401.27
Wholesale		107.46	196.22	580.71	884.39
Development Fund		355.39	94.05	849.82	1 299.26
Co-Operative loans		-	0.60	6.73	7.33
GS loans		50.86	58.96	742.77	852.58
Land Reform		175.61	30.37	24.50	230.48
Micro loans		128.93	4.13	75.81	208.87
Grand Total		890.76	556.58	3 137.58	4 584.93

Stage Approach of the Total the Loan Outstanding Balances on Debt Instruments

as of 31 March 2024

Exposure (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		477.27	415.54	2 069.36	2 962.18
Direct lending loans		420.54	225.50	1 569.05	2 215.10
Wholesale		56.73	190.04	500.31	747.08
Development Fund		420.15	103.13	755.15	1 278.43
Co-Operative loans		-	-	6.20	6.20
GS loans		98.38	76.82	637.38	812.58
Land Reform		190.84	-	56.88	247.72
Micro loans		130.93	26.31	54.69	211.93
Grand Total		897.42	518.67	2 824.51	4 240.61

The table above illustrates the total loan outstanding balances on debt instruments over the three stages in line with IFRS 9 per business unit and fund segmentation. The substantial exposure of R3.29 billion (R2.96 billion) on the commercial fund is due to the business strategy.

Stage Approach to the Measuring of ECLs on Debt Instruments Accounted for at Amortised Cost

as of 31 March 2025

Impairment (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		95.11	181.00	2 191.74	2 467.85
Direct lending loans		86.19	126.11	1629.09	1 841.39
Wholesale		8.92	54.89	562.66	626.47
Development Fund		14.93	32.89	795.96	843.78
Co-Operative loans		-	0.29	6.73	7.02
GS loans		9.93	31.17	715.44	756.53
Land Reform		0.40	0.50	1.22	2.12
Micro loans		4.61	0.93	72.57	78.10
Grand Total		110.04	213.89	2 987.70	3 311.63

The table above demonstrates the expected credit loss according to the three stages of IFRS 9 and fund segmentation. The ECL is elevated due to the old loan book performance. The case-by-case write-off approach will be taken to improve the ECL and onboard quality of clients.

Stage Approach to the Measuring of ECLs on Debt Instruments Accounted for at Amortised Cost

as of 31 March 2024

Impairment (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		83.96	179.01	1 980.63	2 243.59
Direct lending loans		76.26	130.91	1 496.50	1 706.67
Wholesale		4.69	48.10	484.13	536.92
Development Fund		23.37	66.44	641.80	731.61
Co-Operative loans		-	-	6.20	6.20
GS loans		17.91	45.98	578.07	641.96
Land Reform		0.49	-	2.84	3.34
Micro loans		4.97	20.46	54.69	80.11
Grand Total		107.33	245.45	2 622.43	2 975.20

Stage Approach according to Net Carrying Amount

as of 31 March 2025

Net Carrying Amount (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		440.26	281.52	96.02	817.81
Direct lending loans		341.72	140.20	77.97	559.89
Wholesale		98.54	141.32	18.06	257.93
Development Fund		340.46	61.17	53.85	455.48
Co-Operative loans		-	0.31	-	0.31
GS loans		40.93	27.79	27.33	96.05
Land Reform		175.21	29.87	23.27	228.36
Micro loans		124.32	3.20	3.25	130.77
Grand Total		780.72	342.69	149.88	1 273.30

The table above demonstrates the net carrying amount of SEDFA’s loan book according to the three stages of IFRS 9 and fund segmentation.

Stage Approach according to Net Carrying Amount

as of 31 March 2024

Net Carrying Amount (R'm)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		393.31	236.54	88.74	718.59
Direct lending loans		341.28	94.60	72.56	508.43
Wholesale		52.04	141.94	16.18	210.16
Development Fund		396.78	36.69	113.35	546.82
Co-Operative loans		-	-	-	-
GS loans		80.47	30.84	59.31	170.62
Land Reform		190.35	-	54.03	244.38
Micro loans		125.96	5.85	0.00	131.82
Grand Total		790.10	273.22	202.08	1 265.40

The net gross carrying amount of R1.27 billion as of 31 March 2024 against R1.265 billion as at 31 March 2024.

Stage Approach according to Coverage Ratio

as of 31 March 2025

Coverage Ratio (%)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		17.8%	39.1%	95.8%	75.1%
Direct lending loans		20.1%	47.4%	95.4%	76.7%
Wholesale		8.3%	28.0%	96.9%	70.8%
Development Fund		4.2%	35.0%	93.7%	64.9%
Co-Operative loans		0.0%	48.9%	100.0%	95.8%
GS loans		19.5%	52.9%	96.3%	88.7%
Land Reform		0.2%	1.6%	5.0%	0.9%
Micro loans		3.6%	22.5%	95.7%	37.4%
Grand Total		12.4%	38.4%	95.2%	72.2%

The table above demonstrates coverage ratio by stage per business unit and fund segmentation.

Stage Approach according to Coverage Ratio

as of 31 March 2024

Coverage Ratio (%)	IFRS 9 Stage				
Portfolio		1	2	3	Grand Total
Commercial Fund		17.6%	43.1%	95.7%	75.7%
Direct lending loans		18.8%	58.1%	95.4%	77.0%
Wholesale		8.3%	25.3%	96.8%	71.9%
Development Fund		5.6%	64.4%	85.0%	57.2%
Co-Operative loans		0.0%	0.0%	100.0%	100.0%
GS loans		18.2%	59.9%	90.7%	79.0%
Land Reform		0.3%	0.0%	5.0%	1.3%
Micro loans		3.8%	77.8%	100.0%	37.8%
Grand Total		12.0%	47.3%	92.8%	70.2%

IFRS 9 Stage 1: The Commercial Fund coverage ratio of 17.8% (20204 Q4: 17.6%) has marginally worsened, due to the Direct Lending Loans book growth. While the Development fund coverage ratio of 4.2% (2024 Q4:5.6%) marginally improved due to Land Reform performance.

IFRS 9 Stage 2: The Commercial Fund coverage ratio of 39.1% (2024 Q4: 43%) has improved due to Direct Lending performance. While the Development Fund coverage ratio of 35.0% (64.4%) is due to Microloans, which have been converted to grants.

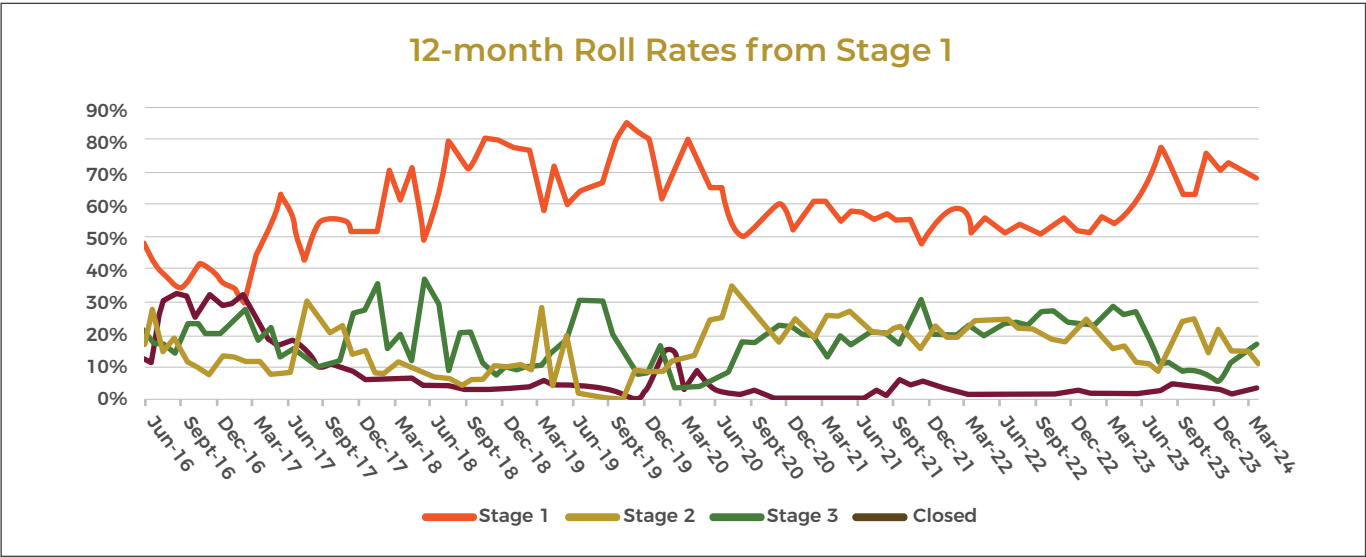
IFRS 9 Stage 3: The Commercial Fund coverage ratio of 95.8% (20204 Q4: 95.7%) has marginally worsened, due to the Wholesale performance. In contrast, the Development fund coverage ratio of 93.7% (85.0%) has moderately worsened due to Government Support Programmes performance.

As of 31 March 2025, on average over the last 12 months, around 72.3% of accounts in Stage 1 remain in Stage 1 after 12 months, 6.7% of the accounts transitioned upwards into Stage 2, 16.2% transitioned into Stage 3 and 4.8% were closed.

Overall: The Commercial Fund coverage ratio of 75.1% (2024 Q4:75.7%) and the Department fund coverage ratio of 64.9% (2024 Q4:57.2%). Thus, the overall coverage ratio has worsened by 2% from 70.2% (2024 Q4) to 72.2% (2025 Q4).

SEDFA’s 12-month Roll Rates from Stage 1

SEDFA utilises the roll rates analysis method, which shows the proportion of exposures transitioning from the IFRS 9 stage 1 into the other various IFRS 9 stages over a 12-month period. The roll rate depicted below are from Stage 1 into Stage 1 (Current and not yet due), Stage 2 (0-90 days in arrears), Stage 3 (90+ days in arrears) and Closed (Written-off or paid-up).



The table below indicates the different industry exposures of the direct lending loan book as of 31 March 2025.

Sector Exposures of the Loan Book
as of 31 March 2025

Portfolio	Exposure (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Agriculture, hunting, forestry and fishing	305.8	74.4	231.5	6.7%	24.3%
Community, social and personal services	374.5	315.5	58.9	8.2%	84.3%
Construction	222.0	218.1	3.9	4.8%	98.3%
Electricity, gas and water supply	53.6	36.0	17.6	1.2%	67.1%
Financial intermediation, insurance, real estate and business services	553.4	338.6	214.8	12.1%	61.2%
Manufacturing	866.8	775.2	91.6	18.9%	89.4%
Mining and quarrying	91.1	83.2	7.9	2.0%	91.3%
NULL	1 315.4	820.0	495.4	28.7%	62.3%
Transport, storage and communication	312.7	273.7	38.9	6.8%	87.5%
Wholesale and retail trade: repair of motor vehicles, motor cycles and personal and household goods; hotels and restaurants	489.6	376.8	112.7	10.7%	77.0%
Grand Total	4 584.9	3 311.6	1 273.3	100.0%	72.2%



Sector Exposures of the Loan Book

as of 31 March 2024

Portfolio	Exposure (R'm)	Impairment (R'm)	Net Carrying Amount (R'm)	Outstanding Balance (%)	Coverage Ratio (%)
Agriculture, hunting, forestry and fishing	320.8	69.4	251.4	7.6%	21.6%
Community, social and personal services	362.2	308.2	74.0	9.0%	80.6%
Construction	214.8	204.8	9.9	5.1%	95.4%
Electricity, gas and water supply	55.8	47.0	8.9	1.3%	84.1%
Financial intermediation, insurance, real estate and business services	647.3	330.0	317.2	15.3%	51.0%
Manufacturing	853.9	728.4	125.5	20.1%	85.3%
Mining and quarrying	88.5	79.2	9.3	2.1%	89.5%
NULL	938.0	600.7	337.3	22.1%	64.0%
Transport, storage and communication	287.0	245.8	41.2	6.8%	85.6%
Wholesale and retail trade: repair of motor vehicles, motor cycles and personal and household goods; hotels and restaurants	452.4	361.7	90.7	10.7%	80.0%
Grand Total	4 240.6	2 975.2	1 265.4	100.0%	70.2%

The book is mainly concentrated in four industries: manufacturing at 18.9% (2024: 20.1%); Financial intermediation, insurance, real estate and business services at 12.1% (20.1%); wholesale and retail trade at 10.7% (2024: 10.7%) as well as community, social and personal services at 8.2% (2025: 9.0%). Wholesale and retail trade encompasses a wide variety of sub-sectors, which explains the extensive distribution of the book in the sector. The economic outlook prior to COVID-19 was already dire for the construction and Manufacturing industry.

Digital Transformation and Integration

In the second half of the financial year, SEDFA focused on integrating systems, people, processes and mandates from its predecessor entities. Digital transformation and innovation became central to achieving an agile, innovative, and customer-centric organisation.

Strategic Planning and Innovation

The third quarter centred on developing a digital transformation and innovation strategy, which put the customer and entrepreneur at the center of what SEDFA do. Also transition SEDFA from a traditional support agency to a digitally empowered platform organisation, one that orchestrates a national ecosystem of partners, data, and services to unlock the full potential of South Africa’s entrepreneurs. The Digital Functional Architecture and Architecture was developed as well as the roadmap aimed to create a delightful entrepreneur online and experiences, Increased access to funding and services through improved processes and access to integrated channels, and scale digital plaforms for MSME development and support.

Consolidated ICT master plan and roadmap. Key milestones included a successful Business Continuity and Disaster Recovery

test, the rollout of an automated workflow system to improve efficiency, and the launch of the Market Access for Digital Entrepreneurs (MADE) programme to support digital innovation in the SME sector.

Governance and Culture

In the final quarter, SEDFA advanced its digital governance by approving key frameworks and recommending new IT policies. An employee engagement survey was also conducted to assess organisational culture and identify skills needed for success in the merged environment.

Khula Business Premises

The portfolio's valuation has grown significantly over the last three financial periods; the growth in valuation has been 32% with a R57mil improvement. The improvement in valuations stems from several renovations and improved trading conditions over the reporting financial year period.

The Net Operating Income was 38% above budget, the actual NOI was -R33.17mil vs -R53.33mil budget, the overall performance of the better NOI is relating to the activities that occurred during the quarter as stated below. The significant drivers for the lower NOI were mainly due to a lower spend on repairs and maintenance, lower than budgeted expense on professional fees and security expenses (*The assessment of the NOI excludes management fees, Loan Interest, Suspended Interest, Interest on Debtors, Impairments & VAT apportionment*).

Total Gross Income for the FY was R37.99mil vs a budget of R25.16mil. This represents a 51% positive variance on budgeted income for the full financial year. This was mainly driven by the turnover rental received and fair value increases.

Area rental for FY was R21.66mil vs a budget of R21.25mil, the income was 2% higher than budget. The higher-than-budget area rental has been driven by higher lease renewal rates and an active rental collection drive.

Operating Costs recoveries were in line with budgeted income for the FY, actual operating costs recovered were R1.87mil vs a budget of R1.88mil, the operating costs are lower than budget due to the higher vacancy rates.

Body Corporate Levies recoveries were R397k for the FY and 6% above the budget of R372k, the recoveries are lower than the expenses due to VSM having vacancies of approximately 3000m².

Municipal Service recoveries were R63k, 33% below the budget of 94k for the FY. The lower recovery is due to disputes lodged by tenants; this is being corrected. Several adjustments were passed during Q3 and Q4.

Parking Rental was R57k for the FY, 7% above the budget of R53k. The parking fees are from VSM where the is paid parking for patrons visiting the centre, the parking management is externally managed by a 3rd party service provider.

Municipal expenses for the FY were R42.32mil the total budget of R41mil, the expenses are 3% above the budget, this was driven by the lower water expenditure in the quarter. Electricity expense accounted for 49% of the overall expenditure followed by rates and taxes with 21% and water with 19%.

Electricity expenses were R20.57mil actual for the FY, the expenses were 34% higher than the budget of R15.32mil. The higher expense was R5mil above budget for the FY. Sebokeng 1 charges for the FY were R620k and 197% above budget and Rosslyn, which incurred an expense of R4.7mil, which was not budgeted for.

Water expenses were R8.08mil actual for the FY, the expenses were 21% lower than the budget of R10.17mil. The lower expenses were attributable to the water leaks being repaired, with the water expense being 96% below budget, KwaDabeka water expenses were 68% and Mamelodi being 89% below budget, respectively.

Rates and Taxes expenses were R8.75mil actual for the FY, the expenses are 11% lower than the budget of R9.7mil. The lower rates charged were mainly due to lower than budget municipal increases.

Cleaning Contract expenses were R1.24mil for the FY, the expense is 26% lower than the budget of R1.68mil. The lower costs were attributable to contracts negotiated at lower rates and reducing the cleaning compliment at properties. Cleaning accounted for 7% of the overall operating expenses.

Security Contract expenses were R9.63mil for the FY, the expense was 10% lower than the budget of R10.67mil. The lower than budget spend was attributed to a reduction of the security compliment across the portfolio.

The Collection Rate year-on-year improved to 72% as compared to the 66% in FY23/24, the higher collection is driven by active collection and settlement agreements entered between KBP and the tenants.

The Vacancy rate across the portfolio remains relatively high at to 35% for the FY. The industrial portfolio accounted for 80% of the total vacancies. This sector is still experiencing increased pressure in attracting tenants and decent rates. The high vacancy rate pressure from the industrial portfolio presents challenges to the portfolio. Several industrial properties have been identified for reinstatement to ensure the properties are fit for purpose and are in a ready-to-let condition.

In summary, the portfolio is beginning to show signs of stability, and the income trend is showing improved performance with collections now averaging 72% monthly.

The net rentals are improving, though they are still significantly below market rentals and cost-absorbing for expenses incurred by the portfolio. The property portfolio experienced a year-to-date loss of R85.1 million.

Vacancies are expected to remain at their current level due to external economic challenges and internal financial constraints. Though it is anticipated that the vacancies will decrease by 15% in the next FY.

The recoveries will remain a pressure point for the portfolio in the midterm which will increase the net losses. There are interventions currently being put in place to improve the municipal recoveries and reduce the municipal expenditures.

The key focus for KBP will be to dispose of properties that are incurring high expenses with rental boycotts, which will now ease the financial burden on the portfolio.

Strategic partnerships, both in the private and public sectors, are explored, which will assist in the much-needed capital injection that is required for the portfolio.



AUDITED FINANCIAL STATEMENTS

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The financial statements have been prepared under the supervision of the Group's Acting Chief Financial Officer, Ms CL Williams CA (SA).

The financial statements have been audited in compliance with Section 30 of the Companies Act of South Africa.

STATEMENT OF RESPONSIBILITY BY THE BOARD OF DIRECTORS

for the period ended 30 September 2024

The directors of sefa (the Company) are required in terms of the South African Companies Act 71, of 2008 as amended (the Companies Act), to maintain adequate accounting records and the preparation of the Group (Consolidated and separate) financial statements, together with the related information. These Group financial statements are prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS), and material accounting policies.

In preparing the Group financial statements, the directors should ensure that these fairly present the state of affairs of the Group, its financial results, its performance against pre-determined objectives and its financial position at the end of any given financial year.

The directors acknowledge that they are ultimately responsible for the process of risk management and the systems of internal controls, management assists the directors to meet these responsibilities. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the Group annual financial statements in accordance with IFRS and to adequately safeguard, verify and maintain accountability for assets. Systems of internal controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties. Accounting policies are supported by judgements, estimates and assumptions which comply with IFRS.

Based on the information and explanations given by management, internal auditors and discussions held with external auditors on the results of their audits, the directors are of the opinion that the internal financial controls are adequate and can be relied upon for preparing the financial statements, and accountability for assets and liabilities is maintained.

Nothing has come to the attention of the directors indicating any breakdown in the functioning of these internal controls, which could result in material loss to the Group during the year under review, and until the date of this report.

The Group financial statements have been audited by independent external auditors, Deloitte & Touche, who have been given

unrestricted access to all financial records and related information, including minutes of shareholder, Board and Board Committee meetings. The external auditor's audit report is contained on pages 10-20.

The directors are of the opinion that the Group financial statements fairly present the financial position of the Group and the results of its operations and cash flow information for the period ended 30 September 2024.

Against this background, the directors of the Company accept responsibility for the Group annual financial statements which were approved by the Board of Directors on 28 July 2025 and are signed on its behalf by:



Ms N Makanda
Board Chairperson

DIRECTORS' REPORT

for the period ended 30 September 2024

Introduction

sefa is a State-Owned Company in terms of the Companies Act and is a Schedule 2 listed entity in terms of the Public Finance Management Act (PFMA) and Treasury regulations. This report is presented in accordance with the provisions of the prescribed legislation and addresses the performance of sefa (the Group), as well as relevant statutory information requirements. The Board of Directors is the accounting authority as prescribed in the PFMA.

Nature of business

sefa is a Development Finance Institution (DFI), which provides finance to SMMEs and Co-operatives directly through its branch network and indirectly through Financial Intermediaries and other suitable financial institutions. Finance is provided in the form of loans, equity and credit indemnities. The Group also owns a portfolio of business premises that are leased to commercial undertakings.

Funding

sefa's capital funding requirements are sourced mainly from allocations received from the Department of Trade, Industry and Competition (DTIC) through sefa's shareholder, the Industrial Development Corporation of SA Ltd (IDC) (Refer to note 8.2). An allocation of R136million (2024: R218 million) was received from government to support sefa's activities. The allocation was paid to the IDC, and was made available to sefa through a shareholder's reserve which is recognised directly in the statement of changes in equity.

sefa also receives grant funding from the Department of Small Business Development (DSBD), donor funding, collaborative efforts and partnerships. The DSBD committed to funding in the amount of R517.3 million (2024: R673.7).

On 30 September 2024 the IDC capitalised the subordinated shareholder loan it held against sefa. The capitalisation occurred via a subscription of 100 additional shares in sefa with the subscription consideration being settled via set-off of the amount due to the IDC.

Public Finance Management Act

sefa's Board of Directors are responsible for the development of the Company's strategic direction. The Company's strategy and business plan are captured in the Shareholder's Compact which is agreed with the shareholder and forms the basis for the Company's detailed action plans and on-going performance evaluation, as well as the Annual Performance Plan. The responsibility for the day-to-day management of the Company vests in line management through a clearly defined organisational structure and through a formal Delegation of Authority.

sefa has a comprehensive system of internal controls, which is designed to ensure that the Company's objectives are met, including the requirements of the Companies Act and the recommendations of King IV. These systems and controls meet the requirements of the PFMA. There are processes in place to ensure that where these controls fail, such failure is detected and corrected.

Insurance Act

sefa's wholly owned subsidiary Khula Credit Guarantee (SOC) Ltd (KCG) is registered as a short-term insurer and is subject to the Insurance Act 18 of 2017.

Significant matters

Merger of sefa, SEDA and CBDA

The Cabinet of South Africa approved the merger of the agencies reporting to the Minister of Small Business Development, the Small Enterprise Finance Agency (SOC) Ltd (sefa); the Small Enterprise Development Agency (SEDA) and Co-Operatives Bank Development Agency (CBDA) in 2021, to form a new entity that would be responsible for the provision of both financial and non-financial support to MSMEs throughout the entire business development value chain through. The enabling legislation was drafted accordingly.

The President assented the enabling legislation into Law on 18 July 2024 and the signing of the National Small Enterprise Amendment Act 2024 (NSEA) (No. 21 of 2024) by President Cyril Ramaphosa was finalised on 23 July 2024, and it was subsequently gazetted on 30 September 2024.

DIRECTORS' REPORT

for the period ended 30 September 2024

The National Small Enterprise Amendment Act 2024 (No. 21 of 2024) s10(1) (5) of Chapter 3, states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of sefa, SEDA and CBDA, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to Small Enterprise Development and Finance Agency (SOC) Ltd (SEDFA). The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of SEDFA.

Going concern

sefa's financial statements are prepared based on International Financial Reporting Standards, except for the going concern assumption.

Management has considered several inputs in the going concern assessment for the period ended 30 September 2024, including preparing budgets in line with the approved National Treasury's vote 36 and 39 allocations. The financial plans that have been prepared were based on the National Treasury's vote 36 and 39 fund allocations, DSBD allocation of budget and the approval of the Annual Performance Plan for the 2024/25. sefa will be able to pay all debts as they become due and the approved budgets confirm that sefa is both liquid and solvent.

As per note 14, sefa's assets and liabilities will, through the NSEA, be merged with those of Seda and CBDA to form SEDFA.

The NSEA s10(1) (5) states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of sefa, SEDA and CBDA, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds

employed, held or used in connection with the furtherance of its objectives and functions, pass to SEDFA. As a result of Section 10 (1)(5) of the NSEA, the functions of sefa will continue under SEDFA, which will have the same mandate and functions as sefa. The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of SEDFA.

As a result, management has assessed that sefa is no longer a going concern due to the finalising of the enabling legislation that resulted in the formation of SEDFA, on 1 October 2024.

Subsidiaries, Joint Ventures and Associates

Details of each trading subsidiary, joint venture and associate are primarily set out in note 9 to the financial statements.

Dividends

No dividends have been declared during the year and none are recommended (2024: Rnil).

Share capital

Authorised Shares

The authorised share capital remained unchanged during the year (2024: unchanged).

Issued Shares

sefa issued 100 additional shares with the subscription consideration being settled via set-off of the amount due to the IDC. Refer to note 6.1. issued share of 308 300 100 (2024: 308 300 000).

DIRECTORS' REPORT
for the period ended 30 September 2024

Directors

The Directors in office during the financial year and up to the date of approval of the annual financial statements were:

Non-Executive Directors		
Director	Appointment date	Retirement date
Mr King Tembinkosi Bonakele	2023/09/01	2024/12/01
Adv. Nokuzola Gloria Khumalo	2022/05/03	2024/04/30
Ms Cingashe Nogaya Motale	2022/05/03	2024/04/30
Ms Nonzuzo Makanda	2022/05/03	2024/12/01
Mr Motse Mfuleni	2022/05/03	2024/12/01
Ms Ziyanda F Ngcobo	2020/10/01	2024/04/30
Ms Phelisa Nkomo	2023/09/01	2024/12/01
Mr Bonolo Molemo Ramokhele	2023/05/05	2024/12/01
Mr Mothibi G. Ramusi	2023/09/01	2024/04/30
Ms Tsakani G Shiviti	2023/09/21	2024/04/30
Mr Siyakhula Simelane	2023/08/15	2024/12/01
Ms Hilda-Marie Tsoadi	2020/10/01	2024/12/01
Ms Mmathebe Zvobwo	2023/09/01	2024/04/30
Ms Xoliswa Daku	2024/05/01	2024/12/01
Mr Avuyile Xabadiya	2024/04/30	2024/12/01
Mr Pumezo Mqingwana	2024/04/30	2024/12/01
Mr Luyanda Ntuane	2024/05/01	2024/12/01
Mr John Mtsweni	2024/04/30	2024/12/01
Mr Keabetswe Mogorosi	2024/04/30	2024/12/01
Executive director		
Mr Nkosikhona Sydney Mbatha (Acting Chief Executive Officer)	2024/05/10	2024/12/01

DIRECTORS' REPORT

for the period ended 30 September 2024

Materiality and Significance

Materiality levels for reporting in terms of Section 55(2)(b)(i) of the PFMA.

Section 55(2)(b)(i) of the Public Finance Management Act (PFMA) states that the annual report and financial statements should include particulars of any material losses through criminal conduct, irregular expenditure and fruitless and wasteful expenditure that occurred during the financial year. The term material has not been defined in the Act. Significance levels detailed below were used for the purpose of determining materiality.

Significance levels related to Sections 51(1)(g) and 54(2) of the PFMA

Sections 51(1)(g) and 54(2) of the PFMA read in conjunction with the related practice note requires the use of a significance framework. Based on the guidelines in the practice note and after evaluating total assets, total revenue and loss after tax for the Group, a significance level of R109million has been adopted.

Unauthorised, Fruitless and Wasteful and Irregular Expenditure

Unauthorised expenditure

No expenditure was classified as unauthorised during the financial year (2024: Rnil).

Fruitless and wasteful expenditure

The PFMA defines fruitless and wasteful expenditure as expenditure which was made in vain and could have been avoided had reasonable care been exercised. Refer to note 11.1 for detailed information on fruitless and wasteful expenditure.

Irregular expenditure

Irregular expenditure signifies expenditure incurred without adhering to established rules, regulations, procedural guidelines, policies, principles or practices that have been implemented to ensure compliance with the PFMA, relevant tender regulations as well as any other relevant procurement regulations.

Refer to note 11.1 for detailed information on irregular expenditure.

Events after the reporting period

Merger

As per the significant matters listed above:

The Cabinet of South Africa approved the merger of the agencies reporting to the Minister of Small Business Development (sefa, SEDA and CBDA) in 2021, to form a new entity that would be responsible for the provision of both financial and non-financial support to MSMEs throughout the entire business development value chain through. The enabling legislation (National Small Enterprise Amendment Bill, "The Bill") was drafted accordingly.

The Bill was passed by the National Assembly on 6 December 2023 and was then transmitted to the National Council of Provinces (NCOP) for concurrence. The President assented The Bill into Law on 18 July 2024 and The Bill was proclaimed and then the signing of the National Small Enterprise Amendment Act 2024 (No. 21 of 2024) by President Cyril Ramaphosa was finalised on 23 July 2024, and it was subsequently gazetted on 30 September 2024.

The National Small Enterprise Amendment Act 2024 (No. 21 of 2024) s10(1) (5) of Chapter 3, states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of the sefa, SEDA and CBDA, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to SEDFA. The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency (SOC) Ltd.

Capitalisation of sefa

As per note 6.1 the IDC capitalised the subordinated shareholder loan it held against sefa. The capitalisation occurred via a subscription of 100 additional shares in sefa with the subscription consideration being settled via set-off of the amount due to the IDC.

This was documented in legal agreements that contained various conditions precedent that had to be met.

DIRECTORS' REPORT

for the period ended 30 September 2024

- the Company's board of directors shall have passed all the requisite resolutions in order to approve and implement the Transaction which resolutions shall also confirm that the directors of the Company are satisfied that the Subscription Price constitutes adequate consideration for the Subscription Shares, and provide the Subscriber with copies thereof;
- the IDC Consent shall have been obtained; and
- the Subscriber's board of directors and shareholders shall have passed all the requisite resolutions in order to approve and implement the Transaction, and provide the Company with copies thereof.

Various IDC Board approvals were obtained with an effective date of 30 September 2024. The shares were subscribed for and issued on 30 September 2024.

Final IDC Board approval was provided on 3 October 2024 and communicated to sefa on 9 October 2024.

On 3 October 2024, the IDC Board through a round-robin resolution, approved that the Loan be converted into ordinary shares in sefa, effective 30 September 2024. As per approval IDC hereby grants its consent for the following to take place:

- sefa to issue additional shares to Ernani from its authorised share capital.
- Ernani and sefa to enter into a subscription agreement for the ordinary shares to be issued.
- Ernani and sefa to conclude a set-off agreement in terms of which agreement the Loan balance is set off against the issue of the ordinary shares to Ernani.

REPORT OF THE AUDIT COMMITTEE

for the period ended 30 September 2024

The Audit Committee (“the Committee”) has pleasure in submitting this report to the Shareholder in accordance with the Public Finance Management Act (“PFMA”), Companies Act, 71 of 2008 (“the Companies Act”) and as recommended by King Report on Corporate Governance for South Africa (“King IV”).

Composition

The Committee comprised the following members for the financial year: Ms N Makanda (Chairperson), Ms X Daku, Mr L Ntuane, Mr S Simelane and Mr Makape.

The roles and responsibilities of the Audit Committee

The Audit Committee has complied with section 77 of the PFMA, and its responsibilities as contained in Treasury Regulation 27.1 (Internal Control and Corporate Management – Audit Committees), the Companies Act, and Insurance Act 18 of 2017.

The Committee is satisfied that, during the year under review, it performed the functions required by law including, those requirements as set out in section 94 (7) of the Companies Act, Treasury Regulation 27.1 (Internal Control and Corporate Management – Audit Committees), the PFMA, and the Insurance Act 18 of 2017.

The Committee has adopted a formal Charter which regulates its affairs, roles and responsibilities and has discharged all its responsibilities as contained in the Charter. These include inter alia:

- ensuring that the respective roles and functions of external audit and internal audit are sufficiently clarified and coordinated and that the combined assurance received was appropriate to address all significant risks;
- reviewing the effectiveness of the Company’s systems of internal controls, policies, financial control and risk management systems, processes and procedures for detecting and preventing fraud;
- reviewing and monitoring the effectiveness and performance of the internal audit function, its standing, staffing plans and audit plans to provide adequate support to enable the committee to meet its objectives;
- ensuring that the scope of the internal audit function had no limitations imposed by management and that there was no impairment on its independence;
- evaluating the independence, effectiveness and performance of the external auditor, and obtained assurance from the auditor that adequate accounting records were being

maintained and appropriate accounting principles were in place and had been consistently applied;

- reviewing and approving the audit fee and fees in respect of any non-audit services, including the external audit plan;
- reviewing the external auditor’s findings and reports submitted to management and the independence and objectivity of the external auditor;
- reviewing the effectiveness of the finance function;
- reviewing financial statements to ensure that they present a balanced, and true position and performance of the Company;
- assisting the Board in its evaluation of the adequacy and efficiency of the internal systems, accounting practices, information systems and auditing processes applied by the Company in the day-to day management of its business;
- assisting the Board in discharging its duties and responsibilities in respect of risk management; and
- reviewing and advising on matters referred to the Committee by the Board.

Auditor Independence

The Audit Committee recognises the importance of maintaining the independence of both external and internal auditors and is satisfied that Auditor-General of South Africa and the internal auditors are independent of management.

Financial Management

The Committee reviewed the Annual Financial Statements and related information and is satisfied that they comply with International Financial Reporting Standards. In addition, the Committee has reviewed management’s assessment of going concern and recommended to the Board that the going concern concept be adopted by the Company.

Approval

The Committee recommended the approval of the Annual Financial Statements for the period ended 30 September 2024 to the Board of Directors on 25 July 2025.

Signed on behalf of the Audit Committee:



Mr SL Mpakama

Chairperson of the Audit Committee

DECLARATION BY THE GROUP COMPANY SECRETARY

for the period ended 30 September 2024

In terms of section 88(2)(e) of the Companies Act No.71 of 2008, I, Buhle Ndlovu, in my capacity as Group Company Secretary confirm that, to the best of my knowledge and belief, the Company has filed all required returns and notices with the Companies and Intellectual Property Commission, and that such returns are correct and up to date.

A handwritten signature in black ink, appearing to be 'Buhle Ndlovu', enclosed within a hand-drawn oval border.

Ms. Buhle Ndlovu
Group Company Secretary
28 July 2025

INDEPENDENT AUDITOR'S REPORT

Independent auditor's report to Parliament and the Shareholder on the Consolidated and Separate Financial Statements of Small Enterprise Finance Agency SOC Limited

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of the Small Enterprise Finance Agency (SEFA) SOC Limited and its subsidiaries (the Group or SEFA) set out on pages 21 to 119, which comprise the consolidated and separate statement of financial position as at 30 September 2024, consolidated and separate statement of comprehensive income, consolidated and separate statement of changes in equity, and consolidated and separate statement of cash flows for the period then ended, as well as notes to the consolidated and separate financial statements, including material account policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Small Enterprise Finance Agency SOC Limited Group as at 30 September 2024 and their consolidated and separate financial performance and consolidated and separate cash flows for the period then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB), the requirements of the Public Finance Management Act of South Africa (Act No.1 of 1999) (PFMA) and the Companies Act, 2008 (Act No.71 of 2008) (the Companies Act).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report.

We are independent of the Group and Company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* of the (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our

other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter – Merger

We draw attention to Note 1.3 and 14 to the financial statements regarding the merger of the agencies reporting to the Minister of Small Business Development, (Small Enterprise Finance Agency, Co-operatives Bank Development Agency and Small Enterprise Development Agency) and the basis of preparation of the financial statements. The basis of preparation is consistent with International Financial Reporting Standards and further describes that the going concern assumption is not appropriate to the group. Our opinion is not modified in respect of this matter.

Responsibilities of the accounting authority for the consolidated and separate financial statements

The board of directors, which constitutes that accounting authority, is responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the PFMA and the requirements of the Companies Act of South Africa and for such internal control as the accounting authority determines is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the accounting authority is responsible for assessing the group and company's ability to continue as a going concern; disclosing, as applicable, matters relating to going concern; and using the going concern basis of accounting unless the directors either intends to liquidate the group and/or company or to cease operations, or has no realistic alternative but to do so.

INDEPENDENT AUDITOR’S REPORT

Auditor’s responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

A further description of our responsibilities for the audit of the consolidated and separate financial statements is included in the annexure to this auditor’s report. This description, which is located at page 17, forms part of our auditor’s report.

Report on the audit of the annual performance report

In accordance with the Public Audit Act 25 of 2004 (PAA) and the general notice issued in terms thereof, we must audit and report on the usefulness and reliability of the reported performance against predetermined outcomes for the selected outcomes presented in the annual performance report. The accounting authority is responsible for the preparation of the annual performance report.

We selected the following outcomes presented in the annual performance report for the period ended 30 September 2024 for auditing.

We selected outcomes that measure the public entity’s performance on its primary mandated functions and that are of significant national, community or public interest.

Outcomes	Page numbers	Purpose
Outcome 1: Financial Perspective	26	Driving commercialisation, ensuring return on investment, and strengthening of the balance sheet and mobilising strategic partners and funding.

Outcome 2: Customer Perspective	26	Supporting sustainable small, medium, micro, and co-operative enterprises and contributing to increased job creation, and economic participation, ownership, and access to resources and opportunities by PDIs, prioritising women, youth, and PWDs.
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We evaluated the reported performance information for the selected outcomes against the criteria developed from the performance management and reporting framework, as defined in the general notice. When an annual performance report is prepared using these criteria, it provides useful and reliable information and insights to users on the public entity’s planning and delivery on its mandate and objectives.

We performed procedures to test whether:

- the indicators used for planning and reporting on performance can be linked directly to the public entity’s mandate and the achievement of its planned objectives.
- all the indicators relevant for measuring the public entity’s performance against its primary mandated and prioritised functions and planned objectives are included.
- the indicators are well defined to ensure that they are easy to understand and can be applied consistently, as well as verifiable so that we can confirm the methods and processes to be used for measuring achievements.
- the targets can be linked directly to the achievement of the indicators and are specific, time bound and measurable to ensure that it is easy to understand what should be delivered and by when, the required level of performance as well as how performance will be evaluated.
- the indicators and targets reported on in the annual performance report are the same as those committed to in the approved initial or revised planning documents.
- the reported performance information is presented in the annual performance report in the prescribed manner and is comparable and understandable.
- there is adequate supporting evidence for the achievements reported and for the reasons provided for any over or underachievement of targets

We performed the procedures for the purpose of reporting material findings only; and not to express an assurance opinion or conclusion.

Annexure to the auditor's report

We did not identify any material findings on the reported performance information for the selected outcomes.

Other matter

We draw attention to the matter below.

Achievement of planned targets

The annual performance report includes information on reported achievements against planned targets and provides explanations for over- and under achievements.

Report on compliance with legislation

In accordance with the PAA and the general notice issued in terms thereof, we must audit and report on compliance with applicable legislation relating to financial matters, financial management and other related matters. The accounting authority is responsible for the group's compliance with legislation.

We performed procedures to test compliance with selected requirements in key legislation in accordance with the AGSA findings engagement methodology. This engagement is not an assurance engagement. Accordingly, we do not express an assurance opinion or conclusion.

Through an established AGSA process, we selected requirements in key legislation for compliance testing that are relevant to the financial and performance management of the public entity, clear to allow consistent measurement and evaluation, while also sufficiently detailed and readily available to report in an understandable manner. The selected legislative requirements are included in the annexure to this auditor's report.

We did not identify any material non-compliance with the selected legislative requirements.

Other information in the annual report

The accounting authority is responsible for the other information. The other information comprises the information included in the document titled "Small Enterprise Finance Agency Group and Company Financial Statements for the period ended 30 September 2024", which includes the directors' report, the audit committee's report and the company secretary's certificate as required by the

Companies Act of South Africa. The other information does not include the consolidated and separate financial statements, the auditor's report and those selected outcomes presented in the annual performance report that have been specifically reported on in this auditor's report.

Our opinion on the financial statements and our findings on the reported performance information and the report on compliance with legislation do not cover the other information and we do not express an audit opinion or any form of assurance conclusion on it.

In connection with our audit, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements and the selected outcomes presented in the annual performance report, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Internal control deficiencies

We considered internal control relevant to our audit of the consolidated and separate financial statements, annual performance report and compliance with applicable legislation; however, our objective was not to express any form of assurance on it.

We did not identify any significant deficiencies in internal control.

Audit tenure

In terms of the IRBA Rule published in Government Gazette No. 39475 dated 4 December 2015, we report that Deloitte & Touche has been the auditor of small Enterprise Finance Agency SOC Limited and its subsidiaries (the group) for 3 years.

Deloitte & Touche
Registered Auditor
Per: Harshal Kana Partner

08 August 2025

5 Magwa Crescent Waterfall City Johannesburg

Annexure to the auditor's report

The annexure includes the following:

- the auditor's responsibility for the audit
- the selected legislative requirements for compliance testing.

Auditor's responsibilities for the audit

Professional judgement and professional scepticism

As part of an audit in accordance with the ISAs, we exercise professional judgement and maintain professional scepticism throughout our audit of the consolidated and separate financial statements and the procedures performed on reported performance information for selected outcomes and on the Group and Company's compliance with selected requirements in key legislation.

Consolidated and separate financial statements

In addition to our responsibility for the audit of the consolidated and separate financial statements as described in this auditor's report, we also:

- identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error; design and perform audit procedures responsive to those risks; and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and Company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made.
- conclude on the appropriateness of the use of the going concern basis of accounting in the preparation of the financial statements. We also conclude, based on the audit evidence obtained, whether a material uncertainty exists relating to events or conditions that may cast significant doubt on the

ability of the Group and Company to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements about the material uncertainty or, if such disclosures are inadequate, to modify our opinion on the consolidated and separate financial statements. Our conclusions are based on the information available to us at the date of this auditor's report. However, future events or conditions may cause a Group and/or Company to cease operating as a going concern.

- evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and determine whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

Communication with those charged with governance

We communicate with the accounting authority regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Annexure to the auditor's report

Compliance with legislation – selected legislative requirements The selected legislative requirements are as follows:

Legislation	Sections or regulations
Public Finance Management Act No. 1 of 1999 (PFMA)	Section 50(3); 50(3)(a); 50(3)(b); Section 51(1)(a)(ii); Section 51(1)(a)(iii); 51(1)(a) (iv); 51(1)(b)(i); 51(1)(b)(ii); 51(1)(e)(iii); Section 53(4); Section 54(2)(c); 54(2)(d); Section 55(1)(a); 55(1)(b); 55(1)(c)(i); Section 56; Section 57(b); 57(d); Section 66(3)(a)
Treasury Regulations for public entities (TR)	Regulation 31.2.5; 31.2.7 (a); Regulation 33.1.1; 33.1.3
Companies Act No. 71 of 2008	Section 30(3)(b)(i); 33(1)(a); Section 45(2); 45(3)(a)(ii); 45(3)(b)(i); 45(3)(b)(ii); 45(4); Section 46(1)(a); 46(1)(b); 46(1)(c); Section 72(4)(a); Section 75(6); Section 86(1); 86(4); Section 88(2)(d); Section 112(2)(a); Section 129(7)
Prevention and Combating of Corrupt Activities Act No.12 of 2004 (PRECCA)	Section 34(1)
Companies Regulations	Regulations 30(2); 43(2)(a)
Construction Industry Development Board Act No.38 of 2000 (CIDB)	Section 18(1) Section 22(3)
Preferential Procurement Policy Framework Act 5 of 2000	Section 1(i); 2.1(a); 2.1(b); 2.1(f)
Preferential Procurement Regulations, 2017	Paragraph 4.1; 4.2 Paragraph 5.1; 5.3; 5.6; 5.7 Paragraph 6.1; 6.2; 6.3; 6.5; 6.6; 6.8 Paragraph 7.1; 7.2; 7.3; 7.5; 7.6; 7.8 Paragraph 8.2; 8.5 Paragraph 9.1; 9.2 Paragraph 10.1; 10.2 Paragraph 11.1; 11.2 Paragraph 12.1; 12.2
Preferential Procurement Regulations, 2022	Paragraph 3.1; Paragraph 4.1; 4.2; 4.3; 4.4; Paragraph 5.1; 5.2; 5.3; 5.4
National Treasury SCM Instruction No.03 of 2021/22	Paragraph 4.3; 4.4; 4.4(c); 4.4(d); 4.6; Paragraph 5.4
National Treasury Instruction No. 4 of 2015/16	Paragraph 1
Second amendment National Treasury Instruction No. 5 of 2020/21	Paragraph 4.8; 4.9; 5.1; 5.3
National Treasury Instruction No. 5 of 2020/21	Paragraph 5.1 and 5.3

STATEMENTS OF FINANCIAL POSITION

for the period ended 30 September 2024

		GROUP		COMPANY	
	NOTE	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
ASSETS					
Cash and cash equivalents	4.1	4 910 937	4 346 035	4 247 636	3 708 065
Trade and other receivables	4.2	60 343	38 734	276 707	262 862
Current tax asset	3.1	1 471	1 471	-	-
Deferred grants receivable	4.4	199 414	229 498	264 172	290 134
Loans and advances	7.10	1 177 465	1 118 920	1 177 465	1 118 920
Intangible assets	5.2	4 817	341	4 817	341
Equipment, furniture and other tangible assets	5.1	14 082	11 976	13 488	11 425
Right-of-use asset	5.6	12 653	19 567	12 653	19 567
Investment properties	5.3	251 759	245 240	-	-
Investments	7.11	89 682	62 123	61 778	62 123
Investments in subsidiaries	9.2	-	-	468 090	473 208
Investments in joint operations	9.3	-	-	-	-
Investments in associates	9.4	945 840	930 559	98 622	98 622
Investments in joint ventures	9.5	27 882	43 657	10	43 329
Deferred tax asset	3.3	3	3	-	-
TOTAL ASSETS		7 696 348	7 048 124	6 625 438	6 088 596
EQUITY AND LIABILITIES					
Share capital	8.1	308 300	308 300	308 300	308 300
Share premium	8.1	773 211	-	773 211	-
Shareholder reserves	8.2	3 164 833	3 028 964	3 164 833	3 028 964
Other reserves		23	37	-	-
Retained earnings		(1 719 067)	(1 873 473)	(2 594 854)	(2 704 998)
Equity attributable to owners of the parent		2 527 300	1 463 828	1 651 490	632 266
Non-controlling interest		-	-	-	-
Total equity		2 527 300	1 463 828	1 651 490	632 266
Liabilities					
Trade and other payables	4.3	185 598	109 762	98 444	61 804
Lease liability	5.6	16 149	24 631	16 149	24 631
Tax payable	3.1	5 416	-	5 416	-
Deferred grants payable	4.4	4 776 660	4 527 858	4 776 660	4 527 858
Insurance contracts issued that are liabilities	6.2	107 946	80 008	-	-
Post-retirement medical liability	6.3	484	341	484	341
Shareholder loans	6.1	76 795	841 696	76 795	841 696
Total liabilities		5 169 048	5 584 296	4 973 948	5 456 330
TOTAL EQUITY AND LIABILITIES		7 696 348	7 048 124	6 625 438	6 088 596

STATEMENT OF COMPREHENSIVE INCOME

for the period ended 30 September 2024

		GROUP		COMPANY	
	NOTE	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Interest income on loans and advances	2.2	74 119	165 358	73 909	165 354
Increase in credit losses on loans and advances	2.4.3	(80 063)	(703 610)	(80 063)	(703 610)
Bad debts written off	2.4.3	(14)	(103)	(14)	(103)
Loss from lending activities		(5 958)	(538 355)	(6 168)	(538 359)
Other interest earned and other revenue and income	2.3	199 988	395 205	199 847	382 675
Grant income	2.6	268 506	672 821	268 506	672 821
Lease liability finance cost	5.5	(1 158)	(4 396)	(1 158)	(4 396)
Finance costs	6.1	(15 800)	(63 439)	(15 800)	(63 439)
Gross profit after finance costs		445 578	461 836	445 227	449 302
Net fair value gain on investment properties	5.4	6 519	63 122	-	-
Increase in impairments on related party loans	2.4.5	-	-	(57 167)	(30 485)
Increase in impairments on cash	4.1	-	(21)	-	(19)
Decrease in impairments on investments	2.4.2	18	9 148	1 668	23 297
Investment property expenses		(37 897)	(63 364)	-	-
Personnel expenses		(153 547)	(284 230)	(153 547)	(284 230)
Grant expense	2.6	(58 572)	(137 154)	(58 572)	(137 154)
Other operating expenses		(95 963)	(137 451)	(62 049)	(110 560)
Operating profit/(loss)	2.4	106 136	(88 114)	115 560	(89 849)
Profit from equity accounted investments, net of tax	9.6	53 686	47 325	-	-
Profit/(Loss) before tax		159 822	(40 789)	115 560	(89 849)
Income tax credit/ (charge)	3.2	(5 416)	-	(5 416)	-
Net profit/(loss) for the year		154 406	(40 789)	110 144	(89 849)
Other comprehensive income after tax:					
Other comprehensive income from equity accounted investments		(14)	(2 186)	-	-
Other comprehensive loss for the year	9.6	(14)	(2 186)	-	-
Total comprehensive profit/(loss) for the year		154 392	(42 975)	110 144	(89 849)
Profit/(Loss) and total comprehensive income/(loss) attributable to:					
Owners of the parent - loss for the year		154 406	(40 789)		
Owners of the parent - other comprehensive loss		(14)	(2 186)		
Non-controlling interest - for the year		-	-		
Total comprehensive income/(loss) for the year		154 392	(42 975)		

STATEMENTS OF CHANGES IN EQUITY

for the period ended 30 September 2024

		Share Capital	Retained Earnings	Shareholder Reserves	Other Reserves *	Share Premium	Total
		R'000	R'000	R'000	R'000	R'000	R'000
GROUP							
Balance at 31 March 2023		308 300	(1 832 684)	2 811 146	2 223	-	1 288 985
Advances received on shareholder reserves	8.2	-	-	217 818	-	-	217 818
Day one gain recognised on advance on shareholders loan	6.1	-	-	-	-	-	-
Dividends paid by subsidiary		-	-	-	-	-	-
Other comprehensive income from equity accounted investments		-	-	-	(2 186)	-	(2 186)
Total comprehensive loss for the year		-	(40 789)	-	-	-	(40 789)
Balance at 31 March 2024		308 300	(1 873 473)	3 028 964	37	-	1 463 828
Advances received on shareholder reserves	8.2	-	-	135 869	-	-	135 869
Other comprehensive loss from equity accounted investments		-	-	-	(14)	-	(14)
New issue of shares	6.1	-	-	-	-	773 211	773 211
Total comprehensive income for the year		-	154 406	-	-	-	154 406
Balance at 30 September 2024		308 300	(1 719 067)	3 164 833	23	773 211	2 527 300

		Share Capital	Retained Earnings	Shareholder Reserves	Other Reserves	Share Premium	Total
		R'000	R'000	R'000	R'000	R'000	R'000
COMPANY							
Balance at 31 March 2023		308 300	(2 615 149)	2 811 146	-	-	504 297
Advances received on shareholder reserves	8.2	-	-	217 818	-	-	217 818
Total comprehensive loss for the year		-	(89 849)	-	-	-	(89 849)
Balance at 31 March 2024		308 300	(2 704 998)	3 028 964	-	-	632 266
Advances received on shareholder reserves	8.2	-	-	135 869	-	-	135 869
New issue of shares	6.1	-	-	-	-	773 211	773 211
Total comprehensive income for the year		-	110 144	-	-	-	110 144
Balance at 30 September 2024		308 300	(2 594 854)	3 164 833	-	773 211	1 651 490

STATEMENTS OF CASH FLOWS

for the period ended 30 September 2024

		GROUP		COMPANY	
	NOTE	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Cash flows from operating activities					
Cash utilised by operations	2.5	(62 935)	(297 169)	(92 578)	(270 342)
Net loans and advances to customers or investees		(138 621)	(207 840)	(138 621)	(207 840)
Grant income received		517 308	679 470	517 308	679 470
Tax paid	3.1	-	(1 471)	-	-
Net cash generated from operating activities		315 752	172 990	286 109	201 288
Cash flows from investing activities					
Purchase of equipment, furniture and other tangible assets	5.1	(5 858)	(7 494)	(5 792)	(7 494)
Purchase of intangible assets	5.2	(4 748)	-	(4 748)	-
Acquisition of investments		(38 374)	(6 403)	(10 469)	(6 403)
Disposal of investments		-	1 000	-	1 000
Interest and dividends received	2.3	180 941	343 151	156 825	297 279
Acquisition of equity accounted investments	9.5	(4 340)	-	(3 883)	-
Disposal of equity accounted investments	9.5	-	290	-	290
Proceeds from sale of equipment, furniture and other tangible assets		285	115	285	115
Net cash generated by investing activities		127 906	330 659	132 218	284 787
Cash flows from financing activities					
Shareholder loan repayments		(7 490)	(15 010)	(7 490)	(15 010)
Capital funding received from the shareholder	8.2	135 869	217 818	135 869	217 818
Lease payment (capital portion)		(7 135)	(11 381)	(7 135)	(11 381)
Net cash from financing activities		121 244	191 427	121 244	191 427
Net increase in cash and cash equivalents		564 902	695 076	539 571	677 502
Cash and cash equivalents at beginning of year		4 346 081	3 651 005	3 708 104	3 030 602
Cash and cash equivalents at end of year	4.1	4 910 983	4 346 081	4 247 675	3 708 104

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for the period ended 30 September 2024

1. ACCOUNTING FRAMEWORK AND CRITICAL JUDGEMENTS

1.1 Basis of preparation

The Group consolidated financial statements of **sefa** (the Company) comprise the Company and its subsidiaries and the Group's interest in associates, joint ventures and joint operations.

The current period amounts presented in the financial statements covers a period of six months. This is owing to the fact that all assets, liabilities, rights and obligations of **sefa**, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, passed to Small Enterprise Development and Finance Agency (SOC) Ltd. (SEDFA). The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency (SOC) Ltd. The comparative amounts cover a period of 12 months and is therefore not entirely comparable to the six months presented for the current period.

The Group and Company financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS), except for the going concern assumption, and Interpretations as issued by the IFRS Interpretations Committee (IFRIC) and comply with the South African Companies Act, No 71 of 2008 as well as the requirements of the PFMA. The financial statements have been prepared on the historical cost basis, except for the following material items in the statement of financial position:

- Investment properties measured at fair value.
- Investments that are classified as financial instruments at fair value through profit or loss.

The Group and Company financial statements are presented in South African Rand, which is the Company's functional currency, rounded to the nearest thousand.

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that effect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are included in note 1.6.

1.2 Going concern

sefa's financial statements are prepared based on International Financial Reporting Standards, except for the going concern assumption.

Management has considered several inputs in the going concern assessment for the period-ended 30 September 2024, including preparing budgets in line with the approved National Treasury's vote 36 and 39 allocations. The financial plans that have been prepared were based on the National Treasury's vote 36 and 39 fund allocations, DSBD allocation of budget and the approval of the Annual Performance Plan for the 2024/25. **sefa** will be able to pay all debts as they become due and the approved budgets confirm that **sefa** is both liquid and solvent.

As per note 14.1, **sefa's** assets and liabilities will, through The Bill, be merged with those of SEDA and CBDA to form The Agency, SEDFA. The President assented The Bill into Law on 18 July 2024 and The Bill was proclaimed and published in the Government Gazette the (National Small Enterprise Amendment Act, 2024) on 23 July 2024.

The Bill (s10(1) (5) of Chapter 3) states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of the **sefa**, SEDA and Co-Operatives Bank Development Agency, as the case may be, including the unexpended balance of appropriations, authorisations,

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for the period ended 30 September 2024

allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to the Agency (SEDFA). As a result of Section 10 (1)(5) of the Bill, the functions of **sefa** will continue under SEDFA, which will have the same mandate and functions as **sefa**. The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency.

As a result, management has assessed that **sefa** is no longer a going concern due to the finalising of the enabling legislation that resulted in the formation of the Agency, SEDFA, on 1 October 2024.

1.3 Significant changes in accounting policies

There were no significant changes in accounting policies.

1.4 Material accounting policies

The material accounting policies applied in the preparation of these financial statements are set out in this section as well as in the related notes to the Group and Company financial statements. The material accounting policies applied are consistent with those adopted in the prior year, unless otherwise stated. The material accounting policies applied in the Company financial statements are consistent with those applied in the Group financial statements where applicable.

1.4.1 Consolidation

1.4.1.1 Business combinations

The Group accounts for business combinations using the acquisition method when control is obtained by the Group. A business is defined as an integrated set of activities and assets that are capable of being conducted and managed for the purposes of providing a return directly to investors or other owners, members or participants.

Recognition and measurement

The Group uses the acquisition method of accounting to account for business combinations. The consideration transferred for the acquisition of a business is the fair values of the assets transferred, the liabilities incurred and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Acquisition-related costs are expensed as and when incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Where applicable the Group measures any non-controlling interest in the acquiree at the non-controlling interest's proportionate share of the acquiree's net assets at initial recognition. Subsequently, the carrying amount of non-controlling interest is the amount of the interest at initial recognition plus the non-controlling interests' share of the subsequent change in equity. Total comprehensive income is attributed to non-controlling interest. Accumulated losses attributed to non-controlling interest may result in the non-controlling interest having a deficit balance.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. In the event of this being less than the fair value of the net assets of the acquiree in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

Derecognition

When a parent loses control of a subsidiary it stops consolidating the subsidiary by derecognising the assets (including goodwill) and liabilities of the subsidiary and NCI in the subsidiary. As a consequence, the amount recognised in profit or loss on loss of control of a subsidiary is measured as the difference between:

- The sum of :
 - The fair value of the consideration received, if any;
 - The fair value of any retained non-controlling investment; and
 - The carrying amount of the NCI in the former subsidiary.
- The carrying amount of the former subsidiary's net assets.

1.4.1.2 Consolidation of subsidiaries

Subsidiaries are entities controlled by the Company. Control exists when **sefa** is exposed to, or has the rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The financial statements of subsidiaries are consolidated in the Group financial statements from the date that control commences (acquisition date) and are deconsolidated from the date that control ceases (disposal date).

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated on consolidation.

Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Where necessary, adjustments are made to the financial statements of subsidiaries to align any difference in accounting policies with those of the Group.

The Company accounts for investments in subsidiaries at cost, less accumulated impairment losses.

1.4.1.3 Non-controlling interests

On an acquisition-by-acquisition basis, non-controlling interests in the acquiree is initially measured at the non-controlling shareholders' proportion of the net identifiable assets acquired and liabilities and contingent liabilities assumed.

Non-controlling shareholders are treated as equity participants; therefore, all acquisitions of non- controlling interests or disposals by the Group of its interests in subsidiaries, where control is maintained subsequent to the disposal, are accounted for as equity transactions. Consequently, the difference between the fair value of the consideration transferred and the carrying amount of a non-controlling interest purchased, is recorded in equity. All profits or losses arising as a result of the disposal of interests in subsidiaries to non-controlling shareholders (where control is subsequently maintained) are also recorded in equity.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity.

Total comprehensive income is attributed to non-controlling interests even if this results in the non- controlling interests having a deficit balance.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

1.4.1.4 Interest in equity-accounted investees

The Group's interests in equity-accounted investees comprise interests in associates and joint ventures.

Associates are all entities over which the Group has significant influence but not control or joint control, over the financial and operating policies. Joint ventures are those entities over whose activities the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in associates and joint ventures are accounted for using the equity method of accounting and are initially recognised at cost, which includes transaction costs. Subsequent to the initial recognition, the Group financial statements include the Group's share of the profit or loss and OCI of equity-accounted investees, until the date on which significant influence or joint control ceases.

The Group's investment in equity-accounted investees includes goodwill identified on acquisition. Any excess of the acquisition price over the acquired net asset value is not separately recognised as goodwill, but rather is included in the cost of the investment.

The cumulative post-acquisition movements are adjusted for against the carrying amount of the investment. Distributions received from associates reduce the carrying amount of the investment. When the Group's share of losses in an equity-accounted investee equals or exceeds its interest in the equity-accounted investee, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the equity-accounted investee.

The equity interest in an equity accounted investee includes, for this purpose, the carrying amount of the investment under the equity method and other long term interests that in substance form part of the entity's net investment in the associate or joint venture.

After application of the equity method, including recognising the associate's or joint venture's losses, **sefa** determines whether there is any objective evidence that its net investment in the associate or joint venture is impaired.

Unrealised gains and losses arising from transactions with equity-accounted investments are eliminated against the investment to the extent of the Group's interest in the investment. Unrealised losses are eliminated only to the extent that there is no evidence of impairment.

1.4.2 Provisions

A provision is a liability of uncertain timing or amount.

Provisions are recognised when the Group or Company has a present obligation as a result of a past event and the amount can be reliably measured. The Group or Company will also determine whether outflow of economic resources, embodying economic benefits that will be required to settle the obligation is probable or not. A provision will therefore be raised if the condition of being probable is met.

The amount of a provision is the present value of the expenditure expected to be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax discount rate that reflects the current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement shall be recognised when, and only when, it is virtually certain that reimbursement will be received if the entity settles the obligation. The reimbursement shall be treated as a separate asset. The amount recognised for the reimbursement shall not exceed the amount of the provision.

Provisions are not recognised for future operating losses.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

1.4.3 Contingent liabilities

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group.

Contingent liabilities are not recognised in the statement of financial position but disclosed in the notes when significant.

1.4.4 Employee benefits

Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short- term cash bonus plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Defined contribution plan

The Group has a provident fund scheme which is a defined contribution plan. A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further amounts. Contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the year to which they relate.

1.4.5 Funds administered on behalf of third parties

sefa manages funds on behalf of third parties. Funds administered on behalf of third parties are in ring fenced bank accounts, which are restricted and are utilised for specific purposes as determined in the agreements with third parties and as instructed by the parties to the agreements. The funds are not disclosed in **sefa**'s statement of financial position as they do not meet the definition of an asset as per the accounting framework.

1.4.6 Measurement principles

Key assets and liabilities shown in the statement of financial position are subsequently measured as follows:

Assets	Measurement principle
Cash and cash equivalents	Amortised cost
Trade and other receivables	Amortised cost
Loans and advances	Amortised cost
Equipment, furniture and other tangible assets	Historical cost, less accumulated depreciation and impairment losses
Intangible assets	Historical cost, less accumulated amortisation and impairment losses
Deferred tax assets	Undiscounted amount measured at the tax rate at the reporting date
Investment properties	Fair value
Investments	Fair value through profit or loss
Investments in associates and joint ventures	Cost adjusted for share of movements in net assets, less impairment losses
Right-of-use Asset	Historical cost, less any accumulated depreciation and impairment losses
Deferred grants receivable	Conditional grants (grant provided to customers that may become repayable if the customer defaults on their loan) disbursed to customers is presented as deferred expenses and recognised on a systematic basis over the related loan term.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

Liabilities	Measurement principle
Trade and other payables	Amortised cost
Tax payable	Amount expected to be paid to the tax authorities, using the tax rate at the reporting date
Insurance contracts issued that are liabilities	Insurance contracts are measured using a current estimate of all cash flows within the contract boundary that will arise as the contract is fulfilled
Deferred tax liabilities	Undiscounted amount measured at the tax rate at the reporting date
Post-retirement medical liability	Present value of the best estimate of settlement amount
Shareholder’s loans	Amortised cost
Lease Liability	Present value of lease payments to be made over the lease term
Deferred grant payable	Grant income received is deferred on the statement of financial position as deferred grant payable and recognised as revenue on a systematic basis over the term of the related loan.

1.4.7 Determination of fair values

Determination of fair values
 When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in the fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1 Quoted prices (unadjusted) in active markets for identical assets or liabilities	Level 2 Inputs other than quoted prices (as per Level 1) that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)	Level 3 Inputs for the asset or liability that are not based on observable market data (unobservable inputs)
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If the inputs used to measure the fair value of an asset or liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. When applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

Refer to note 5.5 for additional information on determining the fair value of investment properties and note 7.11 for investments carried at fair value.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

1.5 New and amended standards and interpretations

1.5.1 IFRS 17 Insurance Contracts has been implemented for the year ending 31 March 2024, which has been disclosed in note 6.2.

Topic	Key requirements	Effective date
Amendments to IAS 1	Classification of liabilities as current or non-current. The amendments to IAS 1: - clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period. - specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. - explain that rights are in existence if covenants are complied with at the end of the reporting period. - introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services. - are applied retrospectively.	Reporting periods beginning on or after 1 January 2024.

1.5.2 New standards and interpretations, not yet effective

The pronouncements listed below will be effective in future reporting periods and is considered relevant to the Group.

Topic	Key requirements	Effective date
IAS 21 The effects of changes in foreign exchange rates	Amendment relating to lack of exchangeability This is not expected to impact sefa.	Reporting periods beginning on or after 1 January 2025.
IFRS 7 Financial Instruments: Disclosures (Annual improvements IFRS Accounting Standards, Volume 11, July 2024)	Gain or loss on derecognition.	Annual reporting periods beginning on or after 1 January 2026
IFRS 9 Financial instruments (Annual improvements IFRS Accounting Standards, Volume 11, July 2024)	Derecognition of lease liabilities and Transaction price.	Annual reporting periods beginning on or after 1 January 2026.
IFRS 9 and IFRS 7 Financial instruments	Amendments to classification and measurement of financial instruments.	Annual reporting periods beginning on or after 1 January 2026.
IFRS 10 Consolidated Financial Statements	Determination of a 'de facto agent'	Annual reporting periods beginning on or after 1 January 2026.
IFRS 18 – Presentation and Disclosure in Financial Statements	IFRS 18 includes requirements for all entities applying IFRS for the presentation and disclosure of information in financial statements.	Annual reporting periods beginning on or after 1 January 2027.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

Topic	Key requirements	Effective date
IFRS 19 Subsidiaries without public accountability	Subsidiaries without public accountability	Annual reporting periods beginning on or after 1 January 2027.
Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture.	To be announced.

1.6 Critical accounting judgements, estimates and assumptions

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The Group and Company make estimates and assumptions concerning the future. The resulting accounting estimates will, by definition rarely equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below:

1.6.1 Income taxes

Significant judgement is required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

1.6.2 Deferred tax assets

Deferred tax assets are recognised to the extent that it is probable that taxable income will be available in the future against which it can be utilised.

1.6.3 Measurement of the expected credit loss (ECL) allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 7.5.3, which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

1.6.4 The ultimate liability arising from claims made under indemnity contracts

1. *Separation of insurance contracts:* An insurance contract may contain one or more components that would be within the scope of another Standard if they were separate contracts. The company considers all the terms of each contract when making this determination.
2. *Consideration of whether there are investment components:* The company considers all the terms of each contract in order to make this determination. The company does not have exposure to investment components within any of its insurance contracts and has no plans to offer this product feature in the foreseeable future.
3. *Determination of the contract boundary:* When determining the boundaries of the contract all substantive rights held by the policyholder (i.e., contractual and/ or arising from law or regulations) are required to be considered except for restrictions without commercial substance [IFRS17 17.2]. Cash flows are considered to be outside of the contract boundary if the company has the practical ability to reprice existing contracts to reflect their reassessed risks, and if the contract's pricing for coverage up to the date of reassessment only considers the risks until the next reassessment date. The company applies its judgement in assessing whether it has the practical ability to set a price that fully reflects all the risks in the contract or portfolio.
4. *Identification of portfolios:* The Group defines a portfolio as insurance contracts subject to similar risks and managed together. Contracts within the same product line are expected to be in the same portfolio as they have similar risks and are managed together. The assessment of which risks are similar and how contracts are managed requires the exercise of judgement.
5. *Assessment of significance of insurance risk:* The Group applies its judgement in assessing whether a contract transfers to the issuer significant insurance risk. A contract transfers significant insurance risk only if an insured event could cause the Group to pay additional amounts that are significant in any single scenario and only if there is a scenario that has commercial substance in which the issuer has a possibility of a loss on a present value basis upon an occurrence of the insured event, regardless of whether the insured event is extremely unlikely. The assessment of whether additional amounts payable on the occurrence of an insured event are significant and whether there is any scenario with commercial substance in which the issuer has a possibility of a loss on a present value basis involves significant judgement and is performed at initial recognition on a contract-by-contract basis.
6. *Level of aggregation:* The company applies judgement when distinguishing between contracts that have no significant possibility of becoming onerous and other profitable contracts
7. *Assessment of directly attributable cash flows:* The company applies judgement in assessing whether cash flows are directly attributable to a specific portfolio of insurance contracts. Insurance acquisition cash flows are included in the measurement of a group of insurance contracts only if they are directly attributable to the individual contracts in a group, or to the group itself, or the portfolio of insurance contracts to which the group belongs. When estimating fulfilment cash flows, the company also allocates fixed and variable overheads fulfilment cash flows directly attributable to the fulfilment of insurance contracts.
8. *PAA eligibility assessment:* Where the coverage period is one year or less, an entity has the option to choose whether to apply the simplified approach (PAA) and where the company does not expect significant variability in the fulfilment cash flows that would affect the measurement of the liability for remaining coverage during the period before a claim is incurred.
9. *Assessment of significance of modification:* The company derecognises the original contract and recognises the modified contract as a new contract, if the derecognition criteria are met. The company applies judgement to assess whether the modified terms of the contract would result in the original contract meeting the criteria for derecognition.
10. *Level of aggregation for determining the risk adjustment for non-financial risk:* IFRS 17 does not define the level at which the risk adjustment for non-financial risk should be determined. The level of aggregation for determining the risk adjustment for non-financial risk is not an accounting policy choice and requires judgement.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

1.6.5 Effective rate used in determining the fair value of the shareholder's loan

The effective interest rate used to discount the interest-free shareholder's loans from the IDC is based on the average rate at which the IDC borrows external funds. **sefa** has never applied for external finance and, therefore, the average borrowing rate of the IDC is considered a market related rate.

1.6.6 Fair value assumptions for investment property

Property valuations take place annually, based on the aggregate of the net annual rental receivable from the properties, considering and analysing rentals received on similar properties in a close vicinity, less associated costs (insurance, maintenance, repairs, and management fees).

A capitalisation rate which reflects the specific risks inherent in the net cash flows is applied to the net annual rentals to arrive at the property valuations.

The fair value of undeveloped land held as investment property is based on comparative market prices after market surveys.

External, independent valuers having appropriate, recognised professional qualifications and recent experience in the location and category of the property being valued, perform valuations on the portfolio every three years.

Refer to note 5.5 for the fair value assumptions used.

1.6.7 Fair value assumptions for investments, associates and joint ventures

The fair value of the investment in equity instruments is determined by reference to the net asset value of the underlying entity.

1.6.8 Assumptions applied to the impairment of investments in associates and joint ventures

These assets are not carried at fair value but at cost adjusted for share of movements in net assets, less impairment losses.

The impairments of investments in associates and joint ventures is determined by reference to the net asset value of the underlying entity. All associates and joint venture entities apply IFRS and the net asset value is deemed the recoverable amount after assessment of underlying investee's financial statements which comprises of items that are representative of its fair value.

Refer to note 2.4.2 for additional information.

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for the period ended 30 September 2024

2. RESULTS OF OPERATIONS

2.1 Interest income, dividend income, fee income, rental income, commencement fee income and insurance revenue – material accounting policies

Interest income

Interest income is recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset (or, where appropriate, a shorter period) to the carrying amount of the financial asset. The effective interest rate is established on initial recognition of the financial asset and is not revised subsequently. Income that forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in interest income. When a financial asset is deemed to be credit impaired (stage 3) interest income is calculated using the effective interest rate applied to the net carrying amount of the asset, which is the gross carrying amount less the expected credit losses.

Dividend income

Dividend income is recognised in profit or loss on the date the Group's right to receive payment is determined. Revenue is measured at the fair value of the consideration received or receivable and is presented net of indirect taxes.

Fee income

Income earned on the execution of a significant act is recognised when the criteria for performance obligation has been met. Income earned from the provision of services is recognised as the service is rendered by reference to the stage of completion of the service. Fee income is comprised of commitment fees and administration fees charged on some loans. These fees, where applicable to the loan, are due from customers on disbursement of the loan.

Rental income

Rental income is generated from investment properties that are subject to operating leases. An operating lease is a lease where substantially all the rewards and risks incidental to ownership of the leased asset remains with the lessor. Receipts in respect of operating leases are accounted for as income on the straight-line basis over the period of the lease. When a rental debtor is deemed to be credit impaired (stage 3) rental income is only recognised to the extent that it is probable that the amount is collectible.

Commencement fee income earned

Commencement fees earned are included in revenue and are recognised when the facility has been activated, prior to any policies being taken up.

Insurance revenue

As the Group provides insurance services under a group of insurance contracts issued, it reduces its Liability for Remaining Coverage and recognises insurance revenue, which is measured at the amount of consideration the Group expects to be entitled to in exchange for those services.

Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way on the basis of the passage of time.

Notes to the Annual Financial Statements

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Grant income

The grant is recognised as income over the period necessary to match them with the related costs, for which they are intended to compensate, on a systematic basis. Grant income received is deferred on the statement of financial position and recognised as revenue on a systematic basis over the term of the related loan.

Other revenue

Other revenue is measured at the fair value of the consideration received or receivable and is presented net of indirect taxes. Other revenue comprises of bad debts recovered, management fee income on related parties and other sundry income.

Management fee income charged to related parties

Management fees are charged by **sefa** to related parties in the group for the shared service costs that are incurred. The management fees are charged in terms of the service level agreements in place with each subsidiary. At a Group level, these will eliminate, except for Khula Land Reform which is not consolidated in terms of IFRS requirements. Khula Land Reform is registered as a Non-profit Company. This company has been exempted from consolidation as **sefa** is acting as an agent.

2.2 Interest income on loans and advances

Interest received on loans and advances to clients

2.3 Other interest earned and other revenue

Fee income

Commencement fees

Interest on overdue rental debtors

Investment property rental income

Investment property rental recoveries

Interest received on cash and cash equivalents

Interest received on related party loan

Insurance Revenue

Dividends received on equity investments

Bad debts recovered

Management fee - related parties

Other sundry income

Total other interest and other revenue

Total other interest earned

Total other revenue

GROUP		COMPANY	
30 September 2024	31 March 2024	30 September 2024	31 March 2024
R'000	R'000	R'000	R'000
74 119	165 358	73 909	165 354
3 373	7 286	3 373	7 288
-	2 575	-	-
-	101	-	-
5 134	11 155	-	-
6 814	13 363	-	-
169 383	332 608	145 264	286 836
-	-	12 817	23 990
7 458	11 902	-	-
-	-	11 561	10 442
1 272	949	1 272	594
5 411	11 009	24 414	49 262
1 143	4 257	1 146	4 263
199 988	395 205	199 847	382 675
169 383	332 709	158 081	310 826
30 605	62 496	41 766	71 849

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for the period ended 30 September 2024

2.4 Operating loss

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Is arrived at after taking into account the following:				
2.4.1 Specific items:				
Audit fees	5 704	7 363	3 311	3 023
Contributions to defined contribution plans	6 857	14 195	6 857	14 195
Depreciation on fixed assets	3 452	4 947	3 430	4 908
Depreciation on right of use assets	5 567	12 196	5 567	12 196
Amortisation	272	319	272	319
Insurance service expenses	25 407	12 252	-	-
	47 259	51 272	19 437	34 641

2.4.2 Increase/(decrease) in impairments on investments:

Impairment of Investments in Associates	-	-	-	21
Impairment of Joint Ventures	-	-	(12 800)	9 124
Impairment of Other Investments	(18)	(9 148)	6 015	(9 148)
Impairment of Joint Operation	-	-	-	-
Impairment of Subsidiaries	-	-	5 117	(23 294)
Investment written off	-	-	-	-
Total increase in impairments on investments	(18)	(9 148)	(1 668)	(23 297)

Impairment losses are recognised in proportion to the entities share in the reduction of the investees net asset value, if any. The individual investments’ fair value less cost of disposal have been used as the recoverable amount. There is no reason to believe that value in use would materially exceed its fair value less cost of disposal as the abovementioned changes in the net asset value would have an equal impact on the future cash flows which would realise when the investments are ultimately disposed of.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

2.4.3 Increase/(decrease) in expected credit losses on loans and advances:

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Increase in expected credit losses - loans and advances	80 063	703 610	80 063	703 610
Bad debt written off - loans and advances ⁽¹⁾	14	103	14	103
Total increase in expected credit losses on loans and advances	80 077	703 713	80 077	703 713
⁽¹⁾ On a portfolio basis the split of bad debt written off is as follows:				
Micro Finance portfolio	-	-	-	-
Co-operatives portfolio	-	-	-	-
Direct Lending Portfolio (Loans issued before 1 April 2016)	-	-	-	-
Direct Lending Portfolio (Loans issued after 1 April 2016)	14	103	14	103
Khula Akwandze Fund	-	-	-	-
Identity Development Fund	-	-	-	-
	14	103	14	103

Refer to 7.5.7 for the additional policy notes.

2.4.4 Increases in bad debt provisions on rental debtors:

Increase in bad debt provision - rental debtors	290	1 479	-	-
Loss on disposal of rental debtors	-	-	-	-
Total increase in bad debt provisions on rental debtors	290	1 479	-	-

2.4.5 Increases in bad debt provisions on related party loans

Increase in bad debt provision on Khula Intitutional Support Services NPC	-	-	13 421	9 181
Increase in bad debt provision on Khula Business Premises (Pty) Ltd	-	-	43 747	12 822
	-	-	57 168	22 003

Notes to the Annual Financial Statements

for the period ended 30 September 2024

2.4.6 Loans and advances: Impairment movement per sector

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
	R'000	R'000	R'000	R'000
Net increase/(decrease) in impairments - loans and advances				
Accommodation and food service activities	914	13 374	914	13 374
Administrative and support activities	2 781	(17 666)	2 781	(17 666)
Agriculture, forestry and fishing	1 284	17 946	1 284	17 946
Arts, entertainment and recreation	(56)	452	(56)	452
Basic chemicals	270	1 226	270	1 226
Basic iron and steel	(2 100)	8 184	(2 100)	8 184
Beverages	267	2 278	267	2 278
Building construction	(1 503)	17 478	(1 503)	17 478
Business services	2 814	(4 476)	2 814	(4 476)
Catering and accommodation services	386	19 735	386	19 735
Construction	(1 207)	11 873	(1 207)	11 873
Education	26	924	26	924
Electricity, gas and steam	(3 226)	10 743	(3 226)	10 743
Electricity, gas, steam and air conditioning supply	(257)	675	(257)	675
Finance and insurance	5 394	98 133	5 394	98 133
Financial and insurance activities	39 018	20 777	39 018	20 777
Food	7 392	42 617	7 392	42 617
Footwear	(170)	1 771	(170)	1 771
Furniture	(329)	36	(329)	36
Glass and glass products	(19)	129	(19)	129
Human health and social work activities	4 857	22 783	4 857	22 783
Information and communication	7 582	6 571	7 582	6 571
Machinery and equipment	(142)	6 246	(142)	6 246
Manufacturing	5 596	129 179	5 596	129 179
Medical, dental and other health and verterinary services	(364)	1 994	(364)	1 994
Metal products excluding machinery	1 194	9 559	1 194	9 559

Notes to the Annual Financial Statements

for the period ended 30 September 2024

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
	R'000	R'000	R'000	R'000
Net increase/(decrease) in impairments - loans and advances				
Mining and quarrying	(1 113)	3 902	(1 113)	3 902
Motor vehicles, parts and accessories	(1 482)	21 584	(1 482)	21 584
Non-metallic minerals	(2 568)	13 221	(2 568)	13 221
Other chemicals and man-made fibres	(611)	2 408	(611)	2 408
Other community, social and personal services	(979)	16 672	(979)	16 672
Other industries	(2 697)	20 375	(2 697)	20 375
Other mining	(4 783)	23 920	(4 783)	23 920
Other service activities	1 994	(54 101)	1 994	(54 101)
Other services	19 699	47 844	19 699	47 844
Paper and paper products	(3)	35	(3)	35
Plastic products	(1 033)	947	(1 033)	947
Printing, publishing and recorded media	2	(569)	2	(569)
Professional, scientific and technical activities	1 363	967	1 363	967
Real estate activities	(224)	1 963	(224)	1 963
Television, radio and communication equipment	2	687	2	687
Textiles	6 562	16 207	6 562	16 207
Transport and storage	(1 625)	43 873	(1 625)	43 873
Transportation and storage	576	4 175	576	4 175
Water supply; sewerage, waste management and remediation	1 334	(2 576)	1 334	(2 576)
Wearing apparel	1 649	4 367	1 649	4 367
Wholesale and retail trade	(11 629)	72 784	(11 629)	72 784
Wholesale and retail trade; repair of motor vehicles and motor	9 687	33 698	9 687	33 698
Wood and wooden products	(4 460)	8 686	(4 460)	8 686
Total movement on credit loss allowances	80 063	703 610	80 063	703 610

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2.4.7 Bad debts written off/ (recovered) per sector:	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
<i>Bad debts written off/(recovered) - Loans and advances</i>				
Bad debts written off	14	103	14	103
Bad debts recovered	(1 272)	(949)	(1 272)	(594)
Total bad debts written off/ (recovered)	(1 258)	(846)	(1 258)	(491)
<i>Bad debts written off/(recovered) - Per sector:</i>				
Agriculture, forestry and fishing	-	(243)	-	(243)
Beverages	-	-	-	-
Building construction	1	(263)	1	(263)
Business services	-	-	-	-
Catering and accommodation services	-	-	-	-
Electrical machinery	-	-	-	-
Finance and insurance	(1 272)	(1)	(1 272)	(1)
Food	-	-	-	-
Furniture	-	-	-	-
Government	-	-	-	-
Medical, dental and other health and veterinary services	-	103	-	103
Motor vehicles, parts and accessories	-	-	-	-
Other community, social and personal services	-	-	-	-
Other chemicals and man-made fibres	-	-	-	-
Other industries	-	(87)	-	(87)
Other mining	13	-	13	-
Other services	-	-	-	-
Other transport equipment	-	(355)	-	-
Printing, publishing and recorded media	-	-	-	-
Television, radio and communication equipment	-	-	-	-
Textiles	-	-	-	-
Transport and storage	-	-	-	-
Wholesale and retail trade	-	-	-	-
Total bad debts written off/(recovered)	(1 258)	(846)	(1 258)	(491)

Notes to the Annual Financial Statements

for the period ended 30 September 2024

2.5 Cash utilised by operations

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
	R'000	R'000	R'000	R'000
Loss before tax	159 822	(40 789)	115 560	(89 849)
Adjustments for:				
Depreciation	9 019	17 143	8 997	17 103
Amortisation	272	319	272	319
Fair value adjustment - investment property	(6 519)	(63 122)	-	-
Fair value adjustment - investments	6 015	(9 148)	6 015	(9 148)
Impairments - Subsidiaries and equity accounted investees	-	-	(7 682)	(14 149)
Income from associates and joint ventures	(27 661)	(47 325)	-	-
Dividends received from associate	-	-	(11 561)	(10 442)
Increase in insurance contracts that are liabilities	27 938	5 580	-	-
Interest charged on shareholder's loan	15 800	63 439	15 800	63 439
Interest on related party loans	-	-	(12 817)	(23 990)
Investment income and interest on overdue rental debtors	(169 376)	(332 709)	(145 271)	(286 839)
Grant income	(268 506)	(672 821)	(268 506)	(672 821)
(Profit)/loss on sale of equipment	16	11	16	11
Credit loss allowance on loans	80 063	703 610	80 063	703 610
Provision for bad debts - rental debtors	290	1 479	-	-
Bad debts written off	14	103	14	103
Increase in impairments on cash	-	21	-	19
Increase in impairments on related party loans	-	-	57 167	30 485
Realisation of day-one-loss	-	-	-	-
Post-retirement liability	142	(428)	142	(428)
Increase in provision for indemnity claims	-	-	-	-
Operating loss before changes in working capital	(172 671)	(374 637)	(161 791)	(292 577)
Changes in working capital	109 736	77 468	69 213	22 235
(Increase)/decrease in trade and other receivables	(797)	66 783	(88)	95 988
Loans issued to related parties	28 258	7 774	26 229	(69 577)
(Decrease)/increase in trade and other payables	82 275	2 911	43 072	(4 176)
Cash utilised by operations	(62 935)	(297 169)	(92 578)	(270 342)

Notes to the Annual Financial Statements

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2.6 Grant Income and grant expense	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Grant income: Blended Finance	4 526	10 323	4 526	10 323
Grant income: Small Business and Innovation Fund	24 400	42 931	24 400	42 931
Grant income: European Union	4 971	7 530	4 971	7 530
Grant income: Covid_19 relief and post economic recovery programmes	189 112	421 099	189 112	421 099
Grant income: Youth Challenge Fund	22 589	29 132	22 589	29 132
Grant income: Micro Finance	22 908	161 806	22 908	161 806
	268 506	672 821	268 506	672 821
Grant expense: Blended Finance	(4 526)	(10 323)	(4 526)	(10 323)
Grant expense: Small Business and Innovation Fund	(7 292)	(14 257)	(7 292)	(14 257)
Grant expense: Covid_19 relief and post economic recovery programmes	(43 396)	(107 764)	(43 396)	(107 764)
Grant expense: Youth Challenge Fund	(3 358)	(4 810)	(3 358)	(4 810)
	(58 572)	(137 154)	(58 572)	(137 154)

Notes to the Annual Financial Statements
for the period ended 30 September 2024

3. TAXATION

3.1 CURRENT TAX ASSET/ (TAX PAYABLE)

Current tax is the expected tax payable or receivable on the taxable income or loss for the year. Refer to note 3.2 for additional information.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Tax receivable/(payable) at the beginning of the year	1 471	-	-	-
Tax as per statement of comprehensive income (net of deferred tax)	(5 416)	-	(5 416)	-
Tax penalty	-	-	-	-
Provisional tax overpayment	-	1 471	-	-
Tax receivable at the end of the year	(3 945)	1 471	(5 416)	-

3.2 INCOME TAX EXPENSE

Income tax expenses comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in other comprehensive income or equity.

Current tax

Current tax is measured using tax rates enacted or substantively enacted at the reporting date. Current taxes are recognised as income or an expense and included in profit or loss for the period, except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different period, in other comprehensive income or in equity.

Current tax also includes any adjustment to tax payable in respect of previous years when necessary.

The Group offsets current assets and current tax liabilities only when:

- The Group has a legally enforceable right to set off current tax assets against current tax liabilities.
- The Group intends to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred tax

Deferred tax is charged or credited in profit or loss, except when it relates to items credited or charged to other comprehensive income or directly to equity, in which case the deferred tax is also recognised in other comprehensive income or equity.

Refer to note 3.3 for additional information on deferred tax.

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	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Current tax expense - current year	5 416	-	5 416	-
- Current year	5 416	-	5 416	-
- Prior year under/(over) provision	-	-	-	-
Deferred taxation - current year	31 393	151 765	12 974	144 292
- Current year	39 111	122 193	34 637	129 426
- Prior year under/(over) provision	-	-	-	-
- Tax Loss movement	(7 718)	29 572	(21 663)	14 866
Deferred tax asset not recognised in the current year ⁽²⁾	(31 393)	(151 765)	(12 974)	(144 292)
Income tax expense	5 416	-	5 416	-
Reconciliation of taxation amount:				
Loss before taxation	159 822	(40 789)	115 560	(89 849)
Taxation at standard rate of 27% (2023 : 27%)	43 152	(11 013)	31 201	(24 259)
Tax effect of permanent differences	(69 129)	(140 752)	(38 759)	(120 033)
- Non-deductible expenses	35 656	62 801	35 517	62 415
- expenses attributable to exempt grant income	15 815	37 032	15 815	37 032
- fair value adjustment on investment properties	-	-	-	-
- repairs and maintenance not deductible	-	21	-	21
- impairment on related party loans	15 435	8 231	15 435	8 231
- movement on day 1 gain on IDC loan	4 266	17 129	4 266	17 129
- legal fees not deductible	-	386	-	-
- other	140	3	1	3
- Non-taxable income	(104 785)	(203 553)	(74 276)	(182 448)
- fair value adjustment on investment properties	(654)	(3 409)	-	-
- exempt grant income	(71 154)	(179 629)	(71 154)	(179 629)
- exempt dividend income	(3 627)	(2 819)	(3 122)	(2 819)
- other ⁽¹⁾	(29 350)	(17 697)	-	-
Tax effect of deferred tax asset not recognised	31 393	151 765	12 974	144 292
Taxation (credit)/ charge to the statement of comprehensive income	5 416	-	5 416	-
Taxation expense relating to current year	5 416	-	5 416	-
Effective tax rate	3.39%	0.00%	4.69%	0.00%

⁽¹⁾ The other amounts in the tax rate reconciliation are reconciling items from externally managed related entities. The individual amounts making up this item are not considered to be significant.

⁽²⁾ The deferred tax asset is not recognised due to uncertainty regarding the future taxable temporary differences against which this can be utilised.

Notes to the Annual Financial Statements
for the period ended 30 September 2024

3.3 DEFERRED TAX ASSETS AND LIABILITIES

Deferred tax is recognised in respect of all temporary differences arising between the carrying amount of assets and liabilities in the financial statements and the corresponding tax base used in the computation of taxable income.

Deferred tax assets are recognised to the extent that it is probable that future taxable profit will be available against which unused tax deductions can be utilised.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax will be realised.

Deferred tax is not recognised if the temporary differences arise from:

- The initial recognition of goodwill
- The initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither taxable income nor accounting profit or loss

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but the Group intends to settle current tax liabilities and assets on a net basis or the tax assets and liabilities will be realised simultaneously.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of Investment property measured at fair value is presumed to be recovered through sale, and the Group has not rebutted this presumption.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
3.3.1 Net deferred tax				
Deferred taxation assets	360 083	341 406	326 540	307 864
Deferred taxation liabilities	(360 080)	(341 403)	(326 540)	(307 864)
Net deferred taxation asset	3	3	-	-

Notes to the Annual Financial Statements

for the period ended 30 September 2024

3.3.2 Deferred taxation assets

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Movement on the deferred taxation asset is as follows:				
At beginning of the year	341 406	233 830	307 864	213 845
Temporary differences recognised in profit or loss				
- Current year	18 677	107 576	18 676	94 019
- Previous year	-	-	-	-
At end of the year	360 083	341 406	326 540	307 864
Deferred taxation assets recognised:				
Income received in advance	2	2	-	-
Tax loss	360 079	341 407	326 540	307 864
Other provisions	2	1	-	-
Total deferred tax assets recognised	360 083	341 410	326 540	307 864
Unused deferred tax assets:				
Fair value adjustments	-	-	-	-
Provision for doubtful debts	703 788	779 636	825 759	776 680
Provision for leave pay	2 462	2 001	2 462	2 001
Provisions for bonuses	12 415	6 527	12 415	6 527
Other provisions	131	92	131	92
Fixed assets (owned)	274	314	274	209
Revenue received in advance	115 131	116 473	115 131	116 473
IFRS 16	944	1 367	944	1 367
Doubtful debt allowance	(325 726)	(306 405)	(325 726)	(306 405)
Impairment of investments	9 817	4 487	47 958	48 408
Tax losses (Revenue in nature)	457 255	559 161	441 409	462 428
Total	976 490	1 163 654	1 120 757	1 107 781

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for the period ended 30 September 2024

3.3.3 Deferred taxation liability

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Movement on the deferred taxation liability is as follows:				
At beginning of the year	(341 403)	(233 827)	(307 864)	(213 845)
Temporary differences recognised in profit or loss				
- Current year	(18 677)	(107 576)	(18 676)	(94 019)
At end of the year	(360 080)	(341 403)	(326 540)	(307 864)
Deferred taxation liabilities:				
Prepaid expenses	815	1 459	815	1 459
Debtor allowances	359 265	327 849	325 725	306 405
Fair value adjustments on investment property	-	12 095	-	-
Other provisions	-	-	-	-
Total deferred tax liabilities recognised	360 080	341 403	326 540	307 864

4. WORKING CAPITAL

4.1 CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash on hand, cash managed by the shareholder, deposits held on call with financial institutions, and investments in money market instruments. Cash and cash equivalents are available within three months from the date of acquisition (or from initial recognition).

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Cash in bank and on hand	3 797 351	3 572 019	3 142 547	2 942 193
Cash managed by shareholder	1 113 632	774 062	1 105 128	765 911
Gross carrying amount	4 910 983	4 346 081	4 247 675	3 708 104
Expected credit loss on cash	(46)	(46)	(39)	(39)
Total cash and cash equivalents	4 910 937	4 346 035	4 247 636	3 708 065

Cash and cash equivalents are all current assets. Cash balances managed by IDC are immediately available as and when requested. Cash and cash equivalents includes allocations received from the Department of Small Business Development to the value of R3.1bil (2024: R2.55bil) which is ring fenced under various lending programs and can't be used for **sefa** group operational expenditure. The interest earned on these funds and collections from lending operations are however available for unrestricted use by **sefa**.

Notes to the Annual Financial Statements

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4.2 TRADE AND OTHER RECEIVABLES

Trade and other receivables are initially recognised at fair value and are subsequently measured at amortised cost less impairment losses. The carrying amount of trade and other receivables is deemed to approximate fair value due to the short term nature of the assets.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Trade receivables	62 573	33 862	25 818	1 691
Prepayments	8 219	6 922	8 219	6 921
Rental debtors	29 761	29 528	-	-
Related party loans (refer to note 10.1)	63	9 031	729 054	684 093
Study loans	2 149	1 422	2 150	1 423
Trade and other receivables before credit allowances	102 765	80 765	765 241	694 128
Credit allowances on rental debtors	(28 187)	(27 897)	-	-
Credit allowances on trade and other receivables	(14 235)	(14 134)	(3 251)	(3 150)
Credit allowance on related party loan (refer to note 10.1) (1)	-	-	(485 283)	(428 116)
Closing carrying value	60 343	38 734	276 707	262 862

Trade and other receivables are current assets and not pledged as security.
 (1) All related parties, including Khula Land Reform (not required to be consolidated) were assessed for impairment and no impairment was required, other than for Khula Business Premises (a subsidiary) and Khula Institutional Support Services where credit loss allowances were raised in the **sefa** company financial statements which is then eliminated in the consolidated group financial statements. At a company level the related party loans are assessed for impairment with referece to the net asset value of the subsidiary. If the net asset value is negative the related party loan is impaired up to the total negative net asset value attributable to the company (**sefa**).

4.3 TRADE AND OTHER PAYABLES

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Trade payables	124 470	70 515	37 316	22 557
Provision for bonus (Refer to 4.3.1)	45 980	24 174	45 980	24 174
Provision for leave pay (Refer to 4.3.2)	9 117	7 413	9 117	7 413
Related party loans payable (1)	6 031	7 660	6 031	7 660
Total trade and other payables	185 598	109 762	98 444	61 804

(1) This balance consists of the SEDA and Department of Small Business Development loans. Refer to note 10.1

Notes to the Annual Financial Statements

for the period ended 30 September 2024

4.3.1 Provision for Bonuses

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening balance	24 174	23 569	24 174	23 569
Utilised during the year	-	(27 939)	-	(27 939)
Prior year under provision	-	4 370	-	4 370
Accruals raised during the year	21 806	24 174	21 806	24 174
Closing balance	45 980	24 174	45 980	24 174

4.3.2 Provision for leave pay

Opening balance	7 413	6 651	7 413	6 651
Utilised during the year	(2 762)	(6 082)	(2 762)	(6 082)
Accruals raised during the year	4 466	6 844	4 466	6 844
Closing balance	9 117	7 413	9 117	7 413

4.4 DEFERRED GRANTS RECEIVABLE AND PAYABLE

Deferred grant receivable - gross carrying amount	199 414	229 498	264 172	290 134
Total deferred grant receivable - net carrying value	199 414	229 498	264 172	290 134
Deferred grants payable	4 776 660	4 527 858	4 776 660	4 527 858
Total deferred grant payable	4 776 660	4 527 858	4 776 660	4 527 858

Grant income is deferred and recognised in profit or loss over the period necessary to match them with the costs for which they are intended to compensate.

5. FIXED ASSETS

5.1 Equipment, furniture and other tangible assets

Measurement

All items of equipment, furniture and other tangible assets recognised as assets, are initially measured at cost. Cost includes expenditures that are directly attributable to the acquisition of the asset. All items of equipment, furniture and other tangible assets are subsequently measured at cost less accumulated depreciation and any accumulated impairment losses. Where parts of an item of equipment, furniture and other tangible assets have significantly different useful lives, they are accounted for as separate items of equipment, furniture and other tangible assets. Although individual components are accounted for separately, the financial statements continue to disclose a single asset. Gains and losses on disposal of an asset are determined by comparing the proceeds from disposal with the carrying amount of the asset and are recognised in profit or loss.

Notes to the Annual Financial Statements

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Subsequent costs

The Group recognises the cost of replacing part of such an item of equipment, furniture and other tangible assets in the carrying amount of the item when that cost is incurred and if it is probable that future economic benefits will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the part that is replaced is derecognised. All other costs are recognised in profit or loss as an expense as they are incurred.

Impairment

The carrying amount of assets are reviewed at each reporting date to determine whether there is any indication of impairment. If such indication exists, the asset's recoverable amount is estimated. The recoverable amount of non-financial assets is the greater of fair value less cost of disposal and its value in use. Fair value less cost of disposal is the amount obtainable from the sale of an asset or cash-generating unit in an orderly transaction between market participants at the measurement date, less the costs of disposal. In assessing value in use, the expected future cash flows from the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Impairment losses

An impairment loss is recognised immediately in profit or loss. Impairment losses recognised in the prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount and only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised.

Depreciation

Depreciation is recognised in profit or loss on a straight-line basis, based on the estimated useful lives of the underlying assets. Depreciation is calculated on the cost of the asset (or carrying amount, if asset is previously impaired) less residual value. The estimated useful lives for the current and comparative periods are as follows:

Computer equipment	3 - 5 years
Office equipment	2 - 6 years
Furniture and fittings	5 - 6 years
Motor vehicles	4 - 5 years
Leasehold improvements	expected lease period

The residual values, useful lives and depreciation method are re-assessed at each financial year-end and adjusted if appropriate.

De-recognition

The carrying amount of items of equipment, furniture and other tangible assets are derecognised on disposal or when no future economic benefits are expected from their use or disposal.

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5. FIXED ASSETS

5.1 EQUIPMENT, FURNITURE AND OTHER TANGIBLE ASSETS

	GROUP			COMPANY		
	Cost R'000	Accumulated depreciation and impairment R'000	Carrying value R'000	Cost R'000	Accumulated depreciation and impairment R'000	Carrying value R'000
30 September 2024						
Motor vehicles	4 227	(920)	3 307	4 227	(920)	3 307
Computer equipment	24 623	(17 087)	7 536	24 228	(16 692)	7 536
Office and other equipment	5 962	(3 915)	2 047	5 037	(3 586)	1 451
Furniture and fittings	9 305	(8 651)	654	6 280	(5 624)	656
Lease improvements	13 791	(13 253)	538	13 791	(13 253)	538
	57 908	(43 826)	14 082	53 563	(40 075)	13 488
31 March 2024						
Motor vehicles	1 222	(657)	565	1 222	(657)	565
Computer equipment	23 791	(15 003)	8 788	23 395	(14 607)	8 788
Office and other equipment	5 469	(3 711)	1 758	4 610	(3 405)	1 205
Furniture and fittings	8 690	(8 498)	192	5 665	(5 471)	194
Lease improvements	13 244	(12 571)	673	13 244	(12 571)	673
	52 416	(40 440)	11 976	48 136	(36 711)	11 425

The movement in the carrying value of office equipment, furniture and other tangible assets is as follows:

	GROUP					
	Motor vehicles R'000	Computer Equipment R'000	Office and other equipment R'000	Furniture and fittings R'000	Lease improvements R'000	Total R'000
30 September 2024						
Opening carrying value	565	8 788	1 758	192	673	11 976
Additions	3 005	1 199	493	614	547	5 858
Disposals	-	(300)	-	-	-	(300)
Depreciation charges	(263)	(2 151)	(204)	(152)	(682)	(3 452)
Closing carrying value	3 307	7 536	2 047	654	538	14 082
31 March 2024						
Opening carrying value	266	7 125	913	460	790	9 554
Additions	435	5 334	1 053	-	672	7 494
Disposals	-	(119)	-	(6)	-	(125)
Depreciation charges	(136)	(3 552)	(208)	(262)	(789)	(4 947)
Closing carrying value	565	8 788	1 758	192	673	11 976

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	COMPANY					
	Motor vehicles R'000	Computer Equipment R'000	Office and other equipment R'000	Furniture and fittings R'000	Lease improvements R'000	Total R'000
30 September 2024						
Opening carrying value	565	8 788	1 205	194	673	11 425
Additions	3 005	1 199	427	614	547	5 792
Disposals	-	(299)	-	-	-	(299)
Depreciation charges	(263)	(2 152)	(181)	(152)	(682)	(3 430)
Closing carrying value	3 307	7 536	1 451	656	538	13 488
31 March 2024						
Opening carrying value	266	7 125	321	461	790	8 963
Additions	435	5 334	1 053	-	672	7 494
Disposals	-	(119)	-	(5)	-	(124)
Depreciation charges	(136)	(3 552)	(169)	(262)	(789)	(4 908)
Closing carrying value	565	8 788	1 205	194	673	11 425

No equipment, furniture or other tangible assets are pledged as security for liabilities (31 March 2024: Rnil) and all assets are non-current assets.

5.2 Intangible assets

Measurement

All intangible assets in the Group and Company have finite useful lives. Intangible assets are initially measured at cost and, subsequently, carried at cost less accumulated amortisation and accumulated impairment losses.

Impairment

The carrying amount of assets are reviewed at each reporting date to determine whether there is any indication of impairment. If such indication exists, the asset’s recoverable amount is estimated. The recoverable amount of intangible assets is the greater of fair value less cost of disposal and, its value in use. Fair value less cost of disposal is the amount obtainable from the sale of an asset or cash-generating unit in an orderly transaction between market participants at the measurement date, less the costs of disposal. In assessing value in use, the expected future cash flows from the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. An impairment loss of assets carried at cost less any accumulated amortisation is recognised immediately in profit or loss.

Impairment losses recognised in the prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount and, only to the extent that the asset’s carrying amount does not exceed the carrying amount that would have been determined, net of amortisation: if no impairment loss had been recognised.

Notes to the Annual Financial Statements

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Amortisation

Amortisation is recognised in profit or loss on a straight-line basis, based on the estimated useful lives of the underlying assets. Amortisation is calculated on the cost less any impairment and expected residual value. The estimated useful lives for the current and comparative periods are as follows:

Computer software 3 - 4 years

The residual values, useful lives and amortisation methods are re-assessed at each financial year-end and adjusted if appropriate, with the effect of any changes in estimate being accounted for on a prospective basis.

De-recognition

The carrying amount of intangible assets are derecognised on disposal or when no future economic benefits are expected from their use or disposal. Gains or losses arising from de-recognition are determined as the difference between the net disposal proceeds and the carrying amount of the item of intangible assets and included in profit or loss when the items are derecognised.

5.2 INTANGIBLE ASSETS

	GROUP			COMPANY		
	Cost R'000	Accumulated amortisation and impairment R'000	Carrying value R'000	Cost R'000	Accumulated amortisation and impairment R'000	Carrying value R'000
30 September 2024						
Software	14 617	(9 800)	4 817	14 592	(9 775)	4 817
	14 617	(9 800)	4 817	14 592	(9 775)	4 817
31 March 2024						
Software	9 869	(9 528)	341	9 845	(9 504)	341
	9 869	(9 528)	341	9 845	(9 504)	341

The movement in the carrying value of computer software is as follows:

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening carrying value	341	660	341	660
Additions	4 748	-	4 748	-
Amortisation	(272)	(319)	(272)	(319)
Reclassification	-	-	-	-
Closing carrying value	4 817	341	4 817	341

No intangible assets are pledged as security for liabilities (31 March 2024: Rnil). All intangible assets are non-current assets.

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5.3 Investment properties

Investment property is property held to earn rental income, or for capital appreciation or for both.

Measurement

Investment property is measured initially at cost, including transaction costs and directly attributable expenditure in preparing the asset for its intended use. Subsequently, all investment properties are measured at fair value.

Valuation

Valuation takes place annually, based on the aggregate of the net annual rental receivable from the properties, considering and analysing rentals received on similar properties in a close vicinity, less associated costs (insurance, maintenance, repairs, and management fees). A capitalisation rate which reflects the specific risks inherent in the net cash flows is applied to the net annual rentals to arrive at the property valuations. The fair value of undeveloped land held as investment property is based on comparative market prices after market surveys. Gains or losses arising from a change in fair value are recognised in profit or loss. External, independent valuers having appropriate, recognised professional qualifications and recent experience in the location and category of the property being valued, perform valuations on the portfolio every three years.

Gain or loss on the disposal of investment property

Gain or loss on the disposal of investment property is (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss. Refer to note 5.5 for additional information on determination of fair values. The properties were valued by the independent valuers in the current year. A desktop valuation was performed in 2023 and 2022. Inputs included market related rental income and market capitalisation rates.

5.3 INVESTMENT PROPERTIES

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening carrying amount	245 240	182 118	-	-
Fair value adjustments	6 519	63 122	-	-
Total investment properties	251 759	245 240	-	-
Amounts recognised in profit and loss from invesment properties				
Interest on overdue rental debtors ⁽¹⁾	-	101	-	-
Investment property rental income ⁽¹⁾	5 134	11 155	-	-
Investment property rental recoveries ⁽¹⁾	6 814	13 363	-	-
Investment property expenses ⁽²⁾	(37 897)	(63 364)	-	-
Total Amounts recognised in profit and loss	(25 949)	(38 745)	-	-

⁽¹⁾ As presented in note 2.3 - Other interest and revenue earned.

⁽²⁾ As presented in the statement of comprehensive income.

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The investment property portfolio comprises of retail and industrial properties and portions of vacant land. The retail and industrial properties are leased out to tenants on a fixed term basis with an option to renew. The lease term and renewal options are negotiated on individual basis with the portfolio having an average lease term of 3 years.

The risks related to the Company's rights on the leased property is managed through lease agreements with tenants on a lease-by-lease basis. No risk and rewards incidental to the leased property are transferred to the tenants either during the lease or at the end of lease term.

5.4 Net fair value gain or loss on investment properties – material accounting policy

Refer to 1.4.6 for the fair value hierarchy and accounting policy on determination of fair values.
Valuation methods and assumptions used in determining the fair value of investment property and investment property held-for-sale:

Capitalisation method

The property portfolio is mostly made up of income producing properties, with the result that the income capitalisation method has been adopted for the determination of value. The value of the property reflects the present value of the sum of the future benefits, which an owner may expect to derive from the property. These benefits are expressed in monetary terms and are based on the estimated rentals such a property would fetch, for instance: the market-related rental between a willing landlord and tenant. The usual property outgoings are deducted to achieve a net rental, which is then capitalised at a rate an investor would require.

Comparative method

Of the entire portfolio, two properties are sectional title in nature and, one comprises of vacant land. These properties have been valued on the direct comparison basis: this is how they trade in the open market. The method involves the identification of comparable properties sold in the area or in a comparable location within a reasonable time. The selected comparable properties are analysed and compared with the subject property. Adjustments are then made to their values to reflect any differences that may exist. This method is based on the assumption that a purchaser will pay an amount equal to what others have paid or are willing to pay.

5.4 NET FAIR VALUE GAIN OR LOSS ON INVESTMENT PROPERTIES

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
	R'000	R'000	R'000	R'000
Fair value gain/(loss) on investment properties	6 519	63 122	-	-
Net fair value gain and impairments	6 519	63 122	-	-

Investment properties are valued externally by independent valuers every three years. For the 6 months ended 30 September 2024 an internal desktop valuation was performed. The last independent valuation was performed in the 2024 financial year. Investment properties are non-current assets.

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The fair value measurement for investment property has been categorised as level 3 fair value based on **sefa**'s fair value hierarchy due to unobservable inputs used. The following summarises the valuation technique used in measuring the fair value of Investment Properties, as well as the significant unobservable inputs used:

Valuation technique

sefa's property portfolio consists mainly of income producing properties and this is the fundamental basis on which the valuation of investment properties is determined. Investment properties produce a perpetual income stream and the capitalisation of such net revenue flow is an accurate means of determining the value. Included in the portfolio, are two properties which are sectional title in nature and one comprises of vacant land. These properties have been valued on the direct comparison basis.

The capitalisation rates used range from 11% to 15% (2024: 11% - 15%).

	Highest	Lowest	Average
Capitalisation percentage	15%	11%	13%

Sensitivity analysis for inputs to determine fair value

A change in 1% (2024: 1%) in the below inputs at the reporting date would have increased/(decreased) net fair value gain or loss on the investment property by the amounts shown below. This analysis assumes that all other variables remain constant.

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
Market related annual income 1% increase	6 340	9 940	-	-
Market related annual income 1% decrease	(6 340)	(9 940)	-	-
Capitalisation rate 1% increase	(22 827)	(33 835)	-	-
Capitalisation rate 1% decrease	22 827	33 835	-	-
Market related expenses 1% increase	(2 547)	(17 516)	-	-
Market related expenses 1% decrease	2 547	17 516	-	-

5.5 Leases (Right-of-use Asset and Lease Liability) – material accounting policy

The Group assesses at contract inception whether a contract is, or contains, a lease. That is: if the contract conveys the right to control the use of an identified asset for a period, in exchange for consideration.

As a lessee: the Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets, representing the right to use the underlying assets.

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Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of- use assets are depreciated on a straight-line basis over the lease term. The right-of-use assets are presented within Note 5.6 and are subject to impairment in line with the Group’s policy.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease liability is discounted using the incremental borrowing rate. The Group’s leases comprise of fixed lease payments.

As a lessor:

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the underlying asset and recognised over the lease term on the same basis as rental income.

5.5 RIGHT-OF-USE ASSET AND LEASE LIABILITY

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening carrying amount	19 567	14 249	19 567	14 249
Depreciation charge for the year	(5 567)	(12 196)	(5 567)	(12 196)
Additions		1 730		1 730
Disposals	-	-	-	-
Modifications to lease terms	(1 347)	15 784	(1 347)	15 784
Closing carrying value	12 653	19 567	12 653	19 567

The right-of-use asset is for leases of property only and does not include any other class of assets.

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Set out below are the carrying amounts of lease liabilities and the movements during the period:

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening carrying amount	24 631	18 498	24 631	18 498
Additions	-	1 732	-	1 732
Disposals	-	-	-	-
Accretion of interest	1 158	4 396	1 158	4 396
Modification	(1 347)	15 783	(1 347)	15 783
Payments	(8 293)	(15 778)	(8 293)	(15 778)
Closing carrying value	16 149	24 631	16 149	24 631

The lease liability is discounted using the incremental borrowing rate.

sefa has entered into a new two year lease agreement for the Kwa-Zulu Natal regional office with a commencement date of 1 April 2023. A right of use asset and corresponding lease liability will be recognised on this date for R767 842.68.

Lease payments not recognised as a liability

The group has elected not to recognise a lease liability for short term leases (leases with an expected term of 12 months or less) or for leases of low value assets. Payments made under such leases are expensed on a straight-line basis. In addition, certain variable lease payments are not permitted to be recognised as lease liabilities and are expensed as incurred.

	30 September 2024 R'000	31 March 2024 R'000
The expense relating to payments not included in the measurement of the lease liability is as follows:		
Short term leases	-	-
Leases of low value assets	28	21
	28	21

Low value assets consists of 21 printers (March 2024: 9 printers) that are leased. Remaining term on the lease at 30 September 2024 was 32 months (March 2024: 1).

The Group applies the election by class of underlying asset to which the right of use relates.

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Maturity analysis for lease liability

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Due within one year	13 688	14 400	13 688	14 400
Due after one year but within two years	2 461	9 634	2 461	9 634
Due within two to three years	-	597	-	597
Due within three to four years	-	-	-	-
Due within four to five years	-	-	-	-
Due after five years	-	-	-	-
Carrying value of lease liability	16 149	24 631	16 149	24 631

Contractual lease payments maturity analysis

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Due within one year	14 815	17 003	14 815	14 953
Due after one year but within two years	2 522	10 208	2 522	5 185
Due within two to three years	-	638	-	-
Total contractual lease payments in the next 5 years	17 337	27 849	17 337	20 138

6. FINANCE STRUCTURE AND COMMITMENTS

6.1 SHAREHOLDER'S LOAN

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening balance	841 696	793 267	841 696	793 267
Repayments	(7 490)	(15 010)	(7 490)	(15 010)
Finance charges (1)	15 800	63 439	15 800	63 439
Capitalisation of loan through share issue (2)	(773 211)	-	(773 211)	-
Total shareholder's loans	76 795	841 696	76 795	841 696

- (1) At initial recognition, a day one gain was recognised. The effective interest rate used in determining the fair value of the shareholder's loan to discount the interest-free shareholder's loans from the IDC is based on the average lending rate and weighted average cost of capital of the IDC. The interest recognised during the year relates to the unwinding of the day one gain. An assessment has been conducted, as at reporting date, to test for possible changes in the effective interest rate and no material changes in the rate has been noted since initial recognition of the loan. At reporting date the carrying value is considered to approximate the fair value.
- (2) On 30 September 2024 the IDC capitalised the subordinated shareholder loan it held against **sefa**. The capitalisation occurred via a subscription of 100 additional shares in **sefa** with the subscription consideration being settled via set-off of the amount due to the IDC.

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The closing balance consists of two loans:

	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Loan terms				
Subordinated and non-interest bearing.	-	762 497	-	762 497
Subordinated and non-interest bearing. Repayable biannually in equal instalments over 10 years, commencing 31 July 2023	76 795	79 199	76 795	79 199
Total shareholder's loans	76 795	841 696	76 795	841 696

The finance charges reflected above is the result of the amortisation of a fair value gain (deemed equity contribution) that was initially recognised.

6. FINANCE STRUCTURE AND COMMITMENTS

6.2 Insurance contracts – material accounting policy

The Group is required to adopt IFRS 17 Insurance Contracts for its accounting period starting 1 April 2023, which replaces IFRS 4 Insurance Contracts.

The Group issues credit indemnity insurance contracts that are accounted for in accordance with IFRS 17 Insurance contracts. The Group issues two types of insurance policies:

- a) Portfolio Credit Guarantee ("PCG"): this product provides credit guarantees to lenders (commercial banks and other financial institutions) for SMME borrowers
- b) Supplier Credit Guarantee ("SCG"): this product provides indemnity to the suppliers in the event of end user's failing to meet their obligation in terms of the facility agreements.

The Group accounts for these products by applying the following measurement approaches:

Product	Portfolio	Measurement approach
Portfolio Credit Guarantee	Portfolio Credit Guarantee (PCG)	General Measurement Model (GMM)
Supplier Credit Guarantee	Barnes Reinforcing Industries (Pty) Ltd ("BRI")	Premium Allocation Approach (PAA)
Supplier Credit Guarantee	Macsteel Service Centres SA (Pty) Ltd ("Macsteel")	General Measurement Model (GMM)
Supplier Credit Guarantee	Praxis Financial Services (Pty) Ltd ("Praxis")	General Measurement Model (GMM)

Definitions and classifications

Products sold by the Group are classified as insurance contracts when the Group accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder.

This assessment is made on a contract-by-contract basis at the contract issue date. In making this assessment, the Group considers all its substantive rights and obligations, whether they arise from contract, law or regulation.

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The Group determines whether a contract contains significant insurance risk by assessing if an insured event could cause the Group to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract.

Separating components from insurance

Distinct investment component

An investment component is defined as the amount that an insurance contract requires the entity to repay to a policyholder in all circumstances, regardless of whether an insured event occurs. In order to identify the presence of an investment component, the following questions are answered:

- a) Is there a withdrawal benefit payable on surrender, lapse or cancellation of the policy?
- b) If the contract has a fixed policy term, is there a maturity benefit payable?
- c) In all other circumstances is the policyholder entitled to receive a payment (including a withdrawal benefit should he/she choose to terminate the contract as a result of this circumstance)?

Insurance contracts (continued)

Separating components from insurance (continued)

The Group does not have exposure to investment components within any of its insurance contracts and has no plans to offer this product feature in the foreseeable future.

Embedded derivative not closely related to the host insurance contract

An embedded derivative is defined under IFRS 9.4.3.1 as a component of a hybrid contract that also includes a non-derivative host with the effect that some of the cash flows of the combined instrument vary in a way like a stand-alone derivative. An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract. A derivative that is attached to a financial instrument but is contractually transferable independently of that instrument, or has a different counterparty, is not an embedded derivative, but a separate financial instrument.

The Group does not have exposure to embedded derivatives within any of its insurance contracts and has no plans to incorporate any in the foreseeable future.

Distinct goods and services other than insurance contract services

Any promise to transfer distinct goods or services other than insurance contract services to the policyholder must be accounted for applying IFRS 15. To establish whether a good or service is distinct, the following questions are asked:

- a) Does the insurer provide a significant service in integrating the good or service other than an insurance service with the insurance components?
- b) Are the cash flows and risks associated with the good or service highly interrelated with the cash flows and risks associated with the insurance components in the contract?
- c) Can the policyholder benefit from the good or service either on its own or together with other resources readily available to him/her through purchase or resources he/she already has?

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None of the Group's products include goods or services other than insurance contract services. There are also no plans to include these product features in the foreseeable future.

Level of aggregation

The Group's contracts are aggregated into separate groups for the purpose of determining the IFRS 17 profit recognition in respect of each financial reporting period. A group is defined to include contracts issued or renewed in a particular financial year that use the same measurement approach and have a similar level of expected profitability split at a product type level.

A contract is assigned to a group at initial recognition, and this is not reassessed until the contract boundary has been reached. Where the premium allocation approach is applied, due to similar expected profitability, each portfolio cohort year's contracts are assigned to a group as a whole and not on a contract-by-contract basis.

The Group identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In grouping insurance contracts into portfolios, the Group considers the similarity of risks rather than the specific labelling of product lines. The Group has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts.

A 3-step process is followed to assign an insurance contract issued to a group:

1. Step 1: Allocate the contract to a portfolio.
2. Step 2: Assign the contract to a group such that the issues dates are not more than a year apart.
3. Step 3: Assign the contract to a profitability bucket, which at a minimum, subject to certain conditions, must be "Onerous", "No significant possibility of becoming onerous" ("NSPBO") or "Remaining".

Step 1 – Definition of a portfolio

Insurance Contracts that have similar risks and are managed together need to be grouped together in what is defined as a portfolio under IFRS 17.

i. Similar risks

For the Group, a product line would equate to its business classes that is used to report through to the Prudential Authority (PA) given that the business written within each business class tend to respond similarly to the same key drivers of risk.

ii. Managed together

No definition is provided for what constitutes being managed together and it is left to each insurer to determine this for itself. The criteria that the Group has chosen to use to satisfy itself that the contracts are managed together is as follows:

- a) The contracts are housed on the same policy administration system,
- b) Management reports do not separate these contracts to a more granular level, and this is not purely due to a difference in the profit expectation, and
- c) The business partners involved in sharing the profits arising from the contracts do not differ.

iii. Measurement approach

An additional consideration which has led to our decision regarding the IFRS 17 portfolios is the measurement model approach that needs to be applied. Whilst the standard doesn't explicitly state that contracts measured under a different measurement approach need to be split into different portfolios, the practical application of IFRS 17 leads the Group to this conclusion. The reasons are as follows:

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- a) The list of quantitative disclosures differs for groups where the premium allocation approach has been applied compared to where the general measurement model has been applied. The accounting structure under IFRS 17 has therefore been set up to cater for this level of granularity.
- b) For presentation within the statement of financial position, portfolios that are in an overall asset position are presented as insurance contract assets and those in a liability position are presented as insurance contract liabilities.

It can also be argued that contracts of a shorter-term nature will respond differently to risk compared to longer-term contracts as there is a different time horizon over which the risks can incur. Thus, the risks are not similar.

iv. Portfolio's recommended and chosen

Based on the guidance of the standard, the Group has chosen the following portfolios:

- a) Portfolio Credit Product (PCG)
- b) Macsteel (SCG)
- c) BRI (SCG)
- d) Praxis (SCG)

Step 2 – Cohort period

Issue dates may not be more than one year apart. The decision of what cohort period to choose rested on several key considerations:

- a) The impact on profit recognition if a shorter period than one year is used,
- b) How the business is currently managed for reporting purposes,
- c) The need to apply one initial recognition discount rate to each group of insurance contracts,
- d) The financial reporting period,
- e) The pattern of contractual renewals and new business over the financial reporting period, and
- f) The practical implications of each cohort option.

From a practical perspective, it is best to set one cohort period definition that is applied across all contracts. The Group has contracts measured under the premium allocation approach and the general measurement model. Currently, the business is managed on an underwriting year basis which means that the contracts are grouped together based on the year the contract is issued or renewed. The underwriting year is aligned to the financial year (i.e. 1 April – 31 March).

Annual cohorts aligned to the underwriting year are applied for the portfolios measured under the general measurement approach (PCG, Macsteel and Praxis). The BRI contract is not assigned to annual cohorts as contract level data is not available at the point of underwriting and receipting.

Step 3 – Profitability buckets

Insurance contracts issued – Level of granularity

There are no legal or insurance regulations that prevent the Group from having the practical ability to set a different price or level of benefits for policyholders with different characteristics.

As such the minimum level of aggregation required, after allocating contracts to portfolios and ensuring that issues dates are not more than one year apart, is to assign each contract based on the profitability expectations at initial recognition to a profitability bucket:

- a) Contracts that are onerous on initial recognition
- b) Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- c) Any remaining contracts

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The determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability-weighted basis. The Group determines the appropriate level at which reasonable and supportable information is available to assess whether the contracts are onerous at initial recognition and whether the contracts not onerous at initial recognition have a significant possibility of becoming onerous subsequently. The Group applies significant judgement in determining at what level of granularity the Group has sufficient information to conclude that all contracts within a set will be in the same group. In the absence of such information, the Group assesses each contract individually.

Insurance contracts issued - Premium allocation approach

Under the premium allocation approach, no contracts are assumed to be onerous at initial recognition unless facts and circumstances indicate otherwise. For the Group, these facts and circumstances will be informed by the process to set policy premium rates or from business-as-usual profitability monitoring and internal reporting processes.

Expected profitability can only be determined at a product level not at cohort year level or per policy basis. For the BRI product (and PCG product), premiums are set at between 1% and 3.5% depending on the level of cover and risk profile of the partner financial institution. On a risk adjusted IFRS 17 basis, (i.e. allowing for an allocation of directly attributable expenses and an adjustment for the compensation required for exposure to non-financial risks), the BRI product is expected to fall within the onerous category.

Insurance contracts issued - General Measurement Model and Variable Fee Approach

For the general measurement model, an actuarial projection is carried out in Basys on a per contract basis. For all new contracts written in the reporting period, it is proposed to use the prior year IFRS 17 assumptions to value the present value of expected cash flows and the risk adjustment for non-financial risk at the date of initial recognition. Where this amount is positive (i.e. expected outflows are greater than expected inflows), the contract will be assigned to an onerous group. Where the amount is negative, an additional step is required to assign the profitable contract in either the “remaining” bucket or the “NSPBO” bucket.

Review of aggregation assumptions

Any detailed profitability and profitability criteria assumptions will be reviewed annually prior to the end of annual financial reporting period. If new products are launched during the year, the premium rate setting assumptions will be used to incorporate the new product within the aggregation processes.

Recognition

Contract recognition

The Standard requires that contracts be recognised from the earlier of one of three dates:

1. the beginning of the coverage period of the group of contracts,
2. the date when the first payment from a policyholder in the group becomes due, and
3. for a group of onerous contracts, when the group becomes onerous.

In absence of a contractual due date, the first payment from a policyholder is deemed to be due when it is received [IFRS17 17.26]. Premiums paid before their due date are not recognised as part of the insurance liability, but as current financial liability.

Contracts accounted for using the premium allocation approach (PAA) are presumed to be not onerous at the date of initial recognition [IFRS17 17.18], unless facts and circumstances indicate that a group might be onerous. In such a case, the Group needs to determine whether an onerous group has to be introduced applying the definition of a contract at the date of initial recognition IFRS17 17.17 allows measuring a set of contracts collectively to establish whether these contracts are onerous, if there is reasonable and supportable information to conclude

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that all contracts in this set of contracts will be in the same category of a group (i.e., in this case “onerous at initial recognition”).

For all product types, the contract terms and conditions were assessed to determine the recommended contract recognition dates. The outcome is summarised below:

- a) Portfolio Credit Guarantee: beginning of the coverage period
- b) Supplier Credit Guarantee: beginning of the coverage period

Contract boundary

The measurement of insurance contracts should include all cash flows within the boundary of an existing contract and no other cash flows [IFRS17 17.33 and IFRS17 17.B61]. The standard does not allow an entity to recognise any cash flows outside the contract boundary, as those cash flows are considered to relate to future insurance contracts [IFRS17 17.35].

According to IFRS17 17.34, cash flows are within the boundary of an insurance contract if they arise from the rights and obligations that exist during the period in which the policyholder is obligated to pay premiums, or the entity has a substantive obligation to provide the policyholder with insurance coverage or other services. A substantive obligation ends when:

- a) the entity has the practical ability to reprice the risks of the policyholder or change the level of benefits so that the price fully reflects those risks; or
- b) both of the following criteria are satisfied:
 - the entity has the practical ability to reprice the contract or a portfolio of contracts so that the price fully reflects the reassessed risk of that portfolio; and
 - the pricing of premiums related to coverage to the date when risks are reassessed does not reflect the risks related to periods beyond the reassessment date.

When determining the boundaries of the contract all substantive rights held by the policyholder (i.e., contractual and/or arising from law or regulations) are required to be considered except for restrictions without commercial substance [IFRS17 17.2].

Generally, premiums to be paid due to a mutually binding agreement are within the boundary of a contract. Contract renewals that are not legally binding are hence outside of the boundary, i.e., if the entity can unilaterally decline further obligations. Related obligations are recognized and measured as new contracts.

For the Group's products, the shortest period over which entity has a substantive obligation to provide insurance coverage or the policyholder is obligated to pay premiums was assessed as 30 days. This is the period following a notification of intent to cancel the policy by either the Group or their client.

However, the cancellation notice was assessed to be of no commercial substance as the cover extended to term expiry for any existing indemnity cover applicable before notice of cancellation. The contract boundary was then concluded to be equal to the policy terms.

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The table below summarises the contract boundary assessment:

Product	Contract boundary
Portfolio Credit Guarantee	Equal to contract term (1 year to 5 years)
BRI	Equal to contract term (1 year)
Macsteel	Equal to contract term (1 year to 5 years)
Praxis	Equal to contract term (1 year to 5 years)

Contract derecognition

The Standard requires a contract to be derecognised when the Group is no longer at risk and is therefore no longer required to transfer any economic resources to satisfy the insurance contract. The practical application of contract derecognition within the Group is specific to the liability component in question. The general principals proposed are as follows:

- For contracts measured under the liability for remaining coverage (LRC),
 - when the contract's coverage period has come to an end,
 - the policy has been cancelled, or
 - the policy has contractually terminated due to a claim and/or policyholder death if the latter isn't an insured benefit, and all premium debtors or commission creditors directly related to that contract have been settled (or written off), the contract will be derecognised from the liability for remaining coverage and not be included in the calculations for any IFRS 17 group.
- Under the liability for incurred claims (LIC), any liability in respect of the contract will be derecognised when all of the following are true:
 - Where a claim has been reported and this claim is fully settled or repudiated,
 - Where the full coverage period up until the renewal or expiry date has passed and the claim notification period for reporting claims has passed, and
 - In respect of other benefit payments (such as a maturity benefit), these have been fully settled.

Unsettled claims or outstanding premiums, will be held in the LIC and LRC respectively until settled or written off and will not be reclassified to IFRS 9 or in the case of the LRC, transferred to LIC- even where the coverage has been provided.

Contract modifications

If a contract is modified in a way that would have altered the IFRS standard, the IFRS 17 measurement approach or the IFRS 17 group that applied when initially recognising the contract, paragraph 72 requires that the contract be derecognised from the group it was originally assigned to and placed in the group that it would have been assigned to had the contract been in its amended form at outset.

It is noted from the standard that if a contract gives the policyholder to option to amend their contract in a defined way, any exercise of this option is not considered a contract medication.

The Group has not identified any contract modifications that can arise that would result in a different IFRS 17 group being required. Contract modification has thus not been implemented by the Group within its IFRS 17 processes.

Measurement of insurance contracts issued

The default measurement approach specified by the IFRS 17 Standard is the general measurement model ("GMM"). Where the coverage period is one year or less, an entity has the unrestricted option to choose whether to apply the simplified approach called the PAA. Contracts with a contract coverage period greater than one year do not automatically qualify for the PAA, however where the Group does not expect

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significant variability in the fulfilment cash flows that would affect the measurement of the liability for remaining coverage during the period before a claim is incurred, the PAA may be applied in accordance with IFRS 17.53.

The choice of which measurement approach to apply requires the determination of the contract boundary, classification of the contract as either a contract with or without direct participation features and whether the contract qualifies to be measured using the simplified approach. The latter is referred to as PAA eligibility testing.

The Group completed an assessment hierarchy to test whether a group of insurance contracts is eligible to being estimated using the PAA using four levels:

- a) Assess whether the key criterion of a maximum of 12-month coverage period (paragraph IFRS17.53b) is met for all contracts within the group of contracts. If not,
- b) Perform a qualitative assessment to identify and assess potential critical features to assess whether there may be a risk of a substantial misestimation by the PAA. If the test fails, then,
- c) Perform a quantitative assessment to validate the hypothesis that the measurement models do not substantially differ. If this test fails, then,
- d) Determine the materiality of the potential misstatement for the Group.

The reason for the test

For coverage periods exceeding one year, it is examined whether critical features in the group of insurance contracts exist that would indicate a potential material discrepancy in the carrying amount of the liability for remaining coverage ("LRC") between the measurement models. The implicit assumptions (in respect of both non-financial and financial risks) used within the PAA are largely fixed over the coverage period. The only variable assumption is the earning's pattern which may be altered if the expectation for the pattern of risk exposure over the period changes. Financial risk assumptions would include discount rates, expense inflation and exchange rates.

The general measurement model ("GMM") assumptions are, however, not fixed over the coverage period (except for the financial risk assumptions when determining the contractual service margin). Thus, the two measurement approaches may deviate if there is a need to amend the GMM valuation assumptions.

Based on the results of the assessment, the Group has chosen to apply the general measurement model for its Portfolio Credit Guarantee, Praxis and Macsteel products as these contracts are generally over one year in term. The BRI product will be measured under the PAA as this is a one-year contract with the Group.

The following items are accounted for when measuring insurance contracts, with each being discussed separately below:

1. Determining the present value of future cashflows
 - (1) Determining the probability weighted mean
 - (2) Cashflows included (excluding expenses which are dealt with separately)
 - (3) Cashflow projection modelling for the liability for remaining coverage
 - (4) Estimation of expected claim and claim-related expense cashflows
 - (5) Incorporation of premium and commission debtors and creditors
2. Allocation of premiums between past, current, and future service for level premium life insurance products
3. Treatment of directly attributable expenses not related to insurance acquisition cash flows or claims.
4. Definition of "Paid"
5. Treatment of expense inflation assumptions
6. Subsequent measurement of the loss component with respect to onerous contracts - GMM

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- 7. Subsequent measurement of the loss component with respect to onerous contracts - PAA
- 8. Disaggregation of IBNR

1. Determining the present value of future cashflows

a) Determining the probability weighted mean

The present value of future cash flows is required under the liability for remaining coverage and the liability for incurred claims. Where the premium allocation approach is applied to a group of insurance contracts, the requirement to determine the present value of future cash flows under the liability for remaining coverage is only needed if the contract is onerous or in some cases to demonstrate the eligibility of approach to the group.

Paragraph IFRS17.33 requires an entity to estimate the probability-weighted mean of the full range of possible outcomes when determining the present value of future cashflows.

The Group has adopted a simplified approach to produce the probability weighted mean.

For the liability for incurred claims, which aren't assumed to be settled within the month the claim is incurred, a point estimate of the ultimate claim ratio is used often in combination with historic data for the Group's products measured under the general measurement model.

Where significant past events have resulted in experience in that year differing from the "norm", this experience is separated out for analysis purposes and assessed separately for inclusion in the projection assumptions at an appropriate level given the likelihood of this experience repeating itself in the future.

The number of years of historic data used is chosen to:

- enable the level of data to be credible,
- include a range of good, bad and average years of experience, and
- be relevant to future periods to which the assumptions will apply.

This approach to setting assumptions is deemed to be appropriate to produce a reasonable estimate of the probability weighted mean.

b) Cashflows included

The list of cashflows that are included where they are relevant to the product being measured are as follows:

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Paragraph reference	Cashflow category	Cashflow
B65.a)	Premiums and any additional cash flows that result from those premiums	- Premiums due and received/paid - Policy fees due and received/paid
B65.b)	Payments to a policyholder	- Claims paid - Claims incurred but not reported. - Claims reporting but not yet assessed /settled
B65.c)	Payments to a policyholder that vary depending on returns on underlying items	Not applicable
B65.d)	Payments to a policyholder resulting from options and guarantees embedded in the contract	Not applicable
B65.i)	Transaction-based taxes (such as premium taxes, value added taxes and goods and services taxes) and levies (such as fire service levies and guarantee fund assessments)	- Premium taxes - Value added taxes on premiums, commission, and claims. This includes the amounts due and paid from policyholders and the amount raised for payment to the relevant tax authority. The physical payment of this amount to the tax authority is excluded.
B65.j)	Payments by the insurer in a fiduciary capacity to meet tax obligations incurred by the policyholder, and related receipts	Not applicable
B65.k)	Potential cash inflows from recoveries (such as salvage and subrogation)	Not Applicable
B65.l)	Allocation of fixed and variable overheads	Overheads are assessed as either attributable or non-attributable.

c) Cashflow projection modelling

Under IFRS 4, the liability (or asset) in respect of any business class for the remaining coverage period was held within an unearned premium reserve. If the premiums for a specific business class were expected to be onerous, an additional unexpired risk reserve was held which was determined as a percentage of the unearned premium reserve. No cashflow projection models were used.

For classes of business that will be modelled under the GMM and for onerous IFRS 17 groups measured under the PAA, a simplified cashflow model approach is recommended for adoption which models the IFRS 17 cashflows per IFRS 17 group rather than at a policy level. The Group’s policies include single premium business due at the outset.

d) Estimation of expected claim and claim-related expense cashflows

Under IFRS 4 the equivalent of the liability for incurred claims was the outstanding claim reserve (“OCR”) plus the incurred but not reporting claim reserve (“IBNR”). Both the OCR and the IBNR were undiscounted.

Under IFRS 17, it is proposed to continue using this IFRS 4 approach to determine total remaining claims under the liability for incurred claims (“LIC”) but with application of discounting.

New to IFRS 17 is the requirement to separately disclose experience variances relating to claims incurred prior to the start of the reporting period (“past” claims) from the current year claims incurred. There is no need to determine the current year experience variances from the date the claim incurred until the end of the current reporting period.

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All claims paid in the period are separated out between past claims and current year claims.

The claims expected to be paid during the reporting period in respect of the prior year's closing LIC are estimated using an analysis of historic settlement patterns.

For the current year claims incurred, this amount is equal to the claims paid in the year in respect of current year claims incurred and the LIC held at the end of the reporting period in respect of the current year claims incurred. This amount is split into two parts:

i. Initial claims incurred estimate

This is the sum of the estimated ultimate claim payments to be made in respect of claims expected to incur over the reporting period.

ii. New claim experience variance

The variance uses the same formula that is used for the past claims experience variance except that the expected claim liability at the end of the reporting period is determined by subtracting the claims expected to be paid from the date incurred until the end of the reporting period from the initial claims incurred estimate.

e) Incorporation of premium and commission debtors and creditors

Under IFRS 17, premium and commission debtors and creditors are no longer separately held on the balance sheet. Any provision for bad debts in respect of premiums is also no longer held separately.

Under the PAA, if premium due is earned prior to it being received, the liability for remaining coverage ("LRC") will be in a negative, asset position. Thus, a premium debtor is only held on the balance sheet to the extent that it has been earned.

The Group has chosen to expense all insurance acquisition cash flows where the coverage period is one year or less.

For the general measurement model, the full premium debtor would be held within the liability for remaining coverage. The raising and settling of any premium debtors arising over the period are recording as movements to the liability.

2. Allocation of premiums between past, current, and future service for level premium life insurance products

Premium and insurance acquisition cash flow experience variances related to future service adjust the contractual service margin (Paragraph 44c), whilst premium and insurance acquisition cash flow experience variances related to current or past service must be reported as insurance revenue in the statement of financial performance (paragraph 106a.iv).

The portion of the premium related to current service is equal to the expected claims, adjusted for the relevant compensation for non-financial risk exposure, to be incurred in the current service period and the expenses expected to be incurred during the current service period (adjusted for non-financial risk compensation as appropriate). A share of the contractual service margin should also be allocated to the current service period.

The Group has not identified a need for past service expected premiums and has assumed that all premiums relate to current service is a good approximate simplification subject to materiality considerations.

Based on the above, it has been decided that all premium related to level premium contracts, both the PCG and SCG products, offered by the Group will be allocated to current service.

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3. Treatment of directly attributable expenses not related to insurance acquisition cash flows or claims

All policy administration and maintenance expenses allocated in accordance with Group's expense allocation policy are assumed to be due to current service provision. No liability is raised in advance of these types of expenses incurring. As each month's expenses are incurred, these amounts are raised within the liability for remaining coverage.

4. Definition of "Paid"

Notwithstanding the decision to expense some insurance acquisition cash flows under the PAA provided the coverage period of each contract is one year or less, all other payments related to IFRS 17 cash flows are accounted for within an IFRS 17 liability component.

Thus, any asset or liability in respect of premiums, commission, claim payments or directly attributable expenses is held in either the liability for remaining coverage or the liability for incurred claims except to the extent that the payments are made in advance of the group of contracts.

5. Treatment of expense inflation assumptions

Actuarial valuation assumptions need to be categorised as either being financial risk assumptions or non- financial assumptions. The measurement process and presentation within the financial statements differ depending on the category.

Paragraph IFRS 17. B128 provides guidance on this matter. Assumptions about inflation based on an index of prices or rates or on prices of assets with inflation-linked returns are assumptions that relate to financial risk and assumptions about inflation based on an entity's expectation of specific price changes are not assumptions that relate to financial risk.

The expense inflation assumption used by the Group is an inflation curve derived by taking the difference between the nominal and real government yield curves published by the Prudential Authority, divided by 1 plus the real government yield curve for each month along the curve.

The inflation curve is clearly derived from inflation linked yields obtained from the market and as such do meet the requirements for qualification as a financial risk assumption.

Contractual Service Margin ("CSM")

The CSM is a component of the overall carrying amount of a group of insurance contracts representing unearned profit that the Group will recognise as it provides insurance contract services over the coverage period.

Paragraph IFRS 17.B97 requires that the CSM not absorb the impact on the present value of future cash flows and risk adjustment for non-financial risks for the effect of the time value of money and changes in the time value of money and the effect of financial risk and changes in financial risk. Instead, these impacts are reported immediately within the profit or loss statement under insurance finance income and expenses.

6. Subsequent measurement of the loss component with respect to onerous contracts - GMM

In accordance with paragraph IFRS 17.47 and IFRS 17.48, a loss component ("LC") is either established at initial recognition if the present value of future cash flows ("PV_CF") plus the risk adjustment for non- financial risk ("RA") is positive or subsequently, if, at the reporting date the increase in the sum of the PV_CF and RA due to actual experience over the year being different to what was expected or due to a change in non-financial assumptions being greater than the contractual service margin ("CSM") at beginning of the period plus the interest accreted to the period.

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Insurance finance income and expenses must be allocated on a systematic basis between the loss component and the liability for remaining coverage excluding the loss component (Paragraph IFRS 17.50- 51).

Paragraph IFRS 17.52 requires that the systematic allocation of this and the impact of a change in the fulfilment cash flows due to experience variance and non-financial assumption changes must allow for both liability components to run off to zero at the end of the coverage period.

7. Subsequent measurement of the loss component with respect to onerous contracts - PAA

Where the PAA is used as the measurement approach, onerosity is established through the presence of facts and circumstances that indicate this to be the case. Only then are calculations performed (again, either at initial recognition or subsequently).

As per the aggregation policy facts and circumstances would include the process to set premium rates or from business-as-usual profitability monitoring and internal reporting processes.

From the time that a group of insurance contracts is considered to be onerous until the end of coverage period, all future valuations of the group will include the determination of the LC.

8. Disaggregation of IBNR

The IBNR is determined in total at an IFRS 17 portfolio level.
The proposed approach is to disaggregate the IBNR estimates down to IFRS 17 group using the gross written premium (GWP) for each underwriting year. The implicit assumption with this disaggregation metric is that the loss ratio and settlement pattern as similar for all IFRS 17 groups and portfolios.

From a financial presentation perspective, the size of the liability for incurred claims is only needed to be known at a portfolio level such that this liability, together with the portfolio’s liability for remaining coverage and any asset for insurance acquisition cash flows can be assessed to establish whether the portfolio is in an overall asset or liability position.

Should the expected loss ratio between the groups begin to differ at a stage in the future, it would be best to determine the IBNR at a more granular level and then apply the disaggregation process at this level.

Discount rates
The Group has adopted a bottom-up approach for the Discount Rate Methodology under IFRS 17 for the products and cashflows. This will involve the use of the Prudential Authority’s monthly risk-free yield curve that takes the term structure of the underlying bonds into account. To this curve, a Liquidity Risk Premium (LRP) adjustment is applied based on the liquidity characteristics of the products. Four product liquidity characteristic buckets have been defined, namely: Fully Liquid, Partially Liquid, Moderately Illiquid and Fully Illiquid.

The results of the liquidity classification exercise for the Group can be seen in the table below:

Product name	Liquidity category	
	Recommended	Chosen
Portfolio Credit Guarantee	Partially Liquid	Partially liquid
Supplier Credit Guarantee	Partially Liquid	Partially liquid

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for the period ended 30 September 2024

The discount rate used to perform the IFRS group name at initial recognition will be the monthly rate applicable to the month that the business is written. The locked-in rate to be used for the full year, will be a weighting of the 12 months yield curves. This weighting will be the number of policies sold in each month.

The adoption of the bottom-up approach used by the Group is based on the following:

1. The Prudential Authority produces a risk-free government bond yield monthly (which is also to be used for the Solvency Assessment and Management (SAM) regulatory calculations and returns) monthly.
2. There would be a significant effort required to replicate the products with a reference portfolio with similar liquidity characteristics for products.
3. The liquidity risk premium adjustments to be derived for each group will still need deriving and based on the market data available will be based on the market spreads from expected credit losses and credit risk premium.

Risk adjustment for non-financial risk

The IFRS 17 carrying amount includes an explicit component called the risk adjustment for non-financial risk that allows for the compensation we require for being exposed to the insurance, lapse and expense risks contained within our products.

For the Group’s credit and trade guarantee products, the risk adjustment will be calculated as a percentage of the best estimate technical provisions. The risk adjustment represents a 75.5th percentile confidence level of the risk.

The impact of specific operational risks such as claim fraud; policy loading, maintenance and claim process risks; human error etc have been identified for all products. Non-financial risks specific to each product, have been identified as follows:

Product/Business Class	Non-Financial Risks
Khula Credit Guarantee product	Claim severity, claim frequency, lapse risk, expense risk associated with costs of servicing the contract.
Supplier Credit Guarantee product	Claim severity, claim frequency, lapse risk, expense risk associated with costs of servicing the contract.

Based on the assessment of the techniques, the Group has decided to apply the following:

Product/Business Class	Claims Risk Adjustment	Premium Risk Adjustment
Khula Credit Guarantee product	12.5%	12.5%
Supplier Credit Guarantee product	12.5%	12.5%

The confidence level of the 75th percentile will be reviewed whenever there has been a material change in Group’s risk appetite. The assessment will take place no less frequently than annually in the 4th quarter of each year.

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for the period ended 30 September 2024

6.2 INSURANCE CONTRACTS ISSUED THAT ARE LIABILITIES

The following table presents the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the Premium Allocation Approach (PAA).

	GROUP - 30 September 2024 R'000				
	Liabilities for Remaining Coverage		Liabilities for Incurred claims		Total
	Excluding Loss Component	Loss Component	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial risk	
Opening Insurance contract assets	-	-	-	-	-
Opening Insurance contract liabilities	(73)	(122)	(6 559)	(820)	(7 574)
Net Opening balance	(73)	(122)	(6 559)	(820)	(7 574)
Insurance Revenue					
Full Retrospective approach	(449)	-	-	-	(449)
Total Insurance revenue – full retrospective transition method	(449)	-	-	-	(449)
Insurance Service Expenses					
Incurred insurance service expenses:	-	253	4 557	517	5 328
<i>Claims</i>	-	253	4 140	137	4 530
<i>Expenses</i>	-	-	417	-	418
<i>Other movements related to current service</i>	-	-	-	380	380
Amortisation of insurance acquisition cash flows	-	-	-	-	-
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	(4 958)	(856)	(5 815)
Changes that relate to future service	-	(219)	-	-	(219)
Losses for the net outflow recognized on initial recognition	-	-	-	-	-
Losses and reversal of losses on onerous contracts - subsequent measurement	-	(219)	-	-	(219)
Total Insurance Service Expenses	-	34	(401)	(339)	(706)
Investment Components	-	-	-	-	-

Notes to the Annual Financial Statements

for the period ended 30 September 2024

	GROUP - 30 September 2024 R'000				
	Liabilities for Remaining Coverage		Liabilities for Incurred claims		Total
	Excluding Loss Component	Loss Component	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial risk	
Total Insurance Service result	(449)	34	(401)	(339)	(1 155)
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	-	5	409	51	465
Total Insurance Finance Income or Expense	-	5	409	51	465
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	(449)	39	8	(288)	(689)
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	450	-	-	-	450
Claims and other insurance service expenses paid, including investment components	-	-	(2 311)	-	(2 311)
Insurance acquisition cash flows	-	-	-	-	-
Total Cash flows	450	-	(2 311)	-	(1 861)
Net Closing balance	(75)	(161)	(4 256)	(532)	(5 024)
Closing Insurance contract assets	-	-	-	-	-
Closing Insurance contract liabilities	(75)	(161)	(4 256)	(532)	(5 024)
Net Closing balance	(75)	(161)	(4 256)	(532)	(5 024)

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for the period ended 30 September 2024

The following table presents the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the Premium Allocation Approach (PAA).

	GROUP - 2024 R'000				
	Liabilities for Remaining Coverage		Liabilities for Incured claims		Total
	Excluding Loss Component	Loss Component	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial risk	
Opening Insurance contract assets	-	-	-	-	-
Opening Insurance contract liabilities	(76)	(116)	(4 179)	(522)	(4 893)
Net Opening balance	(76)	(116)	(4 179)	(522)	(4 893)
Insurance Revenue					
Full Retrospective approach	(902)	-	-	-	(902)
Total Insurance revenue – full retrospective transition method	(902)	-	-	-	(902)
Insurance Service Expenses					
Incurred insurance service expenses:	-	710	4 654	461	5 825
<i>Claims</i>	-	710	3 681	232	4 623
<i>Expenses</i>	-	-	973	-	973
<i>Other movements related to current service</i>	-	-	-	229	229
Amortisation of insurance acquisition cash flows	-	-	-	-	-
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	(1 669)	(209)	(1 878)
Changes that relate to future service	-	(703)	-	-	(703)
Losses for the net outflow recognized on initial recognition	-	-	-	-	-
Losses and reversal of losses on onerous contracts - subsequent measurement	-	(703)	-	-	(703)
Total Insurance Service Expenses	-	7	2 985	252	3 244
Investment Components	-	-	-	-	-
Total Insurance Service result	(902)	7	2 985	252	2 342

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	GROUP - 2024 R'000				
	Liabilities for Remaining Coverage		Liabilities for Incured claims		Total
	Excluding Loss Component	Loss Component	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial risk	
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	-	(1)	368	46	413
Total Insurance Finance Income or Expense	-	(1)	368	46	413
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	(902)	6	3 353	298	2 755
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	899	-	-	-	899
Claims and other insurance service expenses paid, including investment components	-	-	(973)	-	(973)
Insurance acquisition cash flows	-	-	-	-	-
Total Cash flows	899	-	(973)	-	(74)
Net Closing balance	(73)	(122)	(6 559)	(820)	(7 574)
Closing Insurance contact assets	-	-	-	-	-
Closing Insurance contract liabilities	(73)	(122)	(6 559)	(820)	(7 574)
Net Closing balance	(73)	(122)	(6 559)	(820)	(7 574)

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The following table presents the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the General Measurement Model (GMM).

	GROUP - 30 September 2025			
	R'000			
	Liabilities for Remaining Coverage		Liabilities for Incurred claims	Total
	Excluding Loss Component	Loss Component		
Opening Insurance contract assets	-	-	-	-
Opening Insurance contract liabilities	1 721	(58 206)	(15 949)	(72 434)
Net Opening balance	1 721	(58 206)	(15 949)	(72 434)
Insurance revenue – Full Retrospective Approach	(6 984)	-	-	(6 984)
CSM recognized for services provided	(369)	-	-	(369)
Change in risk adjustment for non-financial risk for risk expired	(657)	-	-	(657)
Expected insurance service expenses incurred:	(5 153)	-	-	(5 153)
<i>Claims</i>	(3 493)	-	-	(3 493)
<i>Expenses</i>	(1 660)	-	-	(1 660)
Recovery of insurance acquisition cash flows	(805)	-	-	(805)
Experience adjustment not related to future service	-	-	-	-
Restatement and Other Changes	-	-	-	-
Total Insurance revenue – All Transition Methods	(6 984)	-	-	(6 984)
Insurance Service Expenses				
Incurred insurance service expenses:	-	(24 308)	25 540	1 232
<i>Claims</i>	-	(18 549)	15 392	(3 156)
<i>Expenses</i>	-	(5 759)	8 089	2 330
<i>Other movements related to current service</i>	-	-	2 058	2 058
Amortisation of insurance acquisition cash flows	805	-	-	805
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	(15 939)	(15 939)
Changes that relate to future service	-	43 831	-	43 831

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	GROUP - 30 September 2025 R'000			
	Liabilities for Remaining Coverage		Liabilities for Incurred claims	Total
	Excluding Loss Component	Loss Component		
Losses for the net outflow recognized on initial recognition	-	33 226	-	33 226
Losses and reversal of losses on onerous contracts - subsequent measurement	-	10 606	-	10 606
Total Insurance Service Expenses	805	19 524	9 601	29 930
Investment Components	-	-	-	-
Total Insurance Service result	(6 179)	19 524	9 601	22 945
Insurance Finance Income or Expense				
The effect of and changes in time of time value of money and financial risk	853	3 043	1 691	5 587
Total Insurance Finance Income or Expense	853	3 043	1 691	5 587
Other Comprehensive Income	-	-	-	-
Total Changes in the Statement of Financial Performance	(5 326)	22 566	11 292	28 532
Cash flows (Actual cashflows in the period)				
Premiums and premium tax received	11 552	-	-	11 552
Claims and other insurance service expenses paid, including investment components	-	-	(7 699)	(7 699)
Insurance acquisition cash flows	(1 897)	-	-	-
Total Cash flows	9 655	-	(7 699)	1 955
Net Closing balance	(2 609)	(80 772)	(19 541)	(102 922)
Closing Insurance contract assets	-	-	-	-
Closing Insurance contract liabilities	(2 609)	(80 772)	(19 541)	(102 922)
Net Closing balance	(2 609)	(80 772)	(19 541)	(102 922)

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for the period ended 30 September 2024

The following table shows the reconciliation from the opening to the closing balances of the net liability for the remaining coverage and the liability for incurred claims for insurance contracts measured under the General Measurement Model (GMM).

	GROUP - 2024 R'000			
	Liabilities for Remaining Coverage		Liabilities for Incurred claims	Total
	Excluding Loss Component	Loss Component		
Opening Insurance contract assets	-	-	-	-
Opening Insurance contract liabilities	871	(51 116)	(19 290)	(69 535)
Net Opening balance	871	(51 116)	(19 290)	(69 535)
Insurance revenue – Full Retrospective Approach	(11 000)	-	-	(11 000)
CSM recognized for services provided	-	-	-	-
Change in risk adjustment for non-financial risk for risk expired	(1 032)	-	-	(1 032)
Expected insurance service expenses incurred:	(7 837)	-	-	(7 837)
<i>Claims</i>	(6 385)	-	-	(6 385)
<i>Expenses</i>	(1 452)	-	-	(1 452)
Recovery of insurance acquisition cash flows	(2 131)	-	-	(2 131)
Experience adjustment not related to future service	-	-	-	-
Restatement and Other Changes	-	-	-	-
Total Insurance revenue – full retrospective transition method	(11 000)	-	-	(11 000)
Insurance Service Expenses				
Incurred insurance service expenses:	-	(42 209)	24 745	(17 464)
<i>Claims</i>	-	(35 553)	13 549	(22 004)
<i>Expenses</i>	-	(6 656)	13 083	6 427
<i>Other movements related to current service</i>	-	-	(1 887)	(1 887)
Amortisation of insurance acquisition cash flows	2 129	-	-	2 129
Changes that relate to past service (changes in fulfilment cash flows re LIC)	-	-	(20 498)	(20 498)
Changes that relate to future service	-	44 841	-	44 841
Losses for the net outflow recognized on initial recognition	-	40 835	-	40 835

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	GROUP - 2024 R'000			
	Liabilities for Remaining Coverage		Liabilities for Incurred claims	Total
	Excluding Loss Component	Loss Component		
Losses and reversal of losses on onerous contracts - subsequent measurement	-	4 006	-	4 006
Total Insurance Service Expenses	2 129	2 632	4 247	9 008
Investment Components	-	-	-	-
Total Insurance Service result	(8 871)	2 632	4 247	(1 992)
Insurance Finance Income or Expense				
The effect of and changes in time of time value of money and financial risk	(540)	4 458	6 123	10 041
Total Insurance Finance Income or Expense	(540)	4 458	6 123	10 041
Other Comprehensive Income	-	-	-	-
Total Changes in the Statement of Financial Performance	(9 411)	7 090	10 370	8 049
Cash flows (Actual cashflows in the period)				
Premiums and premium tax received	8 561	-	-	8 561
Claims and other insurance service expenses paid, including investment components	-	-	(13 711)	(13 711)
Insurance acquisition cash flows	-	-	-	-
Total Cash flows	8 561	-	(13 711)	(5 150)
Net Closing balance	1 721	(58 206)	(15 949)	(72 434)
Closing Insurance contract assets	-	-	-	-
Closing Insurance contract liabilities	1 721	(58 206)	(15 949)	(72 434)
Net Closing balance	1 721	(58 206)	(15 949)	(72 434)

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The following table presents the reconciliation from the opening to the closing balances of the net insurance contract liability analysed by components.

	GROUP - 30 September 2024				
	R'000				
	Estimates of Value of Future Cash Flows	Risk Adjustment for Non-financial Risk	CSM		Total
			Full Retrospective Approach	Post Transition	
Opening insurance contract assets	-	-	-	-	-
Opening insurance contract liabilities	(62 775)	(9 546)	(113)	-	(72 434)
Net Opening balance	(62 775)	(9 546)	(113)	-	(72 434)
Changes that relate to current services	80 162	(1 288)	(369)	-	78 505
CSM recognized for services provided	-	-	(369)	-	(369)
Change in risk adjustment for non-financial risk for risk expired	-	(1 288)	-	-	(1 288)
Experience adjustments not related to future service	80 162	-	-	-	80 162
Restatement and Other Changes	-	-	-	-	-
Changes that relate to future services	35 283	6 401	250	-	41 935
Contracts initially recognised in the year	28 257	4 969	-	-	33 226
Changes in estimates that adjust the CSM	(245)	(6)	250	-	-
Changes in estimates that relate to losses and reversal of losses on onerous contracts	7 271	1 438	-	-	8 709
Changes that relate to past services	(99 654)	(1 683)	-	-	(101 337)
Changes in estimates in LIC fulfilment cash flows	(99 896)	(1 683)	-	-	(101 579)
Experience adjustments in claims and other insurance service expenses in LIC	242	-	-	-	242
Total Insurance Service result	15 791	3 430	(119)	-	19 103
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	6 841	687	5	-	7 533
Total Insurance Finance Income or Expense	6 841	687	5	-	7 533
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	22 632	4 117	(113)	-	26 636

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	GROUP - 30 September 2024				
	R'000				
	Estimates of Value of Future Cash Flows	Risk Adjustment for Non-financial Risk	CSM		Total
			Full Retrospective Approach	Post Transition	
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	11 552	-	-	-	11 552
Claims and other insurance service expenses paid, including investment components	(7 699)	-	-	-	(7 699)
Insurance acquisition cash flows	-	-	-	-	-
Total Cash flows	3 853	-	-	-	3 853
Net Closing balance	(89 258)	(13 663)	-	-	(102 922)
Closing Insurance contract assets	-	-	-	-	-
Closing Insurance contract liabilities	(89 258)	(13 663)	-	-	(102 922)
Net Closing balance	(89 258)	(13 663)	-	-	(102 922)

The following table presents the reconciliation from the opening to the closing balances of the net insurance contract liability analysed by components.

	GROUP - 2024				
	R'000				
	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial Risk	CSM		Total
			Full Retrospective Approach	Post Transition	
Opening insurance contract assets	-	-	-	-	-
Opening insurance contract liabilities	(60 781)	(8 754)	-	-	(69 535)
Net Opening balance	(60 781)	(8 754)	-	-	(69 535)
Changes that relate to current services	(18 771)	(7 563)	-	-	(26 334)
CSM recognized for services provided	-	-	-	-	-
Change in risk adjustment for non-financial risk for risk expired	-	(7 563)	-	-	(7 563)
Experience adjustments not related to future service	(18 771)	-	-	-	(18 771)
Restatement and Other Changes	-	-	-	-	-
Changes that relate to future services	38 495	6 232	113	-	44 840
Contracts initially recognised in the year	35 149	5 686	-	-	40 835
Changes in estimates that adjust the CSM	(113)	-	113	-	-
Changes in estimates that relate to losses and					

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	GROUP - 2024 R'000				
	Estimates of Present Value of Future Cash Flows	Risk Adjustment for Non-financial Risk	CSM		Total
			Full Retrospective Approach	Post Transition	
reversal of losses on onerous contracts	3 459	546	-	-	4 005
Changes that relate to past services	(21 935)	1 436	-	-	(20 499)
Changes in estimates in LIC fulfilment cash flows	(12 588)	3 110	-	-	(9 478)
Experience adjustments in claims and other insurance service expenses in LIC	(9 347)	(1 674)	-	-	(11 021)
Total Insurance Service result	(2 211)	105	113	-	(1 993)
Insurance Finance Income or Expense					
The effect of and changes in time of time value of money and financial risk	9 354	687	-	-	10 041
Total Insurance Finance Income or Expense	9 354	687	-	-	10 041
Other Comprehensive Income	-	-	-	-	-
Total Changes in the Statement of Financial Performance	7 143	792	113	-	8 048
Cash flows (Actual cashflows in the period)					
Premiums and premium tax received	8 562	-	-	-	8 562
Claims and other insurance service expenses paid, including investment components	(13 711)	-	-	-	(13 711)
Insurance acquisition cash flows	-	-	-	-	-
Total Cash flows	(5 149)	-	-	-	(5 149)
Net Closing balance	(62 775)	(9 546)	(113)	-	(72 434)
Closing Insurance contract assets	-	-	-	-	-
Closing Insurance contract liabilities	(62 775)	(9 546)	(113)	-	(72 434)
Net Closing balance	(62 775)	(9 546)	(113)	-	(72 434)

	GROUP	
	30 September 2024	31 March 2024
	R'000	R'000
Insurance contract liabilities measured under the Premium Allocation Approach (PAA)	(5 024)	(7 574)
Insurance contract liabilities measured under the General Measurement Model (GMM).	(102 922)	(72 434)
	(107 946)	(80 008)

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The following table provides an analysis of insurance contracts initially recognised in the period.

GROUP - 30 September 2025 R'000			
Onerous Groups of Contracts			
	Contracts acquired in transfers or business combinations	Other contracts	Total
Insurance Contracts Issued Initially Recognised in the Period			
Estimates of the present value of future cash outflows:			
<i>Insurance acquisition cash flows</i>	-	-	-
<i>Claims and other cash outflows</i>	-	(39 753)	(39 753)
Estimates of the present value of future cash inflows	-	11 496	11 496
Risk adjustment for non-financial risk	-	(4 969)	(4 969)
Contractual service margin	-	-	-
Losses for the net outflow recognized on initial recognition	-	(33 226)	(33 226)
GROUP - 2024 R'000			
Onerous Groups of Contracts			
	Contracts acquired in transfers or business combinations	Other contracts	Total
Insurance Contracts Issued Initially Recognised in the Period			
Estimates of the present value of future cash outflows:			
<i>Insurance acquisition cash flows</i>	-	-	-
<i>Claims and other cash outflows</i>	-	(45 486)	(45 486)
Estimates of the present value of future cash inflows	-	10 337	10 337
Risk adjustment for non-financial risk	-	(5 686)	(5 686)
Contractual service margin	-	-	-
Losses for the net outflow recognized on initial recognition	-	(40 835)	(40 835)

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6.3 POST-RETIREMENT MEDICAL LIABILITY

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Post-retirement medical liability	484	341	484	341

sefa provides a subsidy towards medical aid contributions payable to selected employees who retire in the employment ofsefa.

Twenty three in-service employees, who on average are 49 years old, are eligible for the benefit. This subsidy is unfunded and is provided for based on actuarial valuations performed annually.

The value of this liability was determined by QED South Africa Proprietary Limited, an independent actuarial consulting firm and is dependent on amongst others the demographic profile of employees, mortality, consumer price inflation and bond yields.

	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
<i>Analysis of the defined post retirement medical liability:</i>				
Present value of unfunded obligations	484	341	484	341
	484	341	484	341

Changes in the present value of the defined benefit obligation are as follows:

	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening post-retirement medical aid obligation	341	769	341	769
Current service cost	9	36	9	36
Interest cost	13	34	13	34
Actuarial gain	121	(498)	121	(498)
Employer benefit payments	-	-	-	-
Closing defined benefit obligation	484	341	484	341

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The principal actuarial assumptions at the balance sheet date (expressed as weighted averages) are as follows:

	30 September 2024	31 March 2024
Discount rate at 31 March	8.5% - 14.0% naca	8.5% - 14.0% naca
Take-up rate by retired employees	100%	100%
Retirement age	65 years	65 years
Pre-retirement mortality	SA85-90 Light PA (90)	SA85-90 Light PA (90)
Post retirement mortality	2 year reduction	2 year reduction

The table below shows the sensitivity of **sefa**’s obligations, as at 30 September 2024, with respect to post-retirement medical aid benefits to key assumptions:

Assumption	Variation	% change in provision	Change in value of provision
Long-term interest rates	1%	-12%	(59)
	1%	13%	71
	+1 year	-0.07%	(5)
Post-Retirement mortality (1)	-1 year	1%	5

(1) The provision is not sensitive to Medical inflation/Contribution Inflation as this amount is capped. Sensitivity to post retirement mortality is not material and the amount is less than R1000.

6.4 Commitments

Items are classified as commitments where the Group has committed itself to future transactions.

6.4.1 Lease commitments for low value assets

The future minimum lease payments under non-cancellable operating leases are as follows:

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Equipment	1 726	21	1 726	21
Within 1 year	647	21	647	21
From 2 to 5 years	1 079	-	1 079	-
More than 5 years	-	-	-	-
Total lease commitments	1 726	21	1 726	21

Per the signed agreements there are no annual escalations.

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6.4.2 Loan and indemnity commitments

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Off-balance sheet items				
Undrawn financing facilities approved	367 183	298 461	367 183	298 461
Undrawn credit guarantee facilities approved	1 065 409	1 209 682	-	-
Total off-balance sheet commitments	1 432 592	1 508 143	367 183	298 461

Commitments will be financed by loans and internally generated funds.

7. FINANCIAL RISK

7.1 Financial instruments – material accounting policy

Amortised cost – Financial liabilities

In both the current and prior period, financial liabilities are classified and subsequently measured at amortised cost.

Fair value through profit or loss – Financial assets

These assets are held with the intention to sell. Cash flows are primarily recovered through sale, and are measured at fair value through profit or loss. Any changes in the fair value of these assets are recognised in profit or loss.

Accounting for financial instruments

Financial assets and liabilities are recognised in the Group’s statement of financial position when the Group becomes a party to the contractual provisions of the instruments. All financial assets and liabilities are initially measured: (1) at fair value, plus (or minus) transaction costs that are directly attributable to the acquisition or (2) issue of the financial asset or financial liability in the case of financial asset (or financial liability) not at fair value through profit or loss, except for those classified as at fair value through profit or loss which are initially measured at fair value excluding transaction costs. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Fair value adjustments on initial recognition relating to financial assets or financial liabilities at fair value through profit or loss are recognised in profit or loss. If **sefa** determines that the fair value on initial recognition differs from the transaction price, the difference is recognised as a gain or loss only if the fair value is based on a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets. Otherwise, the difference is deferred and recognised as a gain or loss only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability.

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Offsetting financial instruments

Offsetting of financial assets and liabilities is applied when there is a legally enforceable right to offset the recognised amounts and, there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously. The net amount is reported in the statement of financial position.

Financial instrument classification

The Group classifies its financial instruments into the following categories:

- At fair value through profit or loss;
- Amortised cost.

The classification is dependent on the purpose for which the financial instruments were acquired. Management determines the classification of financial instruments at initial recognition. Financial instruments comprise investments in equity and debt, loans receivable, trade and other receivables, cash and cash equivalents, other non-current liabilities and trade and other payables. Financial assets measured at amortised cost are initially recognised at the fair value received or receivable.

Subsequent measurement

Subsequent to initial recognition, financial instruments are measured as described below:

Financial assets at fair value through profit or loss

Financial instruments at fair value through profit or loss are subsequently measured at fair value and changes therein are recognised in profit or loss.

Financial instruments at amortised cost

Financial assets at amortised cost: Loans and advances, trade and other receivables, cash and cash equivalents are measured at amortised cost. Financial liabilities at amortised cost: Trade and other payables and borrowings are measured at amortised cost. The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition, minus the principal repayments, plus or minus the cumulative amortisation: using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

The effective rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any impairment allowance) or the amortised cost of a financial liability. The calculation does not consider expected credit losses and includes transaction costs.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised when the obligations specified in the contracts are discharged, cancelled or expire.

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Credit allowances on financial assets carried at amortised cost

Loans and advances (General approach per IFRS 9 par 5.5.1)

All loans and advances meet the requirements of solely payments of principal and interest and are measured at amortised cost. The Group assesses on a forward-looking basis the expected credit losses ('ECL') associated with its debt instrument assets carried at amortised cost and the exposure arising from loan commitments. The Group recognises a loss allowance for such losses at each reporting date. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes based on the relevant stage and internal credit rating of a loan;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

Trade receivables (Simplified approach per IFRS 9 par 5.5.15)

Credit losses for rental debtors are based on the portfolio's collection rates and the number of outstanding payments from a debtor, as this is the best indicator for the future collectability of rental income. Credit losses on related party loans were based on historical payment trends to predict the ability of the related party to settle the loan in the future. Trade receivables are initially recognised at the transaction price.

Refer to note 7.5.1 for rental debtors and 7.5.2 for related party loans.

Cash and cash equivalents (General approach per IFRS 9 par 5.5.1)

The expected credit loss is calculated by referencing each bank's published credit rating to the probability of default based on the mapping tables published by the three major international credit rating agencies. The loss given default used is in line with guidance provided by the Basel foundation approach on banks.

7.2 Financial risk management

The Group and Company have exposure to the following risks from its use of financial instruments: credit risk, liquidity risk and market risk (interest rate risk). This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

The Board of Directors has overall responsibility for the establishment and oversight of the Group and Company's risk management framework. The Board has established the Audit and Risk Committees, which are responsible for developing and monitoring the Group and Company's risk management policies. The committees report regularly to the Board of Directors on their activities.

The Group and Company's risk management policies are established to identify and analyse the risks faced by the Group and Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group and Company's activities. The Group and Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Audit and Risk Committees oversee how management monitors compliance with the Group and Company's risk management policies and procedures and review the adequacy of the risk management framework in relation to the risks faced by the Group and Company. The Audit and Risk Committees are assisted by the Internal Audit function which undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Audit and Risk Committees.

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7.3 Categories of financial instruments

The table below sets out the Group and Company’s classification of each class of financial assets and liabilities.

GROUP - 30 September 2024	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 177 465	-	1 177 465
Investments	-	89 682	89 682
Trade receivables	52 124	-	52 124
Cash and cash equivalents	4 910 937	-	4 910 937
Total financial assets	6 140 526	89 682	6 230 208
Liabilities			
Shareholder loans	(76 795)	-	(76 795)
Trade and other payables	(124 470)	-	(124 470)
Lease liability	(16 149)	-	(16 149)
Total financial liabilities	(217 414)	-	(217 414)
Net financial assets and liabilities	5 923 112	89 682	6 012 794

GROUP - 31 March 2024	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 118 920	-	1 118 920
Investments	-	62 123	62 123
Trade receivables	31 813	-	31 813
Cash and cash equivalents	4 346 035	-	4 346 035
Total financial assets	5 496 768	62 123	5 558 891
Liabilities			
Shareholder loans	(841 696)	-	(841 696)
Trade and other payables	(70 515)	-	(70 515)
Lease liability	(24 631)	-	(24 631)
Total financial liabilities	(936 842)	-	(936 842)
Net financial assets and liabilities	4 559 926	62 123	4 622 049

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COMPANY - 30 September 2024	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 177 465	-	1 177 465
Investments	-	61 778	61 778
Trade receivables	268 488	-	268 488
Cash and cash equivalents	4 247 636	-	4 247 636
Total financial assets	5 693 589	61 778	5 755 367
Liabilities			
Shareholder loans	(76 795)	-	(76 795)
Trade and other payables	(37 316)	-	(37 316)
Lease liability	(16 149)	-	(16 149)
Total financial liabilities	(130 260)	-	(130 260)
Net financial assets and liabilities	5 563 329	61 778	5 625 107
COMPANY - 31 March 2024	Amortised cost R'000	FVTPL R'000	Total R'000
Assets			
Loans and advances	1 118 920	-	1 118 920
Investments	-	62 123	62 123
Trade receivables	255 941	-	255 941
Cash and cash equivalents	3 708 065	-	3 708 065
Total financial assets	5 082 926	62 123	5 145 049
Liabilities			
Shareholder loans	(841 696)	-	(841 696)
Trade and other payables	(22 557)	-	(22 557)
Lease liability	(24 631)	-	(24 631)
Total financial liabilities	(888 884)	-	(888 884)
Net financial assets and liabilities	4 194 042	62 123	4 256 165

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7.4 Credit risk exposure

Credit risk is the risk of financial loss, should any of the Group’s counterparties fail to fulfil their contractual obligations to the Group. Credit risk mainly arises from commercial loans and advances, and loan commitments arising from such lending activities. The Group is also exposed to other credit risks arising from investments and rental debtors.

Credit risk is the single largest risk for the Group’s business; management, therefore, carefully manages its exposure to credit risk. The effective management of credit risk is a critical component of a comprehensive approach to risk management and is essential to the long-term success of the group. The Group and Company considers its maximum exposure to credit risk per class to be as follows:

	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Cash and cash equivalents	4 910 983	4 346 081	4 247 675	3 708 104
Trade and other receivables	102 765	80 765	765 241	694 128
Loans and advances	3 645 159	3 506 551	3 637 114	3 498 506
Investments	89 682	62 123	61 778	62 123
Total exposure at gross carrying amount	8 748 589	7 995 520	8 711 808	7 962 861

Cash and cash equivalents

The Group and Company limit its exposure to credit risk in respect of its money market transactions by only investing in funds that have approved high credit quality financial ratings and public sector institutions in accordance with predetermined limits approved by Executive Management and the Board. Money market investments are reflected as cash and cash equivalents. Due to the nature of the investments the probability of default is low and the possible credit losses have been assessed as being insignificant in value. A credit loss has been provided for on cash andcash equivalents in the current year of R0.046 million (2024: R0.046million).

Trade receivables

Trade receivables include related party loans receivable, rental debtors and other trade and receivables. The nature of other trade receivables, other than rental debtors, is of such a nature that low probabilities of default is anticipated and possible credit losses have been assessed as being insignificant. No credit loss has been provided for on trade and receivables other than rental debtors and related party loans. Refer to note 7.5.1 for credit risk measurement under rental debtors and note 7.5.2 for related party loans.

Loans and advances

The mandate of **sefa** is to support sustainable enterprise development through providing loan funding to SMMEs and Co-operatives. **sefa** maintains sound credit granting standards to manage its risks posed by credit risk exposure.

The Group and Company’s exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group and Company’s customer base, including the default risk of the industry, in which customers operate, is also taken into account. Counterparty limits are used to ensure that the Group or Company is not significantly exposed to transactions with one customer and there is no geographical concentration of credit risk.

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Risk Management has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group or Company will transact with the customer. The Group and Company’s review include external ratings, when available, due diligence exercises and in some cases, bank references.

Loans and advances are subject to comprehensive and substantial security clauses to protect the Group and Company in the event of non-payment. All credit risk arises from normal operations of the Group and Company, with the major credit risk arising from the Group and Company’s receivables and loans and advances. The Credit and Investment Committee established by the Board of Directors review the Group and Company’s loan portfolio on an on-going basis. All applications for credit are thoroughly scrutinised covering financial, technical and market risks.**sefa**, being a DFI, has a different risk profile compared to traditional commercial banks. The Group and Company establish an allowance for impairment that represents its estimate of expected losses in respect of receivables, loans and advances and investments. Refer to note 7.5.3 for credit risk measurement under loans and advances.

7.5 Credit risk measurement

7.5.1 Trade receivables

	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Trade receivables and pre-payments				
Gross carrying amount	70 792	40 784	34 037	8 612
Lifetime expected credit loss	(14 235)	(14 134)	(3 251)	(3 150)
Net carrying amount	56 557	26 650	30 786	5 462

	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Deferred grants receivable				
Gross carrying amount	199 414	229 498	264 172	290 134
Lifetime expected credit loss	-	-	-	-
Net carrying amount	199 414	229 498	264 172	290 134

Rental debtors

The following table sets out information using a provision matrix, based on actual collection rates, on the credit quality of rental debtors measured at amortised cost where the loss allowance is measured at an amount equal to lifetime expected credit losses (simplified approach). Unless specifically indicated, the amounts in the table represent gross carrying amounts.

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	Group 30 September 2024			Group 30 September 2024		
	0 - 30 days	30 days+	Total	0 - 30 days	30 days+	Total
	31%	100%		32%	100%	
	R'000	R'000	R'000	R'000	R'000	R'000
Rental debtors						
Expected loss rate						
Gross carrying amount	2 282	27 479	29 761	2 383	27 145	29 528
Lifetime expected credit loss	(708)	(27 479)	(28 187)	(752)	(27 145)	(27 897)
Net carrying amount	1 574	-	1 574	1 631	-	1 631

Trade receivables - related party loans

All related party loans, except the loans issued to Khula Business Premises and Khula Institutional Support Services, are considered to be fully recoverable as these companies have a positive net asset value and have historically settled these loans in full as and when they occur. The impairment on the Khula Business Premises loan was based on the net asset value of Khula Business Premises. Refer to note 10.1.

	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Gross carrying amount	63	9 031	729 054	684 093
Lifetime expected credit loss	-	-	(485 283)	(428 116)
Net carrying amount	63	9 031	243 771	255 977

7.5.2 Investments

	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Standard monitoring	89 682	62 123	61 778	62 123
Special monitoring	-	-	-	-
Total exposure at carrying amount	89 682	62 123	61 778	62 123

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7.5.3 Loans and advances (including commitments) – material accounting policy

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time. The assessment of the credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties. The Group measures credit risk using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD) which is in line with the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9.

Credit risk grading

The Group uses internal credit risk gradings that reflect its assessment of the probability of default of individual counterparties. The Group, additionally, uses internal rating models tailored to the various categories of counterparties. Borrower and loan specific information collected at the time of application serves as inputs to this rating model. This is supplemented with external data such as credit bureau scoring information on individual borrowers.

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Expected credit loss measurement

IFRS 9 outlines a ‘three-stage’ model for impairment based on changes in credit quality since initial recognition as summarised below:

Stage	Change in credit risk since initial recognition	Recognition of interest	12 month or lifetime ECL
Stage 1 – Initial recognition	No significant increase in risk since initial recognition.	Interest is based on the loan balance gross of impairments.	12-month ECL is used, which is the expected credit losses that result from default events that are likely within 12 months after the reporting date.
Stage 2 – Significant increase in credit risk	Significant increase in credit risk (SICR) but not objective evidence of impairment.	Interest is based on the loan balance gross of impairments.	Lifetime ECL is used, which is the expected credit losses that result from all default events that are likely over the expected life of the financial instrument.
Stage 3 – Credit- impaired asset	Objective evidence of impairment.	Interest is based on the loan balance net of impairments.	Lifetime ECL is used, which is the expected credit losses that result from all default events that are likely over the expected life of the financial instrument.

The key judgements and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

Significant increase in credit risk:

The Group considers a financial instrument to have experienced a significant increase in credit risk when one or more of the following criteria have been met:

- The loan or any other loan issued to the same counterparty is in arrears;
- There is evidence that the loan should be impaired based on an individual client assessment;
- Actual or expected restructuring;
- Significant adverse changes in business, financial and/ or economic conditions in which the borrower operates.

Definition of default and credit-impaired assets:

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit- impaired, when it meets one or more of the following criteria:

- The loan or any other loan issued to the same counterparty is 90 days past due.
- The loan has been restructured and has not yet performed for a minimum period.

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- Interest on outstanding capital is suspended.
- There is evidence that the loan should be impaired based on an individual client assessment.

The criteria above have been applied to all loans and advances extended to clients by the Group and are consistent with the definition of default used for internal risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD) throughout the Group's expected loss calculations. An instrument is considered to no longer be in default (i.e. to have cured) when it no longer meets any of the default criteria for a consecutive period of twelve months.

Measuring ECL – Explanation of inputs, assumptions and estimation techniques

The Expected Credit Loss (ECL) is measured on either a 12-month (12M) or lifetime basis, depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Expected credit losses are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

- The PD represents the likelihood of a borrower defaulting on its financial obligation, either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation;
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). For example, for a revolving commitment, the Group includes the current drawn balance plus any further amount that is expected to be drawn up to the current contractual limit by the time of default, should it occur;
- Loss Given Default (LGD) represents the Group's expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD). LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.

The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure. These three components are multiplied together. This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate. The lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile reflects on how defaults developed on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit rate band. This is supported by historical analysis. The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type:

For amortising products and bullet repayment loans:

This is based on the contractual repayments owed by the borrower over a 12 month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower. Early repayment/ refinance assumptions are also incorporated into the calculation.

For revolving products:

The exposure at default is predicted by taking the current drawn balance and adding a "credit conversion factor" which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group's recent default data. The 12 month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.

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Forward-looking information incorporated in the ECL models

Changes in macroeconomic conditions are expected to influence the rate at which accounts default on the portfolios. The macroeconomic module of the IFRS 9 impairment model includes such an allowance through adjusting expected default probabilities based on forecast macroeconomic information, using the historical relationship between these macroeconomic variables and default rates in order to inform the quantum of the expected impact.

Using Principal Component Analysis, a historic index was constructed and subsequently used to produce the forecasted indices under three scenarios (optimistic, best-estimate and downturn), with the final result of the Expected Credit Loss model subsequently calculated as a probability weighted average of the results under each of the scenarios.

As with any economic forecasts, the projections and likelihoods of occurrence are subject to a high degree of inherent uncertainty and, therefore, the actual outcomes may be significantly different to those projected. The Group considers these forecasts to represent its best estimate of the possible outcomes and has analysed the non-linearities and asymmetries within the Group’s different portfolios to establish that the chosen scenarios are appropriately representative of the range of possible scenarios. The analysis outlined above yielded the following variables for use in the macroeconomic model:

- Percentage year on year growth in Gross Domestic Product (“%GDP”);
- Percentage year on year growth in Formal Sector Employment (“%Employment”);
- Percentage year on year growth in Consumer Price Inflation (“%CPI”); and
- Percentage year on year growth in Household Consumption Expenditure (“%HouseCE”)

7.5.3 Economic variable assumptions

The most significant period-end assumptions used for the ECL estimate at 30 September 2024 are set out below:

		2025	2026	2027	2028
% GDP	Base	0.33	0.46	0.50	0.68
	Downturn	0.28	0.25	0.61	0.65
	Optimistic	0.35	0.77	0.63	0.85
% Employment	Base	1.93	1.54	2.30	1.57
	Downturn	1.31	1.59	2.17	1.50
	Optimistic	0.45	1.70	2.68	1.95
% CPI	Base	4.68	4.48	4.59	4.64
	Downturn	5.49	5.00	4.85	4.80
	Optimistic	4.21	4.10	4.35	4.45
% HouseCE	Base	0.37	0.60	0.61	0.72
	Downturn	0.27	0.00	0.58	0.68
	Optimistic	0.45	0.67	0.70	0.78

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- The base scenario represents the best estimate view of expected future macroeconomic conditions;
 - The downturn scenario represents a view of expected future macroeconomic conditions during a downturn period; and
 - The optimistic scenario represents a view of expected future macroeconomic conditions during a period of good economic conditions.
- The final Expected Credit Loss to be raised as an impairment provision under the IFRS 9 standard is calculated as an average of the ECL calculated by the model under each of the three scenarios, weighted by the probability of each of these scenarios occurring.

Probabilities assigned to the likelihood of each scenario:

Scenario	Probability
Base	60%
Downturn	35%
Optimistic	5%

The probabilities assigned to each likelihood are unchanged from prior year.

Grouping of instruments for losses measured on a collective basis

For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/ external supplementary data to use for modelling purposes.

7.5.4 Expected credit losses emanating from credit risk exposure

The following tables contain an analysis of the credit risk exposure of loans and advances for which an ECL allowance is recognised. The net carrying amount of financial assets below also represents the Group’s maximum exposure to credit risk on these assets:

Loans and advances: Credit risk analysis

	GROUP 30 September 2024 R'000			
	Stage 1 - Gross amount	Stage 2 - Gross amount	Stage 3 - Gross amount	
	Stage 1 - ECL	Stage 2 - ECL	Stage 3 - ECL	
Group 30 September 2024 (R'000)	Stage 1	Stage 2	Stage 3	Total
Standard monitoring	752 366	-	-	752 366
Special monitoring	-	501 790	-	501 790
Default	-	-	2 391 003	2 391 003
Gross carrying amount	752 366	501 790	2 391 003	3 645 159
Loss allowance	(109 987)	(184 953)	(2 172 754)	(2 467 694)
Carrying amount	642 379	316 837	218 249	1 177 465

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GROUP 31 March 2024 R'000				
	Stage 1 - Gross amount Stage 1 - ECL	Stage 2 - Gross amount Stage 2 - ECL	Stage 3 - Gross amount Stage 3 - ECL	
Group 31 March 2024 (R'000)	Stage 1	Stage 2	Stage 3	Total
Standard monitoring	688 060	-	-	688 060
Special monitoring	-	536 632	-	536 632
Default	-	-	2 281 859	2 281 859
Gross amount	688 060	536 632	2 281 859	3 506 551
Loss allowance	(102 169)	(228 218)	(2 057 244)	(2 387 631)
Carrying amount	585 891	308 414	224 615	1 118 920

COMPANY 30 September 2024 R'000				
	Stage 1 - Gross amount Stage 1 - ECL	Stage 2 - Gross amount Stage 2 - ECL	Stage 3 - Gross amount Stage 3 - ECL	
Company 30 September 2024 (R'000)	Stage 1	Stage 2	Stage 3	Total
Standard monitoring	752 366	-	-	752 366
Special monitoring	-	501 790	-	501 790
Default	-	-	2 382 958	2 382 958
Gross carrying amount	752 366	501 790	2 382 958	3 637 114
Loss allowance	(109 988)	(184 953)	(2 164 708)	(2 459 649)
Carrying amount	642 378	316 837	218 250	1 177 465

COMPANY 31 March 2024 R'000				
	Stage 1 - Gross amount Stage 1 - ECL	Stage 2 - Gross amount Stage 2 - ECL	Stage 3 - Gross amount Stage 3 - ECL	
Company 31 March 2024 (R'000)	Stage 1	Stage 2	Stage 3	Total
Standard monitoring	688 060	-	-	688 060
Special monitoring	-	536 632	-	536 632
Default	-	-	2 273 814	2 273 814
Gross amount	688 060	536 632	2 273 814	3 498 506
Loss allowance	(102 170)	(228 218)	(2 049 198)	(2 379 586)
Carrying amount	585 890	308 414	224 616	1 118 920

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7.5.5 Collateral

Financial assets that are credit-impaired and related collateral held in order to mitigate potential losses are shown below:

	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	752 366	(109 987)	642 379	25 756
Stage 2	501 790	(184 953)	316 837	19 919
Stage 3	2 391 003	(2 172 754)	218 249	52 705
	3 645 159	(2 467 694)	1 177 465	98 380

GROUP 31 March 2024				
	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	688 060	(102 169)	585 891	4 889
Stage 2	536 632	(228 218)	308 414	12 717
Stage 3	2 281 859	(2 057 244)	224 615	81 070
	3 506 551	(2 387 631)	1 118 920	98 676

COMPANY 30 September 2024				
	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	752 366	(109 988)	642 378	25 756
Stage 2	501 790	(184 953)	316 837	19 919
Stage 3	2 382 958	(2 164 708)	218 250	52 705
	3 637 114	(2 459 649)	1 177 465	98 380

COMPANY 31 March 2024				
	Gross exposure	Credit loss allowance	Carrying amount	Fair value of collateral held
Stage 1	752 366	(109 988)	642 378	4 889
Stage 2	501 790	(184 953)	316 837	12 717
Stage 3	2 382 958	(2 164 708)	218 250	81 070
	3 637 114	(2 459 649)	1 177 465	98 676

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Nature of collateral held:	Group		Company	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Vehicles and equipment under instalment sale agreement	98 380	98 676	98 380	98 676
Special notarial bonds over moveable assets	-	-	-	-
Mortgage bonds over fixed property	-	-	-	-
Cession over loan portfolio	-	-	-	-
Total collateral held	98 380	98 676	98 380	98 676

The net proceeds for collateral repossessed amounted to R1.1mil during the financial year for both Group and Company. (The net proceeds for collateral repossessed amounted to R1.5mil during the 2024 financial year for both Group and Company.)

The impact of collateral included in the Expected Credit Loss amounts to R98.6 million (2024: R77.8 million). The impact was limited to the value of the Expected Credit Loss per facility.

Collateral was valued externally by independent team of valuers as at 31 March 2022.

7.5.6 Credit loss allowance

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent “step up” (or “step down”) between 12-month and lifetime ECL;
- Additional allowances for new financial instruments recognised during this period, as well as releases for financial instruments de-recognised in the period;
- Impact of the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

The following tables explain the changes in the loss allowance between the beginning and the end of the annual period due to these factors:

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GROUP - 2025

	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 1 April 2024	102 169	228 218	2 057 244	2 387 631
<i>Increase in credit risk</i>				
Transfer from Stage 1 to Stage 2	(24 069)	72 863	-	48 794
Transfer from Stage 1 to Stage 3	(3 562)	-	12 550	8 988
Transfer from Stage 2 to Stage 3	-	(56 774)	72 349	15 575
<i>Decrease in credit risk</i>				
Transfer from Stage 2 to Stage 1	20 983	(65 473)	-	(44 490)
Transfer from Stage 3 to Stage 2	-	6 735	(10 112)	(3 377)
Transfer from Stage 3 to Stage 1	284	-	(2 762)	(2 478)
Changes in PDs/ LGDs/ EADs	(3 000)	(6 618)	40 603	30 985
New financial instruments issued	17 874	7 796	13 562	39 232
Financial assets settled during the year	(692)	(1 794)	(9 163)	(11 649)
Financial assets written off	-	-	(1 517)	(1 517)
<i>Total net profit or loss charge during the year</i>	7 818	(43 265)	115 510	80 063
Loss allowance as at 30 September 2024	109 987	184 953	2 172 754	2 467 694

GROUP - 2024

	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 1 April 2023	112 015	367 856	1 204 150	1 684 021
<i>Increase in credit risk</i>				
Transfer from Stage 1 to Stage 2	(23 714)	97 028	-	73 314
Transfer from Stage 1 to Stage 3	(38 884)	-	312 678	273 794
Transfer from Stage 2 to Stage 3	-	(213 342)	371 810	158 468
<i>Decrease in credit risk</i>				
Transfer from Stage 2 to Stage 1	3 483	(11 786)	-	(8 303)
Transfer from Stage 3 to Stage 2	-	1 630	(7 619)	(5 989)
Transfer from Stage 3 to Stage 1	2 661	-	(28 522)	(25 861)
Changes in PDs/ LGDs/ EADs	10 954	(19 624)	177 079	168 409
New financial instruments issued	34 112	76 016	40 825	150 953
Financial assets settled during the year	1 542	(69 560)	(13 078)	(81 096)
Financial assets written off	-	-	(79)	(79)
<i>Total net profit or loss charge during the year</i>	(9 846)	(139 638)	853 094	703 610
Loss allowance as at 31 March 2024	102 169	228 218	2 057 244	2 387 631

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COMPANY - 2025

	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 1 April 2024	102 170	228 218	2 049 198	2 379 586
<i>Increase in credit risk</i>				
Transfer from Stage 1 to Stage 2	(24 069)	72 863	-	48 794
Transfer from Stage 1 to Stage 3	(3 562)	-	12 550	8 988
Transfer from Stage 2 to Stage 3	-	(56 774)	72 349	15 575
<i>Decrease in credit risk</i>				
Transfer from Stage 2 to Stage 1	20 983	(65 473)	-	(44 490)
Transfer from Stage 3 to Stage 2	-	6 735	(10 112)	(3 377)
Transfer from Stage 3 to Stage 1	284	-	(2 762)	2 478
Changes in PDs/ LGDs/ EADs	(3 000)	(6 618)	40 603	30 985
New financial instruments issued	17 874	7 796	13 562	39 232
Financial assets settled during the year	(692)	(1 794)	(9 163)	(11 649)
Financial assets written off	-	-	(1 517)	(1 517)
<i>Total net profit or loss charge during the year</i>	7 818	(43 265)	115 510	80 063
Loss allowance as at 31 March 2024	109 988	184 953	2 164 708	2 459 649

COMPANY - 2024

	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Loss allowance as at 1 April 2023	112 016	367 856	1 196 104	1 675 976
<i>Increase in credit risk</i>				
Transfer from Stage 1 to Stage 2	(23 714)	97 028	-	73 314
Transfer from Stage 1 to Stage 3	(38 884)	-	312 678	273 794
Transfer from Stage 2 to Stage 3	-	(213 342)	371 810	158 468
<i>Decrease in credit risk</i>				
Transfer from Stage 2 to Stage 1	3 483	(11 786)	-	(8 303)
Transfer from Stage 3 to Stage 2	-	1 630	(7 619)	(5 989)
Transfer from Stage 3 to Stage 1	2 661	-	(28 522)	(25 861)
Changes in PDs/ LGDs/ EADs	10 954	(19 624)	177 079	168 409
New financial instruments issued	34 112	76 016	40 825	150 953
Financial assets settled during the year	1 542	(69 560)	(13 078)	(81 096)
Financial assets written off	-	-	(79)	(79)
<i>Total net profit or loss charge during the year</i>	(9 846)	(139 638)	853 094	703 610
Loss allowance as at 30 September 2024	102 170	228 218	2 049 198	2 379 586

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7.5.7 Write off policy

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts that is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery. All amounts written off in the current and prior year are still subject to enforcement activity. Loans to the value of R13,808 were written off during the year in the Group (2024: R103,000).

7.5.8 Modification of financial assets

The Group sometimes modifies the terms of loans provided to customers due to commercial renegotiations, or for distressed loans, with a view to maximising recovery. Restructuring is based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue.

The Group monitors the subsequent performance of modified assets and may determine that the credit risk has significantly improved where assets have performed for twelve-consecutive months or more.

Loans with gross carrying amount of R15 million at the end of the financial year have been modified in the current year at a time when the loss allowance was measured at an amount equal to lifetime expected credit losses and for which the loss allowance has changed during the current year to an amount equal to 12-month expected credit losses.

7.5.9 Loans and advances: Sectoral analysis

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
CARRYING VALUE PER SECTOR - LOANS AND ADVANCES				
Accommodation and food service activities	28 116	14 017	28 116	14 017
Administrative and support activities	120 637	65 814	120 637	65 814
Agriculture, forestry and fishing	43 889	40 973	43 889	40 973
Arts, entertainment and recreation	805	904	805	904
Basic chemicals	69	201	69	201
Basic iron and steel	6 379	5 237	6 379	5 237
Beverages	69	273	69	273
Building construction	8 042	10 670	8 042	10 670
Business services	26 650	32 210	26 650	32 210
Catering and accommodation services	11 415	14 014	11 415	14 014
Construction	24 812	30 006	24 812	30 006
Education	851	727	851	727
Electricity, gas and steam	7 668	6 281	7 668	6 281
Electricity, gas, steam and air conditioning supply	792	1 621	792	1 621
Finance and insurance	124 732	154 831	124 732	154 831
Financial and insurance activities	98 601	75 228	98 601	75 228

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CARRYING VALUE PER SECTOR - LOANS AND ADVANCES (continued)	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Food	26 436	41 686	26 436	41 686
Footwear	422	236	422	236
Furniture	1 293	1 378	1 293	1 378
Glass and glass products	73	133	73	133
Human health and social work activities	19 336	19 751	19 336	19 751
Information and communication	47 132	24 861	47 132	24 861
Machinery and equipment	3 221	4 340	3 221	4 340
Manufacturing	155 692	131 181	155 692	131 181
Medical, dental and other health and verterinary services	8 832	11 522	8 832	11 522
Metal products excluding machinery	12 343	14 115	12 343	14 115
Mining and quarrying	1 796	1 681	1 796	1 681
Motor vehicles, parts and accessories	4 825	5 665	4 825	5 665
Non-metallic minerals	20 439	19 522	20 439	19 522
Other chemicals and man-made fibres	1 866	2 047	1 866	2 047
Other community, social and personal services	9 088	11 702	9 088	11 702
Other industries	7 379	7 579	7 379	7 579
Other mining	9 798	8 462	9 798	8 462
Other service activities	3 648	3 177	3 648	3 177
Other services	50 794	76 126	50 794	76 126
Paper and paper products	39	49	39	49
Plastic products	6 029	7 962	6 029	7 962
Printing, publishing and recorded media	65	86	65	86
Professional, scientific and technical activities	21 445	974	21 445	974
Real estate activities	11 208	12 292	11 208	12 292
Television, radio and communication equipment	258	444	258	444
Textiles	14 338	23 557	14 338	23 557
Transport and storage	42 405	47 577	42 405	47 577
Transportation and storage	3 297	2 307	3 297	2 307
Water supply; sewerage, waste management and remediation activities	5 637	9 851	5 637	9 851
Wearing apparel	3 257	5 772	3 257	5 772
Wholesale and retail trade	91 898	102 337	91 898	102 337
Wholesale and retail trade; repair of motor vehicles and motorcycles	77 069	59 219	77 069	59 219
Wood and wooden products	12 580	8 322	12 580	8 322
Loans and advances net of impairments	1 177 465	1 118 920	1 177 465	1 118 920

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7.6 Liquidity risk

Liquidity risk is the risk that the Group or Company will not be able to meet its financial obligations as they fall due. The Group and Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risk damage to the Group or Company's reputation.

Due to the nature of the business, the Group and Company's cash management process aims to maintain flexibility in funding by keeping committed credit lines available. Cash requirements and inflows are monitored by management to ensure that sufficient cash is available to meet all financial commitments including operational expenditure. Typically the Group and Company ensure that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot be reasonably predicted; such as natural disasters.

The following are the remaining contractual maturities at the end of the reporting period of recognised and unrecognised financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

Group - 30 September 2024	GROUP				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Trade payables (excluding non-financial liabilities)	124 470	124 470	124 470	-	-
Shareholder loans	76 795	908 211	788 211	60 000	60 000
Total recognised financial and non-financial liabilities	201 265	1 032 681	912 681	60 000	60 000
Undrawn financing facilities approved	-	367 183	367 183	-	-
Operating lease commitments	-	1 726	647	1 079	-
Liabilities for lease obligations	16 149	17 337	14 815	2 522	-
Undrawn guarantees/indemnities approved	-	1 065 409	1 065 409	-	-
Total off-balance sheet items	16 149	1 451 655	1 448 054	3 601	-
Total contractual maturities	217 414	2 484 336	2 360 735	63 601	60 000

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Group - 31 March 2024	GROUP				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Trade payables (excluding non-financial liabilities)	70 515	70 515	70 515	-	-
Credit guarantees/indemnities issued to financial institutions (1)	-	-	-	-	-
Shareholder loans	841 696	908 211	788 211	60 000	60 000
Total recognised financial and non-financial liabilities	912 211	978 726	858 726	60 000	60 000
Undrawn financing facilities approved	-	298 461	298 461	-	-
Operating lease commitments	-	21	21	-	-
Liabilities for lease obligations	24 631	27 211	17 003	10 208	-
Undrawn guarantees/indemnities approved	-	1 210	1 210	-	-
Total off-balance sheet items	24 631	326 903	316 695	10 208	-
Total contractual maturities	936 842	1 305 629	1 175 421	70 208	60 000

Company - 30 September 2024	COMPANY				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Trade payables (excluding non-financial liabilities)	37 316	37 316	37 316	-	-
Managed funds	-	-	-	-	-
Shareholder loans	76 795	908 211	788 211	60 000	60 000
Total recognised financial and non-financial liabilities	114 111	945 527	825 527	60 000	60 000
Operating lease commitments	-	1 726	647	1 079	-
Liabilities for lease obligations	16 149	17 337	14 815	2 522	-
Undrawn financing facilities approved	-	298 461	298 461	-	-
Total off-balance sheet items	16 149	317 524	313 923	3 601	-
Total contractual maturities	130 260	1 263 051	1 139 450	63 601	60 000

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Company - 31 March 2024	COMPANY				
	Carrying value R'000	Total R'000	Within 1 year R'000	2 - 5 years R'000	More than 5 years R'000
Trade payables (excluding non-financial liabilities)	22 557	22 557	22 557	-	-
Managed funds	-	-	-	-	-
Shareholder loans	841 696	908 211	788 211	60 000	60 000
Total recognised financial and non-financial liabilities	864 253	930 768	810 768	60 000	60 000
Operating lease commitments	-	21	21	-	-
Liabilities for lease obligations	24 631	20 138	14 953	5 185	-
Undrawn financing facilities approved	-	298 461	298 461	-	-
Total off-balance sheet items	24 631	318 620	313 435	5 185	-
Total contractual maturities	888 884	1 249 388	1 124 203	65 185	60 000

7.7 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group and Company’s income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The Group and Company do not deal in derivatives and does not have exposure to price risk nor exchange rate risk.

Interest rate risk

Interest rate risk is the risk that arises on an interest-bearing asset or liability, due to variability of interest rates. The Group and Company’s income and operating cash flows are substantially dependent on changes in market interest rates and the Group and Company have significant interest-bearing assets. The Group and Company’s policy is to maintain most of its investments in the form of money market instruments. Interest rate risk is limited to the Group and Company’s investment in floating-rate instruments such as deposits, negotiable certificates of deposits and banker’s acceptances as well as loans which are normally issued at rates linked to the prime interest rate. The investment management function has been outsourced to the IDC. Regular management and Board sub-committee meetings are held in order to review **sefa**’s interest rate view, which would affect the level of interest rate risk taken in respect of surplus funds.

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At the reporting date the interest rate profile of the Group’s interest-bearing financial instruments was:

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
Variable rate instruments				
Financial assets	8 587 328	7 883 585	7 884 748	7 206 570
Financial liabilities	-	-	-	-
Total variable rate instruments	8 587 328	7 883 585	7 884 748	7 206 570

Cash flow sensitivity analysis for variable rate instruments

A change in 250 basis points (2024: 250 basis points) in the interest rates at the reporting date would have increased/(decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	GROUP		COMPANY	
	30 September 2024	31 March 2024	30 September 2024	31 March 2024
250 basis points increase (2023: 250 basis points)	214 683	197 090	197 119	180 164
250 basis points decrease (2023: 250 basis points)	(214 683)	(197 090)	(197 119)	(180 164)

7.8 Capital risk management

The Board’s policy is to achieve a capital base that will ensure the long term sustainability of **sefa** and it monitors progress towards this goal so as to maintain shareholder, creditor and market confidence and to sustain future development of the business.

The Board seeks to maintain a balance between sustainable returns and its developmental mandate. There were no changes in the Group or Company’s approach to capital management during the year. A subsidiary, KCG is subject to capital requirements imposed on it by the Prudential Authority in terms of The Insurance Act 18 of 2017. Neither the company nor any of its other subsidiaries are subject to externally imposed capital requirements.

The Group and Company’s objectives when managing capital are:

- To comply with capital requirements required for insurers as determined by the STIA;
- To safeguard the Group’s ability to continue as a going concern so that it can provide returns for the shareholder and benefits for other stakeholders.

KCG submits quarterly and annual returns to the Prudential Authority in terms of the STIA. The Company is required at all times to maintain a statutory surplus asset ratio as defined in the STIA. Adequate capital requirements were maintained throughout the year.

7.9 Insurance risk – material accounting policy

Insurance risk arises from normal operations of the Group, through credit indemnities provided by Khula Credit Guarantee through the following:

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- Indemnifying financiers for defaults on outstanding loans to SMMEs;
- Indemnifying suppliers for defaults on trade credit facilities.

The Board and Executive Committee manage the insurance risk according to the Group's risk appetite.

The risk under any one indemnity contract is the likelihood that the indemnified event will occur, and the uncertainty of the amount of the resulting claims. For a portfolio of indemnity contracts where the theory of probability is applied to provisioning, the principal risk that the Group faces is that the actual claims and benefit payments will exceed the carrying amount of the indemnity liabilities. By the very nature of an indemnity contract, the risk is random and, therefore, unpredictable. Changing risk parameters and unforeseen factors, such as economical and geographical circumstances, may result in unexpectedly large claims. Indemnified events are random from one year to the next and the actual number of claims will vary from the estimate established by means of statistical techniques, as follows:

- Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk and geographical location covered.
- Experience shows that the larger the portfolio of similar indemnity contracts, the smaller the relative variability of the expected outcome will be, therefore, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio.
- The Group only underwrites indemnity contracts in South Africa.
- The Group does not have the right to re-price and change the conditional risks on renewal of individual indemnities.
- The Group establishes a provision for claims using independent actuarial methods.

Limiting exposure to insurance risk

The Group limits its exposure to insurance risk through setting a clearly defined underwriting strategy and adopting appropriate risk assessment techniques. Each of these risk management aspects is dealt with below in more detail:

Underwriting strategy and limits and policies for mitigating insurance risk

The Group's underwriting strategy seeks diversity to ensure a balanced portfolio of insurance risks. To this end, the Group underwrites a wide variety of risks spread across financial and commercial indemnity holders, which includes the underwriting of risks in niche markets with favourable claim expectations. The Group prepares an underwriting budget that is based on the underwriting strategy to be followed in the next three years on an annual basis. The underwriting strategy is updated for changes in the underwriting results of the Group and the industry, the Group's available risk capital, its developmental mandate as well as existing concentrations of insurance risk.

Risk assessment

The Group relies on a rigorous process followed by the indemnified parties before they propose and accept a specific insurance risk. Some of the factors considered during the underwriting stage include:

- Past loss experience associated with the proposed risk
- Indemnifiable interest
- Probability of success
- Level of mitigation procedures adopted
- Location of the proposed risk
- Past and proposed rating terms of the risk
- Scope and terms of cover considered

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- Results of surveys completed, where applicable
- Possible variations that may be applied to the risks indemnified.

Concentration of insurance risk

The concentration of insurance risk is managed by different levels of diversification, mainly through the financial institutions that are underwritten and the geographical areas in which the risks are situated, with single risks spread across all areas of the country.

7.10 Loans and advances – material accounting policy

Loans and advances arise when the Group or Company provides money, goods or services directly to a debtor. These assets are held within a business model whose objective is to hold assets to collect contractual cash flows; and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding ('SPPI'). Loans and advances are measured at amortised cost less any provision for impairments (expected credit losses).

The Group and Company make an assessment of the objective of a business model in which an asset is held at a portfolio level as this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Loans and advances are non-derivative financial assets with fixed and determinable payments that are not quoted in an active market and that the Group or Company does not intend to sell immediately or in the near term. After initial measurement, loans and advances are measured at their amortised cost less any expected credit losses.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

7.10 LOANS AND ADVANCES

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Loans and advances to clients	3 645 159	3 506 551	3 637 114	3 498 506
Less: Credit loss allowance	(2 467 694)	(2 387 631)	(2 459 649)	(2 379 586)
Loans and advances net of credit losses	1 177 465	1 118 920	1 177 465	1 118 920
Reconciliation credit loss allowances of loans and advances				
Credit loss allowance for loans and advances - opening balance	2 387 631	1 684 021	2 379 586	1 675 976
Credit loss for the year	80 077	703 713	80 077	703 713
Bad debts written off during the year	(14)	(103)	(14)	(103)
Credit loss allowance for loans and advances - closing balance	2 467 694	2 387 631	2 459 649	2 379 586
Maturity of loans and advances				
Gross loans due within one year	2 524 622	1 756 368	2 516 577	1 748 323
Unearned finance charges	(102 816)	(125 089)	(102 816)	(125 089)
Net loans due within one year	2 421 806	1 631 279	2 413 761	1 623 234
Gross loans due after one year but within two years	610 440	722 312	610 440	722 312
Unearned finance charges	(62 686)	(75 668)	(62 686)	(75 668)
Net loans due after one year but within two years	547 754	646 644	547 754	646 644
Gross loans due within two to three years	175 942	494 345	175 942	494 345
Unearned finance charges	(15 874)	(38 221)	(15 874)	(38 221)
Net loans due within two to three years	160 068	456 124	160 068	456 124
Gross loans due within three to four years	251 708	326 169	251 708	326 169
Unearned finance charges	(62 537)	(137 209)	(62 537)	(137 209)
Net loans due within three to four years	189 171	188 960	189 171	188 960
Gross loans due within four to five years	34 841	55 495	34 841	55 495
Unearned finance charges	(3 623)	(6 235)	(3 623)	(6 235)
Net loans due within four to five years	31 218	49 260	31 218	49 260
Gross loans due after five years	47 606	151 862	47 606	151 862
Unearned finance charges	(5 110)	(5 588)	(5 110)	(5 588)
Net loans due after five years	42 496	146 274	42 496	146 274
Total gross loans	3 645 159	3 506 551	3 637 114	3 498 506
Total net loans	3 392 513	3 118 541	3 384 468	3 110 496
Total unearned finance charges	252 646	388 010	252 646	388 010
Credit loss allowances on loans and advances	(2 467 694)	(2 387 631)	(2 459 649)	(2 379 586)
Loans and advances net of credit loss allowances	1 177 465	1 118 920	1 177 465	1 118 920

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The loans and advances in the **sefa** portfolio are not traded in active markets. **sefa** is a development finance institution and the loans and advances are provided to clients at terms that are below commercial market rates and credit risk is measured in consideration with developmental impact, as part of granting loans. The loans and advances are initially fair valued using the principal amount advanced to clients, as per loan agreements, and interest rates per the loan agreements, using the discounted cash flow method. The carrying amount of the loans and advances is a reasonable approximation of their fair value due to the following: the loans and advances are to non-related parties; the loans and advances are on terms that are within **sefa**’s normal mandate; and **sefa**’s principal market is determined with reference to its developmental mandate. Refer to note 7.1 and 7.4 for further detail.

7.11 INVESTMENTS

Investments are non-derivative financial assets consisting of equity investments where the Group does not control the entity to such an extent where consolidation is required and excludes investments where the group has significant influence or joint control.

The terms of these investments do not solely represent the payment of principal and interest and is therefore measured at FVTPL. These assets are not held within a business model whose objective is to hold assets to collect contractual cash flows; and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (‘SPPI’) neither are these assets held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (‘SPPI’). These assets accordingly are carried at FVTPL.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening carrying value	62 123	47 402	62 123	47 402
Movement on fair value adjustments	18	9 148	(6 015)	9 148
(Disposal)/ Acquisition of investments	27 541	5 573	5 670	5 573
Closing carrying value	89 682	62 123	61 778	62 123

The fair value of the investment in equity instruments was determined by reference to the net asset value (NAV) of the underlying entity. NAV is an appropriate valuation model as the assets and liabilities of the underlying investments are held at market value in the investee companies.

The fair value movement in the current financial year was R18 thousand (2024: R9.1 million upward), and it was recognised in profit or loss. There was no realised gain or loss in the financial statements.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

8. EQUITY STRUCTURE

8.1 Share Capital

Share capital consists of ordinary shares and is classified as equity. Issued share capital is measured at the fair value of the proceeds received less any directly attributable issue costs. An amount equal to the Par value of the shares issued is presented as share capital. Subsequent to initial recognition, equity is not re-measured.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Authorised				
500 000 000 ordinary shares at R1 each	500 000	500 000	500 000	500 000
Issued and paid				
308 300 100 ordinary shares at R1 each	308 300	308 300	308 300	308 300
Share Premium	773 211	-	773 211	-
	1 081 511	308 300	1 081 511	308 300

Share Capital is fully paid.

8.2 Shareholder reserves

Shareholder reserves consist of a subordinated loan to **sefa** from the IDC that is interest-free and not repayable.

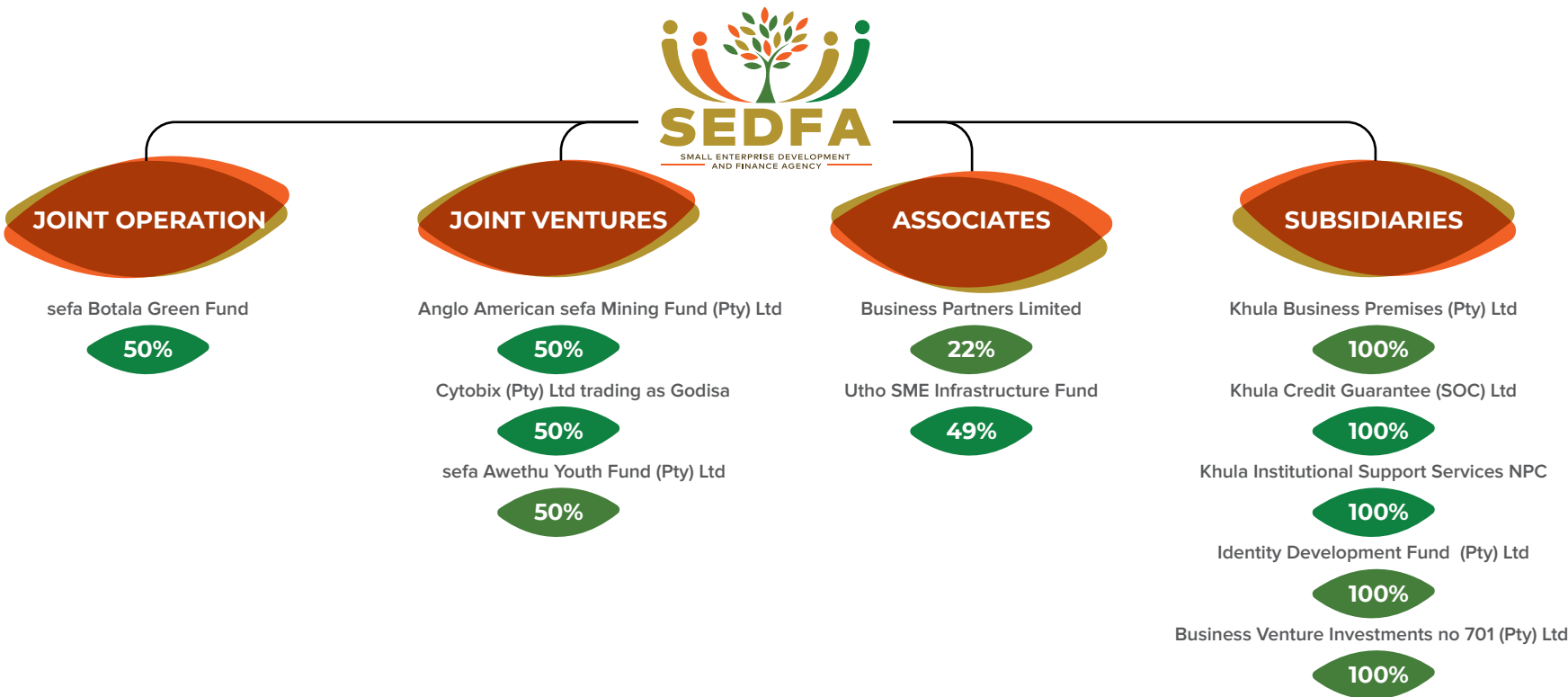
	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Opening shareholder reserves	3 028 964	2 811 146	3 028 964	2 811 146
Government allocations advanced by the shareholder (1)	135 869	217 818	135 869	217 818
Closing shareholder reserves	3 164 833	3 028 964	3 164 833	3 028 964

(1) All government allocations (MTEF) received from the shareholder are allocated to a subordinated, non-repayable and interest-free loan that is classified as shareholder's reserves.

Notes to the Annual Financial Statements
for the period ended 30 September 2024

9. GROUP COMPOSITION

9.1 INTEREST IN OTHER ENTITIES AND OPERATIONS



SUBSIDIARIES		Principal place of business:
Identity Development Fund Partnership	100%	21 Fricker Road, Illovo, Johannesburg
Khula Business Premises (Pty) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Khula Credit Guarantee (SOC) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Khula Institutional Support Services NPC	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
Business Venture Investments no 701 (Pty) Ltd	100%	11 Byls Bridge Boulevard, Doringkloof, Centurion
ASSOCIATES		
Business Partners Limited	22%	37 West Street, Houghton Estate, Johannesburg
The Utho SME Infrastructure Fund	49%	2nd Floor, Progress House, 354 Rivonia Boulevard, Johannesburg
JOINT VENTURES		
Anglo sefa Mining Fund (Pty) Ltd	50%	44 Main Street, Johannesburg
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	50%	11 Byls Bridge Boulevard, Doringkloof, Centurion
sefa Awethu Youth Fund (Pty) Ltd	50%	11 Kotze Street, Braamfontein, Johannesburg
JOINT OPERATION		
sefa Botata Green Fund	50%	11 Byls Bridge Boulevard, Doringkloof, Centurion

Notes to the Annual Financial Statements

for the period ended 30 September 2024

9.2 INVESTMENTS IN SUBSIDIARIES

Subsidiaries are entities that are controlled by **sefa**, which has rights to the variable returns and has the ability to use its control to affect the amount of returns. Refer to 1.4.1 for information regarding the Group and Company’s accounting policies.

			COMPANY	
			30 September 2024 R'000	31 March 2024 R'000
Investments in subsidiaries				
Unlisted shares in subsidiaries			479 214	479 214
Loans receivable			24 950	24 950
Total exposure to subsidiaries before impairments			504 164	504 164
Impairments on investments in subsidiaries			(36 074)	(30 956)
Total exposure to subsidiaries net of impairments			468 090	473 208

Companies	30 September 2024	31 March 2024		30 September 2024	31 March 2024
	% interest	% interest	Nature of activities	Exposure before impairments R'000	Exposure before impairments R000
Identity Development Fund Partnership	100%	100%	SME Financing	24 950	24 950
Khula Business Premises (Pty) Ltd	100%	100%	Property rental	-	-
Khula Credit Guarantee (SOC) Ltd	100%	100%	Credit indemnities	479 214	479 214
Khula Institutional Support Services NPC	100%	100%	Capacity building	-	-
Exposure to subsidiaries before impairments				504 164	504 164

All subsidiaries are incorporated in the Republic of South Africa and have the same reporting date as the holding company. The entities classified as subsidiaries are all under the control of **sefa**, which has rights to the variable returns and has the ability to use its control to affect the amount of returns.

The investments in subsidiaries are all non-current assets.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The aggregate net profits and losses after taxation of subsidiaries attributable to **sefa** were as follows:

	GROUP	
	30 September 2024 R'000	31 March 2024 R'000
Profits	32 326	30 173
Losses	(52 146)	(30 883)
Aggregate net loss from subsidiaries	(19 820)	(710)

9.3 INVESTMENTS IN JOINT OPERATIONS

Joint operations are arrangements that are jointly controlled by **sefa** and another party where **sefa** has rights to the variable returns and has the ability to use its control to affect the amount of returns. Refer to note 1.4.1 for information regarding the Group and Company’s accounting policies.

	COMPANY	
	30 September 2024 R'000	31 March 2024 R'000
Investments in joint operations		
Loans receivable	19 084	19 084
Impairments of investments in joint operations	(19 084)	(19 084)
Total exposure to joint operations net of impairments	-	-

Companies	30 September 2024	31 March 2024		30 September 2024	31 March 2024
	% interest	% interest	Nature of activities	Total company exposure before impairments R'000	Total company exposure before impairments R000
sefa Botala Green Fund	50%	50%	SME Financing	19 084	19 084

All joint operations are incorporated in the Republic of South Africa and have the same reporting date as the holding company. The investments in joint operations are all non-current assets. **sefa** Botala Green Fund is dormant.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The aggregate net profits and losses after taxation of joint operations attributable to **sefa** were as follows:

	GROUP	
	30 September 2024 R'000	31 March 2024 R'000
Loss from joint operations		
Profits	-	-
Losses	-	-
	-	-

9.4 INVESTMENTS IN ASSOCIATES

Associates are companies where **sefa** owns between 20% and 50% of issued shares, but does not have significant control over the company. Refer to note 1.4.1 for information regarding the Group and Company’s accounting policies.

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Investments in associates				
Unlisted shares in associates	98 622	98 622	98 622	98 622
Accumulated equity-accounted income, losses and impairments	818 142	802 861	-	-
Loans receivable	29 076	29 076	29 076	29 076
Impairment of loans	-	-	(29 076)	(29 076)
Total exposure to associates	945 840	930 559	98 622	98 622

Associate	30 September 2024	31 March 2024	Nature of activities	COMPANY	
	% interest	% interest		30 September 2024 Total company exposure before impairments R'000	31 March 2024 Total company exposure before impairments R'000
Business Partners Limited	22%	22%	SME Financing	98 622	98 622
The Utho SME Infrastructure Fund(1)	49%	49%	SME Financing	29 076	29 076
Total exposure to associates before impairments				127 698	127 698

(1) Although the ownership interest in The Utho SME Infrastructure Fund is 49%, the voting interest is only 40%.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The following information summarises the financial information of the associates as included in its own financial statements adjusted for differences in accounting policies. The table also reconciles the summarised information to the carrying amount of the Group's interest:

	GROUP	
	30 September 2024 R'000	31 March 2024 R'000
The aggregate amounts attributable to sefa were as follows:		
<i>Statement of financial position</i>		
Non-current assets	5 824 343	5 711 964
Current assets	23	1
Non-current liabilities	(1 496 181)	(1 454 729)
Current liabilities	(115)	(75)
Net assets at 100%	4 328 070	4 257 161
Group's share of net assets	916 764	901 483
Loan to associate	29 076	29 076
Costs capitalised on shares acquired	-	-
Total exposure to associates	945 840	930 559
<i>Statement of comprehensive income</i>		
Revenue	360 129	739 458
Expenses	(235 526)	(462 592)
Other comprehensive income	(65)	(10 423)
Profit and total other comprehensive income at 100%	124 538	266 443
Group's share of loss and total comprehensive income	26 841	57 406

There are no significant restrictions on the ability of the associates to transfer funds to **sefa** in the form of cash dividends or to repay loans advanced. There are no additional risks associated with **sefa**’s investments other than impairment recognised and the risks identifiedin the financial risk management note. All investments in associates are non- current assets.

9.5 INVESTMENTS IN JOINT VENTURES

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Investments in joint ventures				
Unlisted shares in joint ventures	-	40 582	-	40 582
Loans receivable	70 766	86 303	70 766	86 303
Accumulated equity-accounted income, losses and impairments	(42 884)	(83 228)	-	-
Impairment of investment	-	-	(70 756)	(83 556)
Total exposure to joint ventures	27 882	43 657	10	43 329

Notes to the Annual Financial Statements

for the period ended 30 September 2024

Investments in joint arrangements were assessed and it was concluded that these agreements should be classified as joint ventures. In performing the assessment, the group considered the structure of the arrangements, the legal form of any separate vehicle, the contractual terms of the arrangements and other facts and circumstances.

Companies	30 September 2024 % interest	31 March 2024 % interest	Nature of activities	30 September 2024 Total exposure R'000	31 March 2024 Total exposure R'000
Anglo sefa Mining Fund (Pty) Ltd	50%	50%	Financing mining activities	-	40 582
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	50%	50%	SME Financing	28 068	43 605
sefa Awethu Youth Fund (Pty) Ltd	50%	50%	SME Financing	42 698	42 698
Total exposure to joint ventures before impairments				70 766	126 885
				GROUP	
				30 September 2024 R'000	31 March 2024 R'000

The aggregate amounts attributable to sefa were as follows:

<i>Statement of financial position</i>		
Non-current assets	19 266	40 535
Current assets	60 769	54 943
Non-current liabilities	(60 000)	(60 000)
Current liabilities	(70 042)	(84 981)
Net assets at 100%	(50 007)	(49 503)
Group's share of net assets	(42 885)	(83 229)
Loans to joint ventures	70 767	126 886
Total exposure to joint ventures	27 882	43 657
<i>Statement of comprehensive income</i>		
Revenue	1 825	22 228
Expenses	(2 520)	(53 662)
Total other comprehensive income/(loss) at 100%	(695)	(31 434)
Group's share of total comprehensive income/(loss)	26 831	(12 267)

Notes to the Annual Financial Statements

for the period ended 30 September 2024

There are no significant restrictions on the ability of the joint ventures to transfer funds to **sefa** in the form of cash dividends or to repay loans advanced. There are no additional risks associated with **sefa**’s investments other than impairment recognised and the risks identified in the financial risk management note. All investments in joint ventures are non-current assets.

9.6 PROFIT FROM EQUITY ACCOUNTED INVESTEEES

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Profit/ (loss) from Equity Accounted Investees				
Anglo sefa Mining Fund (Pty) Ltd	26 026	(14 951)	-	-
Cytobix (Pty) Ltd trading as Godisa Supplier Development Fund	805	2 684	-	-
sefa Awethu Youth Fund (Pty) Ltd	-	-	-	-
Income from joint ventures	26 831	(12 267)	-	-
Loss and other comprehensive income from associates				
Business Partners Limited (1)	26 850	57 463	-	-
The Utho SME Infrastructure Fund	(9)	(57)	-	-
Income from associates	26 841	57 406	-	-
Profit from equity accounted investees	53 686	47 325		
Other comprehensive (loss)/income from equity accounted investees	(14)	(2 186)		
Total profit and other comprehensive income from equity investees	53 672	45 139	-	-

10. RELATED PARTIES AND DIRECTORS EMOLUMENTS

10.1 Related party transactions

Related party transactions constitute the transfer of resources, services or obligations between the Group and a party related to the Group, regardless of whether a price is charged. For the purposes of defining related party transactions with key management, key management has been defined as directors and the Group’s executive committee and includes close members of their families and entities controlled or jointly controlled by these individuals.

Notes to the Annual Financial Statements
for the period ended 30 September 2024

Related parties

Description	Relationship
The Department of Trade, Industry and Competition (DTIC, previously EDD)	Shareholder of the IDC
Business Partners Limited	An associate of sefa
The Utho SME Infrastructure Fund	An associate of sefa
Godisa Supplier Development Fund (Pty) Ltd	A joint venture of sefa
Anglo sefa Mining Fund (Pty) Ltd	A joint venture of sefa
sefa Awethu Youth Fund (Pty) Ltd	A joint venture of sefa
Industrial Development Corporation (IDC)	Parent and controlling party of sefa
Khula Business Premises (Pty) Ltd	Wholly owned subsidiary of sefa
Khula Credit Guarantee (SOC) Ltd	Wholly owned subsidiary of sefa
Khula Institutional Support Services NPC	Wholly owned subsidiary of sefa
Khula Land Reform Empowerment Facility	Wholly owned subsidiary of sefa (1)
Business Venture Investments no 701 (Pty) Ltd	Wholly owned subsidiary of sefa

Transactions between the Company and its subsidiaries, which are related parties, have been eliminated in the Group financial statements, these are however not eliminated in the individual Company financial statements.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The following transactions were entered into with related parties:

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
<i>Rental income received from related parties:</i>				
DTIC	-	-	-	-
Total rental income from related parties	-	-	-	-
<i>Rental income paid to related parties:</i>				
Khula Business Premises (Pty) Ltd	-	-	(189)	(435)
Total rental income from related parties	-	-	(189)	(435)
<i>Investment income received from related parties</i>				
Interest on cash balances managed by IDC	39 783	54 696	39 725	54 509
<i>Management fees paid to related parties for travel management</i>				
IDC	-	2 074	-	-
<i>Management fees charged to related parties</i>				
Khula Land Reform Empowerment Facility ⁽¹⁾	3 610	8 528	3 610	8 528
Khula Credit Guarantee (SOC) Ltd	-	(1 286)	4 507	9 677
Khula Institutional Support Services NPC ⁽²⁾	-	(880)	3 128	5 867
Khula Business Premises (Pty) Ltd	-	(520)	11 670	22 189
Godisa Supplier Development Fund (Pty) Ltd	-	-	1 500	3 000
Total management fees charged to related parties	3 610	5 842	24 415	49 261
<i>Transfer of grant funding to related party</i>				
Khula Credit Guarantee (SOC) Ltd	-	-	-	(66 699)
<i>Related party balances receivable/(payable)</i>				
Khula Credit Guarantee (SOC) Ltd ⁽³⁾	-	-	3 067	13 349
Khula Land Reform Empowerment Facility ⁽¹⁾	63	9 031	63	9 031
Khula Institutional Support Services NPC ⁽³⁾	-	-	11 299	11 266
Khula Business Premises (Pty) Ltd ⁽⁴⁾	-	-	674 044	650 447
Khula Business Premises (Pty) Ltd - impairment ⁽⁴⁾	-	-	(462 681)	(428 116)
Khula Institutional Support Services NPC - impairment ⁽⁶⁾	-	-	(11 299)	(9 181)
Small Enterprise Development Agency SOC Ltd	(4 827)	(5 150)	(4 827)	(5 150)
The Department of Small Business Development	(1 203)	(2 510)	(1 203)	(2 510)
IDC - Cash managed	1 113 632	774 062	1 105 128	765 911
IDC - Shareholder's loan (liability) ⁽⁵⁾	(76 795)	(841 696)	(76 795)	(841 696)
IDC - Shareholder's loan (equity) ⁽⁵⁾	(3 164 833)	(3 028 964)	(3 164 833)	(3 028 964)

Notes to the Annual Financial Statements

for the period ended 30 September 2024

	GROUP		COMPANY	
	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Business Venture Investments no 701 (Pty) Ltd	-	-	40 582	-
Business Venture Investments no 701 (Pty) Ltd - impairment	-	-	(11 303)	-
Aggregated related party balances payable	(2 133 963)	(3 095 227)	(1 898 758)	(2 865 613)

- (1) Registered as a Non-profit Company. This company has been exempted from consolidation as **sefa** is acting as an agent.
- (2) The management fee charged to Khula Institutional Support NPC reflects a negative amount on consolidated level due to the subsidiary not being able to claim the VAT charged on the management fee. The subsidiary company is not a registered VAT vendor.
- (3) Any outstanding related party balances are unsecured and will be settled in cash. No guarantees have been given or received.
- (4) The loan issued to Khula Business Premises (Pty) Ltd is subordinated and bears interest at 70% of the prime lending rate. An impairment of R492 million has been raised on the loan in the **sefa** Company.
- (5) Refer to note 6.1 for specific terms.
- (6) The loan issued to Khula Institutional Support Services NPC is subordinated.

Investments in related entities

Refer to notes 9.1 to 9.5 for investments held in related entities.

Transactions with key management personnel

No material contracts were entered into involving the interest of any director or executive management member. All compensation paid to key management is disclosed under note 10.2.

10.2 DIRECTORS’ AND PRESCRIBED OFFICERS’ REMUNERATION

Prescribed officers as prescribed by the Companies Act, are individuals who, despite not being a director of the Company:

- exercise general executive control over and management of the whole, or a significant portion, of the business and activities of the Company; or
- regularly participates to a material degree in the exercise of general executive control over and management of the whole, or a significant portion, of the business and activities of the Company.

The Company considers all individuals at the level of executive management as the prescribed officers.

Key management, as defined in IAS 24 Related Party Disclosure, are individuals with the authority and responsibility for planning, directing and controlling the activities of the entity. All individuals from the level of executive management up to the Board of Directors are regarded as key management. The remuneration of the directors and prescribed officers is disclosed below as per the Companies Act requirements.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

10.2.1 Board of Directors:

The non-executive Directors are not involved in day-to-day operations of the business and do not draw any remuneration from **sefa** other than for board fees.

	Appointment date	Retirement date	GROUP		COMPANY	
			30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Current Board members						
LFV Mosupye ⁽²⁾	2014/12/04	2023/08/23	-	32	-	-
Ms Z Ngcobo	2020/10/01	2024/04/30	46	367	46	345
Ms X Daku	2024/05/01		266	-	251	-
Mr A Xabadiya	2024/04/30		115	-	115	-
Mr P Mqingwana	2024/04/30		280	-	280	-
Mr L Ntuane	2024/05/01		292	-	266	-
Mr JS Mtsweni	2024/04/30		269	-	269	-
Ms K Mogorosi	2024/04/30		255	-	222	-
Ms H Tsoadi ⁽¹⁾	2020/10/01	-	297	431	270	409
Dr GS Moseneke ⁽³⁾	2021/07/02	-	28	152	-	-
Mr MJ Pitjeng ⁽³⁾	2021/07/02	-	36	110	-	-
Ms S Siwisa	2022/05/01	2023/04/29	-	67	-	67
Dr M Qobo	2022/05/02	2023/08/31	-	259	-	259
Adv NG Khumalo	2022/05/03	2024/04/30	90	665	79	593
Ms CN Motale	2022/05/02	2024/04/30	36	544	36	467
Ms N Makanda	2022/05/03	-	486	717	486	717
Mr M Mfuleni	2022/05/03	-	292	433	292	433
Mr KT Bonakele	2023/09/01	-	400	506	400	495
Mr BM Ramokhele	2023/05/05	-	209	514	209	514
Mr BI Mkize ⁽²⁾	2023/08/11	-	37	83	-	-
Ms M Zvobwo	2023/09/01	2024/04/30	63	216	52	205
Ms P Nkomo	2023/09/01	-	421	292	421	292
Ms TG Shiviti	2023/09/21	2024/04/30	52	196	52	196
Mr P Phili ⁽²⁾	2023/08/08	-	46	123	-	-
Mr SP Simelane	2023/08/15	-	420	428	398	384
Total directors' fees paid			4 436	6 135	4 144	5 376

⁽¹⁾ Directors fees for the services rendered were paid to the IDC.
⁽²⁾ This director only serves on the Board of the subsidiary company, KCG.
⁽³⁾ These directors only serve on the Board of the subsidiary company, KBP.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

10.2.2 Executive management:

	30 September 2024 R'000	31 March 2024 R'000	30 September 2024 R'000	31 March 2024 R'000
Executive management remuneration				
Employment benefits	7 304	19 567	7 304	19 567
Post-employment benefits	-	-	-	-
Total executive management remuneration	7 304	19 567	7 304	19 567

	Basic salary and acting allowance R'000	Incentive bonus (Short-term) R'000	Incentive bonus (Long-term) R'000	Retirement, medical and other benefits R'000	Total R'000
Executive					
M Matshamba ⁽¹⁰⁾	-	-	-	-	-
RV Ralebepa ⁽¹⁾	-	-	-	-	-
B Sefolo ⁽²⁾	-	-	-	-	-
N Shwala	1 333	-	-	160	1 493
NS Mbatha ⁽³⁾	1 394	-	-	201	1 595
C Williams ⁽⁴⁾	848	-	-	171	1 019
E Kwadjo ⁽⁵⁾	-	-	-	-	-
X Meva ⁽⁶⁾	852	-	-	151	1 003
L Makupula ⁽⁷⁾	1 095	-	-	199	1 294
J Mthembu ⁽⁸⁾	-	-	-	-	-
T Chauke ⁽⁹⁾	807	-	-	93	900
Total executive management remuneration	6 329	-	-	975	7 304

Notes to the Annual Financial Statements

for the period ended 30 September 2024

	31 March 2024				
	Basic salary and acting allowance R'000	Incentive bonus (Short-term) R'000	Incentive bonus (Long-term) R'000	Retirement, medical and other benefits R'000	Total R'000
M Matshamba ⁽¹⁰⁾	3 118	984	-	565	4 667
RV Ralebepa ⁽¹⁾	-	-	-	-	-
B Sefolo ⁽²⁾	-	-	-	-	-
N Shwala	2 531	614	-	308	3 453
NS Mbatha ⁽³⁾	-	-	-	-	-
CL Williams ⁽⁴⁾	1 606	320	-	330	2 256
E Kwadjo ⁽⁵⁾	139	-	-	25	164
X Meva ⁽⁶⁾	1 620	313	-	286	2 219
L Makupula ⁽⁷⁾	2 075	-	-	391	2 466
J Mthembu ⁽⁸⁾	2 225	278	-	-	2 503
T Chauke ⁽⁹⁾	1 413	262	-	164	1 839
Total executive management remuneration	14 727	2 771	-	2 069	19 567

⁽¹⁾ Resigned 31 August 2021

⁽²⁾ Resigned 30 June 2022

⁽³⁾ Seconded to the Small Enterprise Development Agency ("Seda") since 1 May 2021 up to date. All remuneration since 1 May 2021 for this executive has been on-charged by **sefa** to Seda and is therefore not included in this table.

⁽⁴⁾ Acting as CFO since 1 August 2021.

⁽⁵⁾ Acting as Post Investment Executive from 1 January 2022 to 30 April 2023.

⁽⁶⁾ Acting as Lending Executive since 1 July 2022.

⁽⁷⁾ Appointed 1 February 2023

⁽⁸⁾ Acting as General Legal Council since 1 December 2022.

⁽⁹⁾ Acting as Post Investment Executive since 1 May 2023

⁽¹⁰⁾ Resigned 30 April 2024

No member of executive management earned any income from any other company within the Group.

Notes to the Annual Financial Statements
for the period ended 30 September 2024

11. PFMA DISCLOSURE

11.1 UNAUTHORISED, FRUITLESS AND WASTEFUL AND IRREGULAR EXPENDITURE

	30 September 2024 R'000	31 March 2024 R'000
Irregular Expenditure	-	10
Fruitless and Wasteful	-	-
	-	10

Refer to the other matters annexure that follows the annual financial statements for more information on these items

12. FAIR VALUE MEASUREMENT

12.1 FAIR VALUE MEASUREMENT OF FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are grouped into three levels of a fair value hierarchy. The three levels are defined based on the observability of significant inputs to the measurement, as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly
- Level 3: unobservable inputs for the asset or liability.

GROUP - 30 September 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	89 682	89 682
	-	-	89 682	89 682
GROUP - 31 March 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	62 123	62 123
	-	-	62 123	62 123
COMPANY - 30 September 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	61 778	61 778
	-	-	61 778	61 778

Notes to the Annual Financial Statements

for the period ended 30 September 2024

COMPANY - 31 March 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets measured at fair value				
Investments	-	-	62 123	62 123
	-	-	62 123	62 123

The fair value of the investment in equity instruments was determined by reference to the net asset value of the underlying entity.

The fair value movement in the current financial year was R18 thousand (2024: R9.1 million), and it was recognised in profit or loss. There was no realised gain or loss in the financial statements.

Refer to note 7.11 for the reconciliation of the carrying amounts of financial instruments.

12.2 FAIR VALUE MEASURMENT OF NON-FINANCIAL ASSETS

The following table shows the levels within the hierarchy of non-financial assets measured at fair value on a recurring basis:

GROUP - 30 September 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	251 759	251 759
	-	-	251 759	251 759

GROUP - 31 March 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	245 240	245 240
	-	-	245 240	245 240

COMPANY - 30 September 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	-	-
	-	-	-	-

COMPANY - 31 March 2024	Level 1 R'000	Level 2 R'000	Level 3 R'000	Total R'000
Assets				
Investment properties	-	-	-	-
	-	-	-	-

Notes to the Annual Financial Statements

for the period ended 30 September 2024

The fair value measurement for investment property has been categorised as level 3 fair value based on **sefa**'s fair value hierarchy due to unobservable inputs used.

The assumptions used in the valuations conducted at were assessed to be appropriate for the current financial year.

The following summarises the valuation technique used in measuring the fair value of Investment Properties, as well as the significant unobservable inputs used:

Valuation technique

sefa's property portfolio consists mainly of income producing properties and this is the fundamental basis on which the valuation of investment properties is determined. Investment properties produce a perpetual income stream and the capitalisation of such net revenue flow is an accurate means of determining the value. Included in the portfolio, are two properties which are sectional title in nature and one comprises of vacant land. These properties have been valued on the direct comparison basis. The capitalisation rates used range from 11% to 15% (2023: 10% to 16.5%).

The investment properties were valued by independent valuers in the current financial year using market related rentals and market related capitalisation rates. The significant inputs and assumptions are developed in close consultation with management.

Refer to note 5.4 and note 5.5 for the reconciliation of the carrying amounts of non-financial assets classified within Level 3.

13. EVENTS AFTER THE REPORTING PERIOD

13.1 EVENTS AFTER THE REPORTING PERIOD

13.1.1 Merger

The Cabinet of South Africa approved the merger of the agencies reporting to the Minister of Small Business Development (**sefa**, SEDA and Co-Operatives Bank Development Agency) in 2021, to form a new entity that would be responsible for the provision of both financial and non-financial support to MSMEs throughout the entire business development value chain through. The enabling legislation (National Small Enterprise Amendment Bill, "The Bill") was drafted accordingly.

The Bill was passed by the National Assembly on 6 December 2023 and was then transmitted to the National Council of Provinces (NCOP) for concurrence. The President assented The Bill into Law on 18 July 2024 and The Bill was proclaimed and then the signing of the National Small Enterprise Amendment Act 2024 (No. 21 of 2024) by President Cyril Ramaphosa was finalised on 23 July 2024, and it was subsequently gazetted on 30 September 2024.

The National Small Enterprise Amendment Act 2024 (No. 21 of 2024) s10(1) (5) of Chapter 3, states that on the date as determined by the Minister, all assets, liabilities, rights and obligations of the **sefa**, SEDA and Co-Operatives Bank Development Agency, as the case may be, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to SEDFA (the Agency). The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency (SOC) Ltd.

Notes to the Annual Financial Statements

for the period ended 30 September 2024

13.1.2 Capitalisation of sefa

As per note 6.1 the IDC capitalised the subordinated shareholder loan it held against **sefa**. The capitalisation occurred via a subscription of 100 additional shares in **sefa** with the subscription consideration being settled via set-off of the amount due to the IDC.

This was documented in legal agreements that contained various conditions precedent that had to be met.

- the Company's board of directors shall have passed all the requisite resolutions in order to approve and implement the Transaction which resolutions shall also confirm that the directors of the Company are satisfied that the Subscription Price constitutes adequate consideration for the Subscription Shares, and provide the Subscriber with copies thereof;
- the IDC Consent shall have been obtained; and
- the Subscriber's board of directors [and shareholders] shall have passed all the requisite resolutions in order to approve and implement the Transaction, and provide the Company with copies thereof.

Various IDC Board approvals were obtained with an effective date of 30 September 2024. The shares were subscribed for and issued on 30 September 2024.

Final IDC Board approval was provided on 3 October 2024 and communicated to **sefa** on 9 October 2024.

On 3 October 2024, the IDC Board through a round-robin resolution, approved that the Loan be converted into ordinary shares in **SEFA** effective 30 September 2024. As per approval IDC hereby grants its consent for the following to take place:

- **sefa** to issue additional shares to Ernani from its authorised share capital.
- Ernani and **sefa** to enter into a subscription agreement for the ordinary shares to be issued.
- Ernani and **sefa** to conclude a set-off agreement in terms of which agreement the Loan balance is set off against the issue of the ordinary shares to Ernani.

14. GOING CONCERN

sefa's financial statements are prepared based on International Financial Reporting Standards, except for the going concern assumption.

Management has considered several inputs in the annual going concern assessment for the period-ended 30 September 2024, including preparing budgets in line with the approved National Treasury's vote 36 and 39 allocations. The financial plans that have been prepared were based on the National Treasury's vote 36 and 39 fund allocations, DSBD allocation of budget and the approval of the Annual Performance Plan for the 2024/25. **sefa** will be able to pay all debts as they become due and the approved budgets confirm that **sefa** is both liquid and solvent.

As per note 13.1, all assets, liabilities, rights and obligations of **sefa**, including the unexpended balance of appropriations, authorisations, allocations and other funds employed, held or used in connection with the furtherance of its objectives and functions, pass to Small Enterprise Development and Finance Agency (SOC) Ltd. (SEDFA). The date communicated in the president's minute number 251 of 2024 was that this would come into effect on 1 October 2024, which is the incorporation date of the Small Enterprise Development and Finance Agency (SOC) Ltd. And for this reason **sefa** is no longer considered to be a going concern for the period ending 30 September 2024.

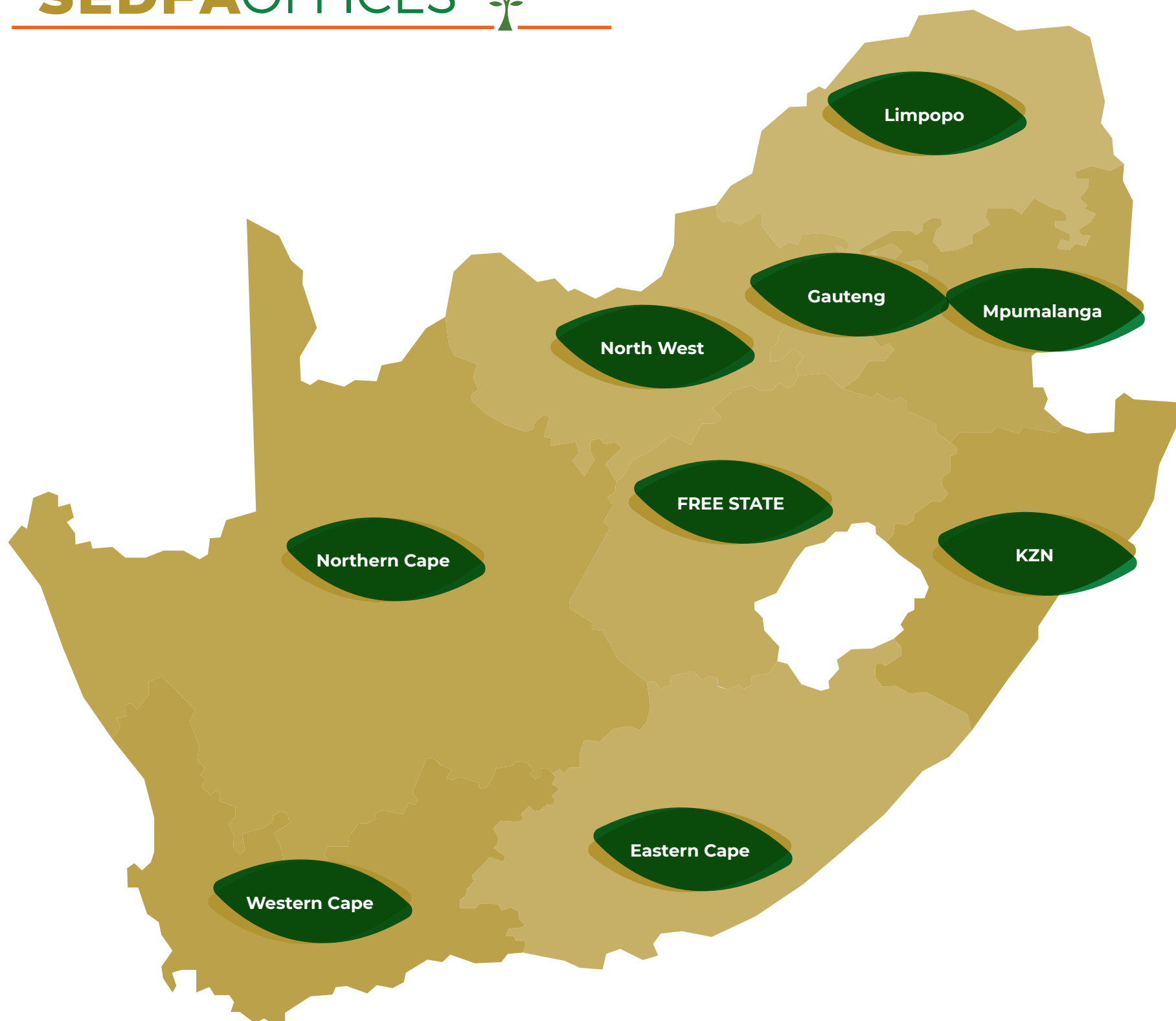
Notes to the Annual Financial Statements
for the period ended 30 September 2024

15. FUNDS ADMINISTERED ON BEHALF OF THIRD PARTIES

	COMPANY	
	30 September 2024 R'000	31 March 2024 R'000
Balance at beginning of the year	738 634	474 778
Net funds utilised/received and interest accrued on funds held	(6 679)	263 856
Balance at end of the year	731 955	738 634

sefa has been appointed by various third parties to manage funds on their behalf. These third party funds are ring-fenced into separate accounts and are restricted. These funds can only be utilised for the specific purpose as determined in the Memorandum of Agreements (MoA's) between **sefa** and the third parties. **sefa** utilises the funds as instructed by the sponsor or donor. These funds are not been disclosed in the **sefa**'s statement of financial position as they do not meet the definition of an asset as per the accounting framework.

	30 September 2024 R'000	31 March 2024 R'000
Unops	49 562	47 505
European Union	16 893	16 339
The Department of Tourism	603 180	613 602
The Eastern Cape Rural Development Agency	25 000	25 000
BP Southern Africa (Pty) Ltd	37 320	36 188
	731 955	738 634



Province	Office	Address	Contact Details
Gauteng	National Office	The Fields, Office Block A, 1066 Burnett Street, Hatfield, 0833, Pretoria	0860 103 703 / 012 441 1000 info@sedfa.org.za
	Head Office	Bylsbridge Office Park, Cnr Olievenhoutbosch Street & Jean Avenue, Building 14, Block D, 11 Byls Bridge Boulevard, Highveld Extension 73, Centurion, 0157	Tel: 012 748 9600 info@sedfa.org.za
	Gauteng North - Riversands Regional Office	8 Incubation Drive, Riverside View Ext 15, Diepsloot,	Tel: 011 064 6450
	Gauteng South - Parktown	17 Empire Road, Hillside House, Parktown	Tel: (011) 064 6400
Eastern Cape	East London	Chesswood Office Park, 8 - 10 Winkley Street, 2nd Floor, Berea, East London - 5241	Tel: (043) 721 1510)
	Port Elizabeth	329 Cape Road, Newton Park, PE, 6000	Tel:(041) 391 6200
	Mthatha	7 Sisson Street Fort Gale, Ground Floor, ECDC House, Mthatha	
KZN	Durban	1 st Floor, Block B 46 Essex Terrace Westville, 3630 Durban, 4001	Tel: (031) 368 3485
Limpopo	Polokwane	Suite 4, No 43 Biccard Street, Biccard Park, Polokwane, 0699	Tel: (015) 294 0900
Mpumalanga	Nelspruit	Corner Streak & Ferreira Street, 3rd Floor, Office 301, MAXSA Building, Nelspruit, 1200	Tel: (013) 755 3923
North West	Rustenburg	32B Heystek Street, Sunetco Building, Rustenburg, 0299	Tel: (014) 592 6391
Northern Cape	Kimberley	72 Long Street, Business Partners Building, Kimberley, 8301	Tel:(053) 832 2275
Western Cape	Cape Town	9th Floor, Clicks Building, 2 Long Street, Cape Town, 8001	Tel: (021) 418 0126 / (021) 425 6774

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Eastern Cape					
Branch name	Alfred Nzo	Amathole/ BCM	Chris Hani	Nelson Mandela	OR Tambo	Provincial Office
Region/ district	Alfred Nzo	Amathole	Chris Hani	Nelson Mandela	OR Tambo	East London
Building name	Disaster Management centre	N/A	N/A	Newton Park	26 Sprigg Street	N/A
Street address	188 Nolangeni	49B Balfour Road	51b Grey Street	329 Cape Road	Shop No 7; Sprigg Mall	4 Scherwitz Road
Town	Mt Ayliff	East London	Komani	eGqeberha	Mthatha	Berea
City	Mt Ayliff	East London	Komani	eGqeberha	Mthatha	East London
Residential/ street code	4735	5214	5320	6001	5099	5214
Telephone	0392546500	0437096200	0458086600	0413908500	0475042300	0437066700
Branch / Provincial Manager	Nomfundo Dlatu	Duma Maqubela	Dorothy Davids	Mamokganya Serakwana	Siphiwo Sixishe	Tandeka Rozani
Geographic location of Branch	Rural	Urban	Rural	Urban	Rural	Urban

Province	Free State					
Branch name	Fezile Dabi	Lejweleputswa	Mangaung	Thabo Mofutsanyana branch	Xhariep branch	Provincial Office
Region/ district	Fezile Dabi	Lejweleputswa	Mangaung Metro	Dihlabeng	Xhariep District	Mangaung Metro
Building name	Liz Venter Building	IE Business Centre	Shop 133 Bloemplaza Mall	Golden Acre Centre	4 Khoisan Building	Telkom Building
Street address	37 Buitekant street	Corner Buiten and Stateway street	Charles Street	Corner Richer and Malan Street, Bethlehem 9700	35 Voortrekker street	195 Nelson Mandela Road
Town	Kroonstad	Welkom	Bloemfontein	Bethlehem	Trompsburg	Brandwag
City	Kroonstad	Welkom	Bloemfontein	Bethlehem	Trompsburg	Bloemfontein
Residential/ street code	9500	9460	9301	9701	9913	9300
Telephone	0562161900/1901	0579161960	0514118300	0587185900	0517139500	0514113800
Branch / Provincial Manager	Dr. Riaan Oelofse	Tebogo Dire	Andrew Setho	Lesego Zengele	Lehlohonolo Thekiso	Jackie Ntshingila
Geographic location of Branch	Rural	Urban	Urban	Rural	Rural	Urban

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Gauteng			
Branch name	Joburg Branch	Tshwane Branch	Ekurhuleni	Provincial Office
Region/ district	Johannesburg/Joburg	Pretoria/Tshwane	Ekurhuleni	Gauteng
Building name	Braampark, Forum 5	11th Floor, Fedsure Forum	The Business Place	Braampark, Forum 5, 2nd Floor
Street address	33 Hoofd Street	268 Lilian Ngoyi Street	Cnr Monument & Voortrekker Rd	33 Hoofd Street
Town	Braamfontein	Pretoria	Kempton park	Braamfontein
City	Johannesburg	Pretoria	Johannesburg	Johannesburg
Residential/ street code	2001	0001	2001	2001
Telephone	0114086500	012 400 8880	0119739645	011 4086520
Branch / Provincial Manager	Andason Chibvamushure	Caren Coetzee	Andason Chibvamushure	Colin Francis
Geographic location of Branch	Urban	Urban	Urban	Urban

Province	KwaZulu Natal							
Branch name	uMgungundlovu	uThungulu	Ugu	Harry Gwala	uThukela	Amajuba	Durban	Provincial Office
Region/ district	Msunduzi	King Chetswayo	Ugu	Harry Gwala	uThukela	Amajuba	Ethekwini Metro	Ethekwini Metro
Building name	The Tourism Hub Building	Home Affairs Building	Office 4, First Floor	N/A	N/A	N/A	Block B Ground Floor	Block B Ground Floor
Street address	283 Langalibalele Street	Lot 11635 Aloe Loop Street	28 Bazley Street	Corner Margaret Street and Grants Ave	94/96 Murchison Street	28 Scott Street	46 Essex Terrace	46 Essex Terrace
Town	Pietermaritzburg	Veldenvlei	Port Shepstone	Ixopo	Ladysmith	Newcastle	Westville	Westville
City	Pietermaritzburg	Richards Bay	Port Shepstone	Ixopo	Ladysmith	Newcastle	Westville	Westville
Residential/ street code	3201	3900	4240	3276	3276	2940	3629	3629
Telephone	033 264 3100	035 901 2660	039 688 1560	039 834 7100	036 638 9780	034 328 0620	031277 9550	031277 9500
Branch / Provincial Manager	Machael Zondo	Jabu Gumbi (Acting)	Dawn Sibiya (Acting)	Naeem Dawood (Acting)	Thanda Khathi	Dumisani Zikalala	Sbongile Sabela	Cedric Mnguni
Geographic location of Branch	Urban	Rural	Rural	Rural	Rural	Urban	Urban	Urban

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Limpopo					
Branch name	Capricorn Branch	Vhembe Branch	Mopani Branch	Sekhukhune Branch	Waterberg Branch	Provincial office
Region/ district	Capricorn	Vhembe	Mopani	Sekhukhune	Waterberg	Limpopo
Building name	Phamarama Building 1st floor	B102 Bendulavhuthu Completx	Absa Building	Hereford street 12	Nedbank building	Phamarama Building 2nd floor
Street address	68 Hans van Rensburg street	102 Mphephu street	13 Danie Joubert street	Hereford street 12	40 Retief street	68 Hans van Rensburg street
Town	Polokwane	Thohoyandou	Tzaneen	Groblersdal	Mokopane	Polokwane
City	Polokwane	Thohoyandou	Tzaneen	Groblersdal	Mokopane	Polokwane
Residential/ street code	700	936	850	470	600	700
Telephone	0152908720	0159608700	0153066400	0152629430	0154929600	0152872940
Branch / Provincial Manager	Peter Maredi	Marcus Mukumela	Eric Manyelenyele (Acting)	Migal Sithole (Acting)	Tantaswa Jozana	Martin Rafferty (Acting)
Geographic location of Branch	Urban	Rural	Urban	Rural	Urban	Urban

Province	Mpumalanga					
Branch name	Bushbuckridge	Ehlanzeni	Gert Sibande	Nkangala	Nkomazi	Provincial Office
Region/ district	Bushbuckridge Municipality/ Ehlanzeni District	City of Mbombela Municipality/ Ehlanzeni District	Goven Mbeki Municipality/Gert Sibande District	Emalahleni Municipality/ Nkangala District	Nkomazi Municipality/ Ehlanzeni District	City of Mbombela/ Ehlanzeni District
Building name	Simunye Shopping Centre, Shop 10C and 10D	Trust Building, Suite 103,	Goven Mbeki Municipality Building, South wing	Saveways Crescent Shopping Centre, Shop 21 1st floor, Level 2–1A Crn Mandela Road and OR Tambo street, Witbank, 1035	Prime Office Building, Erf 156, Office 1 & 6	Trust Building, Suite 101-102
Street address	1263 Arend Street	16 Brander Street	Howick Street, Lurgi Square	Cnr Nelson Mandela Road & OR Tambo Str.	Lorenco Street	16 Brander Street
Town	Hazyview	Nelspruit	Secunda	Witbank	Malelane	Nelspruit
City	Mbombela	Mbombela	N/A	N/A	N/A	City of Mbombela
Residential/ street code	1242	1200	2302	1035	1320	1200
Telephone	013799 5340	013754 4380	017634 4339/017631 0680	013655 6970	013-790 1183	013755 8730
Branch / Provincial Manager	Ms Carol Matsheka	Mr Ishmael Mmbadi	Ms Florance Bogatsu	Ms Zanele Khoza	Ms Andile Jambane	Mr Mandla Sibiya
Geographic location of Branch	Urban	Urban	Urban	Urban	Urban	Urban

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Northern Cape					
Branch name	Frances Baard	Pixley Ka Seme - Branch	John Taolo Gaetsewe	Namakwa	ZF Mgcawu	Provincial Office
Region/ district	Frances Baard	Pixley Ka Seme	John Taolo Gaetsewe	Namakwa	ZF Mgcawu	Kimberley
Building name	Khula Building	Novell's Buiding	Prokmed	N/A	3rd Floor Old Sanlam Building	Telkom Building
Street address	72 Long Street, Ashburnham	Corner Main & Station Street	Main Street	3 River Street	Corner Scott and Upington Street	Building No 9 Cnr Drankensburg & Schmidtsdrift
Town	Kimberley	De Aar	Kuruman	Springbok	Upington	Kimberley
City	Kimberley	De Aar	Kuruman	Springbok	Upington	Kimberley
Residential/ street code	8301	7000	8460	8240	8800	8301
Telephone	0538367720	0536327590	0537143160	0277128500	0543378280	538395700
Branch / Provincial Manager	Masego Job	Piet Papier	Ncedile Tola	Henrold Losper	Mboneleli Ncuthushe	Kedisaletse Williams
Geographic location of Branch	Urban	Rural	Rural	Rural	Rural	Urban

Province	North West					
Branch name	Ngaka Modiri Molema	Dr Ruth Segomotsi Mompoti	Dr Kenneth Kaunda	Bojanala East	Bojanala West	Provincial Office
Region/ district	Ngaka Modiri Molema	Dr Ruth Segomotsi Mompoti	Dr Kenneth Kaunda	Bojanala Platinum District	Bojanala Platinum District	Bojanala Platinum District
Building name	IDT Building		West End Building	Silver Office Park		
Street address	4059 Joules Street	8 Moffat Street	51 Leask Street	15 Murray Avenue	186 Beyers Naude Street	186 Beyers Naude Street
Town	Mafikeng	Vryburg	Klerksdorp	Brits	Rustenburg	Rustenburg
City	Mafikeng	Vryburg	Klerksdorp	Brits	Rustenburg	Rustenburg
Residential/ street code	2745	8600	2570	0250	0300	0300
Telephone	0183919900	053928 8800	018487 1920	012262 9120	014591 8460	014591 7900
Branch / Provincial Manager	Ms. Morongwa Moseki	Paul Manoto	Ms Morongwa Moseki (Acting)	Mike nyenes	Carritus Maselesele	Mr Sabelo Ntshangase
Geographic location of Branch	Urban	Rural	Urban	Urban	Urban	Urban

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Western Cape			
Branch name	CBD	Cape Winelands, Overberg & West Coast	Eden & Central Karoo	City of Cape Town
Region/ district	City of Cape Town	Cape Winelands	Eden	Provincial Office
Building name	8th Floor, The Pinnacle Building	Eikestad Mall, 1st Floor	1st Floor, Old Mutual Building	8th Floor, The Pinnacle Building
Street address	2 Burg Street	Andringa Street	Corner York and Hibernia Streets	2 Burg Street
Town	Cape Town	Stellenbosch	George	Cape Town
City	City of Cape Town	Cape Town	Cape Town	City of Cape Town
Residential/ street code	8001	7599	6529	8001
Telephone	021 487 3640	021 861 4800	044 803 4900	0214873640
Branch / Provincial Manager	Pinky Siwele (Acting)	Yaseen Kasker (Acting)	Quinton Coetzee	Kiewit Kuhle Mhlongo
Geographic location of Branch	Urban	Urban	Urban	Urban

Province	Western Cape		
Region/ district	City of Cape Town	City of Cape Town	City of Cape Town
Branch name	Khayelitsha	City of Cape Town	Atlantis
Building name	2nd floor, Harare Library	2nd Floor, Louwville Place	9 Novel Building
Street address	42 Ncumo Rd, Harare Square	23 Vrede Street	Cnr Neil Hare and John Dreyer Roads
Town	Khayelitsha	Bellville	Cape Town
City	Cape Town	City of Cape Town	Cape Town
Residential/ street code	7784	7535	7349
Telephone	021 361 8233	021 949 2227	021 577 1086
Branch / Provincial Manager	Pinky Siwele (Acting)	Pinky Siwele (Acting)	Pinky Siwele (Acting)
Geographic location of branch	Township	Urban	Urban

Province	Western Cape		
Region/ district	Overberg	Overberg	West Coast
Branch name	Worcerster	Hermanus	Vredenberg
Building name		Shop No. 44, Mimosa Street	19 Weskus Central
Street address	Cnr High Street & Stockenstrom Street	Hermanus Gateway Central Main Road	11 Long Street
Town	Wocerster	Hermanus	Vredenberg
City	Cape Town	Cape Town	Cape Town
Residential/ street code	6849	7200	7784
Telephone	023 342 2381 (Temp 023-346 4842/023 - 346 4801)	028 312 2359	021 713 4405/3432
Branch / Provincial Manager	Yaseen Kasker (Acting)	Yaseen Kasker (Acting)	Yaseen Kasker (Acting)
Geographic location of branch	Urban	Urban	Urban

SEDFA PROVINCIAL AND BRANCH OFFICES



Province	Western Cape			
Region/ district	Eden	Eden	Eden	Central Karoo
Branch name	Knysna	Mossel Bay	Oudtshoorn	Beaufort West
Building name	Shop 13B Woodmill Lane	Unit 8 Voorbay Business Park	Ground Floor Seppie Greef Building	
Street address	Main Road	Watson Avenue	75 Voortrekker Road	Donkin street 119
Town	Knysna	Mossel Bay	Oudtshoorn	Beaufort West
City	Cape Town	Cape Town	Cape Town	Cape Town
Residential/ street code	6570	6500	6620	6970
Telephone	044 382 2861	044 695 0418	044 272 7783	023-414 3368 / 023-414 2970
Branch / Provincial Manager	Quinton Coetzee	Quinton Coetzee	Quinton Coetzee	Quinton Coetzee
Geographic location of branch	Urban	Urban	Urban	Urban

SEDFA INCUBATION CENTERS | EASTERN CAPE



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
1	CVC Africa Township Hub	ICT	Gqeberha	Eastern Cape	GM Industrial Park, Kempston Road, Sidwell Gqeberha 6001	Raleshaba Moeng	raleshaba@cvcafrica.co.za
2	T3 Incubator Hub T/A Propella Township Incubator	Multisectoral	Port Elizabeth (Gqeberha)	Eastern Cape	7 Bennett Street, Neave Industrial Plant, Neave Industrial Area, Nelson Mandela Bay Metropole (Gqeberha)	Wilhela Gie	wilhela@t3hub.co.za
3	Walter Sisulu University -CfERI	Multisectoral	Mthatha	Eastern Cape	Private Bag X6030 Mthatha Campus, Zamukulungisa Heights, 5099	Thobekani Lose	tlose@wsu.ac.za
4	IKHALA CfERI	TVET College	Queenstown	Eastern Cape	Zone D, Gwadana Drive, Ezibeleni, Queenstown, 5320	Mtunase Kali	Mtunase.Kali@ikhala.edu.za
5	Rhodes University CFERI	Education	Grahamstown	Eastern Cape	Top Floor, Rhodes Theatre Building, Room 305, Cnr Somerset & Prince Alfred Streets, Grahamstown	Prof Tshidi Mohapelo (contact person-new CFERI)	t.mohapelo@ru.ac.za
6	Nelson Mandela Bay iHub	ICT	Gqeberha	Eastern Cape	1st Floor Kwantu Towers, Govan Mbeki Avenue, Port Elizabeth	Darryl Dennise	darryld@nmbihub.co.za
7	Nelson Mandela Bay thembalethu	ICT	Thembalethu	Eastern Cape	1st Floor, Kwantu Towers Building, Vuyisile Mini Square, Govan Mbeki Avenue, 6201	Sivuyo Ngcwangu	sivuyon@nmbihub.co.za
8	Nelson Mandela University CFERI	Education	Gqeberha	Eastern Cape	University Way, Summerstrand, Gqeberha, 6019	Ms Karen Snyman (contact person-new CFERI)	Karen.Snyman@mandela.ac.za
9	Lovedale TVET College Centre for Entrepreneurship Rapid Incubator	Agriculture	Alice and King Williams Town	Eastern Cape	1 Amatola raw	Azola MGQUBA	Azola.mgquba@lovedale.org.za
10	Chemin East London	Chemical	East London	Eastern Cape	Site 16 Fish Eagle Street, Fort Jackson Industrial, Mdantsane	Colin Mkhonza	colin@chemin.co.za
11	Chemin Mthatha	Chemical	Mthatha	Eastern Cape	9 Timber Street, Vulindlela Heights, Mthatha	Colin Mkhonza	colin@chemin.co.za
12	SANAMI	Agriculture	Mount Ayliff	Eastern Cape	Centre's address: SANAMI, Umzimvubu Goats Complex, Hospital Road, Mount Ayliff, 4735	Nontlahla Boyce	business@sanami.co.za
13	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	Mthatha	Eastern Cape	10 Timber Road, Vulindlela Height, Mthatha	Harriet Moloi	harrietm@furntech.org.za

SEDFA INCUBATION CENTERS | FREE STATE



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
14	Motheo TVET College CfE and RI	Manufacturing	Bloemfontein	Free State	46 St Georges Street CBD	Anica Labuschagne	labuschagnea@motheotvet.co.za
15	Goldfields TVET College CFE/RI	Renewable Energy	Welkom	Free State	14107 Ndaki Street Thabong Ext 6 Welkom 9463	Jimmy Tsiu Masoetsa	jimmy@goldfieldstvet.edu.za
16	SAMTI (Small Business Agricultural and Mining Tool Incubator	Manufacturing	Bloemfontein	Free State	20 President Street, BHP Bulletin Building, Central University of Technology, Bloemfontein, 9301	Cantridge Sibanyoni	Cantridges@samti.co.za
17	Maluti Tvet CfERI	Mixed Sectors	Qwaqwa	Freestate	Cnr. Mampoi & Bolata Road	Thandeka Kenalemang Mahlatjie	mahlatji.ktc@malutitivet.co.za
18	Botshabelo digital hub	Information Communication Technology	Botshabelo	Free State	09 Pink Street, Botshabelo Industrial park	Ayanda Ndinise	ayanda@softstartbti.co.za

SEDFA INCUBATION CENTERS | GAUTENG



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
19	Wakanda NPC	Hospitality	Mellville	Gauteng	27 Boxes, 74 4th Avenue Melville 2109	Miles Khubeka	miles@wakanda.org.za
20	Africa Beyond 4IR NPC	Gaming, VR and Robotics	Mabopane	Gauteng	Workshop F, Tshwane South TVET College, Odi Campus, Mabopane, 0190	Kelebogile Molopyane	kelem@ab4ir.org
21	Bakery & Food Technology Incubator	Food & beverage manufacturing sector	Pretoria East	Gauteng	Unit 1, 70 Banghoek crescent, N4 Gateway Industrial Park, The Willows, Pretoria	Ansie Potgieter	ansie@bicsa.co.za
22	South African Manufacturing Technology Demonstration Centre (SMTDC)	Manufacturing	Soshanguve	Gauteng	Corner Aubrey Matlala and College Roads, Soshanguve, 0152	Phumudzo Madzunya	Madzunyap@smtdc.co.za
23	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	Roodepoort	Gauteng	11 Granville Avenue North, Lea Glen, Roodepoort	Khodani Radzilani	khodanir@furntech.org.za
24	Rail Manufacturing Centre for Entrepreneurship Rapid Incubator (RMCERI)	Manufacturing	Pretoria	Gauteng	Ditsel Place. Corner Park and Jan Shoba streets. Hatfield	Martin Manmohan	martin@rmceri.org
25	Lepharo Incubation Programme NPC	Manufacturing, Mining & Engineering	Springs	Gauteng	01 Plover Street	Zenzo Nkomo	zenzo@lepharo.co.za
26	Galaxcoc	Technolgy	Alexandra	Gauteng	17 Arkwright Avenue, Wyneburg, Sandton, 2090	Patric Baloyi	p.baloyi@galxcoc.com
27	Gibela Business Incubator BNPC	Multisector	Springs- Kwa-Thema	Gauteng	Kwa-Thema Business Park, Kwa-Thema	Justine Mogashoas	Justine@gibelainc.co.za
28	Ekurhuleni Jewellery Project	Jewellery Manufacturing	Germiston	Gauteng	Housr 51, Rand Refinery Estate, 1 Refinery Road	Samuel Manyisa	samuel@ejewellery.org.za
29	Global Jewellery Academy	Jewellery and others	Johannesburg	Gauteng	159 Volta Street, Extension 10, Lenasia, 1827	Ambassador Ms Carmen Smidt	gja.ambsmidtcj@gmail.com
30	Ekurhuleni West Tvet College CFERI	Education	Germiston	Gauteng	782 Poole Street Palime Section KATLEHONG 1431	Mandla Cosmos Mkhize	mandlamk@ewc.edu.za
31	University of Johannesburg CFERI	Education	Johannesburg	Gauteng	Cnr. Barry Hertzog and Napier Road, Milpark	Ms. Machaka M. Mosehana (contact person-new CFERI)	machakam@uj.ac.za

SEDFA INCUBATION CENTERS | GAUTENG



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
32	Fourth Industrial Revolution Incubator Johannesburg	4IR,FINTECH	Johannesburg	gauteng	78 Corlett Drive Birnam 2196	Naomi Musi	naomi@4iri.co.za
33	National Construction incubator attredgeville	Construction	Attredgeville	Gauteng	351 Kalafong Hopsiaal Road	Thabiso Matla	smahlaba@natci.org.za
34	Softstart Business and Technology Incubator NPC	Information Communication Technology	Midrand	Gauteng	136 2nd Street, Randjespark Midrand	Ayanda Ndinise	ayanda@softstartbti.co.za
35	Automotive Industry Development Centre (AIDC)	Automotive	Silverton	Gauteng	Gate 1 Simon Vermooten road Silverton	Faheem Hussain	Fhussain@aidc.co.za
36	Seda Automotive Technology Centre (SaTec)	Automotive	Rosslyn	Gauteng	Automotive Supplier Park, 30 Helium Road, Rosslyn, Pretoria	Dion Harold	dharold@satec.co.za
37	Kagiso Township Hub operated by Property Point	Property & Construction	Chamdor	Gauteng	19 Nichols Street, Chamdor, Krugersdorp	Desigan Chetty	desigan@propertypoint.org.za
38	TuksNovation NPC	Technology	Pretoria	Gauteng	Room 14-4, Humanities Building, Lynnwood Road, Hatfield Campus, University of Pretoria	Phindile Tshabangu	phindile@tuksnovation.co.za
39	South African Creative Industries Incubator (SACII)	LOCALIZATION	Pretoria	Gauteng	224 Perry Avenue, Eersterust, Pretoria, Gauteng	Beth Arendse	beth@sacii.co.za
40	Chemin Modderfontein	Chemical	Johannesburg	Gauteng	Lesedi House, McGowan Avenue, Lethabong	Colin Mkhonza	colin@chemin.co.za
41	Chemin Thembisa	Chemical	Johannesburg	Gauteng	47 Thami Mnyele Drive, Tembisa	Colin Mkhonza	colin@chemin.co.za
42	SMU	University	Pretoria	Gauteng	Molotlegi Street, Ga-Rankuwa, Pretoria	Taurai Hungwe	taurai.hungwe@smu.ac.za

SEDFA INCUBATION CENTERS | KWAZULU-NATAL



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
43	Invotech	Multi mixed	Berea	Kwazulu Natal	123 Botanic Gardens Road, Berea	William Roy Goldstone	williamg@dut.ac.za
44	Innovation & Technology Incubator (Invotech)	Mixed High Tech	Berea	Kwazulu Natal	123 Botanic Gardens Road, Berea	William Roy Goldstone	williamg@dut.ac.za
45	Durban University of Technology CFERI	Manufacturing	Berea	Kwa Zulu Natal	121 Steve Biko Road Musgrave Berea, Durban 4001	Gnanam Pillay	GnanamP@dut.ac.za
46	CVC Africa Localization	Manufacturing	Salt Rock	Kwazulu Natal	868 Shakashead Salt Rock Kwazulu Natal 4420	Percy Gumbi	percy@cvcafrica.co.za
47	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	Kwa Mashu	Kwazulu Natal	Number: 30 , 109236 Street , Emakhosini Kwa Mashu	Delyshia Govender	delyshia@furntech.org.za
48	Esayidi CfERI	Mixed	Port Shepstone	Kwazulu-Natal	2 Hillside Crescent, Oslo Beach, Port Shepstone	Jobina Mark	markjobina@gmail.com
49	Esayidi CfERI	Mixed	Umzimkhulu	Kwazulu-Natal	Mankofu Road, 3297 Umzimkhulu, Eastern Cape	Jobina Mark	markjobina@gmail.com
50	SmartXchange Durban	Media, Information, Communication, Technology, Electronics, Arts (MICTea)	Durban	Kwazulu Natal	5 Walnut Road Durban	Jonathan Naidoo	jonathan@smartxchange.co.za
51	SmartXchange Portshepstone	Media, Information, Communication, Technology, Electronics, Arts (MICTea)	Portshepstone	Kwazulu Natal	54 Michell Drive Portshepstone 4240	Fatima Sarigat	fatima@smartxchange.co.za
52	SmartXchange KwaMashu Digital Hub	Media, Information, Communication, Technology, Electronics, Arts (MICTea)	Kwamashu	Kwazulu Natal	Number: 30 / 109236 Street / Emakhosini / KwaMashu / 4156 / South Africa	Jonathan Naidoo	jonathan@smartxchange.co.za
53	National Construction Incubator	Construction	Durban	Kwazulu Natal	199 Anton Lambede Street, 23rd Floor Embassy Building , Suite 2305, Durban, 4000	Patricia Ntombizodwa Mazibuko	pchalwa@natci.org.za

SEDFA INCUBATION CENTERS | KWAZULU-NATAL



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
54	National Construction incubator Durban	Construction	Durban	Kwazulu Natal	127 Johannes Nkosi Street Durban	Sam mahlaba	smahlaba@natci.org.za
55	National Construction incubator kwamashu	Construction	Kwamashu	Kwazulu Natal	M76 bhunezi Road Kwamashu	Sam Mahlaba	smahlaba@natci.org.za
56	National Construction Incubator Umhlathunzi	Construction	Umhlathuzi	Kwazulu Natal	Eskahleni Road Umhlathuzi	Sam Mahlaba	smahlaba@natci.org.za
57	University of KZN	CFERI	Durban	KwaZulu Natal	University of Kwazulu Natal, Durban 4041	Suvina Singh interim	singhs3@ukzn.ac.za
58	Durban Textile	Textile	Durban	KwaZulu Natal	126 Johannes Nkosi Street Durban	Gnanam Pillay	GnanamP@dut.ac.za
59	Sasopsbiz	Manufacturing	Pietermaritz-burg	KwaZulu Natal	1st floor Maincity bld,210 langalibalelele street, PMB	Pumla Vilakazi	pumla@sasopsbiz.co.za
60	Downstream Aluminium Centre for Technology NPC (DACT)	Multi-Sector	Richards Bay	Kwa-Zulu Natal	ZCBF Community Park, South Central Arterial, Alton, Richards Bay	Lindiwe Radebe	lindiwe@dact.co.za

SEDFA INCUBATION CENTERS | LIMPOPO



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
61	Sekhukhune TVET College - Centre for Entrepreneurship & Rapid Incubator	General	Globersdal	Limpopo	676, Motetema, Groblersdal, 0470	Kwanele Goodenough Mkhwanazi	kwanelemkhwanazi@gmail.com
62	Limpopo Jewellery Business Incubator	Mineral Beneficiation	Polokwane	Limpopo	07 Freedom Drive, Seshego Industrial Park	Mokgadi Tessa Ngobeni	tessa@ljbi.org.za
63	VHEMBE TVET CFERI	Manufacturing & Engineering	Thohoyandou	Limpopo	10 Thengwe Road vhembe Tvet college Makwarela campus	Rudzani Makheda	makheda.r@vhembecollege.edu.za
64	University of Venda CFERI	Education	Thohoyandou	Limpopo	P/bag x 5050, Thohoyandou, 0950	Dr Robert L. Martin (contact person-new CFERI)	robert.martin@univen.ac.za
65	Hope Givers Foundation	ICT	Tzaneen	Limpopo	Stand 20761, Lydenburg Main Road, JB Mhlaba Cross, Tzaneen	Ms Tsakani Muhlari (contact person-new incubator)	tsakani@hopegiversfoundation.co.za
66	BBi	Biodiesel	Pretoria	Limpopo	Stand no1 Tompi Seleka College of Agriculture, Phetoane Village, Marble Hall	Charles Siphugu	charless@biofuelsbi.org.za
67	UL Limpopo Information & Technology (LIT) Hub	Digital	Polokwane	Limpopo	University of Limpopo, U Block Building, Tselakgopo St. Turfloop Campus Private Bag X1106, Sovenga, 0727, South Africa	Tashveer Bodhi (Interim)	tashveerbodhi@ul.ac.za

SEDFA INCUBATION CENTERS | MPUMALANGA



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
68	Gert Sibande CfERI	Multi sector	Evander	Mpumalanga	12 Cornell road Evander 2280	Zinitha Maseko	maseko.zt@gscollege.edu.za
69	Ehlanzeni TVET College CFERI	Renewable Energy	Barberton	Mpumalanga	3074 General Street Barberton 1300	Donald Pako	DCPako@ehlanzenitvetcollege.com
70	Lesedi Agri-Biz Incubator	Agriculture	Machadodorp	Mpumalanga	388 JT Zevenfontein, Portion 12 and 13 entokozweni Machadodorp	Ntokozo Sibiya	ntokozos@labincubator.co.za
71	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	White River	Mpumalanga	5 Indus Road, Suite 2, White River	Khodani Radzilani	khodanir@furntech.org.za
72	MSI	Manufacturing	Middelburg	Mpumalanga	19/20 Cnr Newtown& Mnotho Street	Mamba Hazel (Acting)	ceo@mpstainless.co.za
73	Timbali Technology Incubator	Agriculture	Nelspruit	Mpumalanga	Portion of Portion 74 Friedenheim Farm, Nelspruit 1200	Louise de Klerk	louise@timbali.co.za
74	MASDT	Agricultural Sector	Nelspruit	Mpumalanga	10 Bester Street North, Canary Walk Buisness Park, Nelspruit 1200	Chris Williams	cjw4545@gmail.com
75	Firi Digital Hub Nelspruit	4IR	Nelspruit	Mpumalanga	1Aqua street riverside office park nelspruit	Naomi Musi	naomi@4iri.co.za
76	University of Mpumalanga Centre for Entrepreneurship Ripid Incubator	Education	Mbombela	Mpumalanga	Cnr of R40 & D725 Roads, Mbombela 1200, South Africa	Dr Kanayo Ogujiuba	Kanayo.Ogujiuba@ump.ac.za

SEDFA INCUBATION CENTERS | NORTHERN CAPE



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
78	Kimberley Diamond and Jewellery Incubator	Mineral beneficiation	Kimberley	Northern Cape	25 villiers street	Bonolo Moea	bonolo@kdji.org
79	Sol Plaatjie University(VUT CfERI migrated to SPU CFERI)	Various	Upington	Northern Cape	11 Toekoms Street,Upington	Anthony Mac Minn	anthony@2ndc.co.za
80	Northern Cape Rural TVET College Centre for Entrepreneurship Rapid Incubator	Multi-Sector	De Aar & Kathu	Northern Cape	1 Van Riebeeck Street	Fabian Humphreys	fabianh@ncrtvet.co.za
81	Northern Cape Agricultural Incubator	Agriculture	Kimberly	Northern Cape	Boontjieskraal, Portion 27 of Farm 127 Margersfontein,Kimberly	Adv Itemogeng Steenkamp(contact person-new incubator)	itemogeng@gmail.com

SEDFA INCUBATION CENTERS | NORTH WEST



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
82	Leema Township Incubator NPC	Technology	Mogwase	North West	Stand 43, Factory 7 A&B Bodirelo Platinum SEZ	Emson Moyo	emson@leema-industries.com
83	The Platinum Incubator	Mining and Minerals Beneficiation	RUSTENBURG 0300	North West	C/o ORBIT Tvet College, Corner Fatima Bhayat and Bosch Street Rustenburg	Sibongile Shongwe	sibongile@tpi.org.za
84	OBPI Incubator	Manufacturing	Mogwase	North West	Stand 43,Bodirelo Industrail Park, Mogwase	Mpho Tsheole	centre.manager@obpi-incubator.co.za
85	Mafikeng digital innovation hub	4IR	Mahikeng	North West	2696 James Watt Cres, Industrial site Mafikeng 2735	Joseph Semanga Ndaba	Jndaba@mafihub.co.za
86	ORBIT TVET COLLGE	AUTOMOTIVE	RUSTENBURG	North West	36 VAN ZYL STREET	PETER MATLOU	pmatlou@orbitcollege.co.za

SEDFA INCUBATION CENTERS | WESTERN CAPE



	Center name	Sector	Town	Province	Center physical address	Center Manager	Center Manager e-mail
87	Falsebay TVET College CFERI	Manufacturing	Westlake	Western Cape	Westlake Drive Westlake Cape Town 7950	Steve Reid	Steve.Reid@falsebay.org.za
88	THE DAILY GRIND INNOVATION HUB	Multi Sector	CAPE TOWN	Western Cape	3 PIONEER RD, SCOTTSVILLE KRAAIFONTEIN	DOMINIQUE ADONIS	dominique.adonis@dailygrindhub.co.za
89	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	Cape Town	Western Cape	8 Lowe Stoft Street, Paarden Eiland, 7420	Michael Reddy	michaelr@furntech.org.za
90	The Furniture Technology Centre Trust t/a Furntech	Manufacturing - Furniture and wood products	Nyanga	Western Cape	1023 New Eisleben Road, Nyanga	Iegshaan Ariefdien	iegshaana@furntech.org.za
91	BioCiTi Labs NPC	Health	Cape Town	Western Cape	Block B, 2 nd Floor Bandwidth Barn Woodstock Exchange Building 66 – 68 Albert Road, Woodstock	Dheepak Maharajh	Dheepak@biociti.afrika
92	West Coast College CFERI	Manufacturing	Vredenburg	Western Cape	01 Akademie Street	Xolani Mhlongo	xmhlongo@westcoastcollege.co.za
93	Fourth Industrial Revolution Incubator Cape Town	4IR, FINTECH	Cape Town	Western Cape	1 waterhouse place century city cape town	Naomi Musi	naomi@4iri.co.za
94	Fsatlabs	ICT	Cape Town	Western Cape	Block C Mayfair Bulding Century way Century City Cape Town	Ndileka Nzantsi	nzantsi@fsatlabs.co.za
95	Savant Technology Incubator NPC	Hardware Technology	Cape Town	Western Cape	Unit GU03, Collingwood Building, Observatory, Cape Town	Nivida Wicomb	nivida@savant.co.za
96	South African Renewable Energy Business Incubator (Sarebi)	Renewable Energy	Atlantis	Western Cape	1st Floor, 9 Novel Building Cnr John Dreyer and Neil Hare Road, Atlantis, 7349	Helmut Hertzog	helmut@sarebi.co.za

SEDFA ACCESS POINTS



No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
Eastern Cape								
1	JUN	AN	IYANZI- Bizana	Zimbini Mtyide	22 Winnie Madikizela Mandela Street, Bizana	0834175285	Alfred Nzo	Winnie Madikizela Mandela
2	JUN	AMA	Fort Beaufort	Alex Stemela	72 Smith Street, WestBank, EL, 5201	0723067944	Amathole	Raymond Mhlaba
3	JUN	AMA	Ginsberg	Nohlanga Zonke	34 Susan Road, Amalinda, EL, 5247	0733702434	Amathole	Buffalo City
4	JUN	AMA	Butterworth	Lukhanyo Mandla Ralane	2246 Cuba, Butterworth, 4960	0726686407	Amathole	Mnquma
5	JUN	CH	Cradock	Mr Henry Jordan	2 Sikhulu Street, Lingelihle, Cradock, 5881	0795004227	Chris Hani	Inxub Yethemba
6	JUN	CH	Sterkspruit	Mr Ayanda Nyezi	43 Tienbank, Sterkspruit, 9762	0710473995	Joe Gqabi	Senqu
7	JUN	NMB	Uitenhage	Chuma Ngcakani	24 Upper Drostdy Street, Uitenhage, 6229	0790513001	Nelson Mandela	NMB Metro
8	JUN	NMB	Motherwell	Nosiphiwo Ncoyo	Motherwell Business Development centre; Cnr Tyinirha & Kaulela Streets; NU 4; Motherwell; Gqeberha	0827153477	Nelson Mandela	NMB Metro
9	JUN	ORT	Mqanduli	Nomgqibelo Nxoyi	Office 11 Sister Rose Complex, Main road, Mqanduli	0437363899	OR Tambo	KSD
10	JUN	ORT	Lusikisiki	Urban Dotye	Ingwe TVET College, Lusikisiki, 4820	0614029091	OR Tambo	Ingquza Hill
11	FEB	NMB	Uitenhage	Milani Dondolo	Crn Drostdy Road &, Algoa Rd, Kariega, 6230	073 788 8136	Nelson Mandela	NMB Metro

SEDFA ACCESS POINTS



No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
Free State								
1	MAR	Lejweleputswa	Hertzorgville	Angie Mokhuoane	16 Hoof Street	076 391 3722	Lejweleputswa	Tswelopele
2	MAR	Xhariep	Zastron	Tshepiso Mlingo	C/o Lucas Majozi & Gustavus Streets	083 884 3057	Xhariep	Mohokare
3	MAR	Thabo Mofutsanyana	Tsheseng	Ms Tsoanelo Mosikidi	No 11 Makeneng, St Blessed Jerald Catholic Church	0731825417	Thabo Mofutsanyana	Maluti-a-Phofung
4	MAR	Mangaung	Botshabelo	Ms Vormmia Sikaundi	BoTshabelo shopping centre, office 22 Main Road BoTHMabelo 9781	0842564554	Mangaung Metro	Mangaung Metro
5	MAR	Fezile Dabi	Heilbron	Peter Mabote	Langmark Street 44 Heilbron 9650	0760459488	Fezile Dabi	Ngwathe
6	SEPT	Mangaung	Wepener	Mr Phehello Mahamo	31 De Beer Street, Wepener, 9944	0814193999/ (051)023 0616	Mangaung Metro	Mangaung Metro
7	NOV	Thabo Mofutsanyana	Namahadi Access Point	Mr Lawrence Shumba	Maluti-a-Phofung Local Municipality, Thabo Mofutsanyane District, Mangaung Village, Namahadi Centre, Charles Mopeli Stadium, Qwaqwa, 9866	0815335980	Thabo Mofutsanyana	Maluti-a-Phofung
8	NOV	Thabo Mofutsanyana	Harrismith Acces Point	Mr Dumisani Shadworths Twala	Shop No14. #0 Piet Ritief st, Denneberg Arcade, Harrismith, 9880	0794051611	Thabo Mofutsanyana	Maluti-a-Phofung
Gauteng								
1	MARCH	JHB	Soweto	Mr Darlinton Dhanah	2127 Chris Hani Road Offic No 1005, 1st Floor Maponya Mall Shopping Centre	081 438 7000	City of Joburg	City of Joburg
2	MARCH	JHB	Randfontein	Ms Debbie Kapoock	13 Porges Street, Randfontein	082 468 8134	West Rand	Rand West
3	MARCH	JHB	Nigel	Ms Ellen Mavimbela	65 Northern Road Nigel, 1491	084 759 0032	City of Ekurhuleni	City of Ekurhuleni

SEDFA ACCESS POINTS



No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
Limpopo								
1	DEC	CAP	Blouberg	Ngoetsana Khomotso	417 Bochum Township Bochum	0720510454	Capricorn	Blouberg
2	DEC	CAP	Flock Management	Mashibe Mabelebele	29 Phelendaba Section; Ga-Ramokgopa; Botlokwa	0820479685	Capricorn	Molemole
3	DEC	CAP	Ntike Consulting	Simon Ntike	Lebowakgomo	0723059636	Capricorn	Lobowakgomo
4	DEC	MOP	Calisto Training Academy	Calisto Mabilo	Thusong centre, Metz, Maruleng	0768473348	Mopani	Maruleng
5	DEC	MOP	Phalaborwa-Namakgale	Mr Johannes Maite	Office No.5 Ba-Phalaborwa Municipality,Flea Market R71 Namakgale	0723067944	Mopani	Ba-Phalanborwa
6	DEC	MOP	Giyani-Giyani	Mr Canuel Ngobeni	ASZ PROPERTY TRUST OFFICE PARK,	0824337776	Mopani	Greater Giyani
7	DEC	MOP	Greater Letaba-Segosese Wholesale	Mr Hlamalani Muhlava	Office No.02 Tloutswala Centre Next to Wholesale taxi rank	0792913090	Mopani	Greater Letaba
8	DEC	SEK	Nano Holdings	Precious Malatji	913 Dannilton, Groblersdal	0793341925	Sekhukhune	Groblersdal/ Dannilton
9	DEC	SEK	Eruptive Local Business	Kwena Mokgohloa	Office No 02 Tubatse Plaza,60 Marone Street. Burgersfort 1150	0798919971	Sekhukhune	Tubatse
10	DEC	SEK	Magnates Co-Operative	Charlotte Mamphoke	01 Sekgoweng, Ga-Kwedi Kgautswane OHRISTAD 1122	0781934127/ 0796413747	Sekhukhune	Fetakgomo/Tubatse
11	DEC	VHE	We build you	Mr Mbedzi	1225 Roller Street, ext 2 Musina	0729131903	Vhembe	Musina
12	DEC	WAT	Mmanko Business Training and IT Solutions	Bertha Mmanko Kekana	05 Roskana Building, 10 Hendrick Street, Lephalale 0555.	0829550651	Waterberg	Lephalale

SEDFA ACCESS POINTS



No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
Mpumalanga								
1	AUG	Bushbuckridge	AR Business Consulti	Mr Hlayiseka Ngomane	Stand 115Meropa Office Park Tsakani,Acornhoek.1360	0726516187	Ehlanzeni	Bushbuckridge
2	AUG	Bushbuckridge	Letho Hlula Pty Ltd	Phindile Nkuna	Stand 367 Mkhuhlu A	071 450 4016	Ehlanzeni	Bushbuckridge
3	AUG	Gert Sibande	Barbican Capital Consultancy	Mr Genius Selome	Silobela Youth Advisory Cenre, Stand no: 2172 Sobhuza Street, Caroline 1185	0786533121	Gert Sibande	Chief Albert
4	AUG	Gert Sibande	Nkosi Consulting Firm	Mr Jabulani S. Nkosi	Stand no 260 Singobile A Daggakraal, 2492	0790452295	Gert Sibande	Mkhondo
5	AUG	Gert Sibande	LNМ Accountants	Ms Lungile Mbhele	Sinethemba Youth Centre, Balfour Township, 2410	0823209736	Gert Sibande	Dipaleseng
6	AUG	Gert Sibande	Qualitech Business Consulting Piet-Retief	John Chiume	941 Emoyeni Building, Richardsbay Location, Piet Retief, 2380	0739496852	Gert Sibande	Mkhondo
7	AUG	Gert Sibande	MSIZI MBILI ACCOUNTANTS	Mr Msizi Mbili	17 de jager street, ermelo, 2350	0792900522	Gert Sibande	Msukaligwa municipality
8	AUG	Nkomazi	Multiced Solutions	Mr Ngcane Banele	Stand No. 126, Tonga View, 1341 - Glory City Mall,Second Floor	0796275334	Ehlanzeni	Nkomazi
9	AUG	Nkomazi	Untum Financial Solutions	Ms Nomuntu Ndlovu	Stand No. 206, Schoemansdal, Shongwe Mission,1331	0658728470	Ehlanzeni	Nkomazi
10	AUG	Ehlanzeni	Mashishini Access Point	John Chiume	41 B Joubert Street Mashishing	0739496852	Ehlanzeni	Thaba Chweu
11	AUG	Ehlanzeni	Emjindini Access Point	Joseph Gbenle	35 De Villiers Street Barberton	0799713755	Ehlanzeni	Mbombela
12	AUG	Ehlanzeni	Elukwatini Access Point	Thabiso Baloyi	Stand No 689 Elukwatini B	0824772501	Ehlanzeni	Albert Lethuli
13	AUG	Nkangala	Bashoka Trading and Projects	Mr Tumelo Rashokeng	144 Mabena Street, Botleng Ext 1, Delmas 2210	073 478 8419	Nkangala	Albert Lethuli Local Municipality
14	AUG	Nkangala	Happy People Entertainment & Developmnet Foundation	Ms. Portia Motale	Catholic Apostolic Church, Marapyane	072 449 1736	Nkangala	Dr J S Moroka

SEDFA ACCESS POINTS



No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
15	AUG	Nkangala	Vilama Business and Tax Consulting	Mr. Samson Vilakazi	10045 Zakhani, The Rosh Office Park, KwaMhlanga, 1022	083 240 7583	Nkangala	Victor Khanye
16	AUG	Nkangala	Choshi Advisory Services	Ms surprise Choshi	No 11680, front opposite CN Mahlangu Campus, Section 13, Siyabuswa, 0472	079 098 3913	Nkangala	Dr J S Moroka
17	AUG	Nkangala	ALL SOLUTIONS PTY LTD	Motepe Filicia Motau	631 masishane business park moloto	0729590098	Nkangala	Thembisile Hani
North West								
1	APR	DMM	Lesego M Consulting	Mr Lesego Molebatsi	4159 Lucas Mangope Drive, Zone 3, Itso seng	0788860271	Ngaka Modiri Molema	Ditsobotla
2	MAY	DRM	Taung Office Supplies	Marcia Bloem	Shop 2B NWDC, Taung	0632403845	Dr Ruth Segomotsi Mompoti	Greater Taung
3	MAY	BJE	TBL Empowerment Hub	Ms Geraldine Melita Mokgethi	Portion 9 & 10 Business Site Itireleng Section, Mogogelo Village, Moretele Local Municipality, 0422	0614622125	Bojanala Platinum	Moretele
4	MAY	BJE	J. Lekgotla Tading & Projects	Mr Jeremiah Lekgotla	1955 Boiketlo Section Makapanstad Road Makapanstad 0404	073333038	Bojanala Platinum	Moretele
5	MAY	BJE	Balesng Kopano Training	Mr Chuene Johannes Tolo	11288 Cnr Bosega Str and Makapanstad Road Sespond Village Moretele Local Municipality 0403	0784522063	Bojanala Platinum	Moretele
6	MAY	BJE	Reoikantse Business and Projects	Ms Mahunyane Lettie Sanyane	480B Potoaneng Section, Tladistad, Moretele Local Municipality, 0407	0813498289	Bojanala Platinum	Moretele
7	OCT	DRM	Seamless Realtors	Hamilton Saba	46B Mark Street, Bloemhof 2660	0848109428	Dr Ruth Segomotsi Mompoti	Lekwa-Teemane

SEDFA ACCESS POINTS



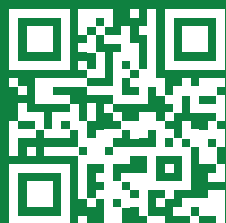
No	Month	Sedfa Branch	Access Point name	Access Point Manager	Physical Address	Telephone Number	District	Local Municipality
Western Cape								
1	DEC	CWL	Vredendal	Joseph Ruitures	Vredendal	0685945849	West Coast	Matzikama
2	DEC	EDEN	Riversdale	Christopher Abrahams	Riversdale	0715245238	Garden Route	Hessequa
Northern Cape								
1	Jan	FB	Basic Business Solutions	Vicky Dicks	24 Hertzog Street, Hartswater, 8570	0730699714	Frances Baard	Phokwane
2	Jan	PKS	Andreas Research Academy	Naslynne Andreas	519 Masolka Road, Carnavon, 8925	0788291419	Pixley Ka Seme	Kareeberg
3	Jan	JTG	BIZ Corner Hub	Bruce Kuriti	Thabane Road - Diamond view Section Mothibistad 8474	0829510853	JTG	Joe Morolong
KwaZulu Natal								
1	Sep	NC	Uzuko Training and Development	Simon Manyathi	207 Utrecht Street, Bhekuzulu,Vryheid,3100	0716562140 / 0603583930	Zululand	Abaqulusi



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RP422/2025

ISBN: 978-1-83491-432-9



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